The Institute of Chartered Accountants of Bangladesh (ICAB)

Corporate Reporting

Volume I



Workbook
For CA Advanced Level Exams

CA BANGLADESH

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF BANGLADESH

www.icab.org.bd

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The Institute of Chartered Accountants of Bangladesh

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Questions within the Workbook should be treated as preparation questions, providing you with a firm foundation before you attempt the exam-standard questions.

**** Italic denotes changes***

CA OVERVIEW

The ICAB chartered accountancy qualification, the CA, is one of the most advanced learning and professional development programmes available. Its integrated components provide an in-depth understanding across accountancy, finance and business. Combined, they help build the technical knowledge, professional skills and practical experience needed to become an ICAB Chartered Accountant.



Each component is designed to complement each other, which means that students can put theory into practice and can understand and apply what they learn to their day-to-day work. The four components are:

ICAB constantly reviews the content of the CA qualification to reflect real life business challenges. Today's most urgent business challenges range from sustainability, to rapid changes in technology and the role of ethics in the profession. We work closely with employers, tuition providers, academics and examiners to ensure that the CA equips the chartered accountants of the future with the skills and knowledge they need to meet these challenges and to be successful.

THE CA QUALIFICATION AND SUSTAINABILITY

Finance and accounting professionals need to move beyond simply measuring and reporting the impact of climate change, environmental regulation, supply chain pressure and rising energy costs. They must focus on understanding those implications and integrating them into financial management and business planning. ICAB has been at the forefront of this movement over the past decade and has adapted the CA qualification to reflect that. We see its role as not simply integrating knowledge and understanding the broader implications of environmental, social and governance issues into organisations, but also seeding this thinking into the mindset of our members.

Our syllabus and ethical and professional development framework contribute towards creating ICAB Chartered Accountants who recognise that sustainability is at the core of what they do and are capable of actively using their business skills to analyse how to make the new sustainable economy work for their business.

THE CA QUALIFICATION AND TECHNOLOGY

Rapid growth in technology has automated many compliance elements of accountancy. But, with technology also comes complexity and risk. Accountants need to adapt and develop new skills to manage these technological changes such as data analytics, automation and cyber security.

While there are many new technology capabilities that have broad application across the business and consumer environment, four trends have the greatest potential to transform the accountancy profession: **A**rtificial intelligence, **B**lockchain, **C**yber security and **D**ata (ABCD of technology).

These and other innovations are likely to have a significant impact on the way that accountants access, move and manage business finances.

Technology can provide information more quickly and often more accurately than humans, but it cannot replicate human intelligence and quality decision making. Therefore, chartered accountants hold a key role in data analytics, in validating the source of the data, interpreting and analysing the outputs. Technology provides opportunities for chartered accountants to use their professional skills to add value to their clients and/or the businesses in which they work.

As routine and compliance work reduces, there is greater focus on the development of skills which equip professionals to work with the outputs of automated processes, with other specialists, and in a changing world.

We believe that skills such as analysis, interpretation, professional scepticism, communication, collaboration, adaptability, resilience, and commerciality are essential for tomorrow's business leaders; these are imbedded throughout the CA exams and professional development framework.

THE CA QUALIFICATION AND ETHICS

Culture and values are central to long-term success. How a business adopts an ethical approach towards its staff, shareholders, customers and regulators, as well as within its own operations, has a bigger impact than any performance measure or operational improvement.

Demonstrating a clear commitment to ethical behaviour is one of the main drivers of better performance; it delivers an advantage when recruiting, it adds value to a brand, and it instils trust and confidence in partners, suppliers and others that the organisation is well run and resilient.

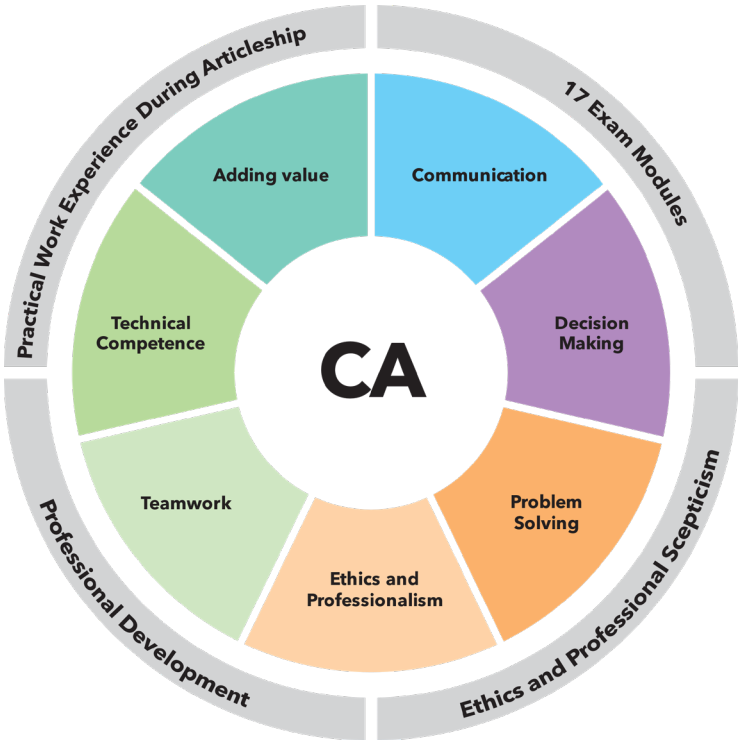
Achieving that is not a matter of simple knowledge. Few ethical challenges will have simple right and wrong responses. They require technical understanding, rigorous appraisal and skillful handling. Accountants must have the necessary skills to apply professional judgement in a given situation, taking into account what has been learned as a CA student about their ethical responsibilities as a Chartered Accountant.

There will be unique ethical challenges throughout any Chartered Accountant's process of learning and career. They serve a variety of masters: senior management, external stakeholders, regulators; and above all the public interest responsibility of their profession. Because of the rigorous and effective training (and continued professional development) chartered accountants can speak up and take a lead.

None of this can happen without one critical element: professionalism. That goes beyond merely knowing the Code of Ethics: it means embodying the right behaviours and having the ability and willingness to push back against those who might compromise the integrity of the business.

That confidence comes from a qualification that prioritises not only technical knowledge of the ethical framework but also challenges accountants with scenarios that accurately reflect the ethical dilemmas a Chartered Accountant may face in business.

PROFESSIONAL DEVELOPMENT



ICAB Chartered Accountants are known for their professionalism and expertise. Professional development prepares students to successfully handle a variety of different situations that they encounter throughout their career. The CA qualification improves students' ability and performance in seven key areas:

- Adding value – add value to the organisation, team or role in order to achieve objectives
- Communication – communicate effectively at all levels, using oral, written and presentational skills to achieve positive outcomes
- Decision making – gather, interpret and evaluate data to make effective decisions
- Ethics and professionalism – behave ethically and sustainably while respecting others to uphold the values of the organisation and the accountancy profession
- Problem solving – analyse a problem, generate options and make recommendations to arrive at appropriate solutions
- Teamwork – work collaboratively as a member or leader of a team to achieve shared goals
- Technical competence – seek, learn and use technology and technical information to support the achievement of organisation or team goals
- There are 17 exams over three levels – Certificate, Professional and Advanced.



CERTIFICATE LEVEL

There are seven exams at this level that introduce the fundamentals of accountancy, finance and business. Students may be eligible for credit for some exams if they have studied a qualification we recognise.

The Certificate Level exams are each 1.5 hours long except Business Laws and Information Technology which are 1 hour long and can be sat three times in the year.

PROFESSIONAL LEVEL

The next seven exams build on the fundamentals and test students' understanding and ability to use technical knowledge in real-life scenarios. The exams are taken in two times in the year.

The Professional Level exams are 3.5 hours long.

The Professional Level exams are flexible and can be taken in any order to fit with a student's day-to-day work. The Business Planning: Taxation & Compliance and Business Strategy and Technology exams in particular help students to progress to the Advanced Level.

The suite of Business Planning: Taxation & Compliance and Business exams is based on the same syllabus structure and skills frameworks, and will give students the opportunity to demonstrate their learning and use this in the context of taxation.

Financial Accounting and Reporting is in the contexts of IFRS Standards.

ADVANCED LEVEL

The Corporate Reporting and Strategic Business Management & Leadership exams test students' understanding and strategic decision-making at a senior level. They present real-life scenarios, with increased complexity and implications from the Professional Level exams.

The Case Study tests all the knowledge, skills and experience gained so far. It presents a complex business issue which challenges students' ability to problem solve, identify the ethical implications and provide an effective solution.

The Advanced Level exams are taken two times in the year.

The Corporate Reporting and Strategic Business Management & Leadership exams are 3.5 hours long. The Case Study exam is 4.5 hours long.

If a student is studying the CA independently, they should consider their future ambitions while selecting which exams to sit.

FLEXIBILITY

There are no regulations stipulating the order in which students must attempt the exams, allowing CA Firms to design Articleship programmes according to business needs. The exception to this rule is the Case Study. For attempting Case Study, students must be attempted the other subjects of Advanced Level.
Students have the unlimited attempts at all levels of exams.

CREDIT FOR PRIOR LEARNING (CPL)

Students with previous qualifications may be eligible to apply for CPL for modules which have been allowed by ICAB. For more information, visit **https://www.icab.org.bd/page/credit-for-prior-learning-cpl-exemption**.

Corporate Reporting

If you are studying this exam as part of the CA qualification go to icab.org.bd website.

Module aim

To enable you to apply technical knowledge, analytical techniques and professional skills to resolve compliance and business issues that arise in the context of the preparation and evaluation of corporate reports and from providing audit services.

You will be required to use technical knowledge and professional judgement to identify, explain and evaluate alternatives and to determine the appropriate solutions to compliance issues, giving due consideration to the needs of clients and other stakeholders. The commercial context and impact of recommendations and ethical issues will also need to be considered in making such judgements.

On completion of this module, you will be able to:

- formulate, implement and evaluate corporate reporting policies for single entities and groups of varying sizes and in a variety of industries. You will be able to discern and formulate the appropriate financial reporting treatment for complex transactions and complex scenarios. You will be able to evaluate and apply technical knowledge from individual accounting standards and apply professional skills to integrate knowledge where several accounting standards are simultaneously applicable and interact.
- analyse, interpret, evaluate and compare financial statements of entities both over time and across a range of industries.
- explain the processes involved in planning an audit, evaluate internal controls, appraise risk including analysing quantitative and qualitative data, gather evidence including using data analytics software to draw conclusions in accordance with the terms of the engagement. In addition, you will be able to perform a range of assurance engagements and related tasks.
- evaluate corporate reporting policies, estimates and disclosures in a scenario in order to be able to assess whether they are in compliance with accounting standards and are appropriate in the context of audit objectives.
- identify and explain ethical issues. Where ethical dilemmas arise, you will be able to recommend and justify and determine appropriate actions and ethical safeguards to mitigate threats.

Method of assessment

The Corporate Reporting exam is 3.5 hours long. Each exam will contain questions requiring integration of knowledge and skills, including ethics. Ethical issues and problems could appear in any of the questions.

Specification grid

This grid shows the relative weightings of subjects within this module and should guide the relative study time spent on each. Over time the marks available in the assessment will be within the ranges of weightings below, but some variations may occur in individual examinations to enable suitably rigorous questions to be set.

	Weighting (%)
1. Corporate Reporting – Compliance	40 - 50
2. Corporate Reporting – Financial Statement Analysis	10 - 15
3. Audit and Assurance	30 - 40
4. Ethics	5 – 10
5. Public Financial Management	5 - 10

Key Resources

Whether you're studying the CA qualification with an employer, at university, independently, or as part of an apprenticeship, we provide a wide range of resources and services to help you in your studies. Take a look at the ICAB website (icab.org.bd) for exam resources.

Skills within the CA

Professional skills are essential to accountancy and your development of them is embedded throughout the CA qualification. The level of competency required in each of the professional skills areas to pass each module exam increases as CA trainees progress upwards through each Level of the CA qualification. The skills progression embedded throughout the CA qualification ensures CA trainees develop the knowledge and professional skills necessary to successfully operate in the modern workplace and which are expected by today's forward-thinking employers.

The following professional skills areas are present throughout the CA qualification.

Skill area	Overall objective
Assimilating and using information	Understand a business or accounting situation, prioritise by determining key drivers, issues and requirements and identify any relevant information.
Structuring problems and solutions	Structure information from various sources into suitable formats for analysis and provide creative and pragmatic solutions in a business environment.
Applying judgement	Apply professional scepticism and critical thinking to identify faults, gaps, inconsistencies and interactions from a range of relevant information sources and relate issues to a business environment.
Concluding, recommending and communicating	Apply technical knowledge, skills and experience to support reasoning and conclusion and formulate opinions, advice, plans, solutions, options and reservations based on valid evidence and communicate clearly in a manner suitable for the recipient.

The following provides further detail on the professional skills that you will develop in this particular module. To see the full skills development grids, please go to icab.org.bd.

Assimilating and using information

Understand the situation and the requirements

- Demonstrate understanding of the business context
- Identify and understand the requirements
- Recognise new and complex ideas within a scenario
- Identify the needs of customers and clients
- Explain different stakeholder perspectives and interests
- Identify and explain risks within a scenario
- Identify elements of uncertainty within a scenario
- Identify ethical issues including public interest and sustainability issues within a scenario

Identify and use relevant information

- Interpret information provided in various formats
- Evaluate the relevance of information provided
- Use multiple information sources
- Filter information provided to identify critical facts

Identify and prioritise key issues and stay on task

- Identify business and financial issues from a scenario
- Prioritise key issues
- Work effectively within time constraints
- Operate to a brief in a given scenario

How skills are assessed: you may be required to:

- have a detailed knowledge and understanding of relevant regulations in financial reporting, auditing and ethics, which will need to be related to practical business scenarios and applied to any data provided. The data provided will focus on technical compliance and understanding;
- respond to instructions from a line manager, a client request or from other senior personnel. The requests may be specific, or they may be more general requiring interpretation and judgement to be applied by the student;
- evaluate the quality and relevance of information provided in the context of a particular assignment;
- evaluate inconsistencies in information provided from multiple sources;
- use different sources and types of evidence, including data analytics software and statistical tools including spreadsheets, to confirm, or question, financial statement assertions applying professional scepticism; and
- evaluate the ethical implications of making information available including confidentiality and transparency.

Structuring problems and solutions Structure data

- Structure information from various sources into suitable formats for analysis
- Identify any information gaps
- Frame questions to clarify information
- Use a range of data types and sources to inform analysis and decision making
- Structure and analyse financial and non-financial data to enhance understanding of business issues and their underlying causes
- Present analysis in accordance with instructions and criteria

Develop solutions

- Identify and apply relevant technical knowledge and skills to analyse a specific problem
- Use structured information to identify evidence-based solutions
- Identify creative and pragmatic solutions in a business environment
- Identify opportunities to add value
- Identify and anticipate problems that may result from a decision
- Identify a range of possible solutions based on analysis
- Identify ethical dimensions of possible solutions
- Select appropriate courses of action using an ethical framework
- Identify the solution which is the best fit with acceptance criteria and objectives
- Define objectives and acceptance criteria for solutions

How skills are assessed: you may be required to:

- apply technical knowledge, analytical techniques and professional skills to resolve compliance and business issues that arise in the context of the preparation and evaluation of corporate reports and from providing audit services;
- structure problems and solutions in scenario based questions which may be presented in the following forms:
    - Mini case – using data analytics software in the context of auditing but with significant corporate reporting emphasis. This may be technical, compliance or interpretive (for example including analytical procedures)
    - Financial statement analysis – including technical aspects of corporate reporting
    - Technical question on aspects of audit and corporate reporting (which may include assurance, internal audit);
- evaluate ethical problems in reporting, assurance and business scenarios;
- formulate, evaluate and implement accounting and reporting policies;
- measure and recognise assets and obligations on reported financial performance;
- assess the impact and interaction of applicable accounting principles, bases and standards;
- evaluate the impact of remuneration policies on reported performance; and
- evaluate reporting issues in relation to group scenarios and overseas activities.

Applying judgement

Apply professional scepticism and critical thinking

- Recognise bias and varying quality in data and evidence
- Identify assumptions or faults in arguments
- Identify gaps in evidence
- Identify inconsistencies and contradictory information
- Assess interaction of information from different sources
- Exercise ethical judgement

Relate issues to the environment

- Appreciate when more expert help is required
- Identify related issues in scenarios
- Assess different stakeholder perspectives when evaluating options
- Retain an overview of the business issue or scenario
- Appraise corporate responsibility and sustainability issues
- Appraise the effects of alternative future scenarios
- Appraise ethical, public interest and regulatory issues

How skills are assessed: you may be required to:

- use technical knowledge and professional judgement to identify, explain and evaluate alternatives and to determine the appropriate solutions to compliance issues, giving due consideration to the needs of clients and other stakeholders. The commercial context and impact of recommendations and ethical issues will also need to be considered in making such judgements.

- Demonstrate judgement in the following ways:
  - selecting between technical choices;
  - filtering data to identify critical elements;
  - prioritising information, issues or tasks;
  - identifying omissions in the information;
  - evaluating inconsistencies in information;
  - distinguishing between the various qualities of the data provided;
  - evaluating the impact of economic and political factors;
  - evaluating the effects of known events;
  - evaluating the appropriateness of accounting policy choice and estimation selection;
  - evaluating options;
  - comparing the effects of a range of estimates, outcomes or financial treatments;
  - assessing the materiality of errors;
  - exercising ethical judgement;
  - identifying key linkages; and
  - drawing appropriate conclusions from data provided to satisfy specified objectives and assessing the materiality of errors and omissions.

Concluding, recommending and communicating Conclusions

- Apply technical knowledge to support reasoning and conclusions
- Apply professional experience and evidence to support reasoning
- Use valid and different technical skills to formulate opinions, advice, plans, solutions, options and reservations

Recommendations

- Present recommendations in accordance with instructions and defined criteria
- Make recommendations in situations where risks and uncertainty exist
- Formulate opinions, advice, recommendations, plans, solutions, options and reservations based on valid evidence
- Make evidence-based recommendations which can be justified by reference to supporting data and other information
- Develop recommendations which combine different technical skills in a practical situation

Communication

- Present a basic or routine memorandum or briefing note in writing in a clear and concise style
- Present analysis and recommendations in accordance with instructions
- Communicate clearly to a specialist or non-specialist audience in a manner suitable for the recipient
- Prepare the advice, report, or notes required in a clear and concise style

How skills are assessed: you may be required to:

- draw conclusions from data, facts, calculations, judgments and own analysis;
- draw conclusions from complex assurance engagements;
- identify weaknesses in financial information systems and their potential consequences;

- distinguish between the qualities of data provided or other evidence generated;
- develop risk management solutions in an audit and corporate reporting environment;
- create report/memorandum in response to a specific technical issue and in accordance with client requirements;
- draft reasoned, practicable advice that is clear and concise, supported by calculations or analysis of technical/business issues identified;
- use judgement to select the most appropriate audit procedures in the context of risks identified;
- justify a specific recommended action when a variety of options are available; and
- explain the limitations of their conclusions or recommendations.

To help you develop your ability to demonstrate competency in each professional skills area, each chapter of this Workbook includes up to four Professional Skills Guidance points.

Each Professional Skills Guidance point focuses on one of the four CA Professional Skills areas and explains how to demonstrate a particular aspect of that professional skill relevant to the topic being studied. You are advised to refer back to the Professional Skills Guidance points while revisiting specific topics and during question practice.

Chapter 1

Introduction

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Using this Workbook

2 The importance of corporate reporting

3 The role and context of modern auditing

4 Legal responsibilities of directors and auditors

5 International standards on auditing

6 Audit quality management

7 Laws and regulations

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Comment on and critically appraise the nature and validity of financial and non-financial information included in published financial statements including how these correlate with an understanding of the entity
- Appraise and explain the role and context of auditing
- Produce appropriate audit documentation
- Explain the nature and purpose of quality assurance (both at the level of the firm and the individual audit) and assess how it can contribute to risk management

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Using this Workbook** So far you will have studied corporate reporting and audit as separate (single silo) subjects. However, in real life, audit and corporate reporting are closely linked. Your Corporate Reporting exam is an integrated exam. As you learn the financial reporting topics, you will also learn how to audit that particular area.	**Approach** The key point to take in is that many of the financial reporting chapters have a separate 'audit focus' section, which deals with the auditing aspects of the financial reporting area you have just studied. **Stop and think** Remember that this is an integrated subject so you should always consider corporate reporting and auditing aspects together.	While the majority of the marks will always be awarded for demonstrating your corporate reporting knowledge, you will still need to explain how the audit is conducted if required. This gives guidance on how to approach the integrated material. This is the first time you have tackled an integrated exam. Two out of the three questions in the exam combine audit and financial reporting.	N/A
2	**The importance of corporate reporting** There has never been a better time to focus on the bigger picture of reporting and this section reminds you why corporate reporting matters. This section explains	**Approach** This will be mainly revision so only focus on the areas you are unfamiliar with. **Stop and think** Corporate reporting is not just a more advanced form of	This is unlikely to be examined in its entirety but the conceptual framework could always be tested.	**IQ1: Management decisions** A quick, straight forward question to get you thinking about the interaction of management accounting and external reporting.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	what corporate reporting is and how it differs from financial reporting and management accounting.	financial reporting. It is broader, going beyond the financial statements and covering auditors' reports and environmental reports.		This ties in with the importance of reporting when making decisions.
3	**The role and context of modern auditing** Clarification of what an audit is and why it is important.	**Approach** Check off in your head where you have met these points before. **Stop and think** Has anything changed since you last studied auditing?	There may be a need to explain why audit is necessary and how it works in broad terms so make sure you fully understand these points.	N/A
4	**Legal responsibilities of directors and auditors** There are some areas of legislation that you just need to know!	**Approach** Commit these to memory. **Stop and think** Can you differentiate between the various responsibilities of directors and auditors?	Be prepared to apply this knowledge if you are required to communicate any shortcomings in the auditor's report.	N/A
5	**International standards on auditing** Standards are there to guide the auditor and ensure best practice is maintained. This section also describes how the business world is currently in a state of considerable flux, with changes to the regulatory regime and the audit itself (also unchanged for now) mirrored by the generally volatile nature of the current global outlook.	**Approach** Make sure you have a good working knowledge of the regulations behind the audit. **Stop and think** Do you know what's currently happening to the regulation of the auditing profession?	Due to the significant amount of change in the profession (ironically, change is the only constant) you could definitely get a question on the current developments in the profession, so make sure you understand the various reports and their implications. Keep up to speed via ongoing research.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
6	**Audit quality management** Auditing is always facing a dilemma of commercial versus ethical aspects and quality is usually the victim when corners are cut to keep hold of clients. You need to know what sound quality is and what a firm needs to do to maintain it.	**Approach** There is a lot of content to remember – where will you be able to find this content in the exam if you need to know it? **Stop and think** Make sure you are familiar with the standards on audit quality. Note that these standards have been updated.	Exam questions could get you to either appraise the quality displayed by the auditor in a given scenario or recommend suitable policies and procedures. Quality management issues have generally been tested in Question 3 but may also arise in Question 1.	**IQ2: Addystone Fish** What are the issues here and how do they relate to the standards? **IQ3: Documentation (Revision)** As the title suggests, this should be revision from your earlier studies so use it as a good brainstorming activity. **IQ4: TrucksToGo Ltd** Spotting the issues here will not be a problem – you need to explain WHY and this may cause more of an issue.
7	**Laws and regulations** Although not required to be a legal expert, the auditor does need to understand enough to know when any kind of non-compliance could have an effect on the financial statements being audited.	**Approach** Review the content with the auditing standards. **Stop and think** Can you distinguish between the responsibilities of the directors and the auditor here?	Exam questions might ask you to consider the impact of non-compliance on the audit but you also need to be able to explain when (and how) you can disclose any non-compliance without the permission of the client (compare and contrast this with the responsibilities that are discussed in the various ethical standards in place).	N/A

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

Learning Topics

1 Using this Workbook

Section overview

- This section gives a brief outline of how this Workbook is structured and why.
- The key point is that the Corporate Reporting exam is integrated, so financial reporting and auditing must be studied together.

1.1 The importance of integration

The aim of the Corporate Reporting module is as follows:

"To enable students to apply technical knowledge, analytical techniques and professional skills to resolve compliance and business issues that arise in the context of the preparation and evaluation of corporate reports and from providing audit services.

Students will be required to use technical knowledge and professional judgement to identify, explain and evaluate alternatives and to determine the appropriate solutions to compliance issues, giving due consideration to the needs of clients and other stakeholders. The commercial context and impact of recommendations and ethical issues will also need to be considered in making such judgements."

It is clear from this that the **application** of technical knowledge (financial reporting, audit, assurance and ethics) is **integrated**, so it is appropriate that these areas are **studied together** where possible.

At earlier levels you will have tended to study subjects in isolation, but this is no longer appropriate at Advanced Level, and indeed in the real world.

Professional skills focus: Structuring problems and solutions

Although there will be a reasonably consistent structure to your exam, it is still important that you can identify the parts that relate to auditing and those that relate to corporate reporting. Start considering how you will address these two disciplines in the same question.

1.2 How this Workbook is structured

1.2.1 Principles and regulations in financial reporting and auditing

This chapter and Chapter 2 cover the role and context of auditing and general principles of corporate reporting. This will largely be revision, but some of the regulations and standards will have changed since your earlier studies. The aim is to set the more specialised topics, and the integrated areas, in context.

1.2.2 Ethics and governance

Chapters 3 and 4 look at ethics and corporate governance. These topics underpin corporate reporting and auditing, and ethical matters come up in all kinds of contexts, both in the exam and in your working life as a professional. It is necessary to cover all relevant audit principles first because, in the later chapters on reporting performance and position, the principles are applied in audit focus sections.

1.2.3 The modern audit process

In Chapters 5 to 8 we revise and build on the auditing material covered at the Professional Level. This will put you in the position where you can consider the audit and assurance issues in relation to specific financial reporting topics, the aim being to study financial reporting and auditing together.

1.2.4 Financial reporting chapters

Chapters 9 to 22 deal with the financial reporting and auditing of specific areas:

1.2.4.1 Reporting performance

1.2.4.2 Assets and liabilities

1.2.4.3 Financing

1.2.4.4 Remuneration

1.2.4.5 Business combinations

1.2.4.6 Reporting foreign activities

1.2.4.7 Taxation

The financial reporting aspects are covered first, followed by an 'audit focus' section for each topic, looking at the specific audit issues arising from the financial reporting of that area, generally with examples and/or questions. For example, the chapter on share-based payment has at the end a section on auditing share-based payment.

Audit focus sections may in turn be split into general and specific sections. For example, Chapter 9 Reporting Financial Performance covers general issues, including creative accounting, for which auditors need to be alert. However, a more specific section will refer back to standards and the auditing of, for example, related party disclosures, which has its own designated ISA and particular risks. These sections allow scope for integrated examples or questions covering both corporate reporting and auditing elements.

Finally the Self-test questions for each chapter will contain integrated questions where relevant.

1.2.5 Financial analysis chapters

Once you have a thorough understanding of the financial reporting and related auditing issues, including analytical procedures, you will be in a position to analyse and interpret the financial statements. You will not have studied financial analysis before, so Chapter 23 provides an introduction, and Chapter 24 deals with more advanced topics.

1.2.6 Assurance and other related services

The Workbook concludes with coverage of assurance and related services, which can more easily be understood in the context of the knowledge you have gained in the earlier chapters.

2 The importance of corporate reporting



Section overview

- Corporate reporting embraces financial reporting, and both are different from management accounting.
- Financial statements are used to make economic decisions by a wide range of users.
- All users require information regarding:
  - financial position

- financial performance
- changes in financial position

increasingly, users also require information regarding sustainability/ESG performance.

2.1 What is corporate reporting?

2.1.1 Financial reporting

Financial reporting is the process of identifying, measuring and communicating economic information to others so that they may make decisions on the basis of that information and assess the stewardship of the entity's management.

Financial reporting involves:

- recording transactions undertaken by a business entity;
- grouping similar transactions together which are appropriate to the business; and
- presenting periodic results.

Financial reporting focuses on the preparation of published financial information. Typically, this information is made available annually or half-yearly (sometimes quarterly) and is presented in formats laid down or approved by governments in each national jurisdiction.

2.1.2 Corporate reporting

Corporate reporting is a broader term than financial reporting, although the two are often used interchangeably. As will be evident from this Workbook and the exam it prepares you for, **corporate reporting covers reports other than financial statements,** in particular auditors' reports, but also assurance, internal audit and environmental reports. The definition of corporate reporting varies and could include integrated reporting, corporate governance, corporate social responsibility and other narrative reporting such as the Management Commentary.

In the context of professional accountancy examinations, a corporate reporting exam is generally higher level than a financial reporting exam. In the context of your examination, Corporate Reporting is a more appropriate title because the exam is not just on financial reporting.

General principles relating to corporate reporting are set out in the IASB *Conceptual Framework for Financial Reporting* (Conceptual Framework), which is covered in Chapter 2, together with regulatory matters and selected IFRS® Standards that set out principles and frameworks.

2.1.3 Management accounting

By contrast, **management accounting** or reporting is **internal reporting** for the use of the management of a business itself. Internal management information can be tailored to management's own needs and provided in whatever detail and at whatever frequency (eg, continuous real-time information) management decides is best suited to the needs of their business.

The distinction is not so clear-cut, in that management decisions may be affected by external reporting issues, for example, if a director's bonus depends on profit. These matters are covered in Chapter 24 on the more advanced aspects of financial analysis.

Interactive question 1: Management decisions

Can you think of another example of a way in which management decisions may be influenced by external reporting requirements?

See **Answer** at the end of this chapter.

2.2 Entity

Most accounting requirements are written with a view to use by any type of accounting entity, including companies and other forms of organisation, such as a partnership. In this Workbook, the term 'company' is often used, because the main focus of the syllabus is on the accounts of companies and groups of companies, but IFRS generally refer to entities.

2.3 Financial statements

The principal means of providing financial information to external users is the annual financial statements. Financial statements provide a summary of the performance of an entity over a particular period and of its position at the end of that period.

A complete set of financial statements prepared under IFRS comprises the following:

- The statement of financial position
- The statement of profit or loss and other comprehensive income or two separate statements being the statement of profit or loss and the statement that presents the other comprehensive income (statements of financial performance)
- The statement of changes in equity (another statement of financial performance)
- The statement of cash flows
- Notes to the financial statements

The notes to the financial statements include the following:

- Accounting policies ie, the specific principles, conventions, rules and practices applied in order to reflect the effects of transactions and other events in the financial statements
- Detailed financial and narrative information supporting the information in the primary financial statements
- Other information not reflected in the financial statements, but which is important to users in making their assessments (an example of this would be the disclosures relating to contingent assets or liabilities)

The individual elements that are included in the financial statements are covered in detail later in this chapter.

2.4 Requirement to produce financial statements

Limited liability companies are **required by law** to prepare and publish financial statements annually. The form and content may be regulated primarily by national legislation, and in most cases must also comply with Financial Reporting Standards.

In Bangladesh, **all companies** must comply with the provisions of the **Companies Act 1994 (Amended) (CA1994).** The key impact of this is as follows:

- Every registered company is required to prepare **financial statements** for each financial year which give a **true and fair view in accordance with the International Financial Reporting Standards (IFRSs).**

2.5 Financial reporting standards

Company financial statements must also comply with relevant reporting standards. In Bangladesh these are as follows.

- **IFRS**
- The Financial Reporting Act, 2015 requires Public Interest Entities (PIE) to prepare financial statements in accordance with the IFRSs.

> **Important note**
>
> These learning materials assume the preparation of financial statements in accordance with IFRS.

2.6 Fair presentation

IAS 1, *Presentation of Financial Statements* requires financial statements to 'present fairly' the financial position and performance of an entity.

'Present fairly' is explained as representing faithfully the effects of transactions. In general terms this will be the case if IFRS are adhered to.

IAS 1 states that **departures** from international standards are only allowed:

- in extremely rare cases; and
- where compliance with IFRS would be so misleading as to conflict with the objectives of financial statements as set out in the *Conceptual Framework*, that is to provide information about financial position, performance and changes in financial position that is useful to a wide range of users.

2.7 Judgements and financial statements

Although IFRS narrow down the range of acceptable alternative accounting treatments, there are still many areas which are left to the discretion of the directors of the company. On the whole, the concept of faithful representation should result in transactions being 'presented fairly'. However, commercial and financial considerations may result in pressure being brought to bear to account for and report transactions in accordance with their strict legal form rather than their true substance. This can raise ethical questions for a professional accountant.



Professional skills focus: Applying judgement

In the exam, as in real life, you will come across a situation where the directors have applied their own judgement about a financial reporting treatment in a way that may be influenced by self-interest, for example showing a higher profit in order to receive a higher bonus. You will need to challenge this judgement by applying your own judgement and knowledge. Questions may not always have one definitive answer. Make sure you are able to consider the best outcome for the situation as it is presented.

2.8 Users of financial statements

The form and content of financial statements must be influenced by the use to which they are put. Financial statements are used to make economic decisions, such as:

- to decide when to **buy, hold or sell an equity investment**
- to assess the **stewardship or accountability of management**
- to assess an entity's ability to pay and **provide other benefits to employees**

- to assess **security** for amounts lent to the entity
- to determine **taxation policies**
- to determine **distributable profits and dividends**
- to prepare and use **national income statistics**
- to **regulate** the activities of entities

Much of the information needed for these different decisions is in fact common to them all. Financial statements aimed at meeting these common needs of a wide range of users are known as '**general purpose**' financial statements.

We can identify the following **users** of financial statements:

- Present and potential investors
- Employees
- Lenders
- Suppliers and other trade payables
- Customers
- Governments and their agencies
- The public

Their specific information needs and how these needs may be addressed are covered in Chapter 23, the first of two chapters on financial analysis. In most cases the users will need to analyse the financial statements in order to obtain the information they need. This might include the calculation of accounting ratios.

2.9 Objective of financial statements

The objective of financial statements is to provide information about the reporting entity's **financial position and financial performance that is useful to a wide range of users in making economic decisions**.

This objective can usually be met by focusing exclusively on the information needs of present and potential investors. This is because much of the financial information that is relevant to investors will also be relevant to other users.

2.10 Accountability of management

Management also has a **stewardship role**, in that it is accountable for the safekeeping of the entity's resources and for their proper, efficient and profitable use. Providers of risk capital are interested in information that helps them to assess how effectively management has fulfilled this role, but again this assessment is made only as the basis for economic decisions, such as those about investments and the reappointment/replacement of management.

It is also the case that in a smaller entity the owner and manager can be the same individual.

Financial reporting helps management to meet its need to be accountable to shareholders, and also to other stakeholders (eg, employees or lenders), by providing information that is useful to the users in making **economic decisions**.

However, financial statements cannot provide the complete set of information required for assessing the stewardship of management.

2.11 Financial position, performance and changes in financial position

All economic decisions are based on an evaluation of an entity's ability to generate cash and of the timing and certainty of its generation. Information about the entity's financial position, performance and changes in financial position provides the foundation on which to base such decisions.

2.11.1 Financial position

An entity's financial position covers:

- the **economic resources** it controls;
- its **financial structure** (ie, debt and share finance);
- its **liquidity and solvency**; and
- its **capacity to adapt to changes** in the environment in which it operates.

Investors require information on financial position because it helps in assessing:

- the entity's ability to **generate cash in the future**;
- how **future cash flows will be distributed** among those with an interest in, or claims on, the entity;
- requirements for **future finance** and ability to raise that finance; and
- the ability to meet **financial commitments** as they fall due.

Information about financial position is primarily provided in a **statement of financial position**.

2.11.2 Financial performance

The profit and the comprehensive income earned in a period are used as the key measures of an entity's financial performance. Information about performance and variability of performance is useful in:

- assessing **potential changes in the entity's economic resources** in the future;
- **predicting the entity's capacity to generate cash** from its existing resource base; and
- **forming judgements** about the effectiveness with which additional resources might be employed.

Information on financial performance is provided by:

- the **statement of profit or loss and other comprehensive income**
- the **statement of changes in equity**

2.11.3 Changes in financial position

Changes in financial position can be analysed under the headings of **investing, financing** and **operating activities** and are presented in a **statement of cash flows**.

Cash flow information is largely free from the more **judgemental allocation and measurement issues** (ie, in which period to include things and at what amount) that arise when items are included in the statement of financial position or performance statements. For example, depreciation of non-current assets involves judgement and estimation as to the period over which to charge depreciation. Cash flow information excludes non-cash items, such as depreciation.

Cash flow information is therefore seen as being **factual in nature**, and hence more reliable than other sources of information.

Information on the generation and use of cash is useful in evaluating the entity's ability to generate cash and its need to use what is generated.

These issues are treated more formally in the *Conceptual Framework,* discussed in Chapter 2.

3 The role and context of modern auditing



Section overview

- The audit provides assurance to shareholders.
- The audit enables the auditor to form an opinion as to whether the financial statements give a true and fair view.
- An expectation gap may exist between what stakeholders expect the audit to achieve and what it is actually designed to achieve. Despite recent efforts to narrow this gap, it remains wider than it should be due to a number of factors.
- You should be familiar with the audit process from your earlier studies.
- All companies, except those meeting exemption criteria, must have an annual external audit.
- The Companies Act sets down the responsibilities of the directors and auditors.

3.1 Purpose of the audit

The audit provides a mechanism for shareholders to help ensure that directors are acting in the company's best interests and therefore plays a fundamental **stewardship role**.

ISA 200 *Overall Objectives of The Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing* sets out the purpose of an audit as follows:

"The purpose of an audit is to enhance the degree of confidence of intended users in the financial statements. This is achieved by the expression of an opinion by the auditor on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework. (ISA 200: para.3)"

3.2 Part of the economic infrastructure

The audit is also a vital function of economic activity. For that economic activity to continue to flourish there has to be trust.

While the audit has a crucial role to play in providing assurance to shareholders, it cannot be seen in isolation. For example, the directors of the company have a role to play in the preparation of financial statements that show a true and fair view. The audit has to be seen in the context of a range of interwoven laws, regulations and guidance, all of which promote good corporate governance. (We will look at corporate governance in detail in Chapter 4.)

3.3 The audit opinion and the expectation gap

The primary role of the auditor is to perform an independent examination of the financial statements and to form an opinion. You should be very familiar with this concept from your earlier studies. The audit opinion will provide **reasonable assurance** (a high but not absolute level of assurance) that the financial statements give a true and fair view; it does not provide a certificate that they are completely accurate and free from every error or fraud, no matter how small. ISA 200 explains that absolute assurance is not possible due to inherent limitations of the audit, including those resulting from the following factors:

- The nature of financial reporting; many items involve judgement and assessments of uncertainties
- The use of selective testing

- Inherent limitations of internal control
- The fact that most evidence is persuasive rather than conclusive
- The impracticability of examining all items within a class of transactions or account balance
- The possibility of collusion or misrepresentation for fraudulent purposes
- The fact that the work undertaken by the auditor is permeated by judgement

In some instances an '**expectation gap**' can lead to difficulties arising from the difference between what shareholders and other stakeholders expect an audit to achieve and what it is actually designed to achieve. The public increasingly expect the audit to address a number of issues (such as whether that company will continue trading, or if it is a good investment) but in practical terms, the auditor cannot always make these judgements beyond the requirements of the accounting framework.
Recent changes to the auditor's report have attempted to make such communication more meaningful (such as including details of key audit matters) but the continuing trend of corporate casualties such as Carillion has only served to make the public sceptical of the auditor's work, and the expectation gap remains as wide as ever.

The key judgement made by the auditor is whether the financial statements give a true and fair view. While there is no legal definition for these terms, 'true' and 'fair' are normally taken to mean the following:



Definition

True: The information in the financial statements is not false and conforms to reality.

In practical terms this means that the information is presented in accordance with **accounting standards and law**. The financial statements have been correctly **extracted from the underlying records** and those records reflect the **actual transactions** which took place.



Definition

Fair: The financial statements reflect the commercial substance of the company's underlying transactions and the information is free from bias.

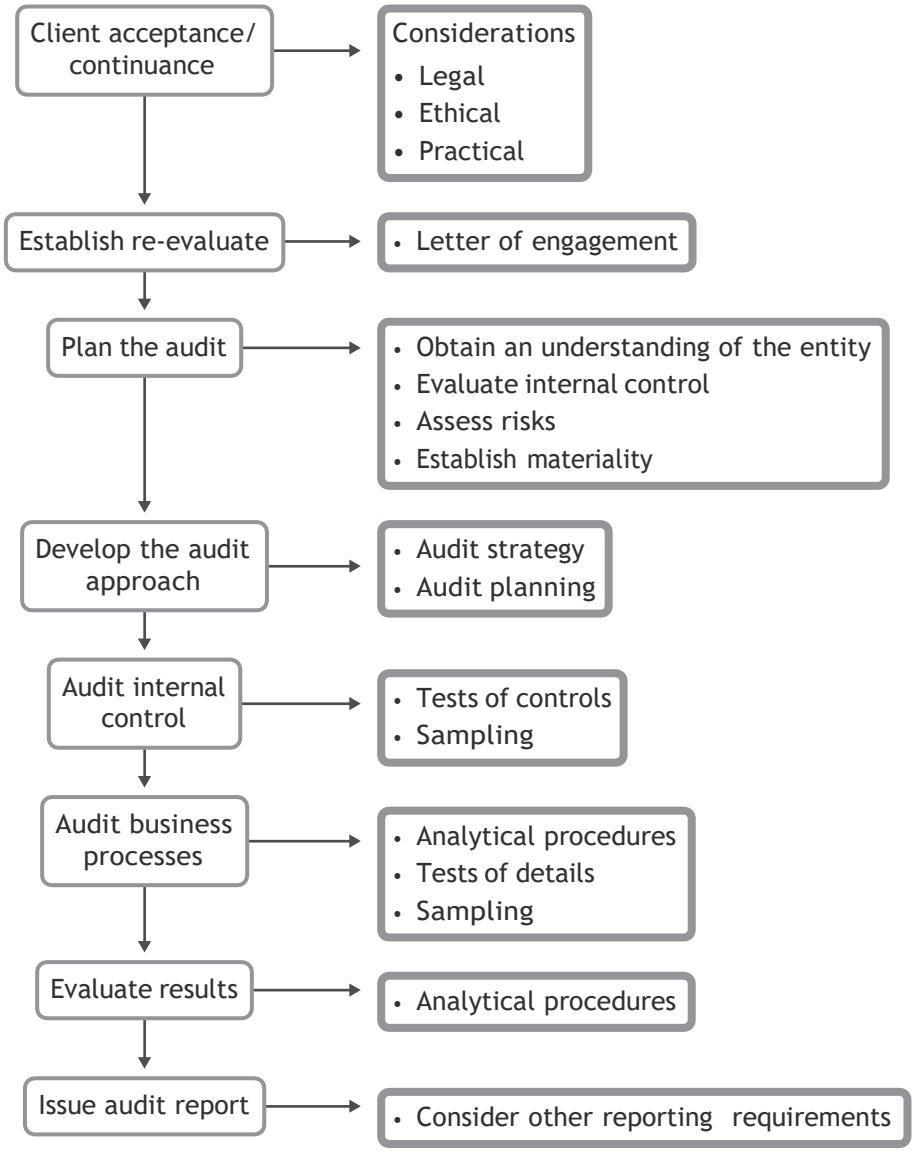
You will have come across examples of the application of **substance over form** in your financial reporting studies.

The problem with making judgements such as these is that they can be called into question, particularly where others have the benefit of hindsight. The major defence that the auditor has in this situation is to show that the work was performed with **due skill and care** and that the judgements made about truth and fairness were reasonable based on the evidence available at the time. We will look at quality management in section 6 of this chapter.

3.4 The audit process

You will have covered the audit process in your earlier studies. The following diagram summarises the key points you should be familiar with. Chapters 5 to 8 of this Workbook cover the audit in more detail.

Figure 1.1: The audit process



Note: ISA 200 requires that the audit should be planned and performed with an attitude of professional scepticism. Professional scepticism is covered in detail in Chapter 5.

Professional skills focus: Assimilating and using information

What stage are you at within the audit process? Remember what you have been told in the scenario (and therefore, by definition, what you still do not know).

3.5 Statutory audit requirement

All Bangladeshi companies must have an audit.

The basic principle is that all companies registered in Bangladesh should be audited.

4 Legal responsibilities of directors and auditors

Section overview

- The Companies Act 1994 contains many responsibilities for both directors and auditors.
- Directors must consider their role carefully, being mindful of the impact that their actions could have on many other stakeholders.
- As well as the financial statements and trading issues, there are also strict rules governing the way that directors interact financially with the company.
- Auditors need to form an independent opinion on the truth and fairness of the financial statements, as well as consider their preparation including any other information that the Companies Act requires.

4.1 Companies Act 1994

The legal responsibilities regarding directors and auditors are currently contained in the Companies Act 1994 (CA 1994). However, the corporate governance guidelines of Bangladesh Securities and Exchange Commission, the issue of capital by the companies listed with any stock exchange in Bangladesh shall be subject to certain further conditions in order to enhance corporate governance in the interest of investors and the capital market.

4.2 Directors' responsibilities

These duties as per CA 1994 are as follows:

(1) There shall be attached to every balance sheet laid before a company in general meeting a report by its board of directors, with respect to-

a) the state of the company's affairs;

b) the amount, if any, which the board proposes to carry to any reserve in such balance sheet;

c) the amount, if any, which the board recommends should be paid by way of dividend;

d) material changes and commitments, if any, affecting the financial position of the company which have occurred between the end of the financial year of the company to which the balance sheet related and the date of the report.

(2) The board's report shall, so far as is material for the appreciation of the state of company's affairs by its members, deal with any changes which have occurred during the financial years:

a) in the nature of the company's business;

b) in the company's subsidiaries or in the nature of the business carried on by them; and

c) generally in the classes of business in which the company has an interest.

(3) The board shall also be bound to give the fullest information and explanations in its report aforesaid on every reservation, qualification or adverse remark contained in the auditor's report.

(4) The board report and any addendum thereto shall be signed by its chairman if the chairman is authorised in that behalf by the board, and where the chairman is not so authorised and, shall be signed by such number of directors as are required to sign the balance sheet and the profit and loss account or the income and expenditure account, of the company by virtue of sub-section (1) and (2) of section 189.

(5) If any person, being a director of a company, fails to take all reasonable steps to comply with the provision of sub-section (1) to (3) or being the chairman, signs the boards report

otherwise than in conformity with the provisions of sub-section (4), he shall, in respect of each offence, be liable to fine which may extend to five thousand aka

These duties as per the corporate governance guideline of Bangladesh Securities and Exchange Commission re as follows:

(i) Industry outlook and possible future developments in the industry.

(ii) Segment-wise or product-wise performance.

(iii) Risks and concerns.

(iv) A discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin.

(v) Discussion on continuity of any Extra-Ordinary gain or loss.

(vi) Basis for related party transactions- a statement of all related party transactions should be disclosed in the annual report.

(vii) Utilization of proceeds from public issues, rights issues and/or through any others instruments.

(viii) An explanation if the financial results deteriorate after the company goes for Initial Public Offering (IPO), Repeat Public Offering (RPO), Rights Offer, Direct Listing, etc.

(ix) If significant variance occurs between Quarterly Financial performance and Annual Financial Statements the management shall explain about the variance on their Annual Report.

(x) Remuneration to directors including independent directors.

(xi) The financial statements prepared by the management of the issuer company present fairly its state of affairs, the result of its operations, cash flows and changes in equity.

(xii) Proper books of account of the issuer company have been maintained.

(xiii) Appropriate accounting policies have been consistently applied in preparation of the financial statements and that the accounting estimates are based on reasonable and prudent judgment.

(xiv) International Accounting Standards (IAS)/International Financial Reporting Standards (IFRS), as applicable in Bangladesh, have been followed in preparation of the financial statements and any departure there-from has been adequately disclosed.

(xv) The system of internal control is sound in design and has been effectively implemented and monitored.

(xvi) There are no significant doubts upon the issuer company's ability to continue as a going concern. If the issuer company is not considered to be a going concern, the fact along with reasons thereof should be disclosed.

(xvii) Significant deviations from the last year's operating results of the issuer company shall be highlighted and the reasons thereof should be explained.

(xviii) Key operating and financial data of at least preceding 5 (five) years shall be summarized.

(xix) If the issuer company has not declared dividend (cash or stock) for the year, the reasons thereof shall be given.

(xx) The number of Board meetings held during the year and attendance by each director shall be disclosed.

(xxi) The pattern of shareholding shall be reported to disclose the aggregate number of shares (along with name wise details where stated below) held by:-

a) Parent/Subsidiary/Associated Companies and other related parties (name wise details);

b) Directors, Chief Executive Officer, Company Secretary, Chief Financial Officer, Head of Internal Audit and their spouses and minor children (name wise details);

c) Executives;

d) Shareholders holding ten percent (10%) or more voting interest in the company (name wise details).

Explanation: For the purpose of this clause, the expression "executive" means top 5 (five) salaried employees of the company, other than the Directors, Chief Executive Officer, Company Secretary, Chief Financial Officer and Head of Internal Audit.

(xxii) In case of the appointment/re-appointment of a director the company shall disclose the following information to the shareholders:

a) a brief resume of the director;

b) nature of his/her expertise in specific functional areas;

c) names of companies in which the person also holds the directorship and the membership of committees of the board.

4.3 Loan to Director

(1) No company, hereinafter in this section referred to as the lending company, shall make any loan or give any guarantee or provide any security in connection with a loan made by a third party to- (a) any director of the lending company (b) any firm in which any director of the lending company is a partner; (c) any private company of which any director of the lending company is a director or member; or (d) any public company, the managing agent manager or director where of is accustomed to act in accordance with the directions or instruction of any director of the lending company:

Provided that nothing in this section shall apply to the making of a loan or giving of any guarantee or providing any security by a lending company. if-- (i) such company is a banking company or a private company not being a subsidiary of a public company, or if such company as a holding company makes the loan or gives the guarantee or provide the security to its subsidiary; and (ii) the loan is sanctioned by the board of directors of any company and approved by the general meeting and, in the balance sheet, there is a specific mention of the loan, guarantee or security, as the case may be:

Provided further that, in no case the total amount of the loan shall exceed 50% of the paid up value of the shares held by such director in his own name

(2) In the event of any contravention of sub-section (1) every person who is a party to such contravention including in particular any person to whom a loan is made or on whose behalf a guarantee is given to or security provided shall be punishable with the fine which extend to five thousand taka or simple imprisonment for six months in lieu of fine and shall be liable jointly and severally to the lending company for the repayment of such loan or for making good any sum which the lending company may be called up to pay under the guarantee given or security provided by the lending company.

(3) this section shall apply to any transaction represented by a book debt which was from its inception in the nature of a loan

4.4 Auditors' responsibilities

Under the Companies Act 1994, it is the external auditor's responsibility to:

Form an independent opinion on the truth and fairness of the financial statements Confirm that the financial statements have been properly prepared in accordance with the relevant financial reporting framework and the Companies Act 1994

As per section 213 of Companies Act 1994 followings are the power and duties of auditors:

(1) Every auditor of a company shall have a right of access at all times to the books and accounts and vouchers of the company, whether kept at the head office of the company or elsewhere and shall be entitled to require from the officers of the company such information and explanation as the auditor may think necessary for the performance of his duties as auditor.

(2) Without prejudice to the provisions of sub-section (1), the auditor shall, in particular inquire into following namely:

a) whether loans and advances made by the company on the basis of security have been properly secured and whether the terms on which they have been made are not prejudicial to the interests of the company or its members:

b) whether transactions of the company which are represented merely as book-entries are prejudicial to the interests of the company;

c) where the company is not an investment company or a banking company, whether so much of the assets of the company as consist of shares, debentures and other securities, have been sold at a price less than at which they were purchased by the company;

d) whether loans and advances made by the company have been shown as deposits;

e) whether personal expenses have been charged to revenue account;

f) where it is stated in the books and paper of the company that any shares have been allotted for cash, whether cash has actually been received in respect of such allotment, and if no cash has actually been so received, whether the position as stated in the account books and the balance sheet is correct, regular and not misleading.

(3) The auditor shall make a report to be presented in the annual general meeting of the company on the accounts, examined by him, and on every balance sheet and profit and loss account and on every other document declared by CA 1994 to be part of or annexed to the balance sheet or profit and loss accounts which are laid before the company in general meeting during his tenure of office and the report shall state whether, in his opinion and to the best of his information and according to the explanation given to him, the said accounts give the information required by the CA 1994 in the manner so required and give a true and fair view-

a) in the case of the balance sheet, of the state of the company's affairs as at the end of its financial year;

b) in the case of the profit and loss account, of the profit or loss for its financial year.

(4) The auditors' report shall also state-

a) whether he has obtained all the information and explanation which to the best of his knowledge and belief were necessary for the purposes of his audit;

b) whether, in his opinion, proper books of account as required by law have been kept by the company so far as appears from his examination of those books and proper returns adequate for the purposes of his audit have been received from branches not visited by him;

c) whether the company's balance sheet and profit and loss account dealt with by the report are in agreement with the books of account and returns.

(5) There any of the matters referred to in clauses(a) and (b) of sub- section (3) or in clauses (a), (b) and (c) of sub-section (4) are answered in the negative or with a qualification, the auditors' report shall state the reason for the answer.

(6) The Government may, be general or special order, direct that in the case of such class or description of companies as may be specified in the order, the auditors' report shall also include a statement on such matters as may be specified therein.

(7) The accounts of a company shall not be deemed as not having been and the auditors' report shall not state that those accounts have not been, properly drawn up on the ground merely that the company has not disclosed certain matters, of-

a) those matters are such as the company is not required to disclose by virtue of any provision contained in the CA 1994 or any other law for the time being in force; and

b) those provisions are specified in the balance sheet and loss account of the company.

The auditor also has a duty towards other information in documents containing audited financial statements in accordance with ISA 720. The Auditor's Responsibilities Relating to Other Information in Documents Containing Audited Financial Statements.

5 International standards on auditing

Section overview

- The FRC is responsible for Bangladesh auditing standards, known as ISA.
- The International Auditing and Assurance Standards Board (IAASB) issues ISAs.

The FRC adopts and revises ethical standards and auditing standards in response to current developments Ethical standards and guidance are also issued by the ICAB.

5.1.1 Codes and Standards Committee

5.1.2 Current issues from UK market

Despite the UK FRC's mandate to oversee corporate reporting and auditing in the UK, corporate scandals have continued to occur. The most recent significant collapse relates to UK construction company Carillion plc, which went into liquidation in January 2018. It owed over £1 billion to various stakeholders, despite its last audited financial statements indicating no sign of its impending demise. In response to widespread allegations that financial regulation has not improved almost 20 years on from Enron, the UK Government decided to review the UKFRC and in December 2018, the Kingman review of the UK FRC was published.

In his review, Sir John Kingman concluded that the UK FRC was no longer fit for purpose and could not deliver the regulation required to ensure effective corporate reporting, governance and audit. He recommended the replacement of the UK FRC with a new, stronger body (the Audit, Reporting and Governance Authority or ARGA) that would deliver a service that is focused on "consumers of financial information, not producers" (Kingman, 2018).

In conjunction with investigations by the UK Competition and Markets Authority (CMA) into the current state of the UK audit market, the UK Government also commissioned former Chair of the London Stock Exchange, Sir Donald Brydon, to conduct a review of the quality and effectiveness of UK audits. On appointment, Sir Donald was quoted as saying that: "Most people will never read an auditor's opinion on a company's accounts. But tens of millions of people depend on robust and high-quality audits" (Doherty, 2019). The following table shows an overview of the recommendations made by the Brydon Review which carried the title 'Assess, assure and inform - improving audit quality and effectiveness' (Brydon, 2019).

Audit
There should be a new definition of the purpose of an audit: to provide confidence in a company, its officers and its financial statements
Audit should be a separate profession, not seen as part of the accounting profession
Professional judgement should be redefined to include suspicion as well as scepticism
The auditor's report
The term 'true and fair' should no longer be used as it ignores the reliance on estimates and the use of materiality: the term 'present fairly in all material respects' should now only be used
There should be greater continuity between successive reports and greater emphasis given to estimates, other information and any external negative signals

Directors
There should be a rolling three-year audit programme presented by directors to shareholders
A Resilience Statement should be used to report the following: • Short term - similar to the current going concern assessment • Medium term - similar to the existing viability statement • Long term - strategic issues, such as climate change impacts
A Public Interest Statement should report how companies serve the public interest
Stakeholders
Greater shareholder involvement in the audit programme
The audit should more actively consider the role of stakeholders
Greater responsibilities for directors to consult with employees when preparing the financial statements
Auditor to be considered a suitable individual for whistle-blowers to approach
Anti-fraud measures
A directors' statement on the work they have done to prevent and detect fraud
Assurance on this statement by the auditors, including a review of relevant internal controls
Greater use of forensic and fraud training for auditors
Auditor Fraud Panel to consider whether enough has been done to combat fraud
Other steps
Attestation by CEO and CFO on internal controls for financial reporting (similar to the US SOX legislation)
Controls on capital maintenance and dividend levels
Greater transparency by auditors on fees, profitability of engagements, time spent and the circumstances leading to no longer being employed as auditor
Greater use of technology within audits
More responsible use of liability limitation agreements (LLAs) when considering auditor liability and directors' responsibilities
Greater scrutiny of data used in executive remuneration
Reinforcement of the Kingman recommendations on ARGA (such as defining 'high quality audit', a 'Plain English' guide to auditing available online, publicising good audits as well as criticism of bad ones and more formal mechanisms for shareholders and stakeholders to raise concerns.

(Source: Brydon, D. (2019) Assess, assure and inform: Improving audit quality and effectiveness. [Online] Available at: https://assets.publishing.service.gov.uk/government/uploads/system/uploads/attachment_data/file/ 852960/brydon-review-final-report.pdf [Accessed 27 May 2022])

In March 2021, the Department for Business, Energy and Industrial Strategy (BEIS) issued a white paper called *Restoring trust in audit and corporate governance: proposals on reforms* seeking views from stakeholders on the CMA, Brydon and Kingman proposals in relation to audit, financial reporting, governance and regulation with the aim of improving the overall regulatory landscape for all these essential areas. Inevitably, the structure and operation of the audit market would also be addressed by this process.

Consultation on the BEIS white paper ran from March to July 2021. In March 2022, the FRC published their three-year plan which indicated that ARGA would be fully operational by 2025. This was followed soon after by confirmation from the UK Government that ARGA (now fully funded by a mandatory levy) would play a key part in its overall regulatory framework for audit, reporting and governance that would reduce the risks of further damaging corporate collapses like Carillion and BHS – some of the key changes planned are as follows:

- greater control over auditors, including a ban on failing audit firms from being able to review the financial statements of large companies and the separation of their audit and non-audit functions;
- minimising the reporting burdens for many companies, especially those at the smaller end, while allowing more companies to fall under the scope and protection of ARGA;
- greater scrutiny over directors as well as the power to fine them for any lack of transparency over a company's performance and prospects;
- highlighting the need for clawbacks from directors and shareholders when companies are in financial difficulty and cannot afford to pay out bonuses and dividends; and
- greater representation of audit firms from outside of the Big Four for FTSE 350 listed companies (plus a market share cap for auditors that the Business Secretary can impose if required).

Clearly there is **significant change ahead**: for the purposes of your exam, while you can assume that the regulator is still the FRC, it is expected that you will also have knowledge of these ongoing developments.

There is also an ongoing debate about the way that going concern should be assessed with the ongoing effects of the COVID-19 pandemic and other geo-political influences in mind to avoid future losses that could have been foreseen with clearer levels of disclosure about the risk of corporate failure. This will no doubt require greater input from auditors, directors and audit committees as well as guidance from regulators and governments to reach a solution that protects all stakeholders.

One of the key challenges facing the UK FRC as the regulator of financial reporting and governance in the UK is striking the right balance between the need to impose controls on businesses in order to protect stakeholders and the need to support how businesses thrive and generate economic benefits to those same stakeholders. This is illustrated by the way that going concern is currently under scrutiny – too much scepticism of an entity's prospects and it is destined to fail, but insufficient scrutiny of possible red flags and we could have another Carillion on our hands. You will cover the way that both audits and reviews of financial information are currently being influenced by this ongoing debate in subsequent chapters.

Given the impact of global turbulence on the UK and its partners, uncertainty for both preparers and users of financial statements continues, although it still seems certain that the FRC and its successor will face radical change.

5.1 Interaction between FRC and IAASB Standards

The IAASB was set up by the International Federation of Accountants (IFAC), which nominates a majority of its members – others are nominated by the Forum of Firms – to issue professional standards (such as those related to audits, reviews, related services and quality management). ISAs are used for the audit of **historical financial information**.

In **exceptional circumstances**, an auditor may judge it necessary to **depart from an ISA** in order to more effectively achieve the objective of an audit. When such a situation arises, the auditor should be prepared to justify the departure. In Bangladesh ISAs are adopted by the FRC.

The system for creating an ISA (UK) currently works as follows:

5.2 IAASB Projects

The IAASB regularly makes improvements to its standards as a result of a number of ongoing projects.

For example, in 2015, a series of new and revised standards were issued on auditor reporting. The most notable change was the introduction of ISA 701, *Communicating Key Audit Matters in the Independent Auditor's Report* which requires auditors of listed companies to communicate Key Audit Matters.

More recently, changes have been made in relation to the auditor's responsibilities for other information accompanying financial statements and the audit of accounting estimates and related disclosures.

At the time of writing the IAASB is conducting projects that consider the identification and assessment of risks of material misstatement, group auditing, and audit evidence.



Definition

Public interest entity:

The definition of a Public Interest Entity (PIE) in Bangla is outlined in section 2(8) of the Financial Reporting Act, 2015 (referred to as the "Act"). Additionally, the FRC has established the criteria for PIE through four official Gazette Notifications. It is important to note that an official English translation of the PIE definition by the FRC has not been released yet. As a result, the following represents an unofficial English translation of the definition of PIE in Bangladesh, which is based on the provisions of the Act and the Gazette Notifications issued by the FRC.

Public Interest Entity means –

A. An entity which shall meet any one of the following criteria, namely:

1. Bank-Company as defined in the Banking-Companies Act, 1991;
2. any entity that is involved in issuing securities and that is required to file a report with the Securities and Exchange Commission in accordance with the Bangladesh Securities and Exchange Commission Act of 1993;
3. Financial Institution as defined in the Financial Institutions Act, 1993;
4. Microfinance Institution as defined in the Microcredit Regulatory Authority Act, 2006;
5. Insurer as defined in the Insurance Act, 2010;
6. any entity that has surpassed the threshold of Tk500 million in annual revenue during the preceding fiscal year, as determined by the Council through an official Gazette notification (as per SRO-34 PIE, based on revenue).
7. any entity that meets either of the following two conditions at the conclusion of the prior fiscal year, provided that:
   a) it appoints at least 50 individuals as specified in the Rule 2023 issued in this regard.
   b) its total assets surpass the Tk300 million threshold established by the Council through an official Gazette notification (as per SRO-35 PIE based on total assets) and
   c) the total liability, excluding shareholder equity, goes beyond the Tk100 million limit determined by the Council through an official Gazette notification (as per SRO-36 PIE based on liability).

B. The following institutions fulfilling the criteria mentioned in (A) above shall also be included, namely:

8. state-owned companies or commercial entities;
9. statutory authority;
10. a non-governmental organization conducting voluntary activities in the private sector; and
11. any other similar organization or institution;

Following recent developments in ethical standards (see Chapter 3) the term other entity of public interest (OEPI) has emerged. While still subject to interpretation, the term essentially refers to entities which do not meet the definition of a public interest entity but which are still considered to have public interest aspects (such as a pension fund).

5.3 The global outlook

Every generation will feel that they are living in the most interesting of times, but as we navigate the third decade of the 21st century, the global outlook is becoming increasingly uncertain and volatile, not least due to the COVID-19 pandemic and various wars. For example:

Political • The rise of populist, nationalist politics and a push against the status quo (such as the rise of far-right politics in certain countries) • Greater calls for independence and self-determination	**Economic** • A global realignment following the financial crash of 2008, which has stifled growth, eroded confidence and encouraged trade wars • Stagnation on global efforts to close the gap between rich and poor leading to social unrest
Social • The increasing impact of climate change and the need to respond effectively regardless of the costs • Shifting demographics (eg, the rise of the #MeToo movement) highlighting the importance of diversity	**Technological** • A shift towards a more digital age, with the associated disruption to traditional industries (including accountancy) • The adoption of new technologies (eg, big data, blockchain and artificial intelligence) and the opportunities they create

What does this mean for accountants? The issues presented here paint a challenging picture, but the profession has always been able to respond to the world around it, so demonstrating skills such as awareness and adaptability will be crucial for the survival of the profession.



Professional skills focus: Concluding, recommending and communicating

You may be asked to discuss the ongoing developments in both corporate reporting and auditing. You should ensure you have not only studied these developments but that you can also communicate your thoughts in an effective and efficient manner.

6 Audit quality management



Section overview

- Quality management procedures should be adopted:
  - at the firm level; and
  - on an individual audit.
- Audit quality should be actively managed by the engagement partner.
- Professional bodies also have a responsibility to develop quality management standards and monitor compliance.
- Audit documentation is an important part of quality management.
- It provides evidence of work done to support the audit opinion.
- Significant matters must be documented.
- Audit working papers should be reviewed.

6.1 Principles and purpose

Audit quality is not defined in law or through regulations, nor do auditing standards provide a simple definition.

Although each stakeholder in the audit will give a different meaning to audit quality, at its heart it is about delivering an appropriate professional opinion supported by the necessary evidence and objective judgements.

Many principles contribute to audit quality including good leadership, experienced judgement, technical competence, ethical values and appropriate client relationships, proper working practices and effective quality management and monitoring review processes.

The standards on audit quality provide guidance for firms on how to achieve these principles.

6.2 Quality management at a firm level

The fact that auditors follow ISAs provides a general quality management framework within which audits should be conducted. There are also specific quality management standards. ISQM 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or other Assurance or Related Services Engagements* deals with quality management at a firm level. You may have studied ISQM 1 in Audit and Assurance at the Professional Level.

ISQM 1 identifies the following **eight components** of the firm's system of quality management.

- **The firm's risk assessment process**

  A system of quality management must be established by the firm in order to be able to achieve its quality objectives and manage quality risks (in other words, the risk that the firm's quality may be under threat). This is usually achieved by implementing a series of policies and procedures that serve as a system of quality management.

- **Governance and leadership responsibilities for quality within the firm**

  The standard requires that the firm implements policies such that the internal culture of the firm is one where quality is considered essential. Such a culture must be inspired by the leaders of the firm, who must sell this culture in their actions and messages. In other words, the entire business strategy of the audit firm should be driven by the need for quality in its operations. Overall responsibility for quality within the firm rests with the senior leadership

(such as a managing partner) while operational responsibilities fall within the remit of other personnel (so the engagement partner or key audit partner is responsible for quality on any given engagement).

- **Ethical requirements**

  Policies and procedures should be designed to provide the firm with reasonable assurance that the firm and its personnel comply with relevant ethical requirements and in particular independence requirements. Firms can decide to adopt their own ethical guidance that goes beyond the minimum standards laid down by the current regulatory regime.

- **Acceptance and continuance of client relationships and specific engagements**

  A firm should only accept, or continue with, a client where it has considered the **integrity** of the client, it is **competent** to perform the engagement and has the capabilities, including time and resources, to do so, and it can **comply with ethical requirements**, including appropriate independence from the client.

  ISQM 1 does not expect acceptance and continuance decisions to be based on commercial priorities.

  For the audit of a public interest entity the firm must assess whether the firm complies with the FRC Revised Ethical Standard requirements on audit fees and prohibition of the provision of non- audit services requirements.

- **Engagement performance**

  The firm should take steps to ensure that engagements are performed correctly; that is, in accordance with standards and guidance. Ensuring good engagement performance involves a number of issues, such as direction, supervision and review, consultation and resolution of disputes.

  The firm should have policies and procedures to determine when an **engagement quality review** will be necessary for an engagement. This will include all audits of financial statements for listed companies and in Bangladesh also applies to public interest entities and other higher risk engagements. When required, such a review must be completed **before the report is signed**.

  For audits of financial statements of public interest entities the **engagement quality reviewer** must be an individual who possesses the competence, capabilities, authority and independence necessary to make this process effective. **ISQM 2** ***Engagement Quality Reviews*** is the applicable standard here and specifies the following objectives:

  - appoint an eligible engagement quality reviewer who is not part of the engagement team; and
  - perform an objective evaluation of the significant judgements made by the engagement team and the conclusions they reached from those judgements.

  The engagement quality review is expected to apply legal, professional and regulatory standards and requirements and determine any areas of non-compliance (including any that do not comply with the firm's own system of quality management). The review will be conducted throughout the course of the engagement and include issues such as:

  - reviewing documentation produced by both the engagement team and the firm in relation to the engagement and any possible deficiencies identified;
  - discussing significant matters and judgements from the engagement;
  - evaluating decisions made for evidence of logic, scepticism, ethical compliance, consultation and sufficient involvement of the engagement partner; and
  - reviewing audit documentation to ensure it satisfactorily reflects the work necessary to support the successful implementation of ISQM 2.

- **Resources**

  The firm needs to have policies and procedures in place regarding the resources necessary for engagements to support quality management systems, including **human resources** (including all staff and the engagement partner), **technological resources** (such as data analytics software), **intellectual resources** (such as prescribed audit methodologies) and the use of **service providers** (for example, anyone involved in a consultative or expert capacity).

- **Information and communication**

  The firm needs to have a system in place that supports quality management for effective assurance work in terms of data storage and retrieval, information security, communication across and between teams and maintaining appropriate levels of confidentiality.

- **Monitoring and remediation**

  The standard states that firms must have policies in place to ensure that their quality management procedures are relevant, adequate, and operating effectively. In other words, they must **monitor their system of quality management**. Monitoring activity should be reported on to the management of the firm on an annual basis. **Remedial action**, if required, should be implemented to address any deficiency promptly.

  There are two types of monitoring activity, an **ongoing evaluation** of the system of quality management and **cyclical inspection** of a selection of completed engagements. An ongoing evaluation might include such questions as "has it kept up to date with regulatory requirements?".

  An inspection cycle would usually fall over a period such as three years, in which time at least one engagement per engagement partner would be reviewed.

6.3 Quality management on an individual audit

You will have studied this issue in the previous Audit and Assurance exam. A summary of the key points in ISA 220 (Revised), *Quality Management for an Audit of Financial Statements* is provided below.

6.3.1 Policies and procedures

ISA 220 (Revised) states that the objective of the auditor is to implement quality management procedures at the individual engagement level. The **engagement partner** is ultimately responsible for quality management on an individual engagement.

The policies and procedures for quality management on individual audits parallel those for the firm outlined above. For example, ethical requirements must be considered. In addition, however, of particular significance for individual audits are the procedures of **direction, supervision and review**.

(a) Direction

At the planning stage, but also during the audit, the engagement partner ensures that the members of the engagement team are informed of:

- their responsibilities
- the objectives of the work to be performed
- the nature of the entity's business
- risk issues
- problems that may arise
- detailed approach to the audit engagement

(b) Supervision

Supervision includes:

- tracking the progress of the audit engagement;
- considering the capabilities of individual members of the engagement team and that they understand their instructions;
- addressing issues that arise and modifying the audit approach if appropriate; and
- identifying matters for consultation or consideration by more experienced members of the audit engagement.

(c) Review

Reviewing concerns the inspection of work by engagement members by more senior members of the same engagement. This includes ensuring that:

- the work has been carried out in accordance with professional and regulatory requirements;
- significant matters have been raised for further consideration;
- appropriate consultations have taken place and have been documented;
- where appropriate the planned audit work is revised;
- the work performed supports the conclusions;
- the evidence obtained is sufficient and appropriate to support the audit opinion; and
- the objectives of the engagement have been achieved.

The revised ISA also includes specific guidance in relation to the **engagement quality review** for audits of the financial statements of public interest entities. The purpose of the engagement quality review is to provide an objective evaluation, on or before the date of the auditor's report, of the significant judgments the engagement team made and the conclusions it reached in formulating the auditor's report. As part of their responsibilities for the engagement overall, the engagement partner needs to confirm that they have dedicated sufficient time to the engagement in order to be able to be considered responsible enough to sign off on that engagement: agreeing with the outcome of the engagement quality review is one such example of this. In particular the review must consider the following:

(1) The independence of the firm from the entity

(2) The significant risks and measures taken to manage them

(3) Reasoning in relation to materiality and significant risks

(4) Any request for advice from external experts and the implementation of the advice

(5) The nature and scope of corrected and uncorrected misstatements

(6) The subjects discussed with the audit committee/management/supervisory bodies/competent authorities/third parties

(7) Whether information on the audit file supports the opinion in the auditor's report and additional report to the audit committee

(d) Hot and cold reviews

Hot file reviews are carried out before the auditor's report is issued. Their purpose is to identify any weaknesses in the application of audit procedures or to assess if results from audit procedures have been misinterpreted. They can be done for higher risk audits. Such reviews are usually undertaken by an audit partner not connected with the audit.

Cold file reviews are carried out after the auditor's report has been issued. Their primary purpose is to determine compliance with ethical and auditing standards and relevant

legislation, and to consider whether the audit work has been carried out in accordance with the firm's own procedures, thereby identifying any weaknesses in the firm's quality management procedures, and how these can be improved upon. Cold reviews are carried out by suitably qualified individuals who are independent of the client and have had no involvement in the audit work.

Small firms and sole practitioners may be required to arrange external reviews at least once every three years if there is no suitable reviewer available from within the organisation. A cold file review will result in identification of any areas of non-compliance and the formulation of a suitable action plan with the firm.

6.4 UK FRC Audit Quality Thematic Reviews

The following section represents audit quality related notable events from UK market.

In March 2017, the FRC issued *Audit Quality Thematic Review: Firms' audit quality control procedures and other quality initiatives* to support the continuous improvement in audit quality in the UK. Some new areas of best practice were identified (such as adopting different 'lines of defence' for a firm's procedures to interact effectively) but also some areas for further work (such as more senior members of the audit team reviewing audit work) arose too.

Note: The term 'quality control' was superseded when ISQM (UK) 1 and 2 and ISA (UK) 220 (Revised) were all published in the UK in July 2021 and 'quality management' was subsequently adopted across the profession. Throughout this Workbook, although you may come across guidance published prior to this date that contains reference to the term 'quality control', you can assume that it means the same thing as 'quality management'.

This was followed in May 2018 by another Thematic Review called *Firms' activities to establish, promote and embed a culture that is committed to delivering consistently high quality audits*. In this publication, the FRC defined culture as "a combination of the values, attitudes and behaviours manifested by an organisation in its operations and relations with its stakeholders".

While many might seem sceptical about the role that the FRC in particular could play in addressing something as complex as culture among different firms, the messages contained within these reports have outlined the need for a greater awareness of the following cultural factors that can improve the scope and quality of audits in the UK:

- Prioritising values such as the fundamental ethical principles
- Recognising that good audits are necessary to support society in general
- Promoting good quality work practices in auditing as much as punishing poor quality work
- Using root cause analysis to identify cultural factors that led to good and bad quality audit work
- Using independent non-executives to monitor the successful adoption of desired culture (FRC, 2018)

The FRC continues to address quality as part of its regulatory role. In July 2020 it published its *Annual enforcement review* which found that both ethical and auditing standards were not always being followed, contributing to some instances of audit failure due to not obtaining sufficient appropriate audit evidence and displaying inadequate levels of professional scepticism. This was echoed in November 2020 by *Developments in audit 2020* when the FRC reported inconsistent levels of audit quality on higher risk audits, predominantly due to insufficient challenge of management in the following areas:

- complex and forward-looking judgements (such as goodwill impairment)
- assessment of an entity's going concern status and plans to address perceived uncertainties

In addition, the FRC raised concern over several instances when group audit teams had failed to demonstrate how they had assessed the work undertaken by component audit teams. There were also concerns over the approach adopted by firms when reviewing audit work as part of their own internal quality control processes (FRC, 2020).

The FRC *Developments in audit 2021* report concluded that the number of audits inspected which required either improvement or significant improvement had not improved and was still at a level that was not considered acceptable by the FRC.



Interactive question 2: Addystone Fish

You are an audit senior working for the firm Addystone Fish. You are currently carrying out the audit of Wicker Ltd, a manufacturer of waste paper bins. You are unhappy with Wicker's inventory valuation policy and have raised the issue several times with the audit manager. He has dealt with the client for a number of years and does not see what you are making a fuss about. He has refused to meet you on site to discuss these issues.

The former engagement partner to Wicker retired two months ago. As the audit manager had dealt with Wicker for so many years, the other partners have decided to leave the audit of Wicker largely in his hands.

Requirement

Comment on the situation outlined above.

See **Answer** at the end of this chapter.

6.5 Audit documentation

Audit documentation is a key part of the overall quality management framework during the course of an audit. All audit work must be documented: the working papers are the **tangible evidence of all work done in support of the audit opinion**. ISA 230 (Revised June 2016), *Audit Documentation* provides guidance on this issue.

In your previous studies, you have learnt the practical issues surrounding how audit working papers should be completed. The key general rule to remember concerning what to include in a working paper is:

"What would be sufficient to enable an experienced auditor, having no previous connection with the audit to understand the nature, timing, and extent of the audit procedures performed to comply with the ISAs and applicable legal and regulatory requirements and the results of the audit procedures and the audit evidence obtained, and significant matters arising during the audit and the conclusions reached thereon, and significant professional judgements made in reaching those conclusions." (ISA 230 para.8)

Review of audit working papers is important, as it allows a more senior auditor to **evaluate the evidence obtained** during the course of the audit for sufficiency and reliability, so that more evidence can be obtained to support the audit opinion, if required. It is an important quality management procedure. ISA 500 *Audit Evidence* is relevant here.



Interactive question 3: Documentation (revision)

Viewco is a manufacturer of TVs and Blu-ray players. It carries out a full physical inventory count at its central warehouse every year on 31 December, its financial year end. Finished goods are normally of the order of £3 million, with components and work in progress normally approximately £1 million.

You are the audit senior responsible for the audit of Viewco for the year ending 31 December 20X1. Together with a junior member of staff, you will be attending Viewco's physical inventory count.

Requirements

3.1 Explain why it is necessary for an auditor to prepare working papers.

3.2 State, giving reasons, what information the working papers relating to this inventory count attendance should contain.

See **Answer** at the end of this chapter.

Interactive question 4: TrucksToGo Ltd

You are the audit senior on the audit of TrucksToGo Ltd. You are supervising the work of a relatively inexperienced audit junior. The junior has been carrying out audit procedures on the assertions of completeness and existence of non-current assets. According to the junior, audit procedures have been completed and the memo below has been produced outlining some of the issues found during the audit.

Memo: Issues identified during audit

The directors have confirmed that there are no further non-current assets to include in the financial statements. This representation was received in a meeting with the Finance Director and recorded on the audit file at this time.

Part of the existence work on non-current assets included obtaining a sample of assets from the asset register and then physically verifying those assets. Unfortunately, a significant number of assets were not available for verification – the vehicles were in use by the company and therefore not on the premises. As an alternative, vehicles on the premises were agreed back to the asset register.

A number of vehicles were noted on the company premises in a poor state of repair; for example, engines missing. On inquiry, the vehicle manager confirmed that the vehicles were under repair. I am therefore happy that the vehicles belonged to the company and no further action is necessary.

I have reached the conclusion that all non-current assets are correctly stated and valued in the financial statements.

Requirement

Explain to the junior why the evidence collected is insufficient, and detail the action necessary to complete the audit procedures. Refer to your objectives in reviewing audit documentation as a format for your answer.

See **Answer** at the end of this chapter.

7 Laws and regulations

Section overview

The auditor is responsible for obtaining sufficient appropriate audit evidence regarding compliance with laws and regulations that have a direct effect on the financial statements

7.1 Revision

The responsibilities of the auditor for laws and regulations are covered in ISA 250 (Revised), Consideration of Laws and Regulations in an Audit of Financial Statements. You have covered

the principles contained in this standard in your earlier studies. A summary of the key points is included below.

The objectives of the auditor are:

(a) To obtain sufficient appropriate audit evidence regarding compliance with the provisions of those laws and regulations generally recognised to have a direct effect on the determination of material amounts and disclosures in the financial statements;

(b) To perform specified audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements; and

(c) To respond appropriately to non-compliance or suspected non-compliance with laws and regulations identified during the audit.

(ISA 250.11)

An audit **cannot** detect non-compliance with **all** laws and regulations.

Definition

Non-compliance: Refers to acts of omission or commission by the entity, either intentional or unintentional, which are contrary to the prevailing laws or regulations. Such acts include transactions entered into by, or in the name of, the entity, or on its behalf, by those charged with governance, management or employees. Non-compliance does **not** include personal misconduct (unrelated to the business activities of the entity) by those charged with governance, management or employees of the entity. (ISA 250.12)

7.2 Responsibility of management for compliance

Management are responsible for ensuring that a client's operations are conducted in accordance with laws and regulations.

The following policies and procedures, among others, may assist management in discharging its responsibilities for the prevention and detection of non-compliance.

- **Monitor legal requirements** and ensure that operating procedures are designed to meet these requirements.
- **Institute and operate** appropriate systems of **internal control**, including internal audit and an audit committee.
- **Develop, publicise and follow a code of conduct**.
- Ensure that **employees** are properly **trained** and **understand the code of conduct**.
- **Monitor compliance** with the code of conduct and act appropriately to **discipline** employees who fail to comply with it.
- **Engage legal advisers** to assist in monitoring legal requirements.
- **Maintain a register** of significant laws with which the entity has to comply within its particular industry and a record of complaints.

7.3 Responsibility of the auditors

The auditor's responsibilities depend on whether or not the law or regulation has a direct effect on the financial statements as follows:

"The auditor shall obtain sufficient appropriate audit evidence regarding compliance with the provisions of those laws and regulations generally recognised to have a direct effect on the determination of material amounts and disclosures in the financial statements." (ISA 250.14)

These laws and regulations may relate to:

- the form and content of financial statements;
- accounting for transactions under government contracts;
- laws determining the circumstances under which a company is prohibited from making a distribution except out of available profits; and
- laws which require auditors expressly to report non-compliance, such as not keeping proper records.

For other laws and regulations the auditor is required to perform audit procedures to help identify instances of non-compliance. Procedures would include inquiring of management and those charged with governance and inspecting correspondence with relevant licensing or regulatory authorities.

Written representations from management are also important. The standard requires the auditor to obtain written representations. (ISA 250.17)

7.4 Procedures when non-compliance is discovered

The ISA requires the following approach.

If the auditor becomes aware of information concerning an instance of non-compliance or suspected non-compliance, the auditor shall obtain:

- understanding of the nature of the act and the circumstances in which it has occurred; and
- further information to evaluate the possible effect on the financial statements. (ISA 50.19)

When evaluating the possible effect on the financial statements, the auditor should consider:

- the **potential financial consequences**, such as fines, penalties, damages, threat of expropriation of assets, enforced discontinuation of operations and litigation;
- whether the **potential financial consequences** require **disclosure**; and
- whether the potential financial consequences are so serious as to call into question the **true and fair view** (fair presentation) given by the financial statements.

If the auditors suspect there may be non-compliance they should discuss the matter with management and those charged with governance.

Such discussions are subject to the laws concerning 'tipping off'. If information provided by management is not satisfactory, the auditor should consult the entity's lawyer and, if necessary, their own lawyer on the application of the laws and regulations to the particular circumstances.

7.5 Reporting of non-compliance

7.5.1 To management

ISA 250 requires the following:

Unless all of those charged with governance are involved in management of the entity, and therefore are aware of matters involving suspected non-compliance already communicated by the auditor, the auditor shall communicate with those charged with governance matters involving non-compliance with laws and regulations that come to the auditor's attention during the course of the audit, other than when the matters are clearly inconsequential.

If, in the auditor's judgement, the non-compliance is believed to be intentional and material, the auditor shall communicate the matter to those charged with governance as soon as practicable.

If the auditor suspects that management or those charged with governance are involved in non- compliance, the auditor shall communicate the matter to the next higher level of authority at the entity, if it exists, such as an audit committee or supervisory board. Where no higher

authority exists, or if the auditor believes that the communication may not be acted upon or is unsure as to the person to whom to report, the auditor shall consider the need to obtain legal advice.

(ISA 250.23–.25)

7.5.2 To the users of the auditor's report

If the auditor concludes that the non-compliance has a material effect on the financial statements, and has not been adequately reflected in the financial statements, the auditor shall, in accordance with ISA 705, express a qualified opinion or an adverse opinion on the financial statements.

If the auditor is precluded by management or those charged with governance from obtaining sufficient appropriate audit evidence to evaluate whether non-compliance that may be material to the financial statements has, or is likely to have, occurred, the auditor shall express a qualified opinion or disclaim an opinion on the financial statements on the basis of a limitation on the scope of the audit in accordance with ISA 705.

If the auditor is unable to determine whether non-compliance has occurred because of limitations imposed by the circumstances rather than by management or those charged with governance, the auditor shall evaluate the effect on the auditor's opinion in accordance with ISA 705. (ISA 250.26–.28)

7.5.3 To regulatory and enforcement authorities

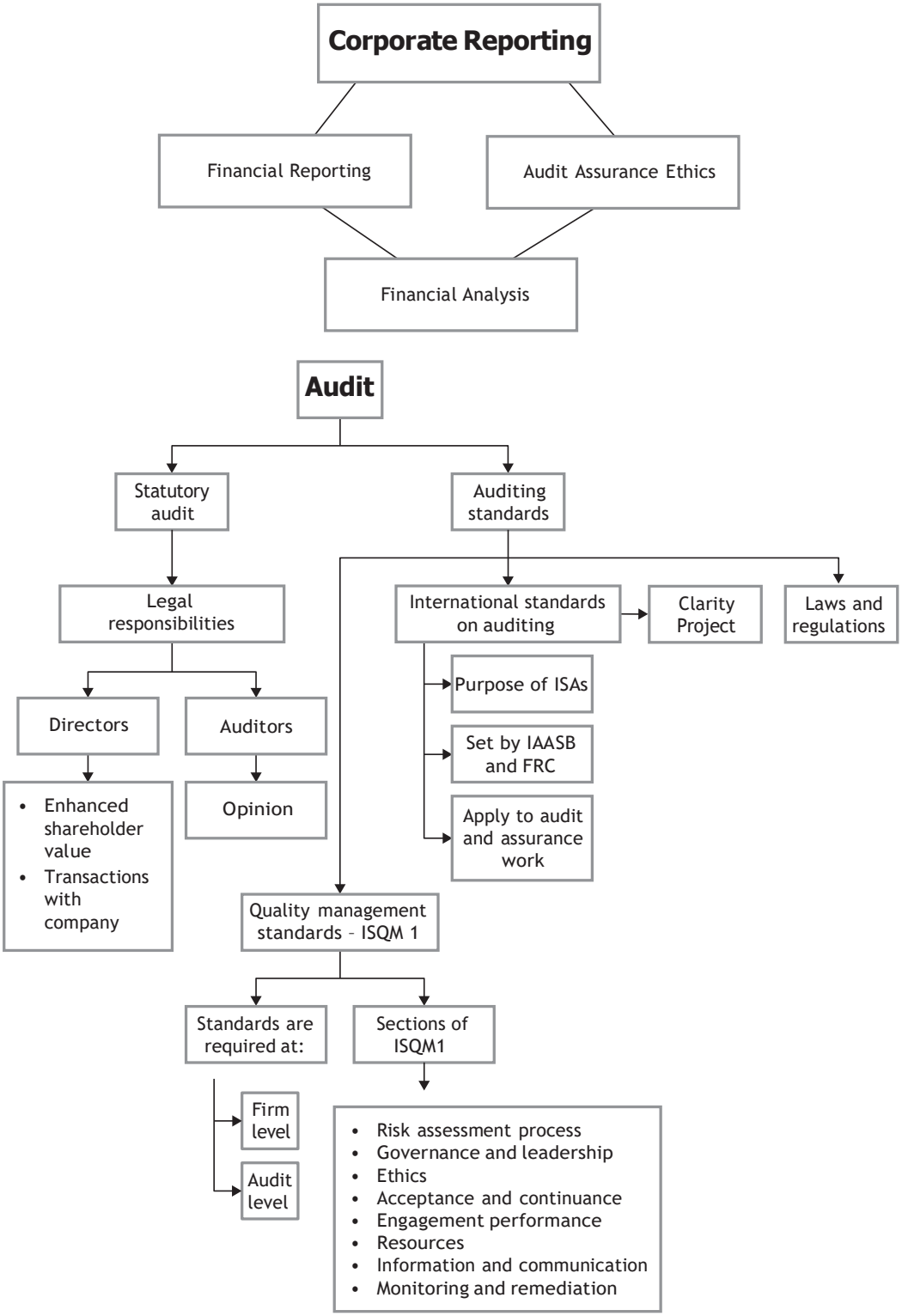
Confidentiality is an issue again here, but it may be overridden by the law, statute or the courts of law. The auditor should obtain legal advice. If the auditor has a statutory duty to report, a report should be made without delay.

Alternatively, it may be necessary to make disclosures in the public interest. In practice it will often be extremely difficult for an auditor to decide whether making a disclosure in the public interest is warranted. The auditor should obtain professional advice.

7.6 Withdrawal from the engagement

As is the case for fraud or error, withdrawal may be the only option if the entity does not take the remedial action the auditor thinks is necessary, even for non-material matters.

Summary


Corporate Reporting
Financial Reporting
Audit Assurance Ethics
Financial Analysis
Audit
Statutory audit
Auditing standards
Legal responsibilities
International standards on auditing
Clarity Project
Laws and regulations
Directors
Auditors
Purpose of ISAs
Set by IAASB and FRC
Apply to audit and assurance work
• Enhanced shareholder value
• Transactions with company
Opinion
Quality management standards – ISQM 1
Standards are required at:
Sections of ISQM1
Firm level
Audit level
• Risk assessment process
• Governance and leadership
• Ethics
• Acceptance and continuance
• Engagement performance
• Resources
• Information and communication
• Monitoring and remediation

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Do you understand what is meant by the term 'corporate reporting'?
2.	Can you remember the various phases of an audit and explain what each one is for?
3.	Can you distinguish between the responsibilities of directors and auditors?
4.	Can you discuss current issues that affect both corporate reporting and auditing right now?
5.	Can you describe and explain the various quality management mechanisms that should be present in an audit firm?
6.	Do you know how to report various instances of non-compliance with laws and regulations and to whom this reporting should be directed?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
LaFa plc	This is useful practice for you in two ways: firstly, it is testing your knowledge of the subject matter on quality management which you need to understand, and secondly, it is presented in the form of a scenario which you will need to apply your knowledge to.
Bee5	You can test your understanding of the audit approach by applying what you have learned to this short scenario. What changes might cause you concern?

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Vacance plc	Sometimes the question contains so much information it is difficult to know where to start. Use this question to practise interrogating the exhibits for matters that relate to the audit quality on show.
Newpenny	Exhibit 1 asks for a change to the audit approach. Do you think this is a good idea?
Jupiter	Consider the issue of non-compliance with laws and regulations from Exhibit 3 – what are the potential implications of this for the audit?

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

BEIS (2021) *Restoring trust in audit and corporate governance: proposals on reforms*. [Online]. Available from: https://www.gov.uk/government/consultations/restoring-trust-in-audit-and-corporate-governance-proposals-on-reforms [Accessed 25 May 2022].

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1 What is financial reporting?

- Financial reporting is the provision of financial information about a reporting entity that is useful to existing and potential investors, lenders and other creditors in making decisions about providing resources to the entity.

  Corporate reporting is a broader concept, which covers other reports, such as audit or environmental reports – **Conceptual Framework for Financial Reporting (OB2)**
- Financial statements comprise statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows and notes. – **IAS 1 (10)**

2 Purpose and use of financial statements

- Users' core need is for information for making economic decisions. – **Concept Frame (OB2)**
- Objective is to provide information on financial position (the entity's economic resources and the claims against it) and about transactions and other events that change those resources and claims. – **Concept Frame (OB12**)
- Financial position: – **Concept Frame (OB13)**
  - Resources and claims

- Help identify entity's strengths and weaknesses
- Liquidity and solvency
- Changes in economic resources and claims: – **Concept Frame (OB15-16)**
- Help assess prospects for future cash flows
- How well have management made efficient and effective use of the resources

- Financial performance reflected by accrual accounting. – **Concept Frame (OB17)**
- Financial performance reflected by past cash flows. – **Concept Frame (OB20)**

3 ISA 200

- Purpose of an audit – **ISA 200.3**
- General principles of an audit – **ISA 200.14–.24**

4 ISQM 1

- Objective – **ISQM 1.14**
- Components of a system of quality management – **ISQM 1.6**
- The firm's risk assessment process – **ISQM 1.23-.27**
- Governance and leadership – **ISQM 1.28**
- Relevant ethical requirements – **ISQM 1.29**
- Acceptance and continuance issues – **ISQM 1.30**
- Engagement performance – **ISQM 1.31**
- Resources – **ISQM 1.32**
- Information and communication – **ISQM 1.33**
- Monitoring and remediation – **ISQM 1.35–.56**

5 ISQM 2

- Objective – **ISQM 2.12**
- Requirements – **ISQM 2.14-.16**
- Engagement quality reviewers – **ISQM 2.17-.23**
- Performance of the review – **ISQM 2.24-.27**
- Documentation – **ISQM 2.28-.30**

6 ISA 230

- Purposes of audit documentation. – **ISA 230.2–.3**
- Should enable an experienced auditor to understand the procedures performed, the results and evidence obtained and significant matters identified. – **ISA 230.8–.8-1**
- Auditors must document discussions of significant matters with management. – **ISA 230.10**
- Inconsistencies regarding significant matters must be documented. – **ISA 230.11**
- Departures from relevant requirements in ISAs must be documented. – **ISA 230.12**
- The identity of the preparer and reviewer must be documented. – **ISA 230.9**

7 ISA 250

- Categories of laws and regulations – **ISA 250.6**
- Objectives – **ISA 250.11**
- Auditor's responsibilities – **ISA 250.13–.14**
- Reporting – **ISA 250.23**

Self-test questions

Answer the following questions.

1 Performance and position

Explain the terms 'performance' and 'position', and identify which of the financial statements will assist the user in evaluating performance and position.

2 LaFa plc

The WTR audit firm has 15 partners and 61 audit staff. The firm has offices in three cities in one country and provides a range of audit, assurance, tax and advisory services. Clients range from sole traders requiring assistance with financial statement production to a number of small plcs – although none is a quoted company.

LaFa plc is one of WTR's largest clients. Due to the retirement of the engagement partner from ill health last year, LaFa has been appointed a new engagement partner. WTR provides audit services as well as preparation of taxation computations and some advisory work on the maintenance of complicated costing and inventory management systems. The audit and other services engagement this year was agreed on the same fee as the previous year, although additional work is required on the audit of some development expenditure which had not been included in LaFa's financial statements before. Information on the development expenditure will be made available a few days before audit completion 'due to difficulties with cost identification' as stated by the Finance Director of LaFa. LaFa's management were insistent that WTR could continue to provide a similar level of service for the same fee.

Part way through the audit of WTR, Mr W, WTR's quality management partner, resigned to take up a position as Finance Director in SoTee plc, LaFa's parent company. SoTee is audited by a different firm of auditors. Mr W has not yet been replaced, as the managing board of WTR has yet to identify a suitable candidate. Part of the outstanding work left by Mr W was the implementation of a system of ethical compliance for all assurance staff whereby they would confirm in writing adherence to the Code of Ethics and confirm lack of any ethical conflict arising from the code.

Requirement

Identify and explain the risks which will affect the quality management of the audit of LaFa. Suggest how the risks identified can be reduced.

3 Bee5

You are the audit manager in charge of the audit of Bee5, a construction company. The client is considered to be low risk; control systems are generally good and your assurance firm, Sheridan & Co, has normally assisted in the production of the financial statements providing some additional assurance of the accuracy and completeness of the statements.

During the initial planning meeting with the client you learn that a new Finance Director has been appointed and that Bee5 will produce the financial statements this year; the services of your firm's accounts department will therefore not be required. However, Bee5 has requested significant assurance work relating to a revision of its internal control systems. The current accounting software has become less reliable (increased processing time per transaction and some minor data loss due to inadequate field sizes). The client will replace this software with

the new Leve system in the next financial year but requires advice on amending its control systems ready for this upgrade.

Requirement

Discuss the impact on the audit approach for Bee5 from the above information. Make specific reference to any quality management issues that will affect the audit.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Where IFRS allows a choice of accounting policy, directors may wish to select the policy that gives the most favourable picture, rather than the one which is most useful to users of financial statements. For example, they may wish to adopt the direct, rather than the indirect, method of preparing a statement of cash flows if they believe that gives a more favourable view of the company's liquidity and solvency in the eyes of a lender, such as a bank. Auditors need to be on the lookout for this kind of manipulation.

Answer to Interactive question 2

Several quality management issues are raised in the scenario.

Engagement partner

An engagement partner is usually appointed to each audit engagement undertaken by the firm, to take responsibility for the engagement and its quality management on behalf of the firm. Assigning the audit to the experienced audit manager is not sufficient.

The lack of audit engagement partner also means that several of the requirements of ISA 220 (Revised) about ensuring that arrangements in relation to independence and directing, supervising and reviewing the audit are not in place.

Conflicting views

In this scenario the audit manager and senior have conflicting views about the valuation of inventory. This does not appear to have been handled well, with the manager refusing to discuss the issue with the senior.

ISA 220 (Revised) requires that the audit engagement partner takes responsibility for settling disputes in accordance with the firm's policy in respect of resolution of disputes required by ISQM 1. In this case, the lack of engagement partner may have contributed to this failure to resolve the disputes. In any event, at best, the failure to resolve the dispute is a breach of the firm's policy under ISQM 1. At worst, it indicates that the firm does not have a suitable policy concerning such disputes as required by ISQM 1.

Answer to Interactive question 3

3.1 Working papers are necessary for the following reasons:

- To assist the engagement team to plan and perform the audit
- To assist members of the engagement team responsible for supervision to direct and supervise the audit procedures, and to discharge their review responsibilities in accordance with ISA 220 (Revised)
- To enable the engagement team to be accountable for its work
- As a record of matters of continuing significance to future audits
- To enable the conduct of engagement quality reviews and inspections in accordance with ISQM 1
- To enable the conduct of external inspections in accordance with applicable legal, regulatory or other requirements

3.2 Information/reasons

Information	Reasons
(1) **Administration**	
Client name Year end Title	Enables an organised file to be produced
Date prepared	Enables papers to be traced if lost
Initials of preparer	Any questions can be addressed to the appropriate person
	Seniority of preparer is indicated
Initials of senior to indicate review of junior's work	Evidence that guidance on planning, controlling and recording is being followed
	Evidence of adherence to auditing standards
(2) **Planning**	
Summary of different models of TVs and Blu- ray players held and the approximate value of each	Enables auditors to familiarise themselves with different types of inventory lines
Summary of different types of raw material held and method of counting small components	
Summary of different stages of WIP identified by client	
Time and place of count	Audit team will not miss the count
Personnel involved	Auditor aware who to address questions/ problems to
Copy of client's inventory count instructions and an assessment of them	Enables an initial assessment of the likely reliability of Viewco's count Assists in determining the amount of procedures audit team need to do Enables compliance work to be carried out; that is, checking Viewco staff follow the instructions
Plan of warehouse	To ensure all areas covered at count Clear where to find different models/components Location of any third party/moving inventory clear
Details of any known old or slow moving lines	Special attention can be given to these at count; for example, include in test counts
Scope of test counts to be performed that is, number/value of items to be counted and method of selection. For Viewco probably more counting of higher value finished goods	Ensures appropriate amount of procedures performed based on initial assessment Clear plan for audit team
(3) **Objectives of attendance**; that is, to ensure that the quantity and quality of inventory to be reflected in the financial statements is materially accurate	Reporting partner can confirm if appropriate/adequate procedures performed

Information	Reasons
(4) **Details of procedures performed**	Provides evidence for future reference and documents adherence to auditing standards Enables reporting partner to review the adequacy of the procedures and establish whether it meets the stated objective
(a) **Details of controls testing procedures performed** – observing Viewco's counters and ensuring they are following the instructions and conducting the count effectively, for example: • Note of whether the area was systematically tidied • Note of whether or how counted goods are marked	
Enable reassessment of likely reliability of Viewco's count Enables assessment of chances of items being double-counted or omitted	
Note of how Viewco records and segregates any goods still moving on count day	
Note of adequacy of supervision and general impression of counters	Enables assessment of overall standard of count and hence likely accuracy
Note whether counters are in teams of two and whether any check counts are performed	Evidence of independent checks may enhance reliability
(b) **Details of substantive procedures performed**: Details of items of raw materials or finished goods test counted:	
From physical inventory to client's count sheet	Evidence to support the accuracy and completeness of Viewco's count sheets
From Viewco's count sheets to physical inventory	Evidence to support the existence of inventory recorded by Viewco
For both of the above note inventory code, description, number of units and quality. Use a symbol to indicate agreement with Viewco's records	
Details of review for any old/obsolete inventory, for example dusty/damaged boxes. Note code, description, number of units and problem	Details can be followed up at final audit and the net realisable value investigated
Details of review of WIP	

Information	Reasons
Assessment of volume of part complete items of each stage Assessment of appropriateness of degree of completion assigned to each stage by Viewco (could describe items at various stages)	Evidence in support of accuracy of quantity of WIP Details can be followed through at final audit to final inventory sheets Basis for discussion of any description
Copies of: • Last few despatch notes • Last few goods received notes • Last few material requisitions • Last few receipts to finished goods	Enables follow up at final audit to ensure cut- off is correct; that is, goods despatched are reflected as sales, goods received as purchases and items in WIP are not also in raw materials and finished goods
Copies of client's inventory count sheets (where number makes this practical)	Enables follow up at final audit to ensure that Viewco's final sheets are intact and no alterations have occurred
(5) **Summary of results** In particular: • Details of any problems encountered • Details of any test count discrepancies and notes of investigation into their causes • Details of any representations by the management of Viewco	Senior/manager can assess any consequences for audit risk and strategy and decide any further procedures needed Provides full documentation of issues that could require a judgemental decision and could ultimately be the basis for a qualified opinion
(6) **Conclusion** The auditor will state their overall audit conclusions from the procedures completed.	Indicates whether or not the initial objective has been met and whether there are any implications for the audit opinion

Answer to Interactive question 4

Explanation as follows:

- Has the work been **performed** in **accordance with the audit programme**?

  The non-current asset procedure of agreeing non-current asset details from the asset register to the actual asset is to confirm the existence of the asset – in other words, that the asset should be included in the register. Agreeing physical asset details back to the register tests for the assertion of completeness, not existence; that is, all assets that should be recorded in the register are recorded – not that assets in the register do exist. The audit procedure has therefore not been completed in accordance with the audit programme.

  I recommend that the existence test is completed as specified. However, where physical existence of the asset cannot be determined by seeing the asset, then alternative evidence such as the log book is obtained.

- Have the work performed and the results obtained been **adequately documented**?

  Adequate documentation normally means that written representations by management

are recorded in writing, either in a paper document or through use of email or other electronic communication system that can be traced back to the client. Regarding the completeness of non- current assets, it is unclear how the representation from the director was received – although it appears that this was only verbal. The difficulty with verbal evidence is that it can be disputed at a later date.

I recommend that the director's representation is obtained in writing.

- Have any **significant matters** been **resolved** or are reflected in audit conclusions?

  The fact that some vehicles were found obviously not in working order is cause for concern. While your primary task was satisfying the assertions of existence and completeness, where assets are obviously unusable, this fact needs to be recorded. The issue is that assets may well be overvalued in the financial statements; in practice the asset values need to be compared to the carrying amounts in the asset register and, where the asset will no longer be used, complete write-off or disposal considered.

  While no further action may be necessary on completeness and existence, I recommend that you prepare a list of the assets which are in a poor state of repair so additional valuation procedures can be performed on them.

- Have the **objectives** of the audit procedures been achieved?

  As already noted, the objectives of audit procedures have not been achieved. There is still insufficient evidence to confirm the existence and completeness of non-current assets.

  I recommend that the procedures you were carrying out are completed as detailed in the audit programme.

- Are the **conclusions** expressed **consistent** with the results of the work performed and do they support the audit opinion?

  The conclusion on the assertions of completeness and existence is incorrect. Your memo states that assets were correctly stated and valued.

  The point is not valid for two reasons.

  First, audit procedures have not been completed correctly (see the point on completeness testing for example) which means that the assertion of completeness cannot be confirmed.

  Second, the audit procedures carried out do not relate to the valuation of those assets. Valuation procedures include the auditing of depreciation and not simply ascertaining the condition of those assets at the end of the reporting period.

  I recommend that when audit procedures are complete that the conclusion is amended to match the assertions being audited.

Answers to Self-test questions

1 Performance and position

Performance

The financial performance of a company comprises the return it obtains on the resources it controls. Performance can be measured in terms of the profits and comprehensive income of the company and its ability to generate cash flows.

Management will be assessed on their skill in achieving the highest level of performance, given the resources available to them.

Information on performance can be found in:

- the statement of profit or loss and other comprehensive income;
- the statement of changes in equity; and
- the statement of cash flows.

Position

The financial position of the company is evaluated by reference to:

- its economic resources and claims;
- its capital structure ie, its level of debt finance and shareholders' funds; and
- its liquidity and solvency.

The user of the financial statements can then make assessments on the level of risk, ability to generate cash, the likely distribution of this cash and the ability of the company to adapt to changing circumstances.

The statement of financial position is the prime source of information on a company's position but the statement of cash flows will also indicate a company's cash position over a period of time.

2 LaFa plc

Culture of WTR

The quality management standard, ISQM 1, requires that the firm implements policies and procedures such that the internal culture of the firm is one where quality is considered essential. Such a culture must be inspired by the leaders of the firm, who must sell this culture in their actions and messages. In other words, the entire business strategy of the audit firm should be driven by the need for quality in its operations.

In the WTR audit firm, there appears to be a lack of leadership on quality management leading to the risk that the firm's quality objectives may not be achieved. Two issues give rise for concern:

(1) First, the partner responsible for quality management resigned during the audit of LaFa plc and has not been replaced. This means that there is no one person in charge of maintaining quality standards within the audit firm. There is the risk that deficiencies of quality management will go undetected. It is also unclear whether the senior leadership team of the firm has taken any responsibility for quality as required by ISQM 1 para. 20.

(2) Second, WTR is under fee pressure from LaFa plc to complete the audit and provide other services for the same fee as last year, even though the scope of the audit has increased.

There is the risk that audit procedures will not be fully carried out to ensure that the tight budget is met. Lack of a comprehensive engagement quality review (exacerbated by the quality management partner resigning as noted above) increases the risk of poor quality work.

The quality management partner should be replaced as soon as possible and in the interim, the senior leadership team of the firm must take temporary responsibility for quality, while the fee situation with LaFa should be monitored – any potential cost overrun must be discussed with the client and where necessary additional fees agreed.

Ethical requirements

Policies and procedures should be designed to provide the firm with reasonable assurance that the firm and its personnel comply with relevant ethical requirements.

In WTR, it is not clear that staff will comply with the code. While professional staff will be members of ICAB or a similar body, and therefore subject to the ethical requirements of their professional body, precise implementation has not been confirmed within WTR. While it is unlikely that staff will knowingly break the ethical code, there is still room for inadvertent breaches. For example, partners may not be aware of the full client list of WTR and hold shares in an audit client. Similarly, audit staff may not be aware of WTR's policy on entertainment and therefore accept meals, for example, over these guidelines.

The guidelines should be circulated and confirmed by all staff as soon as possible.

Client acceptance

A firm should only accept, or continue with, a client where it:

- has considered the integrity of the client and does not have information that the client lacks integrity;
- is competent to perform the engagement and has the necessary time and resources; and
- can comply with ethical requirements including appropriate independence from the client.

While there is little indication that LaFa lacks integrity, the client is placing fee pressure on WTR. The client has also indicated that information regarding development expenditure may not be available during the audit and will be subject to a separate audit check just before the signing of the financial statements and auditor's report. There could be an attempt to 'force' an unmodified auditor's report when WTR should take more time (and money) auditing development expenditure. There is therefore a risk that LaFa management is losing some integrity and WTR need to view other management evidence with increased scepticism.

The audit of LaFa plc this year includes development expenditure. As this is a new audit area, the audit partner of LaFa should have ensured that the audit team, and WTR as a whole, had staff with the necessary experience to audit this item. Lack of competence increases audit risk, as the area may not be audited correctly or completely.

Mr W accepting the position of Finance Director at SoTee appears to place the independence of WTR with LaFa in jeopardy. As Finance Director of the parent company, Mr W will be in a position to influence the management of LaFa, and potentially the financial information being provided by that company. While SoTee is not an audit client, the audit partner in WTR must ensure that no undue influence is being placed on LaFa. If, however, this is the case, then WTR must consider resignation from the audit of LaFa.

Monitoring of audit

The audit firm must have policies in place to ensure that quality management policies and procedures are implemented and maintained.

Regarding the audit of LaFa, there is some risk that quality standards regarding audit monitoring will be compromised because:

- the audit partner is new, and may therefore not have extensive knowledge of the audit client; and
- there appears to be a tight audit deadline for auditing development expenditure.

To decrease audit risk, it will be appropriate to maintain similar audit staff from last year (eg, retain the audit senior and manager) and WTR could consider an engagement quality review using ISQM 2 to ensure WTR quality management standards have been followed.

3 Bee5

Client acceptance

In previous years Bee5 has required a standard audit from your assurance firm. However, this year there is a request for additional assurance regarding the internal control systems. This work will not only raise the amount of income generated from the client but will also require the use of specialist staff to perform the work.

Before accepting the engagement for this year Sheridan & Co must ensure the following:

(1) That income from Bee5 is not approaching 15% of the firm's total income. If income is approaching this level then additional independence checks may be required, such as an engagement quality review.

(2) That staff familiar with the Bee5 internal control system are available to provide the assurance work. If these skills are not available then Sheridan & Co must either hire staff with those skills or decline the work on internal control systems. Sheridan & Co must also ensure that they will not be taking responsibility for designing, implementing or maintaining internal control as under the Ethical Standard this would be a management decision-making activity.

Plan the audit – evaluate internal control

The current internal control system is due to be upgraded in the next financial year. There is therefore no impact on the current year's audit as a result of this change. However, the reason given by the client for the upgrade relates to reliability issues with the current control systems.

The control system used by Bee5 must still be evaluated to determine the extent to which the system is still reliable. Where deficiencies are identified then control risk will increase. There will be consequent impact on the audit approach as noted below.

Develop the audit approach

An increase in control risk will cause detection risk to increase. The impact on the audit will be an increased level of substantive testing to obtain sufficient confidence on assertions such as completeness and accuracy.

There will be a further impact on the quality management of the audit. Commencing the audit with the expectation of finding control deficiencies means that audit staff must be selected carefully. It may not be appropriate to send junior trainees with restricted experience to the client unless their work is closely monitored and carefully reviewed.

Audit internal control – tests of controls

As noted above, detailed tests of control on the accounting system will be limited. However, reliance will still be obtained from the overall control environment.

Evaluate results

The higher risk associated with the audit this year means that an engagement quality review will be appropriate for this client. Sheridan & Co needs to maintain the integrity of work performed as well as ensuring that the proposed audit opinion is appropriate. Part of the planning process will be to book the time of the quality management partner.

Chapter 2

Principles of corporate reporting

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 The regulatory framework

2 The IASB Conceptual Framework

3 Other reporting frameworks

4 IFRS 13, Fair Value Measurement

5 IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors

6 Current issues in corporate reporting

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Explain and appraise the impact of accounting principles and bases of measurement in corporate reporting, for example fair value measurement
- Appraise corporate reporting regulations, and related legal requirements, with respect to presentation, disclosure, recognition and measurement
- Explain and appraise accounting standards that relate to the impact of changes in accounting policies and estimates
- Explain and evaluate the impact of underlying assumptions on financial statements
- Identify and explain current and emerging issues in corporate reporting
- Formulate and evaluate accounting and reporting policies for single entities and groups of varying sizes and in a variety of industries
- Explain and evaluate how different methods of recognising and measuring assets and liabilities can affect reported financial position and explain the role of data analytics in financial asset and liability valuation
- Explain and evaluate corporate reporting and assurance issues in respect of social responsibility, sustainability and environmental matters for a range of stakeholders
- Evaluate accounting policies choices and estimates, identifying issues of earnings manipulation and creative accounting

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
1	**The regulatory framework** This short section revises the regulatory framework and the standard-setting process.	**Approach** Read through quickly – this should be familiar to you from your earlier studies. **Stop and think** The process of setting IFRS® Standards is an open dialogue involving co- operation between national and international standard setters.	You are unlikely to be tested directly on this material – it is background knowledge.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
2	**The IASB *Conceptual Framework*** Before launching into the detail of financial reporting and auditing standards, it is important to understand the principles that underpin them.	**Approach** *Conceptual Framework* forms the basis of the approach followed in developing IFRS® Standards. It can also be used to establish the accounting treatment where there is no IFRS on the subject. Study in detail – this version of the *Conceptual Framework* was revised in 2018 and may be different from the one you studied earlier. **Stop and think** Can you think of any advantages and disadvantages of a conceptual framework?	You may encounter a scenario where no IFRS is directly applicable or there is no obvious answer. Application of the *Conceptual Framework* will assist you in determining the appropriate financial reporting treatment by going back to first principles.	**IQ1: Asset or liability?** It is essential you do this short question in which you must **apply** the *Conceptual Framework* definition of asset and liability.
4	**IFRS 13, *Fair Value Measurement*** IFRS 13, *Fair Value Measurement* (section 4) brings together guidance on fair value and requires disclosures. It defines fair value as 'the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date'. IFRS 13 will crop up throughout the manual in all kinds of contexts.	**Approach** Work through this section as if learning the IFRS from scratch. This is essential, as it comes up regularly in the manual and in the exam. **Stop and think** Why is fair value not adjusted for transaction costs?	If you look at the table in Section 4.5.2, you will see a range of contexts in which fair value could come up in the exam: Share valuation Intangible assets Impairment PPE Financial instruments	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
5	**IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*** This material should be familiar from your earlier studies.	**Approach** Treat this as revision. The key points are that changes in accounting policies are rare, and allowed only if required by statute/standard-setting body/results in reliable and more relevant information. Changes in accounting estimates are more common because of the judgement required in making estimates. **Stop and think** Why are changes in accounting estimates not accounted for by retrospective application?	IAS 8 could come up in any context, particularly where the directors are trying to change the accounting policy to give a more favourable view. This also raises ethical issues.	**IQ2: Accounting errors** Revision question on correction of a prior period error.
6	**Current issues in corporate reporting** This section summarises the key current issues and points to where they are treated in more detail. The most important current issues are the revised *Conceptual Framework,* covered in Section 2 and sustainability, covered in Section 6.	**Approach** Current issues are covered in this Workbook within the chapters in which the topic appears, so that the changes/proposed changes appear in context. **Stop and think** Which recent document deals with a concept also dealt with in the revised *Conceptual Framework?*	While exams test IFRS that are already in force (Blue Book), if published revised IFRS is not yet examinable, part of a question may ask for a brief explanation as to how the accounting treatment may change.	N/A

1 The regulatory framework

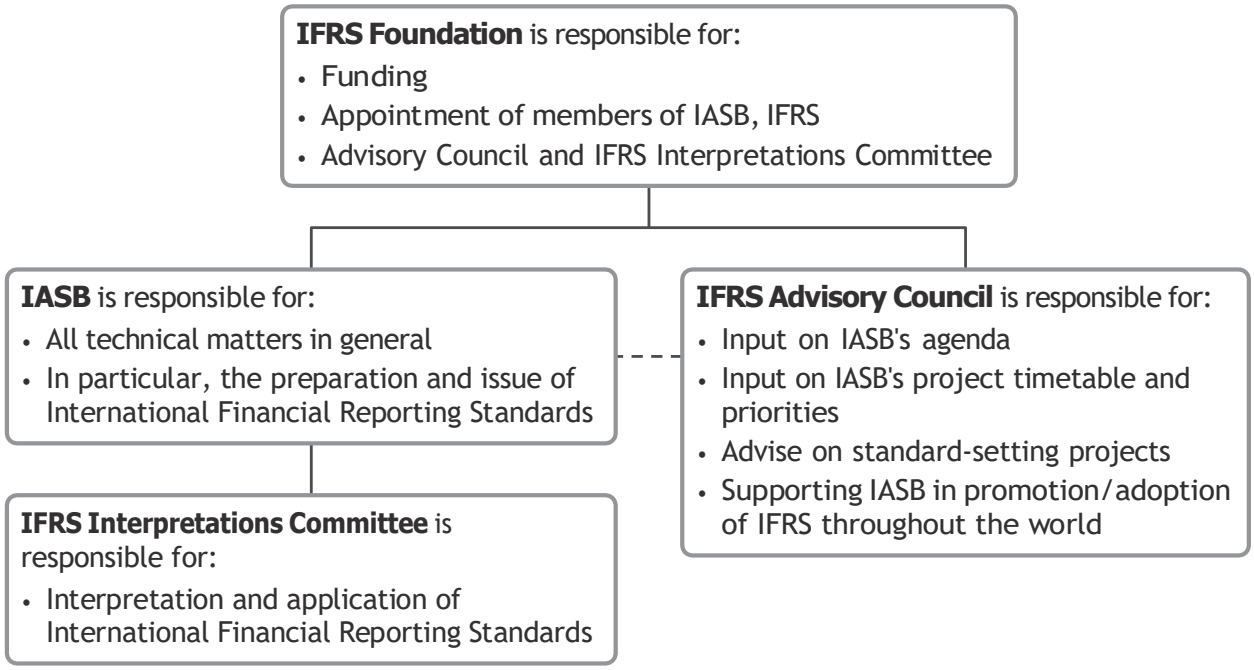
Section overview

- Financial reporting is the provision of financial information to those outside the entity.
- The organisation responsible for setting IFRS® Standards comprises the International Financial Reporting Standards Foundation (IFRS Foundation), the Monitoring Board, the International Accounting Standards Board (IASB), the IFRS Advisory Council (Advisory Council) and the IFRS Interpretations Committee (Interpretations Committee).
- The process of setting IFRS is an open dialogue involving co-operation between national and international standard setters.

1.1 The IFRS Foundation

IASCF was formed in 2001 as a not-for-profit corporation and was the parent entity of the **IASB**. In 2010 it was renamed as the **IFRS Foundation**. The IFRS Foundation is an independent organisation and its trustees **exercise oversight** and raise necessary **funding** for the IASB to carry out its role as standard setter. It also oversees the work of the IFRS Interpretations Committee (formerly called the **International Financial Reporting Interpretations Committee** (IFRIC) and the IFRS Advisory Council (formerly called the **Standards Advisory Council** (SAC). These are organised as follows:

Figure 2.1: IFRS Foundation



IFRS Foundation is responsible for:

- Funding
- Appointment of members of IASB, IFRS
- Advisory Council and IFRS Interpretations Committee

IASB is responsible for:

- All technical matters in general
- In particular, the preparation and issue of International Financial Reporting Standards

IFRS Interpretations Committee is responsible for:

- Interpretation and application of International Financial Reporting Standards

IFRS Advisory Council is responsible for:

- Input on IASB's agenda
- Input on IASB's project timetable and priorities
- Advise on standard-setting projects
- Supporting IASB in promotion/adoption of IFRS throughout the world

1.2 Membership

Membership of the IFRS Foundation has been designed so that it represents an international group of preparers and users, who become IFRS Foundation trustees. The selection process of the **22 trustees** takes into account geographical factors and professional background. IFRS Foundation trustees **appoint the IASB members**.

The **Monitoring Board** ensures that the trustees carry out their duties in accordance with the IFRS Foundation Constitution.

1.3 The IASB

The IASB is responsible for setting accounting standards. It is made up of 15 full-time members and has no particular geographical dominance.
Members have a variety of backgrounds and include the following:

- Auditors
- Preparers of financial statements
- Users of financial statements
- Academics

1.4 Objectives of the IASB

The *Preface to IFRS Standards* states that the objectives of the IASB are as follows:

(a) To develop, in the public interest, **a single set of high quality, understandable, enforceable and globally accepted financial reporting standards** based on clearly articulated principles. These standards should require high quality, transparent and comparable information in financial statements and other financial reporting to help investors, other participants in the various capital markets of the world and other users of the information to make economic decisions.

(b) To promote the **use and rigorous application** of those standards.

(c) In fulfilling the above objectives to take account of, as appropriate, the needs of a range of sizes and types of entities in diverse economic settings.

(d) To promote and facilitate the adoption of IFRS Standards through the **convergence** of national accounting standards and IFRS Standards.

1.5 The purpose of accounting standards

The overall purpose of accounting standards is to identify **proper accounting practices** for the preparation of financial statements.

Accounting standards create a **common understanding** between users and preparers on how particular items, for example the valuation of property, are treated. Financial statements should therefore comply with all applicable accounting standards.

1.6 Application of IFRS

Within each individual country **local regulations govern**, to a greater or lesser degree, the issue of financial statements. These local regulations include accounting standards issued by the national regulatory bodies or professional accountancy bodies in the country concerned.

Over the last 25 years, however, the **influence of IFRS on national accounting requirements and practices has been growing**. For example: Since 2005, all EU companies whose securities are traded on a regulated public market such as the London Stock Exchange **must prepare their consolidated accounts in accordance with IFRS**. (Note that although **group** financial statements must follow IFRS the **individual** financial statements do not need to.)

1.7 Setting of IFRS

The overall agenda of the IASB is initially set by discussion with the IFRS Advisory Council. The process for developing an individual standard involves the following steps.

Chapter 1: The objective of general purpose financial reporting

Chapter 2: Qualitative characteristics of useful financial information

Chapter 3: Financial statements and the reporting entity

Chapter 4: The elements of financial statements

Chapter 5: Recognition and derecognition

Chapter 6: Measurement

Chapter 7: Presentation and disclosure

Chapter 8: Concepts of capital and capital maintenance

During the early stages of a project, the IASB may establish an **Advisory Committee or working group** to give advice on issues arising in the project. Consultation with the Advisory Committee and the Advisory Council occurs throughout the project.

The IASB may develop and publish a **Discussion Paper** for public comment.

Following the receipt and review of comments, the IASB would develop and publish an **Exposure Draft** for public comment.

Following the receipt and review of comments, the IASB would issue a final **International Financial Reporting Standard**.

The period of exposure for public comment is normally 120 days. However, in some circumstances, proposals may be issued with a comment period of not less than 30 days. Draft IFRS Interpretations are exposed for a 60-day comment period.

1.8 Scope and authority of IFRS

The *Preface to IFRS Standards* makes the following points:

(a) IFRS Standards apply to **all general purpose financial statements** ie, those directed towards the common information needs of a wide range of users.

(b) The IASB's objective is to **require like transactions and events to be accounted for and reported in a like way. The IASB intends not to permit choices in accounting treatment.** The IASB is reconsidering those transactions and events for which IFRS Standards permit a

choice of accounting treatment with the objective of reducing the number of those choices.

(c) Standards include paragraphs in bold and plain type. **Bold type paragraphs** indicate the **main principles**, but **both types have equal authority.**

(d) Any limitation of the applicability of a specific IFRS is made clear in that standard.

2 The IASB *Conceptual Framework*



Section overview

The *Conceptual Framework for Financial Reporting* determines:

- how financial statements are prepared; and
- the information they contain.

2.1 *Conceptual Framework*

A conceptual framework is a statement of generally accepted theoretical principles which form the frame of reference for financial reporting.

These theoretical principles provide the basis for the IASB's development of new accounting standards and the evaluation of those already in existence. The financial reporting process is concerned with providing information that is useful in the business and economic decision-making process. Therefore a conceptual framework will form the theoretical basis for determining which events should be accounted for, how they should be measured and how they should be communicated to the user. Although it is theoretical in nature, a conceptual framework for financial reporting has highly practical final aims.

The *Conceptual Framework* consists of eight chapters.

Chapter 1: The objective of general purpose financial reporting

Chapter 2: Qualitative characteristics of useful financial information

Chapter 3: Financial statements and the reporting entity

Chapter 4: The elements of financial statements

Chapter 5: Recognition and derecognition

Chapter 6: Measurement

Chapter 7: Presentation and disclosure

Chapter 8: Concepts of capital and capital maintenance

2.2 Purpose and status

The purpose of the *Conceptual Framework* is to (para. SP1.1):

- Assist the IASB to develop IFRS Standards that are based on consistent concepts;
- Assist preparers of accounts to develop accounting policies in cases where there is no IFRS applicable to a particular transaction, or where a choice of accounting policy exists; and
- Assist all parties to understand and interpret IFRS Standards.

The instances in which a preparer will use the Conceptual Framework to develop an accounting policy are expected to be **rare.** Therefore the Conceptual Framework will primarily be used by the IASB to develop IFRS Standards.

The *Conceptual Framework* is not a Standard. It **does not override any IFRS**, but instead forms the conceptual basis for the development of IFRS Standards.

However, IAS 1, *Presentation of Financial Statements* states that in order to achieve fair presentation, an entity must comply with both:

- IFRS; and
- The *Conceptual Framework for Financial Reporting*.

Many of the IASB's standards have been strongly influenced by the ideas set out in the *Conceptual Framework*.



Professional skills focus: Assimilating and using information

When considering the appropriate financial reporting treatment, it is important to consider all the information in order to determine which IFRS to apply. In the absence of an applicable IFRS, the *Conceptual Framework* will assist.

2.3 Chapter 1: The objective of general purpose financial reporting

The *Conceptual Framework* states (para. 1.2) that:

"The objective of general purpose financial reporting is to provide information about the reporting entity that is useful to existing and potential investors, lenders and other creditors in making decisions relating to providing resources to the entity."

- The types of economic decisions for which financial statements are likely to be used include the following.
- Buying, selling or holding equity and debt instruments;
- Providing or settling loans and other forms of credit; or
- Exercising rights to vote on, or otherwise influence, management's actions that affect the use of the entity's economic resources (*Conceptual Framework,* para.1.2)

Existing and potential investors, lenders and other creditors are referred to as the '**primary users**' of financial statements (para. 1.5). These users need information about (para 1.5):

- The **economic resources of the entity**;
- The **claims against the entity**; and
- How efficiently and effectively the entity's management have discharged their responsibilities relating to the entity's resources (**stewardship**)

Three aspects are relevant to users of financial statements (paras. 1.17–1.21):

- Financial performance reflected by accrual accounting
- Financial performance reflected by past cash flows
- Changes in economic resources and claims not resulting from financial performance, eg a share issue

The *Conceptual Framework* makes it clear that this information should be prepared on an **accruals basis**.

Definition

Accrual accounting: The effects of transactions and other events and circumstances on a reporting entity's economic resources and claims are recognised in the periods in which they occur, even if the resulting cash receipts and payments occur in a different period. (*Conceptual Framework*: para 1.17)

Financial statements prepared using accrual accounting (the accruals basis) show users' past transactions.

Information about a reporting entity's cash flows during a period also helps users assess the entity's ability to generate future net cash inflows and gives users a better understanding of its operations.

The *Conceptual Framework* also mentions several other, secondary, users that are interested in the financial information (*Conceptual Framework,* Chapter 1: para. 1.9, 1.10).

This includes:

- Management
- Regulators
- Members of the public

While users may gain most of their information from the financial statements, it is important that they obtain relevant information from other sources too.

2.4 Chapter 2: Qualitative characteristics of useful financial information

2.4.1 Overview

Qualitative characteristics are the attributes that make the information provided in financial statements useful to users.

The two **fundamental qualitative characteristics** are **relevance** and **faithful representation**.

There are then four **enhancing qualitative characteristics** which enhance the usefulness of information that is relevant and faithfully represented. These are: **comparability, verifiability, timeliness** and **understandability**.

The key issues can be summarised as follows.

Fundamental qualitative characteristics

Relevance

Relevant financial information is capable of making difference in the decisions made by users (*Conceptual Framework*, paras. 2.6 – 2.7), ie if it has:

- Predictive value; and/or
- Confirmatory value.

Faithful representation

To be useful, financial information must not only represent the relevant phenomena but must also faithfully represent the substance of the phenomena that it purports to represent (*Conceptual Framework*, para. 2.12).

A perfect faithful representation would be:

- Complete;
- Neutral; and
- Free from error.

Materiality

Information is material if omitting, misstating or obscuring it could influence decisions that the primary users of general purpose financial statements make on the basis of financial information (*Conceptual Framework*, para. 2.11)

Prudence

Prudence is exercising caution, particularly with areas where judgement or estimation is required. Supports the concept of neutrality.

Enhancing qualitative characteristics

Comparability

Information is more useful if it can be compared with similar information about:

- Other entities; and
- Other periods.

Consistency helps achieve comparability.

Verifiability

Assures users that information faithfully represents the economic phenomenon it purports to represent (*Conceptual Framework*, para. 2.30)

Verification can be direct or indirect.

Timeliness

Having information available to decision makers in time to be capable of influencing their decisions (*Conceptual Framework*, para. 2.33)

Balance between timeliness and accuracy of information.

Understandability

Classifying, characterising and presenting information clearly and concisely (*Conceptual Framework*, para. 2.34).

The cost constraint on useful financial reporting

Consideration of whether the benefits of reporting particular information justify the costs incurred to provide and use that information.

2.5 Chapter 3: Financial statements and the reporting entity

2.5.1 Overview

Chapter 3 of the *Conceptual Framework* covers the objectives and scope of the financial statements, including the definition of the reporting period and the main perspective adopted in the financial statements: the financial statements should provide information about transactions from the perspective of the reporting entity, not that of the investors. This is to try to avoid investor bias when reporting on the entity.

2.5.2 Objective and scope of financial reporting

The objective of financial statements is to provide financial information about the reporting entity's assets, liabilities, equity, income and expenses that is useful to users of financial statements in assessing the prospects for future net cash inflows to the reporting entity and in assessing management's stewardship of the entity's economic resources. (*Conceptual Framework,* Chapter 3: para. 3.2).

2.5.3 Reporting period

Financial statements are prepared for a specific period of time (the reporting period) and provide information about assets and liabilities, and income and expenses. Comparative information must also be provided.

The financial statements should provide information about transactions from the perspective of the reporting entity, not that of the investors. This is to try to avoid investor bias when reporting on the entity.

(*Conceptual Framework,* Chapter 3: para. 3.4, 3.5).

2.5.4 Underlying assumption: going concern



Definition

Going concern: Financial statements are normally prepared on the assumption that the reporting entity is a going concern, and will continue in operation for the foreseeable future. Hence, it is assumed that the entity has neither the intention nor the necessity of liquidation nor the need to cease trading.

(*Conceptual Framework*: para. 3.9)

It is assumed that the entity has no intention to liquidate or curtail major operations. If it did, then the financial statements would be prepared on a **different (disclosed) basis** for example, the 'break up' basis.

2.5.5 The reporting entity



Definition

Reporting entity: An entity that is required, or chooses, to prepare financial statements. A reporting entity can be a single entity or a portion of an entity or can comprise more than one entity. A reporting entity is not necessarily a legal entity (para. 3.10).

2.5.6 Consolidated and unconsolidated financial statements

If a reporting entity comprises both the parent and its subsidiaries, the reporting entity's financial statements are referred to as 'consolidated financial statements'. If a reporting entity is the parent alone, the reporting entity's financial statements are referred to as 'unconsolidated financial statements').

(*Conceptual Framework,* Chapter 3: para. 3.15 – 3.17).

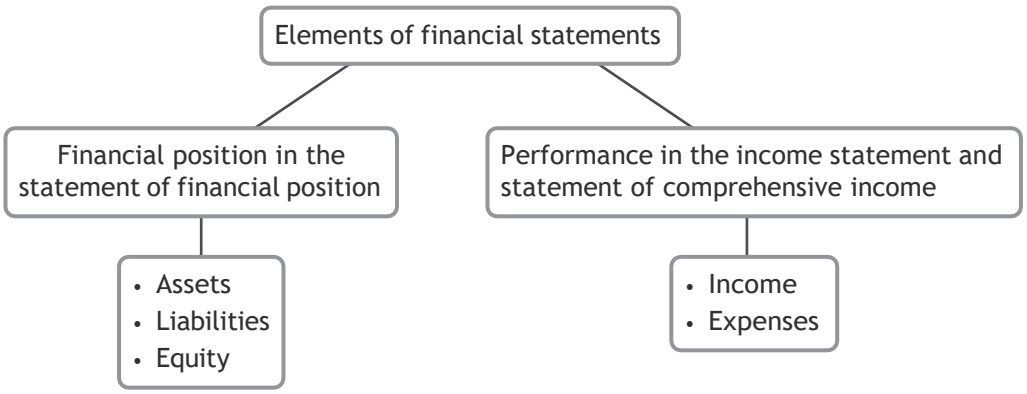
2.6 Chapter 4: The elements of financial statements

2.6.1 Overview

Transactions and other events are grouped together in broad **classes** and in this way their financial effects are shown in the financial statements. These broad classes are the elements of financial statements.

The *Conceptual Framework* lays out these elements as follows.

Figure 2.2: Elements of financial statements



Contributions from equity participants and distributions to them are shown in the statement of changes in equity.

2.6.2 Definitions of elements

Element	Definition	Comment
Asset	A present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits.	Technically, the asset is the potential to produce economic benefits (eg, cash generation), not the underlying item of property itself (eg, a machine).
Liability	A present obligation of the entity to transfer an economic resource as a result of past events.	An essential characteristic of a liability is that the entity has an obligation. An obligation is 'a duty or responsibility that the entity has no practical ability to avoid'
Equity	The residual amount found by deducting all the entity's liabilities from all the entity's assets.	Equity = ownership interest = net assets. For a company, this usually comprises shareholders' funds (ie, capital and reserves).
Income	Increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from equity participants.	Income comprises revenue and gains, including all recognised gains on non-revenue items (eg, revaluations of non-current assets).
Expenses	Decreases in assets, or increases in liabilities, that result in decreases in equity, other than those relating to distributions to equity participants.	Expenses include losses, including all recognised losses on non-revenue items (such as write downs of non- current assets).

Note the way that the changes in economic benefits resulting from asset and liability increases and decreases are used to define:

- Income
- Expenses

This arises from the '**balance sheet approach**' adopted by the *Conceptual Framework* which treats performance statements, such as the statement of profit or loss and other comprehensive income, as a means of reconciling changes in the financial position amounts shown in the statement of financial position.

IFRS 16, *Leases* requires a lessee to recognise a right-of-use asset for each lease they enter into (with limited exceptions). A right-of-use asset is consistent with the definition of an asset in the *Conceptual Framework:* as a result of entering into the lease agreement (past event), the lessee can direct the use of the leased asset (control) in the course of business in order to directly or indirectly generate economic benefits.

IFRS 16 also requires the recognition of a lease liability, equivalent to the present value of future lease payments. The lease liability meets the *Conceptual Framework* definition of a liability: the lessee has a responsibility (present obligation) as a result of entering into the lease agreement (past event) to pay the lease rentals (transfer of economic benefits) as they become due.

These key definitions of 'asset' and 'liability' will be referred to again and again in these learning materials, because they form the foundation on which so many accounting standards are based. It is very important that you can reproduce these definitions accurately and quickly.

2.6.3 Assets

We can look in more detail at the components of the definitions given above.

Assets must give rise to **future economic benefits**, either alone or in conjunction with other items.



Definition

Potential to produce economic benefit: An economic resource is a right that has the potential to produce economic benefits. *(Conceptual Framework,* para.4.14)

In simple terms, an item is an asset if:

- it is **cash** or the **right to cash** in future eg, a receivable, or a **right to services** that may be used to generate cash eg, a prepayment; or
- it can be used to **generate cash** or **meet liabilities** eg, a tangible or intangible non-current asset.

The **existence** of an asset, particularly in terms of **control**, is **not reliant** on:

- **physical form** (hence intangible assets such as patents and copyrights may meet the definition of an asset and appear in the statement of financial position – even though they have no physical substance); or
- **legal ownership** (hence some leased assets, even though not legally owned by the company, may be included as assets in the statement of financial position (see Chapter 14).

Transactions or events in the **past** give rise to assets. Those expected to occur in future do not in themselves give rise to assets.

2.6.4 Liabilities

Again we look more closely at some aspects of the definition.

For a liability to exist, three criteria must all be satisfied (para. 4.27):

- The entity has an obligation
- The obligation is to transfer an economic resource
- The obligation is a present obligation that exists as a result of past events

Definition

Obligation: A duty or responsibility that the entity has no practical ability to avoid (para.4.29)

A present obligation exists as a result of past events if the entity has already obtained economic benefits or taken an action, and as a consequence, the entity will or may have to transfer an economic resource that it would not otherwise have had to transfer (para.4.43)

As seen above, obligations may be:

(a) **legally enforceable** as a consequence of a binding contract or statutory requirement. This is normally the case with amounts payable for goods and services received; or

(b) the result of **business practice**. For example, even though a company has no legal obligation to do so, it may have a policy of rectifying faults in its products even after the warranty period has expired.

A **management decision** (to acquire an asset, for example) **does not in itself create an obligation**, because it can be reversed. But a management decision implemented in a way which creates expectations in the minds of customers, suppliers or employees becomes an obligation. This is sometimes described as a **constructive obligation**. This issue is covered more fully in Chapter 13 in the context of the recognition of provisions.

Liabilities must arise from **past transactions or events**. For example, the sale of goods is the past transaction which allows the recognition of repair warranty provisions.

Settlement of a present obligation will involve the entity **giving up resources** giving rise to economic benefits in order to satisfy the claim of the other party. In practice, most liabilities will be met in **cash** but this is not essential.

Interactive question 1: Asset or liability?

Question	Answer
Oak plc has purchased a patent for £40,000. The patent gives the company sole use of a particular manufacturing process which will save £6,000 a year for the next five years.	
Elm plc paid John Brown £20,000 to set up a car repair shop, on condition that priority treatment is given to cars from the company's fleet.	
Sycamore plc provides a warranty with every washing machine sold.	

See **Answer** at the end of this chapter.

2.6.5 Equity

Equity is the **residual of assets less liabilities**, so the amount at which it is shown is dependent on the measurement of assets and liabilities. It has nothing to do with the market value of the entity's shares.

Equity may be **sub-classified** in the statement of financial position providing information which is relevant to the decision-making needs of the users. This will indicate legal or other restrictions on the ability of the entity to distribute or otherwise apply its equity.

In practical terms, the important distinction between liabilities and equity is that creditors have the **right** to insist that the transfer of economic resources is made to them regardless of the

entity's financial position, but owners do not. All decisions about payments to owners (such as dividends or share capital buyback) are at the discretion of management.

2.6.6 Performance

Profit is used as a **measure of performance**, or as a basis for other measures (eg, earnings per share (EPS)). It depends directly on the measurement of **income and expenses**, which in turn depend (in part) on the concepts of capital and capital maintenance adopted.

Income and expenses can be **presented in different ways** in the statement of profit or loss and other comprehensive income, to provide information relevant for economic decision-making. For example, a statement of profit or loss and other comprehensive income could distinguish between income and expenses which relate to continuing operations and those which do not.

Items of income and expense can be **distinguished** from each other or **combined** with each other.

Income

Both **revenue** and **gains** are included in the definition of income. **Revenue** arises in the course of ordinary activities of an entity. (We will look at revenue in more detail in Chapter 10.)



Definition

Gains: Increases in economic benefits. As such, they are no different in nature from revenue.

Gains include those arising on the disposal of non-current assets. The definition of income also includes **unrealised gains** eg, on **revaluation** of non-current assets.

A **revaluation** gives rise to an increase or decrease in equity.

These increases and decreases appear in the statement of profit or loss and other comprehensive income.

(Gains on revaluation, which are recognised in a revaluation surplus, are covered in Chapter 12.)

Expenses

As with income, the definition of expenses includes **losses** as well as those expenses that arise in the course of ordinary activities of an entity.



Definition

Losses: Decreases in economic benefits. As such, they are no different in nature from other expenses.

Losses will include those arising on the disposal of non-current assets. The definition of expenses will also include **unrealised losses**.

2.7 Chapter 5: Recognition and derecognition of the elements of financial statements

2.7.1 Meaning of recognised

An item is recognised when it is included in the statement of financial position or statement of profit or loss and other comprehensive income.

Items which meet the definition of assets or liabilities may still not be recognised in financial statements because they must also meet certain **recognition criteria**.

Definition

Recognition: The process of capturing for inclusion in the statement of financial position or statement(s) of profit or loss and other comprehensive income an item that meets the definition of one of the elements of financial statements – an asset, a liability, equity, income or expenses. (*Conceptual Framework*: para. 5.1)

An asset or liability should be recognised if it will be both:

- **Relevant;** and
- Provide users of the financial st**atements with a faithful representation** of the transactions of that entity

The *Conceptual Framework* takes, therefore, these fundamental qualitative characteristics along with the definitions of the elements of the financial statements as the key components of recognition.

Even if an item is not recognised, then the preparers of the financial statements should consider whether, in order to meet the faithful representation requirement, there should be a description in the notes to the financial statements.

2.7.2 Derecognition

Definition

Derecognition: The removal of all or part of a recognised asset or liability from an entity's statement of financial position. Derecognition normally occurs when that item no longer meets the definition of an asset or liability. (*Conceptual Framework*: para. 5.26)

The *Conceptual Framework* considers derecognition to be a factor when the following occurs:

(a) Loss of control of or all or part of the recognised asset; or

(b) The entity no longer has an obligation for a liability

This is covered in more detail in the following chapters covering the specific elements, such as recognition and derecognition of financial instruments and non- current tangible assets. The IASB has brought these concepts of recognition and derecognition into the *Conceptual Framework* so that they can be revisited when issuing new standards or revising existing ones.

2.8 Chapter 6: Measurement of the elements of financial statements

2.8.1 Overview

A number of different measurement bases are used in financial statements. They include:

- Historical cost
- Value in use
- Fair value
- Current cost

In the *Conceptual Framework*, the guidelines surrounding the measurement of elements are clarified and given more substance.

Definition

Measurement: Elements recognised in the financial statements are quantified in monetary terms. This requires the selection of a measurement basis. (*Conceptual Framework*: para. 6.1)

This involves the selection of a particular **basis of measurement**. A number of these are used to different degrees and in varying combinations in financial statements. They include the following.



Definitions

Historical cost: The price paid for an asset or for the event which gave rise to the liability. The price will not change.

Current value: The price paid for an asset or the liability value will be updated to reflect any changes since it was acquired or incurred. There are three main bases recognised by the *Conceptual Framework* that make up current value:

Fair value: Price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. (IFRS 13, Appendix A)

Value in use: The present value of the cash flows, or other economic benefits, that an entity expects to derive from the use of an asset and its ultimate disposal (*Conceptual Framework*, para.6.17).

Current cost: Current cost, like historical cost, is an entry value: it reflects prices in the market in which the entity would acquire assets or incur the liability.

2.8.2 Historical cost

Historical cost is the most commonly adopted measurement basis, but this is usually combined with other bases, eg inventory is carried at the lower of cost and net realisable value.

Recent standards use the concept of fair value, which is defined by IFRS 13 as 'the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date' (IFRS 13: para. 9).

2.8.3 Current value

Current value accounting reflects the valuation of the assets or liabilities based on conditions and information available at the measurement date. The *Conceptual Framework* discusses the bases of measurement, and the factors to be considered when choosing the appropriate measurement method. The three bases that make up current value are fair value, value in use and current cost.

2.8.4 Fair value

The definition of fair value, as stated in IFRS 13 is 'the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date' (IFRS 13, Appendix A).

The specifics of fair value in relation to tangible non-current assets (IAS 16), business combinations (IFRS 3), biological assets (IAS 41) and non-current assets held for sale and discontinued operations (IFRS 5) are covered in the relevant chapters.

Fair value is most commonly calculated by taking the open market value. Where there is no active market for the asset or liability, then the following should be used as a basis.

- Estimates of future cash flows
- Time value of money (discounting the future cash flows)

In each case, it will be taking into consideration the uncertainty of the market. Fair value looks at the potential future value of the asset or liability.

2.8.5 Value in use

This is calculated by taking the present value of the cash flows or other benefits that the entity will receive during the lifetime of the asset or liability, and deducting any disposal costs. The value of the asset or liability considers the future cash flows (therefore, it does not include the costs of acquiring the item in the first place).

At first glance this seems similar to the fair value basis, however, value in use considers entity specific factors affecting it, and the fair value basis looks at the market perspective.

Value in use looks at the likely future value of the entity using the asset or liability.

2.8.6 Current cost

Current cost, like historical cost, is an entry value: it reflects prices in the market in which the entity would acquire assets or incur the liability (*Conceptual Framework,* para.6.21). Essentially the replacement cost of an asset or liability.

2.9 Chapter 7: Presentation and disclosure

2.9.1 Overview

Chapter 7 of the *Conceptual Framework* covers the high level principles behind the need for a consensus on presentation and disclosure, not just between periods for the entity, but also across different entities.

2.9.2 Principles of presentation and disclosure

Rather than relying on prescriptive rules regarding presentation and disclosure, the main principles are established which include:

- Classification of assets and liabilities of a similar nature together (whilst keeping dissimilar ones separated), according to their nature, function or method of measurement. This is also to avoid the issue of 'offsetting' whereby items of a dissimilar nature are grouped together, for example an asset and a liability offset to provide a much smaller number in the financial statements.
- Avoiding unnecessary detail which can obscure the important facts
- Equally, avoiding a standardised approach (often referred to as 'boilerplate') but instead giving the entity an opportunity to provide details relevant to the organisation and its business
- Specific details regarding the classification of assets, liabilities, equity, income and expenses

2.9.3 Interaction with IAS 1

Financial statements should **present fairly** the financial position, financial performance and cash flows of an entity. **Compliance with IFRS** is presumed to result in financial statements that achieve a fair presentation. (IAS 1: para. 15)

IAS 1 stipulates that financial statements shall present fairly the financial position, financial performance and cash flows of an entity. Fair presentation requires the faithful representation of the effects of transactions, other events and conditions in accordance with the definitions and recognition criteria for assets, liabilities, equity, income and expenses set out in the *Conceptual Framework*.

The following points made by IAS 1 expand on this principle.

(a) **Compliance with IFRS** should be disclosed

(b) **All relevant IFRS** must be followed if compliance with IFRS is disclosed

(c) Use of an **inappropriate accounting treatment** cannot be rectified either by disclosure of accounting policies or notes/explanatory material

IAS 1 states what is required for a fair presentation.

(a) Selection and application of suitable **accounting policies**

(b) **Presentation of information** in a manner which provides relevant, reliable, comparable and understandable information

(c) **Additional disclosures** where required

(IAS 1: para. 17)

Professional skills focus: Applying judgement

Judgement is particularly important in the context of disclosure. A balance has to be struck between providing the necessary information for a full understanding and 'information overload', where the important information gets buried.

2.10 Chapter 8: Concepts of capital and capital maintenance

The final section of the *Conceptual Framework* is devoted to a brief discussion of the different concepts of capital and capital maintenance, pointing out that:

- the choice between them should be made on the basis of the needs of users of financial statements; and
- the IASB has no present intention of prescribing a particular model.

2.10.1 Financial capital and capital maintenance

Definition

Financial capital maintenance: Under a financial concept of capital maintenance, such as invested money and invested purchasing power, capital is synonymous with the net assets or equity of the entity.

The financial concept of capital is adopted by most entities.

This concept measures capital as the **equity in the statement of financial position**. Profit is only earned in an accounting period **if the equity at the end of the period is greater than it was at the start**, having excluded the effects of distributions to or contributions from the owners during the period.

Monetary measure of capital

Financial capital is usually measured in **monetary terms** eg, the pound sterling or the euro. This is the concept applied in historical cost accounting. This measure can be quite stable over short periods of years, but is debased by quite low rates of general inflation over longer periods, such as 20 years. So comparisons between capital now and capital 20 years ago are invalid, because the measurement instrument is not constant.

Constant purchasing power

A variant on the monetary measure of financial capital is the constant purchasing power measure. On this basis, **the opening capital (ie, equity) is uprated by the change in a broadly based price index**, often a retail prices index, over the year. Also, the transactions during the year are uprated by the change in the same index. A profit is only earned if **the capital at the end of the year exceeds these uprated values**. (The value of the uprating is taken to equity, but is not regarded as a profit, merely a 'capital maintenance' adjustment.) So this capital maintenance adjustment can be thought of as an additional expense. Comparisons over a 20-year period will be more valid if the capital 20 years ago is uprated for general inflation over that 20-year period.

However, there is no reason why inflation measured by a retail prices index should be at all close to the inflation experienced by an individual company. The physical capital maintenance concept (see below) seeks to address this.

2.10.2 Physical capital and capital maintenance



Definition

Physical capital maintenance: Under a physical concept of capital, such as operating capability, capital is regarded as the productive capacity of the entity based on, eg, units of output per day.

This concept looks behind monetary values, to the underlying **physical productive capacity of the entity**. It is based on the approach that an entity is nothing other than a means of producing saleable outputs, so a profit is earned only after that productive capacity has been maintained by a 'capital maintenance' adjustment. (Again, the capital maintenance adjustment is taken to equity and is treated as an additional expense in the statement of profit or loss and other comprehensive income.) Comparisons over 20 years should be more valid than under a monetary approach to capital maintenance.

The difficulties in this approach lie in making the capital maintenance adjustment. It is basically a current cost approach, normal practice being to use industry-specific indices of movements in non- current assets, rather than to go to the expense of annual revaluations by professional valuers. The difficulties lie in finding indices appropriate to the productive capacity of a particular entity.



Context example: Capital maintenance concepts

Meercat plc purchased 20,000 electrical components on 1 January 20X7 for £10 each. They were all sold on 31 December 20X7 for £250,000. On that date the replacement cost of an electrical component was £11.50. The general rate of inflation as measured by the general price index was 12% during the year. Profit could be calculated as follows:

	Financial cap. maint'nce (monetary terms) £	Financial cap. maint'nce (constant purchasing power) £	Physical cap. maint'nce £
Revenue	250,000	250,000	250,000
Cost of sales			
20,000 × 10	(200,000)		
20,000 × 11.2		(224,000)	
20,000 × 11.5			(230,000)
Profit	50,000	26,000	20,000

3 Other reporting frameworks

Section overview

- This Workbook (and your exam) focuses on IFRS, but there are other reporting frameworks you need to know about, particularly those that relate to smaller entities.
- The IASB's IFRS for small and medium-sized entities (SMEs) is designed to facilitate financial reporting by small and medium-sized entities in a number of ways.

3.1 Small and medium-sized enterprises (SMEs)

3.1.1 Scope and application of IFRS

Any limitation of the applicability of a specific IFRS is made clear within that standard. IFRS are **not intended to be applied to immaterial items, nor are they retrospective**. Each individual IFRS lays out its scope at the beginning of the standard.

Within each individual country **local regulations** govern, to a greater or lesser degree, the issue of financial statements. These local regulations include accounting standards issued by the national regulatory bodies and/or professional accountancy bodies in the country concerned.

IFRS **concentrates on essentials** and is designed not to be too complex, otherwise the standards would be impossible to apply on a worldwide basis.

IFRS does not override local regulations on financial statements. Entities should simply disclose whether IFRS is complied with in all material respects. Entities in individual countries will attempt to persuade local authorities, where current regulations deviate from IFRS, that the benefits of harmonisation make local change worthwhile.

3.1.2 Application of IFRS to smaller entities Big GAAP/little GAAP divide

In most countries the majority of companies or other types of entity are **very small**. They are generally owned and managed by one person or a family. The owners have invested their own money in the business and there are no outside shareholders to protect.

Large entities, by contrast, particularly companies listed on a stock exchange, may have shareholders who have invested their money, possibly through a pension fund, with no knowledge whatsoever of the company. These shareholders need protection and the regulations for such companies need to be more stringent.

It could therefore be argued that company accounts should be of two types.

(a) 'Simple' ones for small companies with fewer regulations and disclosure requirements

(b) 'Complicated' ones for larger companies with extensive and detailed requirements

This is sometimes called the **big GAAP/little GAAP divide**.

Possible solutions

There are two approaches to overcoming the big GAAP/little GAAP divide:

(a) Differential reporting ie, producing new reduced standards specifically for smaller companies, such as the IFRS for SMEs (see below)

(b) Providing exemptions for smaller companies from some of the requirements of existing standards

Differential reporting

Differential reporting may have drawbacks in terms of reducing comparability between small and larger company accounts.

Furthermore, problems may arise where entities no longer meet the criteria to be classified as small.

Exemptions from IFRS

Some IFRS Standards do not have any bearing on small company accounts; for example, a company with equity not quoted on a stock exchange has no need to comply with IAS 33, *Earnings per Share*. Also, an entity with a small local market may find IFRS 8, *Operating Segments* to be superfluous.

Other standards always have an impact. In particular, almost all small companies will be affected by the IFRS Standards on the following:

- Property, plant and equipment
- Inventories
- Presentation of financial statements
- Events occurring after the reporting period
- Taxes on income
- Revenue
- Provisions and contingencies

Does this mean that companies below a certain size should be exempt from other IFRS? An alternative approach would be to reduce the exposure of small companies to IFRS on a **standard by standard basis**. For those 'core' standards listed above, small companies would be required to follow all or most of their provisions. For more complicated standards, small companies would face nothing but very brief general obligations.

It is difficult to see how the IASB could impose any kind of specific size limits to define small companies if such an approach were adopted. Instead, it might specify that size limits which are already given in national legislation or standards could be adopted for the purpose.

Cost of compliance

If the cost of compliance exceeds the benefits to users, an entity may decide not to follow an IFRS. This applies to all reporting entities, not just smaller ones. However, smaller entities are more likely to make use of this exception.

For example, impairment reviews can be time consuming and a smaller entity may not have sufficient staff to spare to carry out these reviews.

Materiality

Another point to note is that IFRS Standards apply to **material** items. In the case of smaller entities, the amount that is material may be very small in monetary terms. However, the effect of not reporting that item may be material in that it would mislead users of the financial statements. A case in point is IAS 24, *Related Party Disclosures*. Smaller entities may well rely on trade with relatives of the directors/shareholders and this needs to be disclosed.

3.1.3 International Financial Reporting Standard for Small and Medium-sized Entities

The *IFRS for Small and Medium-Sized Entities* (IFRS for SMEs) was published in 2009 and revised in 2015 and 2018. It is relatively short, and has simplifications that reflect the needs of users of SMEs' financial statements and cost-benefit considerations.

It is designed to facilitate financial reporting by SMEs in a number of ways.

- It provides significantly less guidance than full IFRS.
- Many of the principles for recognising and measuring assets, liabilities, income and expenses in full IFRS are simplified.

- Where full IFRS allows accounting policy choices, the IFRS for SMEs allows only the easier option.
- Topics not relevant to SMEs are omitted.
- Significantly fewer disclosures are required.
- The standard has been written in clear language that can easily be translated.

3.1.4 Scope

The IFRS is suitable for all entities except those whose securities are publicly traded and financial institutions such as banks and insurance companies. It is the first set of international accounting requirements developed specifically for SMEs. Although it has been prepared on a similar basis to full IFRS, it is a standalone product and will be updated on its own timescale.

There are no quantitative thresholds for qualification as an SME; instead, the scope of the IFRS is determined by a test of public accountability. As with full IFRS, it is up to legislative and regulatory authorities and standard setters in individual jurisdictions to decide who is permitted or required to use the IFRS for SMEs.

3.1.5 Effective date

The IFRS for SMEs does not contain an effective date; this is determined in each jurisdiction. The IFRS will be revised only once every three years. It is hoped that this will further reduce the reporting burden for SMEs.

3.1.6 Accounting policies

For situations where the IFRS for SMEs does not provide specific guidance, it provides a hierarchy for determining a suitable accounting policy. An SME must consider, in descending order:

- The guidance in the IFRS for SMEs on similar and related issues
- The definitions, recognition criteria and measurement concepts in section 2 *Concepts and Pervasive Principles* of the standard

The entity also has the option of considering the requirements and guidance in full IFRS dealing with similar topics. However, it is under no obligation to do this, or to consider the pronouncements of other standard setters.

3.1.7 Overlap with full IFRS

In the following areas, the recognition and measurement guidance in the IFRS for SMEs is like that in the full IFRS.

- Provisions and contingencies
- Hyperinflation accounting
- Events after the end of the reporting period
- Taxation
- Property, plant and equipment

3.1.8 Omitted topics

The IFRS for SMEs does not address the following topics that are covered in full IFRS.

- Earnings per share
- Interim financial reporting
- Segment reporting
- Classification for non-current assets (or disposal groups) as held for sale

3.1.9 Examples of options in full IFRS not included in the IFRS for SMEs

- Revaluation model for intangible assets and property, plant and equipment
- Financial instrument options, including investments in equity interests, held-to-maturity and fair value options
- Choice between cost and fair value models for investment property (measurement depends on the circumstances)
- Options for government grants

3.1.10 Principal recognition and measurement simplifications

(a) **Financial instruments**

Financial instruments meeting specified criteria are measured at cost or amortised cost. All others are measured at fair value through profit or loss. The procedure for derecognition has been simplified, as have hedge accounting requirements.

(b) **Goodwill and other indefinite-life intangibles**

These are always amortised over their estimated useful life (or 10 years if it cannot be estimated).

(c) **Investments in associates and joint ventures**

These can be measured at cost, but fair value must be used if there is a published price quotation.

(d) **Research and development costs and borrowing costs** must be expensed.

(e) **Held-for-sale assets**

There is no separate held-for-sale classification; holding an asset or group of assets for sale is an indicator of impairment.

(f) **Biological assets**

SMEs are to use the cost less depreciation and impairment model unless the fair value is readily determinable, in which case the fair value through profit or loss model is required.

(g) **Equity-settled share-based payment**

If observable market prices are not available to measure the fair value of the equity-settled share-based payment, the directors' best estimate is used.

3.1.11 *The future of the IFRS for SMEs*

The IASB has committed to perform regular reviews of the IFRS for SMEs Accounting Standard in order that it can be updated to reflect changes to full IFRS Accounting Standards, and any application problems can be addressed. At the time of writing (June 2024) the second comprehensive review of the Standard continues and an exposure draft has been issued. The proposed changes include:

- *Clarifications of the definition of public accountability*
- *Revisions to align Section 2 Concepts and Pervasive Principles with the 2018 Conceptual Framework*
- *Revisions to align the definition of 'control' with that in IFRS 10, Consolidated Financial Statements and the definition of 'joint control' with that in IFRS 11, Joint Arrangements*
- *Addition of a new section on fair value measurement that is aligned with IFRS 13*
- *Revisions to align the Standard with IFRS 3, Business Combinations and require the use of the acquisition method of accounting.*

3.1.12 Advantages and disadvantages of the IFRS for SMEs Advantages

- It is virtually a '**one stop shop**'.
- It is **structured according to topics**, which should make it practical to use.
- It is written in an **accessible style**.
- There is **considerable reduction in disclosure requirements**.
- Guidance **not relevant** to private entities is **excluded**.

Disadvantages

- It does not focus on the smallest companies.
- The scope extends to 'non publicly accountable' entities. Potentially, the scope is too wide.
- The standard will be onerous for small companies.
- Further simplifications could be made. These might include the following:
  - Amortisation for goodwill and intangibles
  - No requirement to value intangibles separately from goodwill on a business combination
  - No recognition of deferred tax
  - No measurement rules for equity-settled share-based payment
  - No requirement for consolidated accounts (as for EU SMEs currently)
  - Fair value measurement when readily determinable without undue cost or effort

3.2 Auditing smaller entities

3.2.1 International standards on auditing for small companies

Unlike the IFRS Standards, there are no separate auditing standards applying specifically to smaller entities. This is based on the view that 'an audit is an audit' and that users who receive auditors' reports need to have confidence in the auditor's opinions, whether they are in relation to large or small entity financial statements.

However, there is an acknowledgement that small and medium enterprises do pose specific challenges to the auditor in certain areas. Some of the ISAs that you have already studied highlight how their requirements should be applied to small company audits.

Note: Recent revisions to auditing standards have moved away from stating **considerations relevant to smaller entities** and instead introduced the idea of **scalability** which is designed to allow ISAs to be applied proportionately to the **scale** and **complexity** of risks presented by a particular audit engagement, **regardless of its size**. In other words, large engagements may not be considered as complex as some comparatively smaller engagements, perhaps as a result of the absence of robust systems of internal control. The following guidance reflects the current position of how ISAs advise auditors to address the challenges of auditing smaller entities.

3.2.2 ISA 210, *Agreeing the Terms of Audit Engagements*

The owner of a small company may not be aware of directors' and auditors' responsibilities, particularly if the accounts preparation is outsourced. A primary purpose of the **engagement letter** is to clarify these responsibilities. ISA 210.A21 states that it may be useful in this situation to remind management that the preparation of the financial statements remains their responsibility.

3.2.3 ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

The audit of a smaller entity must still be compliant with ISAs. However, many smaller engagements may be conducted by smaller firms that are unable to meet the specific

requirements of ISQM 1 and 2 and ISA 220 (Revised), such as supervision and review, due to insufficient staffing in the firm. In such cases, quality management may be undertaken on a more ad-hoc basis.

3.2.4 ISA 230, *Audit Documentation*

A small audit team may have an excellent understanding of the audit client, but it is important to ensure that working papers **meet the standard required by the ISA** and to prepare audit documentation that can be understood by an experienced auditor, as the documentation may be subject to review by external parties for regulatory or other purposes.

The standard (ISA 230.A16–.A17) does allow for the following:

(a) The documentation being less extensive than for the audit of a larger entity

(b) Where the engagement partner performs all the audit work, matters that are normally documented solely to instruct or inform members of the team, or to provide evidence of review, will not be included

(c) Various aspects of the audit may be recorded together in a single document

3.2.5 ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*

Within small companies, the **lack of control procedures** can contribute to a higher risk of employee fraud and error. On the other hand, a smaller entity may not have a written code of conduct but may have developed a culture of integrity and ethical behaviour through oral communication and management example.

The presence of a dominant owner-manager can be an important factor in the overall control environment, with the need for management authorisation compensating for the lack of other controls. However, this can be a potential deficiency in internal control, due to the opportunity for management to override controls.

ISA 240 requires discussion among the audit team of the **susceptibility of the entity to material frauds or errors**. This discussion is still required for a small entity but is often overlooked due to the size of the audit team.

In addition, ISA 240 requires auditors to ask management about their assessment of risk of fraud and error. Even if management do not have a system of assessing risk, the enquiry should still be made, as it provides valuable information about the control environment, although in smaller entities management's assessment may only focus on the risks of employee fraud or misappropriation of assets. (ISA 240.A14)

3.2.6 ISA 300, *Planning an Audit of Financial Statements*

Due to the lack of complexity, **audit planning documentation** may be **scaled back** for a small entity. With a smaller team, co-ordination and communication are easier. A planning meeting or general conversation may be sufficient, and notes made about future issues during last year's audit will be particularly useful.

Standard audit programmes or checklists may be used, provided that they are tailored to the circumstances of the engagement, including the auditor's risk assessments.

In the smallest audits, carried out entirely by the audit partner, questions of direction, supervision and review do not arise. Forming an objective view on the appropriateness of judgements made in the course of the audit can present problems in this case and, if particularly complex or unusual issues are involved, it may be desirable to consult with other suitably experienced auditors or the auditor's professional body. (ISA 300.A11, A13, A14, A23)

3.2.7 ISA 320, *Materiality in Planning and Performing an Audit*

The standard highlights that in an owner-managed business the profit before tax for the year may be consistently nominal, as the owner may take most of the profits as remuneration, so it

may be more appropriate to use profit before remuneration as the basis for estimating materiality. (ISA 320.A9)

Another practical issue is that at the planning stage it is often difficult to calculate materiality as a percentage of key figures eg, of assets, revenue or profit, as the draft accounts may be unavailable for a small business. Trial balance figures may have to be used instead.

The auditor will need to use **judgement** in applying materiality when evaluating results.

3.2.8 ISA 550, *Related Parties*

In a small entity, related party transactions between the company and its directors and their families may be **significant** but smaller entities may have no documented processes or controls for dealing with related party relationships and transactions. The auditor will have to obtain an understanding of the related party relationships and transactions through enquiry of management and observation of management's oversight and review activities. (ISA 550.A20)

The auditor's in-depth knowledge of the smaller entity will assist in identification of related parties (for example, other entities controlled by the owner management) which will also help the auditor to assess the risk of any transactions being unrecorded or undisclosed.

3.2.9 ISA 570 (Revised), Going Concern

The size of an entity may affect its ability to withstand adverse conditions. Small entities may be able to respond quickly to exploit opportunities, but may lack reserves to sustain operations.

Risks of particular relevance to small entities are:

- that banks and other lenders may cease to support the entity; and
- the possible loss of a principal supplier, major customer or key employee, or of the right to operate under a licence, franchise or other legal agreement. (ISA 570.A5–.A6)

It is unlikely that budgets and forecasts will be available for the auditor to review. In many businesses the principal source of finance may be a loan from the owner-manager.

If an entity is in difficulty, its survival may depend on the owner-manager subordinating their loan in favour of banks or other financial institutions. In this case, the auditor would inspect sufficient, appropriate evidence of the subordination.

If an entity depends on funds from the owner-manager, the auditor will consider their current financial position and may ask for a written representation to confirm the owner-manager's understanding. (ISA 570.A12-.A13)

4 IFRS 13, *Fair Value Measurement*



Section overview

- IFRS 13, *Fair Value Measurement* gives extensive guidance on how the fair value of assets and liabilities should be established.
- IFRS 13 aims to:
  - define fair value
  - set out in a single IFRS a framework for measuring fair value
  - require disclosures about fair value measurements
- IFRS 13 defines fair value as "**the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date**".

- Fair value is a market-based measurement, not an entity-specific measurement. It focuses on assets and liabilities and on exit (selling) prices. It also takes into account market conditions at the measurement date.
- IFRS 13 states that valuation techniques must be those which are appropriate and for which sufficient data are available. Entities should maximise the use of relevant **observable inputs** and minimise the use of **unobservable inputs**.

4.1 Background

IFRS 13, *Fair Value Measurement* was published in 2011.The project arose as a result of the Memorandum of Understanding between the IASB and FASB (2006) reaffirming their commitment to the convergence of IFRS and US GAAP. With the publication of IFRS 13, IFRS and US GAAP now have the same definition of fair value and the measurement and disclosure requirements are now aligned. A standard on fair value measurement is particularly important in the context of a worldwide move towards IFRS.

4.2 Objective

IFRS 13 aims to:

- define fair value
- set out in a single IFRS a framework for measuring fair value
- require disclosures about fair value measurements

The previous definition used in IFRS was "the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction".

The price which would be received to sell the asset or paid to transfer (not settle) the liability is described as the 'exit price' and this is the definition used in US GAAP. Although the concept of the 'arm's length transaction' has now gone, the market-based current exit price retains the notion of an exchange between unrelated, knowledgeable and willing parties.

4.3 Scope

IFRS 13 applies when another IFRS requires or permits fair value measurements or disclosures. The measurement and disclosure requirements do not apply in the case of:

(a) share-based payment transactions within the scope of IFRS 2, *Share-based Payment;*

(b) leasing transactions within the scope of IFRS 16, *Leases*; and

(c) net realisable value as in IAS 2, *Inventories* or value in use as in IAS 36, *Impairment of Assets*.

Disclosures are not required for:

(a) plan assets measured at fair value in accordance with IAS 19, *Employee Benefits;*

(b) plan investments measured at fair value in accordance with IAS 26, *Accounting and Reporting by Retirement Benefit Plans*; and

(c) assets for which the recoverable amount is fair value less disposal costs under IAS 36, *Impairment of Assets*.

4.4 Measurement

Fair value is a market-based measurement, not an entity-specific measurement. It focuses on assets and liabilities and on exit (selling) prices. It also takes into account market conditions at the measurement date. In other words, it looks at the amount for which the holder of an asset could sell it and the amount which the holder of a liability would have to pay to transfer it. It can also be used to value an entity's own equity instruments.

Because it is a market-based measurement, fair value is measured using the assumptions that market participants would use when pricing the asset, taking into account any relevant characteristics of the asset.

It is assumed that the transaction to sell the asset or transfer the liability takes place either:

(a) in the **principal market** for the asset or liability; or

(b) in the absence of a principal market, in the **most advantageous** market for the asset or liability.

The principal market is the market which is the most liquid (has the greatest volume and level of activity) for that asset or liability. In most cases the principal market and the most advantageous market will be the same.

IFRS 13 acknowledges that when market activity declines, an entity must use a valuation technique to measure fair value. In this case the emphasis must be on whether a transaction price is based on an **orderly transaction**, rather than a forced sale.

Fair value is **not adjusted for transaction costs.** Under IFRS 13, these are **not a feature of the asset or liability**, but may be taken into account when **determining the most advantageous market**.

Fair value measurements are based on an asset or a liability's **unit of account**, which is specified by each IFRS where a fair value measurement is required. For most assets and liabilities, the unit of account is the individual asset or liability, but in some instances may be a group of assets or liabilities.



Context example: Unit of account

A premium or discount on a large holding of the same shares (because the market's normal daily trading volume is not sufficient to absorb the quantity held by the entity) is not considered when measuring fair value: the quoted price per share in an active market is used.

However, a control premium is considered when measuring the fair value of a controlling interest, because the unit of account is the controlling interest. Similarly, any non-controlling interest discount is considered where measuring a non-controlling interest.



Context example: Principal (or most advantageous) market

An asset is sold in two active markets, Market X and Market Y, at £58 and £57 respectively. Valor Co does business in both markets and can access the price in those markets for the asset at the measurement date as follows.

	Market X £	Market Y £
Price	58	57
Transaction costs	(4)	(3)
Transport costs (to transport the asset to that market)	(4)	(2)
	50	52

Remember that fair value is not adjusted for transaction costs. Under IFRS 13, these are not a feature of the asset or liability, but may be taken into account when determining the most advantageous market.

If Market X is the principal market for the asset (ie, the market with the greatest volume and level of activity for the asset), the fair value of the asset would be £54, measured as the price that would be received in that market (£58) less transport costs (£4) and ignoring transaction costs.

If neither Market X nor Market Y is the principal market for the asset, Valor must measure the fair value of the asset using the price in the most advantageous market. The most advantageous market is the market that maximises the amount that would be received to sell the asset, after taking into account both transaction costs and transport costs (ie, the net amount that would be received in the respective markets).

The maximum net amount (after deducting both transaction and transport costs) is obtainable in Market Y (£52, as opposed to £50). But this is not the fair value of the asset. The fair value of the asset is obtained by deducting transport costs but not transaction costs from the price received for the asset in Market Y: £57 less £2 = £55.

4.4.1 Non-financial assets

For **non-financial assets** the fair value measurement looks at the use to which the asset can be put. It takes into account the ability of a market participant to generate economic benefits by using the asset in its **highest and best** use.

4.5 Valuation techniques

IFRS 13 states that valuation techniques must be those which are appropriate and for which sufficient data are available. Entities should maximise the use of relevant **observable inputs** and minimise the use of **unobservable inputs**.

The standard establishes a three-level hierarchy for the inputs that valuation techniques use to measure fair value:

- **Level 1** Quoted prices (unadjusted) in active markets for identical assets or liabilities that the reporting entity can access at the measurement date.
- **Level 2** Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly eg, quoted prices for similar assets in active markets or for identical or similar assets in non-active markets or use of quoted interest rates for valuation purposes.
- **Level 3** Unobservable inputs for the asset or liability ie, using the entity's own assumptions about market exit value.



Professional skills focus: Structuring problems and solutions

This hierarchy is a starting place for structuring the problem of fair value. If the input is level 1, there should not be much of a problem.

4.5.1 Valuation approaches

The IFRS identifies **three valuation approaches**.

(a) **Income approach.** Valuation techniques that convert future amounts (eg, cashflows or income and expenses) to a single current (ie, discounted) amount. The fair value measurement is determined on the basis of the value indicated by current market expectations about those future amounts.

(b) **Market approach.** A valuation technique that uses prices and other relevant information generated by market transactions involving identical or comparable (ie, similar) assets, liabilities or a group of assets and liabilities, such as a business.

(c) **Cost approach.** A valuation technique that reflects the amount that would be required currently to replace the service capacity of an asset (often referred to as current replacement cost).

Entities may use more than one valuation technique to measure fair value in a given situation. A change of valuation technique is considered to be a change of accounting estimate in accordance with IAS 8, and must be disclosed in the financial statements.

4.5.2 Examples of inputs used to measure fair value

	Asset or liability	Input
Level 1	Equity shares in a listed company	Unadjusted quoted prices in an active market
Level 2	Licensing arrangement arising from a business combination	Royalty rate in the contract with the unrelated party at inception of the arrangement
	Cash generating unit	Valuation multiple (eg, a multiple of earnings or revenue or a similar performance measure) derived from observable market data eg, from prices in observed transactions involving comparable businesses
	Finished goods inventory at a retail outlet	Price to customers adjusted for differences between the condition and location of the inventory item and the comparable (ie, similar) inventory items
	Building held and used	Price per square metre derived from observable market data eg, prices in observed transactions involving comparable buildings in similar locations
Level 3	Cash generating unit	Financial forecast (eg, of cash flows or profit or loss) developed using the entity's own data
	Three-year option on exchange- traded shares	Historical volatility ie, the volatility for the shares derived from the shares' historical prices
	Interest rate swap	Adjustment to a mid-market consensus (non-binding) price for the swap developed using data not directly observable or otherwise corroborated by observable market data

4.6 Measuring liabilities

Fair value measurement of a liability assumes that the liability is transferred at the measurement date to a market participant, who is then obliged to fulfil the obligation. The obligation is not settled or otherwise extinguished on the measurement date.

4.6.1 Entity's own credit risk

The fair value of a liability reflects the effect of **non-performance risk,** which includes but is not limited to **the entity's own credit risk.** This may be different for different types of liability.



Context example: Entity's own credit risk

Black Co and Blue Co both enter into a legal obligation to pay £20,000 cash to Green Co in seven years.

Black Co has a top credit rating and can borrow at 4%. Blue Co's credit rating is lower and can borrow at 8%.

Black Co will receive approximately £15,200 in exchange for its promise. This is the present value of £20,000 in seven years at 4%.

Blue Co will receive approximately £11,700 in exchange for its promise. This is the present value of £20,000 in seven years at 8%.

4.7 IFRS 13 and business combinations

Fair value generally applies on a business combination. This topic is covered in Chapter 20, together with some further examples.

4.8 Disclosure

An entity must disclose information that helps users of its financial statements assess both of the following:

(a) For assets and liabilities that are measured at fair value on a recurring or non-recurring basis, the valuation techniques and inputs used to develop those measurements

(b) For recurring fair value measurements using significant **unobservable inputs** (Level 3), the effect of the measurements on profit or loss or other comprehensive income for the period. Disclosure requirements will include:

- reconciliation from opening to closing balances
- quantitative information regarding the inputs used
- valuation processes used by the entity
- sensitivity to changes in inputs



Professional skills focus: Concluding, recommending and communicating

Particularly with Level 3 inputs, it is important to explain why you came to the conclusion that you did. The disclosures above help to do this.

5 IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*



Section overview

This is an overview of material covered in earlier studies

5.1 Fair accounting policies

(a) Accounting policies are determined by **applying the relevant IFRS or IFRIC** and considering any relevant Implementation Guidance issued by the IASB for that IFRS/IFRIC.

(b) Where there is no applicable IFRS or IFRIC management should use its **judgement** in developing and applying an accounting policy that results in information that is **relevant** and **reliable**. Management should refer to:

(1) the requirements and guidance in IFRS Standards and IFRICs dealing with **similar** and **related issues**; and

(2) the definitions, recognition criteria and measurement concepts for assets, liabilities and expenses in the *Framework*. Management may also consider the most recent pronouncements of other standard-setting bodies that use a similar conceptual

framework to develop standards, other accounting literature and accepted industry practices if these do not conflict with the sources above.

(3) An entity shall select and apply its accounting policies for a period **consistently** for similar transactions, other events and conditions, unless an IFRS or an IFRIC specifically requires or permits categorisation of items for which different policies may be appropriate. If an IFRS or an IFRIC requires or permits categorisation of items, an appropriate accounting policy shall be selected and applied consistently to each category.

5.2 Changes in accounting policies

(a) These are **rare**: only if required by statute/standard-setting body/results in reliable and more relevant information.

(b) **Adoption of new IFRS**: follow transitional provisions of IFRS. If no transitional provisions: **retrospective** application.

(c) **Other changes in policy**: **retrospective** application. Adjust opening balance of each affected component of equity ie, as if new policy has always been applied.

(d) **Prospective** application: this is **not allowed** unless it is **impracticable** to determine the cumulative effect of the change.

(e) **Disclosure**: an entity should **disclose** information relevant to assessing the **impact of new IFRS Standards/IFRICs** on the financial statements where these have been **issued but have not yet come into force**.

5.3 Changes in accounting estimates

- Estimates arise because of **uncertainties inherent within them**; judgement is required but this does not undermine reliability.
- Effect of a change in accounting estimate should be included in profit or loss in:
  - period of change, if change affects only current period; or
  - period of change and future periods, if change affects both.

5.4 Errors

(a) Prior period errors: correct retrospectively where material.

(b) This involves:

(1) either restating the comparative amounts for the prior period(s) in which the error occurred; or

(2) when the error occurred before the earliest prior period presented, restating the opening balances of assets, liabilities and equity for that period so that the financial statements are presented as if the error had never occurred.

(c) Only where it is **impracticable** to determine the cumulative effect of an error on prior periods can an entity correct an error **prospectively**.



Interactive question 2: Accounting errors

During 20X7 Lubi Co discovered that certain items had been included in inventory at 31 December 20X6, valued at £4.2 million, which had in fact been sold before the year end. The following figures for 20X6 (as reported) and 20X7 (draft) are available.

	20X6	20X7 (draft)
	£'000	£'000

Sales	47,400	67,200
Cost of goods sold	(34,570)	(55,800)
Profit before taxation	12,830	11,400
Income taxes	(3,880)	(3,400)
Net profit	8,950	8,000

Retained earnings at 1 January 20X6 were £13 million. The cost of goods sold for 20X7 includes the £4.2 million error in opening inventory. The income tax rate was 30% for 20X6 and 20X7.

Requirement

Show the profit or loss section of the statement of profit or loss and other comprehensive income for 20X7, with the 20X6 comparative, and retained earnings.

See **Answer** at the end of this chapter.

5.5 Recent development: definition of material

IAS 8 was amended to align the definitions of material in IAS 8 and IAS 1. This definition was extended to the *Materiality Practice Statement* (see below) and to the *Conceptual Framework*.

Definition

Material: Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity. In other words, materiality is an entity-specific aspect of relevance based on the nature or magnitude, or both, of the items to which the information relates in the context of an individual entity's financial report.' (IAS 1: para. 7)

6 *Current issues in corporate reporting*

Section overview

Corporate reporting is continually evolving and at any given time the IASB has a Work Plan of projects to amend existing IFRS Accounting Standards and develop new Standards. In addition, the ISSB is working to develop a suite of IFRS Sustainability Disclosure Standards. This section deals first with the ISSB's ongoing project before providing an overview of the IASB's work plan and ongoing projects. Recent changes are ripe for examination if they are the subject of a full IFRS Standard. While proposed changes (EDs, Discussion Papers) will not be examined in detail, it is important to show an awareness of them.

Important note

Current issues are covered in this Workbook within the chapters in which the topic appears, so that the changes/proposed changes appear in context. Sustainability has been introduced here, but you will find further examples of how it is relevant to corporate reporting in subsequent chapters.

6.1 Better communication in financial reporting

Since 2015, a major theme of the IFRS Foundation's work has been to improve communication in financial reporting. This is relevant to both sustainability and financial reporting.

6.2 Sustainability

It is extremely likely that you will have heard of this topic – the idea of sustainability has existed in various forms for many years – but perhaps the most straightforward definition comes from the United Nations (UN) in its 1987 Brundtland Commission report. You will probably have also heard of the related term ESG and how such matters relating to organisations are often discussed in terms of both impacts and dependencies.



Definitions

Sustainability: *Meeting the needs of the present without compromising the ability of future generations to meet their own needs (UN, 2021).*

ESG (Environmental, Social and Governance): *Environmental, social and governance (ESG) approaches sustainability related issues through a corporate lens and considers the effect of these issues on business and enterprise values (rather than on society more broadly). It is a frequently used terminology in corporate and investment communities.*

Impacts: *In sustainability terms, this relates to the way that an organisation and its operations can affect ESG issues (in other words, the impact of an organisation on ESG). Such impacts could be either positive or negative.*

Dependencies: *By contrast, ESG issues can also have an effect on an organisation's ability to create and maintain value (the impact that ESG has on an organisation). Such dependencies are essential to understand so organisations can take suitable action if required.*

Double materiality: *Double materiality means considering not only the sustainability issues that might create financial risks for the company (financial materiality), but also those sustainability issues where a company's activities materially impact on people and the environment (impact materiality).*

Note: *You will start to notice that as ESG reporting gains maturity, the terminology evolves – for example, in the context of* ***double materiality*** *and the other key terms mentioned above,* ***financial materiality*** *and* ***dependencies*** *are connected in the same way that* ***impact materiality*** *is connected to* ***impacts****. Should you need to consider these terms in more detail, there is a glossary of core sustainability-related language at the front of the Workbook.*

Many argue that ***sustainability****, including* ***climate change****, is the single most important threat to the world. However, with so many issues to address and the global stakes being so high, agreement on how to deal with global ESG issues on a local level is proving to be extremely challenging.*

Recent progress has been mixed*, but there is hope that progress is being made. From the* ***Paris Agreement*** *at the UN climate change conference COP21 in 2015, which introduced a legal requirement signed by almost 200 countries to keep global warming to between 1.5 and 2 degrees Celsius, to the emergence of more militant responses, such as the* ***Extinction Rebellion*** *movement, this issue continues to dominate the public narrative.*

*ICAB Chartered Accountants need to recognise that sustainability is at the **core** of what they do, from providing **visibility** of climate change impacts on logistics and consumer demand, to increasing **investor expectations** around an organisation's action on diversity and inclusion. Analysing how to manage the **risks** and capture the **opportunities** associated with the sustainable economy will be key for business, clients and the public interest.*

To achieve this, ICAB Chartered Accountants and Assurance professionals need to move beyond simply measuring and reporting the impact of climate change, environmental regulation, supply chain pressure and rising energy costs. They will be expected to focus on understanding those implications and advising on the broader implications of ESG issues for organisations.

*Sustainability impacts across all modules of the ACA qualification. For **Corporate Reporting**, this impacts the following five areas:*

(a) *Reporting*

(b) *Risk management*

(c) *Strategy*

(d) *Governance*

(e) *Metrics and targets*

*As well as the impact on companies, ICAB Chartered Accountants need to work with a wide range of other **stakeholders** to deliver solutions to the issues related to sustainability, including boards of directors, business partners, employees, sustainability experts, market analysts, suppliers, customers, governments, lenders, the general public and local communities. From an assurance perspective, in the future, stakeholders may require or be entitled to verified information disclosed by companies, which may need to be audited or undergo a specific assurance engagement.*

Reporting

*The purpose of a set of financial statements is to **inform users** of the position, performance and prospects of an organisation, mainly in financial terms but also in more qualitative **narrative terms** if such information is best conveyed in that manner. ESG disclosures can obviously fall into this qualitative category, but there is now a greater need for the implications of an organisation's ESG matters to be considered when determining its **value** and any relevant **investment decisions**.*

Consequently, being able to understand which ESG matters should be disclosed and what they might mean are now a prime focus for both preparers and auditors of published corporate information.

Risk management

Definitions

***Physical risks:** Risks which arise from the physical effects of climate change, such as storms, extreme temperatures, wildfires and flooding.*

***Transition risks:** Risks which relate to social and economic shifts to a low-carbon economy, such as changes to policy, regulation, technology and markets.*

***Scenario analysis:** Scenario analysis is a process for identifying and assessing the potential implications of a range of plausible future states under conditions of uncertainty. Scenarios are hypothetical constructs and not designed to deliver precise outcomes or forecasts. Instead, scenarios provide a way for organisations to consider how the future might look if certain trends continue or certain conditions are met. In an ESG context, many organisations are using*

scenario analysis to consider the impact on their organisation of different increases in global temperatures.

***Net zero:** A term used to describe the global reduction of greenhouse gas emissions so they match methods of absorbing carbon dioxide from the atmosphere (hence net zero emissions) by 2050 and the action required to limit temperature rise to 1.5 degrees Celsius.*

Within an ESG context, sustainability, including environmental, social and governance factors, all create significant risks and opportunities for businesses. Climate change is currently the most prominent issue but is just one aspect of environmental risk and opportunity. Biodiversity loss, social inequality and ethical corporate governance all create risks and opportunities as well.

*Whether climate-related risks and opportunities arise from more frequent and severe weather **events** or the **transition** to a net-zero carbon economy, expectations are growing that companies appropriately embed climate-related financial risk into their governance and risk management processes. **Scenario analysis** is key to better understanding and managing future risks today, as well as supporting the transition to a **net zero carbon economy**.*

The accountancy and assurance profession has a particular interest in the topic of risk, notably the identification, measurement and management of business and financial risk, including reputation risks that may threaten the survival of an enterprise. A mature company is now expected to ensure that environmental and social matters are recognised and integrated into its risk management and reporting infrastructures.

Strategy

*As a matter of strategy, the **assessment** of business initiatives should take account of environmental, social and economic impacts. Conversely, the **impact** of business initiatives on the environment, society and the economy also needs to be considered. Enhancing sustainability is an essential part of running a good business and the impacts of each dimension need to be managed in an **integrated way** so that social, environmental and economic decisions contribute to the development of the business in delivering long-term benefits.*

*The increasing demands of the disclosure framework, coupled with the undeniable impacts of sustainability and climate-related risks, mean that a company can no longer just **assume** that ESG factors will be taken care of automatically. Directors therefore need to consider the impact of the company's operations, policies, products and procurement practices on the environment and on social and community issues, including impacts of its operations on the communities affected.*

Governance

*Effective stakeholder engagement is dependent on **reliable information**. This is likely to be a matter of increasing concern with the demand for transparency of information to support the process of feedback with stakeholders. Preparing for, and responding to, stakeholder engagement will often call for social, environmental and economic data. Assurance engagements may be particularly useful in advising on governance required to provide social, environmental and economic data both within the company and to external stakeholders.*

Metrics and targets

*Effective measuring of ESG performance data and benchmarking requires the **timely publication of information** and a skillset that is experienced in performing a **meaningful analysis** of the underlying messages.*

Assurance experts may be expected to:

- *Take a role in **advising** on future supporting measurement of climate change and its consequences by providing relevant and reliable information in an accessible, meaningful and comparable way.*
- ***Interpret** the results of ESG related performance measures against targets. This is likely to include understanding the different bases used to be able to compare and analyse the results.*

*It is implicit that any data reported on ESG metrics and targets needs to be **credible**, so as well as the credibility that assurance can provide, accountants overall possess the skills and experience necessary to support the publication of credible data.*

Context example: Real life example: The Hershey Company

*The Hershey Company ('Hershey') is a US-based snack food manufacturer famous for brands such as Reese's pieces, Hershey's chocolate bars and Jolly Rancher sweets. In May 2023, the company published its 2022 ESG report using a strategy headed up as 'Our shared goodness promise'. Within the report, Hershey explained it had adopted the concept of **double materiality** by considering:*

- *Hershey's potential external **impacts** on the economy, environment and society; and*
- *The potential financial impacts of these topics on Hershey's business and operations (in other words, **dependencies**)*

*Using a variety of methodologies, Hershey has analysed all of its impacts and dependencies and created a **priority list of 27 ESG issues**:*

Environmental	*Social*	*Governance*
(a) *Soil health*	(a) *Animal welfare*	(a) *Advocacy and lobbying*
(b) *Waste management*	(b) *Workplace health and safety*	(b) *Data protection and cyber security*
(c) *Biodiversity*	(c) *Supporting communities*	(c) *Responsible marketing and labelling*
(d) *Deforestation*	(d) *Labour relations*	(d) *Ethics and compliance*
(e) *Water use*	(e) *Employee attraction, retention and development*	(e) *Traceability*
(f) *Energy management*	(f) *Diversity, equity and inclusion*	(f) *Nutrition and health*
(g) *Packaging and end of life*	(g) *Responsible sourcing*	(g) *Board and executive oversight*
(h) *GHG emissions and climate change*	(h) *Human rights (supply chain)*	(h) *Business operations and supply chain resilience*
	(i) *Farmer livelihoods*	(i) *Food safety and quality*
	(j) *Child labour*	

*These 27 impacts and dependencies are then plotted on a **materiality matrix** using one axis for each of impacts and dependencies, with a scale that ranges from significant to major. The report then goes on to address the company's **core priorities** that are split between those relating to **operations** and those of a **foundational** nature. **Operational priorities** are as follows:*

- ***Cocoa*** *– Creating thriving communities and environments behind our most essential ingredient.*
- ***Responsible sourcing and human rights*** *– Using robust due diligence and leading standards to protect people across our value chain.*
- ***Environment*** *– Enhancing our operations to meet high-impact climate, waste and packaging goals.*
- ***Our people*** *– Creating more ways for more people to be themselves and thrive.*

There are also two ***foundational priorities****:*

- ***Youth*** *– Giving youth the tools to create compassionate, successful and connected futures.*
- ***Community*** *– Actively making a difference where we live and work.*

Within these core priority areas, goals and targets have been set: here are some examples:

Priority area	***Priority goals***	***Target***	***Progress by 31 Dec. 2022***	***Status***
Cocoa	*100% independently verified cocoa*	*2020*	*100%*	*Achieved*
Responsible sourcing and human rights	*100% of priority ingredients and materials to be responsibly and sustainably sourced (by volume)*	*2025*	*84%*	*On track*
Environment	*100% of plastic packaging to be recyclable, reusable or compostable*	*2030*	*17%*	*On track*
Our people	*47–50% women representation across all employees globally*	*2025*	*47.8%*	*Achieved*
Youth	*50 million children globally supported through education, nutrition, and social and emotional well-being*	*2025*	*26.2 million children*	*On track*
Community	*$105 million donated in cash and products to community partners focused on education, community economic development, inclusive communities and health and human services where we live and work*	*2025*	*$73.5 million*	*On track*

There are other priority goals but it is not entirely clear why certain areas have been prioritised over others and how they relate to the company's materiality matrix (for example, energy management and water use appear to be high priority areas but there are no priority goals for these issues).

Perhaps the reason for this can be found in the message from the company's Chief Sustainability Officer (CSO) who states that she is the company's first CSO (and a look at social media confirms that she was appointed only three months before the company's ESG report was published) which reminds us that the approach being used is still in its infancy but is surely a positive step towards taking ESG matters more seriously.

There is an additional section to the Hershey ESG report that is of particular interest to Corporate Reporting, starting with a selection of metrics for the year to 31 December 2022 using the following:

Category	***Metrics reported***
Energy consumption	*Total consumption in Gigajoules (GJ) = 5,683,133* *Percentage of total consumption split by:* • *Grid supplied energy = 22.99%* • *Energy classified as renewable = 25.47%* • *Energy purchased under zero-emissions contracts = 51.54%*
Greenhouse Gas (GHG) Emissions	*Measured in metric tonnes carbon dioxide equivalents (MT CO_{2e}) split as follows showing data for the year to 31 December 2022:* • *Scope 1 (direct emissions from Hershey sites) = 179,211* • *Scope 2 (indirect emissions from generating the energy used in Hershey sites) = 301,218* • *Scope 3 (emissions from entities in the Hershey supply chain, such as suppliers, logistics and even staff) = 5,941,676*
Water KPIs	*Measured in million litres:* • *Total water withdrawal = 5,783* • *Total water discharge = 4,898* • *Total water consumption = 885*
Waste KPIs	*Measured in Metric tonnes (MT):* • *Non-hazardous waste generated = 87,188* • *Waste recycled = 68,302* • *Waste to energy (incinerated) = 9,973* • *Waste to trash (landfill) = 8,913* • *Hazardous waste = 225* *Waste intensity (MT waste generated / MT product produced) is also calculated for the year to 31 December 2022 = 0.08 or 8%*

To add to the perceived credibility of these KPIs, limited assurance verification statements were completed by Ernst and Young for the Scope 1 and 2 GHG emissions and Quantis for the Scope 3 GHG emissions and the water and waste KPIs.

(Hershey, 2023)

6.2.1 *Sustainability and reporting*

*We will return to the topic of sustainability later in these materials when we consider environmental and social considerations. For now, it is important to frame **sustainability** and **climate change** in the context of **corporate reporting**.*

In recent years, we have seen a number of developments in this area, driven by the formation and amalgamation of a number of organisations. Here are the key players you need to know about and how they fit together:

*The **Climate Disclosure Standards Board** (CDSB) was set up in 2007 to provide a framework for reporting environment and social information with the same rigour as financial information, under the existing corporate reporting framework. The CDSB Framework provided a foundation for the Task Force on Climate-related Financial Disclosures (TCFD) framework.*
*The **International Integrated Reporting Council** (IIRC) was formed in 2010 to promote a reporting framework that used six interlocking capitals to identify how organisations use various resources in order to create value.*
*The **Sustainability Accounting Standards Board** (SASB) was formed in 2011 to help entities understand the impact of sustainability on finance.*
*In 2021, the IIRC and SASB merged to become the **Value Reporting Foundation** (VRF) with the remit of supporting a more complete view of how value is created by organisations.*
*The **International Sustainability Standards Board** (ISSB) was formed by the IFRS Foundation after the UN COP 26 towards the end of 2021 using the **Task Force on Climate-related Financial Disclosures** (TCFD) reporting approach (see below) which is mandatory in the UK for large listed entities plus larger banks and insurers (this is correct at the time of writing but ongoing developments in the UK may result in further adoption across the wider economy).*
During 2022, the VRF and CDSB were both consolidated into the IFRS Foundation under the banner of the ISSB.

According to the IFRS Foundation website:

"The intention is for the ISSB to deliver a comprehensive global baseline of sustainability-related disclosure standards that provide investors and other capital market participants with information about companies' sustainability-related risks and opportunities to help them make informed decisions.

(IFRS Foundation, 2021)

*Since its inception at the start of 2022, the ISSB has hit the ground running. Between March and July 2022, the ISSB sought **consultation** on its first two standards (IFRS S1 and S2) by issuing **exposure drafts** supported by other documentation (including a basis for conclusions and illustrative guidance)*

*and an **IFRS Sustainability Disclosure Taxonomy** designed to support digital consumption of the disclosures required by IFRS S1 and S2. These new ISSB standards were issued during 2023 so you will be expected to know about them for your exam.*

6.2.2 *IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information*

Sustainability-related financial disclosures are defined as:
A particular form of general purpose financial reports that provide information about the reporting entity's sustainability related risks and opportunities that could reasonably be expected to affect the entity's cash flows, its access to finance or cost of capital over the short, medium or long term, including information about the entity's governance,

strategy and risk management in relation to those risks and opportunities, and related metrics and targets.

IFRS S1: Appendix A

Objective

The objective of IFRS S1 is:
To require an entity to disclose information about its sustainability-related risks and opportunities that is useful to primary users of general purpose financial reports in making decisions relating to providing resources to the entity… that could reasonably be expected to affect the entity's cash flows, its access to finance or cost of capital over the short, medium or long term. For the purposes of this Standard, these risks and opportunities are collectively referred to as 'sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects'.

IFRS S1: para.1

*The entity's **dependencies** on resources that include stakeholders, society, the economy and the natural environment and its **impacts** on those resources give rise to **sustainability-related risks and opportunities** for the entity that could reasonably be expected to **affect** an entity's cash flows, its access to finance and cost of capital over the short, medium and long term.*

*So, in other words, these disclosures help us to understand whether sustainability-related risks and opportunities make an entity **more or less attractive to investors**.*

***Risks and opportunities** are driven by the consideration of **factors** such as whether an organisation or its stakeholders depends on a particular **natural resource** (eg, water) which may have an adverse effect on its prospects if there are issues with the supply, quality or price of that resource; similarly the prospects of an entity may also be affected if it **generates adverse impacts** (such as affecting the water supply of a local community) which open it up to more stringent regulation or reputational damage. There could also be **risks** associated with needing access to a **highly-specialised workforce** which may be critical to achieving strategic objectives, although this risk could also be affected by the entity's approach to training, remuneration and welfare which may lead to the creation, maintenance or erosion of the value associated with this resource.*

***Opportunities** also exist and may stem from the organisation's responses to specific risks (such as their ability to harness the supply of a scarce resource or to support entities in their own sustainability-related endeavours). An entity's prospects and therefore its attractiveness to investors will therefore fluctuate in line with these types of risks and any opportunities that are created.*

Scope

*This excludes sustainability-related risks and opportunities where it is **unreasonable** to assume they will affect the entity's prospects. Primarily, IFRS S1 is for profit-orientated entities including public sector business entities, but can be adapted for other types wishing to use this standard. (IFRS S1: paras.6-9).*
An entity is required to provide disclosures required by IFRS Sustainability Disclosure Standards as part of its general purpose financial reports and report at the same time covering the same timeframe as the related financial statements (IFRS S1: paras.60, 64, 70).

An entity whose sustainability-related financial disclosures comply with all the requirements of IFRS Sustainability Disclosure Standards shall make an explicit and unreserved statement of compliance. An entity shall not describe sustainability-related financial disclosures as complying with IFRS Sustainability Disclosure Standards unless they comply with all the requirements of IFRS Sustainability Disclosure Standards (IFRS S1: para.73).

Conceptual foundations

In order to make these disclosures useful to readers, they must possess certain qualitative characteristics, some of which are ***fundamental****, others are considered* ***enhancing*** *characteristics. The table below summarises these:*

Characteristic	***Features***
Fair presentation	*Relevant information for the purposes of understanding how sustainability-related risks and opportunities could reasonably be expected to affect an entity's prospects – faithful presentation means that these disclosures should be* ***complete****,* ***neutral*** *and* ***accurate****.* *Fair presentation is also expected to include information that is* ***comparable****,* ***verifiable****,* ***timely*** *and* ***understandable****. Should application of the IFRS Sustainability Disclosure Standards not be sufficient for users to understand the entity's sustainability-related risks and opportunities, other information may need to be disclosed to achieve fair presentation.*
Materiality	*An entity shall disclose material information about the sustainability- related risks and opportunities that could reasonably be expected to* ***affect the entity's prospects****.* *In the context of sustainability-related financial disclosures, information is material if omitting, misstating or obscuring that information could reasonably be expected to* ***influence decisions*** *that primary users of general purpose financial reports make on the basis of those reports, which include financial statements and sustainability-related financial disclosures and which provide information about a specific reporting entity.*
Reporting entity	*An entity's sustainability-related financial disclosures shall be for the same reporting entity as the related financial statements.*
Connected information	*An entity shall provide information in a manner that enables users of general purpose financial reports to understand:* • *The connections between various sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects; and* • *the connections between disclosures provided by the entity within its sustainability-related financial disclosures and other general purpose financial reports published by the entity.* *An entity shall identify the financial statements to which the sustainability related financial disclosures relate.*
Judgement, uncertainty and errors	*Readers of this information should be able to understand the judgements made by the entity in preparing its sustainability-related disclosures, and be able to understand any uncertainties involved (such as those based upon future events) and any corrections of prior-year errors.*

(IFRS S1: paras.10-24, 74-86)

Core content

These adapt the core elements of climate-related financial disclosures recommended by the TCFD to allow consideration of sustainability-related risks and opportunities instead. The TCFD methodology is covered again later in this Workbook but in overview, the four categories are as follows:



Governance

The organisation's governance around climate-related risks and opportunities

Strategy

The actual and potential impacts of climate-related risks and opportunities on the organisation's businesses, strategy and financial planning

Risk management

The processes used by the organisation to identify, assess, and manage climate- related risks

Metrics and targets

The metrics and targets used to assess and manage relevant climate-related risks and opportunities

The following sections look at how each of these TCFD categories are applied in IFRS S1.

Governance

The objective of sustainability-related financial disclosures on governance is to enable users of general purpose financial reports to understand the governance ***processes, controls and procedures*** *an entity uses to monitor,* ***manage and oversee*** *sustainability-related risks and opportunities.*

This will include information about the ***body*** *charged with this responsibility (board, committee or equivalent individual) including terms of reference, training, how it is informed of relevant information, the body's involvement in target-setting (and whether any are included in remuneration policies).*

This will also include the involvement of ***management*** *in monitoring, managing and overseeing such information (IFRS S1: paras.26-27).*

Strategy

The objective of sustainability-related financial disclosures on strategy is to enable users of general purpose financial reports to understand an entity's strategy for managing sustainability-related risks and opportunities. This includes:

- *The* ***sustainability-related risks and opportunities*** *that could reasonably be expected to affect the entity's prospects over the* ***short, medium and long term*** *(these timescales are expected to mirror the strategy and planning horizons used by the entity).*
- *The* ***current and anticipated effects*** *of those sustainability-related risks and opportunities on the entity's* ***business model and value chain*** *(including where these might be positioned).*
- *The effects of those sustainability-related risks and opportunities on the entity's* ***strategy and decision-making*** *(this includes how the entity has responded to these sustainability-related risks and opportunities and what progress, if any, it has made, plus the outcome of any trade-offs experienced during the decision-making process).*

- *The effects of those sustainability-related risks and opportunities on the entity's **financial position, financial performance and cash flows** for the reporting period, and their anticipated effects on the entity's financial position, financial performance and cash flows over the short, medium and long term, taking into consideration how those sustainability-related risks and opportunities have been factored into the entity's financial planning.*

*This is expected to include both **quantitative and qualitative information**, plus any potentially material adjustments that may be required in future sets of financial statements. The standard discusses the need to consider changes to the entity's financial position, including investments, disposals and any associated funding, and the effects on financial performance and cash-flows.*

*There is scope for reporting **either single amounts or a range** and also **aggregating information** if it is more likely to be useful for readers of the information.*

- *The **resilience** of the entity's strategy and its business model to those sustainability-related risks (capacity to adjust to the uncertainties arising from sustainability-related risks – this could be disclosed in either quantitative or qualitative terms and may involve the use of scenario analysis).*

  (IFRS S1: paras.33-42)

Risk management

The objective of sustainability-related financial disclosures on risk management is to enable users of general purpose financial reports:

- *to understand an entity's **processes** to identify, **assess, prioritise and monitor** sustainability-related risks and opportunities, including whether and how those processes are integrated into and inform the entity's overall risk management process (including any data used, scenario analysis undertaken, how risks are assessed for nature, likelihood and magnitude); and*
- *to assess the entity's overall **risk profile** and its overall **risk management process** (including how significant the management of sustainability-related risks and opportunities is in relation to the entity's overall risk management process).*

(IFRS S1: paras.43-44)

*It is expected that the entity will use **IFRS Sustainability Disclosure Standards** supported by other methodologies as appropriate (such as the disclosure topics in the **SASB Standards** and the water and biodiversity-related disclosures from the **CDSB Framework**).*

*Appendix B of IFRS S1 provides **application guidance** for the standard and explains that risks and opportunities arise out of the interactions between the entity and its stakeholders, society, the economy and the natural environment throughout the entity's value chain (this is reminiscent of the earlier point about impacts and dependencies).*

Metrics and targets

*The objective of sustainability-related financial disclosures on metrics and targets is to enable users of general purpose financial reports to understand an entity's **performance** in relation to its sustainability-related risks and opportunities, including **progress** towards any targets the entity has set, and any targets it is required to meet by law or regulation.*

*The metrics and targets adopted should draw directly from the appropriate IFRS Sustainability Disclosure Standard but **equivalent methodologies** could be used if considered appropriate by the entity to support decision-making and to faithfully represent the sustainability-related risk or opportunity (IFRS S1: paras.45-53).*

6.2.3 *IFRS S2 Climate-related Disclosures*

In addition to the general guidance on disclosing sustainability-related financial information required by IFRS S1, entities are also required to consider climate-related disclosures under IFRS S2. At various points in these standards, entities are directed to ***avoid unnecessary duplication of effort*** *when attempting to implement* ***both standards*** *by adopting practices that provide an* ***efficient solution*** *to the requirements of* ***both standards****.*

Objective

The objective of IFRS S2 is to require an entity to ***disclose information*** *about its climate-related risks and opportunities that is useful to primary users of general purpose financial reports in* ***making decisions*** *relating to* ***providing resources*** *to the entity.*

The Standard requires an entity to disclose information about climate-related risks and opportunities that could reasonably be expected to affect the entity's cash flows, its access to finance or cost of capital over the short, medium or long term. For the purposes of the Standard, these risks and opportunities are collectively referred to as 'climate-related risks and opportunities that could reasonably be expected to affect the entity's prospects' (IFRS S2: paras.1-2).

Scope

When considering the scope of IFRS S2, it is useful to consider ***definitions*** *of climate-related risks and opportunities.* ***Opportunities*** *refer to "…potential positive effects arising from climate-change for an entity…" for example, a power-generating company located in an area prone to heatwaves that is able to increase its revenues due to growing demand from consumers for air-conditioning (IFRS S2: Appendix A).*

Climate-related risks *refer to the "…potential negative effects of climate change on an entity…" and can be considered from different perspectives:*

- *Physical risks, which consist of:*
  - *Event-driven or acute risks arising from specific events such as a drought, flood and fire which can mean an entity is more prone to damage from such risks; and*
  - *Longer-term or chronic risks driven by more permanent shifts in the climate, such as rising sea- levels or changes in soil productivity, which can affect the longer-term financial position and performance of an entity as it attempts to adapt to such risks*
- *Transition risks which arise when an entity attempts to adapt or transition to participating in a lower-carbon economy – this may include policy, legal, technological, market or reputational risks which have financial implications such as higher costs or asset impairment (IFRS S2: Appendix A).*

IFRS S2 follows the same approach as IFRS S1 by adopting the same TCFD categories of governance, strategy, risk management and metrics and targets.

Governance

Disclosures should inform users of general purpose financial reports about the various governance controls in place to ***monitor*** *and* ***manage*** *climate-related risks and opportunities. Examples of these should include:*

- *The individual or body with* ***overall responsibility*** *for climate-related risks and opportunities within the entity and how their* ***terms of reference*** *and monitoring support this responsibility.*
- ***Policies and procedures*** *relating to the individual or body regarding their* ***skills, competence*** *and how they are* ***informed*** *in order to support this responsibility.*
- *How those responsible for managing climate-related risks and opportunities also consider the entity's* ***strategy, targets*** *and the* ***involvement of management*** *(IFRS S2: paras.5-6).*

Strategy

Disclosures need to inform users of the financial statements about the entity's strategy for managing climate-related risks and opportunities. IFRS S2 provides further details on what strategy disclosures an entity should consider:

- *Climate-related risks (both **physical** and **transition risks**) and opportunities that could affect the entity's **prospects, business model**, and **value chain** (prospects could include financial position and performance and cash-flows and needs to consider the various **timeframes** used by the entity as part of its strategic decision-making).*
- *The effects of these climate-related risks and opportunities on the entity's **strategy, decision- making** and any **transition plans** it may have (for entities which need to make significant changes to their business model, such as those operating carbon- or water-intensive industries, plans to address this would definitely need to be disclosed as it could be highly material to the entity's financial position, performance and cash-flows).*
- *The **resilience** of the entity's strategy and business model to climate-related changes, including any scenario analysis undertaken and its methodology, an awareness of the underlying assumptions and uncertainties within any data used (IFRS S2: para.9-10, 14-15, 22).*

Risk management

*Users of financial statements need to be able to understand how the entity **identifies**, **assesses, prioritises** and **monitors climate-related risks and opportunities** including the **processes used** to assist with this evaluation (IFRS S2: para.24). The standard requires disclosure of these risk management processes, including an assessment of **nature, likelihood and magnitude**, methods of **prioritisation** and the use of **data** and other **assumptions** as part of the process (IFRS S2: para.25).*

Metrics and targets

*As with IFRS S1, an entity is expected to disclose **how** it uses metrics and targets to manage its climate-related risks and opportunities, including an assessment of the way it determines what **progress** it has made towards its chosen targets (IFRS S2: para.27).*

*The disclosures are required to include **cross industry metric categories** including the following:*

- ***Greenhouse gas emissions** across all activities (Scope 1, 2 and 3) and the entity's internal carbon price (such as the price per tonne of greenhouse gas emissions).*
- *The **proportion** of the entity's assets or business activities that relate to both **transition** and **physical** climate-related risks and climate-related **opportunities**.*
- *The amount of **capital deployed** and **executive remuneration** linked to climate-related risks and opportunities (IFRS S2: paras.27-29).*

*Targets are expected to be **justified** in terms of how **progress** against them can be **reported**, whether they are **absolute targets** (eg, an airline may propose a 5% reduction in CO2 emissions by a specific year) or **intensity targets** (eg, the airline may instead specify a 5% reduction in the amount of CO2 emissions per mile travelled by a specific year) plus relevant **timescales**, **milestones** and **starting positions** as well as how they **compare** with any international agreements currently in force. The entity should also disclose whether they have obtained any **third party assurance** on their target information (IFRS S2: paras.33-34).*

Context example: Examples of IFRS S2 metrics

The accompanying guidance for IFRS S2 provides illustrations of the types of metrics that could be reported under the different categories mentioned in the standard:

Metric category	*Unit of measure*	*Example metrics*
Climate-related transition risks	*amount and percentage*	• *volume of real estate collaterals highly exposed to transition risk* • *concentration of credit exposure to carbon related assets* • *percentage of revenue from coal mining* • *percentage of revenue passenger kilometres not covered by the Carbon Offsetting and Reduction Scheme for International Aviation*
Climate-related physical risks	*amount and percentage*	• *proportion of property, infrastructure or other alternative asset portfolios in areas subject to flooding, heat stress or water stress* • *proportion of real assets exposed to climate-related hazards* • *number and value of mortgage loans in 100-year flood zones* • *wastewater treatment capacity located in 100-year flood zones* • *revenue associated with water withdrawn and consumed in regions of high or extremely high baseline water stress*
Climate-related opportunities	*amount and percentage*	• *revenues from products or services that support the transition to a lower-carbon economy* • *net premiums written related to energy efficiency and lower-carbon technology* • *number of (1) zero-emissions vehicles, (2) hybrid vehicles and (3) plug-in hybrid vehicles sold* • *proportion of homes delivered certified to a third- party, multi-attribute, green-building standard*
Capital deployment	*presentation currency*	• *percentage of annual revenue invested in research and development of lower-carbon products/services* • *percentage of investment in climate adaptation measures (for example, soil health, irrigation and technology)*

Appendices

The standard also contains appendices with definitions and application guidance (including details on how to comply with the various greenhouse gas emission standards for specific industries such as asset management, commercial banking and insurance).

Context example: How the IFRS Sustainability Disclosure Standards are applied

At the time of writing, the ISSB, SASB and CDSB methodologies are in the process of becoming more fully aligned. However, the expectation is that the IFRS Sustainability Disclosure Standards (IFRS S1 and S2) will be applied using the ***SASB Standards*** *which are organised into 77* ***industries*** *under the following* ***Sustainable Industry Classification System*** *(SICS) categories:*

- ***Consumer Goods*** *(7 industries including Apparel, Accessories & Footwear and Toys & Sporting Goods)*
- ***Extractives & Mineral processing*** *(8 industries including Coal, Metals & Mining and Oil & Gas)*
- ***Financials*** *(7 industries including Commercial Banks and Insurance)*
- ***Food & Beverage*** *(8 industries including Agricultural Products and Restaurants)*
- ***Health Care*** *(6 industries including Biotechnology & Pharmaceuticals and Medical Equipment & Supplies)*
- ***Infrastructure*** *(8 industries including Electric Utilities & Power Generators and Home Builders)*
- ***Renewable Resources & Alternative Energy*** *(6 industries including Biofuels, Solar and Wind)*
- ***Resource Transformation*** *(5 industries including Aerospace & Defence and Chemicals)*
- ***Services*** *(7 industries including Advertising & Marketing and Media & Entertainment)*
- ***Technology & Communication*** *(6 industries including Hardware and Internet Media & Services)*
- ***Transportation*** *(9 industries including Airlines, Automobile, Marine, Rail and Road)*

Note: *When applying IFRS S2, the list of applicable industries drops to only 68, excluding industries such as Toys & Sporting Goods, Biotechnology & Pharmaceuticals and Media & Entertainment.*

Once an entity has identified the ***most appropriate industry****, they should access the* ***standards*** *that are applicable for that industry which also includes the following:*

- ***disclosure topics*** *– which describe specific sustainability-related risks or opportunities associated with the activities conducted by entities within a particular industry*
- ***metrics*** *– which accompany disclosure topics and are designed to, either individually or as part of a set, provide useful information regarding an entity's performance for a specific disclosure topic*
- ***technical protocols*** *– which provide guidance on definitions, scope, implementation and presentation of associated metrics*
- ***activity metrics*** *– which quantify the scale of specific activities or operations by an entity and are intended for use in conjunction with metrics referred to above to normalise data and facilitate comparison*

Detailed SASB Standards *can then be accessed for individual industries which contain all of this information. For example, the following is from the SASB Standard for* ***Airlines****, located within the Transportation Sector:*

Industry description – Airlines

Airlines industry entities provide air transportation globally to passengers for both leisure and business purposes. This includes commercial full-service, low-cost and regional airlines. Full-

service carriers typically use a hub-and-spoke model to design their routes within countries and internationally. Low-cost carriers usually offer a smaller number of routes as well as no-frills service to their customers. Regional carriers typically operate under contract to full-service carriers, expanding the network of the larger carriers. Many airline entities also have a cargo segment in their operations to generate additional revenue. Entities in the industry commonly form partnerships or join alliances to increase network size. Operating as an alliance allows airlines to offer customers access to international or otherwise underserved itineraries on more than one airline under one ticket. At the same time, airlines share some overhead costs and increase their competitive position in the global market without having to operate outside their home country.

Sustainability Disclosure Topics & Metrics

The SASB Standard then presents two tables with the relevant topics and metrics for the Airlines industry.

Table 1. Sustainability Disclosure Topics & Metrics

Topic	Metric	Category	Unit of measure	Code
Greenhouse Gas Emissions	*Gross global Scope 1 emissions*	*Quantitative*	*Metric tons (t) CO2-e*	*TR-AL-110a.1*
	Discussion of long- and short-term strategy or plan to manage Scope 1 emissions, emissions reduction targets, and an analysis of performance against those targets	*Discussion and Analysis*	*n/a*	*TR-AL-110a.2*
	(1) Total fuel consumed, (2) percentage alternative and (3) percentage sustainable	*Quantitative*	*Gigajoules (GJ), Percentage (%)*	*TR-AL-110a.3*
Labour Practices	*Percentage of active workforce covered under collective bargaining agreements*	*Quantitative*	*Percentage (%)*	*TR-AL-310a.1*
	(1) *Number of work stoppages and* (2) *total days idle*	*Quantitative*	*Number, Days idle*	*TR-AL-310a.2*
Competitive Behaviour	*Total amount of monetary losses as a result of legal proceedings associated with anticompetitive behaviour regulations*	*Quantitative*	*Presentation currency*	*TR-AL-520a.1*

Accident & Safety Management	*Description of implementation and outcomes of a Safety Management System*	*Discussion and Analysis*	*n/a*	*TR-AL-540a.1*
	Number of aviation accidents	*Quantitative*	*Number*	*TR-AL-540a.2*
	Number of governmental enforcement actions of aviation safety regulations	*Quantitative*	*Number*	*TR-AL-540a.3*

Table 2. Activity Metrics

Activity metric	*Category*	*Unit of measure*	*Code*
Available seat kilometres (ASK)	*Quantitative*	*ASK*	*TR-AL-000.A*
Passenger load factor	*Quantitative*	*Rate*	*TR-AL-000.B*
Revenue passenger kilometres (RPK)	*Quantitative*	*RPK*	*TR-AL-000.C*
Revenue ton kilometres (RTK)	*Quantitative*	*RTK*	*TR-AL-000.D*
Number of departures	*Quantitative*	*Number*	*TR-AL-000.E*
Average age of fleet	*Quantitative*	*Years*	*TR-AL-000.F*

*The Airlines SASB Standard contains explanations for some of the metrics used in these tables: for example, **Passenger load factor** is a measure of capacity utilisation and is calculated as passenger kilometres travelled divided by **available seat kilometres**, which is defined as the maximum potential cumulative kilometres travelled by passengers (that is, kilometres travelled by occupied and unoccupied seats).*

The standard then describes each topic and metric in more detail – for example, the topic summary for Greenhouse gas emissions reads as follows:

As a result of a heavy reliance on hydrocarbon fuels, the Airlines industry generates significant emissions, more than 99% of which are in the form of carbon dioxide (CO2). Therefore, the industry is subject to compliance costs and risks associated with climate change mitigation policies. The main sources of greenhouse gas (GHG) emissions for airlines entities are aircraft fuel use and emissions, ground equipment and facility electricity. Aircraft fuel consumption is the largest contributor to total emissions from the industry, and fuel management is a critical part of reducing emissions. Management of fuel-related environmental impacts includes increasing fuel efficiency through fleet upgrades, retrofits, and flight speed and route design optimisation, as well as using alternative and sustainable fuels. These initiatives require capital expenditures, but in the long term, they may reduce fuel costs and decrease exposure to GHG emissions programmes and regulatory risk.

*It is worth noting that apart from greenhouse gases (GHG), the other topics and metrics are primarily using KPIs to identify areas where the airline applying this standard may be exposed to **additional cost** (and even the GHG metrics and summary are primarily aimed at reducing costs, not emissions). Remember that these standards are all about **informing the***

***investor**. However, the greater transparency provided when considered alongside the IFRS S1 and S2 reporting methodologies should allow for greater sustainability and climate-related action to be taken.*

(SASB, 2023)

6.3 Required and Issued Standards

Your exam is based on the 2024 'Required Standards' (previously known as 'Blue Book'), officially called The IFRS Accounting Standards – Required 1 January 2024. This contains all official pronouncements that are mandatory on 1 January 2024. It does not include IFRS Accounting Standards with an effective date after 1 January 2024.

This differs from the 2024 'Issued Standards' (previously known as 'Red Book' and officially called The IFRS Accounting Standards – Issued 1 January 2024), which includes all pronouncements issued at the publication date, including those that do not become mandatory until a future date. It includes standards that are effective on 1 January 2024 ***and in the future****, but not the standards that they will replace. It is normally printed in two volumes. (This book is more appropriate for preparers of financial statements who wish to adopt any of the Standards early.)*

6.4 Pointing forward to the future: approach to current issues

While 2024 Required Standards is the basis for exam questions, an overview of current issues will be needed in order to understand the potential problems preparers of financial statements will be facing. Current issues, as indicated above, are dealt with within the context of the topics. For a useful overview of what is to come, below is an extract from the IASB Work Plan, as at July 2024.

Project	***Next milestone***	***Expected date***
Addendum to the Exposure Draft Third Edition of the IFRS for SMEs Accounting Standard	*Exposure Draft Feedback*	*September 2024*
Business Combinations – Disclosures, Goodwill and Impairment	*Exposure Draft Feedback*	*October 2024*
Classification of Cash Flows related to Variation Margin Calls on 'Collateralised-to-market' Contracts (IAS 7)	*Tentative Agenda Decision Feedback*	*Q4 2024*
Climate-related and Other Uncertainties in the Financial Statements	*Exposure Draft Feedback*	*H1 2025*
Dynamic Risk Management	*Exposure Draft*	*H1 2025*
Equity Method	*Exposure Draft*	*September 2024*
Financial Instruments with Characteristics of Equity	*Final Amendments*	*2026*
Intangible Assets	*Review Research*	*October 2024*

Management Commentary	*Final Revised Practice Statement*	*H1 2025*
Post-implementation Review of IFRS 15 Revenue from Contracts with Customers	*Feedback Statement*	*September 2024*
Post-implementation Review of IFRS 16 Leases	*Request for Information*	*H1 2025*
Power Purchase Agreements	*Exposure Draft Feedback*	*August 2024*
Provisions – Targeted Improvements	*Exposure Draft*	*Q4 2024*
Rate-regulated Activities	*IFRS Accounting Standard*	*H2 2025*
Second Comprehensive Review of the IFRS for SMEs Accounting Standard	*IFRS for SMEs Accounting Standard*	*H1 2025*
Translation to a Hyperinflationary Presentation Currency (IAS 21)	*Exposure Draft Feedback*	*H1 2025*
Updating IFRS 19 Subsidiaries without Public Accountability: Disclosures	*Exposure Draft Feedback*	*H1 2025*

(IFRS, 2024)

Other potential current issues

Other topical issues which do not yet have their own specific IFRS Accounting Standard include:

Effects of a natural disaster

The financial effects of a natural disaster, such as an earthquake or a hurricane, or indeed a pandemic such as the coronavirus pandemic, should be reflected in the financial statements of entities that are affected. Potential Standards that could apply include:

(a) IAS 10, Events After the Reporting Period. If the event occurs after the year end, it will be non- adjusting. If the event spans the year end date, it may not always be straightforward to determine whether the event is adjusting or non-adjusting. Going concern may also be an issue.

(b) Compensation, clean-up costs and onerous contracts (IAS 37).

(c) Impairment of assets, including intangibles (IAS 36).

Digital assets. *These include digital photos, music, film and documents, as well as digital currency, also known as* ***cryptocurrency.***

There are no IFRS Accounting Standards that specifically deal with cryptocurrencies or other digital assets. In the absence of an accounting standard there is some debate over an appropriate accounting treatment. It is widely agreed that cryptocurrency is not cash (since it cannot readily be exchanged for goods or services) or a cash equivalent (since it ***is*** *subject to a significant risk of changes in value) and it should not be treated as a foreign currency (since virtual currency has different characteristics from fiat currencies). Therefore it should be recognised as another type of asset alongside other digital assets. There is no consensus as to which asset type best reflects digital assets' characteristics; they may be an intangible asset (if held in the long term) or inventory (if held to sell in the ordinary course of business) or may be treated as financial assets, with measurement at fair value.*

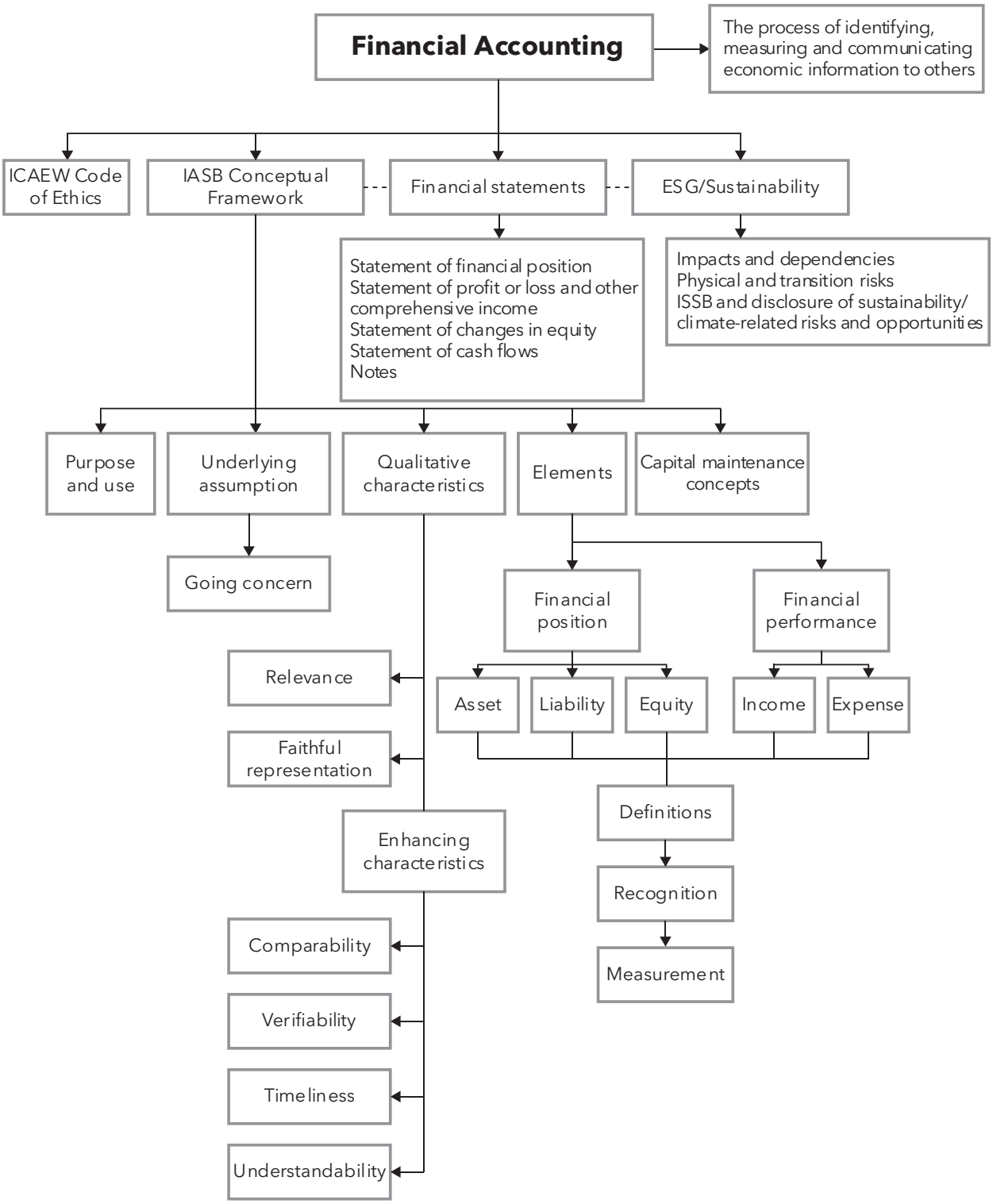
In developing a policy, IAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* requires that the directors consider the following hierarchy:

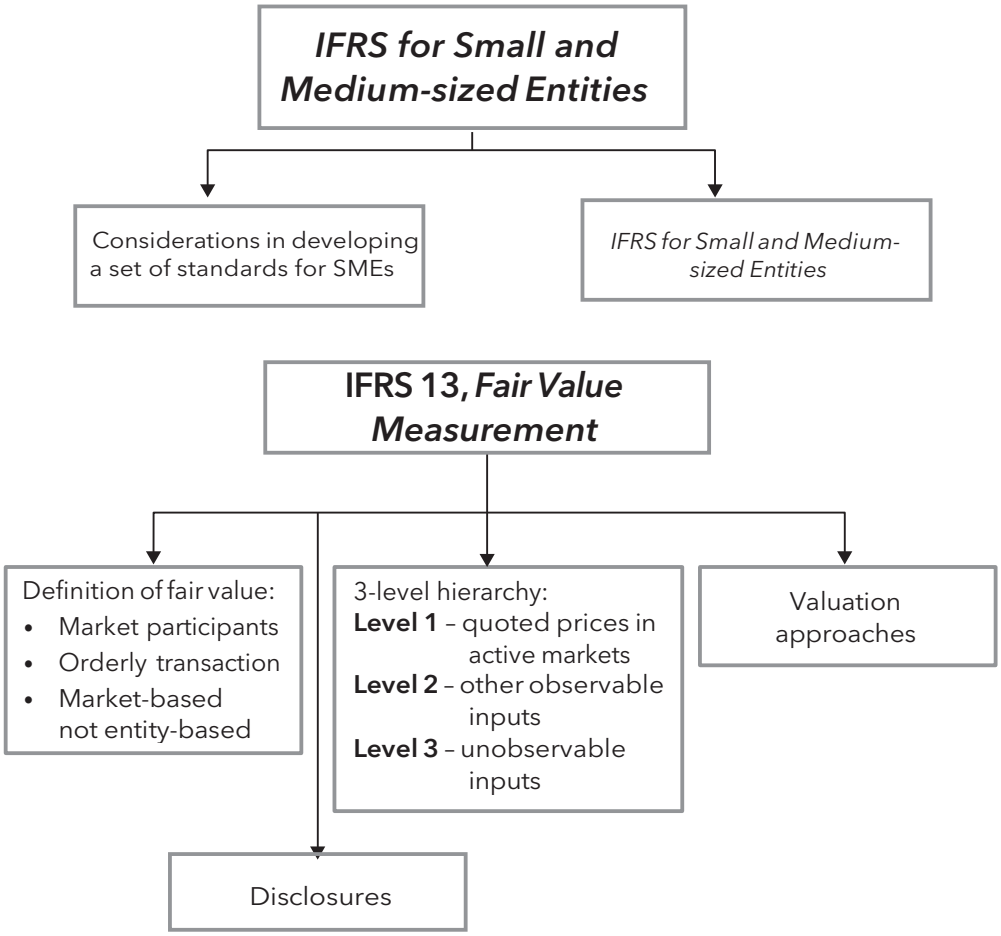
(a) IFRS Accounting Standards dealing with similar issues

(b) The Conceptual Framework

(c) The most recent pronouncements of other national GAAPs based on a similar conceptual framework and accepted industry practice

Summary


Financial Accounting
The process of identifying, measuring and communicating economic information to others
ICAEW Code of Ethics
IASB Conceptual Framework
Financial statements
ESG/Sustainability
Statement of financial position
Statement of profit or loss and other comprehensive income
Statement of changes in equity
Statement of cash flows
Notes
Impacts and dependencies
Physical and transition risks
ISSB and disclosure of sustainability/ climate-related risks and opportunities
Purpose and use
Underlying assumption
Qualitative characteristics
Elements
Capital maintenance concepts
Going concern
Financial position
Financial performance
Relevance
Asset
Liability
Equity
Income
Expense
Faithful representation
Definitions
Enhancing characteristics
Recognition
Comparability
Measurement
Verifiability
Timeliness
Understandability


IFRS for Small and Medium-sized Entities
Considerations in developing a set of standards for SMEs
IFRS for Small and Medium-sized Entities
IFRS 13, Fair Value Measurement
Definition of fair value:
• Market participants
• Orderly transaction
• Market-based not entity-based
3-level hierarchy:
Level 1 – quoted prices in active markets
Level 2 – other observable inputs
Level 3 – unobservable inputs
Valuation approaches
Disclosures

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you list the two fundamental and four enhancing qualitative characteristics of financial information? (Topic 1)
2.	How does the Conceptual Framework define a liability? (Topic 2)
3.	How should goodwill be accounted for under the IFRS for SMEs? (Topic 3)
4.	Have you understood what IFRS 13 means by the principal market? (Topic 4)
5.	Can you define and explain materiality? (Topic 5)
6.	What is the most recent IFRS? (Topic 6)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
IASB *Conceptual Framework*	This short, straightforward question is included because this is the first time the revised *Conceptual Framework* has been tested.
IFRS 13, *Fair Value Measurement*	Fair value comes up so often in Corporate Reporting questions that it is important to do this comprehensive question to get a firm grasp of it at this early stage.
Polson	This is a full question covering most aspects of IAS 8 that you are likely to encounter.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted the self-test questions, you can continue your studies by moving onto the next chapter. In later chapters, we will recommend questions from the Question Bank for you to attempt.

Technical reference

The whole of the *Conceptual Framework for Financial Reporting* and *Preface to International Financial Reporting Standards* is examinable. The paragraphs listed below are the key references you should be familiar with.

1 What is financial reporting?

- Financial reporting is the provision of financial information about a reporting entity that is useful to existing and potential investors, lenders and other creditors in making decisions relating to providing resources to the entity – **Conceptual Framework for Financial Reporting (Concept Frame) (1.2)**
- Financial statements comprise statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows and notes – **IAS 1 (10**)

2 Purpose and use of financial statements

- Users' core need is for information for making economic decisions – **Concept Frame (1.2)**
- Objective is to provide information on financial position (the entity's economic resources and the claims against it) and about transactions and other events that change those resources and claims – **Concept Frame (1.4)**
- Financial position: – **Concept Frame (1.4**)
  - Resources and claims
  - Help identify entity's strengths and weaknesses
  - Liquidity and solvency
- Changes in economic resources and claims: – **Concept Frame (1.18)**
  - Help assess prospects for future cash flows
  - How well have management made efficient and effective use of the resources
- Financial performance reflected by accrual accounting – **Concept Frame (1.17**)
- Financial performance reflected by past cash flows – **Concept Frame (1.21)**

3 Qualitative characteristics of useful financial information

- Two fundamental qualitative characteristics are relevance and faithful representation – **Concept Frame (2.5)**
- Relevance = capable of making a difference to decisions – **Concept Frame (2.6**)
  - Predictive and confirmatory values – **Concept Frame (2.7)**
  - Materiality – **Concept Frame (2.11)**
- Faithful representation – **Concept Frame (2.12**)
  - Complete, neutral and free from error
- Four enhancing qualitative characteristics – **Concept Frame (2.25-2.34)**
  - Comparability, verifiability, timeliness and understandability

4 Cost constraint on useful financial reporting

- Costs of (preparing and analysing) financial information must be justified by the benefits of reporting it – **Concept Frame (2.39-2.41)**

5 Reporting entity

- Underlying assumption: going concern – **Concept Frame (3.9)**
- Reporting period – **Concept Frame (3.4 - 3.7)**
- Perspective: entity as a whole, not a group of users – **Concept Frame (3.4 - 3.7)**
- Consolidated versus unconsolidated – **Concept Frame (3.15 - 3.17)**

6 Elements of financial statements

- **Asset:** A present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits – **Concept Frame (4.3, 4.4**)
- **Liability:** A present obligation of the entity to transfer an economic resource as a result of past events **– Concept Frame (4.26)**
- **Equity:** The residual interest in assets less liabilities; that is, net assets – **Concept Frame (4.63)**
- **Income** (comprising revenue and gains): Increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from holders of equity claims – **Concept Frame (4.68)**
- **Expenses** (including losses): Decreases in assets, or increases in liabilities, that result in decreases in equity other than those relating to distributions to holders of equity claims – **Concept Frame (4.69)**

7 Recognition

- An asset or liability should be recognised if it will be both **relevant** and provide users of the financial statements with a **faithful representation** of the transactions of that entity – **Concept Frame (4.38)**

8 Derecognition

Derecognition occurs (**Concept Frame (4.38)**) when:

- The entity loses control of all or part of the recognised asset; or
- The entity no longer has an obligation for a liability

9 Measurement

- Historical cost – **Concept Frame (6.17)**
- Current value
  - Fair value
  - Value in use
  - Current cost

10 Presentation and disclosure

- Focuses on principles not rules
- Classify by grouping similar items
- Aggregate to avoid unnecessary detail (**Concept Frame (7.2)**

11 Capital maintenance

- Financial capital: – **Concept Frame (4.57)**
  - Monetary
  - Constant purchasing power
- Physical capital

12 IASB

- Objectives of IASB – **Preface (6)**
- Scope and authority of IFRS – **Preface (7–16)**
- Due process re IFRS development – **Preface (17)**

13 IFRS for SMEs

- There are many considerations as to whether the same or a different set of IFRS Standards should apply to SMEs. The IFRS for SMEs applies to companies without public accountability (rather than using a size test).
- The IFRS for SMEs retains the core principles of 'full' IFRS, but reduces choice of accounting treatments and introduces a number of simplifications to reduce the reporting burden on SMEs.

14 IFRS 13, *Fair Value Measurement*

- Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date – **IFRS 13.9**
- Market-based measure – **IFRS 13.2**
- Three-level hierarchy – **IFRS 13.72**

15 IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*

16 Accounting policies IAS 8.7–13

17 Change in accounting policies

- Retrospective application is applying a new accounting policy as if that policy had always been applied
- If impracticable to determine the period-specific effects, apply prospectively

18 Changes in accounting estimates IAS 8.32–40

19 Prior period errors IAS 8.5, IAS 8.42 and IAS 8.49

20 Sustainability

IFRS Foundation (2021) *About the International Sustainability Standards Board*. [Online] Available at: https://www.ifrs.org/groups/international-sustainability-standards-board/ [Accessed 23 June 2022]

ISSB (2022) IFRS S1: IFRS S1 *General Requirements for Disclosure of Sustainability-related Financial Information*. [Online] Available at: https://www.ifrs.org/content/dam/ifrs/project/general- sustainability-related-disclosures/exposure-draft-ifrs-s1-general-requirements-for-disclosure-of-sustai nability-related-financial-information.pdf [Accessed 21 June 2022]

ISSB (2022) IFRS S1: Basis for Conclusions on IFRS S1 *General Requirements for Disclosure of Sustainability-related Financial Information*. [Online] Available at: https://www.ifrs.org/content/dam/ifrs/project/general-sustainability-related-disclosures/basis-for- conclusions-exposure-draft-ifrs-s1-general-requirements-for-disclosure-of-sustainability-related-finan cial-information.pdf [Accessed 21 June 2022]

ISSB (2022) IFRS S1: Illustrative Guidance on IFRS S1 *General Requirements for Disclosure of Sustainability-related Financial Information*. [Online] Available at: https://www.ifrs.org/content/dam/ifrs/project/general-sustainability-related-disclosures/illustrative- guidance-exposure-draft-ifrs-s1-general-requirements-for-disclosure-of-sustainability-related-financia l-information.pdf [Accessed 21 June 2022]

ISSB (2022) IFRS S2: IFRS S2 *Climate-related disclosures*. [Online] Available at: https://www.ifrs.org/content/dam/ifrs/project/climate-related-disclosures/issb-exposure-draft-2022- 2-climate-related-disclosures.pdf [Accessed 21 June 2022]

ISSB (2022) IFRS S2: Basis for Conclusions on IFRS S2 *Climate-related disclosures*. [Online] Available at: https://www.ifrs.org/content/dam/ifrs/project/climate-related-disclosures/issb-exposure-draft-2022-2-basis-for-conclusions-climate-related-disclosures.pdf [Accessed 21 June 2022]

ISSB (2022) IFRS S2: Illustrative Guidance on IFRS S2 *Climate-related disclosures*. [Online] Available at: https://www.ifrs.org/content/dam/ifrs/project/climate-related-disclosures/issb-exposure-draft-2022-2-illustrative-guidance-on-climate-related-disclosures.pdf [Accessed 21 June 2022]

UN (2021) *Academic impact: Sustainability* [Online]. Available at: https://www.un.org/en/academic- impact/sustainability [Accessed 23 June 2022]

Self-test questions

Answer the following questions.

1 IASB Conceptual Framework

1.1 What are the conditions which the *Conceptual Framework* identifies as necessary if the going concern basis is to be used for the preparation of financial statements?

1.2 According to the *Conceptual Framework,* what are the characteristics of information which is **faithfully represented**?

2 IFRS for Small and Medium-sized Enterprises – Smerk

Smerk is a private pharmaceuticals company that meets the definition of an SME under national legislation and wishes to comply with the IFRS for Small and Medium-sized Entities for the year ended 31 December 20X6 (with one year of comparative data). The directors are seeking advice on how to address the following accounting issues. The entity currently prepares its financial statements under full IFRS.

(1) Smerk has significant amounts of capitalised development expenditure in its financial statements, £3.2 million at 31 December 20X5 (£2.8 million at 31 December 20X4), relating to investigation of new pharmaceutical products. The amount has continued to rise during the current year even after the amortisation commenced relating to some products that began commercial production.

(2) Smerk purchased a controlling interest (60%) of the shares of a quoted company in a similar line of business, Rock, on 1 July 20X6. Smerk paid £7.7 million to acquire the investment in Rock and the fair value of Rock's identifiable assets and liabilities has been calculated as £9.5 million at the date of acquisition. The value on the stock market of the non-controlling interests that Smerk did not purchase was £4.9 million. The directors do not feel in a position to estimate reliably the useful life of the goodwill due to the nature of the business acquired.

(3) Smerk purchased some properties for £1.7 million on 1 January 20X6 and designated them as investment properties under the cost model. No depreciation was charged, as a real estate agent valued the properties at £1.9 million at the year end.

Requirement

Discuss how the above transactions should be dealt with in the financial statements of Smerk for the year ending 31 December 20X6, with reference to the *IFRS for SMEs*.

3 IFRS 13, Fair Value Measurement

Vitaleque, a public limited company, is reviewing the fair valuation of certain assets and liabilities in light of the introduction of IFRS 13, *Fair Value Measurement*.

It carries an asset that is traded in different markets and is uncertain as to which valuation to use. The asset has to be valued at fair value under International Financial Reporting Standards. Vitaleque currently only buys and sells the asset in the African market. The data relating to the asset are set out below.

Year to 30 November 20X2	North American market	European market	African market
Volume of market – units	4m	2m	1m
Price	£19	£16	£22
Costs of entering the market	£2	£2	£3
Transaction costs	£1	£2	£2

Additionally, Vitaleque had acquired an entity on 30 November 20X2 and is required to fair value a decommissioning liability. The entity has to decommission a mine at the end of its useful life, which is in three years' time. Vitaleque has determined that it will use a valuation technique to measure the fair value of the liability. If Vitaleque were allowed to transfer the liability to another market participant, then the following data would be used.

Input	Amount
Labour and material cost	£2m
Overhead	30% of labour and material cost
Third-party mark-up – industry average	20%
Annual inflation rate	5%
Risk adjustment – uncertainty relating to cash flows	6%
Risk-free rate of government bonds	4%
Entity's non-performance risk	2%

Vitaleque needs advice on how to fair value the liability.

Requirement

Discuss, with relevant computations, how Vitaleque should fair value the above asset and liability under IFRS 13

4 IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors

Statement of financial position extracts for the Kamao Company show the following.

	31 December 20X7	31 December 20X6
	£'000	£'000
Development costs	812	564
Amortisation	(180)	(120)
	632	444

The capitalised development costs related to a single project that commenced in 20X4. It has now been discovered that one of the criteria for capitalisation has never been met.

Requirement

According to IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*, by what amount should retained earnings be adjusted to restate them as at 31 December 20X6?

5 Hookbill

The Hookbill Company was updating its inventory control system during 20X7 when it discovered that it had, in error, included £50,000 in inventories in its statement of financial position as at the year end 31 December 20X6 relating to items that had already been sold at that date. The 20X6 profit after tax shown in Hookbill's financial statements for the year to 31 December 20X6 was £400,000.

In the draft financial statements for the year to 31 December 20X7, before any adjustment for the above error, the profit after tax was £500,000.

Hookbill pays tax on profits at 25%.

Requirement

According to IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*, what figures should be disclosed for profit after tax in the statement of profit or loss and other comprehensive income of Hookbill for the year ended 31 December 20X7, for both 20X7 and the comparative year 20X6?

6 Carduus

The Carduus Company manufactures motorboats. It has invested heavily in developing a new engine design. As a result, by 1 January 20X2 it had capitalised £72 million of development costs, which it was amortising over 10 years on a straight-line basis from that date.

Until 1 January 20X7, Carduus's new engine had been selling well and making substantial profits. However, a new competitor then entered the market, such that revised estimates were that the new engine would cease to generate any economic benefits after 31 December 20X9 and that the remaining amortisation period should be to this date on a straight-line basis. The entry of the new competitor led to an impairment review, but no impairment loss was identified.

Retained earnings at 31 December 20X6 were £400 million. Profit before tax and any amortisation charges was £70 million for the year ended 31 December 20X7

Requirement

Ignoring tax, determine the retained earnings figure for Carduus at 1 January 20X7 in the financial statements for the year to 31 December 20X7 and the profit before tax for the year then ended after adjusting for the change in amortisation according to IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*.

7 Aspen

The Aspen Company was drawing up its draft financial statements for the year to 31 December 20X7 and was reviewing its cut-off procedures. It discovered that it had, in error, at the previous year end, omitted from inventories in its statement of financial position a purchase of inventories amounting to
£100,000 made on the afternoon of 31 December 20X6. The related purchase transaction and the trade payable had been correctly recorded.

The retained earnings of Aspen at 31 December 20X6 as shown in its 20X6 financial statements were
£4,000,000. In the draft financial statements for the year to 31 December 20X7, before any adjustment of the above error, the profit after tax was £800,000. Aspen pays tax on profits at 30%.

Requirement

According to IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*, what figures should be disclosed in the financial statements of Aspen for the year ended 31 December 20X7 for profit after tax for the year and for retained earnings at 1 January 20X7?

8 Polson

The Polson Company appointed Rayner as finance director late in 20X7. One of Rayner's initial tasks was to ensure that a thorough review was carried out of Polson's accounting policies and their application in the preparation of Polson's consolidated financial statements for the year ended 31 December 20X6. This review identified the following issues in relation to the 20X6 consolidated financial statements which were approved for publication early in 20X7.

(1) The £840,000 year-end carrying amount of a major item of plant in a wholly-owned subsidiary comprised costs incurred up to 31 December 20X6. Depreciation was charged from 1 January 20X7 when the item was for the first time working at normal capacity. The depreciation charge takes account of residual value of £50,000 on 30 September 20Y4, the end of the item's useful life. The overall construction and installation of the item was completed on 30 September 20X6, when the item was first in full working order. Between 1 October and 31 December 20X6 the item was running below normal capacity as employees learnt how to operate it. The year-end carrying amount comprises: costs incurred to 30 September 20X6 of £800,000 plus costs incurred in October to December 20X6 of £50,000 less £10,000 sales proceeds of the output sold in October to December.

(2) On 1 January 20X6 Polson acquired a 30% interest in The Niflumic Company for £240,000, which it classified in its consolidated financial statements as an investment in equity instruments under IFRS 9, *Financial Instruments*. Polson has representation on Niflumic's board of directors. Niflumic's shares are dealt in on a public market and the year-end carrying amount of £360,000 was derived using the market price quoted on that date. The fair value increase of £90,000 (£360,000 – £240,000 less 25% deferred tax) was recognised in an available-for-sale reserve in equity. In its year ended 31 December 20X6 Niflumic earned a post-tax profit of £80,000 and paid no dividends.

(3) At 31 December 20X6 the total trade receivables in a 60% owned subsidiary was £360,000 according to the accounting records, while the separate list of customers' balances totalled £430,000. The accounting records were adjusted by adding the difference to both the carrying amount of trade receivables and revenue. It was revealed that the difference arose from double- counting certain customers' balances when taking the list out.

The 20X6 consolidated financial statements showed £400,000 as the carrying amount of retained earnings at the year end. The effect of taxation is immaterial in respect of the item of plant and the trade receivables adjustment.

Requirement

Determine the following amounts for inclusion as comparative figures in Polson's 20X7 consolidated financial statements after the adjustments required by IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*.

(1) The carrying amount of the item of plant at 31 December 20X6

(2) The increase/decrease in equity at 31 December 20X6 in respect of the investment in Niflumic

(3) The carrying amount of retained earnings at 31 December 20X6

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Question	Answer
Oak plc has purchased a patent for £40,000. The patent gives the company sole use of a particular manufacturing process which will save £6,000 a year for the next five years.	This is an asset, albeit an intangible one. There is a past event, control and future economic benefit (through cost saving).
Elm plc paid John Brown £20,000 to set up a car repair shop, on condition that priority treatment is given to cars from the company's fleet.	This cannot be classed as an asset. Elm plc has no control over the car repair shop and it is difficult to argue that there are future economic benefits.
Sycamore plc provides a warranty with every washing machine sold.	This is a liability. The business has an obligation to fulfil the terms of the warranty. The liability would be recognised when the warranty is issued rather than when a claim is made.

Answer to Interactive question 2

Statement of profit or loss and other comprehensive income for 20X7 (extract)

	20X6	20X7
	£'000	£'000
Sales	47,400	67,200
Cost of goods sold (W1)	(38,770)	(51,600)
Profit before tax	8,630	15,600
Income tax (W2)	(2,620)	(4,660)
Profit for the year	6,010	10,940
Retained earnings Opening retained earnings		
As previously reported		
	13,000	21,950
Correction of prior period error (4,200 – 1,260)		(2,940)
As restated	13,000	19,010
Profit for the year	6,010	10,940
Closing retained earnings	19,010	29,950

WORKINGS

(1) **Cost of goods sold**

	20X6	**20X7**
	£'000	**£'000**
As stated in question	34,570	55,800
Inventory adjustment	4,200	(4,200)
	3,770	51,600

(2) **Income Tax**

	20X6	**20X7**
	£'000	**£'000**
As stated in question	3,880	3,400
Inventory adjustment (4,200 × 30%)	(1,260)	1,260
	2,620	4,660

Answers to Self-test questions

1 IASB Conceptual Framework

1.1 Neither the intention nor the need to liquidate or curtail materially the scale of its operations.

1.2 It should be complete, neutral and free from error.

2 IFRS for Small and Medium-sized Enterprises – Smerk

Discussion as follows:

(1) **Development expenditure**

The *IFRS for SMEs* requires small and medium-sized entities to expense all internal research and development costs as incurred unless they form part of the cost of another asset that meets the recognition criteria in the IFRS. The adjustment on transition to the *IFRS for SMEs* must be made at the beginning of the comparative period (1 January 20X5) as a prior period adjustment. Thus the expenditure of £2.8 million on research and development should all be written off directly to retained earnings. Any amounts incurred during 20X5 and 20X6 must be expensed in those years' financial statements and any amortisation charged to profit or loss in those years will need to be eliminated.

(2) **Acquisition of Rock**

The *IFRS for SMEs* requires goodwill to be recognised as an asset at its cost, being the excess of the cost of the business combination over the **acquirer's interest** in the net fair value of the identifiable assets, liabilities and contingent liabilities. Non-controlling interests at the date of acquisition must therefore be measured at the proportionate share of the fair value of the identifiable assets and liabilities of the subsidiary acquired (ie, the 'partial' goodwill method).

After initial recognition the acquirer is required to amortise goodwill over its useful life under the *IFRS for SMEs*. If an entity is unable to make a reliable estimate of the useful life of goodwill, the life is presumed to be 10 years.

Goodwill will be calculated as:

	£m
Consideration transferred	7.7
Non-controlling interests (at % FVNA: 9.5 × 40%)	3.8
Fair value of identifiable net assets at acquisition	(9.5)
	2.0
Amortisation (2.0/10 years × 6/12)	(0.1)
	1.9

The amortisation of £0.1 million must be charged to profit or loss in 20X6.

(3) **Investment properties**

Investment properties must be held at fair value through profit or loss under the IFRS for SMEs where their fair value can be measured without undue cost or effort, which appears to be the case here, given that an estate agent valuation is available. Consequently a gain of £0.2 million (£1.9m – £1.7m) will be reported in Smerk's profit or loss for the year.

3 IFRS 13, Fair Value Measurement

Discussion as follows:

(1) **Fair value of asset**

Year to 30 November 20X2	**North American market**	**European market**	**African market**
Volume of market – units	4m	2m	1m
	£	**£**	**£**
Price	19	16	22
Costs of entering the market	(2)	(2)	n/a
Potential fair value	17	14	22
Transaction costs	(1)	(2)	(2)
Net profit	16	12	20

Additional information

- Because Vitaleque currently buys and sells the asset in the African market, the costs of entering that market are not incurred and therefore not relevant.
- Fair value is not adjusted for transaction costs. Under IFRS 13, these are not a feature of the asset or liability, but may be taken into account when determining the most advantageous market.
- The North American market is the principal market for the asset because it is the market with the greatest volume and level of activity for the asset. If information about the North American market is available and Vitaleque can access the market, then Vitaleque should base its fair value on this market. Based on the North American market, the fair value of the asset would be £17, measured as the price that would be received in that market (£19) less costs of entering the market (£2) and ignoring transaction costs.
- If information about the North American market is not available, or if Vitaleque cannot access the market, Vitaleque must measure the fair value of the asset using the price in the most advantageous market. The most advantageous market is the market that maximises the amount that would be received to sell the asset, after taking into account both transaction costs and usually also costs of entry; that is, the net amount that would be received in the respective markets. The most advantageous market here is therefore the African market. As explained above, costs of entry are not relevant here, and so, based on this market, the fair value would be £22.
- It is assumed that market participants are independent of each other, knowledgeable, and able and willing to enter into transactions.

(2) **Fair value of decommissioning liability**

Because this is a business combination, Vitaleque must measure the liability at fair value in accordance with IFRS 13, rather than using the best estimate measurement required by IAS 37,

Provisions, Contingent Liabilities and Contingent Assets. In most cases there will be no observable market to provide pricing information. If this is the case here, Vitaleque will use the expected present value technique to measure the fair value of the decommissioning liability. If Vitaleque were contractually committed to transfer its decommissioning liability to a market participant, it would conclude that a market participant would use the inputs as follows, arriving at a fair value of £3,215,000.

Input	Amount
	£'000
Labour and material cost	2,000
Overhead: 30% × 2,000	600
Third-party mark-up – industry average: 2,600 × 20%	520
	3,120
Inflation adjusted total (5% compounded over three years): 3,120 × 1.05^3	3,612
Risk adjustment – uncertainty relating to cash flows: 3,612 × 6%	217
	3,829
Discount at risk-free rate plus entity's non-performance risk: (4% + 2% = 6%): 3,829 ÷ 1.06	3,215

4 IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors

£444,000

Per IAS 8.42 a correction of a material error should be applied retrospectively by restating the opening balances of assets, liabilities and equity for the earliest prior period presented

5 Hookbill

20X7: £537,500

20X6: £362,500

	20X7	20X6
	£	£
Draft profit after tax	500,000	400,000
Inventory adjustment	50,000	(50,000)
Tax thereon at 25%	(12,500)	12,500
Revised profit after tax	537,500	362,500

The comparative amounts for the prior period should be restated, per IAS 8.42.

Correction of opening inventory will increase profit for the current period, by the amount of the after- tax adjustment. Conversely, the closing inventory for the previous period is reduced, thereby reducing profit by the after-tax effect of the adjustment.

6 Carduus

Retained earnings: £400m Profit before tax: £58.0m

The change in useful life is a change in an accounting estimate which is accounted for prospectively (IAS 8.36). So retained earnings brought forward remain unchanged, at £400 million.

The carrying amount of development costs at 1 January 20X7 (halfway through their previously estimated useful life) is (£72m × 5/10) £36 million. Writing this off over three years gives a charge of £12 million per annum. So the profit before tax is £70m – £12m = £58m.

7 Aspen

Profit after tax: £730,000 Retained earnings: £4,070,000

The comparative amounts for the prior period should be restated, per IAS 8.42.

The correction of opening inventories will decrease profit for the current period, by the after-tax value of the adjustment. Thus current period profits are £800,000 – (£100,000 × 70%) = £730,000.

The closing inventories of the previous period are increased by the same amount. So retained earnings are £4,000,000 + (£100,000 × 70%) = £4,070,000.

8 Polson

Figures as follows:

(1) £776,562

(2) (£66,000)

(3) £318,562

All these matters give rise to prior period errors which require retrospective restatement of financial statements as if the prior period error had never occurred (IAS 8.5).

(1) Recognition of cost in the carrying amount of PPE should cease when it is in the condition capable of being operated in the manner intended, so on 30 September 20X6, and depreciation should begin on the same date (IAS 16.20 and 55). So gross cost should be adjusted to £800,000 (£840,000 – £50,000 + £10,000) and depreciation, taking into account overall useful life and residual value, charged for 3 months, so £23,438 ((£800,000 – £50,000) × 1/8 × 25%). The restated carrying amount is £776,562 (£800,000 – £23,438).

(2) The investment in The Niflumic Company is an associate and should be accounted for according to IAS 28, not IFRS 9.

The value of the investment will therefore increase by 30% of Niflumic's post-tax profit rather than according to fair values.

	£
Amount recognised in other components of equity	90,000
30% × Niflumic's profit after tax (retained earnings)	24,000
Adjustment to equity	(66,000)

(3)

	£
Draft retained earnings	400,000
Reduction in carrying value of plant (£840,000 – £776,562)	(63,438)
Niflumic's earnings (£80,000 × 30%)	24,000
Error in trade receivables (£70,000 × 60%)	(42,000)
	318,562

Trade receivables, revenue and therefore profit were overstated by £70,000 in respect of the trade receivables. Polson's share is 60%, so end-20X6 retained earnings must be reduced by £42,000.

The share of Niflumic's profits is recognised in retained earnings, not in a separate reserve, giving rise to an increase of £24,000.

Chapter 3

Ethics

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 The importance of ethics

2 Ethical codes and standards

3 Ethics: financial reporting focus

4 Ethics: audit and assurance focus

5 Making ethical judgements

6 Money laundering regulations

7 Ethical guidance in more detail

Summary

Further question practice

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Identify and explain ethical issues in reporting, assurance and business scenarios
- Explain and appraise the relevance, importance and consequences of ethical issues
- Evaluate the impact of ethics on a reporting entity, relating to the actions of stakeholders
- Recommend and justify appropriate actions where ethical and professional conduct issues arise in a given scenario
- Design and evaluate appropriate safeguards to mitigate threats and provide resolutions to ethical problems

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**The importance of ethics** This first section reminds you of how important it is to do the right thing in the workplace and beyond.	**Approach** This should remind you of why you continue to study ethics – use it to maintain your focus. **Stop and think** WorldCom occurred at the very start of the 21st Century – do you think there is still a risk of good companies doing bad things?	Every question you attempt will need to consider the public interest so always consider how actions look through the lens of various ethical codes.	**IQ1: Ethics and the individual** Use this as an opportunity to remind yourself of how a professional accountant should behave in the face of such adversity.
2	**Ethical codes and standards** The way that you should act is always under consideration – note how these codes have evolved to keep up with current developments.	**Approach** Each of these codes of ethics is contained within your open book permitted text. **Stop and think** Make sure you understand the contents of each of these codes and standards – are you	As you found at the Professional Level, being able to navigate around the open book permitted text under time pressure is very important, so learn to do this whenever you attempt questions.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		up to date with recent changes?		
3	**Ethics: financial reporting focus** This section will remind you how ethics applies to the accountant in business.	**Approach** The fundamental principles, threats and safeguards should all be revision for you. **Stop and think** The remaining sections all relate to the work of creating financial information, so while you study them, consider how they could occur in real life.	You should be on the lookout for any clues from the scenario that suggest some questionable ethical behaviour is occurring. For example, considering the FIFA worked example, is there any evidence of bribery or corruption?	N/A
4	**Ethics: audit and assurance focus** This section will remind you how ethics applies to the accountant in practice. Note the recent developments to address ongoing issues from the profession.	**Approach** Having read about the current versions of the IESBA and ICAEW Codes and the FRC Ethical Standard, you need to make sure that you can find everything you need in the open book permitted text. **Stop and think** Do you know how to respond if presented with a variety of different ethical threats?	Responding appropriately to ethical threats is dependent upon being able to identify and diagnose these threats in the first place, so your technique should always start by confirming the problem and then evaluating suitable alternatives in response.	**IQ2: Ethical risks** Use this as a recap of all the ethical threats that an auditor is likely to face. **IQ3: Stewart Brice** Once you have studied this section, attempt this question to see how well you are able to apply this knowledge.
5	**Making ethical judgements** Not every scenario will be straightforward to diagnose and may require a systematic approach to determine the right response.	**Approach** Work your way methodically through the resolution process. **Stop and think** You may find it helpful to consider a real world problem that you are familiar with when working	As explained in 'Exam context' you should be prepared for more complex situations when attempting questions in the Corporate Reporting exam.	**IQ4: Revenue recognition** This is a brilliant way of demonstrating how financial reporting and auditing knowledge can be blended together to provide an ethical challenge. How will you respond to this?

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		through the resolution process.		
6	**Money laundering regulations** The threat of money laundering is going nowhere so you must always keep up to date with current developments in this area.	**Approach** Much of this is revision but you should make sure there is nothing new here from the last time you studied the subject. **Stop and think** Can you explain how the Bangladesh government is currently dealing with money laundering?	The biggest challenge with money laundering is being able to identify it so always be on the lookout for tell-tale signs of questionable financial activity.	N/A
7	**Integrity, objectivity and independence** To supplement your knowledge of the open book permitted text, here are some examples of how the FRC Revised Ethical Standard and the ICAEW Code of Ethics can be applied.	**Approach** Work through this with the open book permitted text in front of you. **Stop and think** Can you find where each of the threats is covered?	Use this as an opportunity to consider how the various threats could be examined.	N/A

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 The importance of ethics

Section overview

- Ethical behaviour is essential to maintain public confidence.
- Guidance is provided in professional codes of conduct and ethical standards.

1.1 Introduction

In general terms, ethics is a set of **moral principles** and **standards of correct behaviour**. Far from being noble ideals which have little impact on real life, they are essential for any society to operate and function effectively. Put simply, they help to differentiate between right and wrong, although their application often involves **complex issues, judgement and decisions**. While ethical principles can be incorporated into law, in many cases their application has to depend on the self-discipline of the individual. This principle can be seen to apply to society as a whole, the business community and the accounting profession.

1.2 Ethics in business

Business life is a fruitful source of ethical dilemmas because its whole purpose is material gain, the making of profit. Success in business requires a constant search for potential advantage over others and businesspeople are under pressure to do whatever yields such an advantage. As a result, organisations have become increasingly under pressure to act, and **to be seen to be acting, ethically**. In recent years, many have demonstrated this by publishing **ethical codes**, setting out their values and responsibilities towards stakeholders.

In some instances, businesses may be forced to adopt a more ethical approach. In the wake of the financial crisis, many global bank chief executives saw a pay cut for the first time in years. This was partly due to tightened international regulations which now require banks to align executive pay more closely to risks and performance. Arguably more forceful, however, are the investor revolts arising as a result of shareholders' anger at rising pay in a time of falling profits and reduced dividend payouts.

The ongoing developments in **sustainability** also mean that businesses now need to consider not only acting in an ethical manner but also in a sustainable manner as well – is it possible to satisfy both? The desire to be seen to be acting in the public interest may mean an entity faces an **impossible dilemma** – take the scenario of a **government considering its energy policy** and whether to generate electricity by continuing with mature industries reliant on fossil fuels such as oil and coal or replace them with renewable sources of energy such as wind and solar instead.

- Discontinuing fossil fuels will have serious implications for the industries that rely on them, affecting jobs and communities, and requiring significant transition costs
- Retaining fossil fuels will lead to the inevitable failure to comply with the Paris Accord and for that country to achieve net zero

While this is a simplistic view of a very complex problem, it does illustrate the dilemmas faced by those seeking to walk the line between ethics and sustainability.

Context example: When sportswashing and greenwashing collide

There are plenty of examples of greenwashing (exaggerating your sustainability credentials to improve your reputation) and its near relative sportswashing (associating with a popular sport to improve your reputation) but can this happen at the same time?

Let's start with **sportswashing**. Take a look around at high-profile sports teams and events – how many of them are associated with controversial owners or investors? Here are some examples:

- The 2022 Winter Olympics held in Beijing re-ignited the debate about the treatment of certain ethnic groups in China
- The football World Cups of 2018 and 2022 were both haunted by ongoing concerns over human rights issues with the host nations Russia and Qatar respectively
- Football has also seen unprecedented levels of investment from nation states with questionable human rights records, for example Saudi Arabia with its ownership of Newcastle United Football Club and the recruitment of several high-profile stars to play in the Saudi league, plus hosting a number of high-profile events including the 2034 FIFA men's World Cup
- Hosting a Grand Prix in Bahrain has been considered by some to be a way of drawing attention away from the country's poor human rights record
- During 2023, the threat posed by the breakaway Saudi-backed LIV golf tour was averted as the sport's major bodies all agreed to co-operate within a Saudi-funded merger

Undoubtedly, all of these relate to globally recognised sports where big money is at stake but there is an argument each is attempting to legitimise the actions of the investor (although the rise in popularity of sport and tourism in the Middle East has been described as simply a way of these economies diversifying so they can address the need to transition away from their traditional dependency on oil).

What about **greenwashing**? Commonly cited examples of this could include recycling advice on products that are inherently unsustainable (such as plastic drinks bottles) or misleading claims about lower emissions (such as those from airlines and their marketing) that cannot be substantiated. Is sport being used in a similar way? The money for a lot of sporting investment is arguably down to the unsustainable wealth of oil-producing nations who are undoubtedly benefiting from their links to these high-profile and attractive events and activities.

Either way, the threat of being associated with both greenwashing and sportswashing presents risks for sport overall - is it a good move in the long term for sport to be associated with something that affects its reputation and at the same time should be diminishing in its influence, or does it suggest that the world is still a long way from embracing sustainability issues and that carbon-based products are here to stay for the foreseeable future?

1.3 Ethics and the accounting profession

The IESBA *Code of Ethics for Professional Accountants* (IESBA Code) states:

"A distinguishing mark of the accountancy profession is its acceptance of the responsibility to act in the **public interest**." (IESBA Code para. 100.1 A1)

The public interest is considered to be the collective well-being of the community of people and institutions the professional accountant serves. These include the following:

- Clients
- Lenders
- Governments
- Employers
- Employees
- Investors
- The business and financial community
- Others who rely on the work of the professional accountant

For the work of the accountant in practice or in business to maintain its value, the accountant must be respected and trusted. The individual professional accountant therefore has a **duty** and a **responsibility** to maintain the **reputation** of the profession and the **confidence of the public**.

1.4 Ethics and the individual

While legislation and professional bodies have their part to play through issuing guidance, the importance of the **integrity of the individual** cannot be overestimated. Its ethical consequences are potentially very significant in deciding, for example, whether to whistleblow on questionable practice at work, despite pressure from colleagues or superiors or negative consequences of doing so.

The devastating effect of the ethical choices of one individual can be seen in the following summary of the role played by Betty Vinson, an accountant at WorldCom.



Context example: WorldCom

WorldCom, the US long-distance telephone carrier, is 'credited' with being responsible for a fraud that created the largest bankruptcy in US history. This reportedly resulted in a fine of $500 million, which at the time was the largest fine ever imposed by the Securities and Exchange Commission (SEC).

The problems began for WorldCom in mid-2000. Its operating costs were increasing sharply due to the fees which it had to pay to other companies for use of their telephone networks. Its chief executive officer and chief financial officer had had to inform Wall Street of lower than expected profits for the second half of the year and there was increasing pressure to improve results. Betty Vinson was working for WorldCom at this time as a senior manager in the corporate accounting division. She was asked by her boss to falsify the accounts in order to increase profits. This was achieved primarily by capitalising line costs rather than treating them as operating expenses. While Betty Vinson considered resignation due to the pressure she was put under to falsify the results, she continued to work for WorldCom until early 2002 and was promoted from senior manager to director with an increase in salary of $30,000. Over an 18-month period she had helped to falsify records at the request of her bosses, increasing profits by $3.7 billion.

By March 2002 questions were being asked by internal audit. Vinson decided to disclose the details of the falsified records to the FBI, the SEC and the US Attorney. She had hoped that her testimony could be exchanged for immunity from prosecution; however, this was not the case. In October 2002 she pleaded guilty to two counts of conspiracy and securities fraud (carrying a maximum sentence of 15 years) and in October 2003 she was charged with entering false information on company documents (carrying a maximum sentence of 10 years).



Interactive question 1: Ethics and the individual

1.1 From the Context Example above, list the factors which you think may have affected Betty Vinson's decision to make the fraudulent entries.

1.2 What other courses of action could she have taken?

See **Answer** at the end of this chapter.

Professional skills focus: Applying judgement

Sometimes doing the right thing is not straightforward and you should be prepared to consider things in a personal capacity.

One of the other courses of action that Betty Vinson could have taken would have been to **blow the whistle** – expose the fraud she was asked to participate in either within or outside the organisation. Admittedly, as the highest levels of management were involved in the WorldCom case, making an internal disclosure would have fallen on deaf ears at best, or at worst caused Betty Vinson to lose her job. However, Betty Vinson could have considered making an external disclosure: to the professional regulatory body of which she was a member, to public regulators, or, perhaps as a last resort, to the media. A timely disclosure could have brought the fraudulent activities to an end, mitigating their disastrous consequences.

Bangladesh does not yet have a dedicated and comprehensive whistleblower protection law comparable to the UK's Public Interest Disclosure Act or the EU Whistleblower Protection Directive. However, certain legal and institutional mechanisms provide limited protection for reporting wrongdoing. These include the Right to Information Act 2009, which promotes transparency and accountability, and complaint mechanisms under the Anti-Corruption Commission for reporting corruption. In addition, some protections may arise through sector-specific regulations, employment policies, and broader anti-corruption frameworks.

In the UK, the Public Interest Disclosure Act (PIDA) aims to protect whistleblowers who raise genuine concerns about the accountability of organisations in the public, private and voluntary sectors. The Act is designed to protect workers from detrimental treatment or victimisation from their employer if they blow the whistle in the public interest. Those disclosures that qualify for protection under the Act must include one of the following:

- a criminal offence
- the breach of a legal obligation
- a miscarriage of justice
- a danger to the health and safety of an individual
- damage to the environment
- a deliberate attempt to conceal any of the above

The Act also protects individuals who raise concerns over the administration of a charity and any funds given or held for charitable purposes who are then affected by the actions of their employer.

2 Ethical codes and standards

Section overview

- The accounting profession has developed principles-based codes, including the IESBA Code and the ICAB Code of Ethics.
- The ICAB Code of Ethics centres around four specific codes that are (i) professional miscouduct in relation to practice, (ii) professional miscounduct in relation to service (iii) professional misconduct in relation to management consultancy and (iv) professional and other misconduct. and a professional accountant is responsible for recognising and assessing potential threats to these Code of Ethics.

- Where threats are identified, a professional accountant must then implement safeguards to eliminate these threats or reduce them to an acceptable level.

2.1 IESBA, ICAB and Bangladesh FRC Codes

As a key aspect of reputation and professionalism is ethical behaviour, the accounting profession has developed **ethical codes of conduct**. These include:

- The IESBA Code of Ethics for Professional Accountants (IESBA Code). The Bangladesh FRC adopted the International Code of Ethics for Professional Accountants including the International Independence Standards. Previously the IESBA Code was adopted by the ICAB.
- The ICAB Code of Ethics (ICAB Code)

The IESBA Code provides ethical guidance internationally for IFAC members. The ICAEW Code has been derived from the IESBA Code but in places contains additional guidance or requirements.

The ICAB and Bangladesh FRC both adopted the provisions of the IESBA Code.

The IESBA Code provides ethical guidance internationally for IFAC members. The ICAB Code contains additional guidance or requirements. Therefore, compliance with Bangladesh FRC Code and ICAB Code will ensure compliance with the IESBA Code. The Bangladesh FRC Code and ICAB Code will be referred to the Codes for the purpose of the Chapter.

You should be familiar with the Codes from your previous studies, although it is possible the material you covered at the Professional Level may not have been based on the most up to date versions. This section summarizes the key points.

The ICAB Code is compliance based. The ICAB Code covers the following topics:

1. Professional misconduct in relation to Chartered Accounts in Practice (Schedule C, Part I)
2. Professional misconduct in relation to members of the Institute in service (Schedule C, Part II)
3. Professional misconduct in relation to management consultancy
4. Professional and other misconduct

The Bangladesh FRC Code (I,e,. IESBA Code) is principles-based and members are responsible for:

- identifying threats to compliance with the fundamental principles;
- evaluating the significance of these threats; and
- implementing safeguards to eliminate them or reduce them to an acceptable level.

The guidance in the Code is given in the form of:

- fundamental principles; and
- illustrations as to how they are to be applied in specific situations.

The Code applies to all members, students, affiliates, employees of member firms and, where applicable, member firms, in all their professional and business activities, whether remunerated or voluntary.

It is important to note therefore that adhering to the Code is equally important for a member working in business as it is for a member working in practice, even though the ethical codes are sometimes perceived to be associated more with the accountant in practice.

ICAB and Bangladesh FRC are committed to enforcing the Code through disciplining members who do not meet reasonable ethical and professional expectations of the public and other members.

Under Schedule "C", Part I of the Institute of Chartered Accountants of Bangladesh Bye-laws, a chartered accountant in practice is deemed guilty of professional misconduct if he engages in conduct that compromises professional integrity, independence, competence, confidentiality, or ethical standards.

This includes associating with unqualified persons in professional practice, allowing unauthorized persons to practise or sign on his behalf, sharing professional fees with non-members, or accepting commissions or profit-sharing arrangements that impair independence. A chartered accountant must not accept audit appointments improperly, including without communicating with the previous auditor, without ensuring legal compliance, or through fee undercutting.

The Code prohibits solicitation, advertising, self-promotion, and publication of client praise in a manner that amounts to advertising. Members must also ensure that all certified work is properly verified under their supervision and must not issue misleading reports, profit forecasts, or contingent fee arrangements unless permitted by law.

Professional independence and objectivity must be maintained at all times. A member must avoid conflicts of interest, disclose any material interest in entities on which opinions are expressed, and report material misstatements or omissions in financial statements. Gross negligence, failure to obtain sufficient audit evidence, and failure to follow applicable Bangladesh Accounting Standards and Bangladesh Auditing Standards also constitute misconduct.

The Code further requires confidentiality of client information, proper handling of client funds through separate bank accounts, compliance with the governing Order and Bye-laws, and cooperation with the Council of Institute of Chartered Accountants of Bangladesh. Any conduct that brings discredit to the profession, including false statements or misuse of professional designation, is treated as professional misconduct.

A copy of the ICAB Code is included in the Member's Handbook and is available at www.icab.orb.bd. The Bangladesh FRC Code is available at https://frc.gov.bd/.

2.2 Bangladesh FRC, the Year 2025 Edition of IESBA Code of Ethics

It is essential that an auditor's independence is not compromised while carrying out an audit engagement. Therefore the Bangladesh FRC has published the year 2025 edition of the IESBA Code of Ethics (Vol. 1 and Vol. 2) in its website. The basic principles have been covered in detail at Professional Level in the Audit and Assurance paper. This is covered later in this chapter.

3 Ethics: financial reporting focus



Section overview

- This section provides a summary of some key points covered in the ethics learning material in the Financial Accounting and Reporting paper at Professional Level.
- Here we primarily consider the application of the ICAB and Bangladesh FRC Code to the **accountant in business** involved in a financial reporting environment (we look at the accountant in practice in section 4).

3.1 Fundamental principles

Professional accountants are expected to follow the guidance contained in the fundamental principles in the ICAB and the IESBA Codes in all their professional and business activities. The professional accountant should also follow the requirements in the illustrations. However, they should be guided not just by the terms but also by **the spirit of the Code**.

The Code sets out five fundamental principles, the spirit of which must always be complied with.

(a) **Integrity**

A professional accountant should be straightforward and honest in all professional and business relationships.

A professional accountant should not be associated with reports, returns, communications or other information where they believe that the information:

- contains a materially false or misleading statement;
- contains statements or information provided recklessly; or
- omits or obscures required information where such omission or obscurity would be misleading.

(b) **Objectivity**

A professional accountant should not allow bias, conflict of interest or undue influence of others to override professional or business judgements.

(c) **Professional competence and due care**

A professional accountant has an obligation to:

- attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organisation receives competent professional services based on current technical and professional standards and relevant legislation; and
- act diligently and in accordance with applicable technical and professional standards.

Professional competence may be divided into two separate phases:

- Attainment of professional competence – initial professional development
- Maintenance of professional competence – continuing professional development (CPD)

Diligence encompasses the responsibility to act in accordance with the requirements of an assignment, carefully, thoroughly and on a timely basis. The 2023 revision to the IESBA Code specifically mentions the need for 'an understanding of relevant technical, professional, business and **technology-related** developments.'

(d) **Confidentiality**

A professional accountant should:

- respect the confidentiality of information acquired as a result of professional and business relationships;
- be alert to the risk that confidential information may be inadvertently disclosed;
- not disclose any such information to third parties without proper and specific authority (unless there is a legal or professional duty to disclose); and
- not use such information for the personal advantage of themselves or third parties.

The professional accountant must maintain confidentiality even in a social environment and even after employment with the client/employer has ended.

A professional accountant may be required to disclose confidential information:

- where there is a professional duty or right to disclose, when not prohibited by law, for example:
  - complying with the quality review of a professional body
  - responding to a professional or regulatory body inquiry or investigation
  - protecting a professional accountant's professional interests in legal proceedings
  - complying with technical and professional standards, including ethical requirements
- where disclosure is permitted by law and is authorised by the client or employer;
- where disclosure is required by law, for example:
  - production of documents or other provision of evidence in the course of legal proceedings
  - disclosure to the appropriate public authorities of infringements of the law that come to light; and
  - in cases where disclosure may be in the public interest (recent developments on non- compliance with laws and regulations (NOCLAR) in a later section are relevant here).

(e) **Professional behaviour**

A professional accountant should comply with relevant laws and regulations and should avoid any action that discredits the profession.

In marketing and promoting themselves professional accountants should not bring the profession into disrepute. That is, they should not make:

- Exaggerated claims for the services they are able to offer, the qualifications they possess or experience they have gained; or
- disparaging references or unsubstantiated comparisons to the work of others.

3.2 Threats

Compliance with these fundamental principles may potentially be threatened by a broad range of circumstances. Many of these threats can be categorised as follows:

(a) **Self-interest threat**

The threat that a financial or other interest of a professional accountant or of an immediate or close family member will inappropriately influence the professional accountant's judgement or behaviour.

Examples of circumstances that may create such threats include the following:

- Financial interests, loans or guarantees
- Incentive compensation arrangements
- Inappropriate personal use of corporate assets
- Concern over employment security
- Commercial pressure from outside the employing organisation

(b) **Self-review threat**

The threat that a professional accountant will not appropriately evaluate the results of a previous judgement made by the professional accountant.

(c) **Advocacy threat**

The threat that a professional accountant will promote a client's or employer's position to the point that the professional accountant's objectivity is compromised.

(d) **Familiarity threat**

The threat that due to a long or close relationship with a client or employer, a professional accountant will be too sympathetic to their interests or too accepting of their work.

Examples of circumstances that may create such threats include:

- a professional accountant in business, who is in a position to influence financial or non-financial reporting or business decisions, where an immediate or close family member would benefit from that influence;
- long association with business contacts influencing business decisions; and
- acceptance of a gift or preferential treatment, unless the value is clearly insignificant.

(e) **Intimidation threat**

The threat that a professional accountant will be deterred from acting objectively by threats, either actual or perceived.

Examples of circumstances that may create such threats include the following:

- Threat of dismissal or replacement in business, of yourself, or of a close or immediate family member, over a disagreement about the application of an accounting principle or the way in which financial information is to be reported
- A dominant personality attempting to influence the decision-making process, for example with regard to the awarding of contracts or the application of an accounting principle



Professional skills focus: Structuring problems and solutions

Having good knowledge of all the fundamental principles and threats to objectivity at your disposal will help you to understand how best to identify a suitable response to an ethical issue once you can suitably identify what the problem really is!

3.3 Safeguards

There are two broad categories of safeguards which may eliminate or reduce such threats to an acceptable level:

Safeguards created by the profession, legislation or regulation

Examples are:

- Educational, training and experience requirements for entry into the profession
- CPD requirements
- Corporate governance regulations
- Professional standards
- Professional or regulatory monitoring and disciplinary procedures
- External review by a legally empowered third party of reports, returns, communication or information produced by a professional accountant
- Effective, well-publicised complaints systems operated by the employing organisation, the profession or a regulator, which enable colleagues, employers and members of the public to draw attention to unprofessional or unethical behaviour
- An explicitly stated duty to report breaches of ethical requirements

Safeguards in the work environment

Examples are:

- The employing organisation's systems of corporate oversight or other oversight structures
- The employing organisation's ethics and conduct programmes
- Recruitment procedures in the employing organisation emphasising the importance of employing high calibre, competent staff
- Strong internal controls
- Appropriate disciplinary processes
- Leadership that stresses the importance of ethical behaviour and the expectation that employees will act in an ethical manner
- Policies and procedures to implement and monitor the quality of employee performance
- Timely communication to all employees of the employing organisation's policies and procedures, including any changes made to them, and appropriate training and education given on such policies and procedures
- Policies and procedures to empower and encourage employees to communicate to senior levels within the employing organisation any ethical issues that concern them without fear of retribution
- Consultation with another appropriate professional accountant

3.4 Ethical conflict resolution

When evaluating compliance with the fundamental principles, a professional accountant may be required to resolve a conflict in complying with the fundamental principles.

A professional accountant may face pressure to:

- act contrary to law or regulation;
- act contrary to technical or professional standards;
- facilitate unethical or illegal earnings management strategies;
- lie to, or otherwise mislead, others; in particular:
  - the auditor of the employing organisation, and
  - regulators; or
- issue, or otherwise be associated with, a financial or non-financial report that materially misrepresents the facts, for example:
  - financial statements,
  - tax compliance,
  - legal compliance, and
  - reports required by securities regulators.

3.5 Preparation and reporting of information

Accountants will often be involved in the preparation and reporting of information that may be:

- made public; or
- used by others inside or outside the employing organisation.

The accountant should:

- prepare or present such information fairly, honestly and in accordance with relevant professional standards;

- present financial statements in accordance with applicable financial reporting standards; and
- maintain information for which they are responsible in a manner which:
  - describes clearly the true nature of the business transactions, assets or liabilities;
  - classifies and records information in a timely and proper manner; and
  - represents the facts accurately and completely in all material respects.

3.6 Acting with sufficient expertise

An accountant should only undertake significant tasks for which they have, or can obtain, sufficient specific training or expertise.

Circumstances that threaten the ability of the accountant to perform duties with the appropriate degree of professional competence and due care include:

- insufficient time for properly performing or completing the relevant duties;
- incomplete, restricted or otherwise inadequate information for performing the duties properly;
- insufficient experience, training and/or education; and
- inadequate resources for the proper performance of the duties.

Safeguards that may be considered include:

- obtaining additional advice or training;
- ensuring that there is adequate time available for performing the relevant duties;
- obtaining assistance from someone with the necessary expertise; and
- consulting where appropriate with:
  - superiors within the employing organisation,
  - independent experts; or
  - ICAB.

3.7 Financial interests

An accountant may have financial interests, or may know of financial interests of immediate or close family members, that could in certain circumstances threaten compliance with the fundamental principles.

Examples of circumstances that may create self-interest threats are if the accountant or family member:

- Holds a direct or indirect financial interest in the employing organisation and the value of that interest could be directly affected by decisions made by the accountant.
- Is eligible for a profit-related bonus and the value of that bonus could be directly affected by a decision made by the accountant
- Holds, directly or indirectly, share options in the employing organisation, the value of which could be directly affected by decisions made by the accountant
- Holds, directly or indirectly, share options in the employing organisation which are, or will soon be, eligible for conversion
- May qualify for share options in the employing organisation or performance-related bonuses if certain targets are achieved

Safeguards against such threats may include the following:

- Policies and procedures for a committee independent of management to determine the level or form of remuneration of senior management

- Disclosure of all relevant interests and of any plans to trade in relevant shares to those charged with the governance of the employing organisation, in accordance with any internal policies
- Consultation, where appropriate, with superiors within the employing organisation
- Consultation, where appropriate, with those charged with the governance of the employing organisation or relevant professional bodies
- Internal and external audit procedures
- Up to date education on ethical issues and the legal restrictions and other regulations around potential insider trading

3.8 Inducements

An accountant, or their immediate or close family, may be offered an inducement such as:

- gifts;
- hospitality;
- preferential treatment; or
- inappropriate appeals to friendship or loyalty.

An accountant should assess the risk associated with all such offers and consider whether the following actions should be taken:

- Immediately inform higher levels of management or those charged with governance of the employing organisation.
- Inform third parties of the offer, for example a professional body or the employer of the individual who made the offer, or seek legal advice.
- Advise immediate or close family members of relevant threats and safeguards where they are potentially in positions that might result in offers of inducements (for example as a result of their employment situation).
- Inform higher levels of management or those charged with governance of the employing organisation where immediate or close family members are employed by competitors or potential suppliers of that organisation.

In addition to the ICAB and IESBA Codes, professional accountants in businesses should be aware of laws and regulations linked to anti-corruption and bribery. Bangladesh does not have a separate, comprehensive Bribery Act. Instead, bribery is regulated through a combination of criminal law, anti-corruption legislation, and institutional enforcement mechanisms led primarily by the Anti-Corruption Commission. These laws criminalize bribery, abuse of public office, and related financial misconduct, while also providing mechanisms for investigation, prosecution, and prevention.

Key legal frameworks include:

Penal Code 1860: Contains provisions criminalizing bribery, especially involving public servants accepting or giving illegal gratification.

Anti-Corruption Commission Act 2004: Established the Anti-Corruption Commission (ACC), the principal body responsible for investigating and prosecuting corruption and bribery offences.

Money Laundering Prevention Act 2012: Addresses proceeds of corruption and bribery by targeting laundering of illicit funds.

Public Procurement Act 2006 and procurement rules: Include anti-corruption safeguards in public procurement processes.

Context example: FIFA

The 2018 and 2022 football World Cup tournaments held in Russia and Qatar respectively were widely regarded as a success both on and off the field, due to the engagement of fans with their hosts and the quality of the football viewed by audiences across the world. However, in 2015, the organising body of the World Cup, FIFA, was being investigated for widespread corruption among many of its most senior officials.

Like any high-profile sporting administrator, FIFA has always attracted criticism, but the decision- making processes for awarding both the 2018 and 2022 tournaments came under intense scrutiny following accusations of bribery and corruption among those responsible for deciding on host countries. After an internal investigation in 2014, FIFA concluded that the bidding process was fair, although it did not release its report to the public in full, leading to the resignation of the investigation's independent author, Michael Garcia, in protest. The report was finally released in full in 2017.

The accusations continued until 2015, when criminal investigations were launched by the US and Swiss authorities which eventually led the leadership structure to remove a number of long-standing 'big' personalities including overall FIFA president Sepp Blatter and his European counterpart Michel Platini: both men were banned from football for eight years by FIFA's ethics committee, although these were subsequently reduced on appeal.

Although the US investigation in 2015 centred on bribes to senior officials of around US$2 million, sums thought to be in excess of US$150 million have also been mentioned in association with illegal payments to secure media and marketing rights to future tournaments. FIFA revenues from their World Cup tournaments usually run to billions of dollars, making this a serious business. In November 2020, Blatter and Platini were prosecuted by the Swiss authorities who alleged an illegal payment had been made by Blatter to Platini of 2m Swiss francs (around £1.6 million) in return for supporting Blatter but in July 2022, the pair were found not guilty after the court accepted the money related to the legitimate supply of advisory services.

The leadership of FIFA, now under president Gianni Infantino, continues to face a massive task in restoring faith in the transparency of its own governance arrangements and the public perception of football and its engagement on the global stage. This has not been helped by a report from the Swiss advertising regulator SLK that has concluded FIFA has not been able to substantiate claims made before it kicked off that the 2022 tournament in Qatar would be the first fully carbon-neutral World Cup. In addition, in March 2023, the former head of the Confederation of African Football (CAF) made claims that FIFA's ethics committee is not independent and that African football is being controlled by FIFA to allow it to pursue its strategic goals. This came after Infantino was re-elected unopposed as FIFA president, a position he has held since 2016.

(BBC News, 2015–2023; BBC Sounds, 2022)

3.9 Conflicts of interest

An accountant should take reasonable steps to identify circumstances that could pose a conflict of interest.

Examples might be:

- an accountant in public practice, competing directly with a client, or having a joint venture or similar arrangement with a major competitor of a client;
- an accountant performing services for clients whose interests are in conflict; or
- clients are in dispute with each other in relation to the matter or transaction in question.

Safeguards should include:

- notifying the client of the firm's business interest or activities that may represent a conflict of interest, and obtaining their consent to act in such circumstances;
- notifying all known relevant parties that the professional accountant is acting for two or more parties in respect of a matter where their respective interests are in conflict and obtaining their consent to so act; and
- Notifying the client that the accountant does not act exclusively for any one client in the provision of proposed services and obtaining their consent to so act.

3.10 General duty to report

Under the ICAB's Bye-laws it is the duty of every member where it is in the public interest to do so, to report to the Institute any facts or matters indicating that a member and/or firm or provisional member may have become liable to disciplinary action. In determining whether it is in the public interest to report such facts or matters, regard shall be had to such guidance as the Council shall give from time to time.

3.11 Practical significance

Accountants working within a financial reporting environment can come under pressure to improve the financial performance or financial position of their employer. Finance managers who are part of the team putting together the results for publication must be careful to withstand pressures from their non-finance colleagues to indulge in reporting practices which dress up short-term performance and position. Financial managers must be conscious of their professional obligations and seek appropriate assistance from colleagues, peers or independent sources.

Visit icaew.com (https://www.icaew.com/technical/audit-and-assurance/faculty/audit-and-beyond/audit-and-beyond-archive/audit-and-beyond-2022/october-2022/ethical-dilemma-case-stu dies) to access 'Ethical Dilemmas Case Studies' covering ethical dilemmas that are relevant to accountants – including a set of case studies specific to accountants in practice.

3.12 Promoting the role and mindset expected of professional accountants

You will no doubt have seen and heard plenty of comments about inadequate levels of professional scepticism being displayed by audit and assurance providers when undertaking engagements.
Given the significance of this alongside the need to address the expectation gap and other perceived ethical shortcomings across the whole of the profession, in 2019 the IESBA decided to consider whether the use of professional scepticism should be extended to apply to all professional accountants.

After a consultation period, IESBA concluded that while professional scepticism was fundamentally important to preserve trust in the profession, the term felt more appropriate to the nature of audit and assurance work, and there were other characteristics that professional accountants should display in order to be viewed as acting with something like professional scepticism. These were discussed in terms of the role and mindset expected of professional accountants and are summarised below.

- The importance of the role played by professional accountants as part of society and their duty to act in the public interest
- Enhancements to the descriptions of objectivity and professional behaviour within the IESBA Code of Ethics
- Reinforcing the importance of acting with integrity in difficult circumstances when there are easier options that could be taken

- Consideration of the impact of technology on the work of the professional accountant, ensuring competence is maintained and an awareness of the threat of bias from using certain datasets (see below)
- Keeping an open mind about anything that a professional accountant could be faced with as part of their work (as this covers issues such as challenging the views held by others and reserving judgement until all relevant information is available, it is perhaps the closest thing to professional scepticism contained in these proposals)
- An awareness of how cultural factors within an organisation and certain types of bias can affect the judgement of a professional accountant

The IESBA code has been redrafted to contain amendments that reflect these proposals. One of the areas that professional accountants should be aware of is the section on any bias that could create threats to being able to apply the conceptual framework. A brief summary of examples of such bias is shown below.

- Anchoring bias, where judgements are based on an initial piece of information that subsequently turns out to be inaccurate or unrepresentative, leading you to draw inappropriate conclusions
- Automation bias, where machine-generated data is considered superior to human-generated data despite evidence to the contrary
- Availability bias, where easily available information is favoured ahead of information which is less easy to access
- Confirmation bias, where you are inclined to trust information that supports something you already think you know, as opposed to challenging the status quo if such evidence exists
- Groupthink, which is sticking to the views of the group as opposed to considering innovative or individual solutions
- Overconfidence bias, where you assume you possess more expertise about an issue than is justified
- Representation bias, where conclusions about a population are drawn based on factors that may not be representative enough
- Selective perception, where conclusions are drawn based upon what you expect to see instead of keeping an open mind

With this last point, we are back again at professional scepticism – it is clearly a very fine line between the expectations that relate to professional accountants and those that apply to audit and assurance practitioners, but you should still be aware of the key points raised here when considering the mindset expected of a professional accountant.

3.13 IESBA Technology Initiative – Final Report (November 2022)

*In recent years, the **IESBA Technology Working Group** has undertaken a project to understand the impact of technology on accountants with the overall aim of ensuring that the IESBA Code continues to provide adequate explanation of the behaviour expected of accountants. This has led to a number of revisions which were added to the 2023 edition of the Code.*

*The **ethical issues** raised by the project include the following:*

- *While keeping up to date with an area that **changes** as rapidly as technology is undoubtedly challenging, to continue acting in the public interest, **accountants must maintain their skills and competence** in this area.*

  *The report explains that **younger accountants** who have grown up with technology around them might find maintaining this knowledge **more straightforward** than their more **senior colleagues**: as a result, there may be a tendency to prioritise younger accountants when considering how technology should be adopted by firms and other employers. However,*

*the **lack of business experience** in more junior staff makes this a risky approach and so there is a need for all accountants to be aware of how technology affects the profession.*

- *Greater reliance on technology can have an adverse impact on **objectivity**. This can come from some form of **bias** that has been built into a system (for example, if an algorithm is written by a human or the validation of the system used a biased selection of data).*

  *Objectivity can also suffer if there is an **over-reliance** on a piece of technology (assuming that the machine will always be correct, in other words, automation bias). Connected to this is the fact that many technology solutions (such as Artificial Intelligence) may not be **transparent** enough to be able to **challenge** the **judgements made automatically** (such as deciding on which debts to provide for or which customers to grant credit to).*
- *There are also concerns about **independence**. Should the auditor obtain information about the entity from technology deployed during the audit (such as analysis of customer payment patterns), sharing this information in the course of communication with those charged with governance could be considered to have blurred the lines between audit and non-audit work and the auditor would, in effect, be acting in some form of **management capacity** for the client.*

  *Other concerns were raised about how independence between auditors and their clients could be compromised: for example, retaining large amounts of client data after testing or using tools and techniques that generate information that the client values but cannot afford to generate on their own. This could subsequently create a **self-review threat** should audit clients decide to make use of technology deployed by the auditor as part of the process of creating financial information.*

  These are just some of the issues that the Technology Working Group considered during the project. Inevitably, as technology evolves, the risks associated with it also evolve and it is essential that the profession continues to stay alert to these risks.

4 Ethics: audit and assurance focus



Section overview

- This section focuses on ethical guidance most relevant to accountants in practice providing assurance services and builds on the material covered in the Assurance paper at Certificate Level and the Audit and Assurance paper at Professional Level.
- It also provides detail of recent changes to the relevant ethical codes and standards:
  - IESBA Code
  - ICAB Code
  - Revised Ethical Standard



Interactive question 2: Ethical risks

From your knowledge brought forward from your previous studies, and any practical experience of auditing you may have, write down as many potential ethical risk areas concerning audit as you can in the areas below. (Some issues may be relevant in more than one column.)

Personal interests	Review of your own work	Disputes	Intimidation

See **Answer** at the end of this chapter.

4.1 Development of the IESBA Code

4.1.1 Developments

One of the driving forces behind the update to the IESBA Code was the conclusion of the **NOCLAR** (non-compliance with laws and regulations) project.

This project addressed professional accountants' responsibilities when they become aware of non- compliance or suspected non-compliance with laws and regulations committed by a client or employer. The IESBA Code states that the objectives of the professional accountant are as follows:

- To comply with the principles of integrity and professional behaviour
- By alerting management or, where appropriate, those charged with governance of the employing organisation, to seek to:
  - enable them to rectify, remediate or mitigate the consequences of the identified or suspected non-compliance; and
  - deter the commission of the non-compliance where it has not yet occurred.
- To take such further action as appropriate in the public interest (IESBA Code: para. 260.4)

Where the professional accountant becomes aware of information concerning instances of non- compliance or suspected non-compliance the following procedures are required. The professional accountant must:

- obtain an understanding of the matter;
- address the matter;
- determine whether further action is needed;
- consider any imminent breaches; and
- consider any additional documentation requirements.

(IESBA Code: para 260.12-23)

In January 2017, the IESBA issued a close off document: **Addressing the Long Association of Personnel with an Audit or Assurance Client**. This states that for audits of Public Interest

Entities an individual cannot act as the engagement partner, the individual appointed as responsible for the engagement quality control review or any other key audit partner role (or a combination of these roles) for a period of more than seven cumulative years (para. R540.5). It also includes the following 'cooling off' periods where the individual has acted in the role for seven cumulative years (para.
R540.11–13):

- Engagement partner: five consecutive years
- Individual responsible for the engagement quality control review: three consecutive years
- Individual who has acted in any other capacity as key audit partner: two consecutive years

Note: This document was issued prior to the adoption of the quality management standards in 2021 when the terms **quality control** and **engagement quality control review** were still in use – however, in this instance you can assume that these practices are referring to what you understand to be **quality management** and **engagement quality reviews** respectively.

A previous close off document from 2016 provided guidance on two further areas which are now included in the IESBA Code: **Preparation and presentation of information** (section 220) and **Pressure to breach the fundamental principles** (section 270). While these are presented in the context of the professional accountant in business, the auditor should consider these expectations which have now been explicitly raised as part of their audit approach.

When **preparing or presenting information**, a professional accountant shall:

(a) Prepare or present information in accordance with a relevant reporting framework, where applicable;

(b) Prepare or present the information in a manner that is intended neither to mislead nor to influence contractual or regulatory outcomes inappropriately;

(c) Exercise professional judgement to:
  (1) Represent the facts accurately and completely in all material respects
  (2) Describe clearly the true nature of business transactions or activities; and
  (3) Classify and record information in a timely and proper manner

(d) Not omit anything with the intention of rendering the information misleading or of influencing contractual or regulatory outcomes inappropriately.

(IESBA Code: para R220.4)

A professional accountant shall not allow pressure from others to result in a **breach of compliance with the fundamental principles** or place pressure on others that the accountant knows, or has reason to believe, would result in the other individuals breaching the fundamental principles. (IESBA Code: para R270.3)

4.1.2 Structural changes

In addition to the content changes mentioned above, the IESBA has changed the format and structure of the Code as follows:

- Guide to the code
- International Code of Ethics for Professional Accountants (including International Independence Standards)
- Preface
- Part 1 – Complying with the Code, fundamental principles and conceptual framework
- Part 2 – Professional accountants in business
- Part 3 – Professional accountants in public practice
- International independence standards: Part 4A Independence for audit and review engagements and 4B Independence for assurance engagements other than audit and review engagements

- Glossary, including list of abbreviations
- Effective dates (mostly 15 June 2019)

This restructured Code is now referred to as the International Code of Ethics for Professional Accountants (including International Independence Standards).

4.2 FRC Revised Ethical Standard 2019

4.3 Threats and safeguards

The IESBA Code, the ICAB Codes are all based on the principle that integrity, objectivity and independence are subject to various threats and that safeguards must be in place to counter these.

The majority of threats fall into the following categories:

Threat	Example
Self-interest threat	Undue dependence on total fees from a client
Self-review threat	Reporting on the operation of financial systems after being involved in their design or implementation
Management threat	Where the audit firm has been involved in the design, selection and implementation of financial information technology systems (This threat is included in the FRC Ethical Standard only)
Advocacy threat	Acting as an advocate on behalf of an assurance client in litigation or disputes with third parties
Familiarity or trust threat	A member of the engagement team having a close or immediate family relationship with a director of the client
Intimidation threat	Being threatened with dismissal or replacement in relation to a client engagement

(a) Under the Codes a **safeguard is** '…actions, individually or in combination, that the professional accountant takes that effectively reduce threats to compliance with the fundamental principles to an acceptable level.'

(b) Safeguards in the **work environment** may differ according to whether a professional accountant works in public practice, in business or in insolvency.

(c) When **evaluating safeguards**, the auditor should consider what a **reasonable and informed third party**, having knowledge of all relevant information, including the significance of the threat and the safeguards applied, would conclude to be unacceptable.

4.4 Professional appointment

The following procedures for **acceptance and continuance**. The prospective auditor should consider the various **threats** that an engagement could present – for example:

- integrity and professional behaviour issues may arise from clients with questionable integrity (these can be evaluated by considering the client's integrity and the existence of any suitable governance practices in place)
- self-interest threats could arise from undertaking work that the auditor is not competent to complete (a thorough understanding of the nature of the work being considered is therefore essential)

When considering a prospective engagement, the prospective auditor needs to determine if there are any **reasons** for not accepting the engagement (in other words, would it lead to a threat that could not be satisfactorily dealt with by safeguards).

A suitable response would be to undertake **research** of the prospective client (usually by some form of enquiry) or to ask for information about the prospective client from the existing auditor. Both existing and prospective auditors need **formal consent from the client** to be able to **communicate**: the prospective auditor should keep an open mind when evaluating the threat attached to the prospective client, even if the existing auditor does not respond (although in such cases it would be reasonable to obtain information by other means).

In any event, both parties must be careful to avoid any risk of tipping off if there is any suspicion of money laundering.

4.5 Access to information by successor auditors

In Bangladesh, currently the Companies Act, 1994 does not require the predecessor auditor to allow the successor auditor access to all relevant information in respect of its audit work. This includes access to relevant working papers.

However, some of the key points in ISAs are as follows:

Some of the key points in this regard are:

- The request should be made after the successor has been formally appointed
- The successor should consider whether to make a request and the extent of that request
- The request should be as specific as possible. There are specific references to reviewing a predecessor's audit work in:
  - ISA 510 Initial Engagements – Opening Balances
  - ISA 710 Comparative Information – Corresponding Figures And Comparative Financial Statements
  - ISA 300 Planning an Audit of Financial Statements
- The predecessor should be prepared to assist the successor by providing oral or written explanations
- It is reasonable for the successor to make notes of its review
- There is no obligation to allow copying of papers, but it would be reasonable to allow copying of extracts of the books and records of the client, analyses of financial statement figures and documentation of the client's systems and processes
- Providing access to working papers in this way is not a breach of confidentiality because it is done in order to comply with auditing standards. (A letter from the predecessor to the successor should be copied to the client as a matter of courtesy.)

However in the UK, as a result of the implementation of the UK Companies Act 2006 when the predecessor auditor ceases to hold office, if requested by the successor auditor, the predecessor auditor must allow the successor access to all relevant information in respect of its **audit work**. This includes access to relevant working papers.

The ICAEW Code states that predecessor auditors should pass their **working papers** on to the successor auditor but that if there are any outstanding fees from the engagement, they can exercise their right of lien. Any transfer of information should be based on a reasonable request and should be undertaken promptly. Any information that assists the successor auditor with gaining an

understanding of their client can also be requested from the predecessor auditor and should be provided free of charge unless it would require significant work to create. Introduction of similar provisions in Bangladesh may bring in more efficiencies in statutory audit.

Professional skills focus: Assimilating and using information

Although there is a lot of content in each of the ICAB and IESBA Codes, you can use something as mundane as the contents pages of each document to help you find the right path through any ethics problem.

Interactive question 3: Stewart Brice

You are the Ethics Partner at Stewart Brice, a firm of chartered accountants. The following situations exist.

Teresa is the audit manager assigned to the audit of Recreate, a large quoted company. The audit has been ongoing for one week. Yesterday, Teresa's husband inherited 1,000 shares in Recreate. Teresa's husband wants to hold on to the shares as an investment.

The Stewart Brice pension scheme, which is administered by Friends Benevolent, an unconnected company, owns shares in Tadpole Group, a listed company with a number of subsidiaries. Stewart Brice has recently been invited to tender for the audit of one of the subsidiary companies, Kermit Co.

Stewart Brice has been the auditor of Kripps Bros, a limited liability company, for a number of years. It is a requirement of Kripps Bros' constitution that the auditor owns a token £1 share in the company.

Requirements

3.1 Comment on the ethical and other professional issues raised by the above matters.

3.2 Identify the ethical and professional issues Stewart Brice would need to consider.

See **Answer** at the end of this chapter.

5 Making ethical judgements

Section overview

- The application of ethical guidance requires skill and judgement and relies on the integrity of the individual.
- The IESBA Code provides a framework for the resolution of ethical conflicts.
- In the exam, you will be expected to identify ethical issues and evaluate alternative courses of action.

5.1 Resolving ethical conflicts

Although there are a number of sources of ethical guidance, resolving ethical issues can be complex. As you have seen in your earlier studies, there are some specific rules which can be applied, but current Bangladesh ethical guidance is primarily **principles-based**.

The application of these principles requires a degree of skill and the onus is placed on the integrity and judgement of the individual in weighing up the facts of the situation. In addition, it may mean that in certain circumstances there is more than one acceptable outcome.

The Ethical Codes in Bangladesh recognise that conflicts in the application of fundamental principles may need to be resolved. When providing a service the professional accountant must take into account:

- the **client's requirements**; and
- the **public interest**.

Where these are in conflict, **the public interest should take priority**.

The following help sheet which was produced by the ICAEW (ICAEW, 2014) sets out a framework that accountants can follow when faced with these issues, which you may find useful when considering ethical problems in the exam.

The help sheet suggests that the resolution process should consider the following:

Relevant facts Do I have all the relevant facts? Am I making assumptions? Is it my problem or can anyone else help?	This may involve: • referring to the organisation's policy, procedures, code of conduct and previous history; or • discussing the matter with trusted managers and employees.
Relevant parties Who are the individuals, organisations and key stakeholders affected? How are they affected? Are there conflicts between different stakeholders? Who are your allies?	These may include those directly affected eg, shareholders, employees and employers but may also include the community at large.
Ethical issues involved Would these ethical issues affect the reputation of the accountancy profession? Would they affect the public interest?	These include: • professional ethical issues; • organisational ethical issues; and • personal ethical issues. You could refer to the ICAEW Code of Ethics for help.
Fundamental principles affected and any associated ethical threats Which fundamental principles are affected? Which threats to compliance exist? Are there safeguards in place which can reduce or eliminate the threats?	This will involve reference to the relevant ethical guidance from the I Code: • Section relevant to the fundamental principles • Section relevant for threats to these fundamental principles Are any of these threats clearly insignificant?
Established internal procedures Does your organisation have policies and procedures to deal with this situation? How can you escalate concerns within your organisation? Is there a whistleblowing procedure?	The professional accountant may find it useful to discuss ethical conflict issues with: • immediate superior; • the next level of management; • a corporate governance body; or • other departments eg, legal, audit, human resources.

	Consideration should also be given to the point at which help is sought from external sources eg, ICAB. Generally it would be preferable for the conflict to be resolved **without external consultation**.
Alternative courses of action Have all the consequences been discussed and evaluated? Will the proposed course of action stand the test of time? Would a similar course of action be undertaken in a similar situation? Would the course of action stand scrutiny from peers, family and friends?	The following should be considered: • The organisation's policies, procedures and guidelines • Applicable laws and regulations • Universal values and principles adopted by society • Consequences Whenever considering an ethical issue, thought processes, discussions and decisions should all be recorded and can be referred to if you need to justify your actions in future.

Where the conflict is significant and cannot be resolved, the accountant would need to **seek legal advice**. After exhausting all other possibilities and depending on the nature of the conflict, the individual may conclude that withdrawal from the engagement team or resignation from the firm/employing organisation is appropriate.

Note: Withdrawal/resignation would be seen very much as a last resort.

Professional skills focus: Structuring problems and solutions

Scenarios in the exam may be discrete and straightforward, but what if they are not? Use this systematic resolution process to help you work the problem logically.

5.2 Exam context

Ethical issues will have been examined in earlier papers. However, at the Advanced Level you will be faced with **more complex situations**. More emphasis will be placed on your ability to use your **judgement** in the light of the facts provided, rather than testing your knowledge of the ethical codes and standards in detail. In some instances, the correct action may be uncertain and it will be your ability to identify the **range of possible outcomes** which will be important rather than concluding on a single course of action.

You should also be aware that the term 'ethics' will be used in a much broader sense than it has been in the earlier Assurance and Audit and Assurance papers. It is likely to be combined with **financial reporting and business issues** where you may be required to assess the ethical judgements made by others, including management. You may also be asked to consider the issue from the point of view of the accountant in practice and the accountant in business.

The following Interactive question demonstrates these points.

Interactive question 4: Revenue recognition

You are the auditor of Bellevue Ltd for the year ended 31 December 20X8. The company provides information to the financial services sector and is run by the Managing Director, Toby Stobbart. It has a venture capital investment of which part is in the form of a loan. The investment agreement details a covenant designed to protect the loan. This states an interest cover of two is required as a minimum ie, the company must be able to cover interest and loan principal repayments with profits at least twice.

70% of the revenue of the business is subscription based and contracts are typically three years in duration. 30% of the revenue is for consultancy work which is billed on completion of the work.
Consultancy projects are for a maximum of two months.

During the previous year the management performed a review of the subscription revenue and concluded that 40% of this represented consultancy work and should therefore be recognised in the first year of the contract rather than being recognised over the duration of the contract as had previously been the case. The audit file for 20X7 indicates that this treatment had been questioned vigorously by the audit manager but had been agreed with the audit partner, James Cowell. James Cowell subsequently left the firm abruptly.

You have received a copy of the 20X8 draft accounts which show an interest cover of 2.02 for 20X7 and 2.01 for 20X8. You have also been told that a similar review of subscription income has been made for 20X8, with 40% being reclassified as consultancy work as in the previous year.

Requirement

What are the issues that you as auditor would need to consider in this situation? See **Answer** at the end of this chapter.

6 Money laundering regulations



Section overview

- This section provides a summary of some key points covered in the Audit and Assurance paper at Professional Level.
- Here, we consider an overview of the money laundering regulations in Bangladesh, and how they affect the work of accountants in practice.
- Reporting Entity and the role of accountants as reporting entity

6.1 Money laundering regulations – key changes from 2007

In Bangladesh, money laundering is governed by the Money Laundering Prevention Act, 2012 (amended in 2015) (the "Act"). The Act outlines several provisions to combat and prevent money laundering activities in the country.

The Bangladesh Financial Intelligence Unit (BFIU) is the central agency in Bangladesh responsible for combating money laundering and terrorist financing. It operates under the jurisdiction of the Central Bank of Bangladesh (i.e., Bangladesh Bank). Financial Intelligent Unit (FIU) of Bangladesh was established in June 2002. However, it was transformed into BFIU in 25 January 2012.

- Definition of Money Laundering: The Act defines money laundering as knowingly moving, converting, or transferring proceeds of crime or property involved in an offense for the purpose of concealing or disguising its illicit origin.
- Offenses and Penalties: Engaging in money laundering activities is a criminal offense. The penalties for money laundering can include imprisonment and fines. The severity of the penalty depends on the extent of the offense.

- Reporting Obligations: Financial institutions and non-financial businesses are required to report suspicious transactions to the Bangladesh Financial Intelligence Unit (BFIU). These reports help in identifying and investigating potential money laundering activities.
- Customer Due Diligence (CDD): Financial institutions must conduct customer due diligence to verify the identity of their clients and assess the risk of money laundering. This includes obtaining information on the beneficial ownership of accounts.
- Record Keeping: Financial institutions are required to maintain records of transactions and customer information for a specified period. This helps in tracking and investigating suspicious activities.
- Freezing and Seizure of Assets: The Act provides for the freezing and seizure of assets suspected to be involved in money laundering. This is to prevent the dissipation of assets before they can be confiscated.
- International Cooperation: The Act emphasizes cooperation with foreign jurisdictions in the investigation and prosecution of money laundering offenses. Bangladesh can share information and assist in cross-border investigations.
- Regulatory Authorities: The Bangladesh Financial Intelligence Unit (BFIU) is the primary regulatory body responsible for overseeing compliance with money laundering laws. It also has the authority to investigate and take action against violators.
- Protection for Whistleblowers: The Act includes provisions to protect individuals who report suspicious activities or cooperate with investigations into money laundering.

Here are some key provisions from BFIU:

- Establishment and Function: The BFIU is tasked with receiving, analyzing, and disseminating information related to suspicious financial transactions. It acts as the national center for receiving reports on suspicious activities and transactions.
- Regulatory Oversight: The BFIU supervises and monitors financial institutions and other reporting entities to ensure compliance with anti-money laundering (AML) and combating the financing of terrorism (CFT) regulations. It issues guidelines and directives to enhance the effectiveness of the AML/CFT regime in Bangladesh.
- Suspicious Transaction Reports (STRs) and Cash Transaction Reports (CTRs): Financial institutions and other entities are required to submit STRs and CTRs to the BFIU. The unit analyzes these reports to detect patterns of money laundering and terrorist financing activities.
- International Cooperation: The BFIU collaborates with foreign financial intelligence units and international organizations to exchange information and participate in global efforts to combat money laundering and terrorist financing. Bangladesh is a member of the Egmont Group, an international network of financial intelligence units.
- Capacity Building and Training: The BFIU provides training and capacity-building programs for financial institutions, law enforcement agencies, and other stakeholders to enhance their understanding of AML/CFT measures and improve their ability to detect and prevent financial crimes.
- Public Awareness and Outreach: The BFIU conducts public awareness campaigns and outreach programs to educate the public and private sectors about the risks and consequences of money laundering and terrorist financing.
- Policy Formulation: The BFIU plays a crucial role in formulating policies and strategies to strengthen the AML/CFT framework in Bangladesh. It advises the government on necessary legislative and regulatory measures to address emerging threats.

6.2 Reporting Entity

(a) bank
(b) financial institution
(c) insurer
(d) money changer
(e) any company/institution remitting or transferring money or money value
(f) any other institution carrying out its business with the approval of Bangladesh Bank
(g) stock dealer and stockbroker, portfolio manager and merchant banker, securities custodian, asset manager
(h) non-profit organization
(i) non-government organization
(j) cooperative society
(k) Real estate developer
(l) dealer in precious metals or stones
(m) trust and company service provider
(n) lawyer, notary, other legal professional and accountant
(o) any other institution which Bangladesh Bank may, from time to time, notify with the approval of the Government

6.3 Role of accountants as reporting entity

Chartered Accountant involved in any of the following activities on behalf of the client shall submit suspicious transaction if relevant:Managing client money security and other assets

- Buying or selling of real estate
- Management of bank saving and securities account
- Organization of contribution for the creation, operation or management of companies
- Creating, operating or management of legal persons or arrangement and buying or selling of business entities
- Or engage in Trust and company service providers in the following activities:
  - Acting as a formation agent of a legal person
  - Acting as director or secretary of a company or partner of a partnership or similar position
  - Providing registered office, business address accommodation, correspondence address
  - Acting or arranging nominee shareholder for another person



Context example: Greensill, Gupta, the former PM and the auditors

In 2021, the UK FRC launched investigations into the audits conducted by two UK firms with connections to the collapsed supply chain finance company Greensill Capital and global steel magnate Sanjeev Gupta. Greensill made headlines in 2021 when it emerged that former UK prime minister David Cameron had attempted to secure government loans for Greensill Capital, raising questions over the ethics of lobbying. The finance was expected to have been used to continue Greensill's operations – facilitating the payment of suppliers for companies with liquidity issues – but was declined. Greensill collapsed soon after, leaving questions for its external auditors to answer about the unexpected nature of its swift demise.

Greensill had provided funding for the many companies operating under Sanjeev Gupta's steel empire, including Liberty Steel in the UK, but the withdrawal of insurance cover is considered pivotal in its inability to continue to trade, leaving Mr Gupta's network of companies vulnerable. In May 2021, the UK's Serious Fraud Office launched an investigation into alleged money laundering and fraud relating to loans between Greensill and companies under Mr Gupta, regarding the circumstances surrounding emergency government funding that was approved in order to support companies affected by the global pandemic. In June 2021, the FRC launched an investigation of its

own into the audit of Wyelands Bank, also part of Mr Gupta's empire, which is thought to be connected to Greensill and this funding.

In March 2024, the Insolvency Service confirmed that it had commenced proceedings to disqualify Lex Greensill, the founder of Greensill Capital, from running or controlling companies for up to 15 years. However, the FRC's investigations are likely to take some time to complete and may end up being completed by the FRC's successor ARGA, and they highlight the strain being put on a regulatory regime still reeling from the impacts of both Carillion and Covid.

(BBC News, 2021; Smith R., Pooler M. and Storbeck, O., 2021)

7 Ethical guidance in more detail

7.1 Integrity, objectivity and independence

7.1.1 Exam focus

You will have covered the ethical guidance on integrity, objectivity and independence in your earlier studies. At the Advanced Level, however, a greater emphasis will be placed on your ability to apply this knowledge. Ethical dilemmas which you may be required to deal with will be less clear-cut and the requirements of the question will not always specifically indicate that ethical issues need to be considered. Instead information will typically be embedded within the question and you will need to demonstrate your skill in identifying the ethical issue and its implications.

This section provides a summary of the key points. It has been structured around the ethical issues, as this is the way that it will be examined at the Advanced Level.



Definitions

Integrity: Being trustworthy, straightforward, honest, fair and candid; complying with the spirit as well as the letter of the applicable ethical principles, laws and regulations; behaving so as to maintain the public's trust in the auditing profession; and respecting confidentiality except where disclosure is in the public interest or is required to adhere to legal and professional responsibilities.

Objectivity: Acting and making decisions and judgments impartially, fairly and on merit (having regard to all considerations relevant to the task in hand but no other), without discrimination, bias, or compromise because of commercial or personal self-interest, conflicts of interest or the undue influence of others, and having given due consideration to the best available evidence.

Independence: Freedom from conditions and relationships which, in the context of an engagement, would compromise the integrity or objectivity of the firm or covered persons.

Reasonable and informed third party: Consideration of whether the ethical outcomes required by the overarching principles and supporting ethical provisions have been met should be

evaluated by reference to the perspective of an objective, reasonable and informed third party (sometimes referred to as the 'Third Party Test') (FRC Ethical Standard, Introduction section I14).

Covered person: A person in a position to influence the conduct or outcome of the engagement.

Close family: A non-dependent parent, child or sibling.

Person closely associated: This is:

(a) a spouse, or partner considered to be equivalent to a spouse in accordance with national law;

(b) a dependent child;

(c) a relative who has lived in the same household as the person with whom they are associated for at least one year;

(d) a firm whose managerial responsibilities are discharged by, or which is directly or indirectly controlled by, the firm/person with whom they are associated, or by any person mentioned in (a),

(b) or (c) or in which the firm or any such person has a beneficial or other substantially equivalent economic interest; or

(e) a trust whose managerial responsibilities are discharged by, or which is directly or indirectly controlled by, or which is set up for the benefit of, or whose economic interests are substantially equivalent to, the firm/person with whom they are associated or any person mentioned in (a), (b) or (c).

7.1.2 *Non-involvement in Management Decision-taking*

This is a key principle in the Ethical Standard. It identifies the following as judgements and decisions which should not be taken by the firm or a covered person:

- *Setting policies and strategic decisions*
- *Directing and taking responsibility for the actions of the entity's employees*
- *Authorising transactions*
- *Deciding which recommendations of the firm or other third parties should be implemented*
- *Taking responsibility for the preparation and fair presentation of the financial statements in accordance with the applicable financial reporting framework*
- *Taking responsibility for the preparation and presentation of subject matter information in the case of another public interest assurance engagement*
- *Taking responsibility for designing, implementing and maintaining internal control*

7.1.3 Self-interest threat

Financial interests	The parties listed below are **not allowed** to own a direct financial interest or an indirect material financial interest in an audited entity: • The audit firm • Any partner in the audit firm • Any person in a position to influence the conduct and outcome of the engagement ie, a covered person (eg, a member of the engagement team) • Any person closely associated with any such partner or covered person (Ethical Standard s.2.3) The following **safeguards** will therefore be relevant: • Disposing of the interest • Removing the individual from the team if required • Keeping the audited entity's audit committee informed of the situation • Using an independent partner to review work carried out if necessary
Business relationships (eg, operating a joint venture between the firm and the client)	Firms, covered persons and persons closely associated with them must not enter into business relationships with any entity relevant to the engagement, or its management or its affiliates except where those relationships involve the purchase of goods on normal commercial terms and which are not material to either party or would be inconsequential in the view of an objective, reasonable and informed third party. Where a business relationship exists that is not permitted and has been entered into by the following parties: (a) The firm: either the relationship is terminated or the firm does not accept/withdraws from the engagement (b) A covered person: either the relationship is terminated or that person is excluded from any role in which they would be a covered person (c) A person closely associated with a covered person: either the relationship is terminated or the covered person is excluded from any role in which they would be a covered person.
Employment with assurance client	When a **partner** leaves the firm they may not be appointed as a director or to a key management position/ member of the audit committee with an audited entity, having acted as statutory auditor or key audit partner in relation to that audit before the end of: (a) in the case of a public interest entity, two years; and (b) in any other case, one year. Where a partner approved as statutory auditor is appointed as a director, a member of the audit committee or to a key management position having previously been a covered person: (a) in the case of a partner, at any time during the two years before the appointment; or (b) in the case of another person, at any time during the year before the appointment the firm must resign from the engagement where possible under applicable law or regulation. The firm cannot accept another engagement for the entity until: (a) in the case of a partner, a two-year period; or (b) in the case of another person, a one year period.

Governance role	The audit firm, a partner or employee of an audit firm shall not perform a role as an officer or member of the board of an entity relevant to the engagement.
Family and personal relationships	Where a covered person or any partner in the firm becomes aware that a person closely associated with them is employed by an entity and that person is in a position to exercise influence on the accounting records and financial statements relevant to the engagement they should be excluded from any role in which they would be a covered person eg, they should be removed from the audit team. Where a covered person or any partner in the firm becomes aware that a close family member who is not a person closely associated with them is employed by an entity and that person is in a position to exercise influence on the accounting records and financial statements relevant to the engagement they should report the matter to the engagement partner to take appropriate action. If it is a close family member of the engagement partner, the matter should be resolved in consultation with the Ethics Partner/Function.
Gifts and hospitality	Gifts, favours or hospitality should not be accepted unless an objective, reasonable and informed third party would consider the value to be trivial and inconsequential.
Loans and guarantees	Firms, covered persons and persons closely associated with them **must not enter into any loan or guarantee arrangement** with an audited entity that is not a bank or similar institution, and the transaction is made in the ordinary course of business on normal business terms and is not material to the entity.
Overdue fees	Firms should guard against fees building up, as the audit firm runs the risk of effectively making a loan. Where the amount cannot be regarded as trivial the engagement partner and ethics partner must consider whether it is necessary to resign. Generally, the payment of **overdue fees** should be required before the assurance report for the following year can be issued.
Percentage or contingent fees	Under Schedule "C", Part I of the Institute of Chartered Accountants of Bangladesh Code of Ethics, a chartered accountant in practice is guilty of professional misconduct if he charges, offers to charge, accepts, or offers to accept **fees based on a percentage of profits** or **fees contingent upon the findings or outcome** of a professional engagement. Such arrangements are prohibited because they may impair professional objectivity and independence, except where expressly permitted by **law** or **government regulations**. The IESBA Code permits contingent fees only in limited circumstances. They are **prohibited for audit engagements** and for certain **non-assurance services provided to audit clients**, but may be allowed for other engagements where appropriate safeguards reduce any threats to independence and objectivity to an acceptable level.

High percentage of fees	The IESBA Code addresses **fee dependency** (sometimes referred to as a "high percentage of fees" situation), because excessive reliance on one client may create a **self-interest threat** to independence. <u>PIE Audit Client:</u> If total fees from one PIE audit client represent **more than 15%** of the total fees received by the firm for **two consecutive years**, specific safeguards are required. These may include a **pre- or post-issuance external quality review** and communication with those charged with governance. Where **joint auditors** are appointed, the work of the other audit firm may, in certain circumstances, be regarded as an equivalent safeguard. If the **15% fee dependency continues for five consecutive years**, the firm must **cease to be the auditor** after issuing the fifth year's audit opinion, unless paragraph **R410.21** applies. Under R410.21, as an exception to the requirement to cease acting as auditor after **five consecutive years** of fee dependency above the **15% threshold**, the firm may continue as auditor **only where there is a compelling public interest reason**. In such cases: • The firm must **consult with the relevant regulatory or professional body**, which must agree that continuation is in the **public interest**; and • Before issuing the audit opinion for the **sixth and each subsequent year**, the firm must obtain a **pre-issuance review** by an **independent professional accountant outside the firm**. <u>Non-PIE Audit Client:</u> As per p**ragraph R410.15,** if, for **five consecutive years**, total fees from a **non-PIE audit client** represent (or are likely to represent) **more than 30%** of the total fees received by the firm, the firm must determine whether an **external quality review** (before or after issuance of the fifth year audit opinion) would reduce the threat to an acceptable level, and if so, apply it. Paragraph R410.16 also requires that if the **30% fee dependency continues beyond five years**, the firm must **annually reassess and apply** such safeguards The general principle is even below 15%, firms must assess whether the level of fees creates an **undue influence** or **self-interest threat** and take action where necessary. In case of non-audit services firms must assess whether such fees create threats to independence, particularly self-interest or self-review threats, and apply safeguards or decline the engagement where necessary.
Lowballing	Where the fee quoted is significantly lower than would have been charged by the predecessor firm, the engagement partner must be satisfied that: • the **appropriate staff** are used **and time** is spent on the engagement; and • all applicable **assurance standards, guidelines** and **quality control procedures** have been complied with. The engagement partner must be able to demonstrate that the engagement has assigned to it sufficient partners and staff with appropriate time and skills, irrespective of the fee charged. Fees must not be influenced or determined by the provision of non-audit/additional services to an entity.

7.1.4 Self-review threat

Service with an assurance client	Individuals who have been a director or officer of the client, or an employee in a position to exert direct and significant influence over the financial statements on which the firm will express an opinion should not be assigned to the audit team. The Ethical Standard states that in this situation the individual should be excluded from any role in which they would be a covered person for a period of two years following the date of leaving the entity.
Preparing accounting records and financial statements	The Codesprohibits the provision of accounting services where: (a) the entity is a listed entity; or (b) for any other entity if those accounting services would involve the firm undertaking the role of management or the services are anything other than routine and mechanical, requiring little or no professional judgement. Where accounting services are provided, **safeguards** include: • using staff members other than engagement team members to carry out work; • a review of the accounting services provided by a partner or other senior staff member with relevant expertise who is not a member of the engagement team; and • a review of the engagement by a partner or other senior staff member with relevant expertise who is not a member of the engagement team.
Provision of other services	BSEC CG Guideline states that firms should not provide other non audit services for listed audited entities These include: • Valuation services • Taxation services • Internal audit services • Corporate finance services • Information technology services • Litigation support services While in principle the provision of other services is allowed to non- listed clients, the threat of self-review must be considered particularly where the matter in question will be material to the financial statements. Safeguards may mitigate the threats in some circumstances. In particular, the service should not be provided where the audit firm would undertake part of the role of management. - Provision of tax advice

7.1.5 Advocacy threat

Arises where the assurance firm is in a position of taking the client's part in a dispute or somehow acting as their advocate. Examples: • If the firm carried out corporate finance work for the client; eg, if the audit firm were involved in advice on debt restructuring and negotiated with the bank on the client's behalf. • If the firm offered legal services to a client and, say, defended them in a legal case.	The Ethical Standard prohibits the provision of **legal services** for public interest entities with respect to: • the provision of legal counsel; • negotiating on behalf of the audit client; and • acting in an advocacy role in the resolution of litigation. For other entities legal services should not be provided where it would involve acting as the solicitor formally nominated to represent the client in resolution of a dispute or litigation which is material to the financial statements.

7.1.6 Familiarity threat

Long association	The Ethical Standard also requires all firms to monitor the relationship between staff and established clients. As per the IESBA Code, for audits of Public Interest Entities, an individual cannot serve as the engagement partner, the person responsible for the engagement quality control review, or any other key audit partner role (or a combination of these roles) for more than seven cumulative years. This duration is referred to as the "time-on period." After this period, the individual must observe a cooling-off period as specified in paragraphs R540.11 to R540.19. The cooling-off periods are as follows for individuals who have held these roles for seven cumulative years: • Engagement partner: five consecutive years • Individual responsible for the engagement quality control review: three consecutive years • Individual who has acted in any other key audit partner role: two consecutive years Under the jurisdictional provision, where a legislative or regulatory body (or organization authorized or recognized by such legislative or regulatory body) has established a cooling-off period for an engagement partner of less than five consecutive years, that shorter cooling-off period may be applied, subject to a floor of three years, provided that the applicable time-on period does not exceed seven years. In Bangladesh, the mandatory rotation of auditors for banks, finance companies, and listed companies is governed by regulations set by the Bangladesh Bank and the Bangladesh Securities and Exchange Commission (BSEC). According to the guidelines issued by the Bangladesh Bank, banks and NBFIs must rotate their external auditors every three years. An audit firm can be reappointed after a break of one year following the completion of its three-year term. In some cases, banks and finance companies may be required to appoint joint auditors. This means that two separate audit firms

	are engaged simultaneously to conduct the audit, enhancing audit quality and oversight. The Bangladesh Securities and Exchange Commission (BSEC) mandates that listed companies must rotate their auditors every three years. An audit firm can be reappointed after a break of one year. This means that even if the firm remains the same, the lead audit partner must be changed after a specified period, typically five years.
Recruitment and remuneration services	The firm **shall not provide recruitment services** to an entity relevant to an engagement, that would involve the firm taking responsibility for, or advising on the appointment of any director or employee of the entity, or a significant affiliate of such an entity, where the firm is undertaking an engagement. The firm **shall not provide advice on the remuneration package or the measurement criteria** on which the remuneration is calculated, for any director or employee of the entity, or a significant affiliate of an entity relevant to an engagement.

7.1.7 Intimidation threat

Litigation	Generally, where litigation threatens integrity, objectivity and independence, the normal course of action would be for the firm to resign. However, the firm is not required to resign immediately in circumstances where a reasonable and informed third party would not regard it in the interests of the shareholders for it to do so. This might be the case where: • the litigation was started as the engagement was about to be completed and shareholders would be adversely affected by the delay; or • on legal advice, the firm deems that the litigation is designed solely to bring pressure to bear on the auditor's opinion.

7.1.8 Management threat

Arises when the firm undertakes non-audit services for audit clients which involves making judgements and taking decisions that are the responsibility of management (and due to the alignment of such responsibilities could diminish the firm's professional scepticism)	• If there is **informed management** (ie, management capable of making independent judgements and decisions on the basis of the information provided) safeguards may be able to mitigate the threat • If there is no informed management, it is unlikely that the threat can be avoided if the work is undertaken.

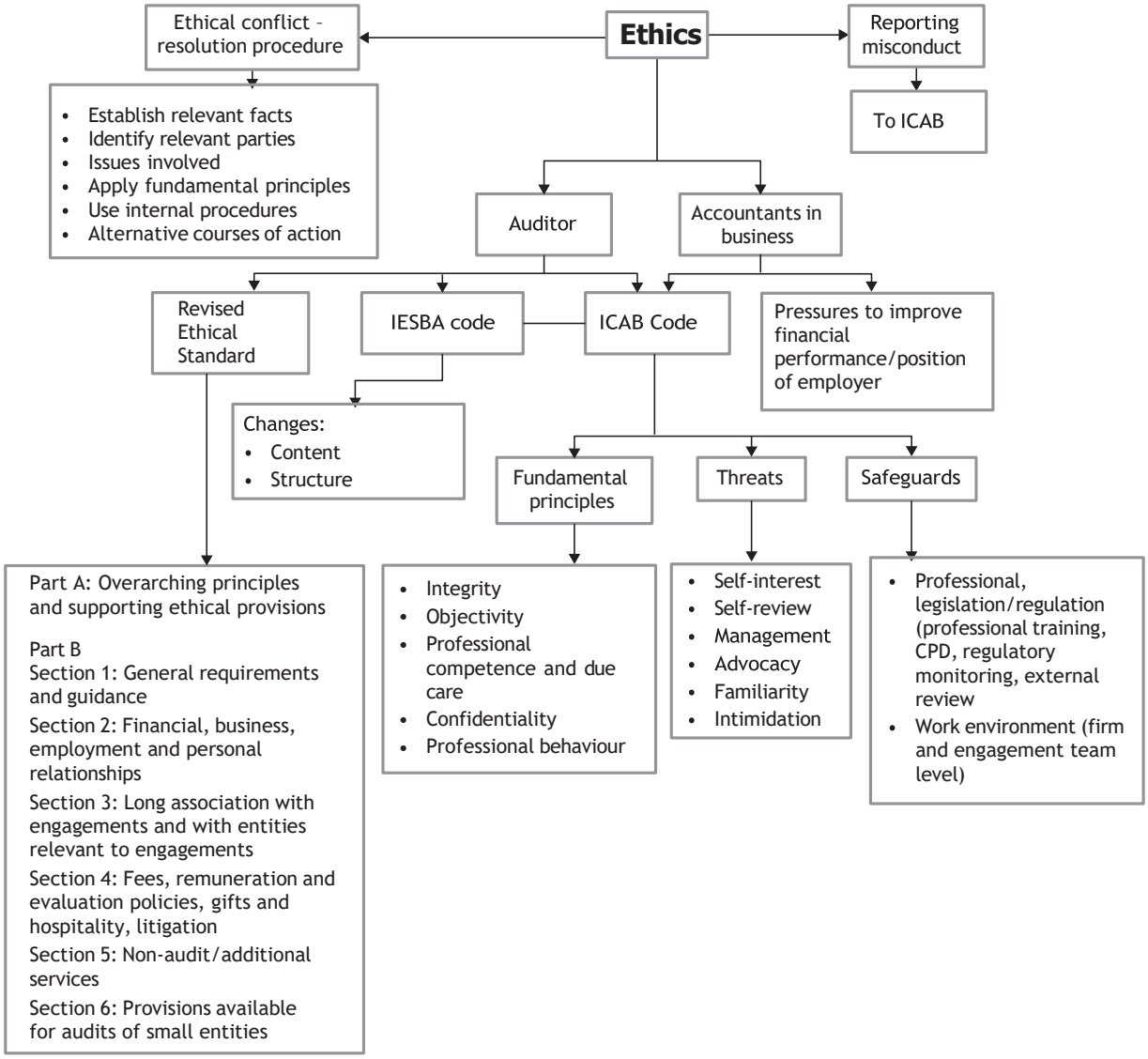
Note: A given situation may give rise to more than one threat.



Professional skills focus: Concluding, recommending and communicating

Questions are unlikely to simply ask you what the problem is - they will also expect some form of recommended action for the firm or accountant to take. Each part of the various Codes and Standards is designed to suggest responses but it is up to you to explain what you believe to be the right one and why.

Summary


Ethics
Ethical conflict - resolution procedure
Establish relevant facts
Identify relevant parties
Issues involved
Apply fundamental principles
Use internal procedures
Alternative courses of action
Reporting misconduct
To ICAB
Auditor
Accountants in business
Revised Ethical Standard
IESBA code
ICAB Code
Pressures to improve financial performance/position of employer
Changes:
Content
Structure
Fundamental principles
Threats
Safeguards
Part A: Overarching principles and supporting ethical provisions
Part B
Section 1: General requirements and guidance
Section 2: Financial, business, employment and personal relationships
Section 3: Long association with engagements and with entities relevant to engagements
Section 4: Fees, remuneration and evaluation policies, gifts and hospitality, litigation
Section 5: Non-audit/additional services
Section 6: Provisions available for audits of small entities
Integrity
Objectivity
Professional competence and due care
Confidentiality
Professional behaviour
Self-interest
Self-review
Management
Advocacy
Familiarity
Intimidation
Professional, legislation/regulation (professional training, CPD, regulatory monitoring, external review
Work environment (firm and engagement team level)

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you identify behaviour in a given scenario that may be considered unethical?
2.	Do you know the various ethical codes and standards that you are expected to use and can you find them in your open book permitted text?
3.	Can you differentiate between the ethical issues faced by accountants in business and by auditors working in practice?
4.	Can you identify the various threats raised by certain situations and explain the most suitable response?
5.	Are you aware of current developments in response to money laundering?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Easter	Use this as good practice of how to interrogate the open book permitted text for responses to a series of discrete ethical scenarios.
Marden plc	Having looked at some individual issues, now attempt something more exam-standard where you have to unpick the ethical issues from a larger and more complex scenario.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Poe, Whitman and Co	Here, you have been asked about practical and ethical issues related to your late appointment as group auditor. This requires a more methodical approach to consider the issues when reading the whole scenario.
UHN	This is a self-contained requirement to consider a one-off assignment but in the field of cyber-security – this presents a number of threats so your answer should adopt as broad a scope as possible.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

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Self-test questions

Answer the following questions.

1 Easter

You are a partner in a firm of chartered accountants. The following issues have emerged in relation to three of your clients:

(1) Easter is a major client. It is listed on a major exchange. The audit team consists of eight members, of whom Paul is the most junior. Paul has just invested in a personal pension plan that invests in all the listed companies on the exchange.

(2) While listed, Easter has subsidiaries in five different European countries. Tax regimes in those countries vary on the absolute rate of tax charged as well as expenses allowable against taxable income. The Finance Director of Easter has indicated that the Easter group will be applying management charges between different subsidiaries to take advantage of favourable tax regimes with the five countries. The FD reminds you that another firm offering assurances services, Bunny & Co, has already approved the management charges as part of a special review carried out on the group and the FD therefore considers the charges to be legal and appropriate to Easter.

(3) You are at the head of a team carrying out due diligence work at Electra, a limited company which your client, Powerful, is considering taking over. Your second in command on the team, Peter, who is a manager, has confided in you that in the course of his work he has met the daughter of the Managing Director of Electra, and he is keen to invite her on a date.

(4) Your longest standing audit client is Teddies, which you have been involved in for 10 years, with four years as engagement partner. You recently went on an extended cruise with the Managing Director on his yacht. The company is not a public interest entity or listed entity.

(5) You are also aware that the executive directors of Teddies were recently voted a significant increase in bonus by their audit committee. The financial statements of Teddies do show a small improvement in net profit, but this does not appear to justify the extent of bonus paid. You are also aware that the Finance Director of Teddies is a non-executive director of Grisly, while the Senior Independent Director of Teddies is the Finance Director of Grisly.

Requirement

Comment on the ethical and other professional issues raised by the above matters.

Note: Your answer should outline the threat arising, the significance of the threat, any factors you have taken into account and, if relevant, any safeguards you could apply to eliminate or mitigate against the threat.

2 Saunders plc

Bourne & Berkeley is an assurance firm with a diverse range of audit clients. One client, Saunders plc, is listed on the stock exchange. You are the engagement partner on the audit; you have been engagement partner for four years and have an experienced team of eight staff to carry out the audit. The audit is made slightly more complicated because Bourne & Berkeley rent office space from Saunders plc. The total rental cost of that space is about 10% of the total income from Saunders plc. Office space is made available to other companies, including

Walker Ltd, another of your audit clients. You are aware from the audit of Walker Ltd that the company is close to receivership and that the rent arrears is unlikely to be paid by Walker to Saunders.

In an interesting development at the client, the Finance Director resigned just before the audit commencing and the board asked Bourne & Berkeley for assistance in preparing the financial statements. Draft accounts were available, although the final statutory accounts had not been produced.

As part of your review of the draft accounts you notice that the revenue recognition policy includes an estimate of future revenues from the sale of deferred assets. One of the activities of Saunders plc is the purchase of oil on the futures market for delivery and resale between 6 and 12 months into the future. As the price of oil rises, the increase has been taken to the statement of profit or loss and other comprehensive income. When queried, the directors of Saunders state that while the accounting policy is new for the company, it is comparable with other firms in the industry and they are adamant that no amendment will be necessary to the financial statements. They are certain that other assurance firms will accept the policy if asked.

Requirement

Discuss the ethical and professional issues involved with the planning of the audit of Saunders plc.

3 Marden plc

At 6pm on Sunday evening a text message arrives for you from your audit manager, John Hanks, stating:

"Please check your email urgently"

On checking your email, you find the following message.

"I hope you had a good weekend. Instead of coming into the office tomorrow morning I would like you to go to a client called Marden plc. I know you have not worked on this client before so I am emailing you some background information (**Exhibit 1**). One of our audit juniors, Henry Ying, was at Marden's head office last week working on the interim audit and he has come up with a schedule of issues that are worrying me (**Exhibit 2**). Henry does not have the experience to deal with these, so I would like you, as a senior, to go out there and prepare a memorandum for me which sets out the financial reporting implications of each of these issues. I would also like you to explain in the memorandum the ethical issues that arise from these issues and the audit procedures required for each of the matters on Henry's schedule. I will visit Marden on Tuesday to speak to the directors.

John"

Requirement

Prepare the memorandum requested by your audit manager.

Exhibit 1: Background information

Marden plc operates a fleet of 10 executive jets available for private hire. The jets are based in Europe, the US and the Far East, but they operate throughout the world. The company is resident in the UK.

The jets can be hired for specific flights, for short periods or for longer periods. For insurance purposes, all planes must use a pilot employed by Marden. All the jets are owned by Marden.

Marden has an Alternative Investment Market listing. Ordinary share capital consists of five million £1 shares. The ownership of share capital at 1 January 20X6 was:

Directors	25%
Financial institutions	66%
Jack Airlines plc	9%

The company uses an interest rate of 10% to discount the cash flows of all projects. The accounting year end is 31 December.

Exhibit 2: Interim audit issues

Prepared by Audit Junior: Henry Ying

In respect of the interim audit of the financial statements for the year to 31 December 20X6 the following issues have arisen.

(1) Marden appears to have inadvertently filed an incorrect tax return for last year showing a material understatement of its corporation tax liability for that year and has therefore paid significantly less corporation tax than it should have. Our firm is not engaged as tax advisers. The directors are now refusing to inform HM Revenue & Customs of the underpayment, as they say that 'it is in the past now'. I am not sure of our firm's obligations in this matter.

(2) One of the directors, Dick Tracey, owns a separate travel consultancy business. He buys unused flying time from Marden to sell to his own clients. In the year to 31 December 20X6 to date he has paid Marden £30,000 for 100 hours of flying time made available.

(3) On 16 September 20X6 a major customer, Stateside Leisure Inc, gave notification to Marden that the service it had been receiving was poor and it was therefore considering terminating its long- term contract with the company. The contract amounted to 15% of Marden's revenue and 25% of its profit in 20X5. The directors did not make an immediate announcement of this and so the share price did not initially change. Four directors sold a total of 200,000 shares in Marden plc on 2 October 20X6. Stateside Leisure Inc terminated the contract on 1 November 20X6 and the directors disclosed this to the London Stock Exchange the same day. The price per share then fell immediately from £7.50 to £6.

(4) Our audit fee for the year to 31 December 20X5 is still outstanding and is now overdue by five months.

(5) I have selected a sample jet to be physically inspected. I selected this jet because it does not appear to have flown since December 20X5. The jet in question cost £6 million on 1 January 20W8 and has a useful life of 10 years with a residual value of £1 million. Each jet is expected to generate £2 million income per year net of expenses.

The directors say that this jet is located in the US, but they have offered to fly a member of our audit team out there in one of their executive jets. They insist that a jet needs to go there anyway so there would be no cost to Marden by making transport available to us.

(6) On 28 August 20X6 Jack Airlines plc – a large, listed company which operates a discount airline – acquired 1 million shares in Marden from financial institutions. On 20 October 20X6 Jack Airlines plc announced to the London Stock Exchange that it intends to make a bid for the entire share capital of Marden and at the same time requested that our firm, as Marden's auditors, should carry out the due diligence work in respect of the bid.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 Factors

The request was made by her superiors.

- Financially she may have felt pressure to keep her job.
- Potential prospect of being rewarded through promotion and pay rises.
- Inability to decide how to deal with the situation.

1.2 Other courses of action

She could have:

- refused to make the adjustments;
- brought the matter to the attention of other senior members of staff eg, internal audit;
- resigned;
- sought advice from her relevant professional body;
- sought legal advice; or
- reported the matter to the relevant authorities eg, SEC at an earlier stage.

Answer to Interactive question 2

Potential ethical risk areas

Personal interests	Review of your own work	Disputes	Intimidation
Undue dependence on an audit client due to fee levels	Auditor prepares the accounts	Actual litigation with a client	Any threat of litigation by the client
Overdue fees becoming similar to a loan	Auditor participates in management decisions	Threatened litigation with a client	Personal relationships with the client
An actual loan being made to a client	Provision of any other services to the client	Client refuses to pay fees and they become long overdue	Threat of any services being put out to tender
Contingency fees being offered			
Accepting commissions from clients			

Personal interests	Review of your own work	Disputes	Intimidation
Provision of lucrative other services to clients			
Relationships with persons in associated practices			
Relationships with the client			
Long association with clients			
Beneficial interest in shares or other investments			
Hospitality			

Answer to Interactive question 3

3.1 Issues

(1) Teresa is at present a member of the engagement team and a member of her immediate family now owns a direct financial interest in the audit client. This is unacceptable.

If someone closely associated with a covered person holds a financial interest in the audit client, Stewart Brice needs to apply the following safeguards:

- Ensure that this person disposes of the shares immediately
- Remove Teresa from the engagement team (FRC Ethical Standard, para 2.9)

The financial interest has arisen from an inheritance by Teresa's husband, who has indicated that he would like to keep hold of the investment. The FRC ES paras. 2.11-12 requires that these shares should be disposed of as soon as possible and while this is being arranged, Teresa should be removed from the engagement team.

The firm should appraise the audit committee of Recreate of what has happened and the actions it has taken. The partners should consider whether it is necessary to bring in an independent partner to review audit work. However, given that Teresa's involvement is subject to the review of the existing engagement partner and she was not connected with the shares while she was carrying out the work, a second partner review is likely to be unnecessary in this case.

(2) The audit firm has an indirect financial interest in the parent company of a company it has been invited to tender for by virtue of its pension scheme having invested in Tadpole Group. The FRC ES would classify this indirect financial interest as a diversified collective investment scheme.

This is no barrier to the audit firm tendering for the audit of Kermit Co.

Should the audit firm win the tender and become the auditors of Kermit Co it should consider whether it is necessary to apply safeguards to mitigate against the risk to independence on the audit as a result of the indirect financial interest.

The factors that the partners will need to consider are the materiality of the interest to either party and the degree of control that the firm actually has over the financial interest. (FRC Ethical Standard, para. 2.13, 2.19)

In this case, the audit firm has no control over the financial interest. An independent pension scheme administrator is in control of the financial interest. In addition, the interest is unlikely to be substantial and is therefore immaterial to both parties. It is likely that this risk is already sufficiently minimal as to not require safeguards. However, if the audit firm felt that it was necessary to apply safeguards, it could consider the following:

- Notifying the audit committee of the interest
- Requiring Friends Benevolent to dispose of the shares in Tadpole Group

3.2 In this case, Stewart Brice has a direct financial interest in the audit client, which is technically prohibited by ethical guidance. However, it is a requirement of any firm auditing the company that the share be owned by the auditors.

The interest is not material. The audit firm should safeguard against the risk by not voting on its own re-election as auditor. The firm should also strongly recommend to the company that it removes this requirement from its constitution, as it is at odds with ethical requirements for auditors.

Answer to Interactive question 4

The issues to consider would include the following:

- Whether the management have made the decision to make the change in accounting treatment of a proportion of the subscription income on a valid and ethical basis.
- Management are under pressure not to breach the loan covenants. With the change in timing of the recognition the interest cover is only just achieved in both 20X7 and 20X8. This suggests that without this change the covenant would be breached indicating that profit levels are sensitive.
- The auditor's responsibility to all stakeholders, including shareholders.
- In this case the auditor would have a legal and moral responsibility to the venture capitalists who have invested in Bellevue Ltd, to ensure that profits are fairly stated.
- The implications of the disagreement with the treatment by the audit manager in 20X7 which was overruled by the partner. This is now of particular concern, as the audit partner has left the firm abruptly. This potentially raises questions about the integrity of the partner.
- Whether there is sufficient evidence to support the conclusion that some of the subscription fees are consultancy in nature and should therefore be recognised as the work is completed ie, when the performance obligation is satisfied (IFRS 15) rather than being recognised over the duration of the contract.
- Whether fees treated as subscription fees in previous years should have been recognised as consultancy fees resulting in the need for a prior-period adjustment.
- The basis on which the figure of 40% was established and whether there is evidence to support this estimation, particularly as this is exactly the same percentage as applied in 20X7.
- The overall increase in audit risk due to the need to comply with the loan agreement.

Answers to Self-test questions

1 Easter

Issues

(1) In relation to Easter, there is a threat of self-interest arising, as a member of the audit team has an indirect financial interest in the client.

The relevant factors are as follows:

- The interest is unlikely to be material to the client or Paul, as the investment is recent and Paul's interest is in a pool of general investments made in the exchange on his behalf.
- Paul is the audit junior and does not have a significant role on the audit in terms of drawing audit conclusions or audit risk areas.

The risk that arises to the independence of the audit here is therefore not significant. It would be inappropriate to require Paul to divest his interest in the audit client. If I wanted to eliminate all elements of risk in this situation, I could simply change the junior assigned to my team, but such a step is not vital in this situation.

(2) Regarding the management charges, there is a threat that the management charges are accepted as correct, simply because another assurance firm has recommended those charges to Easter.

To query the charges could imply a lack of trust in Bunny, with the possible effect of bringing the profession into disrepute. There is a risk that you as the assurance professional may not have the necessary knowledge to determine whether or not Easter has been acting correctly. There is also an intimidation threat in that the client is implying the charges are valid as another assurance firm has recommended the changes.

The relevant factors to take into account include the following:

- The legality or otherwise of the transactions. Information concerning the management charges must be obtained and compared to the law, not only of the individual countries but also of the EU as a whole. It remains a possibility that Easter has acted in accordance with laws of individual jurisdictions, but not the EU overall.
- Your level of knowledge. Where necessary, specialist advice must be obtained from the taxation department to determine the legality or otherwise of the transactions.
- The materiality of the management charges involved and the reduction in the taxation expense. Given that Easter is attempting to minimise its taxation charge, then the amounts are likely to be material and therefore as the audit firm, the transactions will have to be audited.
- Your knowledge of Bunny & Co. The assurance firm may well be skilled in advising on this type of issue, in which case there is likely to be less of an issue with the legality of the charges. However, if the reputation of Bunny is suspect, then additional work on the management charges may be required.

The intimidation threat is significant; it is unlikely that Easter would expect your firm to query the charges as another professional firm has confirmed them. A discussion with the FD may be required to confirm the purposes of the audit and the extent of evidence required to reach an audit opinion. Material transactions affecting the financial statements and taxation charges must be subject to standard audit procedures.

Your potential lack of knowledge is relatively easy to overcome. Specialist advice can be obtained from the taxation department, with a tax manager/partner being present in any discussion with the client to determine legality of the management charges.

(3) In relation to Powerful, two issues arise.

The first is that the firm appears to be providing multiple services for Powerful, which could raise a self-interest threat. The second is that the manager assigned to the due diligence assignment wants to engage in a personal relationship with a person connected to the subject of the assignment, which could create a familiarity or intimidation threat.

With regard to the issue of multiple services, insufficient information is given to draw a conclusion as to the significance of the threat. Relevant factors would be such matters as the nature of the services, the fee income and the team members assigned to each. Safeguards could include using different staff for the two assignments and review by a partner not connected to the Powerful engagement.

The risk is likely to be significant only if one of the services provided is audit, which is not indicated in the question.

In relation to the second issue, the relevant factors are these:

- The assurance team member has a significant role on the team as second in command.
- The other party represents a close family member at the company being reviewed.
- Timing.

In this situation, the firm is carrying out a one-off review of the company, and timing is a key issue. Presently Peter does not have a personal relationship which would significantly threaten the independence of the assignment. In this situation, the safeguard is to request that Peter does not take any action in that direction until the assignment is completed. If he refuses, then I may have to consider rotating my staff on this assignment, and removing him from the team.

(4) In relation to Teddies, there is a risk that my long association and personal relationship with the client will result in a familiarity threat.

This is compounded by my acceptance of significant hospitality on a personal level. The relevant factors are as follows:

- I have been involved with the client for 10 years and have a personal relationship with client staff.
- The company is not a listed or public interest company.
- It is an audit assignment.

The risk arising here is significant but, as the client is not listed, it is not insurmountable. However, it would be a good idea to implement some safeguards to mitigate against the risk. I could invite a second partner to provide a hot review of the audit of Teddies, or even consider requesting that I am rotated off the audit of Teddies for a period, so that the engagement partner is another partner in my firm. In addition, I must cease accepting hospitality from the directors of Teddies unless it is clearly trivial and inconsequential.

If the independence issue cannot be resolved then the audit firm may also consider resigning from the audit of Teddies.

(5) It appears that there are cross-directorships between Teddies and Grisly.

In other words, at least one executive in Teddies assists in setting the bonuses of directors in Grisly, and at least one executive in Grisly is involved in setting the bonuses of directors in Teddies. This issue provides an independence threat for those directors, especially so if the FDs are members of a professional body such as ICAEW.

There is a further point, that you as engagement partner are aware of the issue, but your independence may be compromised by the cruise with the managing director. There is also the issue of the lack of clear reporting obligations in this situation. Most codes of corporate governance require the directors of the company to make statements of compliance with that code, and in many situations cross-directorships are not explicitly banned.

Factors to consider include:

- Whether the directors are members of a professional body. If so, the engagement partner could tactfully ask whether there are independence conflicts and how these will be resolved.
- The level of bonuses awarded in Grisly. If these appear to be nominal then the issue of lack of independence regarding the bonuses in Teddies is reduced.
- Whether Teddies has audit and remuneration committees and whether these are effective in determining director remuneration and communicating concerns of the auditor to the board. As auditor, you have access to the audit committee but not the remuneration committee, so there is no precise way of raising concerns with the remuneration committee.
- To a certain extent, the association threat of being linked to a client where the code of corporate governance may not be being followed.

As the engagement partner, it would be appropriate to mention the perceived lack of independence with the Finance Director. This may be directly rather than via the audit committee due to the lack of communication you have with the remuneration committee. The result of any communications must be documented in the audit file, even where communication is simply verbal.

The association risk is probably minimal, although will increase where your firm also provides assurance services to Grisly. Where there are significant and continued breaches of the code of governance, then your firm may consider not acting for Teddies in the future. Provision of additional disclosure is compromised by lack of reporting obligations and your independence issue with the managing director of Teddies.

2 Saunders plc

Issues

(1) The rental of the premises from an audit client represents a business relationship which poses a potential threat to objectivity.

- Bourne & Berkeley would be able to continue to act if the arrangement is:
  - in the ordinary course of business;
  - on an arm's length basis; and
  - not material to either party.
- In this case the rental income is likely to be material to the audit client, as it represents 10% of total income.
- The audit firm would need to take immediate steps to terminate either the client or the business relationship.

(2) The FRC Revised Ethical Standard prohibits accounts preparation work for listed company audit clients.

- In this case it is likely that the preparation of the financial information will involve the auditor in making subjective judgements, as the internal reporting format will need to

be converted into the statutory format. Decisions will need to be made about, for example, the level and nature of disclosures. This would constitute an accountancy service and would not be allowed.

(3) There is a conflict of interest here.

While it may be in the interest of Saunders plc for the auditor to disclose the information regarding the recoverability of the debt, this information is confidential, as it was obtained in the course of audit work performed for Walker Ltd. Disclosure of this information to Saunders plc would breach the duty of confidentiality.

- Section 310 of the ICAEW Code requires that the auditor should disclose a conflict of interest to the parties involved. In this case, however, the situation is complicated by the fact that the conflict of interest has had a practical consequence rather than simply being a potential problem. In addition, it may be difficult to make the communication without revealing confidential information.
- The firm should consider whether there were sufficient procedures in place to prevent the conflict of interest occurring in the first place.
- The ICAEW Code states that the auditor should take steps to identify circumstances that could pose a conflict of interest and to put in place any necessary safeguards eg, use of separate audit teams.
- If procedures were inadequate this may have implications for other clients.
- If the balance is not material further action is unlikely to be necessary. If the balance is material the situation will need to be addressed.
- Saunders plc may be aware of the potential irrecoverability of the debt and an allowance for an irrecoverable receivable may have been made in the financial statements.
- If an adjustment has been made and the auditor is in agreement with it no further action would be required.
- Independent evidence may be available which would indicate that the debt was irrecoverable. For example, there may have been correspondence between Saunders plc and Walker Ltd concerning the payment of the balance. There may also be evidence in the public domain, for example newspaper reports and the results of credit checks. However, the auditor would need to consider how this evidence was used, particularly if it was sought as a result of having the confidential information.
- The audit manager could consider requesting Walker Ltd to communicate with Saunders plc.
- This may not be acceptable to Walker Ltd, who may feel that any communication would not be in their interest. It may also make any future relationship between the auditor and Walker Ltd difficult.
- If the issue cannot be resolved and the balance is material the auditor will not be able to form an audit opinion. Bourne & Berkeley will need to consider resigning as the auditor of Saunders plc.

(4) Revenue recognition policy

It appears that Saunders plc is attempting to implement a change in accounting policy which increases revenue, while at the same time intimidating the auditors to accept this policy. There is an implied threat that Bourne & Berkeley will be removed from office if the accounting policy is not accepted.

Factors to consider include the following:

- The materiality of the amounts involved. Given that the accounting policy is an attempt to increase revenue, the amount is likely to be material – again it would be unlikely that the directors would want to spend the time and effort if this was not the case.
- The accounting policies adopted by similar firms in the industry. The directors of Saunders have noted that the income recognition policy is the same as other firms in the industry. Accounts of similar firms need to be obtained and the accounting policies checked. If the policies are the same as Saunders, and the technical department of Bourne & Berkeley confirm that the policy follows GAAP, then no modification of the auditor's report will be required, although audit evidence will be obtained to confirm the correct application of the policy. If the revenue recognition policy is inappropriate, then additional discussion will be required with the directors to determine whether they will continue with the policy, and risk a modified report, or amend the policy.
- Whether the directors would actually seek to remove Bourne & Berkeley if the revenue recognition policy does not follow GAAP and the auditor's report will be modified. The audit firm needs to document the situation and be prepared to provide a statement on why it is being removed in accordance with Companies Act requirements.

Bourne & Berkeley will find it difficult to remove the intimidation threat. Advice can be obtained from the ethics partner, although it is unlikely that the firm's position can be defended by agreeing to an accounting policy if this does not follow GAAP. Bourne & Berkeley will need to maintain its integrity by insisting that appropriate accounting policies are followed, even where this risks losing an audit client.

3 Marden plc

MEMO

To Audit manager From Audit senior Date XX-XX-XX
Re Accounting issues of Marden plc

(1) Understatement of tax liability

Audit and ethics

The understatement of the tax liability is an illegal act by the client. Tuesday's meeting offers the opportunity to attempt to persuade the client even at this late stage.

Consider whether a partner needs to be at the meeting given the ethical importance of the issue. The key issue is the conflict between our duty to report and our duty of confidentiality.
According to ICAEW ethical requirements in terms of reporting, this may be:

- where there is a duty to disclose
- where there is a right to disclose

Suggested actions if the client continues to refuse to disclose to HMRC:

- Our views should be put in writing to the client
- Report to the audit committee if there is one
- Refer the matter to senior personnel in our firm – eg, the ethics partner
- The firm must consider whether to cease to act for the client
- Consider whether this is a 'whistleblowing' incident in the public interest

Financial reporting

If there is a material unrecognised liability in the financial statements then we need to consider whether the financial statements give a true and fair view. Any material

understatement of the tax provision would need to be reflected in the auditor's report. The level of detail as to the cause of the misstatement raises confidentiality considerations.

(2) Related party transaction

Audit and ethics

The audit issue in this case is that there is a potential conflict of interest between a director and the body of shareholders.

Directors also have a fiduciary duty to act in the interests of all shareholders. Directors must not place themselves in a position where there is a conflict of interest between their personal interests and their duty to the company (Regal (Hastings) Ltd v Gulliver). In certain circumstances the company may void such contracts.

More specifically, the audit risk in this case is that the price of £30,000 for the use of the jet might not be an arm's length price in terms of an hourly rate for this type of hire. At £300 per hour including the pilot's time there is a risk that the director, Dick Tracey, may be exploiting his position.

The Companies Act imposes restrictions on the dealings of directors with companies in order to prevent directors taking advantage of their position. This applies even where the directors are shareholders, but particularly where the interests of non-controlling, or outside, shareholders may be damaged.

If there has not been knowledge and approval of the transactions by the other directors then there may be an issue of false accounting by Dick Tracey.

Audit procedures:

- Review provisions in Articles of Association regarding directors' contracts with the company
- Examine the terms of the contract(s) ascertaining the nature of the hire agreements
- Ascertain whether any similar arm's length hires took place and at what prices (see evidence of such agreements where appropriate)
- Ascertain whether the other directors were aware of the nature and extent of the hire contracts (eg, review correspondence)
- Review board minutes to see if the hire contracts have been considered and formally approved by the board

Financial reporting

Transactions involving directors are required to be disclosed in the financial statements by both the Companies Act 2006 and IAS 24, *Related Party Disclosures*.

A director is part of key management personnel and thus is a related party of the company. According to IAS 24 the transaction should be disclosed irrespective of its materiality. However, the name of the director need not be disclosed.

As a result, the hire fees are likely to be deemed to be a related party transaction and thus the following disclosures should be made:

- Amounts involved
- Amounts due to or from the related party
- Irrecoverable debt write-offs to or from the related party

(3) Directors' share trading

Audit and ethics

There are two issues in this case:

- The failure to make a timely disclosure for personal gain by the directors
- The consequences of the underlying event of the loss of a major contract

The failure to announce the loss of the contract might leave the directors in breach of their fiduciary duty to shareholders, as they may have manipulated the market for their own gain.

Consider taking legal advice as to whether an illegal act has been committed, as the initial communication from Stateside in September was only about poor service. The formal notification of the contract being terminated by Stateside was immediately communicated to the London Stock Exchange by the directors. If this is considered illegal, it could represent money laundering under the Proceeds of Crime Act and as such, care must be taken to avoid tipping off.

Consider also taking advice as to whether stock market rules have been breached by the directors individually and by the company. This might affect quality of markets and may be contrary to insider trading laws.

Regarding the underlying event of the loss of a major customer, consideration needs to be given as to whether going concern is affected by the loss of such a large contract (eg, if the service is poor, will other major contracts be lost?).

Financial reporting

Consider whether any provision is necessary once advice is received on whether the company has committed an illegal act (as opposed to the directors themselves) or has been in breach of regulations. Provisions might include fines or other penalties imposed by the courts or regulators.

If there has been a significant decline in activity, then impairment needs to be considered on the jets if their value in use has decreased.

Consider recoverability of amounts outstanding from Stateside Leisure Inc.

(4) Audit fee outstanding

Audit and ethics

It may be that the matter of the overdue fees can be resolved amicably at Tuesday's meeting.

If, however, the fee remains outstanding, it may be a threat to our independence. This may be because it biases our opinion against the client. Alternatively, it may be that we do not wish to put the client's going concern at risk, as this may reduce the likelihood of us receiving payment.

In effect, the overdue fee may be similar to a loan to the client which is not permitted. Actions may include the following:

- A review by an independent partner (perhaps the ethics partner) who is not involved in the audit to agree that the objectivity of the engagement staff is not affected. This should really have been completed before commencement of the audit so it is now a matter of urgency.
- If legal action is necessary to recover the fees it would not be possible for us to continue acting for the client, as the Revised Ethical Standard 2019 prohibits, in most circumstances, auditors acting for clients where there is actual or potential litigation between the two parties.

Financial reporting

A provision should be made for the audit fee outstanding.

(5) Physical inspection of jets

Audit and ethics

There are two issues here.

- The fact that one jet appears not to have been used
- The offer of 'free' transport on an executive jet may be deemed as a gift

The fact that a jet has not been used for some time may have a number of possible causes.

- Technical problems – the jet may not be serviceable. We need to establish whether this is the case (eg, hire an independent local aircraft engineer) then consider impairment testing.
- Lack of markets – there may be insufficient demand to warrant using the plane. This seems less likely, as the plane has not been used at all. Examine usage of other Marden planes in the US.
- Unrecorded usage – the jet may be being used but the usage is unrecorded and income understated. Alternatively, it might mean that improper use is being made of the company's assets (eg, by management).

Regarding the 'free' flight, gifts beyond what is considered trivial and inconsequential are not permitted. However, if the flight were merely for the purpose of the audit check and there were no added benefits (additional destinations, trips etc) then it may be permissible if agreed by the ethics partner.

Alternatively, a local firm of auditors could be used. The check might not just be the physical verification of the asset but also usage records (eg, flying logs, pilots' time).

Financial reporting

The jet has not been used for some time and therefore impairment testing needs to be considered.

Technical problems – The jet may not be fully serviceable, in which case it needs to be reviewed for impairment according to IAS 36 as both fair value and value in use may be affected.

The carrying amount at 31 December 20X6 of the jet is £1.5 million (ie, £6m – [£5m × 9/10])

The value in use, if fully operational (assuming year-end operating cash flows and including the residual amount) is:

(£2m + £1m)/1.1 = £2.73m

Thus, there is no impairment if the plane is fully operational (the fair value less costs of disposal calculation is not necessary as the value in use exceeds the carrying amount).

However, if the plane is not operational then both next year's net operating inflow and the residual value are likely to be affected. In this case an impairment charge of £1.5 million (less the present value of any residual value obtainable for a non-operational jet) may be required.

Lack of markets – There may be insufficient demand to warrant using the plane. This will affect value in use but perhaps not the residual value. Again, impairment testing may be needed as according to IAS 36 value in use may be affected.

If the jet is not operational next year, but can be sold for a residual value of £1 million next year (although selling immediately would be a better option in this case) the impairment charge is:

£1.5m – £1m/1.1 = £0.59m

Unrecorded usage – This may mean that any depreciation based on the amount of flying time may be understated.

Any impairment on this aircraft might have further implications for impairment of other aircraft if the cause is market based rather than technically based.

(6) Due diligence assignment

Audit and ethics

Acceptance of the due diligence assignment is not permitted, as there would be a conflict of interest between our role as auditor of Marden and a due diligence role for the bidder for Marden, Jack Airlines plc.

The acquisition of one million shares would take Jack Airlines to a 29% holding (Note: 30% is the maximum permitted by the stock exchange before an offer needs to be made to all shareholders). The offer is therefore for the remaining shares. This is a key audit risk, as directors still hold a significant amount of the shares and this may influence their financial reporting, as the share price will be affected by the bid.

It might be noted that the announcement was made during the period that the share price was artificially inflated due to the Stateside Leisure Inc announcement, and this may ultimately affect the bid.

Financial reporting

There is no direct effect on the financial statements; however, consider:

- if the bid process is going into next year and the bid is to be defended, then a provision may need to be made for defence costs; and
- if the bid process is going into next year, then disclosure of the bid as a non-adjusting event after the reporting date may be necessary.

Chapter 4

Corporate governance

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Relevance of corporate governance

2 Corporate governance concepts

3 The BSEC Corporate Governance Code

4 Role of the board

5 Corporate governance: international impact

6 Communication between auditors and those charged with governance

Further question practice

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Explain, appraise and evaluate the nature and consequences of corporate governance and accountability mechanisms in controlling the operating and financial activities of entities of differing sizes, structures and industries+
- Explain the rights and responsibilities of the board, board committees (eg, audit and risk committees), those charged with governance and individual executive and non-executive directors, with respect to the preparation and audit of financial statements
- Explain and appraise the rights and responsibilities of stakeholder groups (eg, executive management, bondholders, government, securities exchanges, employees, public interest groups, financial and other regulators, institutional and individual shareholders) with respect to the preparation and audit of financial statements
- Explain and evaluate the nature and consequences of relevant corporate governance codes and set out the required compliance disclosures
- Explain the principles, practices and disclosures of corporate governance
- Explain the respective responsibilities of those charged with governance and auditors for corporate risk management and risk reporting including sustainability risks and opportunities
- Explain the respective responsibilities of those charged with governance and auditors in respect of internal control systems
- Explain and evaluate the roles and requirements for effective two-way communication between those charged with governance and auditors
- Describe and explain the roles and purposes of meetings of boards and of shareholders

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Relevance of corporate governance** To recap the topic, we have a section designed to remind you of what corporate governance is and why it is necessary.	**Approach** Remind yourself of the various milestones in corporate governance history. **Stop and think** Can you think of any other examples of poor governance like we saw at VW?	Questions in the exam will require you to evaluate the governance arrangements in place in a given scenario.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
2	**Corporate governance concepts** Do you know the basic underpinning concepts of sound corporate governance?	**Approach** Make sure you can explain each of these terms. **Stop and think** Which of these concepts do you think is the most important?	Instead of focusing on processes, you may wish to explain poor governance in terms of the underlying concepts that are in place which may not be in the spirit of good governance.	N/A
3	**The BSEC Corporate Governance Code** You need to be able to discuss the various principles and provisions currently in use in the BSEC Code.	**Approach** Make sure you understand each of the main categories of the BSEC Code. **Stop and think** If required, could you explain which parts of the BSEC Code require formal disclosure by a company?	When questions are written for the exam, it is likely that they will use the BSEC Code as a starting point, so make sure you are familiar with the BSEC Code.	**IQ1: BSEC Corporate Governance Code** As well as knowing about the BSEC Code, you may also need to explain how it is used (and even how it could be used).
4	**Role of the board** Can you remember what board members are responsible for?	**Approach** Use this section to recap the various responsibilities of board members. **Stop and think** Can you discuss the benefits and drawbacks associated with non-executive directors?	You may need to advise a non-executive director so it is helpful to consider their role and background to make sure that your tone is appropriate.	N/A
5	**Associated guidance** Additional publications exist to support good governance in other areas.	**Approach** Read through each one to make sure you are familiar with the content. **Stop and think** Can you explain why each of these publications might be necessary?	Consider whether any of these could be helpful in responding to requests in exam questions where the UK Code does not apply (for example, the role of investors from the Stewardship Code).	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
6	**Corporate governance: international impact** What does the rest of the world do when it comes to promoting sound corporate governance?	**Approach** Review the Sarbanes-Oxley and G20/OECD guidance. **Stop and think** Compare and contrast these approaches with the UK Code - why are there differences?	Be prepared for exam questions to feature governance outside the UK.	N/A
7	**Corporate governance and internal control** One of the key elements of sound governance is the management of risk and the use of sound systems of internal control.	**Approach** Use the guidance to see how this can be applied in a practical context. **Stop and think** Can you differentiate between the approaches used by Weir Group plc and Coca Cola?	You will have studied risk management and internal control in previous subjects so remember that they can also be examined in governance context.	N/A
8	**Evaluation of corporate governance mechanisms** This is especially relevant to auditors as it includes the various governance disclosures that companies are required to make in their annual reports.	**Approach** Although you can see the BSEC Code principles and provisions, it is important that you can discuss them in the context of the audit. **Stop and think** Can you list the various disclosures that the auditor is required to review?	Going concern is an area that could easily be combined with a question on governance, so don't forget to consider this angle when attempting suitable questions.	N/A
9	**Communication between auditors and those charged with governance** This section deals with the internal communication	**Approach** Work through this section with the open book permitted text in front of you. **Stop and think**	Be prepared to explain how this form of communication operates if required in the exam.	**IQ2: Reporting responsibilities** An efficient test of your understanding of the various forms of communication that the auditor

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	between auditors and directors.	Can you map these points to where they are covered by ISAs 260 and 265?		may need to make.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Relevance of corporate governance

Section overview

- Concerns about the adequacy of financial reporting, a number of high profile corporate scandals in the 1990s and concerns about excessive directors' remuneration highlighted the need for effective corporate governance.
- Corporate governance can be defined as the system by which organisations are directed and controlled.
- The BSEC Corporate Governance Code was issued in 2018 and revised in October 2023.
- Prudential guidance issued by the Bangladesh Bank under the Bank Company Act, 1991 to ensure sound governance, protect depositors 'interest, strengthen accountability and promote the stability of the banking sector.

1.1 Introduction

Corporate governance potentially covers a **wide range of issues** and disciplines from company secretarial and legal through business strategy, executive and non-executive management and investor relations to accounting and information systems.

*Corporate governance in Bangladesh began gaining prominence in the **early 2000s**, driven by globalization, increased foreign investment, and the need for stronger accountability in the corporate sector following international corporate scandals and growing investor expectations.*

*The main authorities responsible for issuing corporate governance requirements in Bangladesh are the Bangladesh Securities and Exchange Commission (BSEC) and Bangladesh Bank. BSEC first introduced **Corporate Governance Guidelines in 2006** for listed companies, which were later strengthened and replaced by the **Corporate Governance Code in 2018**. For the banking sector, Bangladesh Bank has issued various governance guidelines and circulars since the **early 2000s**, with more formal governance directives becoming prominent around **2003–2013**, focusing on board structure, risk management, and internal control.*

Corporate governance became more prominent in Bangladesh as the capital market expanded, regulatory oversight increased, and businesses recognized that strong governance is essential for attracting investment, improving transparency, and ensuring sustainable corporate growth.

The main drivers associated with the increasing demand for developments in corporate governance globally as well as in Bangladeshincluded the following:

(a) **Financial reporting**

Issues concerning **financial reporting** were raised by many investors and were the focus of much debate and litigation. Shareholder confidence in what was being reported in many instances was eroded. While corporate governance development is not just about better financial reporting requirements, the regulation of creative accounting practices, such as **off balance sheet financing**, has led to greater transparency and a reduction in risks faced by investors.

(b) **Corporate scandals**

The early 1990s saw an increasing number of high profile **corporate scandals** and collapses, including Polly Peck International, BCCI and Maxwell Communications Corporation. This prompted the development of governance codes in the early 1990s. However, the scandals since then outside the UK, including Enron, have raised questions about further measures that may be necessary and the financial crisis in 2008–2009

triggered widespread reappraisal of governance systems. More recently, investigations into Carillion, Patisserie Valerie, BHS and Sports Direct have resulted in further review of corporate governance arrangements in the UK which have ultimately led to the most recent update of the UK Corporate Governance Code in January 2024.

(c) **Excessive directors' remuneration**

Directors being paid excessive salaries and bonuses has been seen as one of the major corporate issues for a number of years. While CEOs have argued that their packages reflect the global market, shareholders and employees are concerned that these are often out of step with the remuneration of other employees and do not reflect the performance of the company.

For example in 2021, over 70% of the shareholders of supermarket chain Morrisons voted against the company's proposals to increase executive remuneration levels despite a fall in profits. This was fuelled by what is known as 'shareholder activism' carried out by organisations such as PIRC which acquire voting interests in companies in order to challenge the sums paid to executives and encourage remuneration practices that mirror the prevailing economic and social landscape.

1.2 What is corporate governance?

There are a number of different definitions of corporate governance.

The following definition is taken from the Cadbury Report and is still relevant in the context of the Corporate Governance Code. (We will look in more detail at corporate governance reports in sections 3 and 5.)

Definition

Corporate governance: Corporate governance involves a set of relationships between a company's management, its board, its shareholders and other stakeholders. Corporate governance also provides the structure through which the objectives of the company are set, and the means of attaining those objectives and monitoring performance are determined... providing shareholders, board members and executives as well as financial intermediaries and service providers with the right incentives to perform their roles within a framework of checks and balances (OECD, 2015).

An alternative definition is: The set of processes, customs, policies, laws and institutions affecting the way in which an entity is directed, administered or controlled. Corporate governance serves the needs of shareholders, and other stakeholders, by directing and controlling management activities towards good business practices, objectivity and integrity in order to satisfy the objectives of the entity.

In essence, corporate governance:

- involves the **management** and **reduction of risk**;
- specifies the **distribution rights** and **responsibilities** among different participants in the corporation, such as the board, managers, shareholders and other stakeholders;
- spells out the **rules** and **procedures** for making decisions on corporate affairs;
- provides the **structure** through which objectives are set; and
- provides the **means of attaining the objectives** and **monitoring performance.**

It can be argued that good corporate governance:

- provides a **framework** for an organisation to pursue its strategy in an **ethical** and effective way and offers **safeguards** against the misuse of resources, human, financial, physical or intellectual;

- can attract **new investment** into companies, particularly in developing nations; and
- underpins **capital market confidence** in companies.

1.3 Features of poor corporate governance

The scandals over the last 30+ years have highlighted the need for guidance to tackle the various risks and problems that can arise in organisations' systems of governance.

1.3.1 Domination by a single individual

A feature of many corporate governance scandals has been boards dominated by a single senior executive, with other board members merely acting as a rubber stamp. Sometimes the single individual may bypass the board to act in their own interests. Even if an organisation is not dominated by a single individual, there may be other weaknesses. The organisation may be run by a small group centred round the chief executive and chief financial officer, and appointments may be made by personal recommendation rather than a formal, objective process.

1.3.2 Lack of involvement of board

Boards that meet irregularly or fail to consider systematically the organisation's activities and risks are clearly weak. Sometimes the failure to carry out proper oversight is due to a **lack of information** being provided.

1.3.3 Lack of adequate control function

An obvious deficiency is a **lack of internal audit**.

Another important control deficiency is **lack of adequate technical knowledge** in key roles, for example in the audit committee or in senior compliance positions. A rapid turnover of staff involved in accounting or control may suggest inadequate resourcing, and will make control more difficult because of lack of continuity.

1.3.4 Lack of supervision

Employees who are not properly supervised can create large losses for the organisation through their own incompetence, negligence or fraudulent activity. The behaviour of Nick Leeson, the employee whose trading losses caused the collapse of Barings Bank was not challenged because he appeared to be successful. Leeson was able to run up losses because he was in charge of dealing and settlement, a systems deficiency or **lack of segregation of key roles** that has featured in other financial frauds.

1.3.5 Lack of independent scrutiny

External auditors may not carry out the necessary questioning of senior management because of fears of losing the audit, and **internal audit** do not ask awkward questions because the chief financial officer determines their employment prospects. Often corporate collapses are followed by criticisms of external auditors, such as the situation at construction giant Carillion or café chain Patisserie Valerie.

1.3.6 Lack of contact with shareholders

Often board members may have grown up with the company but lose touch with the interests and views of shareholders. One possible symptom of this is the payment of remuneration packages that do not appear to be warranted by results.

1.3.7 Emphasis on short-term profitability

Emphasis on success or getting results can lead to the **concealment of problems or errors**, or **manipulation of accounts** to **achieve desired results**.

1.3.8 Misleading accounts and information

Often misleading figures are symptomatic of other problems (or are designed to conceal other problems) but clearly poor quality accounting information is a major problem if markets are trying to make a fair assessment of the company's value. Giving out misleading information was a major issue in the UK's Equitable Life scandal, where the company gave contradictory information to savers, independent advisers, media and regulators.

1.4 Risks of poor corporate governance

Clearly the ultimate risk is of the organisation **making such large losses** that **bankruptcy** becomes inevitable. The organisation may also be closed down as a result of **serious regulatory breaches,** for example misapplying investors' monies.



Context example: VW

During 2015, it became apparent that car manufacturer Volkswagen (VW) had created software in its vehicles that was deliberately intended to allow its diesel vehicles to incorrectly pass engine emission tests which are used throughout the motor industry. Many observers have pointed out that such a practice could not have occurred without senior management approval: if this was the case, it suggests serious ethical flaws in the company's governance; if not, it still points to a company that is not in control of its staff.



Professional skills focus: Assimilating and using information

Often you will know that there is a problem but you may not be able to explain exactly what the problem is. Keep in mind the basic idea that there is something not right and then use it as a way of combing all the relevant facts until you can explain what the problem really is.

2 Corporate governance concepts



Section overview

- Corporate governance concepts include the following:
  - Fairness
  - Openness/transparency
  - Independence
  - Probity/honesty
  - Responsibility
  - Accountability
  - Reputation
  - Judgement
  - Scepticism
  - Innovation
  - Sustainability

One view of governance is that it is based on a series of **underlying concepts**. These are important, as good corporate governance depends on a willingness to apply the **spirit of the guidance** as well as the letter of the law.

CHAPTER 4

2.1 Fairness

The directors' deliberations and also the systems and values that underlie the company must be **balanced** by taking into account everyone who has a legitimate interest in the company, and respecting their rights and views. In many jurisdictions, corporate governance guidelines reinforce legal protection for certain groups, for example minority shareholders.

2.2 Openness/transparency

In the context of corporate governance, transparency means **corporate disclosure to stakeholders**. Disclosure in this context obviously includes information in the financial statements, not just the numbers and notes to the accounts but also narrative statements such as the directors' report and the operating and financial review. It also includes all **voluntary disclosure**; that is, disclosure above the minimum required by law or regulation. Voluntary corporate communications include the following:

- Management forecasts
- Analysts' presentations
- Press releases
- Information placed on websites
- Other reports such as standalone environmental or social reports

The main reason why transparency is so important relates to the agency problem; that is, the potential conflict between owners and managers. Without effective disclosure the position could be unfairly weighted towards managers, since they normally have far more knowledge of the company's activities and financial situation than owners/investors. Reducing this **information asymmetry** requires not only effective disclosure rules but also strong internal controls that ensure that the information disclosed is **reliable**.

2.3 Independence

Independence is an important concept in relation to directors (as well as auditors). Corporate governance reports have increasingly stressed the importance of **independent non-executive directors**; directors who are not primarily employed by the company and who have very strictly controlled other links with it. They should be free from conflicts of interest and in a better position to **promote the interests of shareholders and other stakeholders**. Freed from pressures that could influence their activities, independent non-executive directors should be able to carry out **effective monitoring** of the company in conjunction with independent external auditors on behalf of shareholders and other stakeholders.

2.4 Probity/honesty

Hopefully this should be the most self-evident of the principles, relating not only to telling the truth but also to not **misleading** shareholders and other stakeholders by presenting information in a biased way.

2.5 Responsibility

For management to be held properly responsible, there must be a system in place that allows for **corrective action** and **penalising mismanagement**. Responsible management should do, when necessary, whatever it takes to set the company on the right path.

The board of directors must act responsively to, and with responsibility towards, all stakeholders of the company. However, the responsibility of directors to other stakeholders, both in terms of to **whom** they are responsible and the **extent** of their responsibility, remains a key point of contention in corporate governance debates.

2.6 Accountability

Corporate **accountability** refers to whether an organisation (and its directors) are answerable in some way for the consequences of their actions.

The board of directors is accountable to shareholders (see section 3). However, making the accountability work is the responsibility of **both** parties. Directors, as we have seen, do so through the quality of information that they provide, whereas shareholders do so through their willingness to **exercise their responsibility as owners**, which means using the available mechanisms to query and assess the actions of the board.

As with responsibility, one of the biggest debates in corporate governance is the extent of management's **accountability** towards **other stakeholders**, such as the community within which the organisation operates.

2.7 Reputation

In the same way, directors' concern for an organisation's reputation will be demonstrated by the extent to which they fulfil the other principles of corporate governance. There are purely **commercial reasons** for promoting the organisation's reputation, namely that the price of publicly traded shares is often dependent on reputation and hence reputation can be a very valuable asset of the organisation.

2.8 Judgement

Judgement means the board **making decisions that enhance the prosperity** of the organisation. This means that board members must acquire a broad enough knowledge of the **business and its environment** to be able to provide meaningful direction to it. This has implications not only for the attention directors have to give to the organisation's affairs but also for the way the directors are recruited and trained.

The complexities of senior management mean that the directors have to bring **multiple conceptual skills** to management that aim to maximise long-term returns. This means that corporate governance can involve balancing many competing people and resource claims against each other.

2.9 Integrity

Integrity is straightforward dealing and completeness. What is required of financial reporting is that it should be honest and that it should present a balanced picture of the state of the company's affairs. The integrity of reports depends on the integrity of those who prepare and present them. It can be taken as meaning someone of **high moral character**, who sticks to principles no matter the pressure to do otherwise. In working life, this means adhering to principles of professionalism and probity.

Straightforward dealing in relationships with the different people and constituencies whom you meet is particularly important; trust is vital in relationships and belief in the integrity of those with whom you are dealing underpins this.

This definition highlights the need for **personal honesty and integrity** of preparers of accounts. This implies qualities beyond a mechanical adherence to accounting or ethical regulations or guidelines. At times accountants will have to use judgement or face financial situations which aren't covered by regulations or guidance, and on these occasions integrity is particularly important.

Integrity is an essential principle of the **corporate governance relationship**, particularly in relation to representing shareholder interests and exercising agency. As with financial reporting guidance, ethical codes don't cover all situations and therefore depend for their

effectiveness on the qualities of the accountant. In addition, we have seen that a key aim of corporate governance is to inspire confidence in participants in the market and this significantly depends on a **public perception** of **competence and integrity**.

2.10 Scepticism

You should be familiar with the concept of '**professional scepticism**' from your earlier auditing studies: sound governance practices should also consider the importance of being sceptical about all parts of the business, regardless of whether they have displayed any evidence of dysfunctional behaviour. **For example**, if performance continues to exceed industry averages, even in periods of economic downturn, it could be symptomatic of fraudulent financial reporting.

2.11 Innovation

Change happens; factors such as technological advances, social behaviour, market expectations and even freak weather conditions can all have significant impacts on organisations and their stakeholders, which means that governance structures need to be **agile** and **responsive** in order to stay relevant.

2.12 *Sustainability*

*This is not immediately associated with the preceding concepts when discussing corporate governance, but any discussion of the core concepts underpinning sound governance would be incomplete if it did not at least recognise its importance in addressing **ESG issues** within a broader sustainability context.*

*We know that ESG covers **environmental**, **social** and **governance** issues – in corporate governance terms, organisations have a responsibility to their stakeholders to consider both their **impacts** on the world (such as resource utilisation, labour practices and waste generation) and their **dependencies** upon that same world (the use of raw materials, humans and other resources). Interaction with the world creates many **risks and opportunities**, and it is the responsibility of both those charged with governance and auditors to support a framework of transparency and accountability via the **annual report** and the **board's chosen strategies** that allow a **balanced and informed debate** about entities and how they address these ESG-related risks and opportunities as part of their wider risk management responsibilities.*

Risk management will be discussed further as part of the broader corporate governance picture, starting with the UK Corporate Governance Code and what it requires boards and auditors to do.

3 The BSEC Corporate Governance Code

Section overview

- The Bangladesh Securities and Exchange Commission issued Corporate Governance Code in order to enhance corporate governance in the interest of investors and the capital market which was last revised in October 2023.
- The Code applies to all publicly listed companies in Bangladesh.
- The Code includes several requirements to ensure good governance in structure and practice including several disclosure requirements as well.
- Refer to the workbook of Corporate Laws and Practices at Professional Levels for details of the codes.

3.1 *Overview*

The Bangladesh Securities and Exchange Commission Corporate Governance Code is a regulatory framework designed to strengthen corporate governance among publicly listed companies in Bangladesh. It establishes principles and requirements relating to board composition, accountability, internal controls, transparency, and disclosure to promote ethical management, protect investors, and enhance confidence in the capital market. The Code serves as an important benchmark for good corporate governance practices in Bangladesh.

The Bangladesh Securities and Exchange Commission Corporate Governance Code provides a framework for improving governance standards in publicly listed companies in Bangladesh. Its main provisions can be summarized under the following categories:

1. *Board of Directors*
   Requires an effective and balanced Board structure, including an appropriate number of directors, independent directors, separation of the Chairperson and CEO roles, and clearly defined responsibilities.
2. *Independent Directors*
   Provides criteria for appointment, tenure, qualifications, and duties of independent directors to ensure objective oversight and protect shareholder interests.
3. *Board Committees*
   Mandates formation of key committees, particularly the Audit Committee and Nomination and Remuneration Committee (NRC), with defined terms of reference and reporting responsibilities.
4. *Internal Control and Risk Management*
   Requires companies to maintain sound internal control systems, risk management processes, and compliance frameworks to safeguard assets and ensure operational effectiveness.
5. *Financial Reporting and Disclosure*
   Emphasizes timely, accurate, and transparent disclosure of financial and non-financial information, including related party transactions and governance reporting.
6. *Role of CEO and CFO*
   Requires formal certification by the CEO and CFO regarding the fairness of financial statements and effectiveness of internal controls.
7. *Audit and Assurance*
   Requires independent external audit and oversight by the Audit Committee to ensure integrity of financial reporting and compliance.
8. *Compliance Reporting*
   Listed companies must disclose their compliance status against each condition of the Code in a prescribed checklist format, supported by an independent compliance certificate.

   These categories collectively aim to strengthen ***transparency, accountability, board effectiveness, and investor confidence*** *in Bangladesh's listed companies.*

Banking sector in Bangladesh:

In Bangladesh, corporate governance in the banking sector is primarily regulated by Bangladesh Bank through a series of mandatory prudential guidelines and circulars issued under the ***Bank Company Act, 1991****. These guidelines are designed to ensure sound governance, protect depositors' interests, strengthen accountability, and promote the overall stability of the banking system.*

The foundation of modern corporate governance regulation in the banking sector was established through the ***Prudential Regulations for Banks: Selected Issues (2009)****, which contained a dedicated chapter on* ***"Corporate Governance in Bank Management."*** *Although not a standalone corporate governance code, it was a comprehensive regulatory framework to formally define governance responsibilities among the* ***Board of Directors, Chairman, Chief Executive Officer (CEO), and management****, emphasizing clear segregation of duties, board oversight, internal control, and risk management.*

A major update to the governance framework was introduced in ***2024****, when Bangladesh Bank issued* ***BRPD Circular No. 02 (11 February 2024)*** *on the* ***formation and responsibilities of the Board of Directors****. This circular sets out detailed requirements relating to board composition, fit and proper criteria for directors, board responsibilities, and governance oversight.*

This was followed by ***BRPD Circular No. 03 (14 February 2024)****, which specifically addresses the* ***appointment, qualifications, responsibilities, and honorarium of Independent Directors****. The objective is to strengthen board independence and ensure that independent directors effectively protect the interests of depositors and other stakeholders.*

Further, ***BRPD Circular No. 05 (February 2024)*** *outlines the* ***appointment and responsibilities of the Managing Director/Chief Executive Officer (CEO)****, emphasizing leadership accountability, operational responsibility, and alignment with regulatory expectations.*

In addition, ***BRPD Circular Letter No. 27 dated 12 May 2021*** *provides rules regarding the* ***appointment of directors, contractual advisors, and consultants****, aimed at preventing conflicts of interest and improving governance integrity.*

Together, the ***2009 Prudential Regulations*** *and the subsequent circulars issued by Bangladesh Bank form the core corporate governance framework for banks in Bangladesh, demonstrating the regulator's increasing focus on stronger board oversight, management accountability, prudent risk management, and sustainable governance in the banking sector.*

National Integrity Strategy:

Bangladesh Bank has also ***directed scheduled banks and financial institutions*** *under its supervision to implement National Integrity Strategy (NIS). As a result, many banks in Bangladesh now maintain dedicated* ***NIS committees, work plans, and quarterly disclosure reports*** *on their websites, following instructions issued by Bangladesh Bank.*

The ***National Integrity Strategy (NIS)*** *of Bangladesh is a government-wide policy framework aimed at promoting* ***integrity, transparency, accountability, and good governance*** *in public institutions and across the broader public sector. It was adopted by the Government of Bangladesh in* ***2012*** *under the leadership of the* ***Cabinet Division*** *as part of the country's anti-corruption and governance reform agenda*

Therefore, Bangladesh Bank plays a ***dual role*** *in relation to NIS: it is both an* ***implementing institution*** *for its own governance and a* ***regulatory driver*** *requiring the banking sector to adopt NIS principles.*

3.1.1 *Audit Committees and the External Audit: Minimum Standard*

In May 2023, the UK FRC published this guidance for those companies that apply the UK Corporate Governance Code and any others that wish to either prepare for a future listing or just demonstrate best practice. There are four main areas that explain the responsibilities of the Audit Committee in relation to the external audit:

Responsibilities	*Tendering*	*Oversight of auditors and audit*	*Reporting*
• *Ensuring the company has access to a competitive audit market* • *Enabling an effective external audit (agreed scope, access to records, compliance with professional, ethical and regulatory standards)* • *Facilitating suitable challenge by the external auditor* • *Managing the delivery of non-audit services by the external auditor* • *Reporting how the audit committee has discharged its responsibilities for the external audit and in relation to this FRC guidance*	• *Conducting the tender process for external auditors (appointment, reappointment and removal)* • *Leading on all aspects of the tendering process* • *Supporting the opportunities available for diverse tendering (ie, challengers from outside of the 'Big Four')* • *Involving all audit committee members in the selection process and using a range of quality criteria for selection (independence, challenge and competence over price or cultural fit)*	• *Supporting an external audit culture that encourages challenge by the auditor and operates in the public interest* • *Assessment of the effectiveness of the external audit process in terms of quality, mind-set, culture, skills, challenge, interaction with other stakeholders and the demonstration of suitable levels of professional judgement* • *Use resources such as the tender, audit plan, any regulatory intervention and the management letter to evaluate the audit process*	• *Significant issues and how they were addressed* • *Accounting policies* • *Any issues requested for inclusion by shareholders that the auditor has rejected* • *Explanation of how the audit process, including tendering, any reappointment and any tenure issues, has been managed* • *Any regulatory inspections of the quality of the audit* • *Any disagreements between audit committee and the board on auditor appointment, reappointment or removal* • *How auditor independence and objectivity has been safeguarded if the auditor provides non-audit services*

(UK FRC, 2023a)

3.2 *Principles of good corporate governance*

The principles of good corporate governance can be split into five main categories:

- *Board leadership and company purpose*
- *Division of responsibilities*
- *Composition, succession and evaluation*
- *Audit, risk and internal control*
- *Remuneration*

These could be supported by 18 core principles and a further 41 more detailed provisions.

The key principles of the Code are summarised below.

Board leadership and company purpose	
The role of the board	*Every company should be headed by an effective and entrepreneurial board which is collectively responsible for the long-term sustainable success of the company and to add value to shareholders and society in general.* *To be effective, the company should have sufficient resources to assess the achievement of its objectives, including suitable internal controls to manage risks.*
Culture	*The board should promote a culture that is aligned to the company's overall purpose, values and strategy by ensuring directors act with integrity.*
Board reporting	*The board should report how its decisions and their outcomes have helped the company achieve its strategies and objectives. Any departures from the Code should also be reported with clear explanations of their rationale.*
Engagement	*Boards should engage fully with both shareholders and stakeholders to allow suitable participation by all parties in the management of the company.*
Workforce	*The way the company manages the workforce must be in line with the company's overall culture and must allow their views to be heard.*

Division of responsibilities	
Chair	*The chair should lead the board and ensure it is effective in directing the company by demonstrating sound judgement and promoting inclusive and informed debate.*
Balance	*The board should consist of an appropriate mix of executives and non-executives, stressing the role that independence can play in reducing unwelcome dominance.*
Non-executives	*Non-executive directors (NEDs) should have sufficient time and resource to allow them to challenge and support management in an appropriate way.*
Support	*Boards need suitable levels of information, time and other resources, including the company secretary, to function in an efficient and effective manner.*
Composition, succession and evaluation	
Appointments	*Board recruitment should be based on a formal, rigorous and transparent process, driven by a logical succession plan and promoting diversity, inclusion and equal opportunity throughout.*
Qualities	*The board should always possess appropriate levels of skill, experience and knowledge which should be achieved by regularly refreshing the board's membership.*

Assessment	*Both individual board members and the board as a whole should be evaluated on a regular basis to ensure they continue to achieve the company's objectives.*

Audit, risk and internal control	
Audit and reporting	*Directors should ensure both internal and external audit are effective and independent and that the company's reports display suitable levels of integrity.*
Viability	*The board should ensure a realistic and clear picture of the company's current and future prospects is presented to all stakeholders.*
Risk and control	*The board should understand the principal risks that the company faces, establishing and maintaining an effective risk management and internal control framework that achieves the company's objectives.*

Remuneration	
Policy	*There should be a direct link between executive remuneration policies and practices and the achievement of the company's long term strategic objectives.*
Procedure	*Remuneration for directors and management should be set in a transparent and objective manner.*
Judgement	*All remuneration decisions should reflect the company's performance and other factors as appropriate to ensure they display suitable levels of discretion.*

Context example: British Airways

UK airline British Airways (BA) is a well-known company that is often used as the benchmark in its industry, yet since 2021 the roles of chair and chief executive have been filled by the same individual. How is this allowed? BA is actually owned by the International Airlines Group (IAG) which at the time had a more robust governance structure of chair, 10 non-executive directors and two executive directors (finance director and chief executive). It is therefore important to understand the ownership structure of an entity when appraising how it is directed and controlled.

- *Length of service limits of no more than nine years for the chair and any independent non-executive directors (Provisions 10 and 19)*
- *Non-executive directors (preferably independent, excluding the chair) to make up the majority of the board (Provision 11)*
- *The crucial roles that both the senior independent director and non-executive directors can play in supporting the board and shareholders (Provisions 12 and 13)*
- *Nominations committees consisting of a majority of non-executive directors (Provision 17)*
- *All directors (including non-executives) to be subject to annual re-election (Provision 18)*
- *Audit committees should consist entirely of at least three independent non-executive directors with at least one member possessing recent and relevant financial experience (Provision 24)*

- *Audit committees should review the financial statements, internal control and risk management frameworks, as well as the effectiveness of internal audit and all matters related to the external auditor's (re)appointment, terms of reference, independence, effectiveness and any non-audit work carried out (Provision 25)*
- *Remuneration committees should consist of at least three independent non-executive directors (Provision 32)*
- *Non-executive directors' fees should either be set by the board or set out in the company's articles of association, with no share options or performance-related elements allowed (Provision 34)*
- *Executive remuneration schemes where share options are used should use a vesting period of at least five years (Provision 36)*
- *Notice or contract periods should be one year or less (longer periods can be used when recruiting new directors, but after this, the periods should be one year or less) (Provision 40)*

4 Role of the board



Section overview

- The board of directors should be responsible for taking major **policy** and **strategic** decisions and use the best information available to it, reporting how they have fulfilled their duties.
- Directors should have a **mix of skills** and their **performance** should be assessed regularly.
- **Independent non-executive directors** have a key role in governance. Their number and status should mean that their views carry significant weight.

4.1 Scope of role

If the board is to act effectively, its role must be defined carefully. The Code suggests that the board should have a formal schedule of matters specifically reserved to it for decision. Some would be such decisions as mergers and takeovers that are fundamental to the business and therefore should not be taken just by executive managers. Other decisions would include acquisitions and disposals of assets of the company or its subsidiaries that are material to the company and investments, capital projects, bank borrowing facilities, loans and their repayment, and foreign currency transactions, all above a certain size (to be determined by the board).

Other tasks the board should perform include:

- monitoring the chief executive officer;
- overseeing strategy;
- monitoring risks and control systems;
- monitoring the human capital aspects of the company in regard to succession, morale, training, remuneration etc; and
- ensuring that there is effective communication of its strategic plans, both internally and externally.

Context example: Role of the board

For the voluntary sector, the UK's *Good Governance, A Code for the Voluntary and Community Sector* stresses the board of trustees' role in ensuring compliance with the objects, purposes and values of the organisation and with its governing document. The Code stresses that the board must ensure that the organisation's vision, mission, values and activities remain true to its objects.

The Code also lays more stress than the governance codes targeted at listed companies on trustees focusing on the strategic direction of their organisation and not becoming involved in day to day activities. The chief executive officer should provide the link between the board and the staff team, and the means by which board members hold staff to account. Where in smaller organisations trustees need to become involved in operational matters, they should separate their strategic and operational roles.

4.2 Attributes of directors

In order to carry out effective scrutiny, directors need to have **relevant expertise** in industry, company, functional area and governance. The board as a whole needs to contain a **mix of expertise** and show a **balance** between **executive management** and **independent non-executive directors**.
New and existing directors should also have **appropriate training** to develop the knowledge and skills required.

4.3 Possession of necessary information

As we have seen above, in many corporate scandals, the board was not given full information. The Code states that the chair is responsible for ensuring that the directors receive **accurate, timely and clear information**. Directors should seek clarification where necessary.

4.4 Performance of board

Appraisal of the board's performance is an important control over it. The **performance of the board** should be **assessed** once a year (for FTSE 350 companies this should be externally facilitated at least every three years).

4.5 Board membership and division of responsibilities

All reports acknowledge the importance of having a division of responsibilities at the head of an organisation. The simplest way to do this is to require the roles of **chair** and **chief executive** to be held by two different people.

Context example: Diageo Strategic Report 2020

In the Strategic Business Management materials you will find a real world example that illustrates how the strategic report works in summary. It uses Diageo, a global drinks manufacturer, as an example of how the strategic report considers the position and prospects of the company and explains how the directors have responded to various risks and obligations in the context of the global drinks industry in 2020. It is revisited here for the relevant governance aspects that apply to Corporate Reporting.

Within the Diageo strategic report, the chairman's statement includes formal acknowledgement of the directors' responsibilities under section 172 of the Companies Act (2006) while the section on principal risks and risk management satisfies the UK Corporate Governance Code by including the following viability statement:

Viability statement

In accordance with the United Kingdom's Corporate Governance Code, the Directors have assessed the viability of the group for the three years to 30 June 2023, considering our current position and prospects, our strategy, the Board's risk appetite, our business model to create a truly sustainable business for the very long term that includes our people, brands, relationships, insight and know- how, infrastructure and financial strength and our principal risks as set out in the Strategic report. The Directors believe a three-year horizon is appropriate for this assessment, as this aligns with our normal three-year strategic business planning processes.

The three-year business plan is based on our current strategy and has been stress-tested by modelling severe but plausible downside scenarios, linked to our principal risks. In addition, and while still uncertain, the potential financial impact of the Covid-19 pandemic has been modelled in our scenarios. This has required using key assumptions that have a high degree of uncertainty, including but not limited to: the length of lockdown; the potential for a second wave; the recovery of our on-trade business; and increases in direct and indirect taxes.

Key severe but plausible scenarios considered include:

- *Material negative changes in the macro-economic environment, including the impact of Covid-19*
- *Severe marketing and/or route to market restrictions or fiscal changes introduced by local governments*
- *Unfavourable exchange movements in foreign currencies – primarily euro & US dollar to Sterling*
- *A failure to adapt to or participate fully in critical industry developments*
- *Impact of severe climate change*
- *Increased potential tax rate due to changes in the international tax environment*

None of these scenarios individually threaten the viability of Diageo, therefore the combined impact of these scenarios has been evaluated as the most severe stressed scenario. Stress-testing considers the effectiveness of mitigation actions and internal control systems and makes certain assumptions about temporary reductions in discretionary spending including capital expenditure, dividend payments and advertising and promotion. It also considers whether additional financing facilities would be required.

Based on the results of this analysis the Directors confirm they have a reasonable expectation that the group will be able to continue in operation and meet its liabilities as they fall due over the period to 30 June 2023. (Diageo, 2020)

4.6 Non-executive directors

Non-executive directors have no executive (managerial) responsibilities.

Non-executive directors should provide a **balancing influence,** and play a key role in **reducing conflicts of interest** between management (including executive directors) and shareholders. They should provide reassurance to shareholders, particularly institutional shareholders, that management is acting in the interests of the organisation.



Context example: Sources of non-executive directors

Non-executive directors may come from a number of sources:

- Companies operating in international markets could benefit from having at least one non-executive director with international experience.
- Lawyers, accountants and consultants can bring skills that are useful to the board.

- Listed companies should consider appointing directors of private companies as non-executive directors.
- Including individuals with charitable or public sector experience but strong commercial awareness can increase the breadth of diversity and experience on the board.

4.6.1 Role of non-executive directors

The role of non-executive directors can be summarised as follows:

- **Strategy**: Non-executive directors should contribute to, and challenge the direction of, strategy.
- **Performance**: Non-executive directors should scrutinise the performance of management in meeting goals and objectives, and monitor the reporting of performance.
- **Risk**: Non-executive directors should satisfy themselves that financial information is accurate and that financial controls and systems of risk management are robust.
- **Directors and managers**: Non-executive directors are responsible for determining appropriate levels of remuneration for executives, and are key figures in the appointment and removal of senior managers and in succession planning.

4.6.2 Advantages of non-executive directors

Non-executive directors can bring a number of advantages to a board of directors.

- They may have **external experience and knowledge which executive directors do not possess**. The experience they bring can be in many different fields. They may be executive directors of other companies, and thus have experience of different ways of approaching corporate governance, internal controls or performance assessment. They can also bring knowledge of markets within which the company operates.
- Non-executive directors can provide a **wider perspective** than executive directors, who may be more involved in detailed operations.
- Good non-executive directors are often a **comfort factor** for third parties, such as investors and creditors.
- It has been suggested that there are **certain roles** non-executive directors are well suited to play. These include 'father-confessor' (being a confidante for the chair and other directors),'oil-can' (intervening to make the board run more effectively) and acting as 'high sheriff' (if necessary taking steps to remove the chair or chief executive).
- The most important advantage perhaps lies in the dual nature of the non-executive director's role. Non-executive directors are **full board members** who are expected to have the level of knowledge that full board membership implies. At the same time, they are meant to provide the so-called **strong, independent element** on the board. This should imply that they have the knowledge and detachment to be able to assess fairly the remuneration of executive directors when serving on the remuneration committee, and to be able to discuss knowledgeably with auditors the affairs of the company on the audit committee.

4.6.3 Problems with non-executive directors

Nevertheless, there are a number of difficulties connected with the role of non-executive director.

- In many organisations, non-executive directors may **lack independence**. There are in practice a number of ways in which non-executive directors can be linked to a company, as suppliers or customers for example. Even if there is no direct connection, potential non-

executive directors are more likely to agree to serve if they admire the company's chair or its way of operating.

- There may be a **prejudice in certain companies** against widening the recruitment of non-executive directors to include people proposed other than by the board or to include stakeholder representatives.
- High-calibre non-executive directors may gravitate towards the **best-run companies**, rather than companies which are more in need of input from good non-executives.
- Non-executive directors may have **difficulty imposing** their views on the board. It may be easy to dismiss the views of non-executive directors as irrelevant to the company's needs. This may imply that non-executive directors need good persuasive skills to influence other directors. Moreover, if executive directors are determined to push through a controversial policy, it may prove difficult for the more disparate group of non-executive directors to oppose them effectively.
- It has been suggested that not enough emphasis is given to the role of non-executive directors in **preventing trouble**, in warning early on of potential problems. When trouble does arise, non- executive directors may be expected to play a major role in rescuing the situation, which they may not be able to do.
- Perhaps the biggest problem which non-executive directors face is the **limited time** they can devote to the role. If they are to contribute valuably, they are likely to have time-consuming other commitments. In the time they have available to act as non-executive directors, they must contribute as knowledgeable members of the full board and fulfil their legal responsibilities as directors. They must also serve on board committees. Their responsibilities mean that their time must be managed effectively, and they must be able to focus on areas where the value they add is greatest.

4.6.4 Independence of non-executive directors

Various safeguards can be put in place to ensure that non-executive directors remain independent. A number of factors will be considered, including if the director:

- has been an employee of the company within the last five years;
- has, or has had within the last three years, a material business relationship with the company, either directly or as a partner, shareholder, director or senior employee of a body that has such a relationship with the company;
- has received or receives additional remuneration from the company apart from a director's fee, participates in the company's share option or a performance-related pay scheme, or is a member of the company's pension scheme;
- has close family ties with any of the company's advisers, directors or senior employees;
- holds cross-directorships or has significant links with other directors through involvement in other companies or bodies;
- represents a significant shareholder; or
- has served on the board for more than nine years from the date of their first appointment.

Whenever a question scenario features non-executive directors, watch out for threats to, or questions over, their independence.

5 Corporate governance: international impact

Section overview

- Corporate governance models differ around the world, but the following principles and legislation are widely recognised:
  - The G20/OECD Principles of Corporate Governance (G20/OECD Principles)
  - The Sarbanes–Oxley Act in the US (SOX)
  - The UK Corporate Governance Code (covered in earlier sections)
- The G20/OECD Principles resulted from market pressure for standardisation of governance guidelines.
- The G20/OECD Principles are non-binding but are intended to assist governments, stock exchanges, investors and companies. They cover the following six areas:
  - Ensuring the basis for an effective corporate governance framework
  - The rights of shareholders
  - The equitable treatment of shareholders
  - The role of stakeholders
  - Disclosure and transparency
  - The responsibilities of the board
- The introduction of SOX in the US resulted from the Enron scandal.
- SOX is a 'rules-based' rather than 'principles-based' approach to improving corporate governance.
- The Act applies to all companies that are required to file accounts with the Securities and Exchange Commission. This includes non-US companies who list their shares in the US and therefore affects companies worldwide.
- SOX has resulted in increased compliance costs for companies.

5.1 G20/OECD Principles of Corporate Governance

5.1.1 Convergence of international guidance

Because of increasing international trade and cross-border links, there is significant pressure for the development of internationally comparable practices and standards. Accounting and financial reporting is one area in which this has occurred. Increasing international investment and integration of international capital markets has also led to pressure for standardisation of governance guidelines, as international investors seek **reassurance about the way their investments are being managed** and the **risks** involved.

5.1.2 OECD guidance

The Organisation for Economic Co-operation and Development (OECD) has carried out an extensive consultation with member countries, and developed a **set of principles of corporate governance** that countries and companies should work towards achieving. The OECD has stated that its interest in corporate governance arises from its concern for **global investment**. Corporate governance arrangements should be credible and understood across national borders. Having a common set of accepted principles is a step towards achieving this aim.

The OECD developed its Principles of Corporate Governance in 1998 and issued a revised version endorsed by the G20 in November 2015. They are **non-binding principles**, intended to assist governments in their efforts to evaluate and improve the legal, institutional and regulatory framework for corporate governance in their countries.

They are also intended to provide guidance to stock exchanges, investors and companies. The focus is on stock exchange listed companies, but many of the principles can also apply to private companies and state-owned organisations.

The G20/OECD Principles deal mainly with governance problems that result from the **separation of ownership and management** of a company. Issues of ethical concern and environmental issues are also relevant, although not central to the problems of governance.

Between February 2009 and February 2010 the OECD issued a number of documents regarding the corporate governance lessons which can be learnt from the recent financial crisis.

5.1.3 G20/OECD Principles

The G20/OECD Principles are grouped into six broad areas:

(a) Ensuring the basis for an effective corporate governance framework

The corporate governance framework should promote **transparent and fair** markets, and the efficient allocation of resources. It should be consistent with the rule of law and support effective supervision and enforcement.

(b) The rights and equitable treatment of shareholders and key ownership functions

Shareholders should have the right to **participate and vote in general meetings** of the company, **elect** and **remove members of the board** and **obtain relevant and material information** on a timely basis. All shareholders of the same class of shares should be treated equally, including **minority shareholders** and **foreign shareholders**. **Impediments** to **cross-border shareholdings** should be **eliminated**.

Capital markets for corporate control should function in an **efficient and timely manner**.

(c) Institutional investors, stock markets and other intermediaries

Institutional investors acting in a fiduciary capacity should **disclose** their corporate governance and voting policies with respect to their investments and should disclose how they **manage material conflicts of interest**. Parties providing advice to investors should disclose and **minimise conflicts of interest**. Votes should be cast in line with the directions of the owners of the shares.

(d) The role of stakeholders

Rights of stakeholders should be **protected**. All stakeholders should have **access to relevant information** on a regular and timely basis. **Mechanisms** for employee participation should be **permitted to develop**. Stakeholders, including employees, should be able to **freely communicate their concerns** about illegal or unethical relationships to the board and public authorities.

(e) Disclosure and transparency

Timely and accurate disclosure must be made of all material matters regarding the company, including the financial situation, company objectives and non-financial information, major share ownership, including beneficial owners and voting rights, remuneration of members of the board and key executives, information about the board (including their qualifications), related party transactions, foreseeable risk factors, issues regarding employees and other stakeholders and governance structures and policies. Information should be prepared and disclosed in accordance with **standards of accounting and financial and non-financial reporting**. An **annual audit** should be

conducted by an independent, competent and qualified auditor following relevant auditing standards. The auditor must exercise **due professional care** in the conduct of the audit. Information must be disseminated through proper channels.

(f) The responsibilities of the board

The board is responsible for the **strategic guidance** of the company and for the **effective monitoring** of management. Board members should act on a fully informed basis, in good faith, with due diligence and care and in the **best interests of the company and its shareholders**. They should treat **all shareholders fairly**. The board should be able to exercise **independent judgement**; this includes assigning independent non-executive directors to appropriate tasks.

5.2 Sarbanes-Oxley and governance in the US

5.2.1 The Enron scandal

The most significant scandal in the US in recent years has been the Enron scandal, when one of the country's biggest companies filed for bankruptcy. The scandal also resulted in the disappearance of Arthur Andersen, one of the Big Five accountancy firms who had audited Enron's accounts. The main reasons why Enron collapsed were overexpansion in energy markets, too much reliance on derivatives trading which eventually went wrong, breaches of federal law, and misleading and dishonest behaviour. However, inquiries into the scandal exposed a number of weaknesses in the company's governance.

(a) A lack of transparency in the accounts

This particularly related to certain investment vehicles that were not recognised in the statement of financial position. Various other methods of inflating revenues, offloading debt, massaging quarterly figures and avoiding taxes were employed.

(b) Ineffective corporate governance arrangements

The company's management team was criticised for being arrogant and overambitious and there were potential conflicts of interest.

(c) Inadequate scrutiny by the external auditors

Arthur Andersen failed to spot or question dubious accounting treatments. Since Andersen's consultancy arm did a lot of work for Enron, there were allegations of conflicts of interest.

(d) Information asymmetry

That is, the agency problem of the directors/managers knowing more than the investors. The investors included Enron's employees. Many had their personal wealth tied up in Enron shares, which ended up being worthless. They were actively discouraged from selling them. Many of Enron's directors, however, sold the shares when they began to fall, potentially profiting from them.

(e) Executive compensation methods

These were meant to align the interests of shareholders and directors, but seemed to encourage the overstatement of short-term profits. Particularly in the US, where the tenure of chief executive officers is fairly short, the temptation is strong to inflate profits in the hope that share options will have been cashed in by the time the problems are discovered.

5.2.2 The Sarbanes-Oxley Act 2002

In the US the response to the breakdown of stock market trust caused by perceived inadequacies in corporate government arrangements and the Enron scandal was the **Sarbanes-Oxley Act 2002.** The Act applies to all companies that are required to file periodic

reports with the Securities and Exchange Commission (SEC). The Act was the most far-reaching US legislation dealing with securities in many years and has major implications for public companies. Rule-making authority was delegated to the SEC on many provisions.

Sarbanes–Oxley shifts responsibility for financial probity and accuracy to the board's **audit committee**, which typically comprises three independent directors, one of whom has to meet certain financial literacy requirements (equivalent to non-executive directors in other jurisdictions).

Along with rules from the SEC, the Sarbanes–Oxley Act (SOX) requires companies to increase their financial statement **disclosures**, to have an internal **code of ethics** and to impose **restrictions on share trading** by, and **loans to**, corporate officers.

Effectively the SOX legislates that companies and their boards must comply with provisions derived from principles similar to the OECD Principles and those contained in the UK Corporate Governance Code. However, this rules-based approach has drawn criticism for its 'one size fits all' approach and there have been concerns that it unnecessarily burdens smaller entities.

Unlike the UK Corporate Governance Code, which adopts a 'comply or explain' approach, the SOX is strictly rules-based, with penalties imposed for non-compliance. There is a continuing debate around which approach is the more effective. It is argued that the UK's more flexible model:

- provides best practice guidance that can be applied to the varying circumstances of different companies;
- prevents the development of a mechanistic, 'box-ticking' approach to decision-making and the use of legalistic loopholes to avoid compliance with guidance; and
- focuses on the spirit of the guidance and encourages responsibility and the exercise of professional judgement.

On the other hand, supporters of a rules-based approach argue that compliance with such guidance is easier since the requirements are prescriptive and leave little room for misunderstanding.
Furthermore, rules-based approaches are easier to enforce.

5.2.3 Detailed provisions of the Sarbanes-Oxley Act

Note: This legislation was issued prior to the adoption of the quality management standards in 2021 when the term quality control was still in use however, in this instance you can assume that the law is referring to what you understand to be quality management.

These are as follows:

(a) Public Oversight Board

The Act set up a new regulator, the **Public Company Accounting Oversight Board**, to oversee the audit of public companies that are subject to the securities laws.

The Board has powers to set **auditing, quality control, independence and ethical standards** for registered public accounting firms to use in the preparation and issue of audit reports on the financial statements of listed companies. In particular, the Board is required to set standards for registered public accounting firms' reports on listed company statements on their internal control over financial reporting. The Board also has **inspection and disciplinary powers** over firms.

(b) Auditing standards

Audit firms should **retain working papers** for at least seven years and have **quality control standards** in place, such as second partner review. As part of the audit they should review

internal control systems to ensure that they **reflect the transactions** of the client and provide **reasonable assurance** that the transactions are recorded in a manner that will **permit preparation** of the **financial statements** in accordance with **generally accepted accounting principles**. They should also review records to check whether **receipts** and **payments** are being made **only in accordance with management's authorisation**.

(c) Non-audit services

Auditors are expressly prohibited from carrying out a number of services, including internal audit, bookkeeping, systems design and implementation, appraisal or valuation services, actuarial services, management functions and human resources, investment management, and legal and expert services. **Provision of other non-audit services** is only allowed with the **prior approval** of the **audit committee**.

(d) Quality control procedures

There should be **rotation** of lead or reviewing audit partners every five years and other procedures such as independence requirements, consultation, supervision, professional development, internal quality review and engagement acceptance and continuation.

(e) Auditors and audit committee

Auditors should discuss **critical accounting policies**, **possible alternative treatments**, the management letter and unadjusted differences with the audit committee.

(f) Audit committee

Audit committees should be established by all listed companies.

All members of audit committees should be **independent** and should therefore not accept any **consulting** or **advisory fee** from the company or be affiliated to it. At least one member should be a financial expert. Audit committees should be responsible for the **appointment, compensation** and **oversight** of auditors. Audit committees should establish mechanisms for dealing with complaints about accounting, internal controls and audit.

(g) Corporate responsibility

The chief executive officer and chief financial officer should certify the appropriateness of the financial statements and that those financial statements fairly present the operations and financial condition of the issuer. If the company has to prepare a restatement of accounts due to material non-compliance with standards, the chief financial officer and chief executive officer should forfeit their bonuses.

(h) Off balance sheet transactions

There should be **appropriate disclosure** of **material off balance sheet transactions** and other relationships (transactions that are not included in the accounts but that impact on financial conditions, results, liquidity or capital resources).

(i) Internal control reporting

Annual reports should contain **internal control reports**. We look at this aspect in more detail in section 7 when we consider internal control.

(j) Whistleblowing provisions

Employees of **listed companies** and **auditors** will be granted whistleblower protection against their employers if they **disclose private employer information** to parties involved in a fraud claim.

5.2.4 Impact of Sarbanes-Oxley in the US

The biggest expense involving compliance that companies are incurring is fulfilling the requirement to ensure their **internal controls** are properly documented and tested. US companies had to have efficient controls in the past, but they are now having to document

them more comprehensively than before, and then have the external auditors report on what they have done.

The Act also formally stripped accountancy firms of almost all non-audit revenue streams that they used to derive from their audit clients, for fear of conflicts of interest.

For lawyers, the Act strengthens requirements on them to whistleblow internally on any wrongdoing they uncover at client companies, right up to board level.

5.2.5 International impact of Sarbanes–Oxley

The Act also has a significant **international dimension**. About 1,500 non-US companies, including many of the world's largest, list their shares in the US and are covered by Sarbanes–Oxley. There were complaints that the new legislation conflicted with local corporate governance customs and, following an intense round of lobbying from outside the US, changes to the rules were secured. For example, German employee representatives, who are non-management, can sit on audit committees, and audit committees do not have to have board directors if the local law says otherwise, as it does in Japan and Italy.

Also, as the US is such a significant influence worldwide, arguably Sarbanes–Oxley may influence certain jurisdictions to adopt a more rules-based approach.

5.2.6 Criticisms of Sarbanes–Oxley

Sarbanes–Oxley has been criticised in some quarters for **not being strong enough** on certain issues, for example the selection of external auditors by the audit committee, and at the same time being over-rigid on others. Directors may be less likely to consult lawyers in the first place if they believe that legislation could override lawyer-client privilege.

In addition, it has been alleged that a Sarbanes–Oxley compliance industry has sprung up focusing companies' attention on complying with all aspects of the legislation, significant or much less important. This has distracted companies from **improving information flows** to the market and then allowing the market to make well-informed decisions. The Act has also done little to address the temptation provided by generous stock options to inflate profits, other than requiring possible forfeiture if accounts are subsequently restated.

Most significantly, perhaps, there is recent evidence of companies turning away from the US stock markets and towards other markets such as London. Many observers have suggested that this was partly due to companies tiring of the **increased compliance costs** associated with Sarbanes–Oxley implementation. In addition, the nature of the **regulatory regime** may be an increasingly significant factor in listing decisions.



Professional skills focus: Assimilating and using information

While it is unlikely that you will be expected to consider the regulatory aspects of an organisation from the US in great detail, basic knowledge of Sarbanes-Oxley will help you with the headline issues.

6 Communication between auditors and those charged with governance

Section overview

- Auditors have to communicate various audit-related matters to those charged with governance.
- This section summarises and builds on the important points covered by the Audit and Assurance paper at Professional Level.
- In particular there have been some recent revisions to ISA 260 relating to the audit of entities reporting on how they have applied the UK Corporate Governance Code.

6.1 Communication during the audit

Two standards are relevant here:

- ISA 260 (Revised), *Communication With Those Charged With Governance*
- ISA 265, *Communicating Deficiencies in Internal Control to Those Charged With Governance and Management*

The revisions to ISA 260 include the need to consider the implications of ISA 701 (Revised), *Communicating Key Audit Matters in the Independent Auditor's Report* and enhanced auditor reporting for all public interest entities (PIEs) and listed companies.

Definition

Governance: The term used to describe the role of persons with responsibility for overseeing the strategic direction of the entity and obligations related to the accountability of the entity. This includes overseeing the financial reporting process. Those charged with governance may include management only when it performs such functions.

6.1.1 Objectives

ISA 260 states that the objectives of the auditor are to (ISA 260.9):

(a) communicate clearly with those charged with governance the **responsibilities of the auditor** in relation to the financial statement audit and an overview of the planned scope and timing of the audit;

(b) obtain from those charged with governance **information relevant to the audit**;

(c) provide those charged with governance with **timely observations** arising from the audit that are significant and relevant to their responsibility to oversee the financial reporting process; and

(d) promote effective **two-way communication** between the auditor and those charged with governance.

The auditor must communicate audit matters of governance interest arising from the audit of financial statements with those charged with governance of an entity. The scope of the ISA (UK) is limited to matters that come to the auditor's attention as a result of the audit; the auditors are not required to perform procedures to identify matters of governance interest.

The auditor must determine the relevant persons who are charged with governance and with whom audit matters of governance interest are communicated.

The auditors may communicate with the whole board, the supervisory board or the audit committee depending on the governance structure of the organisation. To avoid misunderstandings, the engagement letter should explain that auditors will only communicate matters that come to their attention as a result of the performance of the audit. It should state that the auditors are not required to design procedures for the purpose of identifying matters of governance interest.

The letter may also do the following:

- **Describe** the **form** which any **communications** on governance matters will take
- **Identify** the **relevant persons** with whom such communications will be made
- **Identify** any **specific matters** of **governance** interest which it has agreed are to be communicated

Matters to be communicated

Matters would include:

The **auditor's responsibilities** in relation to the financial statements	Including that: • the auditor is responsible for forming and expressing an opinion on the financial statements; and • the audit does not relieve management or those charged with governance of their responsibilities.
Planned **scope and timing** of the audit	Including: • how the audit proposes to address the significant risks of material misstatement from fraud or error; • how the auditor plans to address areas of higher assessed risks of material misstatement; • the auditor's approach to internal control; • application of materiality; • the extent to which the auditor will use an auditor's expert; • when ISA 701 applies, the auditor's preliminary views about matters that may be areas of significant auditor attention in the audit and therefore may be key audit matters; and • the auditor's planned approach to significant changes in the applicable reporting framework, environment financial condition or activities. When the auditor is required or decides to communicate key audit matters ISA 260 requires that the overview of the planned scope and timing of the audit must also include communicating about the most significant assessed risks of material misstatement identified by the auditor.
Significant findings from the audit	Including: • the auditor's views about accounting policies, accounting estimates and financial statement disclosures; • significant difficulties, if any, encountered during the audit (eg, delays in provision of required information, brief time in which to complete audit, unavailability of expected information); • significant matters arising during the audit that were discussed or subject to correspondence with management;

	• written representations the auditor is requesting; • circumstances that affect the form and content of the auditor's report; and • other significant matters, including material misstatements or inconsistencies in other information that have been corrected.
Auditor independence	In the case of **listed entities** matters include: • a statement that relevant ethical requirements regarding independence have been complied with; • all relationships (including total fees for audit and non-audit services) which may reasonably be thought to bear on independence; and • the related safeguards that have been applied to eliminate/reduce identified threats to independence.

6.1.2 Communication process

The auditor must communicate with those charged with governance the form, timing and expected general content of communications.

The communication process will vary with the circumstances, including:

- the size and governance structure of the entity;
- how those charged with governance operate; and
- the auditor's view of the significance of the matters to be communicated.

For example, reports of relatively minor matters to a small client may be best handled orally via a meeting or telephone conversation.

Before communicating matters with those charged with governance the auditor may discuss them with management, unless that is inappropriate. For example, it would not be appropriate to discuss questions of management's competence or integrity with management.

Written representation should be sought from those charged with governance that explains their reasons for not correcting misstatements brought to their attention by the auditor.

6.1.3 Adequacy of the communication process

The auditor must evaluate whether the two-way communication with those charged with governance has been adequate for the purpose of the audit and, if not, must consider the effect on the assessment of the risks of material misstatement and the ability to obtain sufficient, appropriate evidence.



Interactive question 2: Reporting responsibilities

In each of the cases listed below identify to whom the auditor would initially report.

(1) The auditor has obtained evidence that the operations manager has committed a fraud against the company.

(2) The auditor has obtained evidence that the finance director has committed a fraud against the company.

(3) Disagreement with an accounting policy.

(4) The auditor is suspicious that the board of directors are involved in money laundering activities.

See **Answer** at the end of this chapter.

6.1.4 Reporting deficiencies in internal control

Auditors may also issue a report on control deficiencies to management. These reports were a key element in your earlier studies in auditing.

ISA 265, *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management* specifies a threshold of significance at which deficiencies in internal control should be communicated to those charged with governance.

Significant deficiencies in internal control are those which, in the auditor's professional judgement, are of sufficient importance to merit the attention of those charged with governance.

Matters that the auditor may consider in deciding whether deficiencies are significant include the following:

- Likelihood of the deficiencies leading to material misstatements in future
- Susceptibility to fraud of related assets and liabilities
- Subjectivity and complexity of determining estimated amounts, such as fair value estimates
- The financial statement amounts exposed to the deficiencies
- The volume of activity in the account balance or class of transactions
- The importance of the controls to the financial reporting process
- The cause and frequency of the exceptions detected
- The interaction of the deficiency with other deficiencies in internal control

Recap of key qualities of a report to management

(a) It should not **include language** that **conflicts** with the **opinion** expressed in the audit report.

(b) It should state that the **accounting system and system of internal control** were **considered only** to the **extent necessary** to **determine** the **auditing procedures** to report on the financial statements and not to determine the adequacy of internal control for management purposes or to provide assurances on the accounting and internal control systems.

(c) It will state that it **only discusses deficiencies** in the system of internal control which have **come to the auditor's attention** as a result of the **audit** and that other deficiencies in internal control may exist.

(d) It should also include a statement that the **communication is provided for use only** by **management** (or another specific named party).

(e) The auditors will usually ascertain the actions taken, including the reasons for those suggestions rejected.

(f) The auditors may encourage management to respond to the auditor's comments, in which case any response can be included in the report.



Professional skills focus: Concluding, recommending and communicating

The auditor is required to communicate their findings from the course of the audit – it is imperative that the requirements of the standards are followed or the firm could face significant problems.

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you explain what good and bad systems of corporate governance look like?
2.	Can you explain the concepts that underpin sound corporate governance?
3.	Do you understand what the BESC Corporate Governance Code includes and how it expects companies to apply it? Can you explain how this works in other countries?
4.	Do you understand the various roles played by board members including non-executive directors?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
SPV	You may be required to assess the governance practices in place across an organisation, so this question should help you learn how this can be achieved.
Hammond Brothers	Further scenario practice, this time focusing on remuneration issues and matters of a control nature.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Couvert requirement (2)	Good practice of how governance could be tested in the exam.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical references

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Self-test questions

Answer the following questions.

1 SPV

SPV is listed on the stock exchange of a central European country. The company manufactures a wide range of pharmaceutical products, including modern drugs used in preventing and treating diseases. SPV has three factories where drugs are produced and one research and development facility.

The board of directors comprises the chair/CEO, three executive and two non-executive directors (NEDs). Separate audit and remuneration committees are maintained, although the chair has a seat on both those committees. The NEDs are appointed for two and usually three consecutive four-year terms of office before being required to resign. The internal auditor currently reports to the board (rather than the financial accountant) on a monthly basis, with internal audit reports normally being actioned by the board.

There have recently been problems with the development of a new research and development facility. On a number of occasions the project has fallen behind schedule and the costs have been much greater than expected. Because of developments that have taken place elsewhere in the pharmaceuticals industry while the project was being completed, concern has been expressed that the facility cannot now represent value for money. A couple of large institutional investors have raised concerns about this, and have indicated their intention to raise the issue at the annual AGM and possibly vote against the accounts.

Throughout the project one of the non-executive directors criticised the way the project had been approved and monitored. She claimed that the board had been led by the senior managers in the research and development department and had acted as no more than a rubber stamp for what they wanted to do. She is threatening to resign at the AGM on the grounds that the board is failing to function effectively and she does not wish to be held responsible for decisions on which she has had no effective input. As a result, the other non-executive director has also raised questions about the way the board is functioning.

Requirements

1.1 Explain the main responsibilities of the board, identifying the ways in which SPV's board appears to have failed to fulfil its responsibilities.

1.2 Evaluate the structures for corporate governance within SPV, recommending any amendments you consider necessary to those structures.

2 Hammond Brothers

Hammond Brothers, a road haulage company, is likely to be seeking a stock exchange listing in a few years' time. In preparation for this, the directors are seeking to understand certain key recommendations of the major international corporate governance codes, since they realise that they will have to strengthen their corporate governance arrangements. In particular the directors require information about what the governance reports have achieved in:

- defining the role of non-executive directors;
- improving disclosure in financial accounts;

- strengthening the role of the auditor; and
- protecting shareholder interests.

Previously the directors have received the majority of their income from the company in the form of salary and have decided salary levels among themselves. They realise that they will have to establish a remuneration committee but are unsure of its role and what it will need to function effectively. The directors have worked together well, if informally; there is a lack of formal reporting and control systems both at the board and lower levels of management. There is also currently no internal audit department.

The directors are considering whether it will be worthwhile to employ a consultant to advise on how the company should be controlled, focusing on the controls with which the board will be most involved.

Requirements

2.1 Explain the purpose and role of the remuneration committee.

2.2 Explain what is meant by organisation and management controls and recommend the main organisation and management controls that Hammond Brothers should operate.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 Benefits of the BESC Corporate Governance Code (the Code) Shareholders

At its heart, the Code places great emphasis on the importance of sound governance that allows shareholders to assess how well directors have **performed** and what **value** they have created. There are numerous requirements to **engage** with shareholders (such as at formal general meetings or via the senior independent director) and policies such as those related to **remuneration** require alignment with shareholder interests.

Internal controls and risk management

Another important area for shareholders is the emphasis placed on directors evaluating and maintaining **internal control and risk management frameworks** in the business on a regular basis. While it is a statutory requirement that directors safeguard the investment of the shareholders by instituting internal controls, this additional emphasis on quality should increase shareholders' confidence in the business.

Directors' accountability

The requirements of the Code make the **directors more accountable** to the shareholders. They are subject to re-election and a performance review every year. There is transparency over executive remuneration and scope for malus and clawback in the event of the director failing to fulfil their responsibilities. The company is also asked to make disclosure in the financial statements about directors' responsibilities in relation to preparing financial statements and going concern.

Audit committee

Lastly, some people would argue that the existence of an **audit committee** will lead to shareholders having greater confidence in the reporting process of an entity.

Other users

The key advantage to other users is likely to lie in the increased emphasis on **risk management** and **internal controls**, as this will assist the company in operating smoothly and increasing visibility of operations, which will be of benefit to customers, suppliers and employees.

1.2 Voluntary code

Adherence to the BESC Corporate Governance Code is a statutory necessity.

Advantages

The BSEC Corporate Governance Code (2018) provides a strong framework for improving corporate governance practices in listed companies in Bangladesh. It enhances transparency and accountability by requiring better disclosure and clearly defining the responsibilities of the board and management.

The Code strengthens board effectiveness through the inclusion of independent directors and promotes better internal control and risk management systems. It also protects shareholders' interests, particularly those of minority shareholders, by ensuring fair treatment and stronger oversight.

Overall, the Code helps build investor confidence, reduces the risk of fraud and unethical practices, and supports the long-term sustainable growth of companies while aligning Bangladesh's corporate sector with international governance standards.

The BSEC Code, can disclose to shareholders what is being done to ensure **good corporate governance**, and what aspects of the Code are not being followed, with reasons ('comply or explain').

Disadvantages

The Code may increase compliance costs, especially for smaller companies, and can sometimes lead to a "box-ticking" approach rather than meaningful governance improvements. Challenges in finding truly independent directors may weaken oversight, while additional governance requirements can slow decision-making. Its effectiveness also depends heavily on proper enforcement and genuine commitment by companies.

Answer to Interactive question 2

Initial report

(1) The auditor would report the matter to those charged with governance (ISA 260/240).

(2) The auditor would report the matter to any other member of the board, for example the chief executive or the chair. Where there is doubt about the integrity of those charged with governance as a whole, the auditor will need to seek legal advice as to the appropriate course of action. This may include reporting to third parties eg, police or a regulatory authority (ISA 240).

(3) This would be reported to and discussed with those charged with governance (ISA 260). If the disagreement is material and is not changed, the auditors will also report to the shareholders via the modified opinion in the audit report.

(4) The auditor should report suspicions of money laundering activities to the firm's Money Laundering Compliance Principal (MLCP). The MLCP will then decide on the next appropriate step which may involve making disclosure to the local regulatory authority.

Answers to Self-test questions

1 SPV

1.1 Role of board

Each individual board of directors will take on particular tasks peculiar to their own company and these will be different from company to company. However, there are three key tasks that will be addressed by all boards of directors to one degree or another.

Strategic management

The development of the strategy of the company will almost certainly be led by the board of directors. At the very least they will be responsible for **setting the context for the development of strategy**, defining the nature and focus of the operations of the business and determining the mission statement and values of the business.

Strategic development will also consist of **assessing the opportunities and threats** facing the business, **considering, developing and screening the strategic proposals and selecting and implementing appropriate strategies.** Some or all of this more detailed strategic development may be carried out by the board, but also may be delegated to senior management with board supervision.

In the case of SPV, the board appears to have had inadequate involvement in the development of strategy. While the board may use advice from expert managers, the board should also have challenged what they provided and carried out its own analysis; possible **threats from rivals** appear to have been inadequately considered.

Control

The board of directors is ultimately responsible for the **monitoring and control** of the activities of the company. They are responsible for the financial records of the company and that the financial statements are drawn up using appropriate accounting policies and show a true and fair view. They are also responsible for the **internal controls within the business** that ensure the financial information is accurate and the assets are safeguarded.

The board will also be responsible for the direction of the company and ensuring that the managers and employees work towards the **strategic objectives** that have been set. This can be done by the use of plans, budgets, quality and performance indicators and benchmarking.

Again what has happened with the projects appears to indicate board failings. It seems that the board failed to spot **inadequacies in the accounting information** that managers were receiving about the new project, and did not ensure that **action was taken by managers to control** the overruns in time and the excessive costs that the accounting information may have identified. The board also seems to have failed to identify inadequacies in the information that it was receiving itself.

Shareholder and market relations

The board of directors has an important role externally to the company. The board is responsible for **raising the profile of the company and promoting the company's interests** in its own and possibly other marketplaces.

The board has an important role in managing its relationships with its shareholders. The board is responsible for **maintaining relationships and dialogue** with all shareholders, plus stakeholders as well. As well as the formal dialogue at the AGM many boards of directors have a **variety of informal methods** of keeping shareholders informed of developments and

proposals for the company. Methods include informal meetings, company websites, social reports and environmental reports.

The institutional shareholders' intention to vote against the accounts is normally seen as a **last resort** measure, if other methods of exercising their influence and communicating their concerns have failed. This indicates that the board has **failed to communicate effectively** with the institutional shareholders.

1.2 Suggestions for corporate governance Composition of the board

Corporate governance requirements normally indicate that the board of directors (excluding an independent chair) should comprise at least equal numbers of executive and non-executive directors. By having only two non-executive directors, SPV may not be following requirements. SPV needs to appoint at least one more non-executive director to the board.

There is also a lack of any recent or relevant financial experience amongst the non-executive directors. Corporate governance regulations normally suggest that at least one NED has financial experience so they can effectively monitor the financial information that the board is reviewing. Making the new appointee an accountant would help to fulfil this requirement.

Role of chair/CEO

Corporate governance regulations normally require that the roles of the chair (the person running the board) and the CEO (the person running the company) are split. The reason for this is to ensure that no one person has too much influence over the running of the company. The roles of chair and CEO at SPV should be split at the earliest opportunity.

Appointment and nomination committee

There does not appear to be a nomination committee for addressing succession and appointment issues. Other issues that are not clear with the current structures relate to the function and composition of SPV's existing committees. Taking the UK Corporate Governance Code as an example, the chair of the board is not normally allowed to sit on the audit committee but they can sit on the remuneration committee provided they are independent and do not chair the committee. SPV needs to ensure that this requirement is being followed.

Service contracts

Service contracts for NEDs should be for a specified term. Any term beyond nine years should be subject to rigorous review and should take into account the need for progressive refreshing of the board. The duration of contracts is limited to ensure that payments for early termination of contracts are not excessive. The reappointment provisions apply to ensure that new NEDs are being appointed as directors on a regular basis. NEDs who have been on the board for a few years may become too familiar with the operations of the company and therefore may not provide the necessary external independent check that they are supposed to do.

Service contracts need to be limited and any over nine years for NEDs (and one year for executives) should be reviewed.

Internal audit

The internal audit department usually does not report to the financial accountant, as that person may have a vested interest in not taking any action on the reports, especially where reports are critical of the accountant. In that sense, reporting to the board is acceptable.

However, the board as a whole may not have the time to review internal audit reports and may be tempted to ignore them if they are critical of the board itself. Corporate governance regulations indicate that the internal audit department should report to the audit committee with reports being forwarded to the board. This ensures that the report is heard by the NEDs, who can then ensure that internal audit recommendations are implemented where appropriate by the board.

In SPV, the internal auditor needs to report to the audit committee, for reasons already mentioned above.

2 Hammond Brothers

2.1 Purpose and role of remuneration committee

The purpose of the remuneration committee is to provide a **mechanism** for **determining** the **remuneration packages** of executive directors. The scope of the review should include not only salaries and bonuses, but also share options, pension rights and compensation for loss of office.

The committee's remit may also include issues such as **director appointments** and succession planning, as these are connected with remuneration levels.

Constitution of remuneration committee

Most codes recommend that the remuneration committee should consist entirely of **non-executive directors** with no personal financial interest other than as shareholders in the matters to be decided. In addition, there should be **no conflict of interests** arising from remuneration committee members and executive directors holding directorships in common in other companies. Within Hammond, there is a requirement to first appoint NEDs and then ensure that the remuneration committee is comprised of these individuals. The current system of the directors deciding their own salary is clearly inappropriate; there is no independent check on whether the salary levels are appropriate for the level of experience of the directors or their salary compared with other similar companies.

Functioning of remuneration committee

The UK Corporate Governance Code recommends that remuneration policy should be long term in nature and clearly linked to the successful delivery of strategy. The committee should pay particular attention to the setting of performance-related elements of remuneration. Within Hammond, the vast majority of remuneration is based on salary; there is little element of performance-related pay. Governance guidelines indicate that remuneration should be balanced between basic salary and bonuses. Hammond's remuneration committee needs to increase the bonus element of remuneration to focus directors more onto improving the performance of the company. However, conditions for receipt of performance-related remuneration should be designed to promote the long-term success of the company. Consideration should be given to the possibility of reclaiming variable components using specified malus and clawback provisions (such as misstatement or misconduct).

Reporting of remuneration committee

A **description** of the work of this committee should form part of the annual report. This description should set out **company policy** on remuneration and give details of the **packages** for **individual directors** and their **rationale**, including any **relevant metrics** used. The report should describe the extent (if any) of **shareholder engagement** with the company's remuneration policy and **workforce engagement** about how executive remuneration is aligned with the wider company pay policy.

2.2 Main concerns of board

The board's principal concern is with controls that can be classified as organisation or management.

Organisation controls

Organisation controls are designed to ensure **everyone** is **aware** of their **responsibilities**, and **provide** a **framework** within which lower level controls can operate. Key organisation controls include the following.

(1) Structure

The board should establish an **appropriate structure** for the organisation and **delegate** appropriate levels of authority to different grades.

(2) Internal accounting system

The board should ensure that the system is providing **accurate and relevant information** on a regular basis. Good quality information will enable the board to assess whether targets are being met or losses are possible.

(3) Communication

Communication of organisation **policies** and values through manuals and other guidance to staff is essential. It is not clear from the scenario whether Hammond actually has any of these controls in place; however, from the relatively informal basis in which the company has been run, it is unlikely that detailed controls have been implemented.

Management controls

Management controls are designed to **ensur**e that the **business** can be **effectively monitored**. Key management controls include the following.

(1) Monitoring of business risks on a regular basis

This should include **assessment of the potential financial impact** of contingencies.

(2) Monitoring of financial information

Management should be alert for significant variations in results between branches or divisions or significant changes in results.

(3) Use of audit committee

The committee should actively **liaise** with the external and internal auditors, and **report** on any deficiencies discovered. The committee should also regularly **review** the **overall structure** of internal control, and investigate any serious deficiencies found.

(4) Use of internal audit

Internal audit should be used as an independent check on the operation of detailed controls in the operating departments. Internal audit's work can be targeted as appropriate towards areas of the business where there is a risk of significant loss should controls fail. As there is no internal audit department at present, the board will need to establish one and define its remit.

The overall lack of controls is concerning, given the objective to obtain a listing. The directors will need to implement the recommendations of the UK Corporate Governance Code to ensure that a listing can be obtained.

Chapter 5

The statutory audit: planning and risk assessment

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Overview of the audit process

2 Audit planning

3 Professional scepticism

4 Understanding the entity

5 Business risk model

6 Audit risk

7 Creative accounting

8 Materiality

9 Responding to assessed risks

10 Other audit methodologies

11 Information technology and risk assessment

12 Data analytics, robotic process automation (RPA) and artificial intelligence (AI)

13 Task Force on Climate-related Financial Disclosures (TCFD)

Summary

Further question practice

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Evaluate and explain current and emerging issues in auditing including developments in the use of technology (eg, impact of Task Force on Climate-related Financial Disclosures, IFRS® Sustainability Disclosure Standards, big data, data analytics, artificial intelligence and blockchain)
- Appraise the entity and the potentially complex, economic environment within which it operates as a means of identifying and evaluating the risk of material misstatement
- Identify and appraise the risks, including analysing qualitative and quantitative data using data analytics software, arising from, or affecting, a potentially complex set of business processes and circumstances and assess their implications for the engagement
- Identify significant business risks (including those arising from fraud, cyber security and technological advances including cloud computing, cryptocurrencies and robotic process automation) and assess their potential impact upon the financial statements and the audit engagement
- Evaluate the impact of risk and materiality in preparing the audit plan, for example the nature, timing and extent of audit procedures
- Evaluate the components of audit risk for a specified scenario using data analytics software when appropriate, including the interactions of inherent risk, control risk and detection risk, considering their complementary and compensatory nature
- Interrogate an organisation's accounting records using data analytics software to identify audit risks and communicate with the audit team
- Show professional scepticism and management challenge in assessing the risk of material misstatement, having regard to the reliability of management
- Develop and appraise, based upon planning procedures, an appropriate audit strategy and detailed audit plan or extracts
- Analyse and evaluate the control environment for an entity based on an understanding of the entity, its operations and its processes
- Evaluate an entity's processes for identifying, assessing and responding to business and operating and governance risks as they impact on the financial statements
- Explain and evaluate the relationship between audit risk and audit evidence

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Overview of the audit process** A quick reminder of the various stages of the audit so you can track your progress through this part of the Workbook.	**Approach** Use the diagram to introduce the rest of this chapter. **Stop and think** How much of this do you remember from your previous auditing studies?	This diagram will help you to remember where you are in the audit process and what (if anything) you may still require for successful completion.	N/A
2	**Audit planning** An overview of the key auditing standards that are used during planning.	**Approach** Confirm your understanding of these standards by reference to the diagram in the previous section. **Stop and think** Can you find these standards in your auditing standards open book?	Many questions are set at the planning stage of the audit so it's important you can apply the standards to the scenario if required.	N/a
3	**Professional scepticism** The role and importance of both professional scepticism and management challenge has grown in recent years, following a number of high profile corporate casualties.	**Approach** Compare this section with the definitions of professional scepticism that you will find in both ISA 200 and the Glossary at the back of the auditing standards open book. **Stop and think** Consider which parts of the audit are most likely to require the greatest amounts of professional scepticism and management challenge.	You can expect to see scenarios that will require you to display professional scepticism when analysing the key issues.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
4	**Understanding the entity** You need to understand an entity properly in order to be able to assess risks of misstatements within the financial statements effectively.	**Approach** Through reading both this section and the contents of ISA 315, you should be able to start identifying issues that could lead to some form of misstatement. Note how various industries and processes affect your understanding. **Stop and think** Use the worked example to see this working in practice.	This section demonstrates the need to treat all information in a given scenario holistically in order to build a fuller picture of the entity and all the risks it presents.	N/A
5	**Business risk model** As well as being part of sound governance, business risks can be used to understand the areas of the financial statements at greatest risk of being misstated.	**Approach** Consider business risks and how they could impact on the financial statements. **Stop and think** Can you explain why this is not the same as audit risk but can still be helpful when identifying areas of audit risk?	You will need to be on the lookout for various situations that could create misstatement of some kind.	**IQ1: Financial risk** A short illustration of the connection between these two types of risk. **IQ2: Audit procedures** Great practice for interrogating a scenario and considering the implications of your findings. **IQ3: Identifying business risks** Further practice of how the business risk approach is used to consider the impact of certain business issues on the audit.
6	**Audit risk** A comprehensive background of the	**Approach** Review this content with your previous	You may find it helpful to consider the separate components of	**IQ4: Inherent risks from financial reporting policies**

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	elements that go into the assessment of audit risk.	studies in mind and focus on how you would apply this knowledge in a more complex scenario. **Stop and think** Note how practical the approaches in this section are.	audit risk (inherent, control and detection) in structuring your answer.	A useful starting point in explaining inherent risk. **IQ5: Audit risk** A more detailed scenario which will help you understand how to identify and explain audit risks in an exam situation.
7	**Creative accounting** This is one of the bigger risks that can have a significant effect on a set of financial statements, yet it can also be one of the hardest to detect.	**Approach** Consider each of the causes and consequences of creative accounting. **Stop and think** Note how a strong sense of professional scepticism would help identify cases of creative accounting.	Taking the list of red flags as an example, you should be prepared to look for illustrations of these factors in a scenario as they are likely to have been inserted specifically for the purpose of implying that there is something more sinister buried.	N/A
8	**Materiality** This is what gives the auditor an indication of the things that really matter, both at planning and in subsequent parts of the audit. Remember that it is not always a number that determines materiality!	**Approach** This section is largely revision from your previous auditing studies but still requires your attention. **Stop and think** Note the levels of materiality used in some of the worked examples.	While you can always calculate the materiality levels to be used in an exam question based on certain thresholds, don't forget the specific circumstances in the scenario that could mean other items are still worthy of your audit focus.	**IQ6: Materiality (1)** An assessment of your ability to calculate the appropriate level of materiality. **IQ7: Materiality (2)** A more complex example of the amount that should be used to determine materiality.
9	**Responding to assessed risks**	**Approach** Make sure you can	Make sure you consider audit	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	Once audit risk has been assessed, the auditor needs to decide what to do next.	differentiate between risks that affect the financial statements overall and those at the assertion level only. **Stop and think** You will need to consider the evidence required from this evaluation.	procedures that are suitable and based on the assessed risks.	
10	**Other audit methodologies** In addition to the risk methodologies covered in this chapter, there are other approaches that the auditor can use.	**Approach** Work through each of these three audit methodologies. **Stop and think** Can you remember which methodologies support substantive testing as opposed to testing controls?	You should be prepared to consider a variety of audit approaches and must be led by the detail provided in the scenario.	N/A
11	**Information technology and risk assessment** Most organisations rely on some form of information technology to support their business operations. It is essential that auditors factor this into their audit planning.	**Approach** Review the content in this section paying particular attention to the terminology used. **Stop and think** Are there elements of this technology that you or your employer make use of?	Questions in this area tend to require that you advise a client on something of a technical nature, so it is essential that you can identify what the technology is and how it should be used, being alert to the advantages and disadvantages.	N/A
12	**Data analytics, robotic process automation (RPA) and artificial intelligence (AI)** Technology is fast becoming the next frontier for auditors as business	**Approach** Once you have read this section, start to consider how technology could improve the audit but at the same time, what risks the use of technology might also bring.	This is becoming an increasingly challenging area to examine as the pace of change is relentless. However, you should consider the use of technology in the	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	processes are increasingly becoming more automated. Audit quality is the ultimate winner, but it requires significant investment to reap the promised benefits.	**Stop and think** How can you use technology to improve the quality of the audit?	audit (especially data analytics software) and how it can be leveraged to improve audit quality.	
13	**Task Force on Climate-related Financial Disclosures (TCFD)** The UK has adopted a framework that will support the disclosure of ESG issues in annual reports. You need to know what this framework is and how it works.	**Approach** There is a lot to learn but try and think of it from the perspective of both preparers and users of corporate information. **Stop and think** How difficult would you expect the provision of such information to be for an organisation? How would they go about disclosing such information?	This is also an emerging area but given the increasing focus on ESG issues, you should have something to say if asked about the requirements for such disclosures and what (if any) progress is being made on providing assurance on these disclosures.	N/A

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Overview of the audit process

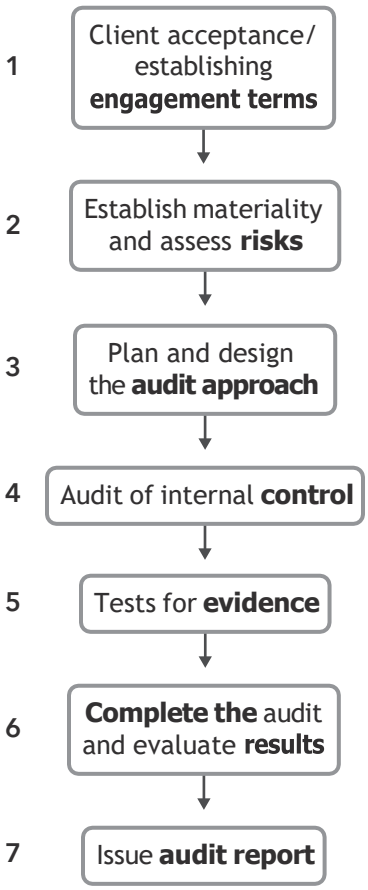
Section overview

The audit is designed to enable the auditor to obtain sufficient, appropriate evidence.

1.1 Overview

While there may be variations between specific procedures adopted by individual firms, the audit process as set out in auditing standards is a well-defined methodology designed to enable the auditor to obtain sufficient, appropriate evidence.

This process can be summarised in a number of key stages: Figure 5.1: Summary of audit process



In this chapter we will consider stages 1 to 4. In Chapter 6 we will consider stage 5, and in Chapter 8, stages 6 and 7. However, it is important not to view the audit as a series of discrete stages and individual audit procedures. For example, it can be argued that all audit procedures which provide evidence are risk assessment procedures whether they are conducted during planning, control evaluation, substantive testing or completion. The audit process will adopt a strategy where complementary evidence is acquired and evaluated from a range of sources. The process is repeated until the auditor has obtained sufficient, appropriate audit evidence which is adequate to form an opinion.

2 Audit planning

Section overview

You should be familiar with the basic planning process.

2.1 Introduction

Auditors are required to plan their work to ensure that attention is paid to the correct areas of the audit, and the work is carried out in an effective manner.

In order to produce this plan the auditor must do the following:

- Understand the business, its control environment, its control procedures and its accounting system
- Assess the risk of material misstatement
- Determine materiality
- Develop an audit strategy setting out in general terms how the audit is to be carried out and the type of approach to be adopted
- Produce an audit plan which details specific procedures to be carried out to implement the strategy taking into account all the evidence and information collected to date

You have already covered planning and risk assessment issues in your earlier studies. The relevant ISAs are:

- ISA 210, *Agreeing the Terms of Audit Engagements*
- ISA 300, *Planning an Audit of Financial Statements*
- ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement*
- ISA 320, *Materiality in Planning and Performing an Audit*
- ISA 330, *The Auditor's Responses to Assessed Risks*

A number of issues are developed in the remainder of this chapter; however, it is assumed that you are already familiar with the basic principles of planning and risk assessment. A summary of these and other related ISAs can be found in the technical references section at the end of the chapter.

3 Professional scepticism

Section overview

The auditor must maintain an attitude of professional scepticism throughout the audit.

3.1 Requirement

Definition

Professional scepticism: An attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence.

Professional scepticism includes being alert to:

- audit evidence that contradicts other audit evidence;
- information that brings into question the reliability of documents and responses to enquiries to be used as audit evidence;
- conditions that may indicate possible fraud; and
- circumstances that suggest the need for audit procedures in addition to those required by the ISAs.

ISA 200, *Overall Objectives of The Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing* requires that the auditor 'shall plan and perform an audit with professional scepticism recognising that circumstances may exist that cause the financial statements to be materially misstated'. Maintaining professional scepticism throughout the audit reduces the risks of overlooking unusual circumstances, overgeneralising when drawing conclusions and using inappropriate assumptions in determining the nature, timing and extent of the audit procedures and evaluating the results. ISA 200 also makes the following points:

(a) The auditor may accept records and documents as genuine unless there is reason to believe the contrary. Where there is doubt, for example where there are indications of possible fraud, the auditor must investigate further and determine whether to modify or increase the audit procedures.

(b) A belief that management and those charged with governance are honest and have integrity does not relieve the auditor of the need to maintain professional scepticism.

The same points are reiterated in ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*. This standard emphasises that where there are potential fraud issues the auditor's professional scepticism is particularly important when considering the risks of material misstatement.

3.2 Importance of professional scepticism

The importance of professional scepticism cannot be overemphasised. An effective and compliant audit cannot be carried out without it.

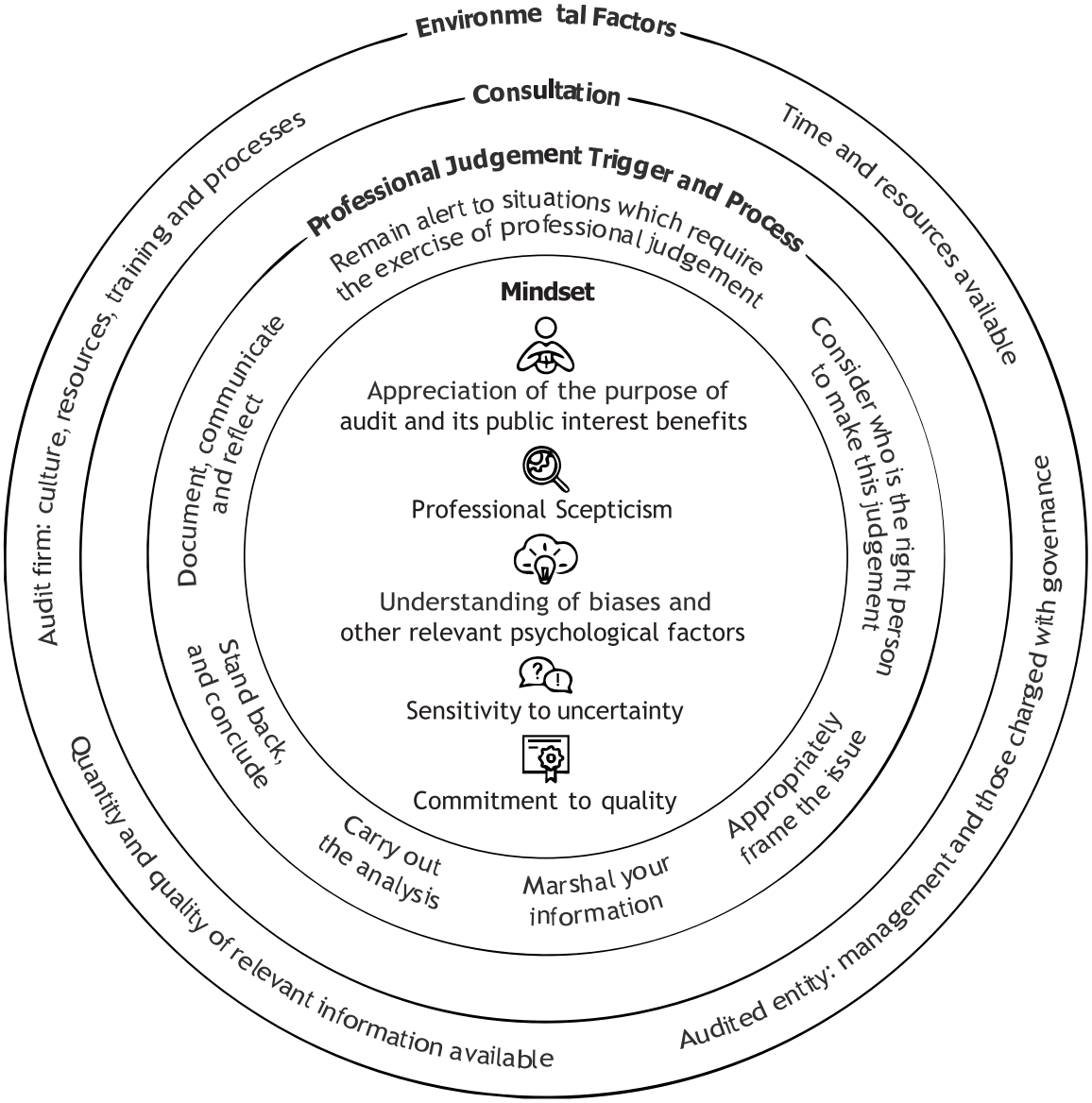
Given that it is fundamental that professional scepticism is applied for all audits of financial statements, the audit engagement partners of audit firms must lead by example and firms should ensure that professional scepticism is given the degree of prominence it warrants during the training of audit staff.

Following the global financial crisis in 2008 and 2009 a common theme in a number of regulator reports was that professional scepticism could have been more clearly demonstrated by auditors when looking at a number of audit areas. It continues to be at the top of the agenda for regulators and standard setters, including the IAASB in their 2018 update of the IESBA Code of Ethics as well as the FRC, whose response to this 2018 update cited the need for 'a global debate to focus on what actions, key characteristics and behaviours are required on the part of a practitioner to ensure the application of appropriate professional scepticism in a way that will meet the expectations of users of information' (FRC, 2018).

This section has dealt with the theoretical background of professional scepticism and the use of professional scepticism in an audit planning context. We will look at professional scepticism again in the more practical context of audit fieldwork in Chapter 6.

3.3 *Importance of management challenge*

In June 2022, the UK FRC published its Professional Challenge Framework which is illustrated by the following diagram:



This framework consists of four main components:

- ***Mindset** – An appropriate mindset for auditors exercising professional judgement;*
- ***Professional Judgement Trigger and Process** – A suggested professional judgement process, together with a reminder to remain alert to situations which may require professional judgement;*
- ***Consultation** – Effective communication with a range of relevant parties; and,*
- ***Environmental Factors** – Factors that may be present in the environment of those making a judgement, that can impact on how challenging it is to exercise professional judgement in an appropriate manner.*

The importance of demonstrating adequate levels of professional scepticism and management challenge can be seen from a selection of enforcement investigations conducted by the FRC.

In relation to the audits carried out in 2014, 2015 and 2016, the FRC concluded that UK construction firm Carillion's auditors ***KPMG****:*

"…failed to conduct its audit work with an adequate degree of ***professional scepticism****. Instead of consistently* ***challenging*** *and scrutinising such audit evidence as it gathered, KPMG failed to subject Carillion's management's judgements and estimates to effective scrutiny, even where those judgements and estimates appeared unreasonable and/or appeared to be inconsistent with accounting standards and might suggest potential management bias."*

The company's final audit opinion was issued by KPMG in March 2017; later that year, Carillion issued a profits warning and in 2018 the company was liquidated. Following a lengthy investigation by the FRC, in 2023 KPMG was fined £21 million and two partners were sanctioned for their part in the audit.

There are examples of similar sanctions that have been handed out by the FRC.

PwC *were fined £2 million in 2023 as a result of failures in the 2018 audit work conducted on UK haulage firm Eddie Stobart Logistics plc (ESL) for:*

> *"…failures in relation to the audit work on ESL's property transactions, including a failure to identify revenue recognition on those transactions as a significant risk of material misstatement; failing to carry out a formal consultation on the technical aspects of accounting for these transactions; a* ***lack ofchallenge*** *of management's selection of accounting policy; and a* ***lack of professional judgement*** *in their work on the transactions."*

In 2019, ESL was forced to restate some of its previously issued financial statements and had to seek emergency funding later that year to continue trading.

EY *were fined £2.2 million in 2021 for their audit of the transport company Stagecoach Group plc for serious deficiencies arising from:*

> *"…the* ***lack of sufficient evaluation and challenge*** *of the work of management's and the Respondents' respective experts, and the associated* ***lack of proper challenge of management*** *about material assumptions underlying the Financial Statements."*

Deloitte *were fined £1.45 million in 2022 for their audit work on facilities company Mitie Group plc. The FRC's report stated the following:*

> *"Recoverability of the goodwill in the Healthcare Division was identified by Deloitte as a significant risk for the Audit and was also identified in the audit report as one (of two) assessed risks of material misstatement… Despite being aware of the significant risk, the Respondents failed to obtain sufficient audit evidence to gain appropriate comfort regarding the future cashflows and the discount rate used in the impairment model… (and)* ***failed to exercise sufficient professional scepticism****."*

From this evidence, it should come as no surprise that in November 2022, the FRC published a second document called ***What makes a good… Environment for Auditor Scepticism and Challenge****. The foreword to this paper starts with the following:*

> *"High-quality auditing is about having the right mindset and behaviours as well as having technical skills and expertise. A critical attribute of an auditor's mindset and behaviour is exercising professional scepticism and challenge when performing audits. The most significant quality issues identified by the Financial Reporting Council (FRC) over a number of years involve the inconsistent application of professional scepticism and challenge, resulting in the poor application of professional judgement. Displaying this mindset and behaviour forms the foundation of a high-quality audit."*

In order to support the achievement of this, the FRC recommended a series of elements that it concluded were necessary to create an environment where scepticism and challenge could flourish (the first row indicates what auditors need and the second row suggests how this could be achieved):

(1) Learning environment	*(2) Culture*	*(3) Audit firm operating model*	*(4) Ecosystem*
Auditors are equipped with the knowledge and skills of professional scepticism and challenge.	*Displaying the behaviours of professional scepticism and challenge are encouraged by the audit firm.*	*Auditors are enabled to apply the behaviours of professional scepticism and challenge when performing audit work.*	
Through the professional qualification and ongoing learning and development throughout an auditor's career.	*Through the firm setting out clear behaviours expected of auditors, the firm having a culture that promotes these behaviours and the elimination of barriers to exercising these behaviours.*	*Through appropriate resources and processes at the audit firm (including specialists, experts and technical support) and management and those charged with governance (primarily audit committees) at the audited entities supporting these behaviours.*	

(FRC 2021, 2022, 2023)

Worked example: How to display professional scepticism and management challenge

You are an audit senior undertaking planning and risk assessment activities for the audit of Confront Ltd, a UK-based retailer of tennis equipment.

You have obtained the following extracts from the draft financial statements of the company for the year of audit:

Extracts from statement of profit or loss

	Year to 31 December 20X5 (Draft £m)	*Year to 31 December 20X4 (Actual £m)*
Revenue	*72.2*	*63.1*
Cost of sales	*41.1*	*44.8*
Gross profit	*31.1*	*18.3*
Operating expenses	*18.1*	*7.2*
Operating profit	*13.0*	*11.1*

Explanatory notes supplied by management

Results are favourable compared to 20X4.

No change in the way the company operates but there has been a focus on cost control. Some pressure from suppliers to raise their prices which has led to our own price increases. Improved sales of non-branded equipment where margins tend to be higher.

Extracts from statement of financial position

	Year end 31 December 20X5	***Year end 31 December 20X4***
	(Draft £m)	***(Actual £m)***
PPE	*178.0*	*78.0*
Goodwill	*22.4*	*12.4*
Cash	*(1.5)*	*12.1*
Bank loan	*38.3*	*15.6*

Explanatory notes supplied by management

The company has invested £100 million in a state-of-the-art information system to support the company's recent expansion into online sales. This is to be recognised over the course of its useful life (5 years); after such time it is likely to be replaced.

Goodwill in the group's subsidiaries has been increased to reflect the likely change in the sales mix that the business is starting to see from moving online.

The company's cash position has been temporarily affected by the new information system but this is not expected to continue beyond the middle of 20X6.

Requirement

Using the extracts from the draft financial statements of Confront Ltd and the explanatory notes supplied by management, identify the areas of audit planning where professional scepticism and management challenge should be displayed.

Solution

Statement of profit or loss extracts

On first viewing, these results appear plausible: revenue has risen by 14% and operating profit has risen by 17%, reflecting the increase in sales for items with a higher margin.

However, further analysis of the company's draft results for the year shows some anomalies that would need to be investigated:

- *Gross margin has increased from 29% to 43% but operating margin has stayed constant at 18% for both years. Cost of sales has fallen by 8% but operating expenses have risen by 151%.*
- *Taken together, this suggests that total costs have stayed the same (82% of revenues) and that an amount of operating expenses may have been misclassified within cost of sales.*
- *Assuming it is just a case of misclassification, this suggests that management's contention that costs are being controlled and that the sales mix has changed may not be accurate and should therefore be challenged.*

Statement of financial position extracts

There are a number of 'red flags' here:

- *The new information system does not appear to have been depreciated as the £100 million increase in PPE is the same as the amount it is claimed to have cost. In addition, it does not appear as though any depreciation has been reflected in the statement of profit or loss as operating expenses (already considered to be overstated at £18.1 million) are lower than the (£100 million ÷ 5 years) = £20 million amount of depreciation that would be due. There are also questions over how this £100 million investment could have been financed (see below).*
- *The increase in goodwill appears to be a round sum of £10 million attributable to the switch to online sales. This appears to be an arbitrary sum and may not be based on anything that can be justified so should be challenged.*
- *In addition to the amounts included here, the switch to online sales would be considered a significant development but management has stated that there is "no change in the way the company operates" which is inconsistent and should also be challenged.*
- *The increased bank loan and the shift from cash at bank to bank overdraft does not appear to be sufficient to finance the new information system, leading to further questions over how this has been financed and whether it has been accurately reflected in the financial statements.*
- *From the limited information supplied, the deterioration in both cash and gearing appears to be at odds with management's contention that costs are being controlled and higher-margin items are being sold, leading us to question the validity of this information (and possibly to challenge management on their perception that things will be sorted by the middle of next year). There may even be issues surrounding the company's going concern status that should be discussed with the management of Confront.*

Tutorial Note

This scenario is contrived but it has been specifically presented here to demonstrate the importance of being sceptical of what you are being told and challenging management under such circumstances. You need to remember to always be alert to the possibility that things might not be what they claim to be.

4 Understanding the entity



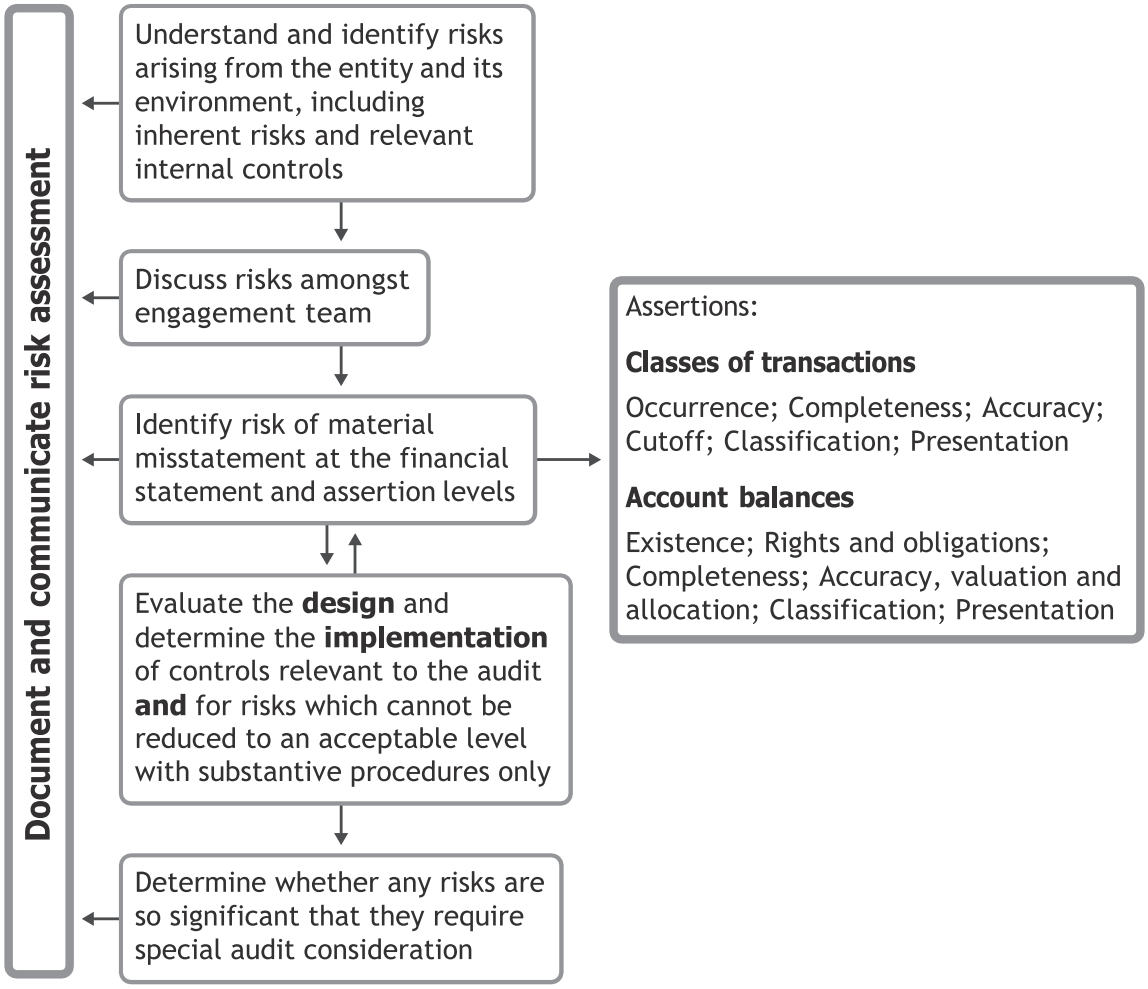
Section overview

- The auditor obtains an understanding of the entity in order to assess the risks of material misstatement.
- Information will be sought regarding the industry in which the business operates and the different business processes within the entity itself.
- Auditors should be aware of the concept of scalability when assessing risk for entities of different sizes and complexities.

4.1 Procedures

ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement* paragraph 11 states that: "the objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels thereby providing a basis for designing and implementing responses to the assessed risks of material misstatement".

Figure 5.2: Audit risk assessment



(Source: ICAEW Audit and Assurance Faculty (2004) *Auditing Standards – All Change: A Short Guide to Selected International Standards on Auditing (UK and Ireland) adapted for standards updated since 2004*)

ISA 315 (Revised) sets out various methods by which the auditors may obtain this understanding as part of their risk assessment:

- **Enquiries of management** and others within the entity (including internal audit if appropriate)
- **Analytical procedures**
- **Observation** and **inspection**
- Audit team **discussion** of the applicable financial reporting framework and the susceptibility of the financial statements to material misstatement

- **Prior period knowledge** (subject to certain requirements) and engagement-specific matters related to acceptance and continuance

The auditors must use a combination of the top three techniques, and must engage in discussion for every audit. The auditor may use their prior period knowledge, but must carry out procedures to ensure that there have not been changes in the year meaning that it is no longer valid.

The ISA sets out a number of areas of the entity and its environment that the auditor should gain an understanding of. These are summarised as follows:

- Industry, regulatory and other external factors
- Nature of the entity
- The applicable financial reporting framework and the entity's selection and application of accounting policies, including reasons for any changes
- Measurement and review of the company's performance
- Inherent risk factors and the impact they have at both assertion and financial statement level
- Internal controls relevant to the audit (including the use of technology)

The purpose of obtaining the understanding is to **assess the risks of material misstatement** in the financial statements for the current audit. The ISA says that the auditor shall identify and assess the risks of material misstatement at the financial statement level, and in line with ISA 330 (effectively responding to assessed risks at the assertion level).

The approach that the auditor is required to take can be summarised by the following steps:

Step 1 Identify risks throughout the process of obtaining an understanding of the entity

Step 2 Evaluate whether the risks relate pervasively to the financial statements as a whole

Step 3 Relate the risks to what can go wrong at the assertion level

Step 4 Consider the likelihood of misstatement (including the possibility of multiple misstatements)

Step 5 Consider the likelihood of the risks causing a material misstatement

Notice therefore that the stages of the planning process often take place simultaneously rather being performed in sequence. For example, as the auditor learns more about the business, certain risks will come to light as a result. So the auditor is both gaining an understanding of the business and identifying risk by adopting the same procedures. We will look at risk specifically in sections 5 and 6 of this chapter.



Context example: Ockey Ltd

The audit team at Ockey Ltd has been carrying out procedures to obtain an understanding of the entity. In the course of making enquiries about the inventory system, they have discovered that Ockey Ltd designs and produces tableware to order for a number of high street stores. It also makes a number of standard lines of tableware, which it sells to wholesalers. By the terms of its contracts with the high street stores, it is not entitled to sell unsold inventory designed for them to wholesalers. Ockey Ltd regularly produces 10% more than the high street stores have ordered, in order to ensure that they meet requirements when the stores do their quality control check. Certain stores have more stringent control requirements than others and regularly reject some of the inventory.

The knowledge above suggests two risks, one that the company may have obsolescent inventory, and another that if its production quality standards are insufficiently high, it could run the risk of losing custom.

We shall look at each of these risks in turn and relate them to the assertion level.

Inventory

If certain items of the inventory are obsolescent due to the fact that it has been produced in excess of the customer's requirement and there is no other available market for the inventory, then there is a risk that inventory as a whole in the financial statements will not be carried at the appropriate value. Given that inventory is likely to be a material balance in the statement of financial position of a manufacturing company, and the value could be up to 10% of the total value, this has the capacity to be a material misstatement.

The factors that will contribute to the likelihood of these risks causing a misstatement are matters such as:

- whether management regularly review inventory levels and scrap items that are obsolescent;
- whether such items are identified and scrapped at the inventory count; or
- whether such items can be put back into production and changed so that they are saleable.

Losing custom

The long-term risk of losing custom is that in the future the company will not be able to operate (a going concern risk). It could have an impact on the financial statements, if sales were disputed, revenue and receivables could be overstated; that is, not carried at the correct value. However, it appears less likely that this would be a material problem in either area, as the problem is likely to be restricted to a few customers, and only a few sales to those customers.

Again, review of the company's controls over the recording of sales and the debt collection procedures of the company would indicate how likely these risks to the financial statements are to materialise.

Some risks identified may be **significant risks** (indicated by the following factors), in which case they present **special audit considerations** for the auditors:

- Risk of **fraud**
- Its relationship with **recent developments**
- The degree of **subjectivity** in the financial information
- The fact that it is an **unusual** transaction
- It is a significant transaction with a **related party**
- The **complexity** of the transaction

Routine, non-complex transactions are less likely to give rise to significant risk than unusual transactions or matters of director judgement because the latter are likely to have more management intervention, complex accounting principles or calculations, greater manual intervention or lower opportunity for control procedures to be followed.

When auditors identify a significant risk, if they have not done so already, they should evaluate the design and implementation of the entity's controls in that area.

4.2 Industries and processes

During the initial planning phase, the audit firm will need to obtain information about the specific nature of the entity being audited and the different business processes within the entity itself.

4.2.1 Industry

The type of entity being audited will have a significant impact on the audit plan. For example:

Service industry	Manufacturing industry
Little or no inventory	Complex costing systems to allocate costs to inventory and work in progress
Focus on salaried employees	Many production staff based paid on hours worked including various overtime and incentive schemes
Payment by commission	May have payment by piece rates
Sales dependent on services provided	Sales dependent on products sold
Relatively little investment in plant and equipment; office space main building cost	Large investment in plant and equipment; office space relatively small in comparison to production facilities

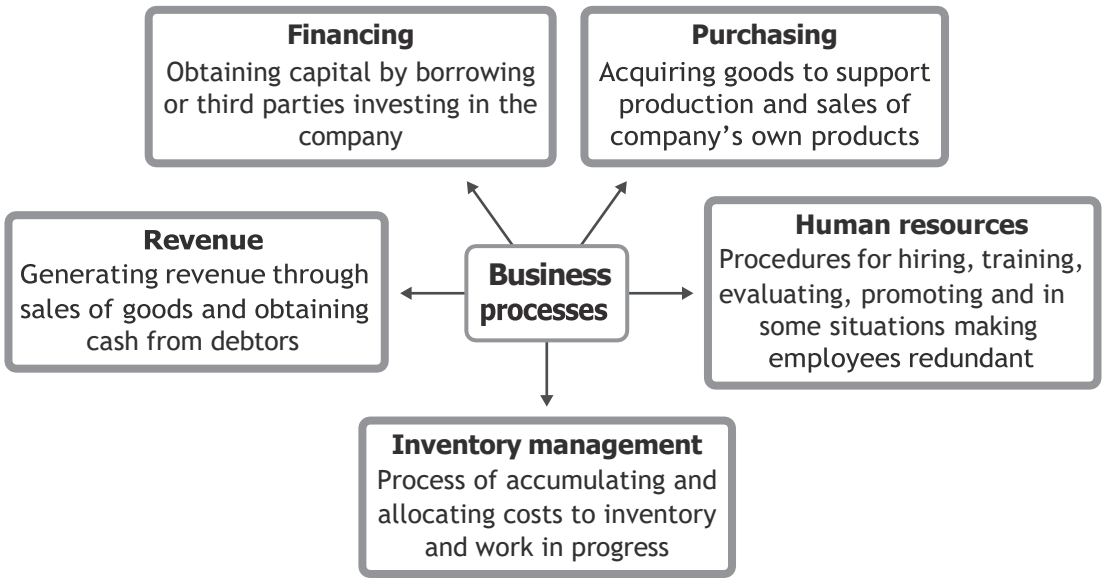
An understanding and appreciation of these differences will assist the auditor in identifying risk areas and in developing an appropriate audit approach.

From the auditor's point of view, the different entities will result in a different audit approach for each entity. For example, the lack of inventory in service industries will obviously mean less time will be devoted to that area. Conversely, the use of complicated costing systems will require use of specialist computer-auditors to identify, record and test various computerised systems.

4.2.2 Business processes

From the comments above, it is possible to identify the different business processes that the auditor will need to focus on. The five main processes are summarised in the diagram below.

Figure 5.3: Business processes



An understanding of each process focuses the auditor's attention on specific parts of the business.

Process	Audit focus
Financing	Verification of new share issues / confirming current account and loan balances and where necessary bank support for the business.
Purchasing	Audit of the purchases transaction cycle and payables balance.
Human resources	Audit of wages and salaries, including bonuses linked to production and commission on sales.
Inventory management	Audit of work in progress systems, including year-end inventory valuation and identification of inventory below cost price.
Revenue	Audit of sales transaction cycle and receivables balance.

The actual audit approach will depend partly on the audit methodology used.

Professional skills focus: Assimilating and using information

Scenarios are usually long and complex but will usually contain all the information you require to evaluate audit risk. Understanding the entity is therefore a process that takes time to master, but eventually helps you build up a better overall view of an organisation.

4.3 Scalability

ISA 315 (Revised) reminds auditors of the concept of scalability.

Definition

Scalability: Auditors should apply the requirements of an ISA to all entities regardless of their complexity, nature and circumstances.

What this means is that ISA 315 (Revised) should be applied to all entities regardless of their size or complexity – small entities with poor systems of control might still be complex and therefore risky, while larger entities with robust systems of internal control might actually be considered less risky.
There should be no preconceptions.

4.4 Standing back

In line with other ISAs there is also a need for the auditor to constantly assess the evidence that is being uncovered as the audit engagement unfolds: should this indicate contradictory to initial assessments, suitable action should be taken, either escalating or diminishing audit effort as appropriate, on an iterative basis.

5 Business risk model

Section overview

- Business risk is the risk arising to the business that it will not achieve its objectives.
- Corporate governance guidelines emphasise the importance of risk management processes within a business.
- The business risk model of auditing requires the auditor to consider the entity's process of assessing business risk and the impact this might have in terms of material misstatement.

5.1 Business risk

Business risk is the risk arising to entities that they will not achieve their objectives. It includes risks at all levels of the business.

Business risks can be classified into three categories.

(a) **Financial risks**

(b) **Operating risks**

(c) **Compliance risks**

Definitions

Financial risks: Risks arising from the company's financial activities (eg, investment risks) or the financial consequences of operations (eg, receivables risks).

Examples: going concern, market risk, overtrading, credit risk, interest rate risk, currency risk, cost of capital, treasury risks.

Operating risks: Risks arising from the operations of the business.

Examples: loss of orders; loss of key personnel; physical damage to assets; poor brand management; technological change; stock-outs; business processes unaligned to objectives.

Compliance risks: Risks arising from non-compliance with laws, regulations, policies, procedures and contracts.

Examples: breach of company law, non-compliance with accounting standards; listing rules; taxation; health and safety; environmental regulations; litigation risk against client.

The General Data Protection Regulation could also be included here, although compliance is just as important for auditors as it is for their clients.

Business risk may be caused by many factors, or a combination of factors, including the following:

- Complex environment
- Dynamic environment
- Competitors' actions
- Inappropriate strategic decision-making
- Operating gearing
- Financial gearing
- Lack of diversification

- Susceptibility to currency fluctuations
- Inadequate actual or contingent financial resources
- Dependence on one or few customers
- Regulatory change or violation
- Adequacy and reliability of suppliers
- Overtrading
- Developing inappropriate technology
- Macroeconomic instability
- Poor management

5.2 Business risk management

Most working environments now have some form of risk management system. In Chapter 4 we discussed the Corporate Governance Code and the *Guidance on risk management, internal control and related financial and business reporting* that highlight its importance. Typically the process of risk management for the business is as follows:

- Identify significant risks which could prevent the business achieving its objectives
- Provide a framework to ensure that the business can meet its objectives
- Review the objectives and framework regularly to ensure that objectives are met

In practice, each of these stages is complex

5.3 Audit methodology: business risk model

5.3.1 Principle behind the model

ISA 315 (Revised) requires that auditors consider the **entity's process for assessing its own business risks**, and the impact that this might have on the audit in terms of material misstatements. Auditors consider the following:

- What factors lead to the problems which may cause material misstatements
- What the audit can contribute to the business pursuing its goals

The business risk audit approach tries to mirror the risk management steps that have been taken by the directors. In this way, the auditor will seek to establish that the financial statement objectives have been met, through an investigation into whether all the other business objectives have been met by the directors.

The application of the business risk model (BRM) is therefore related to the client's:

- objectives
- business strategy
- risk management procedures
- industry environment
- economic environment

This approach to the audit has been called a **top down approach** because it starts with the business and its objectives and works back down to the financial statements, rather than working up from the financial statements which has historically been the approach to audit involving detailed tests of transactions and balances. The BRM therefore looks at the 'big risks' that may significantly threaten the valuation, profitability or even the going concern of the business. Those who support this approach argue that the key audit risks are more likely to relate to the failure of the company's strategy than the misstatement of a transaction.

The following table demonstrates the way in which business risks can have implications for the financial statements and therefore the audit.

Principal risk	Immediate Financial Statement implications
Economic pressures causing reduced unit sales and eroding margins	Inventory values (IAS 2) Going concern
Economic pressures resulting in demands for extended credit	Receivables recoverability
Product quality issues related to inadequate control over supply chain and transportation damage	Inventory values – net realisable value and inventory returns
Customer dissatisfaction related to inability to meet order requirements	Going concern
Customer dissatisfaction related to invoicing errors and transportation damage	Receivables valuation
Unacceptable service response call rate related to poor product quality	Going concern Litigation – provisions and contingencies Inventories – net realisable value
Out of date IT systems affecting management's ability to make informed decisions	Anywhere
Extensive use of freelance and contract labour resulting in issues regarding their employment status	Employees' NI (may be understated if freelancers/contract workers are deemed to be employees) Fines – provisions and contingencies



Interactive question 1: Financial risk

On 1 January 20X8 a steel production company has significant steel inventories with a total value of £20 million.

To protect the inventory from changes in value, the entity enters into a futures contract on a commodities exchange to fix the selling price in 18 months' time. This is the first time that the entity has entered into this type of transaction.

Requirements

1.1 Identify the business risk in this situation.
1.2 Identify the issues which the auditor would need to consider.

See **Answer** at the end of this chapter.

5.3.2 Impact on audit procedures

This can be summarised as follows:

Audit procedure	Effect of business risk model
Tests of controls	As the auditor pays greater attention to the high level controls used by directors to manage business risks, controls testing will be focused on items such as the control environment and corporate governance rather

Audit procedure	Effect of business risk model
	than the detailed procedural controls tested under traditional approaches.
Analytical procedures	Analytical procedures are used more heavily in a business risk approach, as they are consistent with the auditor's desire to understand the entity's business rather than to prove the figures in the financial statements.
Detailed testing	The combination of the above two factors, particularly the higher use of analytical procedures, will result in a lower requirement for detailed testing, although substantive testing will not be eliminated completely.



Interactive question 2: Audit procedures

You are using the business risk model in the statutory audit of a major international pharmaceutical company.

You are told that the key determinant of profitability is the development of new types of drug, which are superior to those of competitors. This is achieved by significant investment in research and development (R&D). However, you are also informed that such drugs may take as many as 10 years before gaining regulatory approval for use. One major R&D project is a joint venture with another pharmaceutical company.

Requirement

Outline:
(1) the key risks facing the company
(2) controls that management might use to mitigate such risks
(3) audit procedures to be carried out in respect of such risks

See **Answer** at the end of this chapter.



Interactive question 3: Identifying business risks

KidsStuff Ltd imports children's toys from a supplier in the Far East into its warehouse in Liverpool and distributes them to retailers throughout the UK. The company was set up by Joseph Cooper 40 years ago and is managed by Joseph and his two sons. The company had experienced reasonable growth until the last five years, but recent performance has been poor and the company now relies on a substantial overdraft. Joseph feels that the decline is due in part to the competitiveness of the market and the trend towards computer games. KidsStuff Ltd does not have a strong market presence in this area but this is currently being addressed by Joseph's son, Neil, who is confident that performance has improved.

You have received the following email from the engagement partner.

To: Audrey Senior

From: Allan Partner

Subject: KidsStuff Ltd

I know you are about to start work on your planning of this audit. Can you make sure that you specifically identify the business risks faced by KidsStuff Ltd and set out the effect of those on the audit. Can you also make a list of the further information you need in order to plan the audit so that I can request it from the directors?

Requirement

Respond to the engagement partner's email.

See **Answer** at the end of this chapter.



Context example: How ESG issues could present significant business risks

You have already seen how sustainability and climate-related risks and opportunities could affect an entity and how it might not be able to achieve its goals and objectives. Such risks could therefore be considered business risks.

*We also need to be able to differentiate between **physical risks** (such as the impact on agricultural harvests of adverse weather conditions) and **transition risks** (the cost of converting existing power sources into more sustainable sources of energy, such as switching from coal-fired to renewables).*

*The motor industry is at a crossroads due to its dependence on oil for the petrol and diesel still used in most vehicles. The need to investigate alternative sources of power due to the need to limit carbon emissions represents both a **physical risk** (finite supplies of oil) and a **transition risk** (how to switch from internal combustion engines to a more sustainable source such as electricity or hydrogen).*

*Some companies have embraced the opportunities presented by these transition risks: **Jaguar Land Rover** has committed to becoming an all-electric car manufacturer by the year 2025.*

Others are less keen: although Ferrari is planning to launch an all-electric supercar towards the end of 2025, the company's head was quoted as saying it would be very arrogant to impose a choice on its customers and will continue to build petrol-engine powered cars in order to build on what it considers to be its heritage. Other supercar manufacturers are sceptical that supercars will be able to go all-electric due to the weight of the batteries necessary to generate the power required for such a vehicle. Assuming there can be agreement on this, the capacity to manufacture electric vehicles is still dependent upon the scalable supply of affordable batteries, which at the time of writing is concentrated in only a few markets. All of this comes amid the news that from 2035, all new cars sold in the European Union must have zero CO_2 emissions.

The transition risks faced by the motor industry would therefore seem to present significant business risks. However, even those industries that have embraced sustainability issues for some time might be facing a serious transition risk problem, one which could have significant implications for many organisations.

Although solar panels present a sustainable way of generating electricity, the panels themselves only have a finite life (around 25 to 30 years on average) after which they need to be decommissioned. In simple terms, solar panels are made out of an aluminium frame, a panel containing precious metals such as copper and silver and a glass front. While all of these components are theoretically recyclable, being able to recover these materials has not been economically viable, so in the absence of suitable infrastructure for this, they are scrapped and more of the same scarce materials is required to manufacture replacement panels. It is estimated that by the year 2050, there could be something in the region of 200 million tonnes of scrap due to decommissioned solar panels (by comparison, global production of plastic is estimated as 400 million tonnes).

However, the impending scale of this problem and the need to make solar panels more sustainable has led to the creation of a solution that can recycle decommissioned panels and recover up to 75% of the materials required for new panels. The company making this claim is called ROSI and is based in France. The issues associated with making this new solution a success represent a transition risk but the economic viability of this new venture is also an example of a business risk.

(BBC News, 2023)

6 Audit risk

Section overview

- Audit risk is the risk that the auditors may give an inappropriate opinion when the financial statements are materially misstated and consists of risks of material misstatement and detection risk.
- Risks of material misstatement can exist at both financial statement level and assertion level.
- The risk of material misstatement at the assertion level is made up of inherent risk and control risk.
- Inherent risk factors can include complexity, subjectivity, change, uncertainty or susceptibility to misstatement due to management bias and/or fraud.
- Information gained in obtaining an understanding of the business is used to assess risk.
- Assessment of control risk involves assessing an entity's system of internal control which consists of the control environment, the entity's risk assessment process, the entity's process for monitoring the system of internal control, information systems and communication, control activities and limitations of internal control.

6.1 Audit risk

Definitions

Audit risk: The risk that auditors may give an inappropriate audit opinion when the financial statements are materially misstated. Audit risk has two key components: **risks of material misstatement** in the financial statements and the risk of the auditor not detecting material misstatements in the financial statements (**detection risk**).

Risks of material misstatement: According to ISA 200, risks of material misstatement exist at two levels: the overall **financial statement level** (affecting many assertions) and the **assertion level** for classes of transactions, account balances and disclosures. Risks of material misstatement at the assertion level consist of **inherent risk** and **control risk**.

Inherent risk: The **susceptibility** of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

Control risk: The risk that a misstatement could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, **will not be prevented, or detected and corrected**, on a timely basis by the entity's system of internal control.

Detection risk: The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level **will not detect a misstatement** that exists and that could be material, either individually or when aggregated with other misstatements.

6.1.1 The financial statement level

There are a number of factors which ISA 315 (Revised) discusses that could generate risks of material misstatement at the financial statement level. Here are some examples, including the impact that each could have on the conduct of the audit:

- **Operating losses** and **liquidity problems** which could affect the going concern status of the entity
- **Deficiencies in the entity's system of internal control** which may lead the auditor to conclude that there are questions around management integrity
- **Adverse economic conditions** that could lead to the need for additional financing (this could in turn lead to greater risk of material misstatement at the assertion level in areas susceptible to manipulation of key areas of the financial statements, such as assets, revenue and liabilities)
- Concerns about **changes to information systems** could increase the risks of material misstatement when considering the reliance to be placed upon the entity's accounting records (ISA 315 (Revised): paras. A195-199)

6.1.2 Inherent risk

ISA 315 (Revised) Appendix 2 lists a series of inherent risk factors that indicate susceptibility to misstatement before the consideration of any controls. They relate to the preparation of information required by the applicable financial reporting framework and are listed below.

- Complexity
- Subjectivity
- Change
- Uncertainty
- Susceptibility to misstatement due to management bias or fraud

The susceptibility of any item prone to misstatement needs to be assessed by the auditor and this will be undertaken in terms of **likelihood** and **magnitude**, placing such items on what is called the **spectrum of inherent risk**. Items placed towards the higher end of this spectrum will be considered **significant risks** and will therefore demand more of the auditor's time and attention.

Inherent risk is the risk that items will be misstated due to characteristics of those items, such as the fact they are estimates and that they are important items in the accounts. The auditors must use their **professional judgement** and the **understanding of the entity** they have gained to assess inherent risk. If no such information or knowledge is available then the inherent risk is **high**.

Factors affecting client as a whole	
Integrity and **attitude to risk** of directors and management	Domination by a single individual can cause problems
Management experience and **knowledge**	Changes in management and quality of financial management
Unusual pressures on management	Examples include tight reporting deadlines, or market or financing expectations
Nature of business	Potential problems include technological obsolescence or overdependence on single product
Industry factors	Competitive conditions, regulatory requirements, technological developments, changes in customer demand

Factors affecting client as a whole	
Information technology	Problems include lack of supporting documentation, concentration of expertise in a few people, potential for unauthorised access

Factors affecting individual account balances or transactions	
Financial statement accounts **prone to misstatement**	Accounts which require adjustment in previous period or require high degree of estimation
Complex or **subjective** accounts	Accounts which require expert valuations or are subjects of current professional discussion
Assets at risk of being **lost** or **stolen**	Cash, inventory, portable non-current assets (computers)
Quality of **accounting systems**	Strength of individual departments (sales, purchases, cash etc)
High **volume** transactions	Accounting system may have problems coping
Unusual transactions	Transactions for large amounts, with unusual names, not settled promptly (particularly important if they occur at period end) Transactions that do not go through the system, that relate to specific clients or are processed by certain individuals
Staff	Staff changes or areas of low morale

Interactive question 4: Inherent risks from financial reporting policies

Fonesforall is a mobile phone network provider with its own retail outlets. It is currently offering the following package for £30 per month.

- ZX4 mobile phone handset
- 24-month subscription to the network
- Unlimited 'free' call minutes and texts per month (for 24 months)
- 5GB 'free' data per month (for 24 months)
- Any unused call minutes, texts and data may be carried forward to the following month

The fair value of this package is estimated to be £500.

Requirement

Identify the risks associated with the treatment of revenue in relation to this package in the financial statements of Fonesforall.

See **Answer** at the end of this chapter.

6.1.3 Control risk

Control risk is the risk that client controls fail to detect material misstatements. A **preliminary assessment** of **control risk** at the planning stage of the audit is required to determine the level of controls and substantive testing to be carried out.

ISA 315 (Revised) Appendix 3 lists the matters that the auditor should consider when assessing an entity's system of internal control:

- Control environment
- The entity's risk assessment process
- The entity's process for monitoring the system of internal control
- The information system and communication
- Control activities
- Limitations in internal control

In this respect, a key initial audit question is "how does management control the business?". An understanding of this issue is a key element in an initial assessment of control risk.

Substantive and reliance strategies

For an ongoing client, the auditor will already have significant information on file regarding the control systems at the audit client. The audit strategy will therefore focus on **updating** this control information.

For a new client, a judgement on audit strategy will normally be deferred until after a more detailed understanding of the system of internal control is obtained. For the new client, the auditor will **obtain information on the control systems** and then perform an **initial testing** of those controls to determine whether or not they are working correctly. Where these risk assessment procedures indicate that controls are not working correctly, then it is unlikely that the auditor will place reliance on those controls, as control risk will be set to maximum. **Substantive procedures** will be used instead.
However, if the risk assessment procedures indicate that controls are working correctly, then **some reliance** will be placed on internal controls. Control risk may be set only as either 'high' or 'low' in an all or nothing approach, as previously noted. Alternatively, there may be a possibility of setting control risk to an intermediate amount(s) within some firms' audit methodologies.

So, providing an initial determination of the nature, timing and extent of audit procedures, two possible audit strategies are normally identified:

- Substantive strategy – focusing on substantive testing (ie, tests of details and analytical procedures)
- Reliance strategy – focusing on tests of controls and reliance from inherent assurance

Notes

1 There will not be one strategy for the entire audit. Each business process or specific audit assertion will be allocated its own strategy. Similarly, each audit assertion may be allocated a different 'mix' of reliance and substantive strategy.

2 Auditing standards do require some substantive testing for each material class of transactions, account balances and disclosure, so the audit strategy for any one assertion will never be completely a reliance strategy.

3 However, it is possible (but unusual) that substantive testing may comprise entirely of analytical procedures, without any tests of details being carried out.

An auditor is more likely to follow a **reliance strategy** where:

- an entity uses **electronic data interchange** to initiate orders; there will be no paper documentation to verify;
- an entity provides **electronic services** to its customers eg, an internet service provider or telephone company. No physical goods are produced, with all information being collected and billing carried out electronically; and

- the test is for **understatement**.

An auditor is more likely to follow a **substantive strategy** where:

- there are **no controls** available for a specific audit assertion;
- the controls are assessed as **ineffective**;
- it is **inefficient** to test the effectiveness of the controls; and
- the test is for **overstatement**.

Whichever strategy is chosen, the auditor will **document** the reasons for choosing that strategy and then perform detailed auditing procedures in accordance with that strategy.

Control environment

Within an entity, the control system works within the **control environment**. A poor control environment implies that the control system itself will also be poor, because the entity does not place sufficient emphasis on having a good control environment.

So, the control environment sets the **philosophy of an entity** effectively influencing the 'control consciousness' of directors and employees. The importance of the enforcement of integrity and ethical values was illustrated in July 2011, with the closure of the *News of the World* newspaper resulting from phone hacking allegations.

Factors affecting the control environment include:

Factor	Explanation
Communication and enforcement of integrity and ethical values	An organisation should try to maintain the **integrity and ethical standing of the employees**. Membership of a professional body helps enforce ethical standards for professional staff. Ethics in other areas are maintained by ensuring rules do not encourage unethical conduct (eg, unrealistically high sales targets to earn commissions).
Commitment to competence	Each job should have a job description showing the standards expected in that job. Employees should then be hired with the **competences** to carry out the job without compromising on the quality of work produced.
Participation by those charged with governance	Those charged with governance should take an **active role** in ensuring ethical standards are maintained. For example, the audit committee should ensure that directors carry out their duties correctly in the context of the audit. Similarly, those charged with governance must ensure appropriate independence from the company they are governing.
Management philosophy	Management should **set the example** of following ethical and quality standards. Where management establish a risk management system and regularly discuss the effect of risks on an organisation then the auditor will gain confidence that the overall control environment is effective.
Structure of the organisation	The structure of the organisation should ensure that **authority is delegated appropriately** so that lower management levels can implement appropriate risk management procedures. However, responsibility for risk management overall is maintained by the board.

Factor	Explanation
Reporting hierarchy	Within the organisation's hierarchy, each level of management has responsibilities for risk included in their job description. There should also be a **clear reporting system** so that objectives for risk management are communicated down the hierarchy, while identified risks are communicated back up the hierarchy for action.
HR policies and procedures	HR policies should have **appropriate policies** for ensuring the integrity of staff, both for new and existing employees. This should extend to include recruitment, retention, performance management and disciplinary procedures.

From a review of these factors, the auditor will form an opinion on the effectiveness of the control environment. The auditor will also consider the means by which the entity monitors controls eg, by the internal audit department. This in turn affects the opinion on how well the internal control systems will be implemented and operated.

Control risk will also increase where specific events occur within an organisation. Events that tend to increase control risk include the following:

- Use of new technology
- New or substantially amended information systems
- Hiring of new personnel, especially into key management roles
- Changes to the regulatory or operating environment
- Significant growth in the organisation
- Restructuring of the company or group
- Expansion of foreign operations

Control activities

Having assessed the control environment, the auditor will then identify and assess the operating effectiveness of control activities carried out by management. Control activities in this context are the **policies and procedures that help ensure management's directives are carried out**.

The auditor is required to differentiate between the following:

- Direct controls – these are considered precise enough to address risks of material misstatement at the assertion level
- Indirect controls – these are considered to be less precise and support direct controls

Control activities that the auditor will investigate include:

Control activity	Explanation
Physical or logical controls	Controls to ensure the security of assets including data files and computer programs (eg, not simply tangible assets such as company motor vehicles).
Authorisation and approval	Controls that confirm a transaction is valid and that the entity is satisfied should occur (such as the approval of an expenses claim).

Control activity	Explanation
Segregation of duties	Segregation of the authorisation of transactions, recording of transactions and custody of any related assets. For example, employees receiving cash should not be responsible for recording that cash in the receivables ledger – teeming and lading could occur.
Reconciliations	Comparison of two or more items to confirm their completeness and accuracy.
Verification	This includes comparing actual performance against agreed standards and policies, involving follow up to establish reasons for any variances.
Information processing controls	These are controls to check the completeness, accuracy and authorisation of the processing of transactions. Two types of controls are generally recognised: • General IT controls – over the information processing environment as a whole, for example to ensure the security of data processing operations and maintenance of adequate backup facilities. • Application controls – over the processing of individual transactions, again ensuring the completeness and accuracy of recording.

Where the auditor is satisfied regarding the ability of the control environment to process transactions correctly and control activities to identify deficiencies in that processing, then control risk can be set to a low figure. Obviously, where the control environment is weak, and control activities are missing, then control risk will be set to a higher level.

Control activities for transaction assertions

Within each class of transactions, the auditor will ensure that specific audit assertions have been achieved. Remember that for each assertion, a different 'mix' of control and substantive procedures may be used.

For each of the audit assertions relevant to transaction testing, specific control activities are normally available.

The assertions and control activities are summarised below.

Assertion	Explanation	Typical control activities
Occurrence	Transactions and events that have been recorded have occurred and pertain to the entity	• Segregation of duties • Daily/monthly reconciliation of subsidiary records with an independent review • Prenumbering of documents (with completeness of numbering confirmed
Completeness	All transactions and events that should have been recorded have been recorded, and all related disclosures that should	• Segregation of duties • Prenumbering of documents (with completeness of numbering confirmed)

Assertion	Explanation	Typical control activities
	have been included in the financial statements have been included	• Daily/monthly reconciliation of subsidiary records with an independent review
Accuracy	Amounts and other data relating to recorded transactions and events have been recorded appropriately, and related disclosures have been appropriately measured and described	• Internal confirmation of amounts and calculations • Monthly reconciliation of subsidiary records by an independent person
Cut-off	Transactions and events have been recorded in the correct accounting period	• Procedures for the prompt recording of transactions • Internal verification of cut-off at year end
Classification	Transactions and events have been recorded in the proper accounts	• Agreeing transactions against chart of accounts • Internal verification of the accuracy of posting

Monitoring the system of internal control

The auditor should also assess the means by which management monitors internal control over financial reporting and what (if any) action is taken to remediate any deficiencies identified. In many entities internal auditors fulfil this function. The impact on the audit of the existence of an internal audit function is dealt with in ISA 610 (Revised 2013), *Using the Work of Internal Auditors*.

ISA 315 (Revised) discusses the importance of such monitoring being undertaken on a timely basis by the entity and differentiates between manual and automated controls. The standard also requires auditors to understand whether monitoring is a separate activity or is simply built into the system of internal controls – the former should go further and be set up to establish whether there are any underlying reasons for control breaches.

6.1.4 Limitations in internal controls

Detection risk is the risk that audit procedures will fail to detect material errors. Detection risk relates to the inability of the auditors to examine all evidence. Audit evidence is usually persuasive rather than conclusive so some detection risk is usually present, allowing the auditors to seek 'reasonable confidence'.

The auditor's **inherent and control risk assessments** influence the **nature, timing and extent of substantive procedures** required to reduce detection risk and thereby audit risk.

However, despite the auditor's best efforts, there will always be some inherent limitations in any system of internal controls:

- Poor judgement by humans when making decisions and other forms of human error (such as fatigue)
- Poor design or operation of internal controls (such as a failure to act on an exception report)
- Poor ethics displayed by employees who decide to collude in order to circumvent certain controls

6.1.5 The entity's risk assessment process and information and communication

Both of these categories have coverage elsewhere in the learning materials, but in the context of how the auditor assesses the way they support the entity's system of internal controls there are points that will help at this stage:

- The auditor needs to understand how the entity **identifies and analyses risks** that could compromise its ability to achieve its objectives (in essence, business risks) which are relevant to the preparation of the financial statements in accordance with the applicable financial reporting framework (such as new information systems, changes in the entity's structure or rapid growth).
- The auditor also needs to understand how the entity's **information systems** contribute to the preparation of the financial statements, especially in the context of how transactions are processed, how the system addresses any overrides or bypasses to controls and how responsibilities for the preparation of the financial statements are **communicated** to relevant staff.

Data analytics tools may be used in risk assessment. Data analytics is discussed later in this chapter.



Professional skills focus: Structuring problems and solutions

Although you are unlikely to explicitly use the headings of inherent, control and detection risk when determining audit risk in a question, breaking it down into constituent parts can help you to assess risk more effectively.



Interactive question 5: Audit risk

Forsythia is a small limited company offering garden landscaping services. It is partly owned by three business associates, Mr Rose, Mr White and Mr Grass, who each hold 10% of the shares. The major shareholder is the parent company, Poppy Ltd. This company owns shares in 20 different companies, which operate in a variety of industries. One of them is a garden centre, and Forsythia regularly trades with it. Poppy Ltd is in turn wholly owned by a parent, White Holdings Ltd.

The management structure at Forsythia is simple. Of the three non-corporate shareholders, only Mr Rose has any involvement in management. He runs the day to day operations of the company (marketing, sales, purchasing etc) although the company employs two landscape gardeners to actually carry out projects. The accounts department employs a purchase clerk and a sales clerk, who deal with all aspects of their function. The sales clerk is Mr Rose's daughter, Justine. Mr Rose authorises and produces the payroll. The company ledgers are kept on Mr Rose's personal computer. Two weeks after the year end, the sales ledger records were severely damaged by malware that corrupted the data. Justine has a single printout of the balances as at the year end, which shows the total owed by each customer.

Forsythia owns the equipment which the gardeners use and pays them a salary and a bonus based on performance. Mr Rose is remunerated entirely on a commission basis relating to sales and, as a shareholder, he receives dividends annually, which are substantial.

Forsythia does not carry any inventories. When materials are required for a project, they are purchased on behalf of the client and charged directly to them. Most customers pay within the 60- day credit period, or take up the extended credit period which Forsythia offers. However, there are a number of accounts that appear to have been outstanding for a significant period.

Justine and her father do not appear to have a very good working relationship. She does not live at home and her salary is not significant. However, she appears to have recently purchased a sports car, which is not a company car.

The audit partner has recently accepted the audit of Forsythia as a new client. You have been assigned the task of planning the first audit.

Requirement

Identify and explain the audit risks arising from the above scenario.

See **Answer** at the end of this chapter.

6.1.6 *The auditor's consideration of IT within internal controls*

ISA 315 (Revised) contains two appendices that outline how the auditor should consider gaining an understanding of the role of IT within an entity's system of internal control. In summary, here are the key areas of consideration for auditors:

Appendix 5: Considerations for understanding information technology (IT)

Categories for consideration	*Examples of issues to consider*
Matters related to extent of automation and use of data	• *The extent of automation* • *How data is input* • *The interaction between different parts of the IT infrastructure* • *Data volume and complexity*
Matters related to the IT applications and IT infrastructure	• *Bespoke or off-the-shelf* • *Complexity* • *The use of any third parties or emerging technologies*
Matters related to IT processes	• *The personnel involved and their level of skill* • *How to manage access rights* • *Complexity and vulnerability to cyber threats* • *How change is managed*

Appendix 6: Considerations for understanding general IT controls

Elements of the IT environment	*Types of general IT control that could exist*
• ***Applications*** *(systems that involve data being input and processed to create outputs)* • ***Databases*** *for the storage of information* • ***Operating systems*** *that deal with administration and users* • ***Networks*** *that allow access and collaboration within a secure environment*	• *Processes to manage access:* - *User authentication* - *Starters and leavers* - *Correct levels of access* - *Security* • *Processes to manage program or other changes:* - *Segregation of duties* - *System development* - *Data conversion*

Elements of the IT environment	*Types of general IT control that could exist*
	• *Processes to manage IT operations:* - *Scheduling* - *Intruder detection* - *Backup and recovery*

(FRC, 2020)

7 Creative accounting



Section overview

- There is a spectrum of activity with respect to accounting policy choice. Creative accounting attempts to change users' perceptions of the performance and position of a business.
- The occurrence of creative accounting depends on both incentives and opportunity.
- The consequences of creative accounting depend upon a range of factors that change over time but are specific to individual companies.
- Creative accounting can be overt (disclosed) or covert (not disclosed).
- Red flags exist which may indicate that creative accounting practices have taken place.
- Empirical evidence supports the notion that creative accounting occurs on a widespread basis.

7.1 Introduction

One of the factors affecting the overall level of **financial statement risk** is the potential for creative accounting.

Directors have choices and they may exercise those choices to recognise values that do not reflect economic reality. A prime example is the choice of the cost model when an asset's fair value is significantly higher than cost. (**Note:** If an asset's fair value and value in use were lower than cost, then an impairment would be required under IAS 36 and directors would not have the discretion to disclose at cost.) Directors are more likely to make use of their discretion to mislead financial statement users if they have the **opportunity** (eg, imprecise accounting regulations, weak auditors)

and **incentives** (eg, approaching the breach of a debt covenant, an impending takeover, profit-based bonus) to do so.

Creative accounting is covered from a financial reporting perspective in Chapter 24.

7.2 The nature of creative accounting

Definition

Creative accounting: The active manipulation of accounting results for the purpose of creating an altered impression of the underlying financial position or performance of an enterprise by using accounting rules and guidance in a spirit other than that which was intended when the rules were written.

This well-documented practice is a potential problem for auditors in assessing the underlying performance and position of a company and recent evidence suggests that it is one of the major issues facing financial reporting.

Accounting measures involve a degree of subjectivity, choice and judgement and it would be wrong to describe all such activity as creative accounting. Moreover, **creative accounting normally falls within permitted regulation** and is not therefore illegal. It is therefore often a question of fine judgement as to when creative accounting is of such an extent that it becomes misleading.

The spectrum of creative accounting practices may include the following (commencing with the most legitimate):

- Exercise of **normal accounting policy choice** within the rules permitted by regulation (eg, first in, first out and average cost for inventory valuation)
- Exercise of a degree of estimation, judgement or prediction by a company **within reasonable bounds** (eg, non-current asset lives)
- Judgement concerning the **nature or classification of a cost** (eg, expensing and capitalising costs)
- Systematic selection of **legitimate policy choices and estimations** to alter the perception of the position or performance of the business in a uniform direction
- Systematic selection of **policy choice and estimations** that fall on the margin of permitted regulation (or are not subject to regulation) in order to alter materially the perception of the performance or position of the business
- Setting up of **artificial transactions** to create circumstances where material accounting misrepresentation can take place
- **Fraudulent activities**

It can thus be a matter of fine judgement for an auditor as to where within this spectrum creative accounting becomes unacceptable.

Companies may also seek to manipulate the perception of their performance and position by altering underlying transactions, rather than just the way they are recorded. Accounting regulation seeks to limit the effects of this behaviour in a number of ways as previously discussed. Nevertheless, while it may seek to report faithfully transactions that actually take place, it cannot regulate for transactions which do not take place, or which are delayed in order to manipulate the perception of performance or position. These might include:

- deferring discretionary expenditure (eg, maintenance costs, R&D);
- changing the timing of the sale of investments or other assets; or
- delaying investment or financing decisions.

Context example: Patisserie Valerie

UK café chain Patisserie Valerie hit the headlines in October 2018 when trading in its shares was suspended following allegations of irregularity about its financial position. Soon after, the company's finance director was also suspended as the size of the hole in its finances began to grow. In November 2018, the FRC announced that it was launching an investigation into the audit of the holding company, Patisserie Holdings. By January 2019, the company had been placed into administration and was later sold for £5 million to private equity investors. The new owners attempted to sue the company's auditors GT for £200 million but the lawsuit reached a confidential settlement in 2022. In 2023, one of the company's former directors and three other employees were charged by the Serious Fraud Office with conspiring to inflate the cash recorded in the company's financial statements between 2015 and 2018. The case is due to be heard in 2026.

The events of Patisserie Valerie came hot on the heels of the Carillion controversy of 2017, which have both been cited as the final straw for the existing UK regulatory regime for corporate reporting and auditing. The lessons here seem obvious: poor quality audit and inadequate responses to fraud have serious economic consequences and therefore need to be taken more seriously.

(Beioley, K., 2022; SFO, 2023)

Professional skills focus: Applying judgement

Scenarios in the exam are very likely to require you to be on the lookout for possible areas of creative accounting. Don't forget the importance of maintaining professional scepticism and displaying critical thinking at all times when reading the contents of a question.

7.3 Causes of creative accounting – opportunity

The causes of creative accounting have two key elements:

(a) Opportunity

(b) Incentives

Where these two elements both exist then the **risks of creative accounting taking place are greatest**. This section looks at opportunity. The following section looks at incentives.

It is important for the auditor to be aware of the causes of creative accounting in order to highlight the circumstances, where there is the greatest risk or incentives for creative accounting to take place.

The causes of **opportunity** for creative accounting include the following:

- **Subjectivity** – Areas of subjectivity lend themselves to a greater degree of choice, judgement and uncertainty.
- **Complexity** – Complex industries and transactions are difficult to regulate precisely and give more scope for manipulation.
- **Inadequate corporate governance** – Inadequate or inappropriate controls over directors may permit greater discretion.
- **Insufficiently independent auditors** – Auditors may come under increased managerial pressure to approve creative accounting practices.

- **Imprecise regulations** – Where regulations are imprecise or inadequate, companies have greater scope to exercise discretion, and auditors have a poor benchmark to challenge the selected accounting procedures.
- **Inadequate sources of information** – Where reliable sources of audit evidence exist (eg, to challenge management estimations) the scope for effective manipulation is more limited.
- **Inadequate penalties** – Where creative accounting is discovered to have misled users, the penalties for the company, and for the directors, are regarded by some as inadequate to provide sufficient disincentives.

7.4 Causes of creative accounting – incentives

The following have been put forward as incentives for companies/managers engaging in creative accounting:

- **Income smoothing** – Companies normally prefer to show a steady trend of growth in profits, rather than volatility with significant rises and falls. Income smoothing techniques (eg, declaring higher provisions and deferring income recognition in good years) contribute to reducing volatility in reported earnings.
- **Achieving forecasts** – Where forecasts of future profits have been made, reported earnings may be manipulated to tie in with these forecasts.
- **Profit enhancement** – This is where current year earnings are boosted to enhance the short-term perception of performance.
- **Maintain or boost share price** – Where markets can be made to believe that increased earnings represent improved underlying commercial performance, then share price may rise, or at least be higher than it would be in the absence of creative accounting.
- **Accounting-based contracts** – Where accounting-based contracts exist (eg, loan covenants, profit- related pay) then any accounting policy that falls within the terms of the contract may significantly impact on the consequences of that contract. For example, the breach of a gearing-based debt covenant may be avoided by the use of off balance sheet financing.
- **Incentives for directors** – There may be personal incentives for directors to enhance profit in order to enhance their remuneration. Examples might include: bonuses based on earnings per share (EPS), or share incentive schemes and share option schemes that require a given EPS before they become operative. Directors may also benefit more indirectly from creative accounting by increasing the security of their position.
- **Taxation** – Where accounting practices coincide with taxation regulations there may be an incentive to reduce profit in order to reduce taxation. In these circumstances, however, it may be necessary to convince not only the auditor but also HMRC.
- **Regulated industries** – Where an industry is currently, or potentially, regulated then there may be an incentive to engage in creative accounting to reduce profit in order to influence the decisions of the regulator. This may include utilities where regulators may curtail prices if it is perceived that excessive profits are being earned. It may also be relevant to avoid a reference to the Competition Commission.
- **Internal accounting** – A company as a whole may have reason to move profits from division to division (or subsidiary to subsidiary) in order to affect tax calculations or justify the closure/expansion of a particular department.
- **Losses** – Companies making losses may be under greater pressure to enhance reported performance.
- **Commercial pressures** – Where companies have particular commercial pressures to enhance the perception of the company there is increased risk of creative accounting; for example, a takeover bid, or the raising of new finance.

Thus, a range of stakeholders may have incentives to engage in creative accounting. In particular, however, an appropriate degree of professional scepticism should be applied where benefits arise for directors, as they are also the group responsible for implementing creative accounting practices.

7.5 The consequences of creative accounting

It is important for the auditor to understand the consequences of creative accounting, as:

- It enables an **understanding of the motivations and reasons** for the company's directors to engage in the practice. (For instance, the existence and nature of a debt covenant that may be affected by creative accounting.)
- It **enhances the understanding of whether the practice is material** ie, whether it would reasonably influence decisions made.
- It enables an **understanding of the continued impact of a particular creative accounting practice in future years' financial statements** and whether the impact will be sustainable year on year.

The consequences of creative accounting depend crucially upon whether or not it is disclosed.

Overt creative accounting refers to practices, which may change reported profits or the statement of financial position, but that are **disclosed externally** to financial statement users. Examples may include:

- not depreciating non-current assets
- capitalising development costs
- significant provisioning
- changing depreciation policy

Covert creative accounting refers to practices that are used to enhance profitability or asset values but are **not disclosed**. Examples might be:

- the timing of revenue recognition on complex long-term transactions
- the treatment of overhead allocations
- many decisions to capitalise or expense cash outlays

As a result, such covert practices are not readily identifiable by outside users, who are thus unable, in some cases, to distinguish increases in reported earnings arising as a result of accounting manipulation, from those arising from improvements in substantive underlying transactions. The potential consequences of covert creative accounting (eg, for share price movements) are therefore likely to be more substantial than for overt creative accounting.

7.6 Sustainability

Some creative accounting practices are sustainable in the long term while others may only serve to enhance the current year's profit, but only with the effect that future profits are correspondingly reduced.

Sustainable practices may include the following:

- **Income smoothing** – assuming it is smoothed at a normal level of profitability, it may be sustained indefinitely
- **Off balance sheet financing**

Unsustainable practices include the following:

- **Capitalisation of expenses** – if, for instance, annual development costs are inappropriately capitalised and amortised over 10 years then, after that period, assuming constant

expenditure, the profit will be equivalent for either write-off or amortisation policies (though not the statement of financial position) as there will be 10 amounts of 10% amortisation recognised in profit or loss

- **Revenue recognition** – bringing forward the recognition of revenues may initially enhance profit, but at the cost of reducing future profits

7.7 Some specific consequences

Share price effects

Where creative accounting practices are disclosed then one would expect that, in a semi strong efficient market, investors would see through the manipulation and correctly price shares, with creative accounting having little effect. However:

- the market may not always be efficient;
- accounting-based contracts may be affected; and
- complex series of transactions may mean that markets fail to appreciate fully the impact of creative accounting.

Covert creative accounting is likely to include all the above effects but in addition, even where the market is semi-strong efficient, it cannot always 'see through' the creative accounting and shares could be mispriced. This may result in shareholders suffering an undue loss.

Recent revelations regarding creative accounting have resulted in significant falls in the share prices of the companies concerned providing evidence of previous mispricing. However, shares prices also fell in other companies, as markets generally placed less trust in reported earnings and auditors were perceived as being unable to prevent creative accounting.

Accounting-based contracts

Whether creative accounting is covert or overt, it can affect the application of accounting-based contracts, so long as the selected accounting treatment falls within the terms of that contract.
Typically, a restrictive covenant on gearing, or interest cover, may be avoided by enhancing equity or earnings. This may benefit one stakeholder (eg, shareholders) but disadvantage another (eg, debtholders).

7.8 Red flags and detection

The best detection techniques for creative accounting are a good knowledge of financial reporting regulations and a good understanding of the business. There may, however, be more general techniques and indicators that can suggest that a company is engaging in creative accounting practice. These include the following:

- **Cash flows** – Operating cash flows are systematically out of line with reported operating profits over time.
- **Reported income and taxable income** – Is financial reporting income significantly out of line with taxable income with inadequate explanation or disclosure?
- **Acquisitions** – Where a significant number of acquisitions have taken place, there is increased scope for many creative accounting practices.
- **Financial statement trends** – Indicators include: unusual trends, comparing revenue and EPS growth, atypical year-end transactions, flipping between conservatism and aggressive accounting from year to year, level of provisions compared to profit indicating smoothing, EPS trend, timing of recognition of exceptional items.

- **Ratios** – Ageing analyses revealing old inventories or receivables, declining gross profit margins but increased net profit margins, inventories/receivables increasing more than sales, gearing changes.
- **Accounting policies** – Consider if there is the minimum disclosure required by regulation, changes in accounting policies, examine areas of judgement and discretion. Consider risk areas of off balance sheet refinancing, revenue recognition, capitalisation of expenses, significant accounting estimates.
- **Changes of accounting policies and estimates** – Is the nature, effect and purpose of these changes adequately explained and disclosed?
- **Management** – Estimations proved unreliable in the past, minimal explanations provided.
- **Actual and estimated results** – Culture of always satisfying external earnings forecasts, absence of profit warnings, inadequate or late profit warnings leading to 'surprises', interim financial statements out of line with year-end financial statements.
- **Incentives** – Management rewarded on reported earnings, profit-orientated culture exists, other reporting pressures eg, a takeover.
- **Audit qualifications** – Are they unexpected and are any auditors' adjustments specified in the audit report significant?
- **Related party transactions** – Are these material and how far are the directors affected?

The above is not a comprehensive list, but merely includes some main factors. Also, it is not suggested that the above practices necessarily mean there is creative accounting but, where a number of these factors exist simultaneously, then the auditor should be put 'on inquiry' to make further investigations.

7.9 Examples of creative accounting techniques

A number of examples of creative accounting have been given above and throughout these learning materials in the context of their application. The following list draws some of these together and provides further examples under key headings. The list is not meant to be comprehensive.

7.9.1 Timing of operating expenses

- Underprovisioning in poor years
- Overprovisioning in good years
- Manipulation of reserves
- Aggressive capitalisation of costs
- Optimistic asset lives
- Accelerating expenses in good years
- Increased write-downs and write-offs in good years
- Exceptional gains timed to offset exceptional losses

7.9.2 Revenue recognition

- Premature recognition of revenues
- Recording out of period revenue
- Recognition of revenue of service contracts before the service being performed
- Recognition of sales before physical movement of goods
- Front-end recognition of sales that should be spread over more than one accounting period

- Percentage of completion estimates in construction industry
- Cut-off misapplied

7.9.3 Off balance sheet financing

In some circumstances transactions may be structured in order to allow a particular accounting treatment (eg, making a finance lease appear to be an operating lease) rather than presenting the fairest view. This is one of the primary reasons for the large quantity of disclosure standards (as against measurement standards) in previous years.

8 Materiality

Section overview

- Materiality considerations are important at the planning stage.
- An item might be material due to its nature, value or impact on readers of financial statements.

8.1 Revision of materiality

ISA 320, *Materiality in Planning and Performing an Audit* states that the auditor's frame of reference for materiality should be based on the relevant financial reporting framework. IAS 1 gives the following definition:

> Omissions or misstatements of items are material if they could, individually or collectively, influence the economic decisions that users make on the basis of the financial statements. Materiality depends on the size and nature of the omission or misstatement judged in the surrounding circumstances. The size or nature of the item, or combination of both, could be the determining factor.

Materiality criteria

An item might be material due to its:

Nature	Given the definition of materiality that an item would affect the readers of the financial statements, some **items** might **by their nature affect readers**. Examples include **transactions related to directors**, such as remuneration and contracts with the company.
Value	Some items will be significant in the financial statements by virtue of their **size**; for example, if the company had bought a piece of land with a value which comprised three-quarters of the asset value of the company, that would be material. That is why materiality is often expressed in terms of **percentages** (of assets, of profits).
Impact	Some **items may by chance have a significant impact** on financial statements; eg, a proposed journal which is not material in size could convert a profit into a loss. The difference between a small profit and a small loss could be material to some readers.

Although there are general guidelines on how materiality might be calculated in practice, the calculation involves the application of judgement. It should be reassessed throughout the course of the audit as more information becomes available. Note that as materiality has both quantitative and qualitative aspects risk assessment must include the analysis of both quantitative and qualitative data.

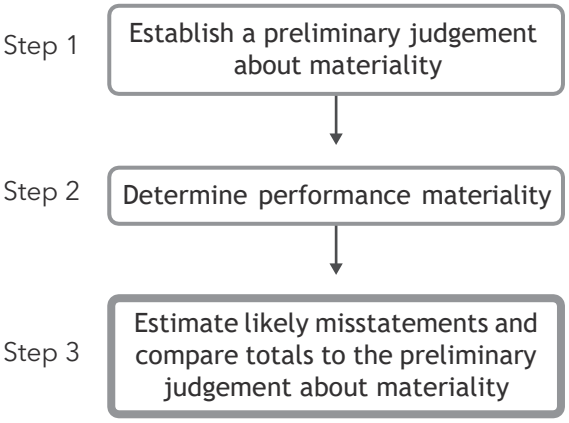
Users' needs

The auditor must consider the needs of the users of the financial statements when setting materiality. The ISA indicates that it is reasonable for the auditor to assume that users:

- Have a reasonable knowledge of the business and economic activities and accounting and a willingness to study the information in the financial statements with reasonable diligence
- Understand that financial statements are prepared and audited to levels of materiality
- Recognise the uncertainties inherent in the measurement of amounts based on the use of estimates, judgement and the consideration of future events
- Make reasonable economic decisions on the basis of the information in the financial statements

8.2 Applying materiality

The application of materiality to an audit can be summarised in three key steps: Figure 5.4: Steps in applying materiality on an audit



Steps 1 and 2 would normally be performed as part of the planning process. Step 3 is normally performed as part of the review stage of the audit when the auditor evaluates the audit evidence.

Auditors of companies applying the UK Corporate Governance Code are required to make significant disclosures in the auditor's report about how they have applied materiality in their audit.

8.2.1 Preliminary judgement

Materiality considerations during **audit planning** are extremely important. The assessment of materiality at this stage should be based on the most recent and reliable financial information and will help to determine an effective and efficient audit approach. Materiality assessment will help the auditors to:

- determine the amount of audit work necessary to facilitate audit efficiency and effectiveness;
- put audit risk in context;
- decide whether to use sampling techniques;
- determine the applicability of accounting standards which normally apply only to material items;
- evaluate uncorrected misstatements during the audit; and
- evaluate what level of error is likely to lead to a modified audit opinion.

In specifying materiality, an auditor should establish a benchmark (or benchmarks) to which a percentage factor is applied. Factors that may affect the identification of an appropriate benchmark include the following:

- The elements of the financial statements
- Items on which the attention of the users tends to be focused
- The nature of the entity, where it is in its life cycle and the industry and economic environment in which it operates
- The entity's ownership structure and the way it is financed
- The relative volatility of the benchmark

The following materiality benchmarks are typically used:

Benchmark	Threshold
Profit before tax	Approx. 5%
Adjusted profit before tax	Approx. 5%
Total revenue	Approx. 1%
Total assets	Approx. 1–2%
Equity	Approx. 1–2%

(The benchmarks suggested above are based on information from the FRC publication *Extended Auditor's Reports: A review of Experience in the First Year*, 2015.)

The following points should be noted:

- There is some variation used in the methods to determine materiality within and between audit firms.
- Multiple measures are sometimes used to determine materiality.
- Adjusted profit before tax and profit before tax are the most commonly used measures.

Determining the level of materiality is a matter of professional judgement, rather than applying benchmarks mechanically. In applying such judgements, the auditor should consider any relevant qualitative factors, including:

- whether it is a first-year engagement;
- deficiencies in controls;
- material misstatements in prior years;
- risk of fraud;
- significant management turnover;
- unusually high market pressures;
- sensitivity of covenants in loan agreements to changes in the financial statements; and
- effect of changes in results on earnings trends.

The auditor's assessment of materiality is then communicated in the auditor's report (ISA 700.38(c)). By far the most common level of materiality for listed company auditors is 5% of adjusted profit before tax. It is also necessary to determine a materiality threshold for reporting any unadjusted differences to the audit committee. This will be much lower than overall materiality, and may be communicated in the auditor's report.

In the case of a group audit, the group auditor will also set materiality for the group as a whole, as well as component materiality for any component auditors. Component materiality is always less than group materiality.

8.2.2 Performance materiality

The preliminary assessment of materiality, as referred to above, is in the context of the financial statements as a whole. However, if the audit procedures are planned solely to detect individually material misstatements this would:

- overlook the fact that the aggregate of individually immaterial misstatements could cause the financial statements to be materially misstated; and
- leave no margin for possible undetected misstatements.

Further materiality levels must therefore be set before audit procedures are designed and performed. The requirement to do so was introduced into ISA 320 as part of the IAASB's Clarity Project, and these lower materiality levels are referred to as **performance materiality**. Seen as a 'working level of materiality', performance materiality is a concept that most experienced auditors would have applied throughout their careers.

The auditor must set an amount or amounts at less than the materiality for the financial statements as a whole and this is known as **performance materiality**. This could be set in two ways:

(a) as a judgemental estimate to reduce the probability that the aggregate of uncorrected and undetected misstatements exceeds the materiality for the financial statement as a whole; or

(b) specific materiality levels may be set for particular classes of transactions, account balances or disclosures that could have a particular influence on users' decisions in the particular circumstances of the entity.

Different levels of materiality may therefore be used in the various audit procedures carried out.

The following example illustrates, in a simplistic way, the role of performance materiality in an audit.



Context example: Performance materiality

The auditor of Company A has set materiality for the financial statements as a whole at £100,000. During the audit, the following misstatements were identified:

(a) Misclassification of abortive research and development expenses as an intangible asset of £41,000. This is the only intangible asset on the statement of financial position.

(b) Overstatement of non-current assets by £50,000 due to cut-off errors.

(c) Overstatement of receivables by £29,000 representing the unpaid balance from a customer which has been liquidated during the period.

Considering each of the misstatements on an individual basis, the auditor may overlook the misstatements above. This would give rise to an aggregate of uncorrected misstatements of £120,000 – exceeding materiality for the financial statements as a whole.

In addition, the uncorrected misstatement (a) could have misled the users of the financial statements, whose attention would have been drawn to the company's new, and only, intangible assets.

The auditor would avoid the risk of giving an inappropriate audit opinion by applying performance materiality:

(a) **Set a general performance materiality at £50,000 to reduce the probability that the aggregate of uncorrected misstatements would exceed materiality for the financial statements as a whole:** This would identify misstatement (b) as requiring adjustment.

(b) **Set performance materiality specific to intangible assets at £40,000 to reflect the specific risks associated with this account:** This would identify misstatement (a) as requiring adjustment.

(c) Now, provided management agrees to correct misstatements (a) and (b), the only adjustment which remains uncorrected is misstatement (c). At £29,000, this is now less than 30% of materiality for the financial statements as a whole.

Performance materiality should be used in both the planning and fieldwork stages of the audit. In the November 2011 issue of the *ICAEW Audit & Assurance Faculty newsletter*, the article 'Living in a material world' by David Gallagher usefully sets out four circumstances in which performance materiality can be applied:

At the planning stage:

(1) to determine when no work is necessary, and where evidence is required, the extent of that evidence; and

(2) to help identify which items to test (for example, if a substantive test of detail approach is adopted, the auditor may consider selecting all items above performance materiality first, and then consider whether any, and if so how many, further items should be sampled).

At the fieldwork stage:

(3) to help evaluate the results of sample tests (for example, if on a particular test the extrapolated difference of potential misstatements is less than materiality, the auditor may conclude that sufficient audit evidence had been obtained in this area); and

(4) to help evaluate the results of analytical procedures (for example, if the results of a reasonableness test produced a difference between the predicted and actual amounts which is less than performance materiality, the auditor may conclude that sufficient audit evidence had been obtained in this area).

Students who work in an audit practice may have come across **tolerable misstatement** (previously called 'tolerable error') In carrying out audit engagements. Essentially, tolerable misstatement is an example of how the concept of performance materiality is applied to **sampling** (points (2) and (3) above).

What constitutes sufficient audit evidence, and the different audit procedures, are covered in further detail in Chapter 6. However, you should already be familiar with these topics from your earlier studies.

8.2.3 Estimation of likely misstatements

Towards the end of the audit, the auditor will aggregate the misstatements from each account balance, class of transaction or disclosure (including both known and likely misstatements) and compare this with the preliminary assessment of materiality. Where additional information has come to light the preliminary assessment of materiality **may need to be revised**. If this is the case, the circumstances should be adequately documented. Comparison of the aggregated misstatements and materiality will determine whether the financial statements require adjustment.

Like materiality for the financial statements as a whole, performance materiality is linked to audit risk. Where the audit risk has been revised during an audit, and the materiality level for the financial statements as a whole has been reduced, the auditor must consider whether performance materiality also needs to be revised. This may affect the nature, timing and extent of further audit procedures.

8.2.4 Auditor's report

Auditors of companies applying the UK Corporate Governance Code must disclose the materiality level used in the audit for the financial statements as a whole. This area is covered in more detail in Chapter 8 of this workbook, but for now it may be helpful to see some real-life examples of such a disclosure. For instance, **KPMG**'s auditor's report for **Barclays plc** (in relation to the 2022 Annual Report) included the following:

The scope of our audit was influenced by our application of materiality. We set quantitative thresholds and overlay qualitative considerations to help us determine the scope of our audit and the nature, timing and extent of our procedures, and in evaluating the effect of misstatements, both individually and in the aggregate, on the financial statements as a whole…

Our materiality of £275m (2021: £230m) was determined by applying a percentage to Profit Before Tax. When using a profit-related measure to determine overall materiality, KPMG's approach is to apply a percentage between 3% and 5% to the pre-tax measure. In setting overall materiality, we applied a rate of 3.9% (2021: 3.8%) which is lower than the top end of the allowable percentage range.

(Barclays plc, 2023)

Deloitte's auditor's report for **Tesco plc** (in relation to the 2023 Annual Report) differentiates between the materiality levels set for the audits of the group and the parent financial statements:

Based on our professional judgement, we determined materiality for the financial statements as a whole as follows:

	Group financial statements	***Parent company financial statements***
Materiality	*£100m (2021/22: £100m)*	*£75m (2021/22: £75m)*
Basis for determining materiality	*4.64% (2021/22: 4.60%) of adjusted profit before tax (including net pension finance income/(cost)) of £2,156m (2021/22: £2,175m).*	*Materiality represents less than 1% (2021/22: less than 1%) of net assets.*
Rationale for the benchmark applied	*We have determined materiality based on 4.64% of adjusted profit before tax from continuing operations (including net pension finance income/(cost)). Adjusting items are defined in Note 1 and include net pension finance income/(cost). For the purpose of our materiality determination we have excluded them from adjusting items and therefore increased/(reduced) adjusted profit before tax accordingly. Our determined materiality represents 0.15% (2021/22: 0.16%) of the Group's revenue from continuing operations and 0.8% (2021/22: 0.6%) of net assets.*	*As this is the parent company of the group, it does not generate significant revenues other than investment returns, but incurs costs.* *Net assets are of most relevance to users of the financial statements.*

(Tesco, 2023)

***Ernst and Young**'s auditor's report for **J Sainsbury plc** (in relation to the 2023 Annual Report and Consolidated Financial Statements) provides information about both overall materiality and performance materiality as follows:*

We determined materiality for the Group to be £6.2m which is 1.5% of gross margin. We have not provided prior year comparatives for materiality thresholds because previously the Group has not presented consolidated financial information. We believe that gross margin provides us with an appropriate basis for materiality as the Group is composed of profit-orientated

entities. This basis is consistent with the basis used for materiality in previous periods for the Parent Company financial statements when a consolidated Group position was not reported.

On the basis of our risk assessments, together with our assessment of the Group's overall control environment, our judgement was that performance materiality was 75% of our planning materiality, namely £4.7m. We have set performance materiality at this percentage due to a limited history of misstatements or significant control deficiencies.

(J Sainsbury plc, 2023)

8.3 Problems with materiality

As discussed above, materiality is a matter of judgement for the auditor. Therefore, prescriptive rules will not always be helpful when assessing materiality. A **significant risk** of prescriptive rules is that a **significant matter**, which **falls outside the boundaries of the rules**, could be overlooked, leading to a **material misstatement in the financial statements**.

The percentage guidelines of assets and profits that are commonly used for materiality (eg, those referred to in section 8.2.1) must be handled with care. The auditor must bear in mind the **focus** of the company being audited.

In some companies, **post-tax profit** is the key figure in the financial statements, as the level of dividend is the most important factor in the accounts.

In **owner-managed businesses**, if owners are paid a salary and are indifferent to dividends, the key profit figure stands higher in the statement of profit or loss and other comprehensive income, say at **gross profit** level. Alternatively in this situation, the auditor should consider a figure that does not appear on the statement of profit or loss and other comprehensive income: **profit before directors' salaries and benefits**.

Some companies are **driven by assets** rather than the need for profits. In such examples, higher materiality might need to be applied to assets. In some companies, say charities, **costs** are the driving factor, and materiality might be considered in relation to these.

While rules or guidelines are helpful to auditors when assessing materiality, they must always keep in mind the **nature** of the business they are dealing with. Materiality must be **tailored to the business and the anticipated user** of financial statements, or it is not truly materiality. The extracts from auditors' reports included in section 8.2.4 above demonstrate how these principles are applied in practice.

The FRC published **Audit Quality Thematic Review: Materiality** in December 2017 and found that the quality and frequency of materiality judgements displayed by audit firms was improving: for example, in three out of the eight firms visited, the FRC found that performance materiality was reduced to reflect the increased risk presented by the first year of audit. The review did conclude that the disclosure of judgements associated with materiality could be explained further by auditors within the auditor's extended report and that there should be greater dialogue about materiality between audit committees and their external auditors to ensure full visibility of the audit approach, but overall, there was optimism that this area was seeing some improvement in quality.



Professional skills focus: Applying judgement

The evaluation of materiality often starts with a calculation but encourages auditors to consider other factors as well when determining what should really be the focus in the audit. This approach of combining both quantitative and qualitative factors is therefore a good way of demonstrating judgement.

Interactive question 6: Materiality (1)

You are the manager responsible for the audit of Albreda Ltd. The draft consolidated financial statements for the year ended 30 September 20X6 show revenue of £42.2 million (20X5 £41.8 million), profit before taxation of £1.8 million (20X5 £2.2 million) and total assets of £30.7 million (20X5 £23.4 million). In September 20X6, the management board announced plans to cease offering 'home delivery' services from the end of the month. These sales amounted to
£0.6 million for the year to 30 September 20X6 (20X5 £0.8 million). A provision of £0.2 million has been made at 30 September 20X6 for the compensation of redundant employees (mainly delivery van drivers).

Requirement

Comment upon the materiality of these two issues.

See **Answer** at the end of this chapter.

Interactive question 7: Materiality (2)

You are the auditor of Oscar Ltd and are in the process of planning the audit for the year ended 31 December 20X8. In the past the audit of this company has been straightforward. The following information is available:

	20X8	20X7
	£'000	£'000
Total assets	1,800	1,750
Total revenue	2,010	1,900
Profit before tax	10	300

Materiality has been calculated by a colleague as follows: Profit before tax = £10,000 × 5% = £500

Requirement

Comment on the suitability of the planning materiality figure.

See **Answer** at the end of this chapter.

9 Responding to assessed risks

Section overview

Further audit procedures should be designed in response to the risks identified.

As a result of the auditor's risk assessment and assessment of materiality an **audit strategy** will be developed in response. ISA 330, *The Auditor's Responses to Assessed Risks* makes the following points in this context which you should be familiar with.

9.1 Overall responses

The auditor should design and implement **overall responses** to address the risks of material misstatement at the financial statement level. This may include the following:

- Emphasising to the audit team the need to maintain **professional scepticism** in gathering and evaluating audit evidence
- Assigning more **experienced staff**, those with **special skills** or using **experts**
- Providing **more supervision**
- Incorporating **additional elements of unpredictability** in the selection of further audit procedures

The auditor may also make general changes to the nature, timing or extent of audit procedures, for example by performing substantive procedures at the period end instead of at an interim date.
These decisions will take into account the auditor's assessment and understanding of the control environment.

9.2 Audit procedures responsive to risks of material misstatement at the assertion level

The auditor is required to design and perform procedures which will address the risks identified. The ISA emphasises the link between **further audit procedures and the risk assessment process**.
Factors which the auditor will consider include the following:

- The reasons for the risk assessment at the assertion level for each class of transaction, account balance or disclosure
- The likelihood of material misstatement due to the particular characteristics of the class of transaction, account balance or disclosure involved
- Whether the risk assessment takes account of relevant controls and so requires the auditor to obtain evidence to determine whether the controls are operating effectively

The auditor shall obtain more persuasive audit evidence the higher the assessment of risk.

The auditor will then determine the **nature, timing and extent of further audit procedures**. We will look at this aspect of the audit in detail in Chapter 6.

9.3 Evaluating the sufficiency and appropriateness of audit evidence obtained

Based on the audit procedures performed and the evidence obtained, the auditor should conclude whether sufficient, appropriate audit evidence has been obtained to reduce the risk of material misstatement to an acceptably low level. While this will be considered by the auditor throughout the audit, it is of particular relevance at the review stage of the audit. We will consider this in more detail in Chapter 6.

9.4 Documentation

The ISA emphasises the need to document the link between the audit procedures and the assessed risks. These matters should be recorded in accordance with ISA 230, *Audit Documentation*. You should be familiar with the principles of this ISA from your earlier studies.



Professional skills focus: Concluding, recommending and communicating

Whatever the auditor's response to the risk assessment carried out, it must follow on logically from the evidence collected at the planning stage or the audit may not address the correct audit risks.

10 Other audit methodologies



Section overview

Other audit methodologies include:

- systems audit;
- transaction cycle approach; and
- balance sheet audit approach.

10.1 Introduction

In this chapter we have looked in detail at business risk and audit risk. However, there are a number of other audit approaches which may be adopted.

10.2 Systems audit

An auditor may predominantly test controls and systems, but substantive testing can **never** be eliminated entirely. It is always used in conjunction with another approach.

You should be familiar with the systems and controls approach to auditing from your previous studies.

Management are required to implement a system of controls which is capable of fulfilling its duty of **safeguarding the assets** of the shareholders.

Auditors assess the system of controls put in place by the directors and ascertain whether they believe it is effective enough for them to be able to rely on it for the purposes of their audit.

If they believe that the system is effective, they carry out tests of controls to ensure that the control system operates as it is supposed to. If they believe that the control system is ineffective, they assess control risk as high and undertake higher levels of substantive testing.

The key control objectives and procedures over the main cycles of sales, purchases and wages were studied at length in your previous studies. If you do not feel confident in what they are, you should go back to your learning materials in these areas and revise them now.

An auditor may choose predominantly to carry out substantive tests on the transactions and balances of the business in the relevant period, but if internal control systems are particularly weak then no amount of substantive testing may give adequate assurance (eg, if point of sales controls over cash receipts are inadequate, then substantive testing may never detect material understatement of revenues).

Two approaches to substantive testing are:

- the **transaction cycle approach**; and
- the **balance sheet approach**.

10.3 Transaction cycle approach

Cycle testing is in some ways closely linked to systems testing, because it is based on the same systems.

When auditors take a cycle approach, they test the transactions which have occurred, resulting in the entries in the statement of profit or loss and other comprehensive income (for example, sales transactions, inventory purchases, asset purchases, wages payments, other expenses).

They would select a sample of transactions and test that each transaction was valid and complete and processed correctly throughout the cycle. In other words, they substantiate the transactions which appear in the financial statements.

The key business cycles are outlined below. Remember that you know what the processes should be in the cycle (you have assessed the system and controls previously). Under this approach, you are ensuring that individual transactions were processed correctly. Hence, the cycles outlined below should correspond to the controls processes you are already aware of.

Figure 5.5: Sales cycle

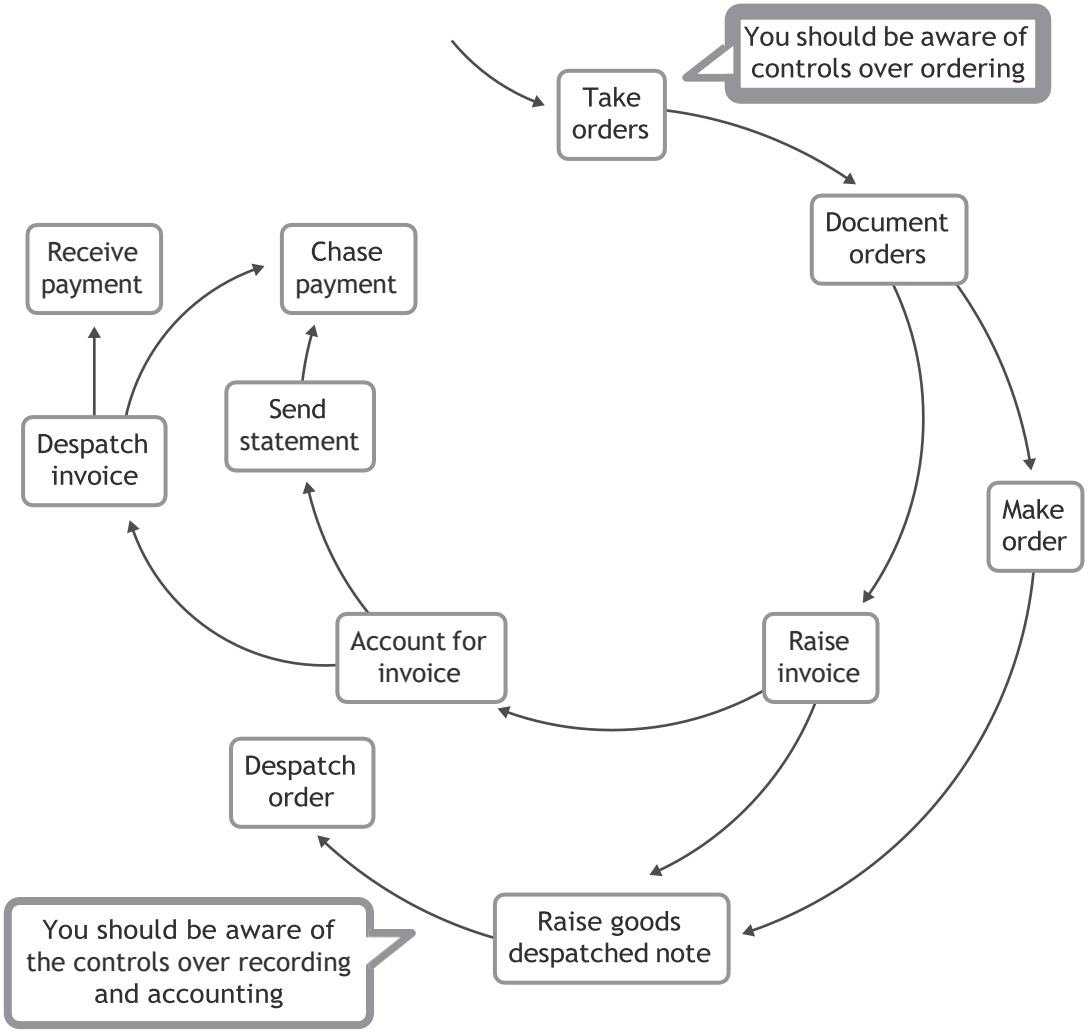
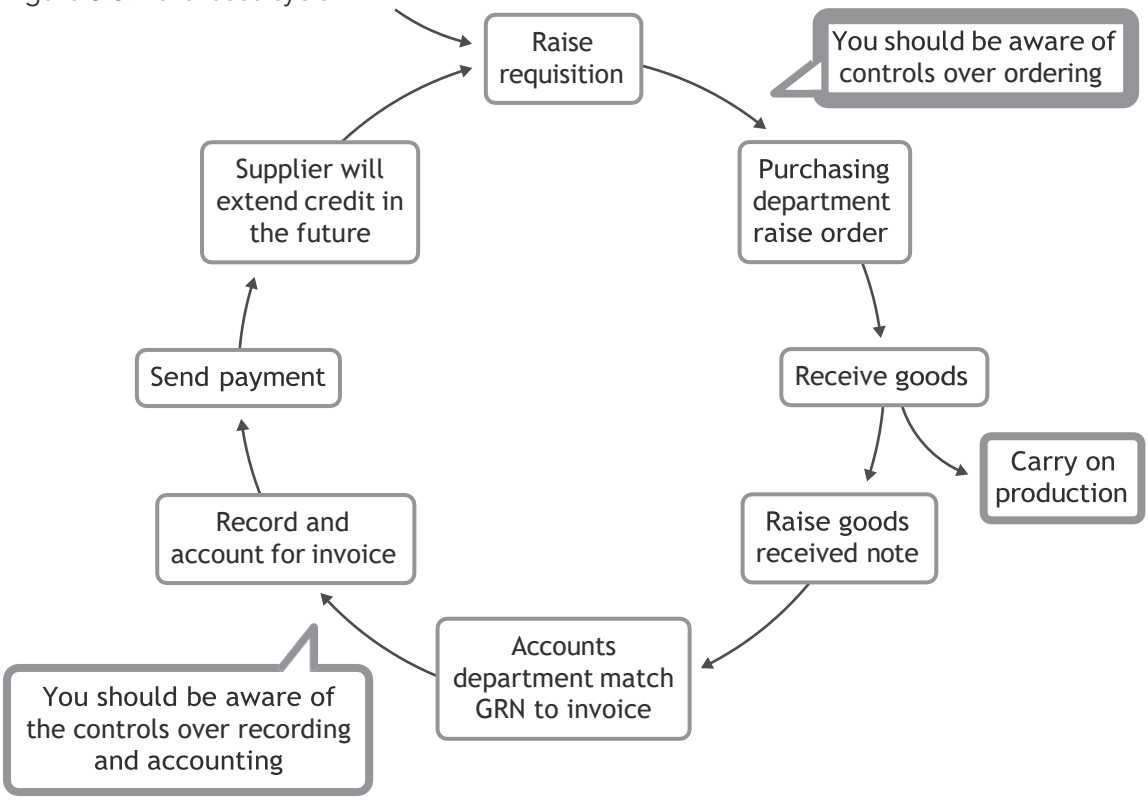


Figure 5.6: Purchases cycle



The auditor should be able to find an audit trail for each transaction, for example in the purchases cycle:

- Requisition
- Invoice
- Order
- Ledger and daybook entries
- GRN
- Payment in cashbook

10.4 Balance sheet approach

An alternative to the cycles (or transactions) approach to auditing is to take the balance sheet approach. This is the most common approach to the substantive part of the audit, after controls have been tested.

The statement of financial position (balance sheet) shows a snapshot of the financial position of the business at a point in time. It follows that if it is fairly stated and the previous snapshot was fairly stated then it is reasonable to undertake lower level testing on the transactions which connect the two snapshots; for example, analytical procedures.

Under this approach, therefore, the auditors seek to concentrate efforts on substantiating the closing position in the year, shown in the statement of financial position, having determined that the closing position from the previous year (also substantiated) has been correctly transferred to be the opening position in the current year.

You should be aware of the financial statement assertions and the substantive tests in relation to the major items on the statement of financial position from your previous studies. We will also review these in more detail in Chapter 6.

10.4.1 Relationship with business risk approach

The substantive element of an audit undertaken under a business risk approach is restricted due to the high use of analytical procedures. However, the element of substantive testing which remains in a business risk approach can be undertaken under the balance sheet approach.

In some cases, particularly **small companies**, the business risks may be strongly connected to the fact that management is concentrated in one person. Another feature of small companies may be that their statement of financial position is uncomplicated and contains one or two material items, for example receivables or inventory.

When this is the case, it is **often more cost effective to undertake a highly substantive balance sheet audit than to undertake a business risk assessment**, as it is relatively simple to obtain the assurance required about the financial statements from taking that approach.

10.4.2 Limitations of the balance sheet approach

When not undertaken in conjunction with a risk-based approach or systems testing, the **level of detailed testing** can be high in a balance sheet approach, rendering it **costly**.

11 Information technology and risk assessment



Section overview

- A huge number of organisations now use computer systems to run their businesses and to process financial information.
- The main risks associated with using computerised systems include malware and access by unauthorised users. Both these risks could potentially have a very damaging effect on the business.
- This means that a number of the controls which the directors are required to put into place to safeguard the assets of the shareholders must be incorporated into the computer systems.
- Auditors have to assess the effectiveness of the controls in place within computer systems and can do this by performing a systems audit as part of their initial assessment of risk during the planning stage of the audit.

11.1 The use of information technology

Most organisations and businesses, even very small entities, now use **information technology (IT)** to some degree. The first use of a computerised accounting system is thought to have been back in 1954 by General Electric, and rapid advances in computer technology since then are allowing companies to conduct business globally, making them indispensable and essential to an entity's operations.

However, the increasing use of technology has **changed** those **risks that apply to the business** which can also have an impact on the **risk of the financial statements being misstated**. These risks have evolved alongside the development of technology in the last few years and with it the facility for transactions to be conducted and reviewed electronically.

Not all technological developments bring risk: the ability to deploy technology for both the creation of accounting information and how it is audited has introduced **efficiencies** and reduced the potential for **human error**, although issues such as data bias and cyber security have become more significant.

One area where IT-driven business risk is growing is the increasing use of **cloud computing**, where digital storage is provided by third parties in remote locations and is only accessible online. Chapter 7 contains more details on cloud computing. In this chapter you will also look at how the increase in technology brings risks associated with **cyber security**.



Context example: Deepfake news

In 2024, an employee at UK design and engineering company Arup was deceived into transferring a sum equivalent to around £20 million to fraudsters after they set up a virtual meeting using deepfake

versions of senior company staff. The request was made in a video call using deepfake images and voices which were recognised by the employee who concluded that they could be trusted and that the transaction was legitimate.

(Magramo, K., 2024)



Definition

***Deepfake:** The use of technology to create images or speech that appear to come from certain individuals but which are instead created by AI-based technology for various reasons.*

*There are many examples of celebrities being imitated in various situations which has led to an increased awareness of the **risks associated with deepfake** being used for news and propaganda. However, the Arup story illustrates how internal controls within organisations may also need to evolve in the face of such threats.*

11.2 *Systems audit (IT-specific)*

*As part of any audit, auditors are required to assess the **quality and effectiveness** of the accounting system. Increasingly, this necessarily includes a consideration of the computer systems in place within the organisation.*

The following are the key areas they are likely to concentrate on to establish how reliable the systems are:

- *Management policy*
- *Segregation of duties*
- *Security*

You should be aware that these are important control considerations in a computer environment. The details that the auditor will consider within each area are outlined below.

Management policy

- *Does management have a written statement of policy with regard to computer systems?*
- *Is it compatible with management policy in other areas?*
- *Is it adhered to?*
- *Is it sufficient and effective?*
- *Is it updated when the systems are updated?*
- *Does it relate to the current system?*

Segregation of duties

- *Is there adequate segregation of duties with regard to data input?*
- *Are there adequate system controls (eg, passwords) to enforce segregation of duties?*

Security

- *Is there a security policy in place?*
  - *Physical security (locked doors/windows)*
  - *Access security (passwords)*
  - *Data security (firewalls and other cyber security measures)*
- *Is it adhered to?*
- *Is it sufficient and effective?*

11.3 Cryptocurrencies and blockchain

To counter the problems of reporting financial performance and position both accurately and securely, a virtual system known as 'blockchain' has become more widespread across the world. Using what is also referred to as a 'distributed ledger', transactions are recorded in blocks, with access and initiation driven by encryption technology.

Blockchain is used for trading virtual currencies called 'cryptocurrency' (one example of this is 'Bitcoin') and can also be used for recording financial transactions.

Why is this relevant to corporate reporting? You need to be familiar with the technology and how it could be used in a corporate context, including the business risks created from diverting traditional funds into forms of cryptocurrency and how to accurately record, measure and review transactions using such technology. The implications for auditors of organisations using this kind of technology are also significant. Make sure you revise these terms from your Professional Level Business Strategy and Technology materials.

For now, let's think about some of the challenges that blockchain and cryptocurrency might present for auditors.



Context example: Real life example: Blockchain, cryptocurrency and the auditor

Back in 2018, the ICAEW IT Faculty published a report called 'Blockchain and the future of accountancy'. The introduction to this report starts as follows:

Blockchain is a foundational change in how financial records are created, kept, and updated. Rather than having one single owner, blockchain records are distributed among all their users. The genius of the blockchain approach is in using a complex system of consensus and verification to ensure that, even with no central owner and with time lags between all the users, nevertheless a single, agreed-upon version of the truth propagates to all users as part of a permanent record. This creates a kind of 'universal entry bookkeeping', where a single entry is shared identically and permanently with every participant.

The article continues by explaining that these blockchain records are known as a distributed ledger. One of the most famous examples of a blockchain is the system that operates Bitcoin. The shared nature of the information stored on a blockchain will make it attractive for accountants as the records are universally agreed, providing clarity over the ownership of assets and the existence of obligations and therefore allowing accountants to focus on understanding issues such as the valuation of the assets on the ledger.

Auditors would also see changes to the way they perform engagements for organisations that record their activity on a blockchain. Technology such as data analytics could be used to automatically verify the accuracy and existence of these blockchain transactions, meaning that the auditor could instead focus on the details behind such transactions and use their judgement to evaluate the information that is being presented about that organisation within its financial statements.

*Since this report was published, blockchain and cryptocurrency have become more widely used – the term **cryptoassets** is now being suggested as a better way of describing the whole category, of which cryptocurrency and **non-fungible tokens** represent sub-sets of something of value but without physical form.*

What has all this meant for the accounting profession in practice? Fast forward to September 2022 and we have an ICAEW Insights report called 'How do we audit cryptocurrency?' which uses cryptocurrency as a way of discussing what auditors need to know if they audit this type of blockchain technology. In summary:

- *The lack of any definitive guidance on how to value cryptocurrency makes it prone to higher levels of audit risk, specifically both under- and over-statement.*
- *The distributed ledger means that auditors can access records directly, which increases efficiency, but also means that auditors will need to possess both the skills and the technology to be able to obtain audit evidence from the blockchain themselves.*
- *There are many different kinds of cryptocurrency which all behave in different ways, adding to the potential complexity and therefore volatility of this particular type of asset. Speculation can also affect prices.*
- *Although blockchain information is universally available, there is still the potential for uncertainty over the true ownership of certain assets which makes cryptocurrency prone to fraud, money laundering and related party transactions.*
- *International accounting standards for cryptocurrency still do not exist and not all currencies are regulated, so there is still some way to go in being able to say that blockchain has liberated the auditor.*

Is all this concern about risk justified? In November 2022, a US-based cryptocurrency trading platform called FTX filed for bankruptcy. In the weeks that followed, it emerged that there were allegations of fraud that involved the disappearance of $8 billion in client funds. The founder of FTX, Sam Bankman-Fried, was eventually arrested and charged by the US Department of Justice in December 2022. The case heard that FTX did not possess any of the necessary internal controls that a financial institution would be expected to operate and that there would need to be an Enron-style reconstruction of the events leading up to its demise to enable a fuller picture of events to become clear. In 2023, Bankman-Fried was convicted and later sentenced to 25 years in prison for his part in this case.

It certainly seems plausible that the absence of robust regulatory oversight and the volatile nature of this emerging market has made cryptoassets risky. The potential for gains and losses in this digital marketplace has even led some to speculate that instead of (or even as well as) treating it as a regulated industry, cryptoasset trading can become addictive, which makes it less a category for financial services regulation and more a form of gambling. Research suggests that chasing the best deals can become harmful to traders' health and can lead to irrational behaviour that requires more than just a code of conduct.

At the time of writing, there has been a concerted effort to consider both accounting standards and regulatory mechanisms for cryptocurrencies and the underlying blockchain technology that supports them – it will be essential for the accounting profession overall to keep track of these developments so practitioners are prepared come what may.

(Chipolina, S. and Barnes, O., 2023; ICAEW, 2018; ICAEW Insights, 2022; Chaffin, J., 2022)

12 Data analytics, robotic process automation (RPA) and artificial intelligence (AI)

Section overview

Firms are now required to consider how much they should invest in data analytics to provide a better quality audit and to reduce risk and liability for the auditor. Recent developments in robotic process automation (RPA) and artificial intelligence (AI) have made this kind of technology more sophisticated thus increasing its potential.

12.1 Data analytics

Large firms in particular have been developing a data analytics offering with many clients now expecting their auditors to adopt this approach. However with the growing range of generic data analytics tools becoming available it is also becoming more relevant to small and medium sized firms too.

There are many definitions of data analytics.

Definitions

Data analytics: The process of collecting, organising and analysing large sets of data to discover patterns and other information which an organisation can use for its future business decisions.

Closely linked to the term data analytics is data mining.

Data mining: The process of sorting through data to identify patterns and relationships between different items. Data mining software, using statistical algorithms to discover correlations and patterns, is frequently used on large databases. In essence, it is the process of turning raw data into useful information.

The ICAEW Audit and Assurance faculty document *Data analytics for external auditors* describes data analytics as follows:

"Data analytics involves the extraction of data using fields within the basic data structure, rather than the format of records. A simple example is Power view, an Excel tool which can filter, sort, slice and highlight data in a spreadsheet and then present it visually in variety of bubble, bar and pie charts."

In simpler terms data analytics is about examining raw data with the purpose of drawing conclusions about it. The Audit and Assurance faculty document identifies the following as commonly performed data analytics routines:

- Comparing the last time an item was bought with the last time it was sold, for cost/NRV purposes
- Inventory ageing and how many days inventory is in stock by item
- Receivables and payables ageing and the reduction in overdue debt over time by customer
- Analysis or revenue trends split by product or region
- Analyses of gross margins and sales, highlighting items with negative margins

- Matches of orders to cash and purchases to payments
- 'Can do did do testing' of user codes to test whether segregation of duties is appropriate, and whether any inappropriate combinations of users have been involved in processing transactions
- Detailed recalculations of depreciation of fixed assets by item, either using approximations (such as assuming sales and purchases are mid-month) or using the entire data set and exact dates
- Analyses of capital expenditure v repairs and maintenance
- Three-way matches between purchases/sales orders, goods received/despatched documentation and invoices

Data analytics can also draw on external market data as well as internal data, for example third-party pricing sources and foreign exchange rates can be accessed to recalculate the valuation of investments. ('Coming your way' by Katherine Bagshaw and Phedra Diomidous, *Audit and Beyond*, 2016).

Data analytics can analyse unstructured data as well as structured data. For example an analysis of emails could be a more effective means of identifying fraud than an analysis of journals. Data analytics tools allow the auditor to analyse this type of information in a level of detail which would not be possible manually.

12.2 Improved audit quality

One of the key drivers behind the use of data analytics is improved audit quality. The Audit and Assurance faculty document identifies the following as the unique features of data analytics which contribute to improved risk assessment:

- The ability to graphically visualise results: this makes it easier to drill down to the underlying data and obtain a better understanding of findings
- Sophistication, and the breadth of interrogation options: this includes wide-ranging query and filter options
- Ease of use by non-specialists: the identification of anomalies, outliers and trends could highlight issues that would otherwise have gone unnoticed
- Scale and speed: resulting in time efficiencies

By using data analytics tools the auditor can navigate much bigger data sets much faster than before so that while the analyses performed are not fundamentally different to those performed in the past they are now at a more granular level. The quality of the analyses is enhanced and therefore the judgments made on the basis of this information are enhanced too.

Data analytics can be used to 'drill down' into the data, for example, in order to identify which journals need to be tested. In this way substantive procedures are better directed. For example:

- Extract and examine all credit journal entries to the Revenue Account where the corresponding debit is **not** either receivables or cash (which would be the normal expected entries). These extracted exceptions can then be investigated.
- Extract and examine all journal entries which are: Dr PPE account; Cr an expense account. This would be an unusual entry in the normal course of business and there is a risk of creative accounting by capitalising expenditure that should be expensed. These can be investigated including requiring management explanations.

The Audit and Beyond article also highlights the role of data analytics in supporting the application and demonstration of professional scepticism. For example, predictive data analytics tools might be used to help assess the reasonableness of management representations.

An article by KPMG from 2017 called 'Data, Analytics and Your Audit' discusses the impact of big data and how it affects auditors. The article emphasises that the use of data by auditors is not a new thing by any means since auditors have always had to analyse data. Data analytics allows auditors to analyse data at much greater speeds than before. For example, data analytics will allow auditors to sample much higher volumes of transactions up to 100% in some cases, which will allow auditors to identify high risk transactions over a vast array of data and in minutes rather than over weeks. The article cites the example of a clothing retailer and shows how data analytics can allow auditors to evaluate the three-way match between purchase orders, delivery confirmations and invoice documentation in a graphical way that can show account relationships and transaction flows and control issues over segregation of duties. Data analytics can also be used to examine supplier relationships (supplier contracts, payment terms, controls over procurement processes etc).

The article includes a very useful table on the use of data analytics which is shown below.

Area	Use of data analytics
Revenue and accounts receivable	Identify discrepancies in price and quantity between invoices, sales orders and shipping documentation Identifies stockouts and customer orders coming in faster than shipped products
Segregation of duties	Identifies areas of increased risk Highlights internal control deficiencies through inefficient segregation of duties
Purchases and accounts payable	Identifies significant or unusual items such as invoice price discrepancies against original purchased products Shows purchase trends and activities with suppliers that are unauthorised or where there are concentrations of spending activities
Supply chain	Identifies risks resulting from the concentration of suppliers in a particular region Can highlight possible issues if suppliers are affected by regional disruptions

12.3 Technical challenges

While data analytics can be seen as the solution to many problems it is also the cause of new ones.

12.3.1 Data capture, extraction, validation and transformation

In order to apply data analytics effectively the auditor needs to be able to extract data from the client's system in a usable format. In order to do so they need to be able to interface with clients' systems. This can involve a considerable amount of investment in mapping different systems, particularly where they are bespoke to the client.

The issue of 'transformation' also has to be addressed. This relates to the way in which data is made useable. This normally involves changing the data by simplifying it. Before changes are made careful thought is required regarding the impact this will have on the quality of the evidence.

12.3.2 Data protection

Confidentiality and security of information are critical issues. This is particularly the case where there is the potential for the creation of new personal data when analyses refer to individuals. In these cases the auditor must ensure that relevant data protection laws and regulations are complied with.

12.3.3 Quality

Data analytics tools must be developed to the highest quality assurance standards. As the Audit and Assurance Faculty document indicates procedures should include pilot and parallel running with the 'normal' audit process together with contingency plans should the software crash. There also need to be proper controls to ensure that individuals using the tools are using them properly.

12.3.4 Data retention

The audit process has always allowed the auditor access to and retention of information which is not its own. However the scope of data analytics is such that the volume has reached a new scale. While there are differing views about the amount of information that should be retained and how long it should be kept there is a consensus that 'If an item has been tested, information about it should be retained such that it could be identified again if necessary'.

12.4 Data analytics and auditing standards

Current auditing standards are risk-based. They require risk analysis, controls testing and sampling against a 'materiality' benchmark. It could be argued that data analytics and its possibilities challenges these concepts and therefore the audit itself. Two aspects of the audit in particular are potentially affected as the technology is developing:

Test of controls

ISAs require evaluation and testing of controls where the auditor is to rely on them, as a means of obtaining comfort that transactions processed by the system are properly recorded in the financial statements. However if auditors are able to use data analytics tools which allow them to see what has happened to all of the transactions and these tools show that they are properly valued and recorded why would the auditor need to test the controls applied in the system?

Sampling

Sampling has historically been adopted on the basis that it is not cost-effective (or necessary if risk assessment has been performed) to audit 100% of all balances in the financial statements. Again data analytics could challenge this principle. For example if it is possible to examine 100% of the invoices automatically, both cheaply and efficiently why would the auditor choose to examine only a sample?

Auditing data analytics

As accountants increasingly use data analytics for the purposes of visualisation, summary and interpretation of ever larger data sets, auditors also need to become more accustomed to using this information in their audits and develop skills that allow them to manage the output of data analytics into their audit approach. Key to this will be unlocking the messages contained in the content created by data analytics techniques. As a student, you should start to consider how you can leverage your professional judgement and scepticism skills when presented with the outcome of data analytics activity.

For example, an auditor may possess software that uses data imported from its client to perform analysis that either applies AI or the auditor's own judgement to highlight trends or anomalies within a population for closer inspection.

12.5 Current developments

12.5.1 *IAASB and technology*

The IAASB has issued a number of documents that aim to support practitioners when using technology. Here are some recent examples that show the approach that is recommended and an overview of its rationale in each case.

Publication	*Overview*
IAASB Support Material Related to Technology: Audit Documentation When Using Automated Tools and Techniques (2020)	*As greater use is made of automated tools and techniques (ATTs) including data analytics, there is a risk that documentation from their use might not comply with ISAs or quality management standards.* *This guidance recommended a series of steps that could be taken to address this, such as exporting the results of data analytics to a spreadsheet package or listing the parameters set when AI has been used within testing.*
IAASB Support Material Related to Technology: Frequently asked questions (FAQ) – The use of automated tools and techniques when identifying and assessing the risks of material misstatement in accordance with ISA 315 (Revised)	*Examples of the areas covered by FAQs (and the guidance supplied):* • *The ATTs that can be used for risk assessment (data analytics routines for identifying trends; AI to identify complex patterns)* • *The use of ATTs to support the exercise of professional scepticism (encouraged, but auditors should still display judgement and scepticism, such as when bias could be present)* • *The use of ATTs in identifying inherent risks (again, encouraged as trends, patterns and anomalies can be identified more easily)*
IAASB Support Material Related to Technology: Frequently asked questions (FAQ) regarding the use of automated tools and techniques in performing audit procedures (2020)	*This guidance was designed to answer two specific questions:* (a) *Can one ATT provide evidence for both risk assessments and further audit procedures?* *Although they relate to different parts of the audit, one ATT can support both as long as there is clarity in how it is performed (so, analysing data for trends but also with regard to addressing specific audit assertions)* (b) *Can ATTs be used to perform substantive analytical procedures?* *Essentially, yes, as long as the source data is reliable and the technology is deployed with a stated audit objective in mind.*
IAASB Support Material Related to Technology: Frequently asked questions (FAQ) addressing the risk of overreliance on technology – use of ATT and use of information produced by the entity's	*This is understandably an area where the need for guidance is acute – how much can you trust the output of an ATT which has been generated by a system that you may not be able to fully interrogate? Algorithms in AI-generated testing may be impossible to inspect, which leads to the risk of bias being unconsciously introduced into ATTs if the original algorithm was also biased.* *The guidance suggests that combatting this starts with an awareness that the issue exists and then ongoing training and*

Publication	Overview
systems (2021)	*communication within audit teams to consider this risk.*
IAASB Support Material Related to Technology: Frequently asked questions (FAQ) on investigating exceptions and relevance of performance materiality when using ATT (2023)	*If the use of ATTs delivers a series of results that do not match the expectation of the test, they may be due to a fault in the parameters that have been set when applying the ATT, as opposed to true exceptions due to control deficiencies or misstatements.* *Auditors need to be alert to this when setting up their ATTs as well as when interpreting their results. This includes the continuing use of performance materiality as a way of managing the risk that although ATTs could test 100% of the population, they still might not be able to do so with 100% accuracy.*

The IAASB regularly updates its content in this area – you should stay up to date by accessing the IAASB's Technology site here: https://www.iaasb.org/focus-areas/technology

12.5.2 UK FRC and technology

In 2017, the UK FRC issued The Use of Data Analytics in the Audit of Financial Statements which concluded that while there was plenty of potential for the use of technology in audits, there was little application beyond the analysis of journals.

In 2020, the UK FRC revisited this area in its thematic review, The use of technology in the audit of financial statements, and found a different picture altogether:

- The use of ATTs and data analytics was widespread among firms, with emerging technology such as machine learning and predictive analysis being developed
- Audit teams are being trained to use these ATTs which has led to better application of the technology in generating meaningful audit evidence and improved documentation
- Progress into new areas was being seen, although beyond journals testing, the main areas where ATTs were being used was in risk assessments and the audit of revenue (machine learning was being used to consider ways of enhancing the effectiveness of journal testing)
- Investment in emerging technologies was seen to be consistent with firms' stated strategies although there was caution that poor quality data might still compromise the effectiveness of the use of ATTs
- The challenge of compliance with ISAs and other standards was still considered an issue, however, both for auditors and regulators

The UK FRC noted that as well as improving efficiency and effectiveness, technology could also increase audit quality, but at the time of their report in March 2020, they concluded that technology was no match for the skills and judgement of an experienced auditor.

Given the national and global events that have occurred since this report was published, it is likely that the role played by technology in the UK auditing profession has changed again, so you should stay alert to future publications of this type here: https://www.frc.org.uk/library/supervision/audit- firm-resources/audit-thematic-reviews/

(FRC, 2020)

12.5.3 Robotic process automation (RPA)

Consider the use of RFID (Radio Frequency Identification) chips, a form of sensor technology used to locate and/or protect items, in the context of using data on the audit – imagine how they could be put to use if inventory could be remotely counted and monitored using such

technology. This would create savings in terms of staffing required to physically maintain inventory and also those required to process the data from inventory counts, none of whom would ever get sick or make a mistake.

This is just one example of robotic process automation (RPA) where the opportunities to streamline business processes via the use of smart technology are potentially limitless. Clearly, there are also risks attached to such automation, including over-reliance on technology and the structural shift in skills required as finance departments rely more on data analysis than on collection, cleansing and processing. Finance staff need to be trained to operate and review such processes competently.

12.5.4 Artificial intelligence (AI)



Definitions

Artificial intelligence (AI): Technology to help improve decisions made by machines, based on machine learning, with the aim of making better decisions than humans can. AI requires pattern recognition and learning, rather than relying on a series of complex rules, so is not the same as expert systems, which failed to grasp the complexities of the real world and were unable to adapt to dynamic situations. AI systems use complex programming to know how to behave in certain situations, while machine learning promotes automatic learning without being prompted.

Generative AI (Gen AI): AI that can create text, images, audio, video and other data in response to a prompt or other data. Examples include ChatGPT and Copilot. Gen AI applications such as Grammarly are also used to support people with certain conditions, such as dyslexia.

The use of AI includes voice-activated technology such as Amazon's Alexa and Apple's Siri where **small digital devices** are able to respond to voice commands when completing requests such as online searches and connection to other smart devices (such as those that might control lighting and heating in a house). AI and machine learning are also used in various **manufacturing processes** where precision is essential for creating and maintaining competitive advantage.

AI is starting to have more widespread use in driver-less cars and forecasting algorithms for companies. AI needs to consider both forms of decision-making: **intuitive** (based on instincts) and **reasoned** (based on logic). Gen AI has become a very popular way of leveraging AI in a more user- friendly manner, from interactive chatbots providing customer support on websites to the creation of new programming code within existing or new applications.

There are similarities to the 'dot com' boom at the start of the 21st century because no-one is really sure how far the possibilities afforded by AI could go, leading to legitimate questions over the ethical and legal implications of widespread adoption of AI and Gen AI.

AI and auditors – opportunities and issues

There is an increasing role of AI as part of **audit data analytics**, in automated and smart auditing of populations, not just samples, thus reducing human error. AI-driven data analytics offer efficiencies, better insight and added value for both accountants and their clients as they can handle large data volumes while the system learns but it will not get tired or make mistakes. AI could support stronger forensic auditing techniques as well (see Chapter 25). Auditors would need to be able to understand the impact of AI and machine learning in the financial statements (such as valuation or impairment for new and emerging technologies, including software).

Accountancy applications exist too, such as increased automation in transaction processes and systems, greater analysis of data to differentiate between 'rogue' (eg, fraud) and 'normal' activity and better predictions and forecasts on complex areas such as revenue.

AI is not 100% perfect though - what about unusual situations with little previous data to use for this machine learning to occur? Currently, while it is in development, AI still requires significant investment to become mainstream and effective and for auditors to be able to direct this AI and interpret its findings.

Nonetheless, there is still great potential (indeed, there may be no choice to adopt once it gains enough traction) which will lead to change and adaptation in the profession: there could be less backward-looking review, and more forward-looking advisory work instead. There could even be scope to determine further uses of AI, such as whether AI can apply **professional scepticism** without a human's judgement present.

13 Task Force on Climate-related Financial Disclosures (TCFD)

In March 2020, the Financial Conduct Authority (FCA), which is the main UK financial markets regulator, issued instructions for all UK companies listed on the UK stock market to disclose their **carbon risks** to investors. This would be achieved by companies signing up to the Task Force on Climate-related Financial Disclosures (TCFD) and disclosing matters such as:

- describing management oversight of risks
- explaining how their strategy would cope in different temperature scenarios
- setting out risk management processes
- reporting their progress against targets

This TCFD approach was endorsed by the UK Government in its first Green Finance Strategy (BEIS, July 2019) which outlined the core elements of the recommended climate-related financial disclosures:

Figure 5.7: TCFD



Governance

The organisation's governance around climate-related risks and opportunities

Strategy

The actual and potential impacts of climate-related risks and opportunities on the organisation's businesses, strategy and financial planning

Risk management

The processes used by the organisation to identify, assess, and manage climate- related risks

Metrics and targets

The metrics and targets used to assess and manage relevant climate-related risks and opportunities

According to the government's 2023 Green Finance Strategy:

'…in 2022 alone, £23 billion of new low carbon investment was delivered in the UK – ranging from renewables, hydrogen, carbon capture and storage, nuclear, sustainable materials, energy storage, electrified transport, to clean heat.'

This comes amid a wider call for **greater corporate transparency** over the sustainability implications of strategies pursued by companies (and indeed countries) as ecological issues continue to dominate public debate. **Investors** in particular have welcomed this transparency as it will allow an **informed decision** on the steps companies are taking to address the possibility that climate-related issues may affect their return (for example, the risks of flooding affecting crop yields for a food manufacturer).

One term that is used in this context which you may be familiar with is **scenario analysis** which is a way of understanding the implications of various ESG risks and opportunities (including impacts and dependencies, plus physical and transition risks) that an organisation might face and how to develop **suitable responses**.

Clearly, there are **challenges** in how corporate reporting mechanisms can address these requirements, not only for organisations in **collecting and managing the data required** to support these disclosures but also for assurance providers who may be asked to **assess the validity** of such disclosures (whether as part of the audit or otherwise).

In 2021, the UK Government confirmed that with effect from 6 April 2022, the largest UK listed entities and some of the UK's largest private companies would be **required to make climate-related disclosures** that reflect the **TCFD framework** (BEIS, 2021). Organisations that are required to comply with these TCFD requirements:

- all UK companies that are currently required to produce a non-financial information statement, being UK companies that have more than 500 employees and have either transferable securities admitted to trading on a UK regulated market (such as the London Stock Exchange's main market), or are banking companies or insurance companies;
- UK AIM companies with more than 500 employees;
- UK companies which are not included in the categories above and have more than 500 employees and a turnover of more than £500 million; and
- LLPs which have more than 500 employees and a turnover of more than £500 million.

Note: The term "employees" in this context is not limited to UK employees. Where the company is a parent company, the threshold refers to the aggregate number of employees in the group.

To this end, the Companies Act 2006 has now been amended specifically to refer to sustainability alongside non-financial disclosures within a company's Strategic Report (UK Government, 2022). The UK's Financial Conduct Authority (FCA) clarified these requirements, stating that from 2022, premium listed companies and issuers of standard listed shares and global depository receipts (GDRs) would be required to make climate-related disclosures in line with the TCFD framework on a '**comply or explain**' basis. UK asset managers, life insurers and FCA-regulated pension providers would not have the option to explain: instead, they would need to make TCFD disclosures at both **entity-level** and in relation to their **products and portfolios** (FCA, 2021). This has since been supplemented by guidance from the FRC on the preparation of the **Strategic Report** in the UK which now includes sustainability and climate-related disclosures for qualifying entities that also reflect the TCFD framework (FRC, 2022).

Note:

In 2023, the Bangladesh Bank, through SFD Circular No. 06 dated 26 December 2023, issued the Guideline on Sustainability and Climate-related Financial Disclosure for all scheduled banks and finance companies. The guideline aims to improve transparency and accountability in reporting sustainability and climate-related financial risks and opportunities.

The framework is based on IFRS Sustainability Disclosure Standards (IFRS S1 and IFRS S2) and incorporates the TCFD recommendations. It requires banks and finance companies to disclose sustainability and climate-related information in their annual reports, focusing on four key pillars: governance, strategy, risk management, and metrics and targets.

Implementation will begin in phases from 2024, with institutions required to submit semi-annual regulatory reports to Bangladesh Bank. The guideline supports Bangladesh's broader environmental commitments, including the Paris Agreement, SDGs, and national climate action plans, and is intended to strengthen the financial sector's role in the transition to a sustainable, low-carbon economy.

In May 2024, the UK government published an update on its plans for the implementation of the **UK Sustainability Disclosure Requirements** (SDR), a framework designed to support the informed allocation of capital by investors with specific sustainability preferences. This requires the endorsement of the existing IFRS S1 and S2 content for use within the UK's legal and regulatory framework (effectively the Companies Act and the Listing Rules) to become part of the UK

Sustainability Reporting Standards SDS 1 and SDS 2.

At the time of writing, these UK standards are expected to be available in Q1 2025, with the FCA and the government confirming the disclosure requirements for listed and other entities respectively by Q2 2025. There is also a greater emphasis on the role of **transition plans** currently required under IFRS S2 which is expected to increase the reliance on the UK **Transition Plan Taskforce (TPT) Disclosure Framework** (you can read more about this in your Strategic Business Management materials).

There is currently **no requirement for these TCFD disclosures to be subject to any specific assurance**, although technically, information of this kind is covered by the auditor's Companies Act 2006 responsibilities for reviewing information in the Strategic and/or Directors' Report, the auditor's responsibilities relating to the UK Corporate Governance Code 'comply or explain' disclosures and those responsibilities that fall under ISA 720 for the audit of "other information" (TCFD, 2017).

In the UK, the FCA was consulted on the need to mandate assurance for any environmental, social and governance (ESG) disclosures including those related to TCFD, but while **benefits** could be seen, the **cost implications** and the absence of any applicable standards were felt to be obstacles that could not be justified (FCA, 2020).

However, the launch of the **ISSB** in 2022 and the issue of standards on disclosure for sustainability and climate-related risks and opportunities during 2023 (plus the launch of an exposure draft of the IAASB's **ISSA 5000** – see below) may lead to renewed calls for more explicit assurance over ESG information becoming a mandatory requirement.

(BEIS, 2021; Department for Business and Trade, 2023; FCA, 2020–21; FRC, 2022; TCFD, 2017; UK Government, 2019, 2022; Vincent, M., 2020)

13.1 *Beyond the UK*

European Union (EU)

*The **EU** has decided on a slightly different approach to that of the UK: in January 2023, it launched its **Corporate Sustainability Reporting Directive** (CSRD) which will build on the existing EU Non- Financial Reporting Directive (NFRD) and will require EU companies to **disclose information on sustainability matters**. The CSRD considers material items in terms of **double materiality**, the impact that the entity has on people and the environment as well as the financial risks and opportunities of sustainability issues on an entity, reinforcing the importance of understanding **impacts** and **dependencies** respectively.*

*In December 2023, the EU published the first of its **European Sustainability Reporting Standards** (ESRS) which contain details of the specific disclosures that entities operating in the EU will need to report from 2024 onwards in order to comply with the CSRD. At the time of writing, there are **12 ESRS** in line with the proposals made by the European Financial Reporting Advisory Group (EFRAG):*

Group	Number	Subject
Cross-cutting	*ESRS 1*	*General requirements*
Cross-cutting	*ESRS 2*	*General disclosures*
Environment	*ESRS E1*	*Climate*
Environment	*ESRS E2*	*Pollution*
Environment	*ESRS E3*	*Water and marine resources*
Environment	*ESRS E4*	*Biodiversity and ecosystems*
Environment	*ESRS E5*	*Resource use and circular economy*
Social	*ESRS S1*	*Own workforce*
Social	*ESRS S2*	*Workers in the value chain*
Social	*ESRS S3*	*Affected communities*
Social	*ESRS S4*	*Consumers and end users*
Governance	*ESRS G1*	*Business conduct*

*At the time of writing, it is anticipated that there will eventually be **sector or industry-specific ESRS** to complement these existing ESRS.*

*ESRS 2 General Disclosures is the only **mandatory reporting standard**; the remaining standards are subject to a **materiality assessment** (in other words, only information relevant to the reporting entity is expected to be disclosed) although the EU requires a **robust justification** of the rationale for any omissions on materiality grounds. Should an entity decide that climate change is not material in their context, the rationale for excluding this on the grounds of materiality would also need to be specifically explained.*

*The EU is aware of the **potential burden** from **duplicated reporting methodologies** but maintains that there is a very high degree of **alignment** between the ESRS methodology and the approach required under IFRS S1 and S2 – the core difference is that the use of ESRS goes further by considering the **impacts on users of financial statements who are not investors**. ESRS 2 General Disclosures is therefore structured as follows (note the similarities to IFRS S1 and S2):*

- *Governance*
- *Strategy*
- *Impact, risk and opportunity management*
- *Metrics and targets*

Reporting under ESRS will commence from 2025 for the largest companies and will be rolled out for others from 2026. At the time of writing, there are very few examples of what the CSRD and ESRS framework will look like in practice beyond the standards that have been issued: however, most entities will eventually be affected by this in some way, so you should stay alert for any examples of this to aid your understanding.

*The text of the CSRD discusses the benefits and drawbacks of providing **reasonable assurance** versus **limited assurance** on such information, framing it in the context of whether having no assurance over something as important as sustainability information would threaten its credibility when the financial statements of these entities would still be subject to some form of assurance (usually reasonable in the form of an audit).*

The directive concludes that in the absence of

- ***assurance standards** for sustainability that are equivalent to those used by auditors; and*
- *a **viable market** for the provision of such assurance services for sustainability information the best that can be hoped for is **limited assurance** to be adopted **by 1 October 2026** and a **target of 1 October 2028** is given to allow time for the EU and the market to support the provision of **reasonable assurance** on sustainability disclosures. In the meantime, existing assurance standards such as ISAE 3000 could be adopted if assurance is required.*

*At the time of writing, the EU is reviewing another one of its frameworks: the **Sustainable Finance Disclosure Regulation** (SFDR). Introduced in 2021, the purpose of this framework is to require **mandatory reporting** by entities of **sustainability information** that supports **informed decision- making** by investors when evaluating potential investments on their sustainability credentials. It is aimed at fund managers selling portfolios of managed funds and others who participate in financial markets.*

*The rationale here is that greater awareness of both the **risks** imposed on entities by sustainability issues and the harmful sustainability **impacts** that these entities can have should be central to financial investment appraisal. The SFDR aims to support one of the EU's key objectives, which is to encourage the role of private funding to help Europe achieve net zero. This is supported by the **improved levels of transparency** that SFDR hopes to achieve, so spurious sustainability claims made by entities (in other words, greenwashing) can be **challenged** and **better comparisons** between financial products can be made.*

*In May 2024, the EU published the responses from its 2023 **consultations** on the SFDR framework and how it is working in practice: while the framework appears to have strong levels of support across a broad range of stakeholders, **issues** were identified regarding the possible overlap between SFDR and other relevant regulations, such as the CSRD, which threaten its effectiveness:*

'Many respondents highlighted that misalignments and inconsistencies between these regulations pose challenges for both financial market participants (FMP) and end investors.'

(EU, 2024)

*However, while there are clearly still challenges in how it can be achieved, the importance of **meaningful** and **trusted disclosure** continues to be at the forefront of the conversation on sustainability reporting as initiatives such as CSRD and SFDR continue to support the necessary **scrutiny** for efficient and responsible capital allocation as part of the journey towards net zero.*

(EUR-Lex, 2022; European Union, 2023–24)

United States (US)

*In March 2022, the US Securities and Exchange Commission (SEC) announced the **Enhancement and Standardization of Climate-Related Disclosures** – a proposal for all public companies (essentially those that are quoted) in the US to include climate-related information in their published financial information. The press release stated that this information would include the following:*

'…information about climate-related risks that are reasonably likely to have a material impact on their business, results of operations, or financial condition, and certain climate-related financial statement metrics in a note to their audited financial statements. The required information

about climate-related risks also would include disclosure of a registrant's greenhouse gas emissions, which have become a commonly used metric to assess a registrant's exposure to such risks.'

In summary, the required disclosures for each company include the following:

- *The registrant's **governance** of climate-related risks and relevant risk management processes*
- *how any climate-related risks identified by the registrant have had or are likely to have a material **impact** on its business and consolidated financial statements, which may manifest over the short-, medium-, or long-term*
- *how any identified climate-related risks have affected or are likely to affect the registrant's **strategy**, **business model**, and **outlook***
- *the **impact** of climate-related **events** (severe weather events and other natural conditions) and **transition activities** on the line items of a registrant's consolidated financial statements, as well as on the financial estimates and assumptions used in the financial statements*

*To understand the focus of these proposals, it is useful to understand what the SEC means by '**material**'. In the US, the term is defined as follows:*

'If there is substantial likelihood that a reasonable investor would consider it important when determining whether to buy or sell securities or how to vote.'

*This suggests that like the TCFD approach favoured by the ISSB, the US is following a more **enterprise value-based approach** to ESG issues as opposed to the broader impacts and dependencies approach of double materiality seen in the EU's CSRD.*

*The language used suggests that this is all about **compliance**, supported by the fact that many of these proposals appear to require climate-related information to be **embedded in the audited financial statements**. Consequently, the US approach to this information does not appear to be equivalent to the approach laid down by the TCFD and the CSRD and as such the assurance debate is not relevant (although the absence of standards and expertise must surely be a concern for the SEC if it is to make this become a meaningful reporting initiative).*

*There are **additional requirements to report greenhouse gas emissions** (Scope 1, 2 and 3) which will require **independent assurance**, although the SEC acknowledges that some companies may already*

*be compliant as this proposal is consistent with the TCFD and Greenhouse Gas Protocol, making the SEC proposals a way of aligning US companies with others across the world. The requirements for these greenhouse gas emission disclosures are **tiered** such that smaller entities are exempt from Scope 3 reporting and (like the rest of these proposals) at the time of writing the timescales for implementation are subject to future clarification. Given the size and complexity of Scope 3 emissions (both upstream and downstream along the value chain) this is sure to be welcomed as the vast amounts of data to be processed in order to make these disclosures is likely to represent a significant task.*

(Deloitte, 2023; Warren, Z., 2023; SEC, 2022)

International Auditing and Assurance Standards Board (IAASB)

*In August 2023, the IAASB issued an exposure draft of a new standard: **International Standard on Sustainability Assurance (ISSA) 5000 General Requirements for Sustainability Assurance Engagements**. As the title suggests, the standard aims to provide a methodology for assurance providers when reviewing the sustainability disclosures made by entities. At the time of writing, it is expected that the UK will adopt ISSA 5000 once it is issued but there is uncertainty whether the EU will also adopt ISSA 5000 or develop its own standard instead. In the meantime, ISAE 3000 is likely to be used by practitioners undertaking any form of sustainability assurance.*

ISSA 5000 is aiming to be:

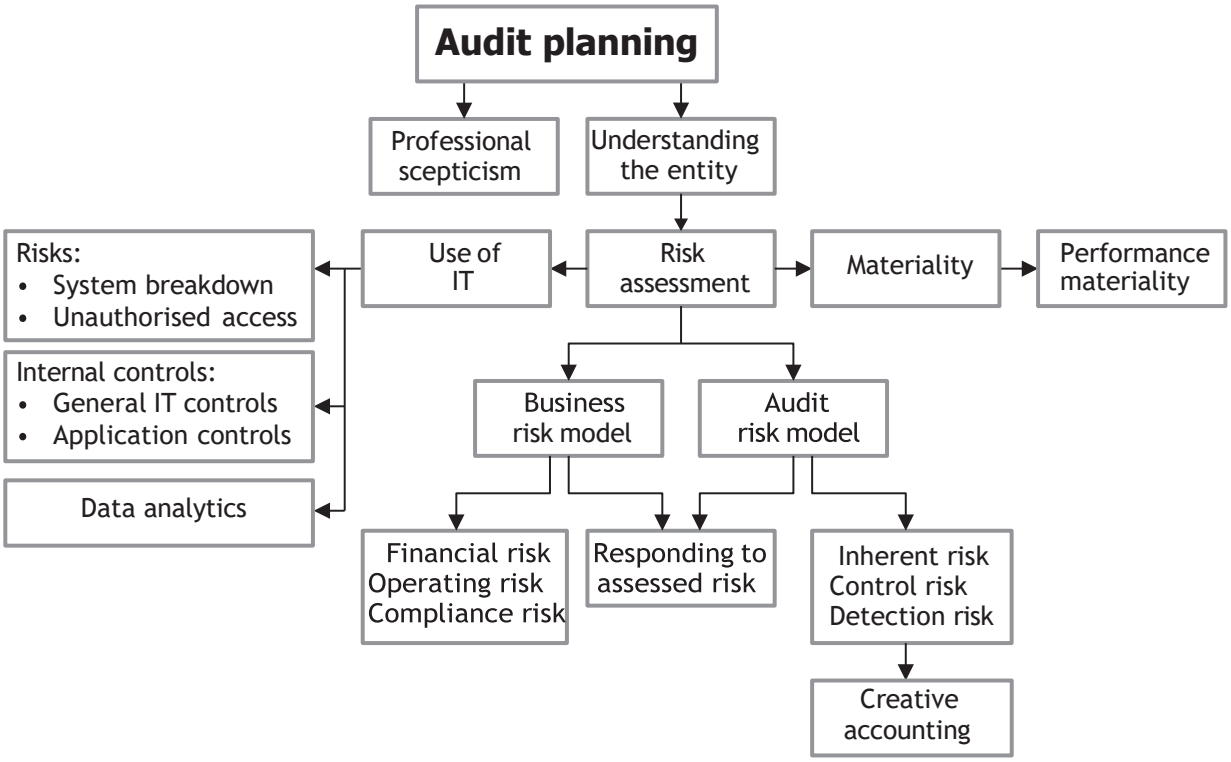
- *Responsive to the **public interest** need for a timely standard that supports the consistent performance of quality sustainability assurance engagements*
- *Suitable across **all sustainability topics**, information disclosed about those topics, and **reporting frameworks***
- ***Implementable** by all assurance practitioners*

*The project is expected to deliver **a range of sustainability reporting assurance standards** based on existing standards which will take into account the ability to deliver **both reasonable and limited assurance**, how such assurance engagements would be **conducted** in practice and the areas where the **greatest challenges are likely to be experienced** when conducting sustainability assurance engagements.*

*Given the **increasing appetite for assurance to be provided on sustainability disclosures**, it is likely that the UK will come under increasing pressure to reconsider its position that the costs of such assurance might outweigh the benefits it would undoubtedly deliver.*

(IAASB, 2023)

Summary


Audit planning
Professional scepticism
Understanding the entity
Risks:
• System breakdown
• Unauthorised access
Use of IT
Risk assessment
Materiality
Performance materiality
Internal controls:
• General IT controls
• Application controls
Business risk model
Audit risk model
Data analytics
Financial risk
Operating risk
Compliance risk
Responding to assessed risk
Inherent risk
Control risk
Detection risk
Creative accounting

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you list the various stages of an audit?
2.	Do you remember the auditing standards (ISAs) relevant to planning and risk assessment?
3.	Can you define professional scepticism and do you know why it matters to auditors?
4.	Do you know which techniques are recommended for an effective understanding of the entity?
5.	Can you explain how business risk is used to help identify areas of misstatement in a set of financial statements?
6.	Do you know the various stages of the audit risk methodology?
7.	Can you explain the term 'creative accounting' and suggest some examples of how it may be present in an audited entity?
8.	Can you define materiality and explain how it should be calculated for a given set of circumstances?
9.	Do you know how the auditor should respond to the assessed level of risk and can you suggest alternative methodologies for the auditor to use?
10.	Are you aware of the following current developments in auditing: information technology; cryptocurrencies and blockchain; data analytics; robotic process automation; and artificial intelligence? Can you explain how each of these developments could impact on the work of the auditor, including the level of audit quality?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Gates Ltd	An opportunity to see how data analytics could be used in an auditing context.
Suttoner plc	Using a larger scenario, this question asks you to apply the business risk methodology before considering the FRC guidance on internal controls.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Hillhire	Key audit risks and the associated financial statement treatment from a series of issues in a detailed scenario.
Dormro	An integrated scenario question that requires the identification of audit risks in the financial statements.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical references

1 ISA 210

- Agreement of terms of audit engagements – **ISA 210.9-12**
  - Principal contents of the engagement letter – **ISA 210.10, A23–.27 & Appendix 1**

2 ISA 300

- Preliminary engagement activities – **ISA 300.6**
- Planning activities – **ISA 300.7–.11**
- Documentation – **ISA 300.12**

3 ISA 315 (Revised)

- Risk assessment procedures – **ISA 315.13–.18**
- Understanding the entity and its environment – **ISA 315.19–.27**
- Identifying and assessing the risks of material misstatement – **ISA 315.28–.37**
- Financial statement assertions – **ISA 315.A190**
- Documentation – **ISA 315.38**

4 ISA 320

- Definition of materiality – **ISA 320.2**
- Relationship between materiality and planning – **ISA 320.10–.11**
- Documentation – **ISA 320.14**

5 ISA 330

- Overall responses to risk assessment – **ISA 330.5**
- Response at assertion level – **ISA 330.6–.7**
- Evaluation of sufficiency and appropriateness of evidence– **ISA 330.25-27**

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Self-test questions

Answer the following questions.

1 Gates Ltd

You are an audit senior at Bob & Co and have received the following email.

To: Jackie Smith, Audit senior

From: Roy Bob, Audit partner

Subject: Gates Ltd

We are about to take on the audit of Gates Ltd, a wholly owned subsidiary of a US parent company.

Gates Ltd produces computer software for the military for battlefield simulations. It also produces 'off the shelf' software products for other customers. I am concerned about the accounting issues related to these products. Based on the following information, would you please identify and comment on the accounting issues.

- The military software usually takes at least three years to develop. The military insists on fixed price contracts. Once the software has been authorised for use by the customer, Gates Ltd supplies computer support services, which are charged on the time spent by the software engineers on site.
- The 'off the shelf' packages are not sold to customers, but are issued under a licence giving the right to use the software for a typical period of three years. The licence fee is paid up front by customers and is non-refundable. As part of the licence agreement Gates Ltd supplies maintenance services without additional charge for the three-year period.

Again, based on the above regarding the military software and the 'off the shelf' packages, please can you also set out the audit issues arising.

As a firm we are keen to adopt cutting-edge audit techniques and are in the process of developing data analytics software. I am considering the use of data analytics tools for the audit of Gates Ltd next year and am due to discuss this idea with the audit committee next month. As an IT company itself, the board of Gates Ltd is very interested in this approach. I am putting together some initial thoughts for my meeting and would like you to make some short notes for me, setting out the benefits and challenges of using data analytics as an audit tool.

Requirement

Respond to the partner's email.

2 Suttoner plc

Suttoner plc (Suttoner) operates in the food processing sector and is listed on the London Stock Exchange. You are a member of its internal audit department. The company purchases a range of food products and processes them into frozen or chilled meals, which it sells to major supermarkets in Europe and North America.

The company structure

The company sells food through five subsidiaries, each of which is under the control of its own managing director who reports directly to the main board. Each subsidiary has responsibility for, and is located in, its own sales region. The regions are the UK, the rest of Western Europe, Eastern Europe, the US and Canada. Food is produced in only two subsidiaries, the UK and the US. Head office operates central functions, including the legal, finance and treasury departments.

The board has asked the managing directors of each subsidiary to undertake a risk assessment exercise, including a review of the subsidiary's procedures and internal controls. This is partly due to a review of the company's compliance with the provisions of FRC's Guidance on Risk Management,

Internal Control and Related Financial and Business Reporting and also because Suttoner has been severely affected by two recent events and now wishes to manage its future risk exposure.

Recent events

(1) In renegotiating a major contract with a supermarket Suttoner refused to cut its price as demanded. As a result a major customer was lost.

(2) Later in the year the company had been cutting costs by sourcing food products from lower-cost suppliers. In so doing it acquired contaminated pork which made several consumers ill. A major health and safety inspection led to the destruction of all Suttoner's pork inventories throughout Europe, due to an inability to trace individual inventories to source suppliers. More significantly, many supermarkets refused to purchase goods from Suttoner for several months thereafter.

As a result of these events the company's cash flow was severely disrupted, and significant additional borrowing was needed.

The board's view

In guiding the risk assessment exercise, the board has set clear objectives for subsidiaries to achieve: sales growth, profit growth and effective risk management. Additionally, the board wishes to foster integrity and competence supported by enhancing human resource development.

The board requires managing directors of each subsidiary to report to them annually on these objectives and on internal controls. Otherwise, they have considerable autonomy on pricing, capital expenditure, marketing and human resource management. The UK and US subsidiaries, which process raw foodstuffs, are free to choose their suppliers. The other three subsidiaries may purchase only from the UK or US subsidiaries.

Over a number of years each subsidiary has been managed according to the nature and experience of its managing director, and this has resulted in different styles and levels of control being established locally.

Email from the head of internal audit

To: Joe Lyons

From: Ben Jones

Subject: Risk assessment exercise

Joe,

As you know, we are scheduled to update our risk assessment exercise. Can you please take the following on board for me and produce something by Wednesday afternoon?

Firstly, I need you to identify, classify and comment on the key compliance, operating and financial risks to which the company is exposed. On the back of this, can you then draft a note for the finance director to send to the other directors, advising them as to the extent and the likelihood of the three most significant risks identified. For each of these, can you identify appropriate risk management procedures.

Finally, can you draft a note in accordance with the FRC's *Guidance on Risk Management, Internal Control and Related Financial and Business Reporting* (formerly the Turnbull Report) which we can put in our financial statements in relation to 'Control environment and control activities'.

Cheers.

Ben

Requirement

Respond to the email from Ben Jones.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 The risk is the risk of changes in value of the steel inventory due to changes in the price of the commodity. This is a financial or market risk.

1.2 The auditor would need to consider the following:

- Whether the futures contracts are to be used in a fair value hedge of the steel inventory.
- Whether the required criteria have been met ie, the hedging relationship has been formally designated and the hedge is 'effective'.
- Whether adequate documentation can be produced, including details of:
  - identification of the hedging instrument;
  - the hedged item;
  - nature of the risk being hedged; and
  - how hedge effectiveness will be calculated.
- If hedge accounting is to be used, the risk of incorrect accounting treatment. This risk is increased due to the entity's lack of experience in dealing with this type of transaction.
- Whether the accounting rules of IFRS 9, *Financial Instruments* (or IAS 39 if those rules are applied) have been complied with.

  The derivative should be recognised as a financial asset at fair value and any gain recognised in profit or loss.
- The way in which fair value has been established.

Answer to Interactive question 2

Risks/controls/audit procedures

Key risk	Controls to mitigate	Audit procedures
• Failure of internal R&D projects	• Constant monitoring with exit strategies	• Review of failed projects, controls exercised and timing of exit • Write-off of any capitalised R&D
• Excessive expenditure on R&D	• Regular reviews of benefits against costs for each drug, each R&D unit and each period	• Cost-benefit review • Comparison to similar companies • Review of R&D cost control and budgetary procedures

Key risk	Controls to mitigate	Audit procedures
• Insufficient new drugs in the pipeline to sustain profitability	• Monitoring effectiveness of R&D function • Consideration of adequate expenditure levels • Consider alternative strategies (eg, increases in generic drug production) • Alternative uses for existing drugs	• Consider sustained going concern • Review plausibility of alternative strategies
• Development of new drugs by competitors	• Consider effectiveness of patent protection • Consider possibility of licensing • Quantification of effects	• Review patent registration by other companies • Review projected impact on client • Consider writing off any capitalised R&D
• Joint venture failure, disagreement or decline	• Clear contractual rights and obligations • Transparency and communication • Technical monitoring of procedures similar to internal systems above	• Review contractual arrangements and technical progress
• Inadequate financial resources to sustain R&D	• Short-term and long-term financial budgets with actual and contingent financing arrangements	• Consider actual and potential financial resources • Evidence from bankers and other finance providers or their agents
• Changes in health spending or health regulation by governments in major geographical markets	• Monitor political statements and policies • Political lobbying • Consider impacts of changes on profitability	• Review trends in health spending and prospective regulation in key markets • Review client's governmental monitoring procedures and information gained therefrom

Answer to Interactive question 3

Business risks faced by KidsStuff Ltd

- Exposure to foreign exchange risk if imports are not denominated in sterling.
- One major supplier – too reliant on one source.
- Distance from supplier makes resolving production errors more difficult.
- Children's toy market tends to be seasonal – could require significant working capital for periods of the year.

- Strict health and safety rules over children's toys could be breached.
- May be heavily reliant on the skills of Joseph Cooper who will now be close to retirement.
- If unable to keep up with market trends the company will not be able to continue trading.
- Penetration of the computer games market would require significant investment which may not pay off.
- The overdraft is likely to be an expensive form of financing.
- The overdraft could be withdrawn.

Effect of risks on the audit

- The going concern basis of preparation may not be appropriate due to many of the business risks eg, reliance on overdraft.
- Payables, purchases and inventories could all be misstated if incorrect exchange rates are used.
- Exchange gains and losses may be incorrectly accounted for or miscalculated.
- The foreign supplier is likely to have a material payables balance but evidence may be difficult to obtain.
- Importing extends delivery times and makes cut-off more difficult to administer.
- Last year's toys in inventories may well be obsolete.
- Provisions may be required for fines or legal claims in respect of health and safety breaches.
- If the year end is pre-busy season, inventories are likely to be material.
- If the year end is post-busy season, receivables are likely to be material.
- The bank may use the accounts in determining whether or not to renew the overdraft – a duty of care should be considered.
- Neil Cooper may bias the accounts to show an improved performance.

Further information required

- Management accounts for the year to date
- Budgeted results for the year
- Audited financial statements for the previous year(s)
- Correspondence from the bank regarding the overdraft
- Correspondence with the previous auditor regarding: previous audit issues
- Visits to client/notes to ascertain the client's systems
- Trade journals
- Health and safety legislation for the industry
- Minutes of board meetings
- Legal costs and correspondence with solicitors as evidence for litigation risk

Answer to Interactive question 4

Risks associated with accounting treatment include the following.

- **Nature of the contract**

  This contract is essentially a number of goods and services bundled into one contract. This fact adds complexity to the accounting treatment and therefore adds risk. Where the elements can be separated and sold as individual items they should be recognised as if

they were independent of each other. In this case, it would be possible to sell the handset, access to the network, the call minutes and texts and the data individually, so separate recognition would be appropriate.

- **Revenue recognition policy not in accordance with principles of IFRS 15**

  A distinction will need to be made between the different elements of the package as these are separate performance obligations. Revenue from the sale of the handset should be recognised when this performance obligation has been met. This will normally be at the point that the contract is signed and the customer takes receipt of the handset. Alternatively if the handset is sent to the customer it will be at the point of delivery.

  Use of the network would be treated as the rendering of a service. As the service is provided equally over the 24-month period of the contract, the revenue attached to this element should be recognised on a straight-line basis.

  The free calls, texts and data would also be treated as the rendering of a service. However, this service will not necessarily be received on an equal basis each month (as not all free calls/texts/data may be used each month and may be carried over). The allocation should be based on the best estimate of how the free calls, texts and data will be used over the life of the contract. This will involve a large amount of estimation which increases audit risk. Where the allocation can be based on historical information (eg, average usage on similar packages) risk will be reduced.

- **Each component of the package may be valued incorrectly**

  The package is effectively a bundle of goods and services with a fair value of £500 sold at a discount of £140 (£500 – £360). If there is a specific discount policy this should be applied to the individual components. For example, the whole of the discount could relate to the handset, in which case the whole of the discount would be deducted from the fair value of the phone. If there is no specific policy, an alternative allocation method would be required (eg, on a pro rata basis). The auditor would need to ensure that the basis used is reasonable.

Answer to Interactive question 5

Audit risks

- **Inherent**
  - Related party transactions/group issues
  - Receivables
  - Fraud – possible indicators, professional scepticism
  - Profit-driven management
  - Credit extended – accounting/law and regulations
- **Control**
  - Lack of segregation of duties
  - PC/malware
  - Suspicion of fraud?
  - Key man
- **Detection**
  - First audit
  - Opening balances and comparatives – audited?

Audit risks – inherent

Related parties and group issues

Forsythia is part of a **complicated group structure**. This raises several issues for the audit:

- There is a risk of related party transactions existing and not being properly disclosed in the financial statements in accordance with IAS 24.
- Similarly, there is a risk that it will be difficult to ascertain the controlling party for disclosure.
- There are likely to be some group audit implications. The firm may be required to undertake procedures in line with the group auditors' requirements if Forsythia is to be consolidated.

Receivables

Forsythia is a **service provider**, and it **extends credit** to customers. This is likely to mean that **trade receivables** will be a significant audit balance. However, there is **limited audit evidence** concerning trade receivables due to the effects of computer malware. There are also indicators of a **possible fraud**.

Fraud?

There are various factors that may indicate a sales ledger fraud has taken/is taking place:

- Lack of segregation of duties
- Extensive credit offered
- The malware only destroyed sales ledger information – too specific?
- Poorly paid sales ledger clerk – with expensive lifestyle
- Sales ledger clerk is daughter of rich shareholder and they do not have a good relationship

None of these factors necessarily point to a fraud individually, but added together raise significant concerns.

Profit-driven management

Mr Rose is motivated for the financial statements to show a profit for two reasons:

- He receives a commission (presumably sales driven, which impacts on profit).
- He receives dividends as shareholder, which will depend on profits.

There is a risk that the **financial statements** will be **affected by management bias**. **Audit risk – control**

There are three significant control problems at Forsythia.

Segregation of duties

There appears to be a **complete lack of segregation of duties** on the three main ledgers. This may have led to a **fraud** on the sales ledger. The fact that there is no segregation on payroll is also a concern, as this is an area where frauds are carried out.

Lack of segregation of duties can also lead to **significant errors** arising and not being detected by the system. This problem means that **control risk** will have to be assessed as **high and substantial substantive testing** be undertaken.

Personal computer

A PC is used for the accounting system. This is likely to have **poor built-in controls** and to further exacerbate the problems caused by the lack of segregation of duties.

The **security** over PCs is also often poor, as has been the case here, where **malware** has destroyed evidence about the sales ledger.

Key man

The fact that Mr Rose is dominant in management may also be a control problem, as he can override any controls that do exist. There are also risks if he were ever to be absent, as most controls appear to operate through him and there are no alternative competent senior personnel.

Answer to Interactive question 6

Home delivery sales

The appropriate benchmark of materiality with regard to the home delivery sales is revenue, as the home delivery sales form part of the total revenue of the company.

£0.6 million is 1.4% of the total revenue for 20X6 (see W1 below).

An item is generally considered to be material if it is in the region of 1% of revenue, so the home delivery services are material.

Provision

The appropriate benchmark of materiality with regard to the provision is total assets and profit, as the provision impacts both the statement of financial position (it is a liability) and the statement of profit or loss and other comprehensive income (it is a charge against profit).

£0.2 million is 0.65% of total assets in 20X6 (see W2 below). As an item is generally considered to be material if it is in the region of 1–2% of total assets, the provision is not material to the statement of financial position.

However, £0.2 million is 11% of profit before tax for 20X6 (see W3 below). An item is considered material to profit before tax if it is in the region of 5%. Therefore, the provision is material to the statement of profit or loss and other comprehensive income.

WORKING

Materiality calculations

As follows:

(1) (0.6 million ÷ 42.2 million) × 100 = 1.4%

(2) (0.2 million ÷ 30.7 million) × 100 = 0.65%

(3) (0.2 million ÷ 1.8 million) × 100 = 11%

Answer to Interactive question 7

Suitability

- Although the materiality calculation is based on a benchmark commonly used ie, percentage of profit before tax, in this case the resulting figure does not seem appropriate.
- This is due to the fact that the profit figure of the business is volatile (£300,000 in the previous year) and does not seem to be representative of the size of the business in terms of its assets or revenue.
- In instances like this where the company is close to breaking even, total assets or revenue may be a more suitable basis. Alternatively, if profits are to be used, an average figure over a number of years would give rise to a more appropriate materiality balance.
- Materiality as it is currently set is extremely low. The consequence of this is that it would result in substantially increased audit procedures which would be inefficient.

Answers to Self-test questions

1 Gates Ltd

Accounting issues

(1) **Military contracts**

Long-term contract accounting

The software development should be accounted for under IFRS 15, *Revenue from Contracts with Customers*. Specifically, it is a fixed price contract, ie, where the revenue arising is fixed at the outset of the contract. Under such contracts there is an element of certainty about the revenue accruing, but not about the costs which will arise. For a fixed price contract the contractor should be able to measure reliably the total contract revenues and be able to identify and measure reliably both the costs that have been incurred and those that will be incurred to complete the project. The contractor should also assess whether it is probable that payment will be received under the contract.

As the contracts are fixed price there is an increased risk of the contracts being loss-making, and such losses must be provided for in full.

Computer support

As the amount billed relates directly to the hours spent on site, it would be appropriate to recognise this as revenue when charged.

(2) '**Off the shelf' packages**

Licence and maintenance costs

An argument could be proposed to recognise this revenue on receipt, given that it is non-refundable, and paid after the development work has been completed and the costs incurred.

However, under IFRS 15, *Revenue from Contracts with Customers* it is generally not appropriate to recognise revenue based on payments received under the contract, as stage payments set out under the terms of the contract often bear little resemblance to the actual services performed. This is a contract in which a performance obligation (the provision of services) is satisfied over time. Revenue relating to the licence should therefore be recognised as the services are provided, ie, as the performance obligation is satisfied.

The maintenance costs should be recognised on a basis that reflects the costs incurred which might be based on the frequency of maintenance calls, probably related to the previous history of maintenance calls.

Audit issues

Inherent risks

- Given the nature of the business and the military contracts, physical and electronic security and controls are a major issue.
- Long-term contract accounting involves significant judgements with respect to future contract costs. Judgement increases the likelihood of errors or deliberate manipulation. This area is particularly difficult to audit given the specialised nature of the business, and we will need to ensure that we have personnel with the right experience assigned to the audit.

- There is a risk with long-term contract accounting of misallocation of contract costs – particularly away from loss-making contracts.
- The maintenance provision is an estimate and, again, susceptible to error.

Detection risks

The nature of the military contracts may mean that we are unable to review all the information because of the Official Secrets Act. This could generate a limitation on scope.

Notes re data analytics

Benefits

- Enhanced audit quality
- Increased sophistication and breadth of interrogation options
- Enables us to obtain audit evidence from larger populations efficiently
- Analysis at a more granular level enhancing the basis on which judgements are made
- Results in a more effective and robust understanding of the entity improving the application of professional scepticism and professional judgement
- Ability to graphically visualise results increasing ease of use and interpretation
- Provides the entity with additional information to better inform its own risk assessment and business operations

Challenges

- We need to ensure that the development of the software is properly managed so that a high quality audit tool is developed.
- There may be issues with data capture, extraction, validation and transformation.
- Need to consider security and privacy issues together with storage problems for the large volumes of data.
- There may be restrictions on data being transferred from one jurisdiction to another.
- We may have insufficient in-house resources with relevant IT expertise to use the data analytics software and/or to provide central support.
- Need to consider how we use data analytics whilst still complying with the requirements of ISAs (which do not yet address the changes in approach brought about by the use of data analytics).
- The use of data analytics changes the nature of the information required and questions asked of the client. The client may find this challenging.
- We need to ensure that professional scepticism and judgement continue to be applied and that we do not have 'overconfidence' in the technology.

2 Suttoner plc

Identification and classification of risks Compliance risks

Health and safety regulations – Risk of closure of plant and/or destruction of food if contamination arises from purchasing, processing, storing or distribution activities.

Accounting regulations – Need to comply with regulations in several different countries. May need to restate for group accounting purposes to comply with IFRSs if those countries have domestic GAAP that differs from IFRSs.

Taxation – Need to comply with tax regulations, particularly in respect of transfer pricing between divisions in different countries.

Litigation risk – Arising from the possibility of food poisoning. Risks include litigation against the company by those individuals affected and for loss of reputation by supermarkets.

Operating risks

Loss of major customers – Supermarkets may regularly renegotiate contracts and, in so doing, find alternative suppliers. The loss of one such customer this year may be part of a trend.

Power of customers to reduce price – Even where contracts with supermarkets are retained, the renegotiation may be on less favourable terms, resulting in a loss of profits.

Lack of goal congruence by divisional MDs – Significant autonomy at divisional level may mean reduced co-ordination and the pursuit of conflicting goals.

Geographically dispersed supply chain – Given that processing is concentrated in only two centres, there are significant distances involved in the supply chain. This may lead to risks of failure to supply on time and significant low temperature transport and storage costs.

Perishable nature of inventory – The deterioration of perishable food may involve several risks, including inventory valuation, costs of inventory losses and unobserved perishing, which may lead to further food poisoning and loss of reputation.

Measuring divisional performance (arbitrary transfer prices) – There is trade between divisions arising from the supply of distribution divisions from processing divisions. As the companies are separate subsidiaries, there are implications for attesting the profit of individual companies, given the arbitrariness of transfer prices. Moreover, the impact of transfer prices on taxation and their acceptance under separate tax regimes creates additional risk in respect of the taxable profit of separate subsidiaries.

Control systems – The loss of inventory was greater due to the inability to trace the contamination to specific inventories. This deficiency in inventory control systems magnifies any effects from contamination risks of this type.

Generalised food scares – Food scares which are not specific to the company but which arise from time to time may create a reluctance by consumers to purchase some types of the company's product portfolio.

Financial risks

Foreign exchange risk – This includes economic, transaction and translation risk.

- **Economic risk** – refers to adverse movements in the exchange rate making goods less competitive in non-domestic markets or making inputs relatively more expensive
- **Transaction risk** – refers to the situation where in the period between contracting and settlement adverse movements in the exchange rate make the contract less profitable
- **Translation risk** – refers to the risk of the consolidated statement of financial position showing the assets of foreign subsidiaries at a reduced value due to adverse exchange rate movements

Borrowing – gearing risk/liquidity – Increased financial gearing due to the additional borrowing in the year will make future earnings more volatile.

Going concern problems if further contamination scares occur – The loss of business due to the contamination of one of the company's products meant that additional borrowing was needed: this may create questions of going concern if a further incident arises.

Control of financial resources at divisional level – The fact that divisional MDs have significant autonomy has meant that different styles and methods of control have been used. This may be a cause for concern about potential variations in control.

Briefing notes

To: Finance Director
From: Internal auditor
Date: 6 November 20X1
Subject: Extent and likelihood of three key risks

Food scare

Low probability – if appropriate controls are put in place over food quality.

High impact – arising from loss of inventory, loss of reputation, possible loss of contracts/ customers, litigation risk, closure on health grounds.

Proposed course of action – quality control procedures, contingency plans, better inventory identification to locate and minimise infected inventory.

Loss of customer

High probability – assuming that such contracts are being renegotiated on a regular basis.

Impact depends on whether:

- sales are concentrated with a few customers;
- new customers can be generated; or
- the loss of customers is systematic, in which case the cumulative impact may be significant.

Proposed course of action – maintain customer relationships, compete on price and non-price issues, develop a wider customer base.

Foreign exchange

High probability – some (and possibly significant) foreign currency movements over time are very likely.

High impact – potentially, the effects of a major currency movement may be significant, although this would depend on the actions taken to moderate such effects. There may also be a favourable currency impact arising from East European currencies becoming more readily acceptable in trading.

Proposed course of action – hedge in the short term (where appropriate and where the cost of doing so is not significant), back to back financing (eg, borrow in US dollars to finance US operations), consider acceptability of East European currencies before significant development in these countries.

Notes to the financial statements

Control environment and control activities

The company is committed to ensuring that a proper control environment is maintained. There is a commitment to competence and integrity, together with the communication of clear objectives to all divisions. These are underpinned by a human resources policy that develops quality with integrity.

The organisational structure has been developed to delegate authority with accountability to ensure that control and consistency are maintained, having regard to an acceptable level of risk. Managing directors report on the control environment on a regular basis to the board. Moreover, the performance of each division is reported and reviewed regularly.

This year the board has undertaken a specific review to assess key risks and to ensure that appropriate information and monitoring is being received.

Chapter 6

The statutory audit: audit evidence

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Revision of assertions

2 Sufficient, appropriate audit evidence

3 Sources of audit evidence

4 Selection of audit procedures

5 Analytical procedures

6 Audit of accounting estimates

7 Initial audit engagements – opening balances

8 Using the work of others

9 Working in an audit team

10 Auditing in an IT environment

11 Professional scepticism in the audit fieldwork stage

12 Further guidance

Summary

Further question practice

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Determine analytical procedures, where appropriate using appropriate data analysis tools, at the planning stage using technical knowledge of corporate reporting, data analytics software and skills of financial statement analysis
- Evaluate, where appropriate, the need for, and extent of reliance to be placed on expertise from other parties to support audit processes including when to challenge the extent and working practices of other parties
- Determine, design and develop audit objectives for each financial statement assertion
- Justify and conclude for a particular scenario what comprises sufficient, appropriate audit evidence
- Design and determine audit procedures in a range of circumstances and scenarios, for example identifying an appropriate mix of tests of controls, analytical procedures and tests of details
- Apply professional scepticism to the process of gathering audit evidence and evaluating its reliability including the use of client-generated information and external market information and audit data analytics software
- Design and determine audit procedures in a range of circumstances and scenarios, for example identifying an appropriate mix of tests of controls, analytical procedures and tests of details
- Demonstrate and explain, in the application of audit procedures, how relevant ISAs affect audit risk and the evaluation of audit evidence
- Evaluate, applying professional judgement, whether the quantity and quality of evidence gathered from various audit procedures, including interpreting and extrapolating the results of sampling using appropriate data analysis tools and analytical procedures, is sufficient to draw reasonable conclusions
- Recognise and prioritise using professional judgement on audit issues arising whilst gathering assurance evidence that should be referred to a senior colleague or other specialist

Chapter study guidance

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Revision of assertions** One of the key criteria of good audit evidence is that it is relevant – this is achieved by the use of assertions which describe the characteristics that	**Approach** Use the auditing standards open book to find these assertions and bookmark them for when you need them.	Focusing on the right assertions will help you to create audit procedures that are relevant for collecting the necessary audit evidence.	**IQ1: Financial statement assertions (1)** A good recap designed to refresh your knowledge of assertions. **IQ2: Financial statement**

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	items in the financial statements need to possess in order to belong there.	**Stop and think** How much of this do you remember from your previous auditing studies?		**assertions (2)** Further practice on assertions using more typical question-based scenarios.
2	**Sufficient, appropriate audit evidence** Evidence is the oxygen without which the auditor cannot breathe – how do we make sure we have enough of the right kind for the audit?	**Approach** This section is mainly revision from your earlier studies but does introduce the use of data analytics as a way of generating audit evidence. **Stop and think** Can you explain the process of triangulation and how it helps to provide audit evidence?	The acid test for any audit evidence is whether or not it ultimately supports the auditor's opinion – when discussing evidence in the exam, you should always be clear about what it is and how it helps the auditors achieve their objectives.	**IQ3: Audit evidence – revision** This is a good recap of the various types of audit evidence that you may come across and why some may be better than others.
3	**Sources of audit evidence** You need to be able to explain the various techniques used by auditors for generating evidence.	**Approach** This should be revision but make sure you can differentiate between tests of control and substantive tests. **Stop and think** Can you tell the difference between tests of detail and substantive analytical procedures?	Exam questions may require you to generate audit procedures in response to a specific issue and that could be driven either by a substantive test or a test of control, so make sure you can describe each one accordingly.	N/A
4	**Selection of audit procedures** This section is essential reading for you – first, you will recap some of the key techniques for generating	**Approach** Once you have revisited the various procedures, consider how non-current assets could be audited.	Audit procedures need to be specific to score marks in the exam, so learn how to write them in a way that is specific and focused on	**IQ4: Audit procedures revision of tangible assets** This is excellent practice for how to plan an approach for a discrete part

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	evidence and second, consider how these can be applied to specific parts of the financial statements.	**Stop and think** Focus on how procedures are written with a specific assertion in mind.	achieving a particular objective. Remember to design procedures that use appropriate verbs and which justify the use of that procedure in the circumstances.	of the financial statements and also how to write suitable audit procedures.
5	**Analytical procedures** This is another significant section in your revision of how to audit – as well as looking at where (and when) analytical procedures are used throughout the audit, you will also learn how to apply these techniques in specific situations (including engagements that fall outside the remit of audit work).	**Approach** While you read through each of these techniques, use the various activities presented as an opportunity to add to your skill set of analytical procedures. **Stop and think** Although very practical and logical, you may still need to display some form of creativity in your use of analytical procedures in order to unlock the messages hidden in the data.	You will definitely need to be able to perform some kind of analytical procedures in your exam (either as part of the audit elements or when analysing a set of financial statements) so you must practise these techniques and be able to manipulate data in order to generate meaningful conclusions.	**IQ5: Analytical procedures (1)** You should note the data that you have been provided with and tailor your approach accordingly. **IQ6: Analytical procedures (2)** As well as making sure you focus on the audit of trade payables, note how software could be used as part of your analysis. **IQ7: Analytical procedures (3)** As well as using these techniques for an audit, you may be asked to appraise an entity's financial health in some way – this is good practice of how to use the same techniques for a different outcome.
6	**Audit of accounting estimates** One of the areas of criticism that	**Approach** Read through this section noting the location of the key	Exam questions could focus on audit procedures where the	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	auditors are currently facing relates to items in the financial statements where estimates have been included and the auditor has failed to display suitable levels of professional scepticism. ISA 540 (Revised) is designed to improve the auditor's approach in this area.	terms in the auditing standards open book. **Stop and think** Can you think of some suggested areas of the financial statements where estimates may be particularly common?	evidence available may be subject to some form of estimation uncertainty and management bias, so being able to apply some of the guidance suggested here would be required.	
7	**Initial audit engagements – opening balances** As well as the audit risks that arise from all engagements, taking on a new client can also lead to audit risks from their opening balances. What can you do to address this risk?	**Approach** Revisit this material which is revision from your previous studies. **Stop and think** Could you find this standard in the auditing standards open book if required?	Focusing on the given procedures and the information in the appendix will help you to generate suitable audit procedures if required.	N/A
8	**Using the work of others** The auditor may require the use of specialist expertise beyond their own skillset but must ensure it will result in sufficient appropriate audit evidence.	**Approach** You have met experts and internal audit before so make sure you have fully revised this area. **Stop and think** Can you find the necessary ISAs in your auditing standards open book?	It is possible that the work of either an expert or an internal auditor may be described in an exam scenario – your job is to use the contents of the standards to evaluate the quality of this evidence and identify any shortcomings.	**IQ8: Using an expert – revision** Use this as an opportunity to consider how experts should be used by auditors.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
9	**Working in an audit team** Can you explain the hierarchy of roles in an audit team?	**Approach** This is useful to inform you of the various roles in the audit team. **Stop and think** Can you see how each of these roles would help support sound quality management?	Questions may be set which require you to consider the operation of the audit team and to identify possible risks from anyone not performing their role to the best of their ability.	N/A
10	**Auditing in an IT environment** The use of e-commerce is on the rise – you need to be able to respond accordingly if there is evidence that it is being used in an exam question.	**Approach** Use this section to understand what is meant by e-commerce. **Stop and think** Have you ever been involved in e-commerce?	The content that discusses the considerations for auditors is especially relevant to ensure you use the correct form of terminology.	N/A
11	**Professional scepticism in the audit fieldwork stage** We have already discussed professional scepticism but this section discusses how it can be applied when collecting audit evidence.	**Approach** Work through this section, noting that the worked example will require you to engage with your peers. **Stop and think** Note how the use of data analytics may not always be helpful to the auditor!	As ever, questions will require you to read through everything in the scenario carefully to identify any areas where there could be ambiguity (and as such, could require the need for greater levels of professional scepticism).	N/A
12	**Appendix – External confirmations, sampling and directional testing** Further supporting information on gathering evidence that should be	**Approach** Note the content on external confirmations and sampling and how you can find it in your auditing standards open	While these relate to specific types of evidence gathering techniques, you may still be asked to assess whether audit procedures (which could	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	considered revision from your earlier studies.	book. **Stop and think** Also note the use of assertions in directional testing.	include anything mentioned here) that are stated in a scenario have been completed appropriately or not.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Revision of assertions

Section overview

- Evidence is obtained in respect of each assertion used by the auditor.

1.1 Introduction

As we have seen, **audit work is about reducing risk** – the risk that the financial statements include **material misstatements**. At the most basic level, the financial statements simply consist of the following information about the entity:

- Revenues
- Costs
- Assets
- Liabilities
- Capital

These items will have certain attributes if they are included correctly in the financial statements. These attributes are referred to as **financial statement assertions**.

1.2 Financial statement assertions

Definition

Assertions: The representations by management, explicit or otherwise, that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatement that may occur.

By approving the financial statements, the directors are making representations about the information therein. These representations or assertions may be described in general terms in a number of ways.

For example, if the statement of financial position includes a figure for freehold land and buildings, the directors are asserting that:

- the property concerned exists;
- it is either owned by the company outright or else the company has suitable rights over it;
- its value is correctly calculated; and
- there are no other items of a similar nature which ought to be included but which have been omitted.
- it is disclosed in the financial statements in a way which is not misleading and is in accordance with the relevant 'reporting framework' eg, international accounting standards.

ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement* states that "the objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error, at the **financial statement** and **assertion** levels thereby providing a basis for designing and implementing responses to the assessed risks of material misstatement" (ISA 315.11). It gives examples of assertions in these areas. Depending on the nature of the item, certain assertions will be more relevant than others.

Assertions used by the auditor	
Assertions about **classes of transactions,** events, and **related disclosures**, for the period under audit (ISA 315.A190(a))	**Occurrence**: Transactions and events that have been recorded or disclosed have occurred and pertain to the entity. **Completeness**: All transactions and events that should have been recorded have been recorded, and all related disclosures that should have been included have been included. **Accuracy**: Amounts and other data relating to recorded transactions and events have been recorded appropriately and related disclosures have been appropriately measured and described. **Cut-off**: Transactions and events have been recorded in the correct accounting period. **Classification**: Transactions and events have been recorded in the proper accounts. **Presentation**: transactions and events are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.
Assertions about **account balances, and related disclosures,** at the period end (ISA 315.A190(b))	**Existence**: Assets, liabilities and equity interests exist. **Rights and obligations**: The entity holds or controls the rights to assets, and liabilities are the obligations of the entity. **Completeness**: All assets, liabilities and equity interests that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included. **Accuracy, valuation and allocation**: Assets, liabilities and equity interests have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments have been appropriately recorded and related. **Classification**: Assets, liabilities and equity interests have been recorded in the proper accounts. **Presentation**: Assets, liabilities and equity interests are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

1.2.1 Summary

We have seen that there are 12 assertions applying in different ways to different items in the financial statements.

You can summarise them in the following four questions:

(a) Should it be in the financial statements at all?

(b) Is it included at the right amount?

(c) Are there any more?

(d) Has it been properly disclosed and presented?

The following table shows how the assertions fit with these questions:

	Transactions, events and related disclosures	Account balances and related disclosures at the period end
Should it be in the accounts at all?	Occurrence Cut-off	Existence Rights and obligations
Is it included at the right amount?	Accuracy	Accuracy, valuation and allocation
Are there any more?	Completeness	Completeness
Is it properly disclosed and presented?	Classification Presentation	Classification Presentation

Interactive question 1: Financial statement assertions (1)

Complete the table below.

- Identify procedures to satisfy the four key questions.
- Identify the financial statement assertions that these procedures will satisfy.

Audit area	Key question	Examples of procedures	Assertions
Non-current assets	Should it be in the accounts at all? Is it included at the right amount? Are there any more? Is it properly disclosed and presented?	Physically verify Inspect invoices/contracts Check depreciation	Existence Rights and obligations Accuracy, valuation and allocation
Receivables	Should it be in the accounts at all? Is it included at the right amount? Are there any more? Is it properly disclosed and presented?		
Payables	Should it be in the accounts at all?		
Payables	Is it included at the right amount? Are there any more? Is it properly disclosed and presented?		
Inventory	Should it be in the accounts at all? Is it included at the right amount? Are there any more? Is it properly disclosed and presented?		

See **Answer** at the end of this chapter.

Interactive question 2: Financial statement assertions (2)

For the following points, identify and explain the most relevant financial statement assertions. Assume that the year end is 31 December 20X7 in each case.

2.1 Fine plc is proposing to award share options to five directors. The proposal is to issue 100,000 options to each of the five individuals on 1 September 20X7 (the grant date) at an exercise price of £7 per share. The scheme participants will need to have been with the company for at least three years before being able to exercise their options. It is believed that all the directors will satisfy this condition. Other relevant information is as follows:

	1 September 20X7	31 December 20X7
	£	£
Market price per share	7.00	8.20 (estimated)
Fair value of each option	3.00	5.70 (estimated)

2.2 Wiggam plc has purchased goods worth £750,000 from Tepid Ltd on an arm's length basis. Wiggam owns 40% of the ordinary share capital in Tepid.

2.3 Deakin plc issued 10,000 6% convertible bonds at par value of £10 on 31 December 20X7. On this date the market interest rate for similar debt without the option to convert was 10%. Each bond is convertible into four ordinary shares on 31 December 20X9.

See **Answer** at the end of this chapter.

2 Sufficient, appropriate audit evidence

Section overview

- Auditors need to obtain sufficient, appropriate audit evidence.

2.1 Importance

ISA 500, *Audit Evidence* states that the objective of the auditor is to obtain sufficient, appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion.

The importance of obtaining sufficient, appropriate audit evidence can be demonstrated in the Arthur Andersen audit of Mattel Inc.

Context example: Mattel Inc

This is a complex case but in simple terms Mattel Inc inflated its reported earnings by using a technique which came to be known as 'bill and hold'. This involved billing customers for future sales. While the sale was recorded immediately (with invoices often prepared without the knowledge of the customer) the merchandise was not shipped. To support these sales Mattel produced false sales orders, invoices and bills of lading. The bills of lading were signed by employees as both themselves and the carrying company. They were then stamped 'bill and hold'. Problems which arose when the goods were actually sold were dealt with by making other fraudulent entries in the books.

When Arthur Andersen audited accounts receivable they sent accounts receivable confirmations to customers. These were returned with many substantial discrepancies due to the 'bill and hold' entries. As part of the reconciliation process the auditors reviewed copies of

bills of lading to serve as confirmation that the goods had been shipped. However, the auditors did not question the term 'bill and hold' even though it was clearly stamped on the documents and did not appear to notice that the same individual had signed as both representatives of Mattel Inc and the shipping company. A number of entries were questioned and the audit senior who reviewed the working papers noted that additional explanations were required but no further investigation actually took place.

(Source: Hayes, R., Dassen, R., Schilder, A., Wallage, P. (2005) Principles of Auditing: An Introduction to International Standards on Auditing. 2nd Ed. England: Pearson Education Limited)

2.2 Sufficient and appropriate evidence

'Sufficiency' and 'appropriateness' are **interrelated** and apply to both tests of controls and substantive procedures.

Sufficient evidence relates to the **quantity** of evidence gathered. However, it is not simply a question of 'more is better', as different sources can be more or less persuasive. Broadly speaking, however, it is possible to say that the greater the risk of misstatement, the greater the quantity of evidence required.

However, the standards are clear that if the auditor decides to perform more comprehensive testing eg, by selecting a bigger sample the extra work must contribute to the reduction of risk.

Appropriateness relates to the **quality** of evidence. ISA 500 amplifies this term by saying that evidence should be:

- **relevant**
- **reliable**

Relevance deals with the logical connection with the purpose of the audit procedure and, where appropriate, the **assertion** under consideration.

Reliability is **influenced by the source and nature of the evidence**; however, you should be familiar with the following generalisations from your earlier studies:

- Audit evidence is **more reliable** when it is obtained from **independent sources** outside the entity.
- Audit evidence that is generated **internally** is more reliable when the related controls imposed by the entity are **effective**.
- Audit evidence obtained **directly by the auditor** (for example, observation of the application of a control) is **more reliable** than audit evidence obtained indirectly or by inference (for example, inquiry about the application of a control).
- **Documentary evidence** is **more reliable**, whether paper, electronic or other medium (for example, a written record of a meeting is more reliable than a subsequent oral representation of the matters discussed).
- **Original documents** are **more reliable** than photocopies or faxes.

2.2.1 Audit data analytics

The UK FRC Audit Quality Thematic Review: The Use of Data Analytics in the Audit of Financial Statements indicates a number of issues which need to be considered at the planning stage of the audit which relate to sufficiency and appropriateness of audit evidence. These are as follows:

- Considering whether a tool is a 'good match' for the client's specific environment
- Ensuring that all relevant assertions are covered

- Whether testing in other areas needs to be flexed to provide the necessary supporting evidence for the use of audit data analytics
- The UK FRC Review was covered in more detail in Chapter 5.

The issue of reliability of data also needs to be re-assessed as data analytics includes the interrogation of a wider range of sources of information than might have traditionally been the case. For example expectations regarding reliability relating to information generated by the client's accounting system will be different to those relating to the reliability of information generated by analytics procedures performed on emails.

Interactive question 3: Audit evidence – revision

"The objective of the auditor is to […] obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion." (ISA 500.4)

Requirements

Discuss the extent to which each of the following sources of audit evidence is appropriate and sufficient.

3.1 Oral representation by management in respect of the completeness of sales where the majority of transactions are conducted on a cash basis.
3.2 Flowcharts of the accounting and control system prepared by a company's internal audit department.
3.3 Year-end suppliers' statements.
3.4 Physical inspection of a non-current asset by an auditor.
3.5 Comparison of revenue and expenditure items for the current period with corresponding information for earlier periods.
3.6 A proof in total calculation performed by the auditor to validate the interest expense relating to a bank loan.

See **Answer** at the end of this chapter.

2.3 The work of a management's expert as audit evidence

Definition

Management's expert: An individual or organisation possessing expertise in a field other than accounting or auditing whose work in that field is used by the entity to assist the entity in preparing financial statements.

Certain aspects of the preparation of financial statements may require expertise such as actuarial calculations (relevant to accounting for pensions) or valuations (where the fair value alternative is used for non-current assets). The entity may employ such experts or may engage the services of external experts. ISA 500 includes guidance on the considerations that arise for the external auditor in using this information as audit evidence.

If this work is significant to the audit the external auditor shall:

- evaluate the competence, capabilities and objectivity of the expert;
- obtain an understanding of the work of the expert; and
- evaluate the appropriateness of the expert's work as audit evidence for the relevant assertion.

Note: Situations where the external auditor requires the assistance of an expert in obtaining audit evidence are covered by ISA 620 (Revised November 2019), *Using the Work of an Auditor's Expert* (see later in this chapter).

2.4 Triangulation

Forming an audit opinion is a question of using **professional judgement** at all times and judgements have to be made about the nature, the quality and the mix of evidence gathered. It is also essential that individual items of evidence are not simply viewed in isolation but instead support other evidence and are supported by other evidence. This approach views evidence from different sources as predominantly complementary, rather than compensatory. This strategy of acquiring and evaluating **complementary** evidence from a range of sources is referred to as **triangulation.** This approach is an application of the general principle that evidence obtained from different sources, that presents a consistent picture, is mutually strengthening and gives greater reliance than merely increasing the amount of evidence from a single source. The consequence of overreliance on one specific type and source of evidence can be seen in the case of the collapse of Parmalat.



Professional skills focus: Assimilating and using information

Scenarios are always presented in such a way as to require analysis of all the available information, which is only possible once you have reviewed everything in the question. Mastering this process of triangulation is a key part of being able to make the best use of the information at your disposal.



Context example: Overreliance on confirmations

One of the largest examples of overreliance on one type of audit confirmation was the Parmalat collapse of 2003.

Parmalat Finanziaria Spa is an Italian-based company. Its main operating subsidiary Parmalat Spa dealt with dairy produce around the world. On 24 December 2003 Parmalat Spa filed for bankruptcy. How could this happen to a company that employed 36,000 employees, operated in 30 countries and was Italy's biggest food maker? The answer is simply forged documentation!

Parmalat allegedly had €3.95 billion worth of cash and marketable securities in an account at the Bank of America but under the name of Bonlat Financing Corporation. In 2002 Grant Thornton, the auditors of Bonlat, had requested confirmation of the balances from Bank of America. Three months later a reply was received by post, not fax, confirming the balance. It later transpired that this letter was a forgery and Bank of America confirmed this in a press release. The Parmalat CEO left Italy on the day of this press release. The €3.95 billion worth of cash and securities simply did not exist.

In retrospect, additional evidence rather than simply one (forged) letter should have been obtained for the cash balance. The case shows that even external confirmations and letters from other auditors should be treated with some scepticism where the amounts involved are very material.

(Source: Hayes, R., Dassen, R., Schilder, A., Wallage, P. (2005) Principles of Auditing: An Introduction to International Standards on Auditing. 2nd Ed. England: Pearson Education Limited)

3 Sources of audit evidence

Section overview

Sources of audit evidence include:

- Tests of controls (covered in Chapter 7)
- Substantive procedures

3.1 Tests of controls

You will have covered **tests of controls** in your earlier studies. We cover evaluation of controls and tests of controls in more detail in Chapter 7; however, a key point to remember is even if evaluated and tested controls are considered strong enough to rely on, there is still a need to carry out some substantive testing.

3.2 Substantive procedures

ISA 330, *The Auditor's Responses to Assessed Risks*, states that irrespective of the assessed risk of material misstatement, the auditor shall design and perform substantive procedures for each material class of transactions, account balance and disclosure.

There are two key types of substantive procedure:

- **Substantive analytical procedures**. These are generally more applicable to large volumes of transactions that tend to be predictable over time. We will look at these in detail in section 5.
- **Tests of details**. These are ordinarily more appropriate to obtain audit evidence regarding certain assertions about account balances. We will see how these are applied to key aspects of the financial statements as we work through the remainder of the chapter.

4 Selection of audit procedures

Section overview

Methods of obtaining audit evidence include:

- inquiry
- observation
- inspection
- recalculation
- reperformance
- external confirmation
- analytical procedures

The procedures used are selected according to the nature of the balance being audited and the assertion being considered. Audit procedures may be carried out using data analytics tools as discussed in Chapter 5.

4.1 Types of procedure

Auditors obtain evidence by using one or more of the following procedures.

4.1.1 Inquiry



Definition

Inquiry: Consists of seeking information of knowledgeable persons both financial and non-financial within the entity or outside the entity.

Examples

Inquiry includes obtaining responses to formal written questions and asking informal questions in relation to specific audit assertions. The response to inquiries provides the auditor with information that was not previously possessed or may corroborate information obtained from other sources. The strength of the evidence depends on the knowledge and integrity of the source. Where the result of inquiry is different from other evidence obtained, then reasons for that difference must be sought and the information reconciled.

Business focus

Common uses of inquiry are as follows:

- Written representations – where management have information not available from any other source
- Asking employees about the internal control systems and effectiveness of the controls they are operating

Remember it is not normally sufficient to accept inquiry evidence by itself – some corroboration will be sought. The US court case of *Escott et al. v Bar Chris Corporation 1968* ruled that the auditor was negligent in not following up answers to management inquiries. The judge indicated that the auditor was too easily satisfied with glib answers and that these should have been checked with additional investigation.

4.1.2 Observation



Definition

Observation: Consists of looking at a procedure or process being performed by others.

Examples

Observation is not normally a procedure to be relied on by itself. For example, the auditor may observe a process, such as a bank reconciliation. However, this will only prove the process has been carried out; other assertions such as rights and obligations, completeness, existence and accuracy, valuation and allocation will rely on other evidence such as bank statements, payment information and bank confirmation letters.

Business focus

Observation is commonly used in the business processes of inventory management. After inventory has been purchased, an organisation holds raw materials, work in progress and finished goods in its warehouses and factories. Observation is used to determine the process used by the entity when managing its inventory: observing inventory management systems give evidence that the inventory exists, it is valued correctly (looking for old and slow-moving inventory) and that inventory is complete in the organisation's books. Note the link to audit assertions here.

Additionally, the auditor will be observing the internal control systems over inventory, particularly in respect to perpetual inventory checking and any specific procedures for year-end inventory counting. You should be familiar with the audit procedures in respect of attendance at an inventory count from your Assurance studies.

Observation may also be used in the human resource business process. The auditor will observe employees operating specific controls within the internal control system to determine the effectiveness of application of those controls, as well as the ability of the employee to operate the control. However, the act of observing the employee limits the value of the evidence obtained; many employees will amend their work practices when they identify the auditor observing them.

4.1.3 Inspection



Definition

Inspection: Means the examination of records, documents or tangible assets.

Examples

By carrying out inspection procedures, the auditor is substantiating information that is, or should be, in the financial statements. For example, inspection of a bank statement confirms the bank balance for the bank reconciliation which in turn confirms the cash book figure for the financial statements.

Business focus

Inspection assists with the audit of most business processes. For example:

- Financing: inspection of loan agreements to confirm the term and repayment details (part of the completeness of disclosure in the financial statements)
- Purchasing: inspection of purchase orders to ensure that the order is valid and belongs to the company (occurrence assertion among others)
- Human resources: inspection of pay and overtime schedules as part of wages audit
- Inventory management: inspection of the work in progress ledger confirming cost allocation to specific items of work in progress (valuation assertion)
- Revenue: inspection of sales invoices to ensure that the correct customer has been invoiced with the correct amount of sales (completeness and accuracy assertions)

Inspection of assets that are recorded in the accounting records confirms **existence**, gives evidence of **valuation**, but does not confirm **rights and obligations**.
Confirmation that assets seen are recorded in accounting records gives evidence of **completeness**. Confirmation to documentation of items recorded in accounting records confirms that an asset **exists**
or a transaction **occurred**. Confirmation that items recorded in supporting documentation are recorded in accounting records tests **completeness**.

Cut-off can be verified by inspecting the reverse population; that is, checking transactions recorded **after** the end of the reporting period to supporting documentation to confirm that they occurred after the end of the reporting period.

Inspection also provides evidence of **valuation/accuracy**, **rights and obligations** and the nature of items **(presentation and classification)**. It can also be used to **compare** documents (and hence test **consistency** of audit evidence) and confirm **authorisation**.

4.1.4 Recalculation

Definition

Recalculation: Consists of checking the arithmetical accuracy of source documents and accounting records.

Examples

Recalculation obviously relates to financial information. It is deemed to be a reliable source of audit evidence because it is carried out by the auditor.

Business focus

Recalculation relates to most business processes. For example:

- Financing: calculation of interest payments
- Purchasing: accuracy of purchase orders and invoices
- Inventory management: valuation of work in progress
- Revenue: recalculation of sales invoices

Recalculation is particularly effective when carried out using **automated tools and techniques** (ATTs), as the computer can perform the whole of the inventory calculation (for example) in a short time period. Data analytics may also be used. For example data analytics routines may be used to perform detailed recalculations of depreciation on non-current assets by item. Approximations could be used (eg, assuming sales and purchases are mid-month) or by using the entire data set and exact dates.

4.1.5 Reperformance

Definition

Reperformance: Means the auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal control.

Examples

Auditors will often reperform some of the main accounting reconciliations, such as the bank reconciliation or reconciliations of individual supplier balances to supplier statements. It is also deemed to be a reliable source of audit evidence because it is carried out by the auditor.

Business focus

Reconciliations are a key control over many transaction cycles in the business, and if performed properly are an effective means of identifying accounting errors or omissions. If they are performed by an individual who is not involved in the day to day accounting for the underlying transactions they can be a deterrent against fraudulent accounting.

4.1.6 External confirmation

Definition

External confirmation: Audit evidence obtained as a direct written response to the auditor from a third party.

Examples

A typical example of confirmation evidence is obtaining a response from a debtors' circularisation (see Appendix for revision on this area). The evidence obtained is highly persuasive, as it comes from an independent external source.

Key characteristics of any confirmation are as follows:

- Information is requested by the auditor.
- The request and response are in writing and the response is sent direct to the auditor.
- The response is from an independent third party.
- The confirmation is usually required to be positive (a response is expected) rather than negative (a non-reply is assumed to confirm information provided to the third party).

Business focus

Confirmations are normally used in the following business processes:

- Financing: agreement of bank balances, loan amounts outstanding etc, (see Appendix)
- Inventory: confirmation of inventory held at third parties
- Revenue: confirmation of amounts due from debtors and payable to creditors (see Appendix)

4.1.7 Analytical procedures

We will look at these in a later section.

4.2 Application of procedures to specific areas of the financial statements

You should be familiar with the basic principles behind the audit of key balances in the financial statements from your Assurance studies. This section demonstrates the application of these principles, looking in particular at non-current assets.

4.2.1 Tangible assets

The major risks of misstatement in the financial statements are due to:

- expenses being capitalised as non-current assets (**existence** assertion);
- tangible assets being carried at the wrong cost or valuation (**accuracy, valuation and allocation** assertion);
- tangible assets being carried at the wrong cost or valuation due to charging inappropriate depreciation, or not depreciating (**accuracy, valuation and allocation** assertion); and
- tangible assets being carried at the wrong cost or valuation due to impairment reviews not being carried out appropriately (**accuracy, valuation and allocation** assertion).



Interactive question 4: Audit procedures revision of tangible assets

Your firm acts as auditors to Xantippe Ltd, a manufacturer of industrial components. You have been presented with the financial statements for the year to 31 December 20X6, which include the following information in connection with property, plant and equipment.

	At 1 January 20X6	Additions	Disposals	At 31 December 20X6
	£	£	£	£
Cost				
Freehold property	80,000	–	–	80,000
Plant and machinery	438,000	62,000	(10,000)	490,000

Motor vehicles	40,500	13,000		53,500
	558,500	75,000	(10,000)	623,500

	At 1 January 20X6 £	Charge for year £	Disposals £	At 31 December 20X6 £
Depreciation				
Freehold property	8,000	1,600	–	9,600
Plant and machinery	139,500	47,000	(3,000)	183,500
Motor vehicles	20,000	10,200		30,200
	167,500	58,800	(3,000)	223,300

Requirements

4.1 Explain the factors that should be considered in determining an approach to the audit of property, plant and equipment of Xantippe Ltd.

4.2 State the procedures you would perform in order to reach a conclusion on property, plant and equipment in the financial statements of Xantippe Ltd for the year ended 31 December 20X6.

See **Answer** at the end of this chapter.

Impairment of non-current assets

An asset is **impaired** when its **carrying amount** (depreciated cost or depreciated valuation) **exceeds** its **recoverable amount**. Management are required to determine if there is any **indication** that the assets are impaired.

The auditors will consider whether there are any **indicators of impairment** when carrying out **risk assessment procedures**. They will use the same impairment criteria laid out in IAS 36, *Impairment of*

Assets as management do. If the auditors believe that impairment is indicated, they should request that management show them the impairment review that has been carried out. If no impairment review has been carried out, then the auditors should discuss the need for one with management and, if necessary, modify their report on grounds of disagreement (not conforming with IAS 36) if management refuse to carry out an impairment review.

If an impairment review has been carried out, then the auditors should audit that impairment review. Management will have estimated whether the recoverable amount of the asset/cash generating unit is lower than the carrying amount.

For auditors, the key issue is that **recoverable amount requires estimation**. As estimation is subjective, this makes it a risky area for auditors.

Management have to determine if recoverable amount is higher than carrying amount. It may not have been necessary for them to estimate both fair value and value in use because, if one is higher than carrying amount, then the asset is not impaired. If it is not possible to make a reliable estimate of net realisable value, then it is necessary to calculate **value in use**. Net realisable value is only calculable if there is an **active market for the goods**, and would

therefore be audited in the same way as fair value. Costs of disposal such as taxes can be recalculated by applying the appropriate tax rate to the fair value itself. Delivery costs can be verified by comparing costs to published rates by delivery companies, for example, on the internet.

If management have calculated the value in use of an asset or cash-generating unit, then the auditors will have to **audit that calculation**. The following procedures will be relevant.

Value in use

- Obtain management's calculation of value in use.
- Reperform calculation to ensure that it is mathematically correct.
- Compare the cash flow amounts to recent budgets and projections approved by the board to ensure that they are realistic.
- Calculate/obtain from analysts the long-term average growth rate for the products and ensure that the growth rates assumed in the calculation of value in use do not exceed it.
- Refer to competitors' published information to compare how much similar assets are valued at by companies trading in similar conditions.
- Compare to previous calculations of value in use to ensure that all relevant costs of maintaining the asset have been included.
- Ensure that the cost/income from disposal of the asset at the end of its life has been included.
- Review calculation to ensure cash flows from financing activities and income tax have been excluded.
- Compare discount rate used to published market rates to ensure that it correctly reflects the return expected by the market.

If the asset is impaired and has been written down to recoverable amount, the auditors should review the financial statements to ensure that the write-down has been carried out correctly and that the IAS 36 disclosures have been made correctly.

4.2.2 Intangible assets

Accounting guidance for intangibles is given in IAS 38, *Intangible Assets* and IFRS 3, *Business Combinations*. The types of assets you are likely to encounter under this heading include the following:

- Patents
- Licences
- Trademarks
- Development costs
- Goodwill

The major risks of misstatement in the financial statements are due to:

- expenses being capitalised as non-current assets (**existence** assertion);
- intangible assets being carried at the wrong cost or valuation (**accuracy, valuation and allocation** assertion);
- intangible assets being carried at the wrong cost or valuation due to charging inappropriate amortisation, or not amortising (**accuracy, valuation and allocation** assertion); and
- intangible assets being carried at the wrong cost or valuation due to impairment reviews not being carried out appropriately (**accuracy, valuation and allocation** assertion).

In order to address these, the auditor should carry out the following procedures.

Completeness

- **Prepare analysis** of movements on cost and amortisation accounts.

Rights and obligations

- **Obtain confirmation** from a patent agent of all **patents** and **trademarks** held.
- **Verify payment** of **annual renewal fees**.

Accuracy, valuation and allocation

- **Review specialist valuations** of intangible assets, considering:
  - qualifications of valuer
  - scope of work
  - assumptions and methods used
- **Confirm that carried down balances** represent **continuing value**, which are proper charges to future operations.

Additions (rights and obligations, valuation and completeness)

- Inspect purchase agreements, assignments and supporting documentation for intangible assets acquired in period.
- Confirm that purchases have been authorised.
- Verify amounts capitalised of patents developed by the company with supporting costing records.

Amortisation

- **Review amortisation**
  - Check computation
  - Confirm that rates used are reasonable

Income from intangibles

- **Review sales returns** and **statistics** to verify the reasonableness of income derived from patents, trademarks, licences etc.
- **Examine audited accounts** of third-party sales covered by a patent, licence or trademark owned by the company.

Professional skills focus: Structuring problems and solutions

The requirements of a question will often need some further work to fully understand what the examining team is looking for, especially when requesting audit procedures in relation to a stated exhibit. Good awareness of the various types of procedure and when they should be used will help you make sense of what you have been asked to do.

5 Analytical procedures

Section overview

- Analytical procedures are used as part of risk assessment and are required to be used as part of the final review process.
- Analytical procedures may be used as substantive procedures.

5.1 Use of analytical procedures

Analytical procedures are used throughout the audit.

- ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement* deals with their use as **risk assessment** procedures.
- ISA 520, *Analytical Procedures* **requires** that analytical procedures are used **near the end of the audit** when forming an overall conclusion as to whether the financial statements are consistent with the auditor's understanding of the entity.

Analytical procedures **may** also be used as **substantive procedures**.

Auditors should not normally rely on analytical procedures alone in respect of material balances but should **combine them with tests of detail**.

However, ISA 330 paragraph A43 points out that the combination will depend on the circumstances, and that the auditor may determine that performing only analytical procedures will be sufficient to reduce audit risk to an acceptably low level; for example, where the auditor's assessment of risk is supported by audit evidence from tests of controls.

This is an area of the audit where the use of data analytics tools can be particularly effective, in support of judgements and providing greater insights. Data analytics tools are able to draw on a wider range of data as compared to traditional methods. For example interest and foreign exchange rates, changes in GDP and other growth metrics could be used. External market data may also be relevant.

Data analytics routines can also be used on much larger datasets due to the ever-increasing processing power of AI-supported technology, which can lead to more sophisticated testing but does require equally sophisticated application for the results to be an accurate reflection of the balance being tested.

Professional skills focus: Structuring problems and solutions

Remember that as well as any quantitative data presented in the exam question, there will also be information from the data analytics software that you will need to consider as part of your approach.

5.2 Practical techniques

Ratio analysis is one of the key techniques which the auditor will use when performing analytical procedures. You have looked at the relevant ratios in detail in your Assurance studies. A brief summary is provided below.

5.2.1 Ratio analysis

When carrying out analytical procedures, auditors should remember that every industry is different and each company within an industry differs in certain aspects.

Important accounting ratios	Gross profit margins, in total and by product, area and months/quarter (if possible) Receivables ratio (average collection period) Inventory turnover ratio (inventory divided into cost of sales) Current ratio (current assets to current liabilities) Quick or acid test ratio (liquid assets to current liabilities) Gearing ratio (debt capital to equity capital)

	Return on capital employed (profit before interest and tax to total assets less current liabilities)
Related items	Payables and purchases Inventory and cost of sales Non-current assets and depreciation, repairs and maintenance expense Intangible assets and amortisation Loans and interest expense Investments and investment income Receivables and irrecoverable debts expense Receivables and sales

Ratios mean very little when used in isolation. They should be calculated for **previous periods** and for **comparable companies**. The permanent file should contain a section with summarised accounts and the chosen ratios for prior years.

In addition to looking at the more usual ratios the auditors should consider examining **other ratios** that may be **relevant** to the particular **client's business**, such as revenue per passenger mile for an airline operator client, and fees per partner for a professional office.

5.2.2 Other techniques

Other analytical techniques include:

(a) **Simple comparisons**

A simple year on year comparison could provide very persuasive evidence that an expense such as rent is correctly stated, providing that the auditor has sufficient knowledge of the business, for example knowing that the same premises have been leased year on year and that there has been no rent review.

(b) **Examining related accounts**

Examining related accounts in conjunction with each other could provide evidence that a balance is fairly stated. Often revenue and expense accounts are related to asset and liability accounts and comparisons should be made to ensure relationships are reasonable.

(c) **Reasonableness tests**

These involve calculating the **expected value** of an item and comparing it with its actual value, for example, for straight-line depreciation.
(Cost + Additions – Disposals) × Depreciation % = Recognised in profit or loss This may include the comparison of non-financial as well as financial information.
For example, in making an estimate of employee costs, probably for one specific department, such as manufacturing, the auditor might use information about the number of employees in the department, as well as rates of pay increases.

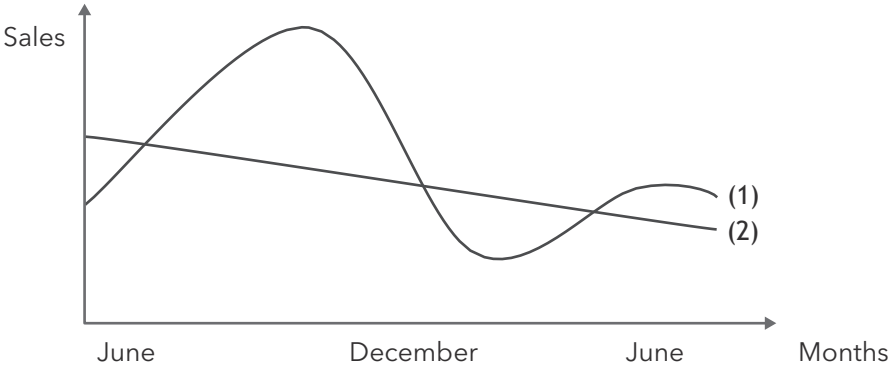
(d) **Trend analysis**

This is a sophisticated statistical technique that can be used to compare this period with the previous period. Information technology can be used in trend analysis, to enable auditors to see trends graphically with relative ease and speed.

Methods of trend analysis include the following: – Scatter graphs
- Bar graphs
- Pie charts
- Any other visual representations
- Time series analysis
- Statistical regression

Time series analysis involves techniques such as eliminating seasonal fluctuations from sets of figures, so that underlying trends can be analysed. This is illustrated in the figure below.

Figure 6.1: Time series analysis



Line (1) in the diagram shows the actual sales made by a business. There is a clear seasonal fluctuation before Christmas. Line (2) shows a level of sales with 'expected seasonal fluctuations' having been stripped out.

In this analysis the seasonal fluctuations have been estimated. This analysis is useful, however, because the estimate is likely to be based on past performance, so the conclusion from this is that there might be a problem:

- Sales are below the levels of previous years.
- Sales are below expectation.

5.3 Analytical procedures as risk assessment procedures

ISA 315 (Revised) para.14 requires that risk assessment procedures include analytical procedures.

Analytical procedures are usually carried out at the **planning stage** of the audit because:

- it is a tool which assists in the **identification of risk**; and
- the result helps the auditor to **plan the audit approach**.

The benefits of adopting this technique are that:

- it helps to **focus** on the key priorities, as it is a 'top down' procedure; and
- it is an **efficient procedure**, due to its focus on key priorities.

5.3.1 Technique

Although ISA 520 deals with analytical procedures in the context of substantive procedures the same basic techniques would be applied when using analytical procedures as risk assessment procedures. The key stages in the process are as follows:

- **Interpretation**
- **Investigation**
- **Corroboration**

When potential problem areas have been identified, one of the key questions to ask is 'why?'.

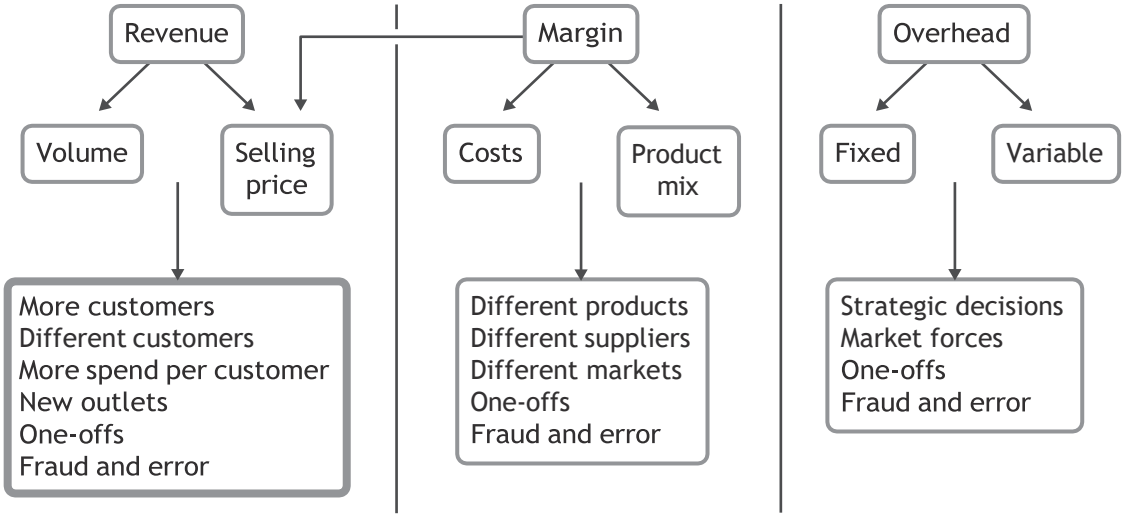
The statement of profit or loss and other comprehensive income

To apply this in more detail think about the client's statement of profit or loss and other comprehensive income.

The key question must be:

Why did the client make more (or less) money this year?

Figure 6.2: Statement of profit or loss



Changes in revenue must depend on changes in either:

- volumes; or
- prices.

Alternatively, it could be a combination of the two.

Changes in margins must have something to do with changes in:

- selling prices
- cost prices
- product mix

Changes in overheads will need to be identified line by line, but you might like to consider the different impacts of changes in:

- fixed overheads
- variable overheads

The boxes at the bottom of the diagram give some suggestions for the reasons why. The suggestions are not intended to be exhaustive, but they should give you a good basis for an answer to an analytical procedures type question.

A similar approach needs to be taken both to statement of financial position areas and those efficiency ratios which link statement of financial position figures to the performance ratios.

5.3.2 Financial and non-financial factors

ISA 520 stresses the need to consider the use of **non-financial information** eg, employee numbers and available selling space. Non-financial performance indicators can be found within the financial statements. In particular, an **operating and financial review**, or possibly the **chair's statement**, may serve as useful indicators as they attempt to comment on both the past and the future of the company. However, care must be taken in assessing the **reliability** of this information, as indicators may have been selected to ensure a positive message is conveyed.



Interactive question 5: Analytical procedures (1)

You are planning the audit of Darwin Ltd for the year ended 31 December 20X7. You are currently engaged in the interim audit during November 20X7. The company manufactures and distributes light fittings for both internal and external use. Approximately 40% of revenue is generated from foreign customers.

You have been provided with the following operating information.

	10 months to 31 Oct 20X7 £'000	10 months to 31 Oct 20X6 £'000	Year to 31 Dec 20X6 £'000
Revenue	27,187	23,516	27,068
Cost of sales	16,040	14,966	17,175
Gross profit	11,147	8,550	9,893
Operating expenses	5,437	4,938	5,678
Operating profit	5,710	3,612	4,215
Gross profit margin	41%	36%	37%
Operating profit margin	21%	15%	16%
Inventories	5,160	4,320	4,080

Requirement

Based on the operating information identify and explain the potential audit risks.

See **Answer** at the end of this chapter.



Interactive question 6: Analytical procedures (2)

Libby Ltd is a ladies fashion retailer operating a chain of shops in the South-East of England from a head office in Guildford. Your firm has been the auditor of Libby Ltd for some years.

During the current year one shop was closed and the product range of the remaining eight shops was extended to include accessories and footwear.

The company has a computerised accounting system and the audit manager is keen to ensure that the audit is as efficient as possible.

As senior in charge of the audit you are currently planning the audit procedures for trade payables and you have obtained draft financial statements from the client.

Extracts from the draft financial statements:

	Year ended 31 March	
Statement of profit or loss and other comprehensive income	**Draft 20X7 £'000**	**Actual 20X6 £'000**
Revenue	8,173	5,650
Gross profit	1,717	1,352

		As at 31 March Actual 20X6
Statement of financial position	**Draft 20X7 £'000**	**£'000**
Non-current assets	2,799	2,616
Current assets	1,746	1,127
Trade payables	991	718
Other payables	514	460

Requirements

6.1 State what observations you can draw from the extracts from the draft financial statements and how they may affect your audit of trade payables.

6.2 Indicate how audit software could be used in the audit of trade payables to achieve a more efficient audit.

See **Answer** at the end of this chapter.

5.4 Analytical procedures as substantive procedures

5.4.1 Factors to consider

There are a number of factors which the auditors should consider when deciding whether to use analytical procedures as substantive procedures. You will have covered these in your Assurance studies. A brief reminder is given below.

Factors to consider	Example
The **suitability** of particular analytical procedures for given assertions	Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time, such as analysis involving revenue and gross profit margins.
The **reliability** of the data from which the auditors' expectations are developed	This will depend on factors such as: • the **source** of the information; and • the **comparability** of the data; industry comparison may be less meaningful if the entity sells specialised products.
The **detail** to which information can be **analysed**	Analytical procedures may be more effective when applied to financial information or individual sections of an operation such as individual factories and shops.
The **nature of information**	Financial: budgets or forecasts. Non-financial: eg, the number of units produced or sold.
The **relevance of the information** available	Whether the budgets are established as results to be expected rather than as tough targets (which may well not be achieved).
The **knowledge gained during previous audits**	The effectiveness of the accounting and internal controls. The types of problems giving rise to accounting adjustments in prior periods.

Factors which should also be considered when determining the reliance that the auditors should place on the results of substantive analytical procedures are:

Reliability factors	Example
Other audit procedures directed towards the same financial statements assertions	Other procedures auditors undertake in reviewing the collectability of receivables, such as the review of subsequent cash receipts, may confirm or dispel questions arising from the application of analytical procedures to a schedule of customers' accounts which lists for how long monies have been owed.

The **accuracy** with which the expected results of analytical procedures can be predicted	Auditors normally expect greater consistency in comparing the relationship of gross profit to sales from one period to another than in comparing expenditure which may or may not be made within a period, such as research and advertising.
The **frequency** with which a relationship is observed	A pattern repeated monthly as opposed to annually.

Reliance on the results of analytical procedures depends on the auditor's assessment of the **risk** that the procedures may mistakenly identify relationships (between data) when in fact there is a material misstatement (that is, the relationships do not in fact exist). It also depends on the results of investigations that auditors have made if substantive analytical procedures have highlighted significant fluctuations or unexpected relationships.

5.4.2 Substantive analytical procedures

In practical terms, the use of substantive analytical procedures involves four distinct steps:

(a) Firstly, **formulate expectations**

(b) Secondly, **compare expected value with the actual recorded amount**

(c) Thirdly, **obtain possible reasons for variance** between expected value and recorded amount

(d) Fourthly, **evaluate impact of any unresolved differences** between the expected and recorded amounts on the audit and financial statements

Each of these steps is explained below.

Formulate expectations

The auditor develops an expectation of figures in the financial statements using prior year financial statements, budgets, industry information etc. The expectation should be developed so that any material difference between this and the actual values in the financial statements indicates a potential misstatement. The auditor must also evaluate whether the expectation is sufficiently precise to identify a misstatement.

To carry out this procedure, the auditor will need access to industry data and environmental factors affecting that industry. Access to the financial statements is not required at this time, as this could prejudice the expectations of the auditor.

Example

The auditor is confirming the accuracy of salary expense in the statement of profit or loss and other comprehensive income.

The prior year salary figure can be obtained from the prior year financial statements. This year's salary can be estimated using the average number of employees (from personnel records) and the average salary again from personnel records. Changes in number of staff can be checked as reasonably accurate from knowledge of the industry sector (expanding or declining?) and initial knowledge of the client's business (expanding or contracting?). Average number of employees multiplied by average salary should give an approximate salary cost for the financial statements.

Compare expected value with the actual recorded amount

The auditor compares the expected value with the actual amount in the financial statements. In making this comparison, the auditor must decide the amount of deviation which will be allowed between the expected and actual figures – in other words, set a materiality limit. As assessed risk increases, the amount of difference considered acceptable without investigation decreases. If the difference between the two figures exceeds this materiality threshold then

further investigation will be required in an attempt to explain the difference. If the difference is below the materiality threshold then no further investigation will be necessary.

The actual salary expense in the statement of profit or loss and other comprehensive income can be found. Assuming that salary cost does not involve overtime, then the estimated amount and the actual should be relatively close – materiality is likely to be set at, say, 10% difference between the two figures.

Obtain possible reasons for variances

The auditor attempts to identify reasons for the difference between the expected figure and the actual figure in the financial statements. The level of investigation depends to some extent on the accuracy of the auditor's expected figure. If the expected figure is precise, then more investigation will be expected. Conversely, if the expected figure has a larger element of imprecision, then it is less likely that any difference is due to misstatement and therefore less investigation work will be performed. (The auditor should have assessed whether expectations were capable of sufficiently precise measurement before adopting analytical procedures.)

Corroboration of any difference will normally start by obtaining written representations from management. However, these representations should be treated with scepticism due to the inherent problem of reliability of this source of evidence. Evidence from other sources will be required to ensure that written representations are accurate.

If the expected and actual salary expenses are more than 10% different, then further work is needed to determine why this is the case. Initial discussions with management may highlight areas where costs will be different eg, expansion in the last month of the year may skew the average number of managers to a larger number than expected. Or a salary increase late in the year may also inflate expectations of average salary. These written representations will be checked back in detail to the salary records.

Evaluate impact of any unresolved differences

Finally, the auditor will evaluate the impact of any unresolved differences on audit procedures and the financial statements. A large difference may mean that additional substantive procedures are required on the account balance to determine its accuracy. Any small remaining difference may be ignored as immaterial.

Hopefully, differences in expected and actual salaries will be resolved and any remaining residual difference will be immaterial. However, where differences remain, additional substantive testing of the salaries figure will be required.

5.5 Analytical procedures at the completion stage

ISA 520 states that analytical procedures performed when forming an overall conclusion are intended to corroborate conclusions formed during the audit. This assists the auditor in forming their opinion. The steps for carrying out analytical procedures at the completion stage of the audit may be very similar to those used as part of the risk assessment process at the planning stage. However, they are applied in a different way:

(a) **Interpretation**

The individual carrying out the analytical procedures reads through the financial statements and interprets them, considering the absolute figures themselves and the relevant ratios.

(b) **Investigation**

When analytical procedures are used as risk assessment procedures or as a substantive procedure the aim is to identify potential problems. The problems are then investigated during fieldwork by making inquiries and gathering audit evidence.

Considerations when carrying out such procedures may include the following:

(a) Whether the financial statements adequately reflect the information and explanations previously obtained and conclusions previously reached

(b) Whether the procedures reveal any new factors which may affect presentation or disclosures in the financial statements

(c) Whether the procedures produce results which are consistent with the auditor's knowledge of the entity's business

(d) The potential impact of uncorrected misstatements identified during the course of the audit

If analytical procedures identify a previously unrecognised risk of material misstatement, then the auditor should reassess risk and modify the audit plan and perform further procedures as required.

From a practical point of view it is worth remembering the following:

(a) For the smaller client, the working papers supporting the final analytical procedures may well be simply an update of the work done at the planning stage.

(b) For the larger client, the review becomes much more of a specific exercise.

(c) The financial statements used for the analytical procedures need to incorporate any adjustments made as a result of the audit.

5.6 Analytical procedures and other engagements



Professional skills focus: Applying judgement

In this section we have been looking at the role of analytical procedures in the audit process. However, the skills and techniques involved may be applied to **other aspects** of the professional accountants' work.

Judgement is always necessary when analytical procedures are used as part of your answer - what is the message behind the numbers and is any other information (either quantitative or qualitative) required?



Interactive question 7: Analytical procedures (3)

Harrison plc is a small jewellers based in Hatton Garden in London. Over the years it has built up an impressive client portfolio, and boasts names from high society as regular customers. You have recently joined the engagement team.

Harrison plc now needs to restructure its long-term and short-term financing in order to facilitate future growth, and has provided your firm with the following data to make an assessment of its liquidity. The firm is also looking to re-evaluate its performance measures and is seeking advice on what might be the most appropriate non-financial performance measures.

The following is an extract from the financial information provided by Harrison plc for the year ended 30 September 20X4.

	£m
Revenue	2.0
Purchases	1.2
Cost of sales	1.5

	£
Non-current assets	550,000
Inventory	300,000
Receivables	150,000
Cash	100,000
Payables	(100,000)
	1,000,000
Ordinary shares of 25p each	250,000
Reserves	350,000
7% preference shares of £1 each	250,000
15% unsecured loan stock	150,000
	1,000,000

The ordinary shares are currently quoted at 125p each, the loan stock is trading at £85 per £100 nominal, and the preference shares at 65p each.

Requirement

Evaluate the financial performance of the company.

See **Answer** at the end of this chapter.

6 Audit of accounting estimates

Section overview

- Accounting estimates and their disclosure require judgement and therefore lead to increased audit risk.

ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures* provides guidance on the audit of accounting estimates contained in financial statements and requires auditors to obtain sufficient, appropriate audit evidence regarding accounting estimates and how they are disclosed.

Definitions

Accounting estimate: A monetary amount for which the measurement, in accordance with the requirements of the applicable financial reporting framework, is subject to estimation uncertainty.

Estimation uncertainty: Susceptibility to an inherent lack of precision in measurement.

The ISA gives the following examples of accounting estimates (ISA 540.A1):

- Allowance to reduce inventory due to obsolescence
- Depreciation methods
- Valuation or impairment of assets or financial instruments

- Provision for a loss from a lawsuit
- Revenue recognised for long term contracts
- Determination of fair value in a goodwill calculation

Directors and management are responsible for disclosing accounting estimates within the financial statements when something cannot be directly observed. The amount disclosed is usually referred to as **management's point estimate**.

Under ISA 540 (Revised) *Auditing Accounting Estimates and Related Disclosures* auditors are most concerned about **estimation uncertainty**, because the inherent limitations in any knowledge or data used to create accounting estimates inevitably lead to **increased risk of material misstatement** from either deliberate or accidental **management bias** in the financial statements. Auditors therefore need to consider **inherent risks** when assessing the estimation uncertainty attached to an accounting estimate. Other factors that the auditor should consider are the **complexity** and **subjectivity** involved in the creation of management's point estimate (ISA 540.2–3).

6.1 Audit procedures

Where estimation uncertainty, complexity and subjectivity exist, the auditor may need to exercise greater levels of **professional scepticism**. Professional scepticism should be maintained specifically for estimates relating to fair value, asset impairments and provisions.

Inherent risk factors that the auditor should consider include:

- the entity and its environment
- the experience that management has in developing its own point estimate
- the volatility associated with the estimate
- the degree of judgement and subjectivity involved when creating an estimate

As well as assessing inherent risk, auditors must also gain an understanding about **controls** related to accounting estimates, including sources of information and any supporting systems:

- that they exist and have been implemented
- that they are operating effectively

Audit procedures would be dependent on the results of this controls testing, although the ISA does point out that in some cases (such as high volumes of transactions or data processing) **substantive testing alone** may not be enough and **controls effectiveness** would still be required to determine sufficiency and appropriateness of audit evidence (ISA 540.A87–88).

When determining the **reasonableness** of accounting estimates and their disclosure, auditors may consider the following:

- how the estimate has been calculated, including the **method** used, its accuracy and any **assumptions** and **data** relied upon, in the context of the company's circumstances
- why that particular management's point estimate was **chosen**
- how the **estimation uncertainty** surrounding the estimate has been addressed by management and how this has been disclosed

Further audit procedures to address any concerns about estimation uncertainty may also include:

- obtaining evidence from events occurring up to the date of the auditor's report
- developing an auditor's point estimate or range

6.2 Evaluation of results of audit procedures

Where the auditor concludes that there is evidence of possible **management bias**, this should be treated in the same way as any other **fraud**. Otherwise, the outcome of audit procedures on accounting estimates should be considered in the context of the **auditor's report** (and in relation to any uncorrected factual, judgemental or projected misstatements in the context of ISA 450, covered further in Chapter 8).

6.3 Key audit matter

Where an accounting estimate has been identified as having a **high estimation uncertainty** the auditor may conclude that it is a key audit matter that requires disclosure in accordance with ISA 701, *Communicating Key Audit Matters in the Independent Auditor's Report*. ISA 701 is also covered in Chapter 8.



Context example: The role of AI in auditing accounting estimates

Consider the areas that lead to increased risk of material misstatement in accounting estimates: complexity and subjectivity or bias; estimation uncertainty; the accuracy of data and its underlying assumptions. Could the application of AI be a way of managing this risk down to something more acceptable for auditors?

The answer must surely be 'yes' if we consider the volume and complexity of data that AI can process, without inconsistency or bias. Couple that with the ability of AI to consider predictive modelling and pattern recognition to an extent that a human cannot, and it presents a compelling argument for the use of AI by auditors when reviewing items such as fair value, future losses and other allowances.

The only word of caution would be to remember that the AI used for such testing would need to be aware of the potential biases built into certain algorithms when originally programmed, although the rise of Generative AI that can learn from its actions helps to mitigate this.

7 Initial audit engagements – opening balances



Section overview

- Opening balances are those account balances which exist at the beginning of an accounting period.
- The auditor will perform audit procedures to ensure that those balances are accurately stated.
- Specific procedures may be required where the opening balances were not audited by the current audit firm.

7.1 Opening balances

Opening balances are those account balances which exist at the beginning of the period. Opening balances are based on the closing balances of the prior period and reflect the effects of:

- transactions and events of prior periods; and
- accounting policies applied to the prior period.

ISA 510, *Initial Audit Engagements – Opening Balances* provides guidance on opening balances:

- when the financial statements of an entity are audited **for the first time**; and
- when the financial statements for the prior period were audited by **a predecessor auditor**.

7.2 Requirements

The auditor shall obtain sufficient, appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements by:

- determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, have been restated;
- determining whether the opening balances reflect the application of appropriate accounting policies; and
- performing one or more of the following:
  - Where the prior year financial statements were audited, reviewing the predecessor auditor's working papers to obtain evidence regarding the opening balances
  - Evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances
  - Performing specific audit procedures to obtain evidence regarding the opening balances.

When the prior period's financial statements were audited by another auditor, the current auditor may be able to obtain sufficient, appropriate audit evidence regarding opening balances by reviewing the predecessor auditor's working papers. (As noted in Chapter 3, in audits carried out under the UK Companies Act 2006, when the predecessor auditor ceases to hold office, if requested by the successor auditor, the predecessor auditor must allow the successor access to all relevant information in respect of its audit work. This includes access to relevant working papers.). However similar provisions are not yet introduced in the Bangladesh regulations such as the Companies Act, 1994 and Financial Reporting Act, 2015 etc.

The nature and extent of audit procedures necessary to obtain sufficient, appropriate audit evidence on opening balances depends on matters such as the following.

- The accounting policies followed by the entity
- The nature of the account balances, classes of transactions and disclosures and the risks of material misstatement in the current period's financial statements
- The significance of the opening balances relative to the current period's financial statements
- Whether the prior period's financial statements were audited and, if so, whether the predecessor auditors' opinion was modified

If the auditor obtains audit evidence that the opening balances contain misstatements, that could materially affect the current period's financial statements, the auditor shall perform such additional audit procedures as are appropriate in the circumstances to determine the effect on the current period's financial statements.

7.2.1 Specific audit procedures

For current assets and liabilities some audit evidence may be obtained as part of the current period's audit procedures. For example, the collection (payment) of opening accounts receivable (accounts payable) during the current period will provide some audit evidence of their existence, rights and obligations, completeness and valuation at the beginning of the period.

In the case of inventories, however, the current period's audit procedures on the closing inventory balance provide little audit evidence regarding inventory on hand at the beginning of the period.

Therefore, additional procedures may be necessary, such as:

- observing a current physical inventory count and reconciling it back to the opening inventory quantities;
- performing audit procedures on the valuation of the opening inventory items; and
- performing audit procedures on gross profit and cut-off.

A combination of these procedures may provide sufficient, appropriate audit evidence.

For non-current assets and liabilities, some audit evidence may be obtained by examining the accounting records and other information underlying the opening balances. In certain cases, the auditor may be able to obtain some audit evidence regarding opening balances through confirmation with third parties, for example for long-term debt and investments. In other cases, the auditor may need to carry out additional audit procedures.

7.2.2 Consistency of accounting policies

The auditor shall obtain sufficient, appropriate audit evidence about whether the accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, and whether changes in the accounting policies have been appropriately properly accounted for and adequately presented and disclosed in accordance with the applicable financial reporting framework.

7.2.3 Prior period balances audited by a predecessor auditor

When the prior period's financial statements were audited by a predecessor auditor, the current auditor must read the most recent financial statements and predecessor auditor's report for information relevant to opening balances. The current auditor may be able to obtain sufficient, appropriate evidence regarding opening balances by performing this review depending on the professional competence and independence of the predecessor auditor. Relevant ethical and professional requirements guide the current auditor's communications with the predecessor auditor.

If there was a modification to the opinion, the auditor must evaluate the effect of the matter giving rise to the modification in assessing the risks of material misstatement in the current period's financial statements.

7.3 Audit conclusion and reporting

> "If the auditor is unable to obtain sufficient appropriate audit evidence regarding the opening balances, the auditor shall express a qualified opinion or disclaim an opinion on the financial statements, as appropriate."
>
> "If the auditor concludes that the opening balances contain a misstatement that materially affects the current period's financial statements, and the effect of the misstatement is not appropriately accounted for or not adequately presented or disclosed, the auditor shall express a qualified opinion or an adverse opinion, as appropriate." (ISA 510.10–11)

Note: The Appendix to the ISA gives illustrations of auditors' reports with modified opinions relating to opening balances. While these have been updated to reflect the changes made to the equivalent IAASB ISA.

The auditor shall express a qualified opinion or an adverse opinion as appropriate if they conclude that:

- the current period's accounting policies are not consistently applied in relation to opening balances in accordance with the applicable financial reporting framework; or

- a change in accounting policies is not appropriately accounted for or not adequately presented or disclosed in accordance with the applicable financial reporting framework.

If the prior period auditor's report was modified, the auditor should consider the effect on the current period's financial statements. For example, if there was a scope limitation in the prior period, but the matter giving rise to the scope limitation has been resolved in the current period, the auditor may not need to modify the current period's audit opinion.

The ISA finishes:

> "If the predecessor auditor's opinion regarding the prior period's financial statements included a modification to the auditor's opinion that remains relevant and material to the current period's financial statements, the auditor shall modify the auditor's opinion on the current period's financial statements." (ISA 510.13)

8 Using the work of others

Section overview

- In certain situations the auditor will consider it necessary to employ someone else with different expert knowledge to gain sufficient, appropriate audit evidence.
- If the auditor's client has an internal audit department, the auditor may seek to rely on its work.

8.1 Using the work of experts: revision

Professional audit staff are highly trained and educated, but their experience and training is limited to accountancy and audit matters. In **certain situations** it will therefore be necessary to employ someone else with **different expert knowledge** to gain sufficient, appropriate audit evidence. ISA 620 , *Using the Work of an Auditor's Expert* covers this area and the principles included in this standard were covered at Professional Level. The key points are covered below.

Definition

Auditor's expert: An individual or organisation possessing expertise in a field other than accounting and auditing, whose work in that field is used by the auditor in obtaining sufficient, appropriate audit evidence. An auditor's expert may be either an auditor's internal expert (a partner or staff of the auditor's firm, or a network firm) or an auditor's external expert.

Note: The use of data analytics has increased the need for the use of IT experts in the audit team.

The ISA makes a distinction between this situation and the situation outlined in ISA 500, *Audit Evidence* (see earlier in this chapter) where management use an expert to assist in preparing financial statements.

When using the work performed by an auditor's expert, auditors should obtain sufficient, appropriate audit evidence that such work is adequate for the purposes of an audit.

The following list of examples is given by the ISA of areas where it may be necessary to use the work of an auditor's expert:

- The valuation of complex financial instruments, land and buildings, plant and machinery, jewellery, works of art, antiques, intangible assets, assets acquired and liabilities assumed in business combinations and assets that may have been impaired

- The actuarial calculation of liabilities associated with insurance contracts or employee benefit plans
- The estimation of oil and gas reserves
- The valuation of environmental liabilities, and site clean-up costs
- The interpretation of contracts, laws and regulations
- The analysis of complex or unusual tax compliance issues

When considering whether to use the work of an expert, the auditors should review the following:

- Whether management has used a **management's expert** in preparing the financial statements
- The **nature and significance** of the matter, including its complexity
- The **risks of material misstatement**
- The auditor's knowledge of and experience with the work of experts in relation to such matters and the availability of **alternative sources of audit evidence**

8.1.1 Competence, capabilities and objectivity of the auditor's expert

When planning to use the work of an auditor's expert the auditors shall assess the professional competence (including professional qualifications, experience and resources) of the expert. The auditor shall evaluate the objectivity of the expert.

This will involve considering:

- the expert's **professional certification**, or licensing by, or membership of, an appropriate professional body and the technical performance standards and other requirements, such as ethical standards of that body;
- the **relevance** of the expert's competence to the matter for which that expert's work will be used, including any areas of speciality within that expert's field; and
- the expert's **competence** with respect to relevant **accounting and auditing requirements**, such as assumptions and methods required by the applicable financial reporting framework.

In considering the objectivity of the expert, the auditor should consider circumstances such as self- interest threats, advocacy threats, familiarity threat, self-review threats and intimidation threats as well as the safeguards that may have been put in place to eliminate or reduce these.



Professional skills focus: Applying judgement

Remember that although an expert may be presented as the solution to your problem, they may also pose problems of their own if there are concerns about their competence, capability or objectivity, so you should be on the lookout for any evidence of this in an exam question.

8.1.2 Obtaining an understanding of the field of expertise of the auditor's expert

The auditor needs to have a sufficient understanding in order to be able to:

- determine the nature, scope and objectives of the expert's work for the auditor's purposes; and
- evaluate the adequacy of that work for the auditor's purposes.

8.1.3 Agreement with the auditor's expert

Written instructions usually cover the expert's terms of reference and such instructions may cover such matters as follows:

- The **nature**, **scope** and **objectives** of the expert's work
- The respective roles and responsibilities of the auditor and the expert
- The nature, timing and extent of communication between the auditor and the expert, including the form of any report to be provided by the expert
- The need for the expert to observe confidentiality requirements

8.1.4 Evaluating the adequacy of the auditor's expert's work

The auditors shall assess the adequacy of the expert's work for audit purposes.

Auditors should assess whether the substance of the expert's findings is properly reflected in the financial statements or supports the financial statement assertions. It will also require consideration of:

- the relevance and reasonableness of the expert's findings or conclusions, and their consistency with other audit evidence;
- the relevance and reasonableness of any significant assumptions and methods used; and
- the relevance, completeness and accuracy of any source data used.

The auditors do **not** have the expertise to judge the assumptions and methods used; this is the responsibility of the expert. However, the auditors should seek to obtain an understanding of these assumptions, to consider their reasonableness based on other audit evidence, knowledge of the business and so on.

If the results of the expert's work are not adequate for the auditor's purposes, the auditor shall:

- agree with the expert on the nature and extent of further work to be performed by the expert; or
- perform additional audit procedures appropriate to the circumstances.

8.1.5 Reference to the auditor's expert in the audit report

When issuing an unmodified audit opinion, the auditor should not refer to the work of the expert unless required by law or regulation to do so (there is no such requirement in Bangladesh).

Such a reference may be misunderstood and interpreted as a qualification of the audit opinion or a division of responsibility, neither of which is appropriate.

If the auditors issue a modified audit opinion, then they may refer to the work of the expert if such a reference is relevant to an understanding of the modification. The auditor must also indicate in the report that the reference does not reduce the auditor's responsibility for the opinion. In such cases, auditors may need to obtain permission in advance from the expert. If such permission is not given, then the auditors may have to seek legal advice.



Interactive question 8: Using an expert – revision

Explain whether it is necessary to use the work of an auditor's expert in these situations. Where relevant, you should describe alternative procedures.

Requirements

8.1 As auditor to an oil exploration company, you have ascertained that the useful life of each drilling platform is assessed annually on factors such as weather conditions and the period over which it is estimated that oil will be extracted. You are auditing the useful lives of the platforms.

8.2 Piles of copper and brass, that can be distinguished with a simple acid test, have been mixed up. You are attending the inventory count.

See **Answer** at the end of this chapter.

8.2 Using the work of internal auditors

Using the work of internal auditors is covered at Professional Level in the Audit and Assurance paper. However, a summary of the key points of ISA 610, *Using the Work of Internal Auditors* is set out below.

8.2.1 Assessment of internal audit

First, the external auditors will determine whether and to what extent to use the work of internal auditors for the purposes of the audit by evaluating the following:

Evaluation of internal audit	
Objectivity	Consider the status of the function within the entity, who they report to, whether they have any conflicting responsibilities or restrictions placed on their function. Consider also to what extent management acts on internal audit recommendations.
Competence	Consider whether internal auditors have adequate resources, technical training and proficiency, and whether internal auditors possess the required knowledge of financial reporting. They will also consider whether the internal auditors are members of relevant **professional bodies.**
Systematic and disciplined approach	Consider whether internal audit is **properly planned**, **supervised**, **reviewed** and **documented**, whether the function has appropriate quality management procedures, audit manuals, work programmes and documentation.

8.2.2 The effect on external audit procedures

The external auditor then must determine the effect of the work of the internal auditors on the nature, timing or extent of the external auditor's procedures. The factors to consider are as follows:

- The **nature and scope** of the internal audit work
- The assessed **risks** of material misstatement
- The degree of **subjectivity** involved in the evaluation of the audit evidence

8.2.3 Evaluating specific internal auditing work

The ISA states: "The external auditor shall perform sufficient audit procedures on the body of the work of the internal audit function as a whole that the external auditor plans to use to determine its adequacy for the purposes of the audit." (ISA 610.23)

In practice, the evaluation here will consider the scope of work and related audit programmes and whether the original assessment of the internal audit function remains appropriate.

Areas for evaluation	Suggested procedures
Training and proficiency	Have the internal auditors had sufficient and adequate technical training to carry out the work? Are the internal auditors proficient?
Supervision	Is the work of assistants properly supervised, reviewed and documented?

Evidence	Has adequate audit evidence been obtained to afford a reasonable basis for the conclusions reached?
Conclusions	Are the conclusions reached appropriate, given the circumstances?
Reports	Are any reports produced by internal audit consistent with the result of the work performed?
Unusual matters	Have any unusual matters or exceptions arising and disclosed by internal audit been resolved properly?
Plan	Are any amendments to the external audit plan required as a result of the matters identified by internal audit?

The nature and extent of the testing of the specific work of internal auditing will depend on the amount of judgment involved.

The external auditor's procedures **must** include **reperformance of some of the work of the internal audit function**. If the external auditors decide that the internal audit work is not adequate, they should extend their own procedures in order to obtain appropriate evidence.

8.2.4 Direct assistance

In addition to using specific work done by an internal audit function, the external auditor may obtain direct assistance from individuals from the internal audit department. Where this is the case the external auditor:

- obtains written confirmation from those individuals and as an authorised member of the entity that they will follow instruction from the external audit team and that they will keep specific matters confidential;
- confirms with the head of internal audit or those charged with governance the role those individuals will play and the responsibility of the external auditor for quality management and the audit opinion;
- supervises, reviews and evaluates the work performed;
- ensures that such individuals are only involved in work where self-review or judgement is not an important part of the procedure; and
- agrees the approach with those charged with governance.

8.3 Service organisations

A service organisation is a third-party organisation that provides services to user entities that are part of those entities' information systems relevant to financial reporting.

ISA 402, *Audit Considerations Relating to an Entity Using a Service Organisation* provides guidance on how auditors carry out their responsibility to obtain sufficient, appropriate audit evidence when the audit client (called the 'user entity' in the standard) uses such an organisation. The use of service organisations will be discussed in detail in Chapter 7.

9 Working in an audit team



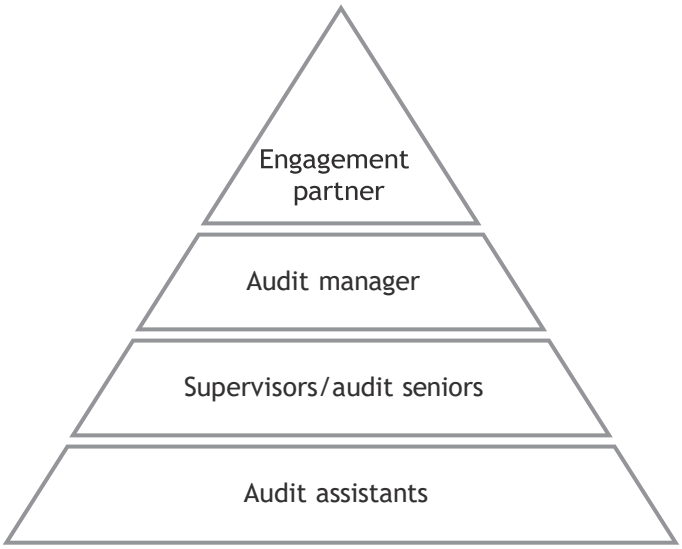
Section overview

- This section deals with working in an audit team.

The audit **engagement partner** (sometimes called the **reporting partner**) must take responsibility for the quality of the audit carried out. They should assign staff with necessary competences to the audit team.

Some audits are wholly carried out by a sole practitioner (an accountant who practises on their own) or a partner. More commonly, the engagement partner will delegate aspects of the audit work such as the detailed testing to the staff of the firm. The usual hierarchy of staff on an audit engagement is:

Figure 6.3: Audit staff hierarchy



9.1 Direction

The partner directs the audit. They are required by other auditing standards to hold a meeting with the audit team to discuss the audit, in particular the risks associated with the audit. ISA 220 para. A13 provides examples of direction techniques that the partner might use.

9.2 Supervision

The audit is supervised overall by the engagement partner, but more practical supervision is given within the audit team by senior staff to more junior staff (covered more fully by ISA 220 in para. A15).

9.3 Review

Before the auditor's report is issued, the engagement partner must be sure that sufficient and appropriate audit evidence has been obtained to support the audit opinion. The audit engagement partner need not review all audit documentation, but may do so. They must review critical areas of judgement, significant risks and other important matters (ISA 220.A16-19).

9.4 Consultation

Consultation is usually required to ensure difficult or contentious matters have been dealt with properly and that such matters and conclusions are properly recorded.

Professional skills focus: Concluding, recommending and communicating

As well as working together in a team where everyone understands their role and how they fit together, good audit quality can only be demonstrated by the way that the team formulates and communicates its findings.

10 Auditing in an IT environment

Section overview

- The more an organisation uses technology, the greater the risk associated with it. As a consequence, there are technology-driven issues for auditors that need to be considered.

10.1 Introduction

We looked at IT-specific risks in the context of carrying out an audit risk assessment and the role of data analytics tools in this aspect of the audit in Chapter 5. Most companies now have an online presence of some kind: there are few companies who do not engage in some form of e-commerce nowadays.

10.2 *Considerations for auditors*

*First, the auditor needs to consider whether the staff assigned to the audit have **appropriate IT and online business knowledge** to carry out the audit. The auditor must also ensure that they have sufficient knowledge of the client's business in accordance with ISA 315 (Revised 2019), Identifying and Assessing the Risks of Material Misstatement. In particular, the auditor must consider the following:*

- *The entity's business activities and industry*
- *The entity's e-commerce strategy*
- *The extent of the entity's online activities*
- *The entity's outsourcing arrangements*

***Internal controls** can be used to mitigate many of the risks associated with e-commerce. The auditor has to consider the control environment, information and communication systems and control procedures in accordance with the requirements of ISA 315. There may be situations (such as the use of highly automated systems, high transaction volumes, lack of electronic evidence) when the auditor would have to use tests of control as well as substantive procedures to render audit risk to an acceptably low level. In these situations, **ATTs** could be used. (Internal controls and ATTs will be covered in further detail in Chapter 7.)*

When auditing an entity that uses e-commerce, the auditor must consider in particular the issues of security, transaction integrity and process alignment.

Cyber security

The auditor should consider the following:

- *The use of **firewalls** and **virus protection software***
- *The effective use of **encryption***
- *Controls over the **development** and **implementation** of systems used to support e-commerce activities*

- *Whether **security controls** already in place remain effective as new technologies become available*
- *Whether the **control environment** supports the control procedures implemented*

Transaction integrity

The auditor must consider the completeness, accuracy, timeliness and authorisation of the information provided for recording and processing in the financial records, by carrying out procedures to evaluate the reliability of the systems used for capturing and processing the information.

Process alignment

This is the way the IT systems used by the entity are integrated with one another to operate effectively as one system. Many websites are not automatically integrated with the internal systems of the entity, such as its accounting system and inventory management system, and this may affect such issues as the completeness and accuracy of transaction processing, the timing of recognition of sales, purchases and other transactions, and the identification and recording of disputed transactions.

11 Professional scepticism in the audit fieldwork stage



Section overview

We looked at professional scepticism in Chapter 5, in the context of audit planning. Professional scepticism is central throughout the audit process, and therefore must remain at the top of the agenda as the auditor gathers audit evidence and documents their work.

Ongoing global financial instability has increased the risk of misstatements. The risks centre particularly around judgemental areas where there may be no clear 'right answer', where the exercise of professional scepticism is more important than ever.

The areas of particular risk today include the following:

(a) **Fraud**: Consideration should be given to fraud at audit engagement team meetings. Fraud must be considered, regardless of how well the auditor knows the client.

(b) **Going concern**: Smaller entities often lack detailed management information (for example, profit forecasts), so the auditor needs to consider a broader range of audit evidence. The client's specific circumstances and the challenges the business faces must be documented, along with the conclusions reached.

(c) **Asset impairment**: The recent financial crisis has affected basic assumptions – for example, the expected future cash flows from long-term non-financial assets such as goodwill, plant and equipment and intangible assets. Where the audit client has non-financial assets located in, or related to, struggling economies, the value of such assets should be actively challenged. Where assets have been impaired, management's assumptions behind the impairment calculation also need to be scrutinised.

(d) **Valuation of receivables** and **revenue recognition**: Besides the likely impact of fraud on revenue recognition, the liquidity problems faced by companies and governmental organisations mean that bad debt allowances must be considered. Revenue should be recognised only when it is probable that future economic benefits will flow to the entity.

Worked example: Building professional scepticism into audit methodology

Audit firms are faced with the tricky task of building the exercise of professional scepticism into their audit methodology. How does one effectively instil a 'state of mind' into a standardised process consistently applied by hundreds upon thousands of individual staff members? Let's look at a real- life example.

One international audit firm does this, partly, by including instructions and reminders about exercising professional scepticism into its audit working paper templates. For example, the walkthrough of internal controls template includes the following instructions:

"Our inquiries during the walkthrough should include questions that could help to identify the abuse of controls or indicators of fraud. For example, our follow-up questions might include asking personnel what they do when they encounter errors, the types of errors they encounter, what happened as a result of finding errors, and how the errors were resolved. We might also ask the personnel whether they have ever been asked to override processes or controls, and to describe the situation, why it occurred, and what happened."

The working paper template also includes a checklist at the end, which audit staff are required to initial and date in order to indicate that they have addressed each of the requirements. An excerpt is reproduced below:

	Initials and date
We inquired of the Company personnel about their understanding of what was required by the Company's prescribed procedures and controls to determine whether the processing procedures are performed as originally intended and on a timely basis.	
We were alert to exceptions in the Company's procedures and controls.	
Our inquiries of Company personnel included follow-up questions that help to identify the abuse of controls or indicators of fraud.	

Requirement

Discuss the following with your peers:

(1) In what ways does this approach help to ensure professional scepticism is exercised in all audits?

(2) In what ways might the impact of this approach be limited?

(3) What other more effective methods can you think of to ensure that audit team members exercise professional scepticism when performing audit procedures?

Solution

The ICAEW Audit and Assurance Faculty released a video in 2011 on professional scepticism and other key audit issues (www.icaew.com/en/technical/audit-and-assurance/professional-scepticism).

The video usefully mentioned some questions which auditors should bear in mind as they perform audit fieldwork:

- Does the reporting reflect the substance of what has happened?
- Does it make sense?
- Are we focusing on the things that are there but missing the things that are not there – but should be?

- Are there limitations on the scope of our procedures?
- Are management's assumptions and forecasts appropriate?
- Are the assumptions still appropriate given the changing economy?
- What evidence is there besides what management has provided to us?
- Is the evidence contradictory?

In recent years, audit inspections have regularly pointed to the lack of scepticism in the performance of audits. Two key points emerge from these audit inspection reports:

- **Understanding the assumptions made is not enough**: Simply finding out what the client has done is not the same as auditing it. The auditor must challenge the assumptions and understand how they affect the client's conclusions.
- **The exercise of professional scepticism must be documented**: Often, judgements were made demonstrating appropriate scepticism – perhaps resulting from long conversations with the client – but only the conclusion is documented, with little evidence of the process.

The process of documenting audit evidence and counter-evidence in itself can often help to identify things that don't make sense.

The following example is adapted from the transcript of the ICAEW Audit and Assurance faculty's video on professional scepticism. It illustrates in a helpful way what is meant by documenting the exercise of professional scepticism.



Context example: Documenting professional scepticism

Ben is an audit senior. In the process of auditing the client's calculation for the impairment of accounts receivable, he identified that the discount rate used seemed out of line. He consulted Sophie, the audit manager, and she agreed that the discount rate appears inappropriate.

Ben then asked the client to explain how the discount rate had been calculated. In the course of the client's explanation, it became clear that the discount rate had been based on an incorrect assumption. After two hours of discussions, the client understood the error and agreed to revise the impairment calculation and adjust the financial statements accordingly.

Ben audited the revised impairment calculation and put it on the audit file. However, simply documenting the revised calculation would give no indication of the audit work that had been carried out earlier, nor would it show that professional scepticism had been exercised.

In order for the documentation to be complete, Ben should include a file note to explain the following:

- What issues were discussed with the client
- What the client said
- What evidence was offered
- What questions he then asked
- What further information was provided
- How he verified the information
- The final conclusion

11.1 Discussion among the engagement team

ISA 240 specifically requires the audit engagement team to have discussions around the susceptibility of the financial statements to fraud. Such a discussion should focus on how, and where, material misstatements due to fraud may occur.

Such discussions will facilitate:

- the sharing of insight by the more experienced members of the audit team into how to identify fraud risks;
- the consideration of an appropriate response to fraud risks, including determining who will conduct certain audit procedures; and
- the sharing of results from audit procedures with the rest of the audit team, and determining how any allegations of fraud that come to the auditor's attention will be dealt with.

It is the audit engagement partner's responsibility to decide which of the matters discussed are to be communicated to those team members who are not involved in the discussion.

11.2 Impact of use of audit data analytics

The use of audit data analytics provides both opportunities and threats to professional scepticism. It can be argued that the availability of data at a more granular level should provide the auditor with a better understanding of the entity and its environment enhancing the auditor's ability to apply professional scepticism. In addition the increased use of technology may reduce unintentional bias in audit procedures.

However, care must be taken that confidence in the software is not absolute. Auditors must not believe that the results produced by data analytics tools are infallible. Professional judgement cannot be replaced by data analytics tools.



Context example: UK FRC Professional Judgement Guidance (2022)

The UK FRC published guidance in 2022 in response to the findings of a number of Audit Quality Reviews where poor quality judgement is regularly being displayed by auditors. The guidance covers the following areas where judgement can be improved:

- *Having the right mindset (including professional scepticism, acting in the public interest and the awareness of bias)*
- *Knowing when to exercise professional judgement*
- *Knowing when to consult with others*
- *How external factors can influence judgement*

One of the examples used to illustrate the mindset required by auditors covers the use of data analytics tools: a trainee has decided that despite knowing that many journals are posted at the weekend when the employees often work at weekends, they will still run a routine that deems such journals as being of high risk and investigate all of these despite their knowledge of the situation.

This highlights the fact that the use of technology by auditors can lead to what is known as 'automation bias' or a tendency to believe what the technology is telling them regardless of their own knowledge and judgement. That may not seem significant in the case of testing a few more journals than you need to, however, consider the sophistication of the outputs of some generative AI solutions, not all of which will be used in the public interest. The importance of the auditor being able to use professional judgement in conjunction with the technology deployed on an audit can therefore be seen and must be reinforced.

(UK FRC, 2022)

12 Further guidance

Section overview

This section covers a number of topics which have been dealt with in detail in your earlier studies. A brief reminder of the key points is provided below.

12.1 External confirmation

12.1.1 Introduction

You have covered the basic audit of receivables and cash and bank in your Assurance studies. This Appendix revisits this topic in the context of ISA 505, *External Confirmations*. The standard sets out guidance on how a confirmation should be carried out and, although it does not give a list of examples, the principles could be applied to confirmations such as:

- Bank balances and other information from bankers
- Accounts receivable balances
- Inventories held by third parties
- Property deeds held by lawyers
- Loans from lenders
- Accounts payable balances

High profile financial failures such as Barings and Parmalat in Europe heightened awareness of the use and reliability of external confirmations as audit evidence. Accordingly, some regulatory authorities in major jurisdictions around the world called for more rigorous requirements pertaining to the use of confirmations.

The major issue to be dealt with in the revision of this standard during the Clarity Project was to seek a solution that achieved a balance between the conflicting circumstances in which regulators and others have been demanding increasing prescription in the use of confirmations, and the anecdotal evidence from practitioners that responses to confirmation requests may be unreliable or unobtainable.

ISA 505 refers to the guidance on evidence from ISA 500, *Audit Evidence*, and the specific requirement, now in ISA 330, *The Auditor's Responses to Assessed Risks,* to consider, for each material class of transactions, account balance and disclosure, whether external confirmation procedures are to be performed as substantive procedures.

12.1.2 Requirements of ISA 505 Procedures

The auditor maintains control over the confirmation requests, including:

- determining the information to be requested;
- selecting the confirming party;
- designing the confirmation requests, including ensuring that they are correctly addressed and contain return information for replies to be sent directly to the auditor; and
- sending the requests (and second requests, if needed).

Management refusal

If management refuses to allow a confirmation request to be sent, the auditor shall do the following:

- Enquire as to the reason, and seek evidence as to their validity. (The risk here is that management may claim that the confirmation may cause problems in the context of disputes or litigation, but the auditor must remain sceptical and consider the possibility that this may be an attempt to deny access to evidence that might indicate the existence of fraud.)
- Evaluate the implications of refusal on the risk assessment.
- Perform alternative procedures.

Results

There is always a risk that responses may be intercepted, altered or be in some other way fraudulent. The auditor must be alert to any factors that suggest there is any doubt about the reliability of the responses, such as:

- it was received by the auditor indirectly (for example, was received by the client entity and passed on to the auditor); or
- it appeared not to come from the originally intended confirming party.

In the case of non-responses, the auditor must obtain alternative evidence, the form and nature of which will be affected by the account and the assertion in question.

Evaluating the evidence

The auditor must evaluate whether the confirmation results provide relevant and reliable audit evidence or whether further audit evidence is necessary.

12.1.3 Confirmation of accounts receivable Objectives of confirmation

ISA 505 is relevant to confirmation of accounts receivable. This section recaps the practical application of the standard. The verification of trade accounts receivable by direct communication is a normal means of providing audit evidence to satisfy the objective of checking whether customers exist and owe *bona fide* amounts to the company (**existence and rights and obligations**).

Confirmation will produce a written statement from each respondent that the amount owed at the date of the confirmation is correct. This is, *prima facie*, reliable audit evidence, being from an independent source and in 'documentary' form. The confirmation of accounts receivable on a test basis should not be regarded as replacing other normal audit checks, such as the in-depth testing of sales transactions, but the results may influence the scope of such tests.

Timing

Ideally the confirmation should take place immediately after the year end and hence cover the year end balances to be included in the statement of financial position. However, time constraints may make it impossible to achieve this ideal.

In these circumstances it may be acceptable to carry out the confirmation **before the year end** provided that confirmation is no more than three months before the year end and internal controls are strong.

Client's mandate

Confirmation is essentially an act of the **client**, who alone can authorise third parties to divulge information to the auditors.

The ISA outlines what the auditors' response should be when management refuse permission for the auditors to contact third parties for evidence.

The auditor must:

- enquire as to management's reasons and seek supporting evidence;
- evaluate the implications on the auditor's assessment of the risks of material misstatement, including fraud;
- perform alternative audit procedures; and
- consider the implications for the audit opinion.

Positive vs negative confirmation

When confirmation is undertaken the method of requesting information from the customer may be either 'positive' or 'negative'.

- Under the **positive** method the customer is requested to confirm the accuracy of the balance shown or state in what respect they are in disagreement.
- Under the **negative** method the customer is requested to reply if the amount stated is disputed.

The positive method is generally preferable, as it is designed to encourage definite replies from those contacted.

The negative method may be used if the client has good internal control, with a large number of small accounts. In some circumstances, say where there is a small number of large accounts and a large number of small accounts, a combination of both methods, as noted above, may be appropriate.

Sample selection

Auditors will normally only contact a sample of receivables balances. If this sample is to yield a meaningful result it must be based on a complete list of all debtors. In addition, when constructing the sample, the following classes of account should receive special attention:

- Old unpaid accounts
- Accounts written off during the period under review
- Accounts with credit balances
- Accounts settled by round sum payments

Similarly, the following should not be overlooked.

- Accounts with nil balances
- Accounts which have been paid by the date of the examination:

Follow up procedures

Auditors must follow up customer disagreements and failure by customers to respond. Auditors will have to carry out further work in relation to those debtors who:

- **disagree** with the **balance stated** (positive and negative confirmation); or
- **do not respond** (positive confirmation only).

In the case of disagreements, the customer response should have identified specific amounts which are disputed.

Reasons for disagreements
There is a **dispute** between the client and the customer. The reasons for the dispute would have to be identified, and provision made if appropriate against the debt.

Reasons for disagreements
Cut-off problems exist, because the client records the following year's sales in the current year or because goods returned by the customer in the current year are not recorded in the current year. Cut-off testing may have to be extended.
The customer may have sent the **monies before** the yearend, but the monies were **not recorded** by the client as receipts until **after** the yearend. Detailed cut-off work may be required on receipts.
Monies received may have been posted to the **wrong account** or a cash in transit account. Auditors should check if there is evidence of other mis-posting. If the monies have been posted to a cash in transit account, auditors should ensure this account has been cleared promptly.
Customers who are also suppliers may **net off balances** owed and owing. Auditors should check that this is allowed.
Teeming and lading, stealing monies and **incorrectly posting** other receipts so that no particular customer is seriously in debt is a fraud that can arise in this area. If auditors suspect teeming and lading has occurred, detailed testing will be required on cash receipts, particularly on prompt posting of cash receipts.

Additional procedures where confirmation is carried out before yearend

The auditors will need to carry out the following procedures where their confirmation is carried out before the year end.

- Review and reconcile entries on the sales ledger control account for the intervening period.
- Verify sales entries from the control account by checking sales day book entries, copy sales invoices and despatch notes.
- Check that appropriate credit entries have been made for goods returned notes and other evidence of returns/allowances to the sales ledger control account.
- Select a sample from the cash received records and ensure that receipts have been credited to the control account.
- Review the list of balances at the confirmation date and year end and investigate any unexpected movements or lack of them (it may be prudent to send further confirmation requests at the year end to material debtors where review results are unsatisfactory).
- Carry out analytical procedures, comparing receivables ratios at the confirmation date and yearend.

Evaluation and conclusions

All confirmations, regardless of timing, must be properly recorded and evaluated. All **balance disagreements** and **nonreplies** must be **followed up** and their effect on total receivables evaluated.

Differences arising that merely represent **invoices** or **cash in transit** (normal timing differences) generally do not require adjustment, but disputed amounts, and errors by the client, may indicate that further substantive work is necessary to determine whether material adjustments are required.

12.1.4 Bank reports for audit purposes Planning

The auditors should decide from which bank or banks to request confirmation, having regard to the risks in relation to relevant financial statement assertions including bank-related information to be disclosed in notes.

The auditor may be able to identify what banking relationships are in place by reviewing annual facilities letters from the entity's banks. If no such letters are available, the auditor will ask the entity's management to provide the information.

Given the importance of cash to an entity's business and its susceptibility to fraud, the auditor will usually conclude that in the absence of a bank report it will not be possible to obtain sufficient, appropriate audit evidence from other sources.

In planning the submission of the request, the auditor will:

- determine the date by which the bank report is needed;
- determine whether confirmation is needed of additional information, such as trade finance transactions and balances; and
- check that the bank has been given valid authority to disclose information to the auditor.

Preparation and despatch of requests and receipt of replies

Control over the content and despatch of confirmation requests is the responsibility of the auditors. However, banks require the explicit written authority of their customers to disclose information requested. Where possible this should take the form of an ongoing authority. Auditors need to satisfy themselves that an authority is in place and up to date. Replies should be returned directly to the auditors and, to facilitate such a reply, a pre-addressed envelope should be enclosed with the request.

Content of confirmation requests

The form and content of a confirmation request letter will depend on the purpose for which it is required and on local practices.

The most commonly requested information is in respect of balances due to or from the client entity on **current, deposit, loan and other accounts**. The request letter should provide the account description number and the type of currency for the account.

It may also be advisable to request information about **nil balances** on accounts, and accounts which were **closed** in the 12 months before the chosen confirmation date. The client entity may ask for confirmation not only of the balances on accounts but also, where it may be helpful, other information, such as the maturity and interest terms on loans and overdrafts, unused facilities, lines of credit/standby facilities, any offset or other rights or encumbrances, and details of any collateral given or received.

The client entity and its auditors are likely to request confirmation of **contingent liabilities**, such as those arising on guarantees, comfort letter, bills and so on.

Banks often hold **securities** and other items in safe custody on behalf of customers. A request letter may thus ask for confirmation of such items held by the bank.

The procedure is simple but important.

(a) The banks will require **explicit written authority** from their client to disclose the information requested.

(b) The **auditors' request** must **refer** to the **client's letter** of authority and the date thereof. Alternatively it may be countersigned by the client or it may be accompanied by a specific letter of authority.

(c) In the case of joint accounts, **letters of authority** signed by all **parties** will be necessary.

(d) Such **letters of authority** may either **give permission** to the bank to disclose information for a specific request or grant permission for an indeterminate length of time.

(e) Where practicable the request should **reach** the **bank** at least **one month in advance** of the client's **yearend. It is advisable to allow more time at busy periods, such as those covering December and March year ends. Fast track requests** may be made where reporting deadlines are tight. **The request** should state both the year-end date and the date of the authority to disclose.

(f) The **auditors** should themselves **check** that the bank response covers all the information in the standard and other responses.

12.2 Sampling

Definition

Audit sampling: Defined by ISA 530 *Audit Sampling* as:

"The application of audit procedures to less than 100% of items within a population of audit relevance such that all sampling units have a chance of selection in order to provide the auditor with a reasonable basis on which to draw conclusions about the entire population."

12.2.1 Nature of sampling

The audit involves a search for evidence, and sampling is, in part, a method of assessing the quantity and quality of that evidence. In so doing, an assessment needs to be made of an acceptable level of sampling risk ie, the risk that the sample will be unrepresentative of the population.

Sampling can be used to extract evidence for 'tests of details' or for 'tests of controls'. The stages of sampling involve the following:

(a) Sample design and selection

(b) Testing

(c) Evaluation

However, most research suggests that the proportion of evidence that is derived from sampling, particularly in respect of tests of details, has declined in recent years in favour of other sources of evidence. Typically, a small sample of items may be taken by many audit firms for tests of details, where there are no special circumstances – although the precise number of items tested tends to vary significantly.

12.2.2 Sample design

Is it necessary? – While auditing standards require some substantive testing, they do not require tests of detail, as analytical procedures alone may be sufficient in some circumstances.

Sample objectives – It is initially necessary to determine the purpose of the sample. This is likely to be different according to whether the sample is for tests of control or for tests of detail. Even in the latter case, objectives of assessing completeness, accuracy or validity will influence sample objectives.

Population – The selection of an appropriate population from which to sample is important. Consider the following.

- Is the population **homogeneous**? For example, if larger purchases are subject to more internal controls than smaller purchases, then all purchase transactions are not subject to the same risk and may need to be stratified into different samples.
- What is the level of risk expected in the population?
- If testing for understatement (completeness/omission) then it is important to sample from the population making up the initial record then tracing to the final record.
- If testing for overstatement (completeness/accuracy/validity) then it is important to select the sample from the population making up the final record then tracing to the initial record.

- **Directional testing** would not test all items for both over- and understatement. Populations which consist of debits would only be tested for overstatement and credits only tested for understatement. Given the duality of double entry, this means that any one transaction is tested for misstatement.

12.2.3 Types of sampling

ISA 530 permits either of the two basic methods of sampling:

- Statistical sampling
- Judgement sampling

All types of sampling require the exercise of judgement. However, judgement sampling is so called as the sample size and selection are based on the auditor's professional judgement rather than any statistical basis.

The advantages of statistical sampling include the following.

- It provides unbiased sample selection.
- Sample sizes can be based upon probability theory and can more easily be justified in court.
- It provides greater consistency of judgement between different auditors in similar circumstances.
- Evaluation of results can more validly be extrapolated into the population.

Disadvantages include the following.

- Excessive sample sizes can arise.
- Significant judgement in assessing the level of assurance required from sampling (relative to other evidence) is still needed, such that its statistical validity is questionable.

Statistical sampling is now less widely used than was once the case. Methods of sampling include the following.

Random sampling – Each item in the population has an equal chance of selection.

Systematic/Interval sampling – Takes a random start and selects every nth item thereafter (ie, at a constant interval). It is valid if errors are randomly distributed. The interval may be numerical (eg, order numbers) or by value – monetary unit sampling (ie, every nth £ of purchases).

Block/cluster sampling – The selection of a group of transactions occurring together (eg, a test of all sales in the month of June). This is unlikely to be representative of the population, which damages its statistical validity. It is, however, normally quicker to extract the data.

Haphazard selection – Items are selected without following a structured technique. Care must be taken with respect to sample selection bias and completeness of population. It may be appropriate where client records are poorly kept. Haphazard selection is not appropriate when using statistical sampling.

12.2.4 Sample size

Auditors need to acquire **sufficient** evidence and this means that determining sample size is important. Too few items incur undue sampling risk and too many items incur unnecessary costs.

Factors affecting sample size with respect to tests of detail include the following.

- Level of assurance required from sampling – If other sources of evidence are available and indicate low inherent and control risk then sampling may be reduced.

- Tolerable misstatement or tolerable deviation rate – When testing substantively, this is the maximum error the auditor is willing to accept in the sample – which is based on the performance materiality level, but could be set lower for a specific assertion. When tests of controls are being carried out, this is the number of deviations in the sample the auditor is willing to accept without changing the initial assessment of control risk.
- Expected misstatement or expected deviation rate – This is the expected level of error and deviation in the sample.
- Variability of the population – This is not relevant to sampling for tests of control but increased variability will increase sample sizes for substantive tests.
- The size of the population – Other than for very small populations, the size of the population has a minimal effect on sample sizes.

Appendix 1 and 2 to ISA 530 contain useful summaries of the factors influencing sample sizes.

12.2.5 Sample evaluation

For tests of details the auditor is required to project misstatements found.

The misstatements and deviations discovered in the sample need to be extrapolated into the population in order to draw conclusions about whether the population is materially misstated. (In order to do this appropriately it is important that the sample was representative of the population from which it was selected.) Where the estimated misstatement exceeds the tolerable misstatement then additional evidence may be needed.

Consider also the following.

- While management may adjust for misstatements actually discovered, consideration needs to be given to misstatements in unsampled items and whether any global adjustment is appropriate.
- There may be patterns or trends in the misstatements discovered.
- There may be a pattern from previous years, which would add additional insight into the extent of the misstatement in the population.
- Size and incidence of misstatements discovered eg, a few large misstatements or many small misstatements.
- Nature of the misstatements. Are they factual or are they perceived errors of judgement/opinion?
- Whether they are fraudulent.
- Whether a misstatement relates to the statement of financial position or to the statement of profit or loss and other comprehensive income.

For tests of controls an unexpectedly high sample deviation rate may lead to an increase in the assessed risk of material misstatement unless further audit evidence substantiating the initial assessment is obtained.

Note: Future improvements in technology and the use of audit data analytics may enable auditors to perform testing on 100% of a population, and to monitor transactions on a more frequent or even continuous basis (although currently the ability of data analytics to perform 100% testing is restricted to very limited types of information and audit assertions with respect to that information)

12.3 Directional testing

Directional testing is a method of discovering errors and omissions in financial statements.

Directional testing has been discussed in your previous auditing studies. It is a method of undertaking detailed substantive testing. Substantive testing seeks to discover errors and omissions, and the discovery of these will depend on the direction of the test.

Broadly speaking, substantive procedures can be said to fall into two categories:

- Tests to discover **errors** (resulting in over- or understatement)
- Tests to discover **omissions** (resulting in understatement)

12.3.1 Tests designed to discover errors

These tests will start with sampling the final **accounting records** in which the transactions are recorded and check from the entries to supporting documents or other evidence. Such tests should primarily detect any overstatement but also note any understatement through causes other than omission.

12.3.2 Tests designed to discover omissions

These tests must start from **outside the accounting records** and then check to those records. Understatements through omission will never be revealed if the auditor starts with the initial recording of a transaction (eg, an order form) and traces it through the various documents and accounts into the financial statements. There would clearly be no chance of selecting items that have been omitted if sampling was taken from the final accounts.

For most systems auditors would include tests designed to discover both errors and omissions. The type of test, and direction of the test, should be recognised before selecting the test sample. If the sample which tested the accuracy and validity of the sales ledger were chosen from a file of sales invoices then it would not necessarily substantiate the fact that there were no errors in the sales ledger. The approach known as 'directional testing' applies this testing discipline.

12.3.3 Directional testing and double entry

The concept of directional testing derives from the principle of double entry bookkeeping, in that for every **debit** there is a **corresponding credit** (assuming that the double entry is complete and that the accounting records balance). Therefore, any **misstatement** of a **debit entry** will result in either a corresponding **misstatement** of a **credit entry** or a **misstatement** in the opposite direction of **another debit entry**.

By designing audit tests carefully the auditors are able to use this principle in drawing audit conclusions, not only about the debit or credit entries that they have directly tested but also about the corresponding credit or debit entries that are necessary to balance the books. Tests are therefore designed in the following way.

Test item	Example
Test debit items (expenditure or assets) for overstatement by selecting debit entries recorded in the nominal ledger and checking value, existence and ownership	If a non-current asset entry in the nominal ledger of £1,000 is selected, it would be overstated if it should have been recorded at anything less than £1,000 or if the company did not own it, or indeed if it did not exist (eg, it had been sold or the amount of £1,000 in fact represented a revenue expense).
Test credit items (income or liabilities) for understatement by selecting items from appropriate sources independent of the nominal ledger and ensuring that they result in the correct nominal ledger entry	Select a goods despatched note and check that the resultant sale has been recorded in the nominal ledger sales account. Sales would be understated if the nominal ledger did not reflect the transaction at all (completeness) or reflected it at less than full value (say if goods valued at £1,000 were recorded in the sales account at £900, there would be an understatement of £100).

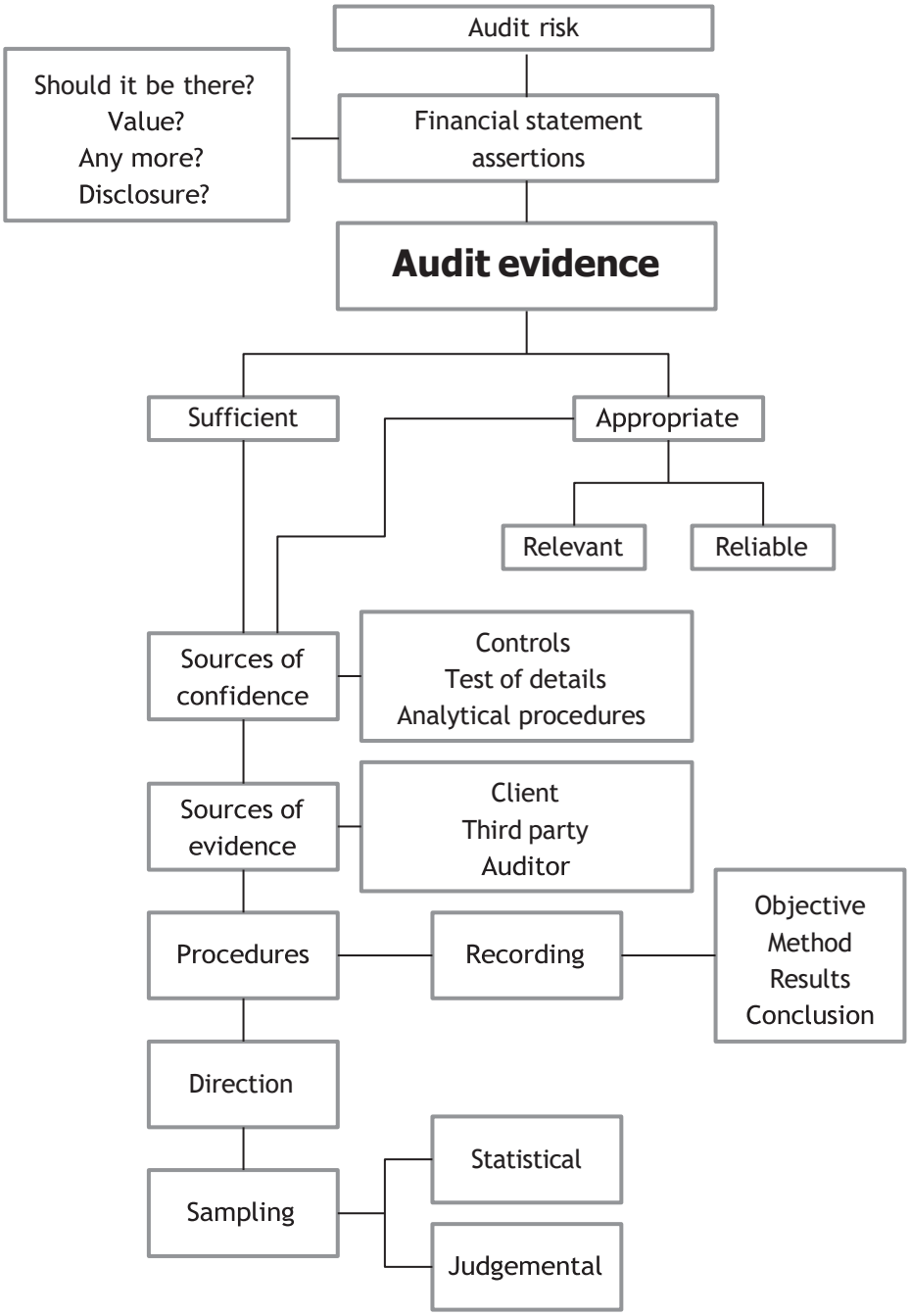
In a ledger account for (say) an asset, the balance would be a debit, but there may be both debit and credit entries in the account. In using directional testing on this asset account balance, the debit entries would be tested for overstatement and the credit entries for understatement. The reason is that the understatement of a credit entry would lead to the overstatement of the asset's debit balance on the account, the verification of which is the primary purpose of the test.

The matrix set out below demonstrates how directional testing is applied to give assurance on all account areas in the financial statements.

		Primary test also gives comfort on			
Type of account	**Purpose of primary test**	**Assets**	**Liabilities**	**Income**	**Expenses**
Assets	Overstatement (O)	U	O	O	U
Liabilities	Understatement (U)	U	O	O	U
Income	Understatement (U)	U	O	O	U
Expense	Overstatement (O)	U	O	O	U

A test for the overstatement of an asset simultaneously gives comfort on understatement of other assets, overstatement of liabilities, overstatement of income and understatement of expenses.

Summary


Audit risk
Should it be there?
Value?
Any more?
Disclosure?
Financial statement assertions
Audit evidence
Sufficient
Appropriate
Relevant
Reliable
Sources of confidence
Controls
Test of details
Analytical procedures
Sources of evidence
Client
Third party
Auditor
Procedures
Recording
Objective
Method
Results
Conclusion
Direction
Sampling
Statistical
Judgemental

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you remember the assertions and how they help you to generate audit evidence?
2.	Are you able to explain what sufficient, appropriate audit evidence means and what you may need to do to make sure that you have it?
3.	Can you distinguish between tests of control, substantive analytical procedures and tests of detail?
4.	Do you know how to use the following audit procedures correctly: inquiry; observation; inspection; recalculation; reperformance; and external confirmation?
5.	Can you explain the various uses of analytical procedures throughout the audit and do you understand how different techniques can be used to generate audit evidence?
6.	Do you know what the terms 'estimation uncertainty' and 'management bias' mean in the context of the audit of accounting estimates?
7.	Can you explain how an initial audit engagement creates additional problems for auditors and describe the procedures that the auditor would use to address these problems?
8.	What are the problems of working both in a team and with others when conducting an audit? In the case of the latter, how will you evaluate the competence, capability and objectivity of others?
9.	Can you explain why the introduction of information technology adds extra risk to the audit and how auditors address these risks?
10.	Can you suggest areas of the audit where increased levels of professional scepticism may be particularly important?
11.	Can you explain how the auditor makes use of external confirmations, sampling techniques and directional testing during the audit?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Strombolix plc	The scenario includes some fairly challenging situations that will require a combination of approaches to generate the necessary audit evidence. This will definitely help you to consider the evidence required in a given set of circumstances.
TrueBlue Ltd	Although this is quite a short scenario, there is still plenty of opportunity to deploy your analytical procedures and professional scepticism skills.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Maykem	You will need to identify potential shortcomings in best practice by evaluating the audit procedures that have been completed by the audit assistant. This will therefore help you learn what good audit procedures should look like.
Dormro	An integrated scenario question that requires the identification of additional audit procedures necessary to form an opinion on the group financial statements.
Tydaway	An opportunity to practise writing suitable audit procedures for the audit of a specific part of the financial statements, in this case, inventory.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical references

1 ISA 210

- Terms of audit engagements – **ISA 210.9-12**

2 ISA 402

- Definition – **ISA 402.8**
- Understanding the entity – **ISA 402.9–.14**
- Audit procedures for obtaining audit evidence – **ISA 402.15–.16**
- Reference in audit reports – **ISA 402.20–.22**

3 ISA 315

- List of audit assertions – **ISA 315.A190**

4 ISA 500

- Sufficient and appropriate audit evidence – **ISA 500.A1–.A6**
- Audit procedures for obtaining audit evidence – **ISA 500.A10–.A25**
- Evidence from information produced by a management's expert – **ISA 500.A34–.A48**

5 ISA 501

- Procedures regarding litigation and claims – **ISA 501.9–.12, .A17–.A25**

6 ISA 505

- Considerations in obtaining external confirmation evidence – **ISA 505.2–.3**
- External confirmation procedures – **ISA 505.7–.16**

7 ISA 510

- Need to obtain audit evidence – **ISA 510.3**
- Audit procedures – **ISA 510.5–.9**
- Audit conclusions and reporting – **ISA 510.10–.13**

8 ISA 520

- Definition – **ISA 520.4**
- Use of analytical procedures as substantive procedures – **ISA 520.5, A4–.A16**
- Analytical procedures when forming an overall conclusion – **ISA 520.6, A17–A19**

9 ISA 530

- Definitions – **ISA 530.5**
- Design of the sample – **ISA 530.A4–.A9**
- Sample size – **ISA 530.A10–.A13, Appendix 2**
- Evaluation of sample results – **ISA 530.A21–.A23**

10 ISA 540

- Examples of accounting estimates – **ISA 540.A1**
- Risk assessment procedures – **ISA 540.13–15**
- Responses to assessed risks of material misstatement – **ISA 540.18–30**
- Evaluation of results of audit procedures – **ISA 540.33–36**

11 ISA 550

- Definitions – **ISA 550.10**
- Risk assessment procedures – **ISA 550.11–17**
- Audit procedures – **ISA 550.20–.24**
- Written representations and reporting – **ISA 550.26–.27**

12 ISA 610

- Evaluating the internal audit function – **ISA 610.15–.16**
- Using the work of internal audit – **ISA 610.21–.25**

13 ISA 620

- Definition – **ISA 620.6**
- Determining the need to use the work of an auditor's expert – **ISA 620.7**
- Competence, capabilities and objectivity of the auditor's expert – **ISA 620.9, A14–A20**
- Agreeing the scope of the auditor's expert's work – **ISA 620.11**
- Evaluating the work of the auditor's expert – **ISA 620.12–.13**
- Reference in audit report – **ISA 620.14–.15**
- Documentation – **ISA 620.15–1**

14 Professional judgement

UK FRC (2022) *Professional Judgement Guidance* [Online]. Available at: https://media.frc.org.uk/documents/FRC_Professional_Judgement_Framework_June_2022.pdf [Accessed 23 May 2024].

Self-test questions

Answer the following questions.

1 Strombolix plc

Strombolix plc (Strombolix) is a listed company which manufactures and retails paints and other decorating products. You are the senior in charge of the audit of Strombolix for the year ending 30 June 20X2, which is currently in progress.

Background information provided

The company owns a large factory manufacturing paints. These paints are sold retail through Strombolix's six superstores and they are also sold wholesale to other DIY retailers. In addition, the six superstores sell a range of other products from different suppliers. The superstores are each separate divisions, but there are no subsidiaries.

On 23 July 20X2 a bid was announced by Simban plc (Simban) to acquire the entire ordinary share capital of Strombolix. The directors of Strombolix are contesting the bid and are anxious to publish the financial statements to indicate that the company is more profitable than indicated by the Simban offer.

As a result of the bid your audit partner has sent you the following memorandum.

To: A Senior

From: Charles Church (partner)

Date: 24 July 20X2

Subject: Strombolix audit

As you will be aware, Simban made a bid for Strombolix yesterday and this increases the significance of the financial statements that we are currently auditing.

I am having a preliminary meeting with the finance director on 1 August to discuss the conduct of the audit. I would like you to prepare notes for me of any audit and financial reporting issues that have arisen in your work to date that may indicate potential problems. Also include any general audit concerns you may have arising from the takeover bid.

Let me know what you intend to do about these matters and specify any questions that you would like me to raise with the finance director.

Further information

The following issues have been reported to you from junior audit staff during the audit to date.

AUDIT ISSUES

(1) There appears to be a significant increase in trade receivables, due to the fact that many wholesale customers are refusing to pay a total of £50,000 for recent deliveries of a new paint that appears to decay after only a few months of use. Some of the wholesale customers are being sued by their own customers for both the cost of the paint and the related labour costs. No recognition of these events has been made in the draft financial statements.

(2) A special retail offer of '3 for 2' on wallpaper purchased from an outside supplier during the year has been incorrectly recorded, as the offer was not programmed into the

company's IT system. The sales assistants were therefore instructed by store managers to read the bar codes of only two of the three items, and ignore the third 'free' item. The wallpaper sells for £6 per roll and cost £5 per roll from the supplier. A total of 20,000 of these rolls were processed through the IT system by sales assistants during the year.

The reason for the special offer was that a bonus payment of £90,000 will be due to Strombolix from the supplier if 40,000 of these rolls of wallpaper are sold by 31 December 20X2. Strombolix has taken 50% of this amount (ie, £45,000) into its draft statement of profit or loss and other comprehensive income as revenue for the year to 30 June 20X2.

(3) One of the six superstores was opened on 30 May 20X2. The land had been purchased at a cost of £400,000 on 1 August 20X1, but it was only on 1 September 20X1 that the company began to prepare an application for planning permission. This was granted and construction commenced immediately thereafter, being paid for in two progress payments of £1 million each on 1 December 20X1 and on 1 June 20X2. Construction was completed, and the store opened, on 30 May 20X2. All the costs were financed by borrowing at 8% per annum and all the interest incurred up to 30 June 20X2 has been capitalised as part of the cost of the non- current asset in the draft financial statements. There was no interest earned on surplus funds from this loan.

Requirement

Draft the notes required by Charles Church's memorandum.

2 AB Milton Ltd

You are the senior in charge of the audit of AB Milton Ltd for the year ended 31 May 20X1. Details of AB Milton Ltd and certain other companies are given below.

AB Milton Ltd

A building company formed by Alexander Milton and his brother, Brian.

AB Milton Ltd has issued share capital of 500 ordinary £1 shares, owned as shown below.

Alexander Milton	210	42%	Founder and director
Brian Milton	110	22%	Founder and director
Catherine Milton (Brian's wife)	100	20%	Company secretary
Diane Hardy	20	4%	
Edward Murray	60	12%	Director

Edward Murray is a local businessman and a close friend of both Alexander and Brian Milton. He gave the brothers advice when they set up the company and remains involved through his position on the board of directors. His own company, Murray Design Ltd, supplies AB Milton Ltd with stationery and publicity materials.

Diane Hardy is Alexander Milton's ex-wife. She was given her shares as part of the divorce settlement and has no active involvement in the management of the company. Alexander's girlfriend, Fiona Dyson, is the company's solicitor. She is responsible for drawing up and reviewing all key building and other contracts, and frequently attends board meetings so that she can explain the terms of a particular contract to the directors. Her personal involvement with Alexander started in May 20X1 and, since that time, she has spent increasing amounts of time at the company's premises.

Cuts and Curls Ltd

A poodle parlour, of which 50% of the issued shares are owned by Diane Hardy and 50% by Gillian Milton, who is Alexander and Diane's daughter.

Cuts and Curls operates from premises owned by AB Milton Ltd for which it pays rent at the normal market rate.

Campbell Milton Roofing Ltd

A roofing company owned 60% by AB Milton Ltd and 40% by Ian Campbell, the managing director.

Campbell Milton Roofing Ltd carries out regular work for AB Milton Ltd and also does roofing work for local customers. Alexander Milton is a director of Campbell Milton Roofing Ltd and Catherine Milton is the company secretary. All legal work is performed by Fiona Dyson.

Requirements

2.1 Based on the information given above, identify the potential related party transactions you expect to encounter during the audit of AB Milton Ltd and summarise, giving your reasons, what disclosure, if any, will be required in the full statutory accounts.

2.2 Prepare notes for a training session for junior staff on how to identify related party transactions. Your notes should include the following:

(a) A list of possible features which could lead you to investigate a particular transaction to determine whether it is in fact a related party transaction

(b) A summary of the general audit procedures you would perform to ensure that all material related party transactions have been identified

3 TrueBlue Ltd

You are planning the audit of TrueBlue Ltd, a company that has experienced a downturn in trading over recent years. The finance director has provided you with the following information for you to review before a planning meeting with him.

Statement of profit or loss and other comprehensive income extracts

	20X7	20X6	20X5
	£	£	£
Revenue	18,944,487	20,588,370	24,536,570
Cost of sales	14,587,254	14,413,543	17,176,922
Gross profit	4,357,233	6,174,827	7,359,648
Advertising and marketing	554,288	206,688	207,377
Legal costs	14,888	2,889	34,668
Electricity	199,488	204,844	206,488
Travel costs	65,833	30,892	53,588
Audit fee	21,000	21,000	20,488

Statement of financial position extracts

	20X7	20X6	20X5
	£	£	£
Trade receivables	3,477,481	3,553,609	4,089,783
Trade payables	1,056,090	1,027,380	1,164,843
Cost of sales analysis			
Purchases	9,183,388	9,246,420	10,483,588
Other direct costs	6,419,410	6,894,300	7,087,148
Inventory movement	(1,015,544)	(1,727,177)	(393,814)

Requirements

3.1 Outline the areas of the financial statements you would discuss with the finance director at your planning meeting as a result of the analytical procedures that you perform on these figures, giving your reasons and also set out any further information you would request.

3.2 Explain whether your approach would be different if you had received a tip off that the finance director has been carrying out a fraud on receipts from receivables and, if it would be different, outline how it would be different.

3.3 Describe how you approach the audit of receivables as a result of the tip off about the finance director.

4 Tofalco plc

You are an audit senior in the process of carrying out the final audit for the year ended 30 September 20X0 for Tofalco plc, a construction company with business activities across the UK and Ireland.

The following message is left on your voicemail by Paul Sykes, Head of Audit. "Good morning Jeremy,
Paul Sykes here. Hope all is well with you.

I have emailed you the items outstanding on the year-end audit of our client Tofalco plc.

Please prepare a memo showing the appropriate financial reporting treatment for each item in the financial statements for the year ended 30 September 20X0 and the audit procedures required to gain assurance in each area.

I am concerned as the directors appear to be unwilling to provide full details of their related parties' remuneration and seem to be denying access to the company board minutes. They are also refusing to recognise the obligations required under IAS 37 with respect to environmental costs. Please give me your opinion on the effects of these non-compliance issues on audit risk and on the form of the audit report to be issued.

Tofalco plc have also asked that we advise them on the way they should work with Investo Ltd, a company to which they plan to outsource their investment activities. Tofalco plc wishes to agree on terms of co-operation that minimise risks of financial loss, fraud and error. Is there any impact on our audit going forward?

Finally, can you prepare a list of the ethical issues you foresee on this assignment. They would be helpful to have to hand.

Call me if you have any queries."

To: Jeremy Wiquad

From: Paul Sykes

Date: 5 November 20X0

Subject: Year-end audit of Tofalco plc – Outstanding points

Construction contracts

Tofalco plc's largest current project is the construction of a water pipeline under the Mediterranean Sea. The project commenced late in 20W9 and completion is not expected until 20X6.

By 30 September 20X0, the following figures apply.

	£m
Sales value of contract	8,500
Costs incurred to date	400
Estimated future costs	7,000
Sales value of work completed to date	560

The directors do not yet believe that the project is sufficiently far advanced for the outcome to be assessed with any degree of certainty. The company's accounting policy is to take attributable profit on the basis of the sales value of the work completed.

Environmental and other provisions

Tofalco plc has a number of long-term obligations arising from the local laws on the environment. Tofalco is obligated to dispose of its scrap machinery in a particular way which minimises the damaging effect on the environment.

The machinery held by Tofalco at the year end has a total carrying amount of £25 million and it is estimated that the present value of the cost to dispose of these machines will be some £2.5 million.

One of Tofalco's biggest customers, Stirly plc, is refusing to pay a sum of £4 million. No provision has been created by the company and the reasons are unclear as to why Stirly plc is holding back payment, with management being vague in their explanations and appearing to be denying access to the company board minutes.

Assets held for sale

On 1 January 20X0, Tofalco plc committed to selling an owner-occupied building which had a carrying amount of £2.16 million at that date. The building was available for immediate sale from that date but the company continued to occupy and use the building until 1 February when the carrying amount was approximately £2.1 million. The recoverable amount is estimated at £1.7 million. The building has yet to be sold by 30 September 20X0.

Issue of convertible loan stock

On 1 March 20X0, Tofalco plc issued £18 million of convertible loan stock, which is either redeemable in three years' time for £20 million, or convertible into 500,000 ordinary £1 shares.

The present values of the cash flows, discounted at the interest rate on a debt instrument with similar terms except that there is no conversion option, are as follows.

	£
Present value of principal	15,902,000
Present value of interest	960,000
	16,862,000

Related parties

Tofalco plc purchases significant quantities of raw materials from Sandstone Ltd, a company whose Finance Director is also a shareholder in Tofalco plc. During the year ended 30 September 20X0 alone, Tofalco plc purchased £230 million worth of raw material from Sandstone Ltd with a credit payment period of three months. The normal credit period provided within the industry is two months.

Requirement

Respond to Paul Sykes's request.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Audit area	Key question	Examples of procedures	Assertions
Non-current assets	Should it be in the accounts at all?	Physically verify Inspect title deeds/invoice/vehicle registration documents Board minutes and other authority thresholds	Existence Rights and obligations
	Is it included at the right amount?	Inspect invoices/contracts Check depreciation	Accuracy, valuation and allocation
	Are there any more?	Review other accounts for items which should be capitalised Check assets physically verified are included in the financial statements	Completeness
	Is it properly disclosed and presented?	Companies Act checklist	Classification Presentation
Receivables	Should it be in the accounts at all?	Circularisation After date cash Inspect invoices	Existence Rights and obligations
	Is it included at the right amount?	Inspect ageing analysis After date cash	Accuracy, valuation and allocation
	Are there any more?	Conclusion derived from sales completeness testing Cut-off work	Completeness
	Is it properly disclosed and presented?	Companies Act checklist	Classification Presentation
Payables	Should it be in the accounts at all?	Suppliers' statement reconciliation Conclusion derived from purchases testing	Existence Rights and obligations
Payables	Is it included at the right amount?	Suppliers' statement reconciliation	Accuracy, valuation and allocation

Audit area	Key question	Examples of procedures	Assertions
	Are there any more?	Unpaid invoices review Review payments after year end to check for omitted liabilities Cut-off work Review for obvious omissions of accruals Review payables at last year end to check for omissions this year Review knowledge of major suppliers to check for omissions	Completeness
	Is it properly disclosed and presented?	Companies Act checklist	Classification Presentation
Inventory	Should it be in the accounts at all?	Attend inventory check – test from records to test counts Cut-off work Consider inventory held for third parties or on consignment	Existence Rights and obligations
	Is it included at the right amount?	Inspect invoices and other costing evidence Review for slow-moving or obsolete items Evidence of slow-moving or damaged items from inventory check	Accuracy, valuation and allocation
	Are there any more?	Attend inventory check – test from test counts to records Cut-off work Consider other locations, inventory held by third parties on consignment	Completeness
	Is it properly disclosed and presented?	Companies Act checklist	Classification Presentation

Answer to Interactive question 2

2.1 The relevant financial statement assertions would be as follows.

- **Completeness**

  There is a risk that all share-based payments may not have been recognised in the financial statements, as the provision of the benefit to the employee may not arise until some point in the future. For example, in this case the options cannot be exercised until the directors have been with the company for three years. In accordance with IFRS 2 the service acquired in a share- based payment should be recognised as received.

- **Accuracy**

  The remuneration expense should reflect the fact that the service received in exchange for the share-based payment will be received over a period of time ie, three years (see calculation below). It also needs to be estimated how many of the five directors will remain with the company and hence how many of the options are likely to vest.

- **Accuracy, valuation and allocation**

  Equity should be increased by the fair value of the options at the grant date (see calculation below).

  Remuneration expense this year and equity recognised in respect of the options will be: (5 × 100,000) × £3/3 years × 4/12 = £166,667

2.2 The relevant financial statement assertions relate to disclosure as follows.

- **Classification**

  Whether the transaction is a related party transaction. 40% would appear to indicate the ability of Wiggam plc to exert significant influence assuming no other entity has control.

- **Completeness**

  Whether there are any other related party transactions between these two parties and/or whether there are any additional related party relationships.

- **Accuracy**

  If the disclosure states that the transaction is on an arm's length basis this must be substantiated.

2.3 The relevant financial statement assertions are:

- **Classification**

  Whether a bond should be classified as debt or equity. In this case it is a compound instrument. The liability and equity component will be shown separately.

- **Accuracy, valuation and allocation**

  The liability component should be computed as the present value of the maximum potential cash flows discounted @ 10% as follows.

Year	Cash flow	DF @ 10%	Net present value
	£		£
1	6,000	0.909	5,454
2	106,000	0.826	87,556
Liability			93,010

The residual amount is the equity component (100,000 – 93,010) = £6,990.

Answer to Interactive question 3

3.1 Appropriate – relevance

The relevance of audit evidence should be considered in relation to the overall audit objective of forming an opinion and reporting on the financial statements. The evidence should allow the auditor to conclude on the following:

- Statement of financial position items (existence, rights and obligations, completeness, accuracy, valuation and allocation, classification and presentation)

- Statement of profit or loss items (occurrence, completeness, accuracy, cut-off, classification and presentation)

The representations by management in respect of the completeness of sales are relevant to the first of the objectives when gathering evidence on revenue items. Depending on the system operated by the client and the controls over cash sales there may be no other evidence as to the completeness of sales.

Appropriate – reliable

Reliability of audit evidence depends on the particular circumstances but the standard offers three general presumptions:

- Documentary evidence is more reliable than oral evidence.
- Evidence obtained from independent sources outside the entity is more reliable than that secured solely from within the entity.
- Evidence originated by the auditor by such means as analysis and physical inspection is more reliable than evidence obtained by others.

The oral representations by management would be regarded as relatively unreliable using the criteria in the standard, as they are oral and internal. In the absence of any external or auditor-generated evidence, the auditor should ensure that these representations are included in the letter of representation so that there is at least some documentary evidence to support any conclusions.

Sufficiency

The auditor needs to obtain sufficient relevant and reliable evidence to form a reasonable basis for their opinion on the financial statements. Their judgements will be influenced by such factors as:

- their knowledge of the business and its environment;
- the risk of misstatement; and
- the persuasiveness of the evidence.

3.2 Appropriate – relevance

The flowcharts prepared by the internal audit department will not be directly relevant to the auditor's opinion on individual figures in the financial statements, but rather when the auditor is following the requirement in ISA 315 to obtain an understanding of the entity's information system of recording and processing transactions. The auditor will wish to assess the adequacy of the system as a basis for the preparation of financial statements so the flowcharts will be relevant only if they are sufficiently detailed to allow the auditor to carry out this assessment. The auditor would also wish to make an initial assessment of internal controls at this stage so the flowcharts will be more relevant if control procedures are specifically identified.

Appropriate – reliable

The assessment of how reliable the flowcharts are would depend on the auditor's overall assessment of the internal audit department. The factors to be considered would include its degree of independence, the scope of its work, whether due professional care had been exercised, the technical competence and the level of resource available to the internal audit department. This assessment should be documented by the external auditor if they are to make use of the flowcharts in their audit planning and design of tests.

Sufficiency

Client-prepared flowcharts are **not** sufficient as a basis for the auditor's evaluation of the system. To confirm that the system does operate in the manner described, the auditor should perform 'walkthrough' checks, tracing a small number of transactions through the system.

There is, however, no need for the auditor to prepare their own flowcharts if they are satisfied that those produced by internal audit are accurate.

3.3 Appropriate – relevance

Year-end suppliers' statements provide evidence relevant to the auditor's conclusions on:

- the completeness of payables, as omissions from the purchase ledger listing would be identified by comparing statements received to that listing;
- the existence of payables recorded in the purchase ledger;
- the fact that the liabilities are properly those of the entity (for example, the statements are not addressed to, say, the managing director in his own name); and
- the valuation of payables at the year end with respect to cut-off of invoices and credit notes, and discounts or allowances.

Appropriate – reliable

Suppliers' statements would generally be seen as reliable evidence, being documentary and from sources external to the entity. If the auditor had doubts as to the reliability of this evidence, it could be improved by the auditor originating similar evidence by means of a payables circularisation rather than relying on suppliers' statements received by the client.

Sufficiency

Suppliers' statements would generally be seen as reliable evidence, being documentary and from sources external to the entity. If the auditor had doubts as to the reliability of this evidence, it could be improved by the auditor originating similar evidence by means of a payables circularisation rather than relying on suppliers' statements received by the client.

3.4 Appropriate – relevance

The physical inspection of a non-current asset is clearly relevant to the auditor's opinion as to the existence of the asset, and to some extent the completeness of recording of assets; that is, the auditor can check that all the assets inspected have been recorded. In certain circumstances evidence relevant to valuation might be obtained; for example, where a client has written down a building due to impairment in value and the auditor sees it standing unused and derelict.

Appropriate – reliable

Physical inspection of a non-current asset is a clear example of auditor-originated evidence, so would usually be considered more reliable than that generated by others.

Sufficiency

Inspection of a non-current asset would be sufficient evidence as to the existence of the asset (provided it was carried out at or close to the end of the reporting period). Before concluding on the non-current asset figure in the accounts, the auditor would have to consider the results of their work on other aspects, such as the ownership and valuation of the asset.

3.5 Appropriate – relevance

The comparison of revenue and expenditure items with prior periods will provide evidence as to:

- completeness of recording, as omissions can be identified and investigated;
- accuracy, in cases where the auditor has appropriate information on which to base expectations, for example, if the number of workers has doubled during the year and a set percentage wage increase had been effected in the year; and
- presentation, as the comparison should highlight any inconsistencies of classification and treatment from year to year.

Appropriate – reliable

Analysis such as this comparison of revenue and expenditure items with the prior periods would again be termed auditor-generated evidence, and would be considered more reliable than evidence generated by others. Ultimately the reliability of such audit evidence depends on the reliability of the underlying data; this should be checked by tests of controls or substantive procedures.

Sufficiency

In addition to the general considerations, such as risk and materiality, the results of a 'comparison' alone would not give very persuasive evidence. It would have to be followed by a detailed investigation of variances (or lack of variances where they were expected). The results should be compared to the auditor's expectations based on their knowledge of the business, and explanations given by management should be verified. The persuasiveness of the evidence should be considered in the light of other relevant testing, for example tests of controls in payments systems and substantive testing of expense invoices.

3.6 **Appropriate – relevance**

The proof in total calculation will provide evidence as to the accuracy of the interest expense. Typically this would be calculated by multiplying the interest rate applicable to the loan to the average amount of the loan for the period. Any significant difference between the total calculated by the auditor and the amount in the financial statements would need to be investigated further.

Appropriate – reliable

As above, the proof in total would again be termed auditor-generated evidence, and would be considered more reliable than evidence generated by others. Ultimately the reliability of such audit evidence depends on the reliability of the underlying data. Timings of repayments would need to be considered when calculating the average level of the loan during the period and the interest rate would need to be agreed to the loan agreement.

Sufficiency

The interest payable on the loan is likely to be relatively low risk but could be material. The proof in total calculation may be sufficient evidence depending on the level of difference between the amount expected by the auditor and the actual amount. Any significant discrepancy would need to be investigated.

Answer to Interactive question 4

4.1 Factors to consider:

Materiality

Property, plant and equipment (PPE) is likely to constitute a material proportion of the assets in the statement of financial position of a manufacturing company. In addition, the depreciation charge may be material to profit.

Depreciation of plant and machinery is charged to cost of sales, and therefore has a direct impact on the gross profit margin of the business.

Inherent risk

Although PPE is generally regarded as having low inherent risk, the following factors may increase the level of risk for Xantippe Ltd.

- Additions to plant may be misclassified as repairs and recognised in profit or loss.
- Repairs expenditure may be capitalised in error.

- Depreciation has a direct impact on profit and can potentially be manipulated by changing the expected useful lives of assets.

Control risk

To determine the degree of reliance that can be placed on internal controls, the following will need to be examined.

- Authorisation of expenditure on new PPE
- Client procedures for periodic review of renewals/repairs accounts
- Client reconciliations between the PPE register and nominal ledger account balances

If reliance can be placed on the above controls, assurance will be obtained that:

- PPE additions are valid business items;
- capital expenditure has been included in PPE; and
- revenue expenditure written off PPE has been accurately recorded.

Strong controls, as confirmed by tests of controls, will enable the level of substantive procedures to be reduced.

4.2 Audit procedures:

Freehold property

- Agree opening balances to prior year working papers/financial statements.
- Inspect the title deeds to the property (or obtain assurance that they are held by the bank) in order to confirm continuing ownership.
- Inquire whether any valuations have been carried out in the year.
- If any valuation shows a fall in value, propose adjustment (if material).
- Inspect the property to confirm (existence) that no provision for fall in value is necessary.
- Confirm from the bank letter (and discussions with management) any charges on the property.
- Confirm all charges are properly disclosed in a note to the financial statements.
- Discuss with directors the reasonableness of their estimate of the useful life of the freehold buildings.
- Reperform the calculation of depreciation, ensuring that the freehold land is not depreciated.

Plant and machinery and motor vehicles

- Confirm opening balances to prior year financial statements.
- Obtain a list of additions in the year which reconciles with the total in the financial statements.
- For a sample of additions – trace to purchase invoices to confirm ownership – review board minutes/capital expenditure requisition for authorisation.
- Review the list of additions to ensure that all items are of a capital nature.
- For a sample of assets on the register, physically inspect to confirm existence.
- Inspect invoices for motor vehicle additions to confirm that capital cost includes VAT but excludes road tax.
- If motor vehicle additions involved a trade-in/part-exchange, discuss financial statement adjustments required with directors (since no disposals accounted for).

- Inspect vehicle registration documents to confirm ownership.
- Compare the depreciation charge (as a percentage of cost) on a category by category basis with that of the prior year to assess reasonableness.
- Reperform depreciation calculations for a sample of assets on the register.
- Obtain a list of disposals in the year which reconciles with the total in the financial statements.
- For a sample of disposals – trace sales proceeds to sales invoice and cash book – reperform calculation of profit on disposal and trace to statement of profit or loss and other comprehensive income.
- Review repairs and renewals accounts to ensure that no items of a capital nature have been written off.

Answer to Interactive question 5

Audit risks

- Revenue has increased by 15.6% as compared with 10 months to October 20X6. There is a risk that revenue is overstated. Investigations would be required as to why this increase has taken place. For example, it could be the result of a change in revenue recognition policy. Revenue may also have been affected by the translation of foreign currency sales which make up a significant proportion of total revenue. It may also be that sales prices have increased and the price lists should be reviewed for changes, including the dates when changes were made. This includes both official prices and discounting policy. It may also be that sales volumes or sales mix have changed. This should be reviewed against budgeted production.
- Gross profit margin has increased. This is because cost of sales has increased by only 7.2% compared to an increase in revenue of 15.6%. This may indicate that the increase in revenue was largely as a result of selling price increases (which would not be reflected in increased costs) rather than volume increases (which would have been reflected in increased cost of sales). This proposition would be true for a retail company but, as Darwin is a manufacturing company, there may be an alternative explanation. This is that cost of sales consists of both variable costs (eg, raw materials) and fixed costs (manufacturing overheads, such as factory rent). If sales volumes have increased significantly between 20X6 and 20X7 then, if fixed costs are significant, one would not expect costs of sales to vary proportionately with sales revenue, but would increase by a smaller percentage. The manufacturing cost structures would therefore need to be reviewed to formulate an expectation of the relationship between cost of sales and revenue when volumes increase.
- There is also a risk that revenue may be overstated due to accounting errors; for example, items in transit to foreign customers being included in both revenue and year-end inventories. This would be consistent with the increase in inventory balance. Alternatively, it could be the result of understatement of purchases.
- Changes in pricing strategy, sales mix or productivity would also have to be considered.
- Operating profit has increased and may be overstated. This could indicate understatement of operating expenses, for example through inadequate accrual for such expenses.
- Increasing inventory values.

  Assuming 360 days in a full year then inventory days have increased significantly: 10 months to 31 Oct 20X6 4,320/14,966 × 300 days = 87 days
  10 months to 31 Oct 20X7 5,160/16,040 × 300 days = 97 days

- Inventory may therefore be overstated. This could be as a result of errors in the quantity of inventory held or errors/changes in the way the inventory has been valued.
- The business appears to be seasonal. In the 10 months to 31 October 20X6 the average monthly sales were £2,352,000. In the two months to 31 December 20X6 average monthly sales were only £1,776,000. The period to sell the inventory at 31 October 20X7 is therefore likely to be longer than would be implied by the average sales for the 10-month period, as two months of low sales are forthcoming if the pattern of 20X6 is to be repeated. This would imply inventory days of more than 97 days and thus impairment should be considered.

Answer to Interactive question 6

6.1 Observation/Impact

Observations	Impact on audit of trade payables
Gross profit margin has fallen from 24% last year to 21% this year.	Business strategy and performance must be discussed with the directors. The lower margin could arise from genuine business factors including some relating to payables such as: • new suppliers charging higher prices; and • increases in the cost of raw materials used by suppliers. These factors would have to be confirmed during the audit of payables.
Cost of sales has increased by 50% while revenue has increased by 45%.	Where the decline in margin cannot be adequately explained by business factors, accounting errors must be considered. These could include: • an inaccurate cut-off on goods received which misstates purchases and trade payables; and • misclassification between purchases and other expenses. Potential errors would increase the level of work required on payables.
Trade payables have increased by 38%, which is less than the increase in cost of sales.	The scope of circularisation and/or supplier statement reconciliation work may have to be extended if there is an increased number of suppliers, and these have not been recorded.
The trade payables payment period has been reduced slightly from 61 days last year to 56 days this year.	Information on payment terms with new suppliers (eg, for footwear) must be obtained to establish expectations. There is a risk of unrecorded liabilities (eg, due to omission of goods received not invoiced or inaccurate cut-off in the purchase ledger). Review of subsequent cash payments to payables should cover the two months after the year end.
Other payables have risen by 12% – this does not seem consistent with a reduction in the number of shops.	Payables for purchases may be misclassified as other payables.

6.2 Use of audit software

Reperformance of calculations:

- To cast the trade payables ledger file balances for comparison of the total with the balance on the control account in the general ledger.
- To check arithmetic accuracy of individual suppliers' accounts.
- Analytical procedures:
- To calculate the payment period by supplier.
- To compare the current year balances with the prior year balances of the major suppliers at each year end, and report any significant changes for further review.
- To determine the percentage increase or decrease for each account and in total.

Selection of data for substantive procedures:

- To select, from purchase records, a sample of suppliers for circularisation or review of supplier statement reconciliations.
- To produce a printout of the major trade payables at the year end.
- To produce an exception report of debit balances on the payables ledger.
- To select, from inventory records, receipts immediately before the year end for matching to goods received not invoiced accruals/trade payables.
- To identify unusual transactions (eg, relating to capital acquisitions through hire purchase agreements).
- To identify unusual standing data (eg, accounts for inactive suppliers).

Selection of representative samples for tests of controls:

- Of purchases – to test whether they are properly authorised and matched to goods received notes.
- Of payments – to test whether they are authorised.

Payables circularisation:

- To print requests for statements, monitor replies and produce second requests.

Cut-off:

- To identify goods received documentation unmatched on file, for verification of inventory/payables cut-off.
- To select post year end payments for verification of cash/payables cut-off.

Disclosure:

- To extract total debits to the purchases accounts and total credits in individual suppliers' accounts for comparison and reconciliation.
- To search 'other payables' for:
  - individually significant balances; and
  - names of trade payables.

Answer to Interactive question 7

Gearing ratios

Gearing = Debt ÷ (Debt + Equity)

(1) Book values

(250,000 + 150,000) ÷ (400,000 + 600,000) = 40%

(2) Market values

	£
Equity (V_e) 1,000,000 × 125p	1,250,000
Preference (V_p) 250,000 × 65p	162,500
Loan stock (V_d) 150,000 × 85%	127,500
	1,540,000

(162,500 + 127,500) ÷ 1,540,000 = 18.8%

Comment

There is a significant difference between the book and market values. In particular, the market obviously places value on the equity of the business, showing a potential confidence in the company's future. On a market-based measure, gearing appears to be low and would seem acceptable, although we have no external data to validate this.

Working capital ratios

Receivable days = (150,000 ÷ 2,000,000) × 365 = 27 days

The jewellery is sold 27 days (on average) before payment is received. Given the high value of items, there is a high risk of bad debt. Care must be taken to ensure that credit is granted only to creditworthy clients.

Payable days = (100,000 ÷ 1,200,000) × 365 = 30 days

Harrison plc pays its suppliers after 30 days (on average). This seems a reasonable amount of time, and there seems to be no pressure on liquidity from this perspective.

Inventory days = (300,000 ÷ 1,500,000) × 365 = 73 days

Inventory days seem high at 73 days. However, a wide range of different items need to be displayed in order to attract customers into the shop.

Many items, however, will be made to order, and this should be encouraged – it will help to reduce the number of inventory days.

Non-financial measures

These include the following.

- Daily number of items sold
- Repeat business/customers
- Customer satisfaction
- Time taken for 'made to order' items
- Number of repairs/faulty items sold

These types of measures are important for Harrison plc, as the volume of trade will be relatively small on a daily basis. Each extra sale will generate extra profit, and hence keeping customers happy and satisfied will improve the overall performance of the shop.

Answer to Interactive question 8

8.1 Platforms

It is not necessary to use an auditor's expert to audit the useful lives of the platforms, as there are many other available sources of evidence. Relevant procedures include the following:

- Obtaining weather reports to see whether management's determination of useful lives is consistent with them
- Comparing budgeted oil against actual oil extracted (if the budget was optimistic, so might the useful life be)
- Reviewing published industry comparators (such as Shell and BP); if the useful lives of their platforms as published in financial statements is significantly different, discuss with management why that might be
- Considering whether management's determination of useful lives in the past has been proved accurate

8.2 It is not necessary to use an auditor's expert, as the question states that a 'simple' test is available. The auditors should confirm that the company will be making use of this test during the inventory count to separate the inventory. The auditor should reperform the test on a sample of brass and copper as counted to ensure they have been separated correctly.

Answers to Self-test questions

1 Strombolix plc

BRIEFING NOTE

To Charles Church (partner)

From A Senior

Date 25 July 20X2

Subject Strombolix audit

Issues on the audit to date

(1) **Trade receivables Issues arising**

One type of paint has suffered problems of decay after only a short period of use, and customers are refusing to pay for recent deliveries. If these claims are valid (as would be indicated by the fact that the complaints are coming from several different independent sources) this creates a number of issues.

- The most obvious issue is assessing the need to make provision against, or write off, the £50,000 of receivables relating to the claim. If the claim is valid the receivables should be written off immediately.
- Given that the decay only occurs after a few months, at least some of the paint is likely to have been paid for already: thus repayment in respect of these sales is due. Under IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* an obligating event has occurred (the sale of faulty paint) and there is a probable transfer of economic benefits which can be reasonably estimated.
- Provision will also need to be made against any inventories that may be held of this type of paint, as they cannot be sold if faulty. This should include any disposal costs.
- If wholesale customers of Strombolix are being sued by their own customers, it is very probable that they will in turn consider litigation against Strombolix. Part of any claim will be for the paint itself for which provision is to be made as suggested above. Additionally, however, there is likely to be a claim for the labour cost involved for the removal of the old paint, in applying new paint and for disruption. Consideration should be given to making provision for these amounts, but they are more uncertain in their nature, not least because there does not currently appear to be any such legal claim against Strombolix. The situation will need to be monitored up to the time of audit clearance to reassess the situation at that date.
- If wholesale customers of Strombolix are being sued for the faulty paint, consideration should also be given to making similar provisions in respect of the sales by Strombolix of the paint to its own retail customers.
- The necessary provisions are specific provisions and would be allowable for taxation. The tax charge for the year would therefore need to be adjusted to the extent of any provisions made. The deferred tax charge would need to be adjusted accordingly.

Audit procedures

The key audit issue is to establish whether there is a technical fault in the paint. If there is, as seems likely, then it will be necessary to establish the extent of the problem by ascertaining the following in respect of this particular paint.

- The amount of receivables outstanding
- Total sales to date to wholesale and retail customers
- Amount of the paint in inventories
- Review any correspondence on the issue
- Review correspondence with the company's solicitors
- Establish whether Strombolix made the paint itself or whether it was purchased from a supplier, in which case there may be a corresponding claim by Strombolix
- Speak to the company's production/technical director to establish the nature of the problem and whether any other paints may be affected
- Attempt to estimate the non-material costs which customers may incur in replacing the faulty paint
- Review returns inwards and customer compliant files from retail customers in respect of the faulty paint
- Review the latest situation with respect to litigation on a continuing basis up to the time of audit completion

Questions for finance director

- Does the company accept that it was at fault with respect to this paint?
- What attempts have been made to evaluate liability?
- What is the current status of any litigation against the company?

(2) **Inventories**

Issues arising

A special retail offer of '3 for 2' on wallpaper purchased from an outside supplier during the year has been incorrectly recorded, as the offer was not programmed into the company's IT system. The company also intends to take credit for a proportion of a quantity bonus payable by the supplier in respect of this product.

There are two key audit issues.

- There has been a systems error which appears to have gone undetected and unreported for some time. This raises concerns about the operation of the accounting and internal control systems more generally.
- The extent of the substantive errors needs to be established and adjusted.

Systems errors – inventories

- Establish why the special offer was not programmed into the IT system.
- Establish whether any other such programming omissions occurred.
- Investigate why the error was not reported back to programmers from store managers who were instructing sales staff to read only two of the three items.
- Consider the level of understanding of store managers of the IT system, and whether this may have contributed to other similar errors.
- Establish how the error was ultimately detected, and thus what other controls had failed to detect the problem before its discovery.

Substantive errors – inventories

Misstatement relating to special offer

- If the third item in each transaction was unrecorded, the IT records will overstate inventory. If 20,000 units have been recorded (if they have all been sold through the

special 3 for 2 offer) 10,000 have been unrecorded. This will mean reducing inventories in the IT records by a maximum of £50,000.

- Adjustment will need to be made for any similar errors discovered by the above systems review.

Taking credit for bonus

- Strombolix appears to be intending to take credit for part of the supplier's bonus in its draft financial statements. The bonus is, however, effectively a contingent asset under IAS 37, as the payment is dependent on making total sales of 40,000 units, including some in the future. If this is only probable, disclosure can be made, but a pro rata amount cannot be included in the statement of profit or loss and other comprehensive income in the year to 30 June 20X2.
- If, on the basis of post year end evidence before audit completion, it is virtually certain that sales of 40,000 units of the product will be made, and that settlement will be made by the supplier, then a pro rata recognition is appropriate. However, as the sales appear to be made on the total level of sales made by the supplier to Strombolix (ie, including the 'free' goods and perhaps any goods still in inventories), then the credit would be a maximum of £67,500 (ie, (30,000 ÷ 40,000) × £90,000) if all sales were through the special offer.
- In the absence of near certainty over attaining the bonus, there is an inventory valuation problem. If the bonus is not paid, the NRV of any inventories remaining is less than its cost. For example, a batch of three units would be valued in inventories at £15 (3 × £5), whereas its NRV is only £12 (2 × £6). In this case, consideration should be given to writing down each inventory item to £4 (ie, £12 ÷ 3).

Audit procedures

- Obtain explanations for the systems error.
- Review the company's internal control procedures with respect to the inclusion in the IT system of non-standard sales arrangements.
- Obtain explanations for the non-reporting of the error by store managers.
- Review the scope for similar errors in the system in respect of both detection and reporting.
- Consider whether (and if not, why not) the physical inventory count detected the IT error.
- Evaluate the number of sales of the product made through the '3 for 2' special offer, as opposed to single purchases.
- Review post year end sales to assess the probability of achieving the bonus payment from the supplier.
- Consider the adequacy of the inventory provision in the light of the results of the above.

Questions for finance director

- How did the systems error occur in respect of the special '3 for 2' offer?
- Why did it go undetected?
- What is the justification for taking credit for part of the bonus from the supplier when the target has not been achieved at the year end?

(3) **Capitalisation of interest**

Issues arising

The company had a new superstore constructed during the year, and it borrowed to finance this project. The interest on the borrowing was all capitalised.

IAS 23, *Borrowing Costs* requires borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset to be capitalised as part of the cost of the asset. It defines a qualifying asset as one that takes a substantial period of time to get ready for its intended use or sale (IAS 23.5). The treatment adopted by the company therefore appears to comply with the IAS providing that the borrowing costs are 'directly attributable' to construction ie, they would have been avoided if expenditure on the construction of the asset had not been incurred.

The finance costs on the relevant borrowings become part of the overall asset and are therefore recognised in profit or loss as the asset is depreciated over its useful life, rather than as incurred.

Capitalisation should cease when substantially all the activities necessary to get the asset ready for its intended use or sale are complete (IAS 23.22). It is the availability for use which is important, not when it is actually brought into use. An asset is normally ready for its intended use or sale when its physical construction is complete.

It would appear that the interest capitalised in respect of the new superstore is as follows.

Period	Payment for	Calculation capitalised	Interest
			£
1.8.X1–30.6.X2	Land	11/12 × £400,000 × 8%	29,333
1.12.X1–30.6.X2	Progress payment	7/12 × £1m × 8%	46,667
1.6.X2–30.6.X2	Progress payment	1/12 × £1m × 8%	6,667
			82,667

Assuming that commencement of preparation for planning permission was the earliest date at which the company commenced to 'get the asset ready for use', then the correct interest to be capitalised is as follows.

Period	Payment for	Calculation capitalised	Interest
			£
1.9.X1–30.5.X2	Land	9/12 × £400,000 × 8%	24,000
1.12.X1–30.5.X2	Progress payment	6/12 × £1m × 8%	40,000
–	Progress payment	–	
			64,000

The difference of £18,667 (£82,667 – £64,000) should be treated as a cost for the year in the statement of profit or loss and other comprehensive income under 'finance costs'. There should also be a corresponding deduction from the cost of the asset in the draft financial statements.

The amount of borrowing costs that must be capitalised is limited by the requirement that the total value of the asset (including borrowing costs) should not exceed the asset's recoverable amount.

The following disclosure should be made where interest is capitalised within non-current assets.

- Aggregate finance costs included in non-current assets
- Finance costs capitalised in the year (including £64,000 in respect of this transaction)

- Finance costs recognised in profit or loss (including £18,667 in respect of this transaction)
- Capitalisation rate used (8%)

Audit procedures

- Loan agreement to be inspected for interest rate and other terms
- Contract for building the superstore and associated documentation to be inspected – particularly for amounts and dates in this context
- Evidence of the date on which activity commenced to 'get the asset ready for use' to be inspected eg, preparation for planning permission
- Evidence of the date on which the asset was ready for use to be gathered (eg, builder's reports and other correspondence)
- Confirm that the policy on interest capitalisation is consistent with that previously adopted when building other stores

Questions for finance director

- Why was there a delay between the purchase of land and the commencement of preparation for planning permission?
- Does he accept that the revised calculation (above) is consistent with IAS 23?

General concerns arising from the takeover bid

The takeover bid is an inherent risk in the context of this audit, particularly as the directors are attempting to defend the bid. In this case they will be attempting to show the company in the best possible light. This may involve disclosing the highest possible profit in the financial statements.

This policy would be consistent with the audit issues discovered, in that there does not appear to be any provision in respect of receivables or inventory in audit issues (1) and (2). Similarly, the amount of interest capitalised in (3) appears to present an overoptimistic figure for profit.

Consideration will thus need to be given to the extent of reliance that can be placed on management assurances and managerial control in this audit, even if they have proved reliable in the past.

Moreover, if the financial statements are misstated there is a possibility of litigation against our firm for third-party negligence if Simban suffers a loss or if it relies on the financial statements – and we know it is relying on the financial statements for the purpose of the takeover. To some extent a report of due diligence before takeover may mitigate some of this risk, but this cannot be relied on entirely.

Consider the impact of time pressure being placed on the audit.

Reconsider materiality levels and the risk assessment in the audit plan in the light of the takeover bid.

2 AB Milton Ltd

2.1 Potential related party transactions

Person/entity	Related party	Why	Transaction
Alexander Milton	√	Director	No transactions mentioned
Brian Milton	√	Director	No transactions mentioned
Brian's wife	√	Wife of director	

Person/entity	Related party	Why	Transaction
Edward Murray	√	Director	Purchases of stationery
Murray Design	√	Entity controlled by a director	
Diane Hardy	×	No longer close family and does not have control or significant influence	
Fiona Dyson	√	Presumed close family and shadow director	Contracts drawn
Cuts and Curls	?	(see below)	Rental agreement
Campbell Milton Roofing	√	Sub of AB Milton	Work done for AB (see below)
Ian Campbell	√ / ×	Could be considered key management of group	

Cuts and Curls is not clear cut. For it to be a related party Gillian Milton would need to be in a position to control Cuts and Curls and then due to her relationship with Alexander Milton her company would come under the related party umbrella. Gillian only holds 50% and therefore holds joint control with her mother.

Disclosure

The related party relationship between AB Milton and Campbell Milton Roofing must be disclosed, as it is a relationship between a parent and a subsidiary. This disclosure must be provided irrespective of whether a transaction takes place.

For other related party relationships disclosure is only required where a transaction has taken place. In this case that would apply to the transactions with Edward Murray, Fiona Dyson and potentially Cuts and Curls. Disclosure is required of the nature of the related party relationship as well as information about the transaction and any outstanding balances necessary for users to understand the potential effect of the relationship. Disclosure should include the following as a minimum:

- A description of the relationship
- A description of the transaction and the amounts included
- The amounts due to or from the related party at the end of the year
- Any other element of the transaction necessary for an understanding of the financial statements

2.2 Notes for staff training sessions:

(a) We are required to assess the risk of undisclosed related party transactions and to design our audit procedures in response to that risk. A logical place to start the audit of related party transactions would be to identify all possible related parties. This would always include the following:

- Directors and shadow directors
- Group companies
- Pension funds of the company
- Associates

It is likely that the other related parties would include the following:

- Key management (perhaps identified by which staff have key man cover)
- Shareholder owning > 20% of the shares
- Close relatives and associates of any of the above

All related party transactions must be disclosed. Related party transactions do not necessarily have to be detrimental to the reporting entity, but those which are will be easier to find. The following features, among others, may indicate this:

- Unusually generous trade or settlement discounts
- Unusually generous payment terms
- Recorded in the nominal ledger code of any person previously identified as a related party (for example, director)
- Unusual size of transaction for customers (for example, if the company were paying a suspiciously high legal bill for a building company)

(b) Audit procedures to identify related party transactions are as follows. Risk assessment procedures:

- Discussion by the audit team of the risk of fraud-related misstatements
- Enquiries of management
- Obtaining an understanding of the controls in place to identify related party transactions

Other procedures might include:

- Identification of excessively generous credit terms by reference to aged trade accounts receivable analysis
- Identification of excessive discounts by reference to similar reports
- Scrutiny of cash book for payments made to directors or officers of the company (probably more realistic for smaller entities)
- Review of board minutes for evidence of approval of related party transactions (directors are under a fiduciary duty not to make secret profits)
- Written representations from directors to give exhaustive list of all actual/potential related parties (that is, allow us to make the materiality assessment, not them)
- Review of accounting rewards for large transactions, especially near the year end and with non-established customers/suppliers
- Identification of any persons holding > 20% of the shares in the entity by reference to the shareholders' register

3 TrueBlue Ltd

3.1 **Discussion with the finance director Revenue and marketing expense**

The trend of falling revenue has continued in 20X7 from previous years. The problem seems worse in view of the fact that 20X7 saw a substantial increase in advertising and marketing expenditure, without which the fall would presumably have been greater. It is important to investigate this situation and the action taken in relation to it, because the company could be facing significant going concern problems if its products are no longer required by the market. However, the revenue fall in 20X7 from 20X6 is not as significant as from 20X5, and it is possible that the sales trend in 20X6 and the beginning of 20X7 has been reversed and the company might be beginning to perform well again.

Additional information required:

- Does the additional marketing spend relate to 20X7 or was it to encourage sales in the future?
- Were there any sales forecasts produced in connection with the marketing spend?
- Can you provide details of sales month by month to show the revenue pattern throughout the year, particularly in relation to the marketing spend?
- Does management have other plans/intentions with regard to boosting revenue, particularly if the additional marketing spend in 20X7 has not produced the expected results?

Gross profit percentage

The gross profit percentage was stable in 20X6 and 20X5 at 30% but it has dropped in 20X7 to 23%. This implies either that there is a mistake in the figures (for example, an expense may have been analysed incorrectly; there may have been an error in final inventory counting or valuation; or some sales may not have been included correctly in revenue hence it has fallen), or that there has been a change in the cost structure or sales mix resulting in this fall.

With revenue falling, if sales are also becoming less profitable, the problem outlined above might be intensified. Alternatively, a new sales mix may be the directors' approach to solving revenue fall and, in the long term, increased sales at a lower margin might be the new situation for the company.

Additional information required:

- The reason for the fall in gross profit percentage
- Analysis of sales by month and product
- Further analysis of cost of sales figures

Receivables

The trade receivables balance has fallen over the three years, which is in line with the fall in revenue. However, it has not fallen at the same rate, which is shown by the fact that the receivables days calculation shows that debts are now taking six more days to collect than they were in 20X5. The significant change occurred in 20X7, with the day calculation falling from 63 to 67 days in 20X7 as opposed to 61 to 63 in 20X6.

The increase could be caused by any of the following factors.

- The marketing event has caused a change in sales patterns/debt collection later in the year (this would be revealed by analysing detailed sales information outlined above).
- Problems with credit control/the company has uncollectible debts on the ledger that should realistically be written off.
- It is possible that a receivables ledger fraud is being carried out.

Credit control problems would constitute a control deficiency that the auditors should note and respond to with regard to their audit. They should assess whether the problems with control extend further than the credit control department, as widespread control issues could significantly affect risk assessment.

If there is a large amount of old debt on the ledger, a truer picture would be presented if it were written off. Similarly, a fraud being carried out on the ledger would affect the true and fair view. Four days represents 1% of the year, and therefore 1% of revenue (taken on an average basis) and it is therefore a material issue.

Further information required:

- Aged analysis of the receivables ledger to identify whether any significant aged debts exist which require writing off
- Remittance advices from customers to assess payment patterns

Inventory, cash and liquidity

The inventory movement assessment in the cost of sales analysis shows that inventory levels at the company have risen consistently at the company over the last three years so that the inventory balance is now £3 million higher than at the start of 20X5. Direct production and purchase costs have remained stable over those years, suggesting that operation levels have not changed to reflect the situation in the market and the falling sales position. This is likely to have had a devastating impact on the cash position of the company. The statement of financial position will show a significantly illiquid position with an inventory pile and a decrease in receivables conversion rate. If it also shows a significant cash deficit then there are immediate concerns about whether the company can continue to finance operations.

Further information required:

- Production levels in 20X7 and management's future intentions concerning production
- Bank statements and statements of cash flows and projections
- Inventory sheets from 20X7 count
- Inventory valuation sheets from 20X7

Other expense items

The other expense items provided in this analysis are immaterial in relation to revenue and therefore the auditor would not focus on them at the planning meeting.

WORKINGS

(1) **Gross profit margin**

20X7

4,357,233 ÷ 18,944,487 = 23%

20X6

6,174,827 ÷ 20,588,370 = 30%

20X5

7,359,648 ÷ 24,536,570 = 30%

(2) **Receivables days**

20X7

(3,477,481 ÷ 18,944,487) × 365 = 67

20X6

(3,553,609 ÷ 20,588,370) × 365 = 63

20X5

(4,089,783 ÷ 24,536,570) × 365 = 61

(3) **Payables days**

20X7

(1,056,090 ÷ 9,183,388) × 365 = 42

20X6

(1,027,380 ÷ 9,246,420) × 365 = 41

20X5

(1,164,843 ÷ 10,483,588) × 365 = 41

3.2 **If fraud is suspected**

The auditor is required to approach their task with an attitude of professional scepticism. Therefore, in theory, the auditor should not approach the task differently if fraud has been suggested than they would have before. The questions arising from the analytical procedures would be the same, and the auditor would still seek to corroborate the answers and then assess whether they are satisfied with the corroborated answers. Given that the auditor is required to be aware that fraud is a possibility whether they have been tipped off or not, the corroboration of the finance director's answers should have been thorough and based on sources other than the finance director (such as third-party invoices and the opinions/experience of other sources in the company) anyway.

If the auditor has been given a tip off that fraud exists, he should pass on that information to the appropriate level of management. In this case, this would be the audit committee, as the tip off concerns the finance director.

3.3 **Approach to the audit of receivables**

There is a good source of third-party evidence in relation to the receivables balance; that is, the customers. Usually trade receivables is audited by means of direct confirmation. It is likely that the receivables balance at TrueBlue has been audited by a receivables confirmation in previous years and, if there is a fraud being carried out on this balance, then it has not been uncovered by the audit procedures. It is possible that the audit procedures have become repetitive, that the same (largest) customers have been selected to test year on year and that the finance director has been able to carry out a small scale fraud on smaller balances less likely to be tested, or that the fraud has only been carried out in the current year.

The auditors should carry out a receivables confirmation in this year, as it is the best source of audit evidence. They should increase the sample size to reflect the risk associated with the balance and extend testing to a larger number of customers than has previously been the case.

In addition, the auditors should carry out some transaction testing on sales receipts in the year, tracing the transactions through the system and trying to match receipts with invoices on the sales ledger.

If a fraud has been carried out in this area it casts significant doubt on the controls in this area and the auditors should consider whether controls throughout the accounting function might also not be operating effectively and what impact that has on the rest of the audit.

4 Tofalco plc

Memorandum

To Paul Sykes

From Jeremy Wiquad

Date 6 November 20X0

Re Tofalco plc

The memo below covers the financial reporting and auditing issues raised per your request.

Financial reporting treatment and audit procedures required

- **Construction contracts**
  - Given that the outcome cannot be foreseen reliably, no profit should be recognised in the current year. Instead, £400 million should be recognised within cost of sales and,

assuming that these costs are recoverable, the same amount within revenues (therefore showing no profit and no loss). The value of the work done in the statement of financial position will therefore be £400 million.

Audit procedures to gain assurance include:

- reviewing the contract to confirm the duration and sales value of the contract;
- reviewing the surveyor's report to confirm the value of the work performed to date;
- examining internal cost reports and confirming items on a sample basis to invoices; and
- obtaining a written representation from management with regards to the outcome of the contract.

- **Provisions** – An environmental provision for the £2.5 million present value of the cost of disposing of the machines is required per IAS 37 and should be presented within non-current liabilities. This cost should also be included as part of the cost of the asset. In subsequent years the liability will increase due to the unwinding of the discount and a corresponding finance expense will be shown within profit or loss.

  Audit procedures to gain assurance include:

  - reviewing the law with regards to the environmental provision and the underlying documentation relating to the £2.5 million estimate provided;
  - assessing whether the discount rate used to calculate the present value of the disposal costs is appropriate; and
  - discussing with management if there are other areas/machines that require equivalent 'environmentally friendly' costs and that these have been provided for. Include the completeness of these provisions in the company management representation letter.

- **Receivables** – Per IFRS 9, *Financial Instruments* (see Chapter 16), receivables are a financial asset and it appears that an impairment of receivables (the specific debt of Stirly plc) may be needed.

  Audit procedures to gain assurance include:

  - attempting to review board minutes and the correspondence file for any discussion of this issue; and
  - reviewing subsequent events for payment of the amount due.

- **Assets held for sale** – According to IFRS 5, assets are classified as 'held for sale' when, among other criteria, management are committed to the sale and the asset is available for immediate sale. The situation is not entirely clear, but the criteria are probably not fully met until February 20X0, when the recoverable amount is £1.7 million. Therefore an impairment adjustment of £0.4 million is required on the transfer of the asset to the held for sale category. The fact that the building had not been sold by September is not necessarily a concern, as 12 months have yet to elapse. However, this will be a matter for review next year.

  Audit procedures to gain assurance include:

  - reviewing management documentation (eg, correspondence with estate agent and minutes) which confirms management commitment to sell;
  - checking the building is available for immediate sale and not being used internally by the company;
  - checking the selling price is close to the market value of the buildings in the immediate area; and
  - checking the building is advertised for sale and for immediate transfer.

- The **issue of convertible loan stock** constitutes a compound financial instrument which needs to be split between its liability and equity components for presentation in the statement of financial position.

	£
Face value of convertible bonds	18,000,000
PVs of future cash flows of equivalent bonds with no conversion option	16,862,000 Liability
Equity (warrants) (difference between the above)	1,138,000 Equity

  - Audit procedures to gain assurance include:
    - reviewing the convertible bond certificate for the face value, interest and conversion terms; and
    - recalculating the present value of the cash flows relating to the equivalent bond without conversion options.
  - **Related parties** – As per IAS 24, given the materiality of the transactions involved, all details of the relationship between Tofalco plc and Sandstone Ltd need to be disclosed along with the particulars of the transactions within the notes to the financial statement.

    Audit procedures to gain assurance include:
    - obtaining a written representation from management that all related parties have been disclosed; and
    - reviewing invoice file to ensure that all transactions with Sandstone Ltd have been disclosed.

Effects of non-compliance on the audit risk and form of the auditor's report

- Refusal to provide full details means that we are unable to obtain sufficient appropriate evidence (a limitation on the scope of the audit). If the effect is deemed material, an 'except for' qualified opinion is given. If the effect is deemed 'pervasive', then a disclaimer of opinion is made to the effect that "We do not express an opinion …"
- Failure to disclose full remuneration constitutes a material misstatement (disagreement) in respect of a legal issue (we conclude that the financial statements are not free from material misstatement) and materiality by size is not a factor in this area. As the matter is material irrespective of the sums involved, then an 'except for' qualified opinion will be given.
- Refusal to recognise obligations under IAS 37 constitutes misstatement (disagreement). In the event that these costs are material, an 'except for' qualified opinion is required. In the event they are deemed pervasive, then an adverse opinion is required stating that the financial statements 'do not give a true and fair view'.

Terms of reference of working relationship with Investo Ltd

Terms need to cover key investment risks (eg, Tofalco must set guidelines and approve investment policy).

Internal controls with regards to the operation of the relationship (eg, weekly statements sent to company reconciled with third-party information – eg, contract notes, share certificates, stock exchange confirmation).

Value for money – fee comparability and return.

Impact on future audits

- Future audits will need to include procedures that address the fact that investment activities are outsourced to Investo.
- In reaching preliminary risk assessments, assessments will need to be made of the inherent, detection and control risks related to the investments balance and the terms of reference the client has with Investo Ltd.
- Controls and processes carried out by Tofalco in relation to Investo's services will need to be documented and tested (and if the risk is great enough, those present at Investo also).
- The investments balance may also require substantive testing and so the need to obtain underlying source documentation from Investo Ltd.

Ethical considerations

- Management integrity appears to be questionable in this assignment. Management will need to understand the importance of their behaviour and its implications on the audit and the relationship with the auditor.
- There appears to be non-compliance with the law with regard to environmental regulations and the disclosure of remuneration paid to related parties. These issues are non-negotiable and will lead to a modified audit opinion if not addressed by management.
- We should consider whether it is appropriate for us to accept this assignment given the problems outlined above. If we do decide to resign, we need to follow legal and professional procedures – eg, submitting a statement of circumstances to an AGM and addressing the AGM (if we wish).

Chapter 7

The statutory audit: evaluating and testing internal controls

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Introduction

2 Respective responsibilities of those charged with governance and auditors

3 Evaluating and testing internal controls

4 Service organisations

5 Internal controls in an IT environment

6 Cyber security and corporate data security

7 Communicating and reporting on internal control

Summary

Further question practice

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Analyse and evaluate the control environment for an entity based on an understanding of the entity, its operations and its processes
- Evaluate an entity's processes for identifying, assessing and responding to business and operating and governance risks as they impact on the financial statements
- Appraise an entity's accounting information systems and related business processes relevant to corporate reporting and communication including virtual arrangements and cloud computing
- Analyse and evaluate strengths and weaknesses of preventive and detective control mechanisms and processes, highlighting control deficiencies; including weaknesses related to cyber security and corporate data controls
- Evaluate controls relating to information technology and e-commerce; including controls associated with cyber security and corporate data security
- Explain and appraise the entity's system for monitoring and modifying internal control systems
- Devise, explain and evaluate tests of controls
- Explain the respective responsibilities of those charged with governance and auditors in respect of internal control systems

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Introduction** You need to remember the importance of internal controls and how they are relied upon by both the audited entity and the auditors themselves as part of sound governance.	**Approach** Be prepared to refer to earlier parts of the study materials. **Stop and think** Can you remember where we previously discussed internal controls?	This section is a reminder that you must always study your materials holistically and not consider each part in isolation.	N/A
2	**Respective responsibilities of those charged with**	**Approach** Work through this	You may be asked to explain these responsibilities and	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	governance and auditors An awareness of these responsibilities will assist the auditor in focusing on the controls necessary for the creation of the financial statements.	section with the auditing standards open book in front of you. **Stop and think** Did you remember all of the various definitions given here?	why they are different to a junior member of staff.	
3	**Evaluating and testing internal controls** You should be able to use tests of control as sources of valuable audit evidence.	**Approach** This will be revision from your previous studies. **Stop and think** Can you remember where you met this content before?	You should use the section on 'tests of controls' as a good recap of the type of audit procedures that a good test of control would contain.	N/A
4	**Service Organisations** If your audit client has outsourced some key financial functions, how do you make sure that you can still get the necessary audit evidence for your opinion?	**Approach** Work through this section with the auditing standards open book in front of you. **Stop and think** Can you tell the difference between type 1 and type 2 reports and do you know when each would be required?	Exam questions that test this content will be easy to spot but you will still need to explain first how service organisations create additional audit risk before you describe the impact it would have on your audit approach.	N/A
5	**Internal controls in an IT environment** When an entity uses IT systems that the auditor needs to access, the auditor needs to understand the various controls in place that govern the way the IT works, regardless of the data being processed and	**Approach** While this may be revision, it is still important to be able to differentiate general and application controls. **Stop and think** You should consider how cutting edge technology like	While there may be some IT-specific aspects that you will need to explain in an exam question (such as general and application controls that may be necessary in a given scenario) you may also be asked to discuss the impact that introducing new technology	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	stored.	generative AI fits into the application of data analytics.	(such as cloud computing) might have on a client and its accounting systems.	
6	**Cyber security and corporate data security** This is vital area for all professionals, not just those who work in finance.	**Approach** Work through this section, paying particular attention to the content on GDPR and the advice on how to protect yourself from cyber threats. **Stop and think** Can you think of a situation that either you or an organisation you are familiar with was affected by any of these issues?	Questions on this topic could take many forms, such as an assessment of how well-prepared an organisation is (or is not) against some form of cyber attack, or requesting advice on how an organisation could implement such procedures.	**IQ1: NewForm Ltd** Use this as good practice for evaluating the audit risks from an IT- based environment and explaining how IT application controls can be used in a specific part of the organisation's systems.
7	**Communicating and reporting on internal control** Although the main purpose of the audit is not to identify deficiencies in internal control, should any be identified as a result of the audit work completed, the auditor needs to pass this information on to those charged with governance.	**Approach** You covered this in your previous studies so this should be revision. **Stop and think** Can you explain what makes a deficiency in internal control significant?	You may be asked to explain deficiencies in internal control so make sure you can communicate the reasons why they are deficiencies and what the audited entity should do to address them.	N/A

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Introduction

Section overview

- An entity's system of internal controls informs the auditor's assessment of audit risk and the nature of the audit procedures that would be undertaken during the audit fieldwork stage.
- In addition to the auditing standards, corporate governance codes (such as the UK Corporate Governance Code and the Sarbanes–Oxley Act) also prescribe the respective responsibilities of the auditor and those charged with governance with regards to internal controls.

Internal control is an essential aspect of the entity about which the auditor must gain an understanding at the start of the audit. The effectiveness of the system of internal controls informs the auditor's risk assessment and, consequently, the audit procedures to be carried out at the audit fieldwork stage. Therefore, internal control will have to be considered throughout the audit life cycle – from planning to finalisation and reporting.

In this chapter, we will revise the auditor's responsibilities with regards to the system of internal control and the consideration of internal controls at different stages of the audit. We will then have a closer look at the implications of service organisations, and the risks and benefits of internal controls in an IT environment.

As you will have seen already, internal control is central to corporate governance. Therefore, we will regularly refer back to our discussions on corporate governance in Chapter 4.

CHAPTER 7

2 Respective responsibilities of those charged with governance and auditors

Section overview

- Auditors are responsible for obtaining audit evidence that provides reasonable assurance that the financial statements are free of material misstatements, some of which may be caused by error.
- Management are responsible for designing and implementing a system of internal control which is capable of preventing, or detecting and correcting, errors in the financial records.
- Auditors are required to assess the system of internal control as part of their audit in order to determine whether to rely on the system of controls or carry out extended tests of details.

2.1 Responsibilities of those charged with governance

As you no doubt already know, the responsibility for the design, implementation and maintenance of an effective system of internal control, one that is capable of preventing, or detecting and correcting, errors in the financial records, lies with those charged with governance (TCWG).

Let's revise some key definitions.

Definitions

Those charged with governance: The person(s) or organisation(s) (for example, a corporate trustee) with responsibility **for overseeing the strategic direction** of the entity and obligations related to the **accountability** of the entity. This includes overseeing the financial reporting process. For some entities in some jurisdictions, those charged with governance may include management personnel, for example, executive members of a governance board of a private or public sector entity, or an owner-manager.

Error: An unintentional misstatement in financial statements, including the omission of an amount or a disclosure.

Internal control: A process designed, implemented and maintained by those charged with governance, management, and other personnel to provide reasonable assurance about the achievement of the entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations and compliance with applicable laws and regulations. It follows that internal control is designed and implemented to address identified business risks that threaten the achievement of any of these objectives.

2.2 Auditor's responsibilities

As we outlined in your earlier studies, the auditor is required to do the following:

- Assess the system of internal controls to determine whether they are capable of preventing or detecting and correcting errors (ISA 315)
- Test the internal controls if required (ISA 330)
- Report deficiencies in internal control to TCWG where they have been identified (ISA 265)

As part of assessing the system of internal controls as part of audit risk assessment, the auditor must do the following:

- Obtain an understanding of controls relevant to the audit
- Evaluate the design of those controls
- Determine whether they have been implemented

The auditor must then test controls if:

- the auditor intends to rely on the operating effectiveness of those controls; or
- substantive procedures alone cannot provide sufficient, appropriate audit evidence.

Finally, the auditor must determine whether the audit work has identified any deficiencies in internal control and, where these deficiencies are significant, communicate the significant deficiencies to TCWG in writing on a timely basis.

In the following sections, we will look at each of these stages in further detail.

Effective internal controls form a crucial part of good corporate governance. For a more detailed discussion on the importance of internal controls, and the auditor's role in relation to internal controls, please refer back to Chapter 4.

3 Evaluating and testing internal controls

Section overview

Sources of audit evidence include tests of controls.

3.1 Evaluation of internal controls for audit purposes: revision

Understanding an entity's internal control assists the auditor in identifying types of potential misstatements and factors that affect the risks of material misstatement, and in designing the nature, timing and extent of further audit procedures.

Step 1 Initially, the auditor must determine which controls are **relevant to the audit**. There is a direct relationship between an entity's objectives and the controls it implements to provide reasonable assurance about their achievement. Many of these controls will relate to financial reporting, operations and compliance, but not all the entity's objectives and controls will be relevant to the auditor's risk assessment.

Step 2 While gaining an understanding of internal controls, the auditor must evaluate the design of the relevant controls, and determine whether the controls are properly implemented.

Evaluating the design of a control involves considering whether the control, individually or in combination with other controls, is capable of effectively preventing, or detecting and correcting, material misstatements.

Implementation of a control means that the control exists and that the entity is using it.

Step 3 Having determined which controls are relevant, and are adequately designed to aid in the prevention of material misstatements in the financial statements, the auditor can then decide whether it is more efficient to place reliance on those controls and perform tests of controls in that area, or to perform substantive testing over that area.

Step 4 If the controls are not adequately designed, the auditor needs to perform sufficient substantive testing over that financial statement area in light of the apparent lack of control and increased risk. Any deficiencies are noted and, where appropriate, these will be communicated to management.

ISA 315 (Revised) **Appendix 3** divides the system of internal control into **five elements:**

- The control environment
- The entity's risk assessment process
- The entity's process to monitor the system of internal control
- The information system and communication
- Control activities

3.2 Tests of controls: revision

You will have covered **tests of controls** in your earlier studies. The following section provides a **summary** of the key points.

Testing of controls means obtaining sufficient, appropriate audit evidence about the operating effectiveness of the controls in preventing or detecting and correcting material misstatements.

Evidence will be required to show that:

- controls were applied at relevant times during the year; and
- those controls were applied consistently (eg, because controls were performed by different people or in different locations).

Tests of control may include the following.

(a) **Inspection of documents** supporting controls or events to gain audit evidence that internal controls have operated properly eg, verifying that a transaction has been authorised.

(b) **Enquiries about internal controls** which leave no audit trail eg, determining who actually performs each function, not merely who is supposed to perform it.

(c) **Reperformance of control procedures** eg, reconciliation of bank accounts, to ensure they were correctly performed by the entity.

(d) **Examination of evidence of management views** eg, minutes of management meetings.

(e) Testing of internal controls operating on **computerised systems** or over the overall information technology function eg, access controls.

(f) **Observation of controls** to consider the manner in which the control is being operated.

Auditors should consider the following:

- **How** controls were applied
- The **consistency** with which they were applied during the period
- **By whom** they were applied

Tests of controls are distinguished from substantive procedures which are designed to detect material misstatements in the financial statements.

Deviations in the operation of controls (caused by change of staff etc) may increase control risk and tests of control may need to be modified to confirm effective operation during and after any change.

Audit procedures will include the test of control and then other procedures (eg, substantive and/or analytical procedures) to confirm the operating effectiveness of that control. Overall, audit procedures may be limited where automated processing is involved, as control errors are less likely eg, computers tend to make fewer mistakes than humans after a given procedure has been correctly programmed.

The use of automated tools and techniques (ATTs) is referred to below.

Please also refer back to Chapter 4 for the auditor's responsibilities for the evaluation of internal controls from a corporate governance perspective.

3.2.1 Relationship between tests of controls and risk assessment procedures

Testing of controls should not be confused with risk assessment procedures which were performed earlier in the audit to assess the design and implementation of controls. However, in some situations risk assessment procedures may provide persuasive evidence on the operation of controls. For example, management review of budgets and investigation of variances on a regular basis is indicative that controls over sales and purchases are operating effectively.

3.2.2 Conclude on the achieved level of control risk

When control testing is complete, **residual audit risk** to be obtained from substantive testing **must be determined**. To determine the remaining detection risk the auditor will use:

- The achieved level of control risk; and
- the assessed level of inherent risk.

This detection risk is then used to decide the **nature and timing of the remaining substantive testing**.

Professional skills focus: Applying judgement

Evaluating the outcome of tests of control will require an understanding of the implications for the audit overall. This in turn will require sound skills of judgement.

4 Service organisations

Section overview

Where the auditor's client uses a service organisation, the auditor may need to obtain evidence of the accuracy of processing systems within a service organisation.

Definition

Service organisation: A third-party organisation that provides services to user entities that are part of those entities' information systems relevant to financial reporting.

ISA 402, *Audit Considerations Relating to an Entity Using a Service Organisation* provides guidance on how auditors carry out their responsibility to obtain sufficient, appropriate audit evidence when the audit client (called the 'user entity' in the standard) uses such an organisation.

The ISA mentions the following service organisation services that may be relevant to the audit (this is not an exhaustive list):

- Maintenance of accounting records
- Other finance functions, such as the tax compliance function
- Management of assets
- Undertaking or making arrangements for transactions as agents of the user entity

4.1 Requirements of the user auditor

Definition

User auditor: An auditor who audits and reports on the financial statements of a user entity.

The ISA states that the objective of the auditor is 'to obtain an understanding of the nature and significance of the services provided by the service organisation and their effect on the user entity's system of internal control relevant to the audit, sufficient to identify and assess the risks of material misstatement' (ISA 402.7).

The ISA requires the auditor to understand how the user entity uses the services of the service organisation. In obtaining an understanding of the entity, the auditor shall consider the following:

(a) The **nature of the services** provided by the service organisation

(b) The **nature and materiality** of the transactions processed or accounts or financial accounting processes affected by the service organisation

(c) The degree of **interaction** between the activities of the service organisation and those of the user entity

(d) The **nature of the relationship** between the user entity and the service organisation, including the **contractual terms**

(e) If the service organisation maintains all or part of a user entity's accounting records, whether those arrangements impact the work the auditor performs to fulfil reporting responsibilities in relation to accounting records

When obtaining an understanding of internal control the auditor shall:

(a) evaluate the design and implementation of controls at the user entity that relate to the services provided by the service organisation; and

(b) determine whether this gives sufficient understanding of the effect of the service organisation on the user entity's internal control to provide a basis for the identification and assessment of risks of material misstatement.

If not then the auditor shall do one or more of the following:

(a) Obtain a report from the service organisation's auditors (there are two different types of report, see below)

(b) Contact the service organisation, through the user entity

(c) Visit the service organisation and perform procedures that will provide information about the relevant controls

(d) Use another auditor to perform procedures that will provide information about the relevant controls

4.2 Using reports from service auditors



Definitions

Type 1 report: A report that comprises both of the following:

- A description, prepared by management of the service organisation, of the service organisation's system, control objectives and related controls that have been designed and implemented as at a specified date
- A report by the service auditor with the objective of conveying reasonable assurance that includes the service auditor's opinion on the description of the service organisation's system, control objectives and related controls and the suitability of the design of the controls to achieve the specified control objectives

Type 2 report: A report that comprises both of the following:

- A description, as in a Type 1 report of the system and controls, of their design and implementation as at a specified date or throughout a specified period and, in some cases, their operating effectiveness throughout a specified period
- A report by the service auditor with the objective of conveying reasonable assurance that includes:
  - the service auditor's opinion on the description of the service organisation's system, control objectives and related controls, the suitability of the design of the controls to achieve the specified control objectives, and the operating effectiveness of the controls; and
  - a description of the service auditor's tests of the controls and the results thereof.

The availability of a report on internal controls generally depends on whether the provision of such a report is part of the contractual terms between the user entity and the service organisation.

Before placing reliance on the report, the user auditor shall do the following:

- Consider the service auditor's **professional competence and independence** from the service organisation
- Consider the **adequacy of the standards** under which the report was issued
- Evaluate whether the **period covered** is appropriate for the auditor's purposes
- Evaluate the **sufficiency and appropriateness** of the report for the understanding of the internal controls relevant to the audit
- Determine whether the user entity has implemented any **complementary controls** that the service organisation, in the design of its service, has assumed will be implemented

While a Type 1 report may be useful to a user auditor in gaining the required understanding of the accounting and internal control systems, an auditor would not use such reports as a basis for reducing the assessment of control risk.

But a Type 2 report may provide such a basis since tests of control have been performed. If this type of report may be used as evidence to support a lower control risk assessment, a user auditor would have to consider whether the controls tested by the service organisation auditor are relevant to the user's transactions (significant assertions in the client's financial statements) and whether the service organisation auditor's tests of controls and the results are adequate.

4.3 Responding to the risks of material misstatement

The user auditor shall:

- determine whether sufficient, appropriate audit evidence concerning the relevant assertions is available from **records held at the user entity**; and if not
- perform further procedures (or use another auditor to perform those procedures at the service organisation on the user auditor's behalf).

4.3.1 Tests of controls

This evidence can be obtained by one or more of the following procedures:

- Obtaining a Type 2 report, if available
- Performing tests of controls at the service organisation
- Using another auditor to perform tests of controls at the service organisation

4.3.2 Substantive procedures

The following procedures may be considered by the auditor:

- Inspecting documents and records held by the user entity
- Inspecting documents and records held by the service organisation (access to records held by the service organisation may be established as part of the contractual arrangement between the user entity and the service organisation)
- Obtaining confirmation of balances and transactions from the service organisation where the user entity maintains independent records of balances and transactions
- Performing analytical procedures on the records maintained by the user entity or on the reports received from the service organisation

- Where a **significant proportion of the audit evidence** is located at the service organisation, substantive procedures may need to be performed at the service organisation by the user auditor or by another auditor on behalf of the user auditor

4.4 Reporting by the user auditor

4.4.1 Modified opinions

If the user auditor is unable to obtain sufficient, appropriate evidence a modified audit opinion may be required. This could be the case when:

- the user auditor is unable to obtain a sufficient understanding of the services provided by the service organisation and does not have a basis for assessing the risks of material misstatement;
- the user auditor's risk assessment includes an expectation that the controls at the service organisation are operating effectively and the user auditor is unable to obtain sufficient appropriate evidence about the operating effectiveness of these controls; or
- sufficient, appropriate evidence is only available from records held at the service organisation, and the user auditor is unable to obtain direct access to these records.

4.4.2 Reference to the work of service auditors

The user auditor **shall not refer to the work of a service auditor** in the user auditor's report containing an **unmodified opinion** unless required by law or regulation to do so. (If such a reference is required, the user auditor's report must indicate that this does not diminish the user auditor's responsibility for the audit opinion.)

If reference to the work of a service auditor is **relevant to an understanding of a modification** to the user auditor's opinion, the user auditor's report must indicate that this does not diminish the user auditor's responsibility for the audit opinion.

5 Internal controls in an IT environment

Section overview

- IT controls comprise general and application controls. General controls establish a framework of overall control over the system's activities whereas application controls are specific controls over the applications maintained by the system.
- Automated tools and techniques (ATTs) can be used by the auditor to test application controls within the client's computer systems.
- Specific considerations will apply where virtual arrangements including cloud computing are used.

5.1 Introduction

We looked at IT-specific risks in the context of carrying out an audit risk assessment in Chapter 5, and introduced the use of ATTs in Chapter 6. Here, we will consider IT controls in more detail, along with how to audit them.

As you should know by now, the internal control activities in a computerised environment fall within two categories: **general controls** and **application controls**.

5.2 General controls

The purpose of general IT controls is to establish a **framework of overall control** over the computer information system's activities to provide a reasonable level of assurance that the overall objectives of internal controls are achieved. They include controls over access security, data centre and network operations, software acquisition, change and maintenance, and application system acquisition, development and maintenance. They are sometimes referred to as supervisory, management or information technology controls. General controls are considered in detail below.

General controls	
Development of computer applications	Standards over systems design, programming and documentation Full testing procedures using test data Approval by computer users and management Segregation of duties so that those responsible for design are not responsible for testing Installation procedures so that data is not corrupted in transition Training of staff in new procedures and availability of adequate documentation
Prevention or detection of unauthorised changes to programs	Segregation of duties Full records of program changes Password protection of programs so that access is limited to computer operations staff Restricted access to central computer by locked doors, keypads Maintenance of program logs Virus checks on software: use of anti-virus software and policy prohibiting use of non-authorised programs or files Back-up copies of programs being taken and stored in other locations Control copies of programs being preserved and regularly compared with actual programs Stricter controls over certain programs (utility programs) by use of read-only memory
Testing and documentation of program changes	Complete testing procedures Documentation standards Approval of changes by computer users and management Training of staff using programs
Controls to prevent wrong programs or files being used	Operation controls over programs Libraries of programs Proper job scheduling
Controls to prevent unauthorised amendments to data files	Physical security over remote terminals Limited access to authorised personnel only Firewalls User identification controls such as passwords Encryption of data

General controls	
Controls to ensure continuity of operation	Storing extra copies of programs and data files offsite Protection of equipment against fire and other hazards Back-up power sources Emergency procedures Disaster recovery procedures eg, availability of back-up computer facilities Maintenance agreements and insurance

The auditors will wish to test some or all of the above general controls, having considered how they affect the computer applications significant to the audit.

General IT controls that relate to some or all applications are usually interdependent controls, ie, their operation is often essential to the effectiveness of application controls. As application controls may be useless when general controls are ineffective, it will be more efficient to review the design of general IT controls first, before reviewing the application controls.

General IT controls may have a pervasive effect on the processing of transactions in application systems. If these general controls are not effective, there may be a risk that misstatements occur and go undetected in the application systems. Although deficiencies in general IT controls may preclude testing certain IT application controls, it is possible that **manual procedures** exercised by users may provide effective control at the application level.

5.3 Application controls

The purpose of application controls is to establish **specific control procedures over the accounting applications** in order to provide reasonable assurance that all transactions are authorised and recorded, and are processed completely, accurately and on a timely basis. Application controls include data capture controls, data validation controls, processing controls, output controls and error controls. Examples of application controls are shown in the table below.

Application controls	
Controls over input: completeness	Manual or programmed agreement of control totals Document counts One for one checking of processed output to source documents Programmed matching of input to an expected input control file Procedures over resubmission of rejected items
Controls over input: accuracy	Programs to check data fields (for example value, reference number, date) on input transactions for plausibility Digit verification (eg, reference numbers are as expected) • Reasonableness test (eg, sales tax to total value) • Existence checks (eg, customer name) • Character checks (no unexpected characters used in reference) • Necessary information (no transaction passed with gaps) • Permitted range (no transaction processed over a certain value) Manual scrutiny of output and reconciliation to source Agreement of control totals (manual/programmed)

Application controls	
Controls over input: authorisation	Manual checks to ensure information input is: • authorised; and • input by authorised personnel.
Controls over processing	Similar controls to input must be in place when input is completed, for example, batch reconciliations Screen warnings can prevent people logging out before processing is complete
Controls over master files and standing data	One to one checking Cyclical reviews of all master files and standing data Record counts (number of documents processed) and hash totals (for example, the total of all the payroll numbers) used when master files are used to ensure no deletions Controls over the deletion of accounts that have no current balance

Control over input, processing, data files and output may be carried out by IT personnel, users of the system, a separate control group and may be programmed into application software.

5.4 The use of ATTs

Automated tools and techniques (ATTs) can assist the auditor in testing **IT controls**. As you will know from your earlier audit studies, there are generally two main types of ATTs: **audit software** and **test data**.

Audit software includes **generalised audit software** and **custom audit software**. Generalised audit software includes programs that allow the auditor to carry out tests on computer files and databases. An example of a generalised audit software program is ACL.

Generalised audit software allows auditors to perform a number of functions, such as database access, sample selection, arithmetic functions, statistical analyses and report generation.

The advantages of generalised audit software include the fact that it is easy to use, limited IT programming skills are needed, the time required to develop the application is relatively short, and entire populations can be examined, thus negating the need for sampling. However, the drawbacks of using this type of ATT are that it involves auditing **after the client has processed the data** rather than while the data is being processed, and it is limited to procedures that can be performed on data that is available electronically.

Custom audit software is normally **written by auditors for specific audit tasks**. It is normally used in situations where the client's computer system is not compatible with the auditor's generalised audit software or where the auditor wants to do some testing that might not be possible with the generalised audit software. However, this type of ATT can be **expensive and time consuming** to develop and may require a lot of modification if the client changes its accounting application programs.

Test data is used to test the **application controls in the client's computer programs**. Test data is first created for processing and it includes both valid and invalid data which is processed on the client's computer and application programs. The invalid data should therefore be highlighted as errors. Test data allows the auditor to check data validation controls and error detection routines, processing logic controls, arithmetic calculations and the inclusion of transactions in records and files.

The main benefit of test data is that it provides **direct evidence** on the effectiveness of controls in the client's application programs. However, its drawbacks include the fact that it is very time consuming to create the test data, the auditor cannot be certain that all relevant controls are tested and the auditor must make sure that **all valid test data is removed from the client's systems**.

In the table below, we briefly examine ways of testing IT controls, including the use of ATTs to do so.

Testing of IT controls	
Manual controls exercised by the user	If manual controls exercised by the user of the system are capable of providing reasonable assurance that the system's output is complete, accurate and authorised, the auditors may decide to limit tests of control to these manual controls.
Controls over system output	If, in addition to manual controls exercised by the user, the controls to be tested use information produced by the computer or are contained within computer programs, such controls may be tested by examining the system's output using either manual procedures or ATTs. Such output may be in the form of digital or hard copy reports. Alternatively, the auditor may test the control by performing it with the use of ATTs.
Programmed control procedures	In the case of certain computer systems, the auditor may find that it is not possible or, in some cases, not practical to test controls by examining only user controls or the system's output. The auditor may consider performing tests of control by using ATTs, such as test data, reprocessing transaction data and, in unusual situations, examining the coding of the application program.
Using Artificial Intelligence (AI)	AI-powered tools (such as DataSnipper and MindBridge) now exist that allow the auditor to deploy smart analytical technology that provides a more efficient approach to testing larger populations with greater speed and improved quality.

5.5 Virtual arrangements and cloud computing

Where an audit client uses virtual arrangements and/or cloud computing there are a number of specific risks and control issues which the auditor needs to address. The ICAEW Information Technology Faculty document *Cloud Adoption: Understanding the Risk of Cloud Services* is a guide for small businesses considering the adoption of a cloud-based strategy, however many of the issues it raises would also be relevant to the auditor when appraising an entity's system. The following questions would be relevant as part of this process:

Back-ups

- Does the cloud service take regular back-ups of client data?
- Does the client have its own back-up strategy?
- Is the cloud service's process for restoring data regularly tested?
- Is there a service level agreement regarding data assurance and does the cloud service perform exercises to ensure that these can be met?

Security

- Is the platform regularly given to third-party 'penetration testers' for potential vulnerabilities, who vigorously test the platform to determine whether an attacker could gain unauthorised access?
- Is there an adequate process in place in the event of a security breach being determined?
- Is data held on the platform stored in an encrypted format?
- Is payment data held on a PCI-DSS compliant platform?
- Are there recognised, standard working processes and procedures in place and adopted (eg, are ISO accreditations held)?
- Is the platform protected against 'denial of service' attacks, where attackers could prevent access to the service indefinitely by flooding the platform with erroneous traffic or requests for information?

Compensation for loss

- Are compensation levels for loss of data written into agreements?

Using the service

- Are there contractual commitments regarding availability of service and performance levels?
- What is the provider's capability to develop new features ie, is there a realistic roadmap?
- To what extent are features integrated?
- Are responsibilities for ongoing support documented?

What about the adoption of technology and its impact on the talent required for audits to occur – will the adoption of technology such as cloud computing mean that we no longer need auditors? An ICAEW Insights article Using technology to optimise audit talent from 2023 makes the following points:

- ***Cloud-based solutions** have democratised the auditing profession due to increasing the availability of flexible and affordable solutions that can be deployed by almost any firm*
- ***AI** allows the auditor to switch from the detailed analytical work on, eg, journals testing, and allow the technology to identify risks in line with sophisticated parameters*
- *Technology such as **blockchain** still requires skilled audit of the underlying code despite its content being a matter of public record*
- ***Data analytics techniques** (including visualisation) can be applied to larger and more complex populations using AI to complete more sophisticated analysis, leading to further evolution of the auditor's skillset*

(ICAEW, 2023)

Professional skills focus: Assimilating and using information

Being able to differentiate between general and application controls will allow the auditor to assess a system and how robust it is. This demonstrates the ability to assimilate information about the system for the purpose of evaluating the system.

6 Cyber security and corporate data security

Section overview

Businesses need to keep their data secure whether it is in hard copy or electronic format. As business operations increasingly use digital technology the issue of cyber security is an essential consideration as part of the audit.

6.1 Introduction

There has always been a need for companies to keep information, or data, safe. This might be to ensure confidentiality of customer details, to protect company 'secrets' or to ensure the integrity of data. Where records and data are held in a hard copy format, as would have been the case in the past, data security centres around physical security. This might simply involve a lock on a filing cabinet. Increasingly, however, data is stored electronically. As a result, if a business is to keep its data secure it must address the issue of cyber security. Addressing cyber security threats will be a key part of its corporate data security strategy.

6.2 Nature and consequences of cyber threats

One of the key issues which is transforming the current IT risk landscape is cyber security. As companies are increasingly involved in digital technology, mobile technology and cloud computing so the associated risks have also increased. Potential threats may arise from a number of sources. The Deloitte publication *Cybersecurity: The Changing Role of the Audit Committee and Internal Audit* identifies these as follows:

- Cyber criminals
- Hactivists (agenda driven)
- Nation states
- Insiders/partners
- Competitors
- Skilled individual hacker

It also identifies the following risks resulting from an attack:

- Theft of IP/strategic plans
- Financial fraud
- Reputational damage
- Business disruption
- Destruction of critical infrastructure
- Threats to health and safety

(Deloitte, 2015)

The ICAEW IT Faculty document, *Audit insights: Cyber Security – Taking Control of the Agenda*, highlights the constantly evolving nature of cyber risks as follows:

- Threats change as attackers get more sophisticated and find new ways of breaking into systems. New attackers also emerge, as easy-to-use tools reduce the level of skill required to carry out attacks.

- Vulnerabilities change as businesses digitally transform their business models and ways of working, potentially creating new weaknesses in business processes eg, mobile ways of working, or adoption of the internet of things.
- Existing controls and assurance models are superseded by new approaches. For example, moving to cloud-based systems has made traditional assurance models around IT controls more difficult to apply.
- The impact of failures increases as businesses capture more data and rely more heavily on digitally-based services. A slow or poor response to a major breach is very quickly and publicly shared over social media, increasing at least short-term reputational damage.

In addition there are increasing amounts of regulation, particularly regarding data protection and personal data which companies need to consider. For example, new or forthcoming legislation in the EU includes the following:

- The General Data Protection Regulation (GDPR), enacted by the European Union in May 2018, stands as a benchmark in data protection legislation, influencing numerous countries worldwide. It mandates adherence to core principles including transparency, legality, integrity, confidentiality, accountability, accuracy, and storage limitations. Within the GDPR, data is classified into various categories such as physical, physiological, mental, genetic, economic, social, and cultural. Personal data, defined as information capable of identifying an individual, necessitates the maintenance of processing records to demonstrate compliance.
- In the UK the **General Data Protection Regulation** (**GDPR**) came into force in the UK on 25 May 2018, bringing it in line with the rest of the EU where similar legislation already exists. The GDPR updates and replaces the existing regulatory framework around the protection and use of personal data (see section 6.2.1 below for an overview of this legislation)
- The **Network Information Security** (**NIS**) directive, which specifies obligations regarding cyber security in certain industry sectors, largely associated with the critical national infrastructure and major information processing activities

In June 2014 the Bank of England announced a new framework for cyber-security testing in the financial services sector and the Information Commissioner is becoming more proactive in examining the privacy policies of major technology companies such as Facebook.

(ICAEW, 2016)

The number of high profile cases of breaches which have been reported in the press demonstrates the challenging environment in which companies now operate. For example in 2023, online services provider Comcast suffered a breach in one of its companies Xfinity where the personal data of almost 36 million customers was compromised. This was found to stem from a vulnerability in software provided by Citrix, a cloud computing company.

(Hale, K., 2024)

6.2.1 UK GDPR

This section has been incorporated so that students can learn from international regulations as Bangladesh regulations are still emerging. The following table summarises the key points that are relevant to all accountants in this area.

GDPR components	Implications in practice for accountants
Organisations must only collect **personal data** (including **sensitive personal data**, such as biometric data used to identify an individual) when it can demonstrate that it	Data can only be obtained for a **legitimate business need** and cannot be collected in case it might be useful at some stage in the future. This means that accountants need to

GDPR components	Implications in practice for accountants
has a **valid business need** for that data. The GDPR distinguishes between data **controllers** who specify how and why data is processed and data **processors** who act on the controller's behalf and deal directly with data itself. Both are liable under the GDPR.	consider carefully what data they really need and be able to justify it: • This includes data on employees, customers and suppliers for all accountants and firms • For firms, this also includes the details of any testing completed (eg, payroll and supplier statements)
Personal data must be **stored** securely. It must then be **deleted** when it is no longer required.	This can include both **physical** storage of data (eg, in filing cabinets) and **electronic** storage – given the vast amounts of data generated in the 21st Century due to advances in technology such as big data and audit data analytics, this creates a significant risk for all accountants, especially as many organisations now use 'cloud-based' data storage.
All organisations need to **demonstrate** how they have **complied** with the GDPR – essentially this means accountability and transparency of all data usage. **Governance** protocols require the completion of a Data Protection Impact Assessment (DPIA) in situations when risk is enhanced (such as when using new technology or when processing might lead to a high risk to individuals). **Breaches** in the GDPR also need to be disclosed – fines for non-compliance can reach either €20 million or 4% of an organisation's global turnover.	**Non-compliance** is obviously a significant issue for all accountants, given the potential size of the fines that could be levied. Being able to demonstrate compliance requires an understanding of the original **purpose** for collecting such data to ensure that it is **lawful** and that **consent** was obtained from individuals before any personal data is collected.
The GDPR confers a series of **rights** on anyone whose personal data may be collected by an organisation: • The right to be **informed** (usually via some form of privacy notice) • The right of **access** to your personal data and confirmation that it is being used • The right of **rectification** if errors exist • The right of **erasure** (sometimes referred to as 'the right to be forgotten') • The right to **restrict processing** should you not wish your data to be used • The right to **data portability** across different services should you wish • The right to **object** (for example if you object to your data being used for marketing purposes) • Rights in relation to **automated decision-making and profiling** (essentially, to ensure that all decisions about your data are made using human not machine judgement) Any non-compliance in relation to any of these rights may lead to fines and penalties, so they should form part of any DPIA carried out.	

(ICO, 2017)

Bangladesh does not yet have a data protection regime as developed and comprehensive as the General Data Protection Regulation (GDPR) in the European Union or the UK GDPR in the United Kingdom. However, the country has increasingly recognized the importance of personal data protection and has been taking steps to establish a modern legal framework for privacy and data governance. Historically, Bangladesh has relied on a combination of constitutional protections, sector-specific regulations, and digital security laws to address privacy-related issues.

The Constitution of Bangladesh provides a foundational right to privacy by protecting the privacy of citizens' homes, correspondence, and communications. Although this constitutional protection establishes an important principle, it does not provide the detailed rights, obligations, and enforcement mechanisms found in comprehensive data protection laws such as the GDPR. As a result, privacy regulation in Bangladesh has traditionally been fragmented rather than centralized.

In recent years, Bangladesh has moved toward adopting a dedicated personal data protection framework. The proposed Personal Data Protection legislation, including recent drafts and ordinances, seeks to introduce concepts similar to international standards such as lawful processing of personal data, consent requirements, rights of individuals over their personal data, obligations of data controllers and processors, and rules governing cross-border data transfers. Once fully enacted and implemented, this legislation is expected to become the principal legal framework for data protection in Bangladesh.

Alongside these developments, Bangladesh has enacted laws such as the Cyber Security Act 2023, which focuses primarily on cybercrime prevention, digital security, and protection of critical information infrastructure. While such legislation addresses misuse of digital information and unauthorized access to data, its primary purpose differs from that of data protection laws, which are designed mainly to safeguard individual privacy and regulate lawful data processing.

Therefore, although Bangladesh is still developing its data protection framework, the country is clearly moving toward a more structured and comprehensive privacy regime. Businesses operating in Bangladesh should closely monitor these legal developments and begin aligning their practices with international data protection principles to ensure future compliance and strengthen public trust.



Context example: TikTok

In April 2023, the UK Information Commissioner's Office (ICO) imposed a fine of £12.7 million on social media platform TikTok in relation to a number of breaches of data protection legislation. The ICO estimates that TikTok allowed up to 1.4 million UK children under 13 to use its platform in 2020, despite its own rules not allowing children that age to create an account.

UK data protection law says that organisations that use personal data when offering information society services to children under 13 must have consent from their parents or carers. TikTok failed to do that, even though it ought to have been aware that under 13s were using its platform. TikTok also failed to carry out adequate checks to identify and remove underage children from its platform.

The ICO investigation found that a concern was raised internally with some senior employees about children under 13 using the platform and not being removed. In the ICO's view TikTok did not respond adequately.

(ICO, 2023)

In the twelve months up to the time of writing, there have been 80 instances of enforcement action taken by the ICO including 33 reprimands and 22 monetary penalties. In most cases, the fines are not as significant as those imposed on TikTok. However, they can still present a very real threat to the individuals affected and the ICO's sanctions are designed to serve as a deterrent. For example:

- *The Ministry of Defence was fined £350,000 in February 2024 for inadvertently sending emails using the 'To' field rather than the 'BCC' field which led to 265 unique email addresses being shared, which is a breach of GDPR.*
- *In May 2024, the Police Service of Northern Ireland (PSNI) was fined £750,000 for accidentally publishing personal data for 9,483 staff when a spreadsheet was shared following a freedom of information request.*

The more that data and technology is used for routine work, the greater the risk non-compliance could present.

6.3 Corporate governance and cyber security

6.3.1 Board of directors

Although there is no specific guidance as such (eg, in Corporate Governance Codes) the ultimate responsibility for risk assessment and control, from whatever source lies with the board of directors. In larger organisations responsibility for cyber security may lie specifically with the chief information security officer (CISO). In many smaller organisations it may be the CEO or a chief risk officer.

6.3.2 Audit committee

As the Deloitte publication *Cybersecurity: The Changing Role of the Audit Committee and Internal Audit* explains, the audit committee may perform a useful role in "overseeing risk management activities and monitoring management's policies and procedures" (Deloitte, p.5).

Responsibilities might include:

- setting expectations and accountability for management;
- assessing the adequacy of resources; and
- liaising with other groups in enforcing and communicating expectations regarding security and risk.

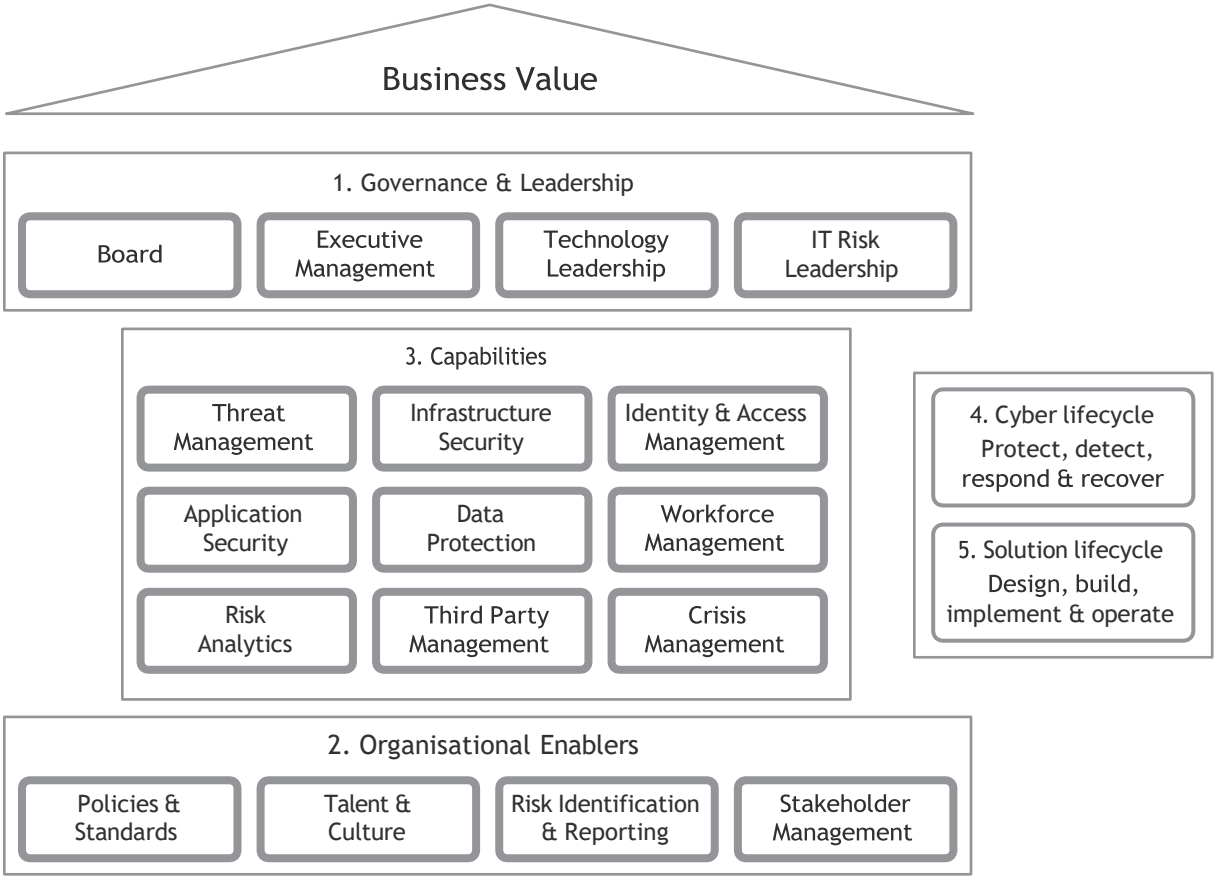
6.3.3 Internal audit function

The internal audit function can aid in the identification of the company's strengths and weaknesses. It can evaluate whether there is effective cyber risk management and also evaluate and review cyber security related controls.

6.4 Cyber risk management

The Deloitte publication suggests that organisations adopt the following 'Framework for Cyber Risk Management'.

Figure 7.1: Framework for cyber risk management



The five functions (governance and leadership, organisational enablers, capabilities, cyber lifecycle and solution lifecycle) provide a 'strategic view of an organisation's management of cyber security risks'.

The ICAEW IT Faculty document, *Audit insights: Cyber Security – Taking Control of the Agenda* refers to the 'three lines of defence' model. This applies controls, assurance and oversight at three different levels in the organisation as follows:

- The first line is at an operational level, with controls built into processes and local management responsible for their operation in practice ie, identifying and managing risks on a day-to-day basis.
- The second line is at functional specialism level, for example the role of cyber-security specialists and a chief information officer ie, providing oversight and expertise.
- The third line is at the level of internal audit functions or independent assurance providers ie, providing assurance and challenge concerning the overall management of the risks.

6.5 Risks external to the entity

As identified in the ICAEW IT Faculty document: *Audit insights: Cyber Security – Closing the Cyber Gap* the issue is becoming an increasingly relevant aspect of supply chain risk management as many high profile security breaches have come as a result of issues at suppliers, including IT service providers, suppliers of non-IT goods and services and contractors. Obtaining assurance in this respect is not an easy process meaning that

companies are having to identify where the biggest risk lies rather than simply focusing on the highest value suppliers. In addition, companies have had to consider widening the scope of assurance processes so that they apply to all stages of the transaction, rather than just at the procurement stage as has historically been the case. The most common method used, particularly by large companies, is questionnaires which are sent to suppliers to enable their processes to be evaluated and risks identified.

6.6 Cyber security economics

Implementing effective cyber security measures is expensive and boards need to be able to justify the level of expenditure to their shareholders. This can be difficult particularly in an environment where increased investment does not appear to prevent breaches. In the past costs have been measured against the benefits of reduced losses caused by these breaches. However as this issue has risen up the board agenda companies are beginning to view the benefits of this expenditure in a different context. As identified in the ICAEW IT Faculty document: *Audit insights: Cyber Security – Closing the Cyber Gap* these could include:

- a brand enhanced by the strong security culture;
- the ability to bid for contracts in a particular supply chain; and
- reduced insurance premiums.



Context example: How AI is important to both sides

As with most new technology that is created with good intentions, it doesn't take long for a more sinister way of using it to emerge. For example, UK-based company Darktrace works to find solutions to the increasing use of AI in cyber-attacks. For example, generative AI can be used to scan for vulnerabilities and then send sophisticated and plausible phishing emails in order to insert malware and/or harvest data. Darktrace claims to use AI as a way of countering these cyber threats by understanding how and where they occur and deploying suitable AI-based solutions.

6.7 Audit implications

As with any risk which a business faces the auditor must understand and evaluate the risk together with the effectiveness of associated controls. In relation to cyber security the auditor will need to pay particular attention to the control environment and specific control procedures put in place by management.

6.7.1 Control environment

The following features would be an indication to the auditor that the control environment in respect of cyber security is strong:

- Responsibility for cyber security elevated to board level, preferably to a designated individual eg, a risk officer
- Evidence of active board oversight, including clear lines of responsibility and identification of key business data and associated risks
- Cyber security policies and procedures embedded in operations and monitored for effectiveness
- Evaluation of the entity's risk appetite and procedures to highlight risks which breach this level
- Non-executive directors and audit committee members with appropriate skills and training to understand the issues

- Recruitment of competent in-house professionals with relevant expertise and/or use of consultants
- Encouragement of communication between IT specialists and the board, internal auditors and the audit committee
- Creation of an environment where staff are comfortable to report concerns and/or actual instances of breaches of security without fear of reprisals

The ICAEW IT Faculty document, *Audit insights: Cyber Security – Taking Control of the Agenda* includes a series of checklists for boards. Whilst these take the perspective of the business they provide an indication of what would constitute a strong control environment and the factors which the auditor should consider when evaluating the control environment.

Checklist for boards	Considerations for the auditor
Be ready to respond	Consider the most serious possible breach and ask whether the organisation, and board, are ready to cope. What would they do if competitors accessed their IP? How does the business reassure customers if their data is stolen?
Build intelligence	What does the business know about specific threats, the actors and their possible methods? How have other major breaches happened, and how do the defences put in place by the business compare? What are their peers doing to manage their risk? How can they get ahead of the regulators?
Be specific and real	How can critical data actually be accessed and by whom? What controls are in place, and how does the business know whether they are working? How are any breaches detected?
Link to strategic change	How are major strategic initiatives changing the risks? What is the impact of any M&A activity? What are the risks attached to new products or market expansion?
Attach consequences	What behaviour is unacceptable because of cyber risks? How does the business know if non-compliance is occurring? What happens to employees who do not follow the rules?
Tailor activities	How relevant is cyber security training to specific roles and responsibilities? Do higher-risk jobs have higher levels of training and awareness-raising activities? Are staff clear about the purpose of good cyber behaviour?
Hold boards to the same level of accountability	Are boards expected to follow the same rules as staff? Is the board clear as to the purpose and consequences of non-compliance? Does the board see itself as a role model for good cyber behaviour? Do members of the board act as role models?
Remember insider risk	What is in place to detect suspicious behaviour or patterns? How are disgruntled or disaffected staff identified? Does the business know how much system access potentially disaffected staff have?
Implement cyber-by-design	Are new products and services designed with cyber risks in mind? Do business change projects consider cyber risk early on? What are the risks of poor design?

Checklist for boards	Considerations for the auditor
Continually review and re- evaluate	Are designs building in flexibility and resilience to cope with changing cyber risks? How often are cyber risks reviewed? How are changing risks incorporated into existing processes?
Take difficult decisions	Is the business prepared to delay major change or strategic projects if the security is not good enough? Is the business using a 'sticking plaster' approach to an old infrastructure?
Embed cyber into start-ups	If investing in new businesses, are cyber risks considered?

6.7.2 Control procedures

The auditor would also need to identify and evaluate the effectiveness of specific control procedures. This work is likely to involve the IT audit specialists.

The Deloitte publication *Cybersecurity: The Changing Role of the Audit Committee and Internal Audit*
identifies that in order to be effective cyber defence needs to be:

- Secure: Are controls in place to guard against known and emerging threats?
- Vigilant: Can the company detect malicious or unauthorised activity, including the unknown?
- Resilient: Can we act and recover quickly to reduce impact?

Specific procedures to address these issues could include the following:

- Perimeter defences
- Vulnerability management
- Asset management
- Identity management
- Data protection procedures
- Threat intelligence eg, sharing intelligence with others within the same industry
- Security monitoring
- Behavioural analysis
- Risk analytics
- Incident response procedures
- Forensics
- Business continuity/disaster recovery procedures
- Crisis management



Professional skills focus: Structuring problems and solutions

An awareness of both the control environment and control procedures should help an auditor assess the impact of any cyber threats. This is an example of structuring a problem to achieve an effective solution.

Interactive question 1: NewForm Ltd

NewForm Ltd (NewForm), a client of your firm, has recently established an e-commerce division within its existing business to provide an additional outlet for its product range, which consists of upmarket casual wear for adults. An objective in introducing the new division was to have a completely paperless ordering, payment and despatch system.

The new e-commerce system is administered centrally by NewForm and deals with customer orders and credit card payments. Customers are able to place orders and pay for the goods online.
Inventories for customer orders are held remotely by Key Distributors (KD), which is a completely separate business from NewForm. Once online payment by credit card is cleared by NewForm, despatch details are forwarded to KD electronically. KD then despatches customer orders.
Inventories are ordered by NewForm for delivery direct to KD.

Requirements

1.1 In planning the audit of NewForm, identify and explain four key audit risks that may arise from the development of the new e-commerce division.

1.2 Identify and explain the application controls which you think are necessary for the integrity of the ordering and payments system.

See **Answer** at the end of this chapter.

CHAPTER 7

7 Communicating and reporting on internal control

Section overview

Auditors are required to report to those charged with governance on material deficiencies in controls which could adversely affect the entity's ability to record, process, summarise and report financial data potentially causing material misstatements in the financial statements.

The specific responsibilities of the auditor in relation to communicating deficiencies in internal control are set out in ISA 265, *Communicating Deficiencies in Internal Control to Those Charged With Governance and Management*. The auditor is required to report significant deficiencies in internal controls, where they have been identified, to those charged with governance and management (already covered in Chapter 4).

Definitions

Deficiency: A deficiency in internal control exists when:

- a control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the financial statements on a timely basis; or
- a control necessary to prevent, or detect and correct, misstatements in the financial statements on a timely basis is missing.

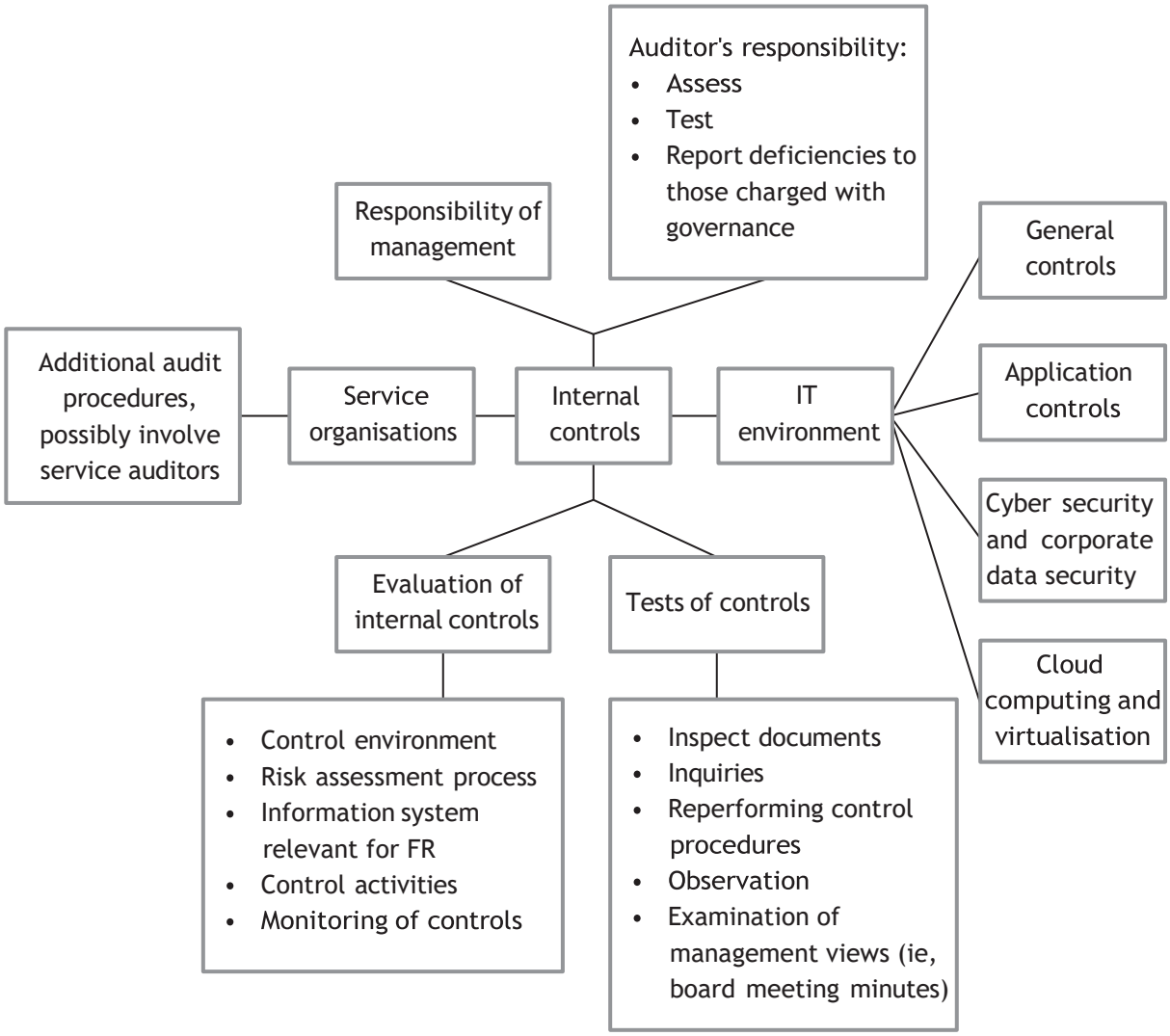
Significant deficiency in internal control: Those which in the auditor's professional judgement are of sufficient importance to merit the attention of those charged with governance.



Professional skills focus: Concluding, recommending and communicating

The process of reporting to those charged with governance on material deficiencies in internal control requires strong communication skills as well as the ability to conclude that the deficiency might be significant.

Summary


Auditor's responsibility:
• Assess
• Test
• Report deficiencies to those charged with governance
Responsibility of management
General controls
Application controls
Cyber security and corporate data security
Cloud computing and virtualisation
IT environment
Internal controls
Service organisations
Additional audit procedures, possibly involve service auditors
Evaluation of internal controls
Tests of controls
• Control environment
• Risk assessment process
• Information system relevant for FR
• Control activities
• Monitoring of controls
• Inspect documents
• Inquiries
• Reperforming control procedures
• Observation
• Examination of management views (ie, board meeting minutes)

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you explain the importance of internal controls as part of the auditor's role?
2.	Can you distinguish between the relative responsibilities of those charged with governance and the auditor?
3.	Can you explain how the auditor evaluates internal controls and recommend suitable tests of control to support the audit opinion?
4.	Can you explain the impact on the audit of an entity choosing to outsource some of its core functions? What factors will this impact be dependent on?
5.	Do you know the difference between general and application controls in an IT context? Are you aware of the impact that new technology such as cloud computing can have on the audit?
6.	Can you explain the various cyber threats that an organisation is at risk from and how such cyber threats are mitigated?
7.	How should the auditor communicate deficiencies in internal control and what makes such a deficiency significant?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Dodgy Burgers plc	Being able to consider suitable audit procedures for testing relevant internal controls.
Happy Flights plc	This question tests how well you can discuss cyber security issues in the context of a broader audit engagement.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
UHN requirement (4)	You need to be able to explain the board's responsibilities and accountability for cyber security.
Newpenny requirement (2)	You should be able to evaluate Rosa's suggestion of placing more reliance on operating effectiveness of controls.
Johnson Telecom requirement (3)	As part of the key risks from derivatives trading, you need to consider the necessary general and application IT controls that would be required.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical references

Deloitte (2015) Cybersecurity: The Changing Role of the Audit Committee and Internal Audit. [Online]. Available from: www2.deloitte.com/content/dam/Deloitte/sg/Documents/risk/sea-risk- cybersecurity-the-changing-role.pdf: p.10 [Accessed 2 October 2024].

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1 ISA 315

- Risk assessment procedures – **ISA 315.5–.10**
- Understanding the entity and its environment – **ISA 315.11–.24**
- Assessing the risks of material misstatement – **ISA 315.25–.31**
- Financial statement assertions – **ISA 315.A129**
- Documentation – **ISA 315.32**

2 ISA 330

- Overall responses to risk assessment – **ISA 330.5**
  - Response at assertion level – **ISA 330.6–.7**
  - Evaluation of sufficiency and appropriateness of evidence – **ISA 330.25–.27**

3 Virtual arrangements and cloud computing

ICAEW (2023) *Using technology to optimise audit talent* [Online]. Available at: https://www.icaew.com/insights/viewpoints-on-the-news/2023/feb-2023/using-technology-to-optimise-audit-talent [Accessed 22 May 2024].

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Self-test questions

Answer the following questions.

1 Dodgy Burgers plc

The board of directors of your client, Dodgy Burgers plc, which runs a chain of 30 burger restaurants across the country, has just completed a review of the structure of the business and relevant controls which are in place within the business. This review was completed in the year ended 31 March 20X8.

A partner of your firm asked for a copy of the report that the directors completed to assist in the identification of controls that the directors had implemented to mitigate business risk. The partner would like to use this as a basis for testing and placing reliance on these controls to reduce the amount of audit work undertaken for the audit for the year ended 31 March 20X8.

Listed below are some extracts from the report.

Health and safety issues

The following systems have now been introduced.

(1) The new internal audit department set up in September 20X7 will make spot checks on the various shops to ensure that the new Health and Safety policies are being followed. Reports of these visits will be sent to the board within two weeks of the visit. The internal audit department plans to visit all the branches within one year.

(2) All staff will receive Health and Safety training, particularly on the areas of food handling, storage, preparation, cooking and hygiene. This will be implemented immediately and by the end of 20X8 we will have trained all staff.

Competition

Our main competitor, Chip Butty, has begun buying properties and setting up shops in the vicinity of our existing branches within the large city centres. This has been a recurrent theme through 20X8 so far and we expect this to continue into 20X9. We have identified this as a threat to our sales income and consider that action is required.

To counteract the potential loss in sales we have embarked on three new marketing initiatives.

(1) Advertising on all major local television networks, comparing our burgers to the inferior Chip Butty products

(2) Promoting our new toys, sold in conjunction with Dotty Films, which are free with all kiddy packs

(3) Employing a part-time member of staff to visit the competition's premises and reporting on any new initiatives Chip Butty embarks upon

Branch cash controls

As our business is primarily cash based, we were concerned over the potential for theft of cash takings.

We have decided to implement a new policy in this area to monitor the takings from each branch more closely.

All tills in every branch will include a standard float of £150. At the end of each day the takings will be counted and bagged from each till, leaving the £150 float. A printout from the till will be

made detailing the daily takings. The physical cash will need to be reconciled to the till balance. Cash will then be banked and the reconciliation emailed to head office.

Discount prices will be set in the till to ensure that no meals can be sold at below the discounted price.

Increased turnaround in branches

We have identified a capacity problem in our branches, given the limited seating area at each of the branches during peak times.

Following a cost-benefit review of the branches it was decided not to increase these areas, as we feel that it would not be cost effective due to the huge increase in rates that would be incurred, the building costs and lost time due to renovation.

The board is prepared to accept the risk that some customers may be lost during peak times, but may in the future consider some form of takeaway discount at peak times.

Environmental policy

We felt it was necessary to reassure the public that as a company our policies are 'environmentally friendly' as this was key to a consumer business such as ours. The increased cost of the packaging products has been passed on in full via a small price increase, as we have been able to negotiate an excellent package with our suppliers and the waste contractors.

We have therefore introduced the following.

(1) Recycled packaging in all our branches, which has been clearly labelled to show that it is made from paper used from managed forests

(2) Waste separation at branches, which is collected on a daily basis by an external contractor who pays us £30 for each ton of paper and plastic collected

Requirement

Answer the following questions:

(1) Identify the business risks set out in the board report and state the risk category (ie, financial, operational or compliance). For each risk identified state the strategy management have adopted to deal with the risk.

(2) For each of the risks identified set out the audit procedures that would need to be completed before reliance could be placed on the controls in place.

2 Happy Flights plc

Happy Flights plc (HF), a listed company is a low-cost airline that was established 15 years ago and has since grown rapidly. You are a senior on the audit of HF for its year ended 30 June 20X6.

As part of the audit planning procedures the assignment manager, Geraint Johns, visited the finance director of HF, Rory Hiller, and identified a number of risk areas (**Exhibit 1**).

Geraint rang you immediately after the meeting:

I have just been to visit HF and there are a number of issues that have arisen. The audit team needs to discuss these matters at a planning meeting so we can determine our approach. I would like you to prepare a memorandum for the meeting which explains in detail the key audit risks including any cyber-security related issues, arising from these matters. I would also like you to identify the audit procedures that we will need to carry out in respect of each of these risks. If there are any financial reporting issues on these matters could you also explain these as part of the memorandum.

Requirement

Prepare the memorandum requested by the assignment manager.

Exhibit: Risk areas Plane crash

You will be aware that on 20 June 20X6 one of the HF planes crashed with a loss of 56 lives and a further 121 injuries. The cause of the crash has not yet been established. Indeed, it is unclear whether HF is to blame. Some legal claims have begun to arrive at HF headquarters but it is still early in the investigation process. Final settlement, if applicable, may take some years.

Operating issues

HF has suffered declining profits in recent years and recorded an operating loss for the first time in the year to 30 June 20X5.

As a consequence, there have been continuing cash flow problems which have been partially alleviated by special measures adopted this year, including:

- significant discounts for bookings made, and paid for in full, at least six months before travel;
- extension of short-term leases on existing aircraft, rather than leasing new aircraft (all planes are leased); and
- significant new fixed-term borrowings.

Database system

A new database system for bookings was introduced in January 20X4 by IT consultants. The purpose of the new system was to allow data on HF's flight availability to be accessed by travel agents and other flight booking agencies around the world. Agencies can all make bookings on the same system.

The database system is used not just for bookings but also as part of the receivables accounting system for agents to collect money from customers and pay to HF after deducting their commission. The data collected then feeds into the financial statements.

Unfortunately, since installation, the following problems have been discovered, either in the database system, or relating to operatives using the system:

- It is HF's policy to overbook its flights by 5% of seat capacity. However, there have been a number of instances where overbookings have far exceeded 5% due to processing delays.
- The system has crashed on a number of occasions causing delays in processing and loss of data.
- A computer virus penetrated the system, although it did not cause any damage and was quickly removed.
- Cash received in advance has been recorded as revenue at the date of receipt by HF.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 Key risks from the development of the e-commerce division

There are a number of concerns that an auditor of New Form should address in relation to its new e-commerce division. However, the general rule is that the scale of risk that is related to e-commerce is directly proportional to the number of users and the value of their transactions, which is critical to New Form's proposal. The key areas are likely to be as follows.

- Consider what cyber security issues have been addressed by the company. For example, there may be difficulties with ensuring the integrity of the payments system and protecting customer data (including bank details) from hackers, which will result in an increased focus on revenue from online sales.
- Cyber attacks could also lead to disruption or suspension of the e-commerce platform resulting in loss of sales and reputational damage.
- There may be breaches of data protection regulations regarding customer details resulting from fraud (eg, cyber attacks) or poor procedures. This could result in the company being exposed to litigation and fines, which may require provisions in the financial statements.
- Consider what additional inventory control measures have been implemented. Inventories are presumably fairly high value, and hence will be material to New Form's activities. What measures have been implemented to track customer orders? What procedures have been put in place to deal with returned goods in relation to checking claims relating to returned goods and authorisation/processing of refunds? This may be a particular difficulty, given the remote nature of the shipment of goods.
- Assess if New Form has the technical skills to develop and support a new e-commerce division of the type proposed.
- Evaluate if consideration has been given to ensuring the continuity of operations, given the increasing reliance of the business on technology. Specific issues include:
  - Lack of resources may undermine effective contingency plans; this may force a business to accept a higher tolerance of errors in the system, thus leading to a deeper inherent risk within the organisation
  - Inadequate controls surrounding the interaction of e-commerce applications with other business critical applications
  - Undermining of otherwise effective controls, eg, from inadequate recognition and use of controls, combined with inadequate monitoring of control compliance
- Inventories are held remotely, and thus control over a significant asset is exercised largely by a third party.
- Online ordering creates problems of security and data protection.
- Lack of audit trail in a paperless system.
- Dependence on a sole distributor.

1.2 Application controls

A number of application controls may be relevant, for example the following:

- Pre-processing authorisation
  - Customer password systems
  - Credit payment authorisation
  - Customer account balance limit tests
- Validation tests
  - Consistency with previous orders in terms of value

Answers to Self-test questions

1 Dodgy Burgers plc

Risk/Audit procedure

(1) Business risk and category	Management strategy to combat risk	(2) Audit procedures to be completed in order to place reliance on the controls in place
Health and safety		
• Partially cooked burgers have been sold. • This constitutes an operational risk (failure to comply will result in the company being shut down) and compliance risk (breach of Health and Safety regulations).	• Management has set up a Health and Safety training programme.	• Obtain a copy of the Health and Safety policy and review to ensure that the policies are adequate. File on the permanent audit file for future reference. • Hold discussions with the branch managers on a sample basis to ensure that the policy has been implemented if staff do not reach the required standard. • Review the training course to establish what procedures are being taught to the staff, and what follow up has been implemented if staff do not reach the required standard.
	• Internal audit spot checks on Health and Safety are to be carried out at the branches.	• Assess the internal audit department staff to ensure they have the appropriate authority, and are technically competent to complete the review. • Discuss with the internal audit department how the branches have been selected for sampling. • Review copies of the internal audit reports to identify: - the issues found; - how they have been resolved; - what follow-up work was required; and - how this was monitored. • Discuss with the directors how many visits have been completed in the year and whether they received all the copies of the reports. • Review correspondence files and external Health and Safety visits during the period

		before the internal audit department was setup. • Provided that the internal visits are effective, audit procedures can be limited to the period before the internal audit department was set up, as this is likely to be the higher audit risk area.
New competitor		
• A new competitor has set up in major cities within the vicinity of Dodgy Burgers plc. • This constitutes an operational risk (could lead to going concern problems and, ultimately, closure). • The instigation of a major advertising campaign itself constitutes a compliance risk (Advertising Standards need to be complied with). • The campaign and promotional gifts lead to financial risk (large cash outlay).	• Advertising campaigns and promotional gifts. • New staff member employed to visit rivals.	• Review gross profit margins to assess if there has been a major impact on sales. • Discuss with the directors and review the national press to identify what impact this competition is likely to have and whether or not they are aiming for the same market. • Review the advertising expenses account to ensure that adverts have been bought and paid for. • Review correspondence from the Advertising Standards Authority to ensure no complaints have been logged as a result of the advert. • Review contracts with the television companies to ensure that primetime slots had been given. • Review sales accounts to establish that sales have increased in the period during or following the advertising campaigns. • Review the employment records to ensure that the staff member has been employed on a part-time basis and review the contract/job description. • Review the reports sent to the board to establish if suitable observations have been made and have been acted on.
Cash controls		
• Risk of theft of cash takings (financial risk).	• New controls implemented to set till floats and provide reconciliations to head office on a daily basis.	• Review returns from branches to head office on a sample basis. • Discuss the differences identified with head office staff and review the action taken.

Limited seating		
• Lack of seating in most branches during peak times (operational risk – loss of customers).	• No strategy has been put in place due to cost-benefit considerations but takeaway discount at peak times may be considered in the future.	There is therefore no control as such to rely on but there are potential going concern issues. • Discuss with branch managers the number of customers at peak times, and the level of complaints re the lack of seating area. • Discuss with the directors the impact this may have in the future if competitors are close by to the branches, loss of customer may increase. • Spot check the branches on a sample basis to establish the customers leaving without purchasing to confirm the extent of problem highlighted by the directors.
Recycled products		
• A lack of confidence from the public in Dodgy Burgers plc's environmental policies (operational and compliance risk).	• The use of recycled packaging. • Waste separations and collections.	• Review the contracts with the suppliers to ensure that recycled packages are clearly specified and the price is comparable to the original prices of non-recycled products. • Review the branch returns to ensure that delivery notes have been signed for the waste collection and the receipts match the tonnage collected. Ensure that these are in line with expectations from the preliminary analytical procedures on the accounts. • Review the new packaging for evidence that the recycled symbols have been correctly displayed. • Discuss with the branch managers if any further costs have been incurred from having to separate the waste for collection, or whether separate bins have been provided in the branches for the public to use.

2 Happy Flights plc

Memorandum

To Geraint Johns (Assignment Manager)

From A Senior

Date 24 July 20X6

Subject Happy Flights – audit risks

(1) **Plane crash**

Financial reporting issues

The plane crash occurred in the year to 30 June 20X6, thus potentially gives rise to a liability that might need to be recognised in the current period. This might include:

- civil litigation by those passengers injured and the relations of those killed;
- criminal penalties against HF and/or its directors;
- if health and safety regulations have been breached then further penalties and constraints may apply; or
- liability for employees killed and injured.

Any litigation may be in several jurisdictions according to the location of the crash and the nationality of the passengers, thus the issues may be complex and take some time to resolve.

While such liabilities may ultimately be substantial they may also turn out to be small if the fault lies with airport authorities or other causes. It seems likely that these issues will be unresolved when the financial statements are authorised for issue thus it is unclear whether a contingency or a provision would arise. If there is significant uncertainty, or if there is a low probability of a claim, this might indicate a contingency, but more information would be needed to draw a firmer conclusion (see below).

Audit risks

A key audit risk is the lack of information on which to base a judgement in respect of the following:

- Whether any liability is probable or only possible
- The amount and timing of such a liability is unlikely to be known at the date of audit completion

According to IAS 37 where the amount of an obligation cannot be measured with sufficient reliability then it should be disclosed as a contingent liability. In this case it would not be recognised in the financial statements. If the information available is still fundamentally unclear at the date the financial statements are authorised for issue, then this may be the most appropriate treatment.

If the company is insured then recovery of any insurance should be regarded as a separate matter from the provision/contingency question.

Going concern – Notwithstanding the treatment of the provision/contingency then going concern is likely to be an issue. Given that the company is already struggling financially, any claim may prove to be a significant additional factor in assessing going concern. However, insurance recovery may be considered in making any such assessment.

There may, however, be other more immediate going concern issues arising from the crash other than the settlement of litigation.

These include:

- reduction in passenger numbers, as the reputation for safety may have diminished;
- grounding of aircraft by health and safety regulators perhaps resulting in loss of revenues, cancellations and delays; and
- reconsideration of leasing older planes resulting in additional costs.

Audit procedures

- Review claims against HF received by audit completion.
- Review correspondence with HF's legal advisers and consider taking independent legal advice regarding the amount and probability of any claim against HF.

- Review any announcements by investigation teams and any correspondence with HF regarding causes of the crash and the extent HF was to blame up to the date of audit completion (eg, 'black box' flight recorder evidence).
- Consider the possibility of counter claims by HF against others responsible for the crash by considering legal advice.
- Review any correspondence with Health and Safety Executive regarding grounding of planes or possible causes of the crash.
- Review flight bookings since crash for evidence of a decline in reputation and fall in future sales.
- Assess impact on budgeted cash flows to consider impact on going concern.

(2) **Operating issues**

Financial reporting issues

- The decline in operating profits is further evidence of going concern problems.
- If the short-term leases have been extended then they will need to be recognised as right-of-use assets in the statement of financial position.

Audit risks

The key audit risk is going concern. If there is adequate disclosure in the financial statements by the directors regarding the uncertainties about going concern then an unmodified audit opinion will be issued but the audit report will include a separate section headed 'Material Uncertainty Related to Going Concern'. However, if the directors do not disclose going concern uncertainties appropriately, it may be necessary to modify the audit opinion.

The receipt of cash from customers in advance is likely to cause concern if the company does have going concern issues, as this may amount to fraudulent trading if the customers, as unsecured creditors, are unable to recover their payment.

The additional borrowing also increases financial risk and makes profit more sensitive to changes in the level of operating activity.

Audit procedures

As already noted, cash flow forecasts will need to be reviewed up to the date of audit completion to assess the future viability of the company. This should include the following:

- Examining overdraft and other lending facilities (eg, for 'headroom' against existing liabilities, for interest rates and for capital repayment dates). Build a picture of future financial commitments.
- Identifying the level of advanced payments and discuss with the directors the issue of continuing the policy of advanced payments and the implications for fraudulent trading.
- Examining budgets and cash flow projections as part of going concern. Review to assess future expected changes in liquidity.
- Examining lease contracts to assess the lease renewals position in order to ascertain future levels of commitment.

(3) **Database system**

Audit risks

General systems issues

The nature of the fault needs to be identified ie, there may be issues with the work and or hardware/software supplied by the consultants. Some of the problems appear to be with the people operating the systems rather than the system itself. These are employees of the company so this effect also needs to be assessed.

Cyber security may also be an issue as a virus was able to circumvent existing security measures. There appear to be two control risks in the IT system:

- The maintenance and control of the database itself and the information contained therein
- The online processing of transactions

Separate controls are needed over each of these aspects.

Specific issues

Excess bookings – risks include the following:

- A system error appears to have arisen, as the system should not accept unintentional double bookings. The level of confidence in the system is thus reduced, thereby increasing our assessment of control risk.
- Revenue may have been double counted if two bookings have been taken.

System crashing – risks include the following:

- Loss of data is a major problem, as it not only affects operating capability but also reduces confidence in IT controls over financial statement assertions as the database feeds into the financial statements.
- There may be a risk of corruption of data as well as loss of data. This may have been a cause of the above double bookings.

Computer virus – risks include the following:

- Loss of future data if it reoccurs
- Corruption of data
- Loss of confidentiality of information
- Risk of fraud from 'hacking' into system to create false bookings or false payments

Advance payments recognised as revenue:

- If payments are recognised as revenue on receipt, then revenue is overstated if payments occur in one financial year and the flight occurs in the next financial year. The risk is that all such payments recognised in advance have not been identified.

Financial reporting issues

The key financial reporting issue is the inappropriate recognition of revenue for advance payments by customers. While this can be corrected in the draft financial statements in the current year, it may have also have occurred in the previous year. If material, this should be recognised as a prior period error. Retained earnings brought forward should be adjusted and the relevant revenue should be correctly recognised in the current year with comparatives adjusted.

Audit procedures

The control risk relating to the IT system needs to be established. If reliance cannot be placed on the IT system it may not be possible to test income for understatement due to lack of relevant, reliable audit evidence. This may lead to a modified audit opinion on the basis of insufficient evidence (limitation of scope).

Regarding online processing, tests of controls with respect to the following may be relevant:

- Access controls, passwords (eg, review logs of access and user authorisation)
- Programming (review programming faults discovered, actions taken to amend faults, reoccurrence of same faults)
- Firewall (consider response to virus and why firewall failed to detect it; procedures for updating firewalls; best practice review)
- Use of ATTs to interrogate the system's ability to detect and prevent errors and fraud

Regarding database itself:

- Review procedures manuals for database management system. This is the software that creates, operates and maintains the database.
- Review data independence procedures (the data should be independent of the application such that the structure of the data can be changed independently of the application).
- Consider the wider database control environment. This includes the general controls and who has access to change particular aspects of the database.
- General controls might include: a standard approach for development and maintenance of application programs; access rights; data resource management; data security, cyber-security and data recovery.

Chapter 8

The statutory audit: finalisation, review and reporting

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 Review and audit completion

2 Subsequent events

3 Going concern

4 Comparatives

5 Written representations

6 The auditor's report

7 Other reporting responsibilities

8 Appendix (Illustrations)

Summary

Further question practice

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Appraise the appropriateness of the going concern basis of accounting, evaluate management's assessment of going concern and assess the appropriateness of going concern disclosures
- Appraise and assess the significance of events after the reporting period
- Evaluate, quantitatively and qualitatively, using analytical procedures and appropriate data analysis tools, the results and conclusions obtained from audit procedures
- Conclude and justify the nature of the report on an audit engagement, and formulate an opinion for a statutory audit, which are consistent with the results of the audit evidence gathered
- Compose suitable extracts for reports (for example any report to the management or those charged with governance issued as part of the engagement)
- Appraise 'other information' in the annual report and report on material misstatements in this information and material inconsistencies with the financial statements including climate change disclosures

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Review and audit completion** In order to be ready to conclude the audit, there are several completion standards that the auditor must address.	**Approach** Most of this is revision from your previous studies so run through it again with your auditing standards open book in front of you. **Stop and think** Note how AI and RPA can be applied to this completion stage.	If this is examined, you will need to refer to the appropriate auditing standard to ensure that each of these completion tasks has been addressed.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
2	**Subsequent events** This section should serve as a reminder that there will always be events that could affect the audit regardless of when they occur.	**Approach** This is also revision so make sure you remember the key messages. **Stop and think** Do you remember this from your previous studies?	You should always be alert to the risk that subsequent events could derail the audit at any point so read the scenario carefully.	**IQ1: Subsequent events** To answer this question, you will need to ask yourself when the oil leak actually took place.
3	**Going concern** Confirming the going concern status of an entity is fundamental to preparing a set of financial statements: consequently, the auditor needs to know how to assess this.	**Approach** Responsibilities, indicators and responses to going concern issues are all revision from your previous studies, so make sure you find the relevant sections of ISA 570 in your auditing standards open book. **Stop and think** Reporting responsibilities are complex and depend on how well any going concern issues have been disclosed by management – can you remember what to do in various situations?	Going concern can straddle many different disciplines in an exam question, from the use of analytical procedures to assess viability and qualitative evaluation via the scenario all the way through to how the auditor's report could be affected in various situations. You therefore need to practise questions in order to be fully prepared.	**IQ2: Going concern** This is a very practical example that requires good analytical skills as well as sound logic when deciding the most appropriate responses to your analysis.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
4	**Comparatives** The auditor's responsibilities to audit the financial statements extend to include the previous year's figures as well.	**Approach** This will be revision from your previous studies so make sure you remember where to find this content. **Stop and think** Do this year's comparatives match last year's figures? Should they?	Comparative figures are usually presented as part of a set of financial statements but the requirements of ISAs 510 and 710 may be tested by a scenario which includes change of some kind (such as a new auditor or a change in accounting policies).	N/A
5	**Written representations** Another of the auditor's 'pre-flight checks' before they can issue their opinion is to obtain representations from management.	**Approach** Without obtaining these representations, the auditor does not have all the evidence they need for their opinion. **Stop and think** Can you remember what happens if the client refuses to provide these representations to the auditor?	These could form part of the overall evidence that the auditor needs to collect, so you should be prepared for any situations where representations might be required.	**IQ3: Written representations** This is a good test of whether you understand (a) the purpose of obtaining representations and (b) the process.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
6	**The auditor's report** This is the auditor's opportunity to explain what they have achieved during the course of the engagement and requires great skill and judgement to prepare.	**Approach** There are many elements to this section: the report structure, key audit matters, any necessary modifications and the auditor's responsibilities for other information. None of this is new material but you still need to be prepared in case it is examined. **Stop and think** Can you differentiate between situations where you might only need to modify the auditor's report and those where the audit opinion requires modifying?	There is plenty of scope for questions on the auditor's report to appear in your exam – this content may also be added to another requirement where you need to consider the impact of your findings on the auditor's report and/or the opinion. Be prepared!	**IQ4: Forming an audit opinion** This is a great illustration of the job of the auditor – unless you can explain that there is a problem with the accounting treatment here, there is a risk that you will issue an unmodified opinion despite the possible presence of accounting irregularities. Reporting therefore requires strong corporate reporting knowledge in conjunction with your audit reporting knowledge. Don't forget about materiality!
7	**Other reporting responsibilities** Some engagements require specific reporting which you also need to be familiar with.	**Approach** You should have covered most of this in your previous studies so this should be revision. **Stop and think** How do you think XBRL tagging fits into the new digital workplace?	Questions on these topics may only represent a handful of marks, but you still need to be prepared to explain the auditor's responsibilities if required.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive questions
8	**Appendix** You need to be familiar with the various modifications to the auditor's report under different circumstances.	**Approach** You covered this in your previous studies so this should be revision. **Stop and think** Can you find each of these in the auditing standards open book?	You need to know which parts of the report would need to be modified under certain situations and explain the reasons why.	N/A

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Review and audit completion

Section overview

- Towards the end of an audit, a series of reviews and evaluations are carried out.
- This is an important aspect of quality management.

1.1 Introduction

Auditing initially may be carried out on components, with opinions being formed on elements of the financial statements in isolation. However, it is essential that auditors step back from the detail and assess the financial statements as a whole, based on knowledge accumulated during the audit process. In particular, the following procedures will need to be performed at the review and completion stage of the audit:

- Consider governance issues
- Review the financial statements
- Perform completion procedures
- Report to the board
- Prepare the auditor's report

Review and reporting issues have been covered in the Audit and Assurance Workbook at the Professional Level, however, there have been some substantial changes over recent years in this area affecting the auditor's responsibilities relating to 'other information' and auditor's reports in particular. The following ISAs are relevant to this stage of the audit:

- ISA 260, *Communication With Those Charged With Governance*
- ISA 520, *Analytical Procedures*
- ISA 560, *Subsequent Events*
- ISA 570 (Revised), *Going Concern*
- ISA 700 (Revised), *Forming an Opinion and Reporting on Financial Statements*
- ISA 701 (Revised), *Communicating Key Audit Matters in the Independent Auditor's Report*
- ISA 705 (Revised), *Modifications to the Opinion in the Independent Auditor's Report*
- ISA 706 (Revised), *Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report*
- ISA 710, *Comparative Information – Corresponding Figures and Comparative Financial Statements*
- ISA 720 (Revised), *The Auditor's Responsibilities Relating to Other Information*

In the remainder of this chapter we will look at a number of key aspects of these ISAs in more detail. A summary is also provided in the technical references at the end of the chapter.

1.2 Governance issues

1.2.1 Quality management

We have looked at the importance of quality management in Chapter 1 of this Workbook. Quality is an important consideration throughout the audit. In particular, for the audit of listed entities, ISA 220, *Quality Management for an Audit of Financial Statements* states that the auditor's report should not be dated until the completion of the engagement quality review

(ISA 220.36d).

This includes ensuring that:

- the work has been carried out in accordance with professional and regulatory requirements;
- a proper evaluation of the firm's independence was carried out;
- significant matters are given further consideration;
- appropriate consultations have taken place and been documented;
- where appropriate the planned work is revised;
- the work performed supports the conclusions;
- the evidence obtained supports the audit opinion;
- the objectives of the audit have been achieved; and
- the auditor's report is appropriate in the circumstances.

In addition, under Sarbanes–Oxley, a concurring or second partner review should be performed by another partner not associated with the audit or by an independent reviewer (see Chapter 4 for more details of the Sarbanes–Oxley Act 2002 or SOX).

In its Plan and Budget 2024–25 (FRC, March 2024) the FRC explains that as part of its enforcement responsibilities:

Delivering a risk-focused, proportionate and timely enforcement regime is critical to maintaining trust and confidence of investors and others in audit, corporate reporting and governance. It ensures that those responsible for poor quality audit and reporting and the underlying poor behaviours are held to account and is an important aspect of our role as an improvement regulator in demonstrating what is required and setting non-financial sanctions to drive change. It also supports root cause analysis which can be fed into quality improvement plans or used to inform subsequent policy and supervisory work.

1.2.2 Governance evidence

Important governance evidence will be obtained from the following sources:

- Written representation letters from management (see later in this chapter)
- Information about contingent liabilities and commitments (Chapter 13)
- Information about related parties (Chapter 9)

1.3 Financial statement review

1.3.1 Introduction

Once the bulk of the substantive procedures have been carried out, the auditors will have a draft set of financial statements which should be supported by appropriate and sufficient audit evidence. At the beginning of the end of the audit process, it is usual for the auditors to undertake an **overall review** of the financial statements. This review, in conjunction with the conclusions drawn from the other audit evidence obtained, gives the auditors **a reasonable basis for their opinion** on the financial statements. It should be carried out by a senior member of the audit team, with appropriate skills and experience.

1.3.2 Compliance with accounting regulations

The auditors should consider whether:

- the **information presented** in the financial statements is **in accordance with local/national statutory requirements**; and
- the **accounting policies** employed are in accordance with accounting standards, properly disclosed, consistently applied and appropriate to the entity.

An important consideration in assessing the presentation of the financial statements is the adequacy of disclosure. In addition to the basic Companies Act requirements in the UK and compliance with accounting standards, the entity may need to satisfy the requirements of the **UK Corporate Governance Code and/or Sarbanes-Oxley (SOX)**.

When examining the **accounting policies**, auditors should consider:

- policies commonly adopted in particular industries;
- policies for which there is substantial authoritative support;
- whether any departures from applicable accounting standards are necessary for the financial statements to give a true and fair view; and
- whether the financial statements reflect the substance of the underlying transactions and not merely their form.

When compliance with local/national statutory requirements and accounting standards is considered, the auditors may find it useful to use a **checklist**.

1.3.3 Review for consistency and reasonableness

The auditors should consider whether the financial statements are consistent with their knowledge of the entity's business and with the results of other audit procedures, and the manner of disclosure is fair. The principal considerations are as follows.

- Whether the financial statements adequately reflect the **information** and **explanations** previously obtained and conclusions previously reached during the course of the audit
- Whether the review reveals any **new factors** which may affect the presentation of, or disclosure in, the financial statements
- Whether analytical procedures applied when completing the audit, such as comparing the information in the financial statements with other pertinent data, **produce results** which assist in arriving at the overall conclusion as to whether the financial statements as a whole are consistent with their knowledge of the entity's business
- Whether the **presentation** adopted in the financial statements may have been unduly influenced by the **directors' desire** to present matters in a favourable or unfavourable light
- The potential impact on the financial statements of the **aggregate of uncorrected misstatements** (including those arising from bias in making accounting estimates) identified during the course of the audit

1.3.4 Analytical procedures

In Chapter 6, we discussed how **analytical procedures** are used as part of the **overall review procedures** at the end of an audit. The procedures may be similar to those performed at the planning stage as risk assessment procedures but, at the end of the audit, the purpose of the procedures is to corroborate the conclusions drawn during detailed testing. This may also involve reviewing results derived from data analytics tools.

As at other stages, significant fluctuations and unexpected relationships must be investigated and documented.

1.3.5 Summarising misstatements

During the course of the audit, misstatements will be discovered which may be material or immaterial to the financial statements. It is very likely that the client will adjust the financial statements to take account of these during the course of the audit. At the end of the audit, however, some misstatements may still be uncorrected and the auditors will summarise these **uncorrected misstatements**.

An example is provided below.

Context example: Schedule of uncorrected misstatements

		SoPL (Current period)		SoFP (Current period)		SoPL (Prior period)		SoFP (Prior period)	
		Dr	Cr	Dr	Cr	Dr	Cr	Dr	Cr
		£	£	£	£	£	£	£	£
(a)	ABC debt Ltd unprovided	10,470			10,470	4,523			4,523
(b)	Opening/ closing inventory underval'd*	21,540			21,540		21,540	21,540	
(c)	Closing inventory underval'd		34,105	34,105					
	Opening unaccrued expenses								
(d)	Telephone*		453	453		453			453
	Electricity*		905	905		905			905
	Closing unaccrued expenses								
(e)	Telephone	427			427				
	Electricity	1,128			1,128				
(f)	Obsolete inventory write-off	2,528			2,528	3,211			3,211
	Total	36,093	35,463	35,463	36,093	9,092	21,540	21,540	9,092
	Cancelling items*	21,540			21,540				
			453	453					
			905	905					
		14,553	34,105	34,105	14,553				

The summary of misstatements will list misstatements not only from the current year (adjustments (c) and (e)) but also those in the previous year(s). This will allow misstatements to be highlighted which are reversals of misstatements in the previous year. For example, in this instance last year's closing inventory was undervalued by £21,540 (adjustment (b)). Inventory in the prior year statement of financial position should be increased (Dr) and profits increased (Cr). At the start of the current accounting period the closing inventory adjustment is reversed out so that the net effect on the cumulative position is zero. This also applies to the adjustment to last year's accrued expenses (adjustment (d)). Cumulative misstatements may also be shown, which have increased from year to year, for example adjustments (a) and (f). It is normal to show both the statement of financial position and the effect on profit or loss, as in the example given here. This may also be extended to the entire statement of profit or loss and other comprehensive income.

1.3.6 Evaluating the effect of misstatements

ISA 450, *Evaluation of Misstatements Identified During the Audit* states that the objective of the auditor is to evaluate:

(a) the effect of identified misstatements on the audit, and

(b) the effect of uncorrected misstatements, if any, on the financial statements. (ISA 450.3)

All misstatements identified during the audit should be accumulated, other than those that are clearly trivial (ISA 450.5). (The ISA explains that 'clearly trivial' does not mean the same as 'not material'; it implies something of a wholly different – smaller – order of magnitude.) The auditor must document any threshold used to define what has been considered to be clearly trivial.

The aggregate of uncorrected misstatements comprises the following:

(a) **Specific misstatements** identified by the auditors, including the net effect of uncorrected misstatements identified during the audit of the previous period if they affect the current period's financial statements

(b) Their **best estimate** of **other misstatements** which cannot be quantified specifically

ISA 450 distinguishes between the following:

- **Factual misstatements** – about which there is no doubt
- **Judgemental misstatements** – differences arising from judgements of management including those concerning recognition, measurement, presentation and disclosure in the financial statements (including the selection or application of accounting policies) that the auditor considers unreasonable or inappropriate
- **Projected misstatements** – the auditor's best estimate of misstatements in populations, involving the projection of misstatements identified in samples to entire populations (ISA 450.A6)

If the auditors consider that the **aggregate** of misstatements may be material, they must consider reducing audit risk by extending audit procedures or requesting management to adjust the financial statements (which management may wish to do anyway).

If the aggregate of the uncorrected misstatements that the auditors have identified approaches the materiality level, the auditors should consider whether it is likely that undetected misstatements, when taken with aggregated uncorrected misstatements, could exceed the materiality level. Thus, as aggregate uncorrected misstatements approach the materiality level the auditors should consider reducing the risk by:

- performing **additional audit procedures**; and
- requesting management to **adjust the financial statements** for identified misstatements.

The schedule will be used by the audit manager and partner to decide whether the client should be requested to make adjustments to the financial statements to correct the misstatements.



Professional skills focus: Structuring problems and solutions

Audits are generally very procedural and as such can be quite complex when trying to complete all the stages in order to form an audit opinion and report it accordingly. Knowledge of the various auditing standards here will provide a sound structure for ensuring that all the necessary elements of the engagement have been completed.

1.4 Artificial intelligence (AI) and robotic process automation (RPA)

In Chapter 5 we discussed the advances in audit data analytics and how artificial intelligence (AI) and robotic process automation (RPA) have helped auditors to increase the scope, detail and accuracy of testing large populations of data. This software can even be programmed to summarise findings and prioritise the results of testing, making the process of evaluation more efficient as the parameters that are used to identify items of significance can now be programmed with much more subtlety (for example, the patterns of behaviours which may be indicative of fraudulent activity within an account category such as expenses claims).

2 Subsequent events



Section overview

Auditors must review events after the reporting period and determine whether those events impact on the year-end financial statements.

2.1 Events after the reporting period

In accordance with ISA 560, *Subsequent Events*, subsequent events include:

- events occurring **between the period end and the date of the auditor's report**; and
- facts discovered **after the date of the auditor's report**.

IAS 10, *Events After the Reporting Period* deals with the treatment in financial statement of events, favourable and unfavourable, occurring after the period end. It identifies two types of event:

(a) Those that provide further evidence of **conditions that existed at the period end**

(b) Those that are indicative of **conditions that arose subsequent to the period end**

The extent of the auditor's responsibility for subsequent events depends on when the event is identified.

Note: While ISA 560 does not deal with matters relating to the auditor's responsibilities for other information obtained after the date of the auditor's report which are addressed in ISA 720 (Revised), *The Auditor's Responsibilities Relating to Other Information*, this type of other information may bring to light a subsequent event relevant to the application of ISA 560.

2.2 Events occurring up to the date of the auditor's report

The auditor must perform procedures designed to obtain **sufficient, appropriate audit evidence** that all events **up to the date of the auditor's report** that may require adjustment of, or disclosure in, the financial statements have been identified. In summary, these procedures consist of making enquiries of management about changes or risks, and inspecting relevant documentation (such as board minutes and any internally available financial information such as management accounts).

These procedures should be applied to any matters examined during the audit which may be susceptible to change after the period end, in addition to tests on specific related transactions eg, cut-off tests.

The ISA lists **procedures** to identify subsequent events which may require adjustment or disclosure. They should be performed as near as possible to the date of the auditor's report.

Reviews and updates of these procedures may be required, depending on the length of the time between the procedures and the signing of the auditor's report and the susceptibility of the items to change over time.

When the auditor becomes aware of events which materially affect the financial statements, the auditor should consider whether such events are **properly accounted for and adequately disclosed** in the financial statements.

2.3 Facts discovered after the date of the auditor's report but before the financial statements are issued

The financial statements are the **management's responsibility**. They should therefore inform the auditors of any material subsequent events **between the date of the auditor's report and the date the financial statements are issued**. The auditors do **not** have any obligation to perform procedures, or make inquiries regarding the financial statements **after the date of their report**.

If, after the date of the auditor's report but before the financial statements are issued, the auditor becomes aware of a fact that, had it been known to the auditor at the date of the auditor's report, may have caused the auditor to amend the auditor's report, the auditor shall:

- Discuss the matter with the management;
- Consider whether the financial statements need amendment; and if so
- Inquire how management intends to address the matter in the financial statements.

When the financial statements are amended, the auditors shall do the following:

- **Extend the procedures** discussed above to the **date of their new report**
- Carry out any other appropriate procedures
- Issue a new auditor's report dated no earlier than the date of approval of the amended financial statements

If the auditor believes the financial statements need to be amended, and management does not amend them:

- If the auditor's report **has not yet been released** to the entity, the auditor shall modify the opinion in line with ISA 705 and then provide the auditor's report.
- If the auditor's report **has already been released** to the entity, the auditor shall notify those who are ultimately responsible for the entity (the management or possibly a holding company in a group) not to issue the financial statements or auditor's reports before the amendments are made. If the financial statements are issued anyway, the auditor shall take action to **seek to prevent reliance on the auditor's report**. The action taken will depend on the auditor's legal rights and obligations and the advice of the auditor's lawyer.

2.4 Facts discovered after the financial statements have been issued

Auditors have **no obligations** to perform procedures or make inquiries regarding the financial statements **after they have been issued**. In the UK, this includes the period up until the financial statements are laid before members at the annual general meeting (AGM).

When, after the financial statements have been issued, the auditor becomes aware of a fact which existed at the date of the auditor's report and which, if known at that date, may have caused the auditor to modify the auditor's report, the auditor should consider whether the financial statements need revision, discuss the matter with management, and take action as appropriate in the circumstances.

The ISA gives the appropriate procedures which the auditors should undertake when management revises the financial statements.

- **Carry out the audit procedures** necessary in the circumstances.
- **Review the steps taken by management** to ensure that anyone in receipt of the previously issued financial statements together with the auditor's report thereon is informed of the situation.
- **Issue a new report** on the revised financial statements.

(ISA 560.15)

The new auditor's report should include an **emphasis of matter paragraph** or **other matter paragraph** referring to a note to the financial statements that more extensively discusses the reason for the revision of the previously issued financial statements and to the earlier report issued by the auditor.

(ISA 560.16)

Where local regulations allow the auditor to restrict the audit procedures on the financial statements to the effects of the subsequent event which caused the revision, the new auditor's report should contain a statement to that effect.

Where management does **not** revise the financial statements but the auditors feel they should be revised, or if management does not intend to take steps to ensure anyone in receipt of the previously issued financial statements is informed of the situation, the auditors should consider taking steps to prevent reliance on their report. The actions taken will depend on the auditor's legal rights and obligations and legal advice received. In the UK, the auditor has a legal right to make statements at the AGM.

Where the auditor becomes aware of a fact relevant to the audited financial statements which **did not exist** at the date of the auditor's report, and there are no statutory provisions for revising the financial statements, the auditor discusses with those charged with governance whether they should withdraw the financial statements. Where those charged with governance decide not to do so, the auditor may wish to take advice on whether it might be possible to withdraw their report. In either case, other possible courses of action include those charged with governance or the auditors making a statement at the AGM.



Professional skills focus: Assimilating and using information

Gaining full visibility of the timescales involved in a scenario is essential for the satisfactory resolution of a requirement. This will therefore help you fully visualise the problem so it can be resolved.



Interactive question 1: Subsequent events

You are the auditor of Extraction, an oil company. You have recently concluded the audit for the year ended 31 December 20X7 and the auditor's report was signed on 28 March 20X8. The financial statements were also authorised for issue on this date. On 1 April, you are informed that the company has identified a major oil leak which has caused significant environmental damage.

Requirement

Identify and explain the implications of the information regarding the oil spill.

See **Answer** at the end of this chapter.

3 Going concern

Section overview

- The auditor will test whether the going concern basis of accounting is appropriate to ensure it applies to the audit client.
- Financial risk is indicated by the following circumstances:
  - Financial indications
  - Operating indications
  - Other indications

3.1 Reporting consequences

If an entity is a going concern it is ordinarily viewed as continuing in business for the foreseeable future with neither the intention nor the necessity of liquidation, ceasing trading or seeking protection from creditors pursuant to laws or regulations. Accordingly, assets and liabilities are recorded on the basis that the entity will be able to realise its assets and discharge its liabilities **in the normal course of business**.

However, if management determines that it intends to, or has no realistic alternative but to, liquidate the entity or cease trading, then **the financial statements should not be prepared on the going concern basis.** This is specified by IAS 10, *Events After the Reporting Period*. The entity should instead adopt a basis of preparation that is considered more appropriate in the circumstances, although no specific guidance is provided in IAS 10. In practice, the most obvious method is **break-up** or **liquidation basis**. Specific accounting consequences will include the need to consider the following:

- Impairment of assets
- Recognition of provisions eg, for onerous contracts

Disclosure of the change of basis of preparation should be provided in accordance with IAS 1, *Preparation of Financial Statements*. In addition, the directors of listed companies must report specifically on the going concern status of the company under the UK Corporate Governance Code (covered in Chapter 4). They must include a detailed 'viability statement' within the Strategic Report, providing a broad assessment of the entity's solvency, liquidity, risk management and viability.

3.2 Financial risk

The possibility of a business not being a going concern is one of the financial risks to which a business is exposed. Financial risks are those risks arising from the financial activities of the company, for example:

- Raising capital
- The capital structure
- Financial consequences of an operation eg, operating in a different jurisdiction

As a consequence of the original capital structure or subsequent operation, there may be a risk due to a shortage of finance or an inability to manage finance in accordance with a company's day to day requirements.

ISA 570 (Revised), *Going Concern* identifies events and conditions that may cast doubt about

the entity's ability to use the going concern basis of accounting, under the headings of **financial, operating** and **other** (ISA 570, para. A3).

The significance of such indications can often be **mitigated** by other factors, for example:

(a) the effect of an entity being unable to make its normal debt repayments may be counterbalanced by management's plans to maintain **adequate cash flows** by alternative means, such as by disposal of assets, rescheduling of loan repayments, or obtaining additional capital.

(b) the loss of a principal supplier may be mitigated by the availability of a suitable alternative source of supply.

3.3 ISA 570, *Going Concern*

The following is a summary of the key points from the revised ISA.

Management's responsibility

(a) ISA 570 states that when preparing accounts, management should make an explicit **assessment** of the entity's ability to continue as a going concern.

(b) When management are making the assessment, the following factors should be considered:

  (1) The **degree of uncertainty** about the events or conditions being assessed increases significantly the further into the future the assessment is made.

  (2) Judgements are made on the basis of the **information available** at the time.

  (3) Judgements are affected by the **size** and **complexity** of the entity, the **nature** and **condition** of the business and the **degree** to which it is **affected** by **external factors**.

Auditor's responsibilities

(a) When planning and performing audit procedures and in evaluating the results thereof, the auditor shall consider whether there are events or conditions that may cast significant doubt on the entity's ability to continue as a going concern.

(b) The auditor's objectives are as follows:

  (1) To obtain sufficient appropriate audit evidence regarding, and conclude on, the appropriateness of management's use of the going concern basis of accounting

  (2) To conclude, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern

  (3) To report in accordance with ISA 570 (ISA 570.9)

(c) The auditor shall remain alert for evidence of events or conditions and related business risks which may cast doubt on the entity's ability to continue as a going concern throughout the audit. If such events or conditions are identified, the auditor shall consider whether they affect the auditor's assessments of the risk of material misstatement.

(d) Management may already have made a preliminary assessment of going concern. If so, the auditors would review potential problems management had identified, and management's plans to resolve them. Alternatively auditors may identify problems as a result of discussions with management.

(e) The auditor shall evaluate management's assessment of the entity's ability to continue as a going concern maintaining professional scepticism and an awareness of the risk of **management bias** throughout the audit. The auditors shall consider:

  (1) the **process** management used and the **robustness** of the assessment of the company's risks;

(2) the **assumptions** on which management's assessment is based; and

(3) management's **plans** for future action.

(f) If management's assessment covers a period of **less than 12 months** from the end of the reporting period, the auditor shall ask management to extend its assessment period to 12 months from the end of the reporting period. In the UK, if the directors have not considered a year from the date of approval of the financial statements and not disclosed that fact, the auditor shall disclose it in the auditor's report.

(ISA 570.14-1)

(g) Management shall not need to make a detailed assessment if the entity has a history of profitable operations and ready access to financial resources. In this case, the auditor's evaluation of the assessment may be made without performing detailed procedures if sufficient evidence is available from other audit procedures. In the UK, the extent of the auditor's procedures is influenced primarily by the excess of the financial resources available to the entity over the financial resources that it requires.

(ISA 570.A8-1)

(h) The auditor shall inquire of management as to its knowledge of events or conditions beyond the period of assessment used by management that may cast significant doubt on the entity's ability to continue as a going concern.

(ISA 570.A6-1)

As the degree of uncertainty increases as an event or condition gets further into the future, the indications of going concern issues would need to be significant before the auditor would consider it necessary to take any further action based on this information. The auditor's responsibility to carry out procedures to identify issues beyond the period of assessment would normally be limited to inquiries of management.

(ISA 570.A6-2)

Additional audit procedures

(a) When events or conditions have been identified which may cast significant doubt on the entity's ability to continue as a going concern, the auditor shall do the following:

(1) Evaluate management's plans for future actions based on its going concern assessment

(2) Where the entity has prepared a cash flow forecast and analysis of this is significant in the evaluation of management's plans for future action:

- Evaluate the reliability of the underlying data
- Determine whether there is adequate support for the assumptions underlying the forecast

(3) Consider whether any additional facts or information have become available since the date of management's assessment

(4) Seek written representations from management regarding its plans for future action and the feasibility of these plans

(b) When questions arise on the appropriateness of the going concern assumption, some of the normal audit procedures carried out by the auditors may take on an **additional significance**. Auditors may also have to carry out **additional procedures** or update information obtained earlier. The ISA lists various procedures which the auditors shall carry out in this context.

(1) **Analyse and discuss cash flow**, profit and other relevant forecasts with management.

(2) **Analyse and discuss** the entity's latest available **interim financial statements**.

(3) **Read the terms of debentures and loan agreements** and determine whether they have been breached.

(4) **Read minutes** of the meetings of shareholders, the board of directors and important committees for reference to financing difficulties.

(5) **Inquire** of the entity's lawyer regarding **litigation and claims**.

(6) **Confirm the existence, legality and enforceability** of arrangements to provide or maintain financial support with related and third parties.

(7) **Assess** the **financial ability** of such parties to **provide additional funds**.

(8) Evaluate **the entity's plans to deal with unfulfilled customer orders**.

(9) Perform audit procedures regarding **subsequent events** to identify those that either mitigate or otherwise affect the entity's ability to continue as a going concern.

(10) **Confirm** the existence, terms, and adequacy of **borrowing facilities**.

(11) **Obtain and review** reports of **regulatory actions**.

(12) **Determine the adequacy** of support for any planned **disposals of assets**.

(c) Based on the audit evidence obtained, the auditor shall determine if, in the auditor's judgement, a material uncertainty exists related to events or conditions that, alone or in aggregate, may cast significant doubt on the entity's ability to continue as a going concern. The auditor must document the extent of their concern (if any) about the entity's ability to continue as a going concern.

Going concern – auditor conclusions and reporting

Use of going concern basis of accounting appropriate but a material uncertainty exists

(a) The auditor shall determine whether the financial statements:

(1) adequately disclose the **events and conditions** that may cast significant doubt on the entity's ability to continue as a going concern and **management's plans** to deal with these; and

(2) disclose clearly that there is a **material uncertainty** which may cast significant doubt about the company's ability to continue as a going concern.

(b) If **adequate disclosure** is made in the financial statements, the auditor shall express an unmodified opinion but include a separate section under the heading 'Material Uncertainty Related to Going Concern'. This must draw attention to the note in the financial statements that discloses the matter and must state that these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the auditor's opinion is not modified in this respect.

(ISA 570.22 and Appendix: Illustration 1)

See Appendix Illustration 6.

(c) If **adequate disclosure is not made** in the financial statements, the auditor shall express a qualified or adverse opinion, as appropriate. In the Basis for Qualified or Adverse Opinion section of the auditor's report the auditor must state that there is a material uncertainty which may cast significant doubt on the company's ability to continue as a going concern and that the financial statements do not adequately disclose this.

(ISA 570.23)

Management unwilling to make or extend its assessment

- If management is unwilling to make or extend its assessment when requested to do so by the auditor, the auditor shall consider the need to modify the auditor's report as a result of the inability to obtain sufficient appropriate evidence.

Use of going concern assumption is inappropriate

- If the going concern basis has been used but in the auditor's judgement this is not appropriate, the auditor shall express an **adverse opinion**.

Communication with those charged with governance

Unless all those charged with governance are involved with managing the entity the auditor must communicate with those charged with governance events or conditions that cast significant doubt on the entity's ability to continue as a going concern, including the following details:

- Whether the events or conditions constitute a material uncertainty
- Whether management's use of the going concern basis of accounting is appropriate
- The adequacy of related disclosure
- Where applicable the implications for the auditor's report

(ISA 570.25)

Significant delay

If there is a significant delay in the approval of the financial statements the auditor must enquire as to the reasons for this. Where it is believed that the delay could be related to going concern issues the auditor must perform additional audit procedures and consider the effect on the auditor's conclusion regarding the existence of a material uncertainty.

Note: In April 2023, the IAASB issued an exposure draft of a proposed revision to ISA 570 which is attempting to address a number of current issues:

- The need to deliver certainty in an ever-more uncertain world continues to be an issue for auditors when considering their public interest role of communicating on the financial position, performance and prospects of their clients;
- Achieving globally consistent practice in this area, reinforcing the importance of professional scepticism and transparency, remains a challenge for regulators and auditors alike;
- How other sources of information can support the auditor in their assessment of going concern (such as extending the 12-month assessment period so it commences on approval of the financial statements and the ongoing reliance on various types of technology);
- More robust testing of management and their assessment of an entity's going concern status; and
- Enhanced communication between auditors and those charged with governance as a way of improving transparency.

You should continue to monitor current issues such as this to ensure you are prepared for when they are eventually issued.

(IAASB, 2023)

Professional skills focus: Applying judgement

When evaluating a company's going concern status, it is rarely a case of 'yes' or 'no' but instead is more likely to be 'maybe' and 'it depends'. You will need to identify those factors from the scenario that point you in the right direction and reach an overall conclusion about this using your professional judgement.

3.4 Other guidance

The responsibility for assessing the company's ability to continue as a going concern and for disclosing significant uncertainties rests with the directors. The Financial Reporting Council (FRC) has published *Guidance on Risk Management, Internal Control and Related Financial and Business Reporting* in September 2014 which replaces an *Update for Directors: Going Concern and Liquidity Risk*. This is primarily directed at companies subject to the UK Corporate Governance Code and aims

to bring together elements of best practice for risk management. Appendix A specifically deals with going concern and provides guidance on how to determine whether to adopt the going concern basis, how to determine whether there are material uncertainties and relevant disclosures.

In April 2016 UK FRC issued *Guidance on the Going Concern Basis of Accounting and Reporting on Solvency and Liquidity Risk*. This provides guidance to directors of companies that do not apply the UK Corporate Governance Code. This includes principles for best practice. It summarises the main requirements as follows:

Main requirement	Micro-entity	Small company	Large or medium- sized company
Financial statements			
Assessment of appropriateness of the going concern basis of accounting	✓	✓	✓
Disclosure when there are material uncertainties or when the company does not prepare financial statements on a going concern basis of accounting	×	×	✓
Additional disclosures that may be required to give a true and fair view	×	✓	✓
Other relevant financial statement disclosures	×	×	✓
Strategic report			
The strategic report must contain a description of the principal risks and uncertainties facing the company	×	×	✓

Note: In June 2012, the Sharman Inquiry issued its Final Report and Recommendations. This includes recommendations regarding going concern assessment and disclosure (see Chapter 4).

Interactive question 2: Going concern

You are the senior on the audit of Truckers Ltd whose principal activities are road transport and warehousing services, and the repair of commercial vehicles.

You have been provided with extracts from the draft accounts for the year ended 31 October 20X5.

	Draft 20X5 £'000	Actual 20X4 £'000
Summary statement of profit or loss		
Revenue	10,971	11,560
Cost of sales	(10,203)	(10,474)
Gross profit	768	1,086
Administrative expenses	(782)	(779)
Interest payable and similar charges	(235)	(185)
Net (loss) profit	(249)	122
Summary statement of financial position		
Non-current assets	5,178	4,670
Current assets		
Inventory (parts and consumables)	95	61
Receivables	2,975	2,369
	3,070	2,430
Current liabilities		
Bank loan	250	–
Overdraft	1,245	913
Trade payables	1,513	1,245
Lease obligations	207	–
Other payables	203	149
	3,418	2,307
Non-current liabilities		
Bank loan	750	1,000
Lease obligations	473	
	1,223	1,000
Net assets	3,607	3,793

You have been informed by the managing director that the fall in revenue is due to the following factors:

- The loss, in July, of a longstanding customer to a competitor
- A decline in trade in the repair of commercial vehicles

Due to the reduction in the repairs business, the company has decided to close the workshop and sell the equipment and spares inventory. No entries resulting from this decision are reflected in the draft accounts.

During the year, the company replaced a number of vehicles, funding them by a combination of leasing and an increased overdraft facility. The facility is to be reviewed in January 20X6 after the audited accounts are available.

The draft accounts show a loss for 20X5 but the forecasts indicate a return to profitability in 20X6, as the managing director is optimistic about generating additional revenue from new contracts.

Requirements

2.1 State the circumstances particular to Truckers Ltd which may indicate that the company is not a going concern. Explain why these circumstances give cause for concern.

2.2 Describe the audit procedures to be performed in respect of going concern at Truckers Ltd.

See **Answer** at the end of this chapter.

4 Comparatives



Section overview

- ISA 710 provides guidance on corresponding figures and comparative financial statements.
- The auditor should obtain sufficient, appropriate audit evidence that the corresponding figures meet the requirements of the applicable financial reporting framework.

4.1 ISA 710, *Comparative Information*

ISA 710, *Comparative Information – Corresponding Figures and Comparative Financial Statements* establishes standards and provides guidance on the auditor's responsibilities regarding comparatives.

Comparatives are presented differently under different countries' financial reporting frameworks. Generally comparatives can be defined as **corresponding amounts** and **other disclosures** for the preceding financial reporting period(s), presented for comparative purposes. Because of these variations in countries' approach to comparatives, the ISA refers to the following frameworks and methods of presentation.

Corresponding figures are amounts and other disclosures for the prior period included as an integral part of the current period financial statements, and are intended to be read only in relation to the amounts and other disclosures relating to the current period (referred to as 'current period figures'). The level of detail presented in the corresponding amounts and disclosures is dictated primarily by its relevance to the current period figures. This is the usual approach in the UK.

Comparative financial statements are amounts and other disclosures for the prior period included for comparison with the financial statements of the current period but, if audited, are referred to in the auditor's opinion. The level of information included in those comparative financial statements is comparable with that of the financial statements of the current period.

Comparatives are presented in compliance with the relevant financial reporting framework. The essential audit reporting differences are that:

- for **corresponding figures**, the auditor's report only refers to the financial statements of the current period; and
- for **comparative financial statements**, the auditor's report refers to each period for which financial statements are presented.

ISA 710 provides guidance on the auditor's responsibilities for comparatives (the audit procedures are essentially the same for both approaches) and for reporting on them under the two frameworks. We will concentrate on **corresponding figures**, as this is the approach usually adopted in the UK.

4.2 Audit procedures

The auditor must obtain sufficient, appropriate audit evidence that the comparative information meets the requirements of the applicable financial reporting framework.

Audit procedures performed on the comparative information are usually limited to checking that the comparative information has been correctly reported and is appropriately classified. Auditors must assess whether the following are true:

- **Accounting policies** used for the comparative information are **consistent** with those of the current period or whether appropriate adjustments and/or disclosures have been made.
- Comparative information **agrees** with the **amounts** and other disclosures presented in the prior period or whether appropriate adjustments and/or disclosures have been made. In the UK and Ireland this will include checking whether related opening balances in the accounting records were brought forward correctly.

If the auditor becomes aware of a possible material misstatement in the comparative information while performing the current period audit, then additional audit procedures should be performed to obtain sufficient, appropriate audit evidence to determine whether a material misstatement exists.

Written representations are required for all periods referred to in the auditor's opinion and specific representations are also required regarding any restatement made to correct a material misstatement in prior period financial statements that affect the comparative information. In the case of corresponding figures representations are requested for the current period only because the auditor's opinion is on those financial statements which include corresponding figures.

When the financial statements of the prior period:

- have been audited by other auditors, or
- were not audited,

then the incoming auditors must assess whether the corresponding figures meet the conditions specified above and also follow the guidance in ISA 510, *Initial Audit Engagements – Opening Balances*.

4.3 Reporting

When the comparatives are presented as corresponding figures, the auditor should issue an auditor's report in which the **comparatives are not specifically identified** because the auditor's opinion is on the current period financial statements **as a whole**, including the corresponding figures.

The auditor's report will only make any specific reference to corresponding figures in the circumstances described below.

(a) When the auditor's report on the prior period, as previously issued, included a qualified opinion, disclaimer of opinion, or adverse opinion and the matter which gave rise to the modification is unresolved:

(1) if the effects or possible effects of the matter on the current period's figures are material, the auditor's opinion on the current period's financial statements should be modified and the basis for modification section of the report should refer to both periods in the description of the matter; or

(2) in other cases the opinion on the current period's figures should be modified and the basis for modification section should explain that the modification is due to the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.

(b) In performing the audit of the current period financial statements, the auditors, in certain unusual circumstances, may become aware of a **material misstatement** that affects the prior period financial statements on which an unmodified report has been previously issued. If the prior period financial statements have not been revised and reissued, and the corresponding figures have not been properly restated and/or appropriate disclosures have not been made, the auditor shall express a qualified opinion or an adverse opinion in the report on the current period financial statements, modified with respect to the corresponding figures included therein.

4.4 Incoming auditors: additional requirements

When the prior period financial statements were audited by other auditors, **in some countries** the **incoming auditors can refer to the predecessor auditor's report** on the corresponding figures in the incoming auditor's report for the current period.

When the auditor decides to refer to another auditor, the incoming auditor's report should indicate:

- that the financial statements of the prior period were audited by the predecessor auditor;
- the type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefore; and
- the date of that report.

In the UK, the existing auditor does not make reference to another auditor in their report. The situation is slightly different if the prior period financial statements were **not audited**.
When the prior period financial statements are not audited, the incoming auditor must state in the auditor's report that the corresponding figures are unaudited.

However, the inclusion of such a statement does not relieve the auditors of the requirement to perform appropriate procedures regarding opening balances of the current period. If there is insufficient evidence about corresponding figures or inadequate disclosures, the auditor should **consider the implications for their report**.

In situations where the incoming auditor identifies that the corresponding figures are materially misstated, the auditor should request management to revise the corresponding figures or, if management refuses to do so, appropriately **modify the report**.

Note: In the UK in accordance with Companies Act 2006 a predecessor auditor must allow the successor auditor access to all relevant information in respect of the audit, including relevant working papers.

5 Written representations

Section overview

- Written representations are normally obtained towards the end of the audit as a letter written by management and addressed to the auditor.
- Where there is doubt as to the reliability of written representations or if management refuse to provide representations, the auditor will need to reassess the level of assurance obtained from this source of evidence.

5.1 Representations

ISA 580, *Written Representations* covers this area and states that the objectives of the auditor are as follows:

- To obtain written representations from management and, where appropriate, those charged with governance that they believe that they have fulfilled their responsibility for the preparation of the financial statements and for the completeness of the information provided to the auditor.
- To support other audit evidence relevant to the financial statements or specific assertions in the financial statements.
- To respond appropriately to the representations or if representations are not provided.

5.2 Management from whom written representations are requested

"The auditor shall request written representations from management with appropriate responsibilities for the financial statements and knowledge of the matters concerned."

(ISA 580.9)

ISA 580 requires the auditor to determine the appropriate individuals from whom to seek written representations. In most cases this is likely to be management, as they would be expected to have sufficient knowledge of the way in which the entity's financial statements have been prepared. However, the ISA goes on to point out that in circumstances where others are responsible for the financial statements, for example those charged with governance, then they should be requested to provide the representations.

In the UK, where written representations are critical to obtaining sufficient, appropriate evidence they should be provided by those charged with governance rather than simply the entity's management. (In the UK those charged with governance are responsible for the preparation of the financial statements.)

The ISA emphasises the need for management to make **informed representations**. In some cases the auditor may request that management confirms that it has made appropriate inquiries to enable it to do so.

5.3 Written representations

5.3.1 Management's responsibilities

ISA 580 specifies a number of general representations which management must provide. These are as follows:

- That management has fulfilled its responsibility for the **preparation and presentation** of the financial statements as set out in the terms of the audit engagement.
- Whether the financial statements are prepared and presented **in accordance with the applicable financial reporting framework**.
- That management has provided the auditor with **all the relevant information**.
- That **all transactions** have been recorded and are reflected in the financial statements.
- A description of **management's responsibilities**.

Notes

1 In the UK management may include qualifying language to the effect that the representations are made to the best of their knowledge and belief.

2 In the UK the representation that all transactions have been recorded and reflected in the financial statements may be modified, for example to state that all transactions that may have a material effect on the financial statements have been recorded.

5.3.2 Other written representations

Other written representations may be required regarding specific issues. These may be required due to the provisions of other ISAs (a list is given in Appendix 1 of ISA 580) or to support other audit evidence. In particular, written representations may be sought where sufficient, appropriate evidence cannot be obtained independently. This might be the case where an assertion is affected by judgement or management intent. For example, management intent would be an important factor in the valuation basis used to value investments.

However, the ISA stresses that written representations **do not provide sufficient, appropriate audit evidence on their own**. The fact that management has provided reliable written representations does not affect the nature and extent of other audit evidence that the auditor obtains.

The auditor may also consider it necessary to obtain other representations about the following.

- Whether the selection and application of accounting policies are appropriate
- Whether the following have been recognised, measured and presented (where relevant):
  - Plans or intentions that may affect the carrying value or classification of assets and liabilities
  - Liabilities, both actual and contingent
  - Title to, or control over, assets, the liens or encumbrances on assets, and assets pledged as collateral
  - Aspects of laws, regulations and contractual agreements that may affect the financial statements
- That management has communicated to the auditor all deficiencies in internal control of which management is aware

5.3.3 Threshold amount

The ISA allows for the possibility that the auditor may agree a 'threshold amount' above which matters cannot be regarded as clearly trivial.

5.4 Date of written representations

"The date of the written representations shall be as near as practicable to, but not after, the date of the auditor's report on the financial statements. The written representations shall be for all the financial statements and periods referred to in the auditor's report."
(ISA 580.14)

Because written representations are audit evidence, the auditor's report cannot be dated before the date of the written representations.

Where a representation about a specific issue has been obtained during the course of the audit the auditor may request an updated written representation.

5.5 Form of written representations

"The written representation shall be in the form of a representation letter addressed to the auditor. If law or regulation requires management to make written public statements about its responsibilities and the auditor determines that such statements provide some or all of the representations required by paragraphs 10 or 11 (covered in paragraph 5.3.1 above), the relevant matters covered by such statements need not be included in the representation letter."

(ISA 580.15)

Appendix 2 of ISA 580 provides an illustrative example of a representation letter. It is not a standard letter, and representations will vary from one period to the next and from one company to another.

5.6 Doubts as to reliability

Where the auditor has concerns about the **competence, integrity and ethical values** of the management, the auditor must consider the effect this will have on the reliability of both oral and written representations.

In particular, if written representations are **inconsistent** with other audit evidence the auditor will need to perform audit procedures in an attempt to resolve the matter. If the situation remains unresolved, the auditor will need to consider the potential effect on the audit opinion.

Where the auditor concludes that representations about management's responsibilities regarding the preparation and presentation of financial statements and information provided to the auditor are not reliable, the audit opinion will be a **disclaimer**.

5.7 Written representations not provided

ISA 580 requires the following procedures to be followed where written representations are not provided.

- Discuss the matter with management
- Re-evaluate the integrity of management and evaluate the effect that this may have on the reliability of representations (oral and written) and evidence in general
- Take appropriate actions, including determining the possible effect on the audit opinion

Where management **does not provide representations about management's responsibilities** regarding the preparation and presentation of financial statements and information provided to the auditor, the audit opinion will be a **disclaimer**.



Interactive question 3: Written representations

You are an audit manager reviewing the completed audit file of Leaf Oil.

(1) There have been no events subsequent to the period end requiring adjustment in the financial statements.

(2) The company has a policy of revaluing properties on an annual basis. A large revaluation gain has been recorded for two properties in the year, on the basis that the directors believe that the property market is going to boom next year. However, the directors have

not provided supporting evidence for the revaluation, and a survey of business property values in the area does not show any increase.

(3) The directors confirm that the company owns 75% of the newly formed company, Subsidiary, at the year end.

(4) The directors confirmed that the 500 gallons of oil in Warehouse B belong to Leaf Oil.

Requirement

Comment on whether you would expect to see these matters referred to in the written representation letter.

See **Answer** at the end of this chapter.

6 The auditor's report



Section overview

- Auditors must provide clear and understandable auditor's reports on the financial statements audited.
- As well as the standard auditor's report, the wording of the report may be changed to express a modified opinion, or an emphasis of matter or other matter paragraph may be added to the report.
- Listed company auditor's reports include a description of key audit matters.
- Modifications result either from material misstatements (disagreements) in the financial statements or from an inability to obtain sufficient, appropriate audit evidence (limitation on scope).
- The auditor's report must include a separate section with a heading 'Other Information'.
- Auditors must form, and then critically appraise, their audit opinion on the financial statements.
- Auditor's reports can be made available electronically; in this situation the auditor must ensure that their report is not misrepresented.

6.1 The standard unmodified auditor's report

ISA 700 (Revised) states that the auditor's report must contain the following:

(a) **Title**

The term 'independent auditor' is usually used in the title to distinguish the auditor's report from reports issued by others.

(ISA 700.21)

(b) **Addressee**

In the UK the Companies Act 2006 requires the auditor to report to the company's members. (ISA 700.22)

(c) **Auditor's opinion**

This is the first section of the auditor's report. It must have the heading 'Opinion' and in the UK when an unmodified opinion is expressed it must state clearly that the financial statements give a true and fair view.

(ISA 700.23 & .25)

This section must also:

- identify whose financial statements have been audited;
- state that the financial statements have been audited;
- identify the title of each statement comprising the financial statements;
- refer to the notes, including the summary of accounting policies; and
- specify the date of, or period covered by, each financial statement comprising the financial statements.

(ISA 700.24)

(d) **Basis for opinion**

This section must immediately follow the 'Opinion' section and must have the heading 'Basis for opinion'. It must include the following information:

- States that the audit was conducted in accordance with ISAs and applicable law
- Refers to the section of the auditor's report that describes the auditor's responsibilities under the ISAs
- Includes a statement that the auditor is independent of the entity in accordance with relevant ethical requirements including the FRC's Ethical Standard
- States whether the auditor believes that the audit evidence the auditor has obtained is sufficient and appropriate to provide a basis for the auditor's opinion.

(ISA 700.28)

(e) **Going concern**

Where applicable the auditor must report on going concern in accordance with ISA 570 (see earlier section of this chapter).

(ISA 700.29)

(f) **Fraud and irregularities**

The auditor's report shall explain to what extent the audit was considered capable of detecting irregularities, including fraud.

(ISA 700.29-1)

(g) **Key audit matters**

In the UK, a key audit matters section must be included in accordance with ISA 701 for audits of public interest entities and other entities that have applied the UK Corporate Governance Code (see later in this chapter).

(ISA 700.30-31)

(h) **Other information**

In the UK, the auditor's report must always include a separate section with a heading 'Other information' (see later in this chapter).

(ISA 700.32 and ISA 720.21)

(i) **Responsibilities for the financial statements**

The auditor's report must include a section with the heading 'Responsibilities of those charged with governance for the Financial Statements'. This includes a statement describing the responsibility of those charged with governance for:

- preparing financial statements that give a true and fair view;
- such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement; and
- assessing the ability of the entity to continue as a going concern, assessing whether the use of the going concern basis of accounting is appropriate and disclosing matters relating to going concern.

(ISA 700.33-.36)

(j) **Auditor's responsibilities for the audit of the financial statements**

ISA 700's requirements regarding the description of the auditor's responsibilities is extensive. These include statements:

- of the objectives of the auditor;
- that reasonable assurance is a high level of assurance but is not a guarantee that an audit will always detect a material misstatement;
- that misstatements can arise from fraud or error; and
- that the auditor exercises professional judgment and maintains professional scepticism throughout the audit.

This section also includes a description of an audit and includes the following points:

- The auditor assesses risks of material misstatement, designs and performs audit procedures and obtains sufficient, appropriate evidence to provide a basis for the audit opinion.
- The auditor obtains an understanding of internal control relevant to the audit.
- The appropriateness of accounting policies is assessed.
- The auditor concludes on the appropriateness of management's use of the going concern basis of accounting and whether a material uncertainty exists.
- The auditor communicates with those charged with governance regarding the planned scope and timing of the audit and significant findings.

(ISA 700.37– .40a)

For audits of listed entities the auditor's responsibilities section will also include the following:

- Confirmation that the auditor has provided those charged with governance with a statement that the auditor has complied with relevant ethical requirements regarding independence
- Where key audit matters are communicated a statement that the auditor determines these matters to be of the most significance in the audit. This applies to all entities for which key audit matters are communicated (not just listed companies).

  (ISA 700.40b&c)
- In Bangladesh the description of the auditor's responsibilities may be given in the body of the auditor's report, within an appendix to the auditor's report or by cross reference to the description maintained on a website by an appropriate authority, where law, regulations and national standards expressly permit the auditor to do so. .

  (ISA 700.41)

(k) **Other reporting responsibilities**

If the auditor addresses other reporting responsibilities in addition to those under ISAs, these must be addressed in a separate section of the auditor's report.

If the auditor is required to report on certain matters by exception this section of the auditor's report must describe the auditor's responsibilities and incorporate a suitable conclusion. For example in the UK the Companies Act 2006 requires the auditor to report when a company has not maintained adequate books and records.

(ISA 700.43)

(l) **Name of the engagement partner**

The name of the engagement partner shall be included in the auditor's report on financial statements of public interest entities as per FRC Notification number 146 dated 21 December 2020.

(m) **Auditor's signature**

The audit report shall be signed by the audit engagement partner. In case of a public interest entity, the name of the firm and the engagement partner and the FRC registration number shall be mentioned in the signature panel of the audit report.

(n) **Auditor's address**

The report must name the location where the auditor is based.

(o) **Date of the report**

The date of the report is the date on which the auditor signs the report expressing an opinion on the financial statements. It must be no earlier than the date on which the auditor has obtained sufficient appropriate audit evidence.

Prohibition of Backdated Signing of Audit Reports in Bangladesh

The Financial Reporting Council (FRC), Bangladesh, issued the *Policy on Prohibition of Backdated Signing of Audit Reports, 2025* to strengthen audit quality, uphold professional ethics, and ensure compliance with International Standards on Auditing. The Policy recognizes that the practice of backdating audit reports constitutes **professional misconduct**, as it undermines the credibility and reliability of the audit process and violates the principles set out in the International Standards on Auditing (ISA).

The Policy establishes specific procedural requirements to ensure the authenticity and timeliness of audit reporting.

The Notes to the Financial Statements must explicitly disclose the date on which the Board of Directors approved the financial statements. This ensures transparency regarding the formal authorization of the financial statements by management.

The financial statements and the related audit report must be signed by the directors and other relevant authorities on the same date as the Board's authorization. This requirement aligns the formal approval process with the official execution of the financial reporting documents.

The auditor is required to sign the audit report and the audited financial statements on the same date on which the Board of Directors signs them. This provision ensures that the auditor's report reflects the final, board-approved version of the financial statements.

After signing the audit report and audited financial statements, the auditor must obtain a Document Verification Code (DVC) through the Document Verification System (DVS) within five days. Where a delay occurs, the DVC must still be obtained within a maximum of fifteen additional days, and the reasons for such delay must be formally communicated to the Bangladesh Financial Reporting Council (FRC).

Failure to obtain the DVC within twenty days from the date of signing will result in the audit report being treated as a backdated audit report under the policy.

Backdated signing of an audit report is classified as serious professional misconduct. Any auditor or audit firm found to have engaged in such conduct may be subject to disciplinary and legal action under the applicable laws and professional regulations of Bangladesh.

In case of any conflict between the above and the original Notification which was issued in Bangla, the original Notification shall prevail.



Professional skills focus: Concluding, recommending and communicating

Don't forget that all the illustrations of suitable forms of communication (like the auditor's report) are going to be in your open book permitted text so make sure you know your way around this.

6.2 Key audit matters

The IAASB project on auditor's reports resulted in the issue of a new auditing standard. This standard has now been adopted by the FRC as ISA 701 (Revised), *Communicating Key Audit Matters in the Independent Auditor's Report*. It applies to the **audits of all listed entities** but can be applied to other audits when the auditor believes it to be necessary. In the UK, the standard also applies to the audit of other public interest entities and entities that report on how they have applied the UK Corporate Governance Code. The key points in this ISA are summarised below.

6.2.1 Determining key audit matters (KAMs)



Definition

Key audit matters (KAMs): Those matters, that in the auditor's professional judgment, were of most significance in the audit of the financial statements of the current period. KAMs are selected from matters communicated with those charged with governance. In the UK, these include the most significant assessed risks of material misstatement (whether or not due to fraud) identified by the auditor, including those that had the greatest effect on:

- the overall audit strategy;
- the allocation of resources in the audit; and
- directing the efforts of the engagement team.

(ISA 701.8 & A8-1)

ISA 701 identifies the purpose of including this information as being to:

- enhance the communicative value of the auditor's report;
- provide additional information to intended users; and
- assist users in understanding significant audit matters and the judgments involved.

(ISA 701.2)

Note: The inclusion of a KAM section does not constitute a modification of the auditor's report and cannot be used as a substitute for a modified opinion. In addition, the KAM section cannot be used as a substitute for disclosures that should have been made.

ISA 701 suggests a three-step 'filtering' approach to determining what constitutes a KAM:

Step 1 The auditor starts by considering **all the matters communicated with those charged with governance**

Step 2 From these the auditor will assess which of these matters required **significant audit attention**. This process will involve taking into account areas of higher/significant risk, significant auditor/management judgment and the effect of significant events or transactions that occurred in the period

Step 3 The auditor will then select from those matters identified in Step 2 the matters which were of **most significance** in the audit

Step 3 is clearly the most important step of the process in which the auditor is required to apply judgment in evaluating the relative significance of different issues.

In making this decision the auditor would consider the following:

- Matters which resulted in significant interaction with those charged with governance
- The importance of the matter to the intended users' understanding of the financial statements as a whole
- The nature/complexity/subjectivity of selection of accounting policies
- The nature and materiality of misstatements (corrected and uncorrected)
- The nature and extent of audit effort needed to address the matter
- Whether there were issues in applying audit procedures
- Extent of related control deficiencies
- Whether the matter affected more than one area of the financial statements

(ISA 701.A27 & A29)

6.2.2 Disclosure

Where relevant the auditor's report must include a separate section with the heading 'Key Audit Matters'. This includes an introduction followed by information about each individual KAM. The introductory material states that:

- the matters described are the matters of 'most significance' including the most significant risks of material misstatement that had the greatest effect on the audit strategy, allocation of resources and the direction of efforts of the engagement team; and
- the auditor does not provide a separate opinion on these matters.

(ISA 701.11)

The description of an individual KAM would include the following:

- Why the matter was considered to be one of the most significant in the audit
- How the matter was addressed in the audit, including significant judgements made by the engagement team

Reference should also be made to any related disclosures in the financial statements.

The ICAEW Audit and Assurance Faculty published a report in 2017 titled '**The start of a conversation – The extended audit report**' to support all parties involved in this form of communication. Since this was published, the idea of presenting KAMs in terms of a dialogue is intended to support the perception that it is a two-way process. The report also suggests metrics that could be used to assess the quality of this dialogue in respect of KAMs: (i) the average number of KAMs in a report; and (ii) most common topics making up KAMs.

Here is an example of how KAMs could appear, taken from the IAASB's guidance publication *Auditor Reporting – Illustrative Key Audit Matters*:

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Goodwill

Under IFRSs, the Group is required to annually test the amount of goodwill for impairment. This annual impairment test was significant to our audit because the balance of XX as of December 31, 20X1 is material to the financial statements. In addition, management's assessment process is complex and highly judgmental and is based on assumptions, specifically [describe certain assumptions], which are affected by expected future market or economic conditions, particularly those in [name of country or geographic area].

Our audit procedures included, among others, using a valuation expert to assist us in evaluating the assumptions and methodologies used by the Group, in particular those relating to the forecasted revenue growth and profit margins for [name of business line]. We also focused on the adequacy of the Group's disclosures about those assumptions to which the outcome of the impairment test is most sensitive, that is, those that have the most significant effect on the determination of the recoverable amount of goodwill.

The Company's disclosures about goodwill are included in Note 3, which specifically explains that small changes in the key assumptions used could give rise to an impairment of the goodwill balance in the future.

Revenue recognition

The amount of revenue and profit recognized in the year on the sale of [name of product] and aftermarket services is dependent on the appropriate assessment of whether or not each long-term aftermarket contract for services is linked to or separate from the contract for sale of [name of product]. As the commercial arrangements can be complex, significant judgment is applied in selecting the accounting basis in each case. In our view, revenue recognition is significant to our audit as the Group might inappropriately account for sales of [name of product] and long-term service agreements as a single arrangement for accounting purposes and this would usually lead to revenue and profit being recognized too early because the margin in the long-term service agreement is usually higher than the margin in the [name of product] sale agreement.

Our audit procedures to address the risk of material misstatement relating to revenue recognition, which was considered to be a significant risk, included:

- Testing of controls, assisted by our own IT specialists, including, among others, those over: input of individual advertising campaigns' terms and pricing; comparison of those terms and pricing data against the related overarching contracts with advertising agencies; and linkage to viewer data; and
- Detailed analysis of revenue and the timing of its recognition based on expectations derived from our industry knowledge and external market data, following up variances from our expectations.

(Source: IAASB guidance publication, (2015) *Auditor Reporting – Illustrative Key Audit Matters*)

In very limited circumstances it may be the case that KAMs exist but cannot or should not be disclosed. These might include circumstances where law or regulation does not allow disclosure or where the adverse consequences of disclosure would outweigh the public interest benefit (although in the UK, this does not apply to the audits of public interest entities where the benefit of reporting such matters will always outweigh the adverse consequences of such disclosure).

(ISA 701.14b, A53-1)

It is also possible, although again very rare, that there may be no KAMs to disclose in the KAMs section. Where this is the case a KAM section is still included in the auditor's report but a statement is made that there are no KAMs to communicate. ISA 701.A58 provides the following illustration of the appropriate wording in this situation:

[Except for the matter described in the Basis for Qualified (Adverse) Opinion section or Material Uncertainty Related to Going Concern section,] We have determined that there are no [other] key audit matters to communicate in our report.

6.2.3 Interaction between descriptions of key audit matters and other elements included in the auditor's report

Where a matter results in a modified audit opinion, the matter by definition would be a KAM. However modified audit opinions must be reported in accordance with ISA 705 (Revised), *Modifications to the Opinion in the Independent Auditor's Report* and as a result a description of the matter will be included in the 'Basis for modified opinion' section and **not in the KAM section.** The KAM section must however include a reference to the basis for modified opinion section.

ISA 701 also makes particular reference to going concern issues. As we have seen in section 3 of this chapter in accordance with ISA 570 if **adequate disclosure** is made in the financial statements of a material uncertainty relating to going concern, the auditor expresses an unmodified opinion but includes a separate section under the heading 'Material Uncertainty Related to Going Concern'. The matter is **not also described as a KAM**, although the KAM section should include a reference to the 'Material Uncertainty Related to Going Concern' section.

6.2.4 Communicating other audit planning and scoping matters

In the UK, ISA 701 also requires the auditor's report to provide information about materiality (including the threshold used for the financial statements as a whole) and an overview of the scope of the audit.

(ISA 701.16-1)

6.2.5 Communication with those charged with governance

The auditor is required to communicate to those charged with governance either the KAMs included in the auditor's report or the fact that there are no KAMs.

(ISA 701.17)

6.2.6 Documentation

Audit documentation must include the 'significant audit matters' from which the KAMs were then selected and the rationale for determining whether each of these is a KAM or not. Where the auditor has concluded that there are no KAMs, or that a KAM is not able to be disclosed the reasons for this should be documented.

(ISA 701.18)

6.3 Modified opinions, emphasis of matter and other matter paragraphs

6.3.1 Modifications to the audit opinion

Modifications to the audit opinion are covered by ISA 705 (Revised), *Modifications to the Opinion in the Independent Auditor's Report*.

ISA 705 requires a modified opinion when:

(a) the auditor concludes that, based on the evidence obtained, the financial statements as a whole are **not free from material misstatement**; or

(b) the auditor is **unable to obtain sufficient appropriate audit evidence** to conclude that the financial statements as a whole are free from material misstatement. and, in the auditor's judgement, the effect of the matter is or may be **material** to the financial statements.

There are **three** types of modified opinion:

- Qualified opinion
- Disclaimer of opinion
- Adverse opinion

6.3.2 Determining the type of modification

In accordance with ISA 705 there are different types and degrees of modified opinion.

- A material misstatement (disagreement) may lead to a **qualified opinion** or an **adverse opinion**.
- An inability to obtain sufficient, appropriate evidence (limitation on scope) may lead to a **qualified opinion** or a **disclaimer of opinion**.
- The degree of modification depends on whether the auditor considers that the misstatement, or possible misstatement, is pervasive to the financial statements.



Definition

Pervasive effects: Pervasive effects on the financial statements are those that, in the auditor's judgement:

- are not confined to specific elements, accounts or items of the financial statements;
- if so confined, represent or could represent a substantial proportion of the financial statements; or
- in relation to disclosures, are fundamental to users' understanding of the financial statements.

(ISA 705.5)

The following table based on the table from ISA 705.A1 summarises the different types of modified opinion, and we will look at the detail of each of these in turn:

Nature of circumstances	Material but not pervasive	Material and pervasive
Financial statements are materially misstated (disagreement)	Qualified opinion Except for …	Adverse opinion (Auditors state that the financial statements do not give a true and fair view)
Inability to obtain sufficient, appropriate audit evidence (limitation on scope)	Qualified opinion Except for ... might	Disclaimer of opinion (Auditors state they are unable to form an opinion on the truth and fairness of the financial statements as a whole)

The ISA (ISA 705.7–.9) describes these different modified opinions and the circumstances leading to them as follows.

(a) A **qualified opinion** must be expressed when the auditor concludes that an unmodified opinion cannot be expressed but that the effect of any misstatement, or the possible effect of undetected misstatements, is material but not pervasive. A qualified opinion should be expressed as being "except for the effects of the matter to which the qualification relates".

(b) A **disclaimer of opinion** must be expressed when the auditor has not been able to obtain sufficient appropriate audit evidence and accordingly is unable to express an opinion on the financial statements. In rare circumstances involving multiple uncertainties the auditor may issue a disclaimer even though sufficient appropriate evidence has been obtained regarding each of the individual uncertainties, due to the potential interaction of these uncertainties and their possible cumulative effect on the financial statements.

(c) An **adverse opinion** must be expressed when the auditor has obtained sufficient appropriate audit evidence and concludes that misstatements, individually or in aggregate, are both material and pervasive to the financial statements.

Basis for opinion section

Where the auditor modifies the opinion on the financial statements, the title of the basis section should also be modified to read 'Basis for Qualified Opinion', 'Basis for Adverse Opinion' or 'Basis for Disclaimer of Opinion' as appropriate.

Misstatement

The auditor may disagree with management about matters such as the acceptability of accounting policies selected, the method of their application, or the adequacy of disclosures in the financial statements. The ISA states that if such disagreements are material to the financial statements, the auditor should express a qualified or an adverse opinion.

See Appendix Illustrations 1 and 2. Inability to obtain evidence

The standard identifies three circumstances where there might be an inability to obtain sufficient evidence:

(a) **Circumstances beyond the entity's control** (such as where the entity's accounting records have been destroyed).

(b) **Circumstances relating to the nature or timing of the auditor's work** (for example, when the timing of the auditor's appointment is such that the auditor is unable to observe the counting of physical inventory). It may also arise when, in the opinion of the auditor, the entity's accounting records are inadequate or when the auditor is unable to carry out an audit procedure believed to be desirable. In these circumstances, the auditor would attempt to carry out reasonable alternative procedures to obtain sufficient, appropriate audit evidence to support an unqualified opinion.

(c) A limitation on the scope of the auditor's work may sometimes be **imposed by management** (for example, when management prevents the auditor from observing the counting of physical inventory). This would constitute a limitation on scope if the auditor was unable to obtain sufficient, appropriate evidence by performing alternative procedures.

If the auditor experiences a limitation on scope after they have accepted appointment which is both material and pervasive they should consider withdrawal from the audit where it is practicable and possible under applicable law or regulation. Where this is not the case the auditor must disclaim an opinion on the financial statements.

When the limitation in the terms of a **proposed** engagement is such that the auditor believes the need to express a disclaimer of opinion exists before the appointment has been accepted, the auditor would usually not accept such a limited audit engagement, unless required by

statute. Also, a statutory auditor would not accept such an audit engagement when the limitation infringes on the auditor's statutory duties.

See Appendix Illustrations 3 and 4.

6.3.3 Emphasis of matter and other matters

ISA 706 (Revised), *Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report* deals with circumstances where the auditor considers it necessary to draw users' attention to important matters.



Definition

Emphasis of matter paragraph: A paragraph included in the auditor's report that refers to a matter **appropriately presented or disclosed** in the financial statements that, in the auditor's judgement, is of such importance that it is fundamental to users' understanding of the financial statements.

(ISA 706.7a)

Examples

- An uncertainty relating to the future outcome of exceptional litigation or regulatory action
- A significant subsequent event that occurs between the date of the financial statements and the date of the auditor's report
- Early application (where permitted) of a new accounting standard that has a pervasive effect on the financial statement before its effective date
- A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position

Other ISAs specify circumstances in which it may be necessary to include an emphasis of matter paragraph for example ISA 560, *Subsequent Events* which was covered earlier in this chapter.

This paragraph must be included in a separate section of the auditor's report with an appropriate heading including the term 'Emphasis of Matter'. This section must also state that the auditor's report is not modified in this respect.

(ISA 706.A5)

Note: In some circumstances matters identified as KAMs may also be fundamental to users' understanding of the financial statements. In this situation however, the matter is **not** disclosed in an emphasis of matter paragraph as well as being disclosed as a KAM. Instead the auditor must consider highlighting the importance of the matter, for example, by presenting it more prominently in the KAM section. (ISA 706.A2)

Where a matter is not determined to be a KAM but is fundamental to users' understanding an emphasis of matter paragraph would be included in the auditor's report.

(ISA 706.A3)



Definition

Other matter paragraph: A paragraph included in the auditor's report that refers to a matter **other than those presented or disclosed in the financial statements** that, in the auditor's judgement, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

(ISA 706.7b)

This paragraph must also be included as a separate section in the auditor's report headed 'Other Matter' or another appropriate heading.

Note: An 'Other Matter' paragraph would not be included where the matter has been determined to be a KAM (ISA 706.10).

Examples of both an emphasis of matter paragraph and other matter paragraph are contained in the **Appendix** to this chapter. See **Illustration 5.**



Professional skills focus: Applying judgement

It's very unlikely that in an exam you will be presented with an organisation where everything runs smoothly and there are no tricky decisions to have to make. Emphasis of matter paragraphs, other matter paragraphs and key audit matters are all areas where the auditor needs to display sound judgement in how to communicate the events before them in the most effective way. Use the questions at your disposal to understand how each of these works.

6.4 Current issues

6.4.1 The act of communication

In essence, the auditor's job is straightforward. They carry out tests and inquiries and evaluate evidence received with the purpose of drawing an audit opinion. They then **communicate** that opinion, in the form of an auditor's report, as we have been discussing. This can cause problems.

The communication problem is caused by a number of different problems that can be identified under three headings, although some of the problems are broadly linked between categories. The three problematic areas are as follows:

- Understandability
- Responsibility
- Availability

6.4.2 Understandability

Although the essence of the auditor's role is simple, in practice it is surrounded by auditing standards and guidance, as it is a **technical** art. It also involves **relevant language**, or 'jargon', that non-auditors may not understand.

Communicating the audit opinion in a way that people can understand is a challenge. ISA 700 (Revised) together with ISA 701 go some way to addressing those challenges (see earlier sections).

6.4.3 Responsibility

Connected with the problem of what the audit is and what the audit opinion means is the question of what the auditors are **responsible** for. As far as the **law** is concerned, auditors have a restricted number of duties. **Professional standards** and other bodies, such as the Financial Conduct Authority, put other duties on auditors.

Users of financial statements, and the public, may not have a very clear perception of what the auditors are responsible for and what the audit opinion relates to, or what context it is in.

The issue of **auditor's liability** ties in here. Auditor's reports are addressed to shareholders, to whom auditors have their primary and legal responsibility. However, audited financial statements are used by significantly more people than that. Should this fact be addressed in the auditor's report?

6.4.4 Availability

The fact that a significant number of people use audited financial statements has just been mentioned. Auditor's reports are publicly available, as they are often held on **public record**. This fact alone may add to any perception that exists that auditors address their report to more than just shareholders.

The problem of availability is exacerbated by the fact that many companies publish their **financial statements** on their **website**. This means that millions of people around the world have access to the auditor's report.

This issue may cause misunderstanding:

- **Language** barriers may cause additional understandability problems.
- It may not be clear **which financial information** an auditor's report refers to.
- The auditor's report may be subject to **malicious tampering** by hackers or personnel.

If an auditor's report is published electronically, auditors lose control of the **physical positioning** of the report; that is, what it is published with. This might significantly impact on understandability and also perceived responsibility.

When financial information is available electronically, auditors must ensure that their report is not misrepresented.



Interactive question 4: Forming an audit opinion

You are an audit senior. You are nearing the end of the audit of Russell Ltd for the year ended 30 June 20X7. The financial statements show a profit before tax of £14 million (20X6: £6 million) and a statement of financial position total of £46 million (20X6: £30 million). The following points have arisen on the audit:

(1) Russell Ltd owns a number of its retail premises, which it revalues annually. This year several of its shops did rise sharply in value due to inflated property prices in their locality. Russell Ltd also capitalises refits of its shops. Four shops were refitted in the year. The total increase in assets due to refits and revaluations is £20 million. Russell Ltd does not revalue its factory premises, which are recognised in the statement of financial position at £250,000.

(2) Russell Ltd makes approximately 20% of its sales via an internet site from which it sells the products of Cairns plc. Russell Ltd earns commission of 15% on these sales. Customers place their order on the internet site and pay for goods by providing their credit card details. Once Russell Ltd has received authorisation from the credit card company the order is passed to Cairns plc. The product is then shipped directly to the customer and all product returns and credit card related issues are dealt with by Cairns plc. The total product sales achieved through the internet site and despatched to customers in the year were £6,000,000. This amount has been recognised as revenue for the year ended 30 June 20X7.

Requirement

Comment on the matters you will consider in relation to the implications of the above points on the auditor's report of Russell Ltd.

See **Answer** at the end of this chapter.

6.5 The Auditor's Responsibilities Relating to Other Information

The FRC has issued ISA 720 (Revised), *The Auditor's Responsibilities Relating to Other Information*.

6.5.1 What is other information?



Definitions

Other information: Financial and non-financial information (**other than** financial statements and the auditor's report) included in an entity's annual report (such as climate change disclosures, summaries of key financial results, explanations of critical accounting estimates and financial measures or ratios).

Statutory other information: In the UK this includes the directors' report, the strategic report and the separate corporate governance statement, all of which is relevant here.

Misstatement of the other information: This exists when the other information is incorrectly stated or otherwise misleading (including because it omits or obscures information necessary for a proper understanding of a matter disclosed in the other information).

In the UK a misstatement of other information also exists when the statutory other information has not been prepared in accordance with the legal and regulatory requirements applicable.

(ISA 720.12b and Appendix 1)

ISA 720.2 makes it clear that the auditor does not express an opinion on the other information. (The exception to this principle in the UK relates to the auditor's responsibilities relating to the directors' report, the strategic report and the corporate governance statement. We will look at this issue separately in a later section)

The auditor is required, however, to read the other information and do the following:

(a) Consider whether there is a material inconsistency between the other information and the financial statements

(b) Consider whether there is a material inconsistency between the other information and the auditor's knowledge obtained in the audit

(c) Respond appropriately when the auditor identifies that such a material inconsistency appears to exist, or when the auditor otherwise becomes aware that other information appears to be materially misstated

(d) Report in accordance with ISA 720

6.5.2 Access to other information

In order for the auditor to satisfy their obligations under ISA 720, timely access to other information will be required. The auditors therefore must make arrangements with the client to obtain such information **before the date of their report** where possible. Where some or all of the documents will not be available until after the date of the auditor's report the auditor must request a written representation that the information will be provided as soon as it is available.

(ISA 720.13)

6.5.3 Material inconsistency or material misstatement of other information

If, on reading the other information, the auditor identifies a **material inconsistency or becomes aware that the other information appears to be materially misstated**, the auditor must determine whether:

- The audited financial statements need to be amended
- The other information needs to be amended
- Or whether the auditor's understanding of the entity and its environment needs updating.

The auditor should seek to resolve the matter through **discussion** with those charged with governance.

If an amendment is necessary in the **audited financial statements** and the entity refuses to make the amendment, the auditor should express **a qualified or adverse opinion**.

If an amendment is necessary in the **other information obtained before the date of the auditor's report** and the entity refuses to make the amendment, the auditor shall communicate this to those charged with governance and:

(a) include in the 'Other information' section of the auditor's report a statement describing the uncorrected material misstatement; or

(b) withdraw from the engagement.

(ISA 720.18)

If a material misstatement exists in other information obtained after the date of the auditor's report the actions taken by the auditor depend on whether a correction is made. If the other information is corrected the auditors will perform additional procedures which will normally include checking that the correction has been made properly and reviewing the steps taken by management to inform parties who have already received the information.

(ISA 720.A48)

If the other information is not corrected the specific action taken would depend on the auditor's legal rights and obligations. As a result it is likely that the auditor will seek legal advice. In the UK, the auditor may also consider using the right to be heard at the AGM.

6.5.4 Reporting

When the auditor's reports is required to include an 'Other Information' section. This must include the following:

(a) A statement that management is responsible for other information

(b) Identification of other information obtained before the date of the auditor's report (and, for the audit of a listed entity, other information, if any expected to be obtained after the date of the auditor's report)

(c) A statement that the auditor's opinion does not cover the other information and that the auditor does not express an audit opinion or any form of assurance conclusion on this (however, see section 6.5.5)

(d) A description of the auditor's responsibilities relating to reading, considering and reporting on other information

(e) When other information has been obtained before the date of the auditor's report, either:
   - a statement that the auditor has nothing to report; or
   - where there is a material uncorrected misstatement a statement that describes this.

(ISA 720.22)

6.5.5 *Statutory other information*

In Bangladesh, the auditor has a statutory duty to report on certain specific matters as per applicable laws and regulations.

In the auditor's report, the auditor is required to state in accordance with the Companies Act, 1994 whether:

(a) *the auditor has obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;*

(b) *in the auditor's pinion, proper books of accounts as required by law have been kept by the company so far as it appeared from auditor's examination of these books; and*

(c) *the statements of financial position and statements of profit or loss and other comprehensive income dealt with by the report are in agreement with the books of accounts and returns.*

In case of audit of banks and finance companies, the regulations of the central bank imposes additional statutory reporting responsibilities on the auditor.

6.5.6 Current issues

In December 2018, the UK FRC published 'Audit Quality Thematic Review: Other Information in the Annual Report' to highlight the variation in approach taken by UK firms when auditing other information. This was the first time that the FRC had reviewed the work of auditors in this area and it complemented other Thematic Reviews covering the quality of audit work performed in the UK. In summary, the FRC found that more could be done by auditors and audit committees regarding other information disclosures to inform users of financial statements adequately on non-financial and other qualitative factors.



Professional skills focus: Concluding, recommending and communicating

You have already seen from your studies that questions on the auditor's report usually require some form of conclusion to be drawn, so you must make sure you don't sit on the fence and commit to a specific course of action. This is central to the auditor's primary role of communication.

CHAPTER 8

7 Other reporting responsibilities



Section overview

- Auditors may have to report on entire special purpose financial statements or simply one element of those financial statements.
- Auditors may have to report on summary financial statements.
- The Companies Act 2006 allows limited liability agreements to be negotiated with the audit client.

7.1 Special Considerations – Audits of Financial Statements Prepared in Accordance with Special Purpose Frameworks

7.1.1 Introduction

ISA 800 (Revised), *Special Considerations – Audits of Financial Statements Prepared in Accordance with Special Purpose Frameworks* was adopted by the Bangladesh FRC and is effective for periods commencing on or after 15 December 2016.

7.1.2 Overview

The ISA aims to address special considerations that are relevant to complete sets of financial statements prepared in accordance with **another comprehensive basis of accounting**.

The aim of the ISA is simply to identify additional audit requirements relating to these areas. To be clear, all other ISAs still apply to the audit engagement.

7.1.3 General considerations

- Before undertaking a special purpose audit engagement, the auditor should ensure there is agreement with the client as to the **exact nature of the engagement** and the **form and content of the report** to be issued.
- To avoid the possibility of the auditor's report being used for purposes for which it was not intended, the auditor may wish to **indicate in the report the purpose for which it is prepared and any restrictions on its distribution and use**.

7.1.4 Special purpose frameworks

In the context of the ISA, special purpose frameworks refer to accounts which are prepared in situations other than within a Companies Act statutory audit. Specific examples of special purpose frameworks given in the ISA include the following:

- **Tax basis** of accounting for a set of financial statements that accompany an entity's tax return
- **Cash receipts and payments basis** of accounting for cash flow information that an entity may be requested to prepare for creditors
- The **financial reporting provisions established by a regulator** to meet that regulator's requirements
- The **financial reporting provisions of a contract,** such as a bond, indenture, a loan agreement and a project grant

The auditor's report in these circumstances should include an emphasis of matter that indicates the basis of accounting used or should refer to the note to the financial statements giving that information. The opinion should state whether the financial statements are prepared, in all material respects, in accordance with the identified basis of accounting.

In the UK the auditor must specifically describe the financial reporting framework as a special purpose framework in the auditor's report. The auditor must also specifically state that the audit has been carried out in accordance with ISAs, including ISA 800 and/or ISA 805.

7.1.5 Special Considerations – Audits of Single Financial Statements and Specific Elements, Accounts or Items of a Financial Statement

ISA 805 (Revised), *Special Considerations – Audits of Single Financial Statements and Specific Elements, Accounts or Items of a Financial Statement* relates to **individual elements of financial statements**, such as the liability for accrued benefits of a pension plan and a schedule of employee bonuses. This ISA is effective for periods commencing on or after 15 December 2016.

Many financial statement items are interrelated. Therefore, when reporting on a component the auditor will not always be able to consider it in isolation and will need to examine other financial information. This will need to be considered when assessing the scope of the engagement and determining whether the audit of a single statement or single element is practicable.

The auditor's report should indicate the applicable financial reporting framework adopted or the basis of accounting used, and should state whether the component is prepared in accordance with this.

Reporting considerations

Engagements that involve reporting on a single statement or specific element **in conjunction with auditing the entity's complete set of financial statements**	• The auditor shall express a separate opinion for each. • The auditor shall ensure that management presents the single financial statement or element in such a way that it is clearly differentiated from the complete set of financial statements.
The auditor's opinion on the entity's complete set of financial statements is **modified** or includes an **emphasis of matter** or **other matter** paragraph, a material uncertainty related to going concern, communication of key audit matters or a statement describing an uncorrected material misstatement of other information	• The auditor must determine whether this will affect the opinion on the single financial statement or element.
The auditor has expressed an **adverse opinion** or **disclaimed an opinion** on the entity's complete set of financial statements	• The auditor **must not** include an unmodified opinion on a single financial statement or element that forms part of those financial statements **in the same report** (as this would contradict the adverse opinion or disclaimer on the complete set of financial statements). • The auditor **must not** express an unmodified opinion on a single financial statement of a complete set of financial statements even if the report on the single financial statement is not published with the auditor's report containing the adverse opinion or disclaimer. • The auditor may express an unmodified opinion on an element of the financial statements if: - not prohibited by law; - the opinion is published separately; and - the element does not form a major portion of the entity's complete set of financial statements.

7.1.6 Engagements to Report on Summary Financial Statements

ISA 810 (Revised), *Engagements to Report on Summary Financial Statements* was revised by the IAASB in March 2016The key point which this ISA makes is that the auditor should **not express an opinion on the summarised financial statements** unless they have **expressed an audit opinion on the financial statements from which they have been derived**.

Reporting considerations: Form of report

Unmodified opinion on summary financial statements	Unless law specifies otherwise, the wording should be: • the accompanying summary financial statements are consistent in all material respects with the audited financial statements, in accordance with (the applied criteria); or

	• the accompanying summary financial statements are a fair summary of the audited financial statements, in accordance with (the applied criteria).
When the auditor's report on the audited financial statements includes a **qualified opinion**, an **emphasis of matter** or an **other matter** paragraph, a material uncertainty related to going concern, a KAM section or a statement describing an uncorrected material misstatement of the other information	If the auditor is satisfied that an unmodified opinion, as above, is appropriate for the summary financial statements, the report must: • state that the auditor's report on the audited financial statements includes a qualified opinion, an emphasis of matter or an other matter paragraph, a material uncertainty related to going concern, a KAM section or a statement describing an uncorrected material misstatement of the other information; • explain the basis for the above; and • state the effect on the summary financial statements if any.
When the auditor's report on the audited financial statements contains an **adverse opinion**, or a **disclaimer**	The auditor must: • state that the auditor's report on the audited financial statements contains an adverse opinion or disclaimer of opinion; • explain the basis for the adverse opinion or disclaimer; and • state that it is inappropriate to express an opinion on the summary financial statements.
Modified opinion on the summary financial statements	If the summary financial statements are **not** consistent in all material respects with the audited financial statements (or **not** a fair summary of the audited financial statements) and management does not agree to make changes, the auditor shall express an **adverse opinion**.

7.2 XBRL tagging of information in audited financial statements

In September 2009, UK HMRC announced that the Company Tax Return, including the supporting statutory accounts and tax computations, must be delivered electronically using the Inline XBRL format. XBRL stands for eXtensible Business Reporting Language. This requirement is presently absent in Bangladesh. The aim of this section is to acquaint students with this pivotal concept.

7.2.1 Audit

Guidance for auditors is contained in *Bulletin 2010/1 XBRL Tagging of Information in Audited Financial Statements – Guidance for Auditors*.

Although HMRC is requiring financial statements supporting a company's tax return to be transmitted using iXBRL, there is no requirement for an audit of data or of the XBRL tagging. The Bulletin states that ISAs do not impose a general requirement on the auditor to check XBRL tagging of financial statements as part of the audit. Furthermore, because the XBRL tagging is simply a machine-readable rendering of the data within the financial statements, rather than a discrete document, it does not constitute 'other information' either.

While the auditor does not provide assurance as to the accuracy of the tagging, audit clients may request non-audit services, including the following:

- Performing the tagging exercise
- Undertaking an agreed-upon procedures engagement
- Providing advice on the selection of individual tags
- Supplying accounts preparation software that automates the tagging
- Training management in XBRL tagging

If this type of service is provided, ethical issues must be considered.

In December 2017, the FRC's Financial Reporting Lab published *Deep-dive: Digital future of corporate reporting* suggesting that more still needs to be done to unlock the potential of XBRL.

8 Appendix (Illustrations)

Note: As per ISA 705, illustrations 1–4 in this Appendix have not been tailored for the UK but they illustrate the requirements of the ISAs.

Illustration 1

Qualified opinion – Material misstatement of the financial statements Qualified opinion
We have audited the financial statements of ABC Company (the Company), which comprise the statement of financial position as at December 31, 20X1, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies. In our opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of our report, the accompanying financial statements give a true and fair view of the financial position of the Company as at December 31, 20X1, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for qualified opinion

The company's inventories are carried in the statement of financial position at xxx. Management has not stated the inventories at the lower of cost and net realisable value but has stated them solely at cost, which constitutes a departure from IFRSs. The Company's records indicate that, had management stated the inventories at the lower of cost and net realisable value, an amount of xxx would have been required to write the inventories down to their net realisable value. Accordingly cost of sales would have increased by xxx, and income tax, net income and shareholders' equity would have been reduced by xxx, xxx and xxx, respectively.

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in [jurisdiction], and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

(FRC, 2016)

Illustration 2

Adverse opinion. Material misstatement of the consolidated financial statements Adverse opinion

We have audited the consolidated financial statements of ABC Company and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at 31 December 20X1, and the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, because of the significance of the matter discussed in the Basis for Adverse Opinion section of our report, the accompanying consolidated financial statements do not give a true and fair view of the consolidated financial position of the Group as at December 31, 20X1, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for adverse opinion

As explained in Note X, the Group has not consolidated subsidiary XYZ Company that the Group acquired during 20X1 because it has not yet been able to determine the fair values of certain of the subsidiary's material assets and liabilities at the acquisition date. This investment is therefore accounted for on a cost basis. Under IFRSs, the Company should have consolidated this subsidiary and accounted for the acquisition based on provisional amounts. Had XYZ Company been consolidated, many elements in the accompanying consolidated financial statements would have been materially affected. The effects on the consolidated financial statements of the failure to consolidate have not been determined.

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in [jurisdiction], and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our adverse opinion.

(FRC, 2016)

Illustration 3

Qualified opinion – Due to auditor's inability to obtain sufficient audit evidence regarding a foreign associate

Qualified opinion

We have audited the consolidated financial statements of ABC Company and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at December 31, 20X1, and the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, except for the possible effects of the matter described in the Basis for Qualified Opinion section of our report, the accompanying consolidated financial statements give a true and fair view of the financial position of the Group as at December 31, 20X1, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for qualified opinion

The Group's investment in XYZ Company, a foreign associate acquired during the year and accounted for by the equity method, is carried at xxx on the consolidated statement of financial position at December 31, 20X1, and ABC's share of XYZ's net income of xxx is included in ABC's income for the year then ended. We were unable to obtain sufficient appropriate audit evidence about the carrying amount of ABC's investment in XYZ as at December 31, 20X1, and ABC's share of XYZ's net income as we were denied access to the financial information, management, and the auditors of XYZ. Consequently, we were unable to determine whether any adjustments to these amounts were necessary.

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in [jurisdiction], and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

(FRC, 2016)

Illustration 4

Disclaimer of opinion. Due to the auditor's inability to obtain sufficient appropriate audit evidence about a single element of the consolidated financial statements

Disclaimer of opinion

We were engaged to audit the consolidated financial statements of ABC Company and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at December 31, 20X1, and the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

We do not express an opinion on the accompanying consolidated financial statements of the Group. Because of the significance of the matter described in the Basis for Disclaimer of Opinion section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these consolidated financial statements.

Basis for Disclaimer of opinion

The Group's investment in its joint venture XYZ Company is carried at xxx on the Group's consolidated statement of financial position, which represents over 90% of the Group's net assets as at December 31, 20X1. We were not allowed access to the management and the auditors of XYZ Company, including XYZ Company's auditor's audit documentation. As a result, we were unable to determine whether any adjustments were necessary in respect of the Group's proportional share of XYZ Company's assets that it controls jointly, its proportional share of XYZ Company's liabilities for which it is jointly responsible, its proportional share of XYZ's income and expenses for the year, and the elements making up the consolidated statement of changes in equity and consolidated cash flow statement.

(FRC, 2016)

Illustration 5

Emphasis of matter paragraph

We draw attention to note X of the financial statements, which describes the effects of a fire in the Company's production facilities. Our opinion is not modified in respect of this matter.

(FRC, 2016a)

Note: This paragraph is inserted after the conclusions relating to going concern section.

Other matter paragraph

The financial statements of ABC Company for the year ended December 31, 20X0, were audited by another auditor who expressed an unmodified opinion on those statements on March 31, 20X1.

(FRC, 2016a)

Illustration 6

Unqualified opinion. Material uncertainty that may cast significant doubt about the company's ability to continue as a going concern. Disclosure is adequate

Opinion

In our opinion the financial statements:

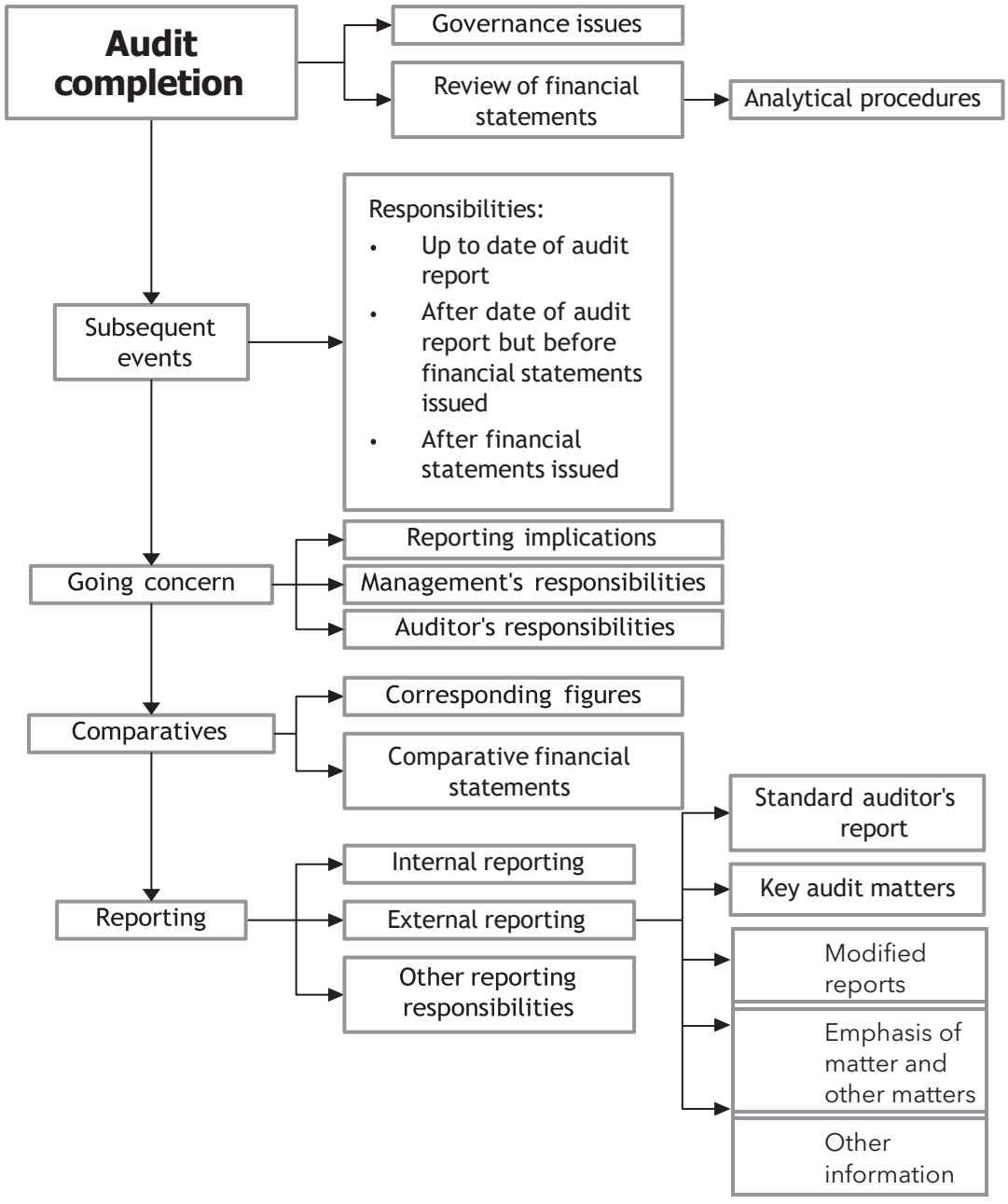
- Give a true and fair view of the state of the company's affairs as at [*date*] and of its [profit/loss] for the year then ended;
- Have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- Have been prepared in accordance with the requirements of the Companies Act 2006.

Material uncertainty related to going concern

We draw attention to note [X] in the financial statements, which indicates that [brief description of events or conditions identified that may cast significant doubt on the entity's ability to continue as a going concern]. As stated in note [X], these events or conditions, along with the other matters as set forth in note [X], indicate that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

(FRC, 2021)

Summary


Audit completion
Governance issues
Review of financial statements
Analytical procedures
Subsequent events
Responsibilities:
Up to date of audit report
After date of audit report but before financial statements issued
After financial statements issued
Going concern
Reporting implications
Management's responsibilities
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Comparatives
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Internal reporting
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Key audit matters
Modified reports
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Other information

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Do you know the various stages of the audit completion process and can you find the necessary standards in your open book?
2.	Can you distinguish between the various responsibilities that the auditor needs to fulfil at different stages of the audit, including right up to the date of the AGM?
3.	Do you know how to identify and communicate the most appropriate conclusion regarding the audited entity's going concern status?
4.	Can you explain the auditor's responsibilities for dealing with comparatives and written representations?
5.	Do you know how to structure the auditor's report, whether it is modified or requires some form of modification?
6.	Can you explain when you would apply the various modifications to the audit opinion and what form they would take?
7.	Can you explain the auditor's responsibilities regarding other engagements (for example, summary financial statements)?
8.	Can you find the various modifications to the auditor's report in the auditing standards open book?

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Branch plc	This will allow you to critically appraise extracts from a draft auditor's report in line with your knowledge of how it should look and the facts presented in the scenario.
SafeAsHouses plc	This question is a typical example of being 'thrown in at the deep end' on a problematic engagement that is nearing its completion. How should you respond?

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the question bank for this module. These questions have been selected to

introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
UHN requirement (3)	Although the question asks for key areas of audit risk, you will need to consider the going concern status of UHN and the impact (if any) that this could have on the auditor's report and opinion.
Tawkcom	The question asks for an overview of the auditor's responsibilities under ISA 701 on key audit matters – do you know what these are?
Biltmore requirement (3)	You need to be able to discuss impact on the auditor's report if necessary changes are not made to the draft financial statements.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical references

1 Review and audit completion

FRC (2024) *Plan and Budget 2024-25* [Online]. Available at: https://media.frc.org.uk/documents/Financial_Reporting_Council_Plan_and_Budget_2024-25_QLMohMA.pdf [Accessed 10 June 2024].

2 ISA 260

- Auditor's objectives – **ISA 260.9**
- Who auditor should communicate to – **ISA 260.11–.13**
- Matters to be communicated to those charged with governance – **ISA 260.14-.16**
- Timing of communications – **ISA 260.21**
- Form of communications – **ISA 260.19–.20**

3 ISA 265

- Identifying significant deficiencies – **ISA 265.A5–.A7**
- Written communication – **ISA 265.11**

4 ISA 450

- Evaluating the effects of misstatements – **ISA 450.10–.11**

5 ISA 520

- Analytical procedures at the end of the audit – **ISA 520.6,.A17–.A19**
- Investigating unusual items – **ISA 520.7**

6 ISA 560

- Auditor's duty – **ISA 560.6**
- Audit procedures for obtaining audit evidence – **ISA 560.7–.9**
- Events after date of auditor's report but before date financial statements issued – **ISA 560.10–.13**
- Events after date financial statements have been issued – **ISA 560.14–.17**

7 ISA 570

- Auditor's responsibility – **ISA 570.6–.7**
- Auditor's objectives – **ISA 570.9**
- Indicators of going concern problems – **ISA 570.A3**
- Audit procedures – **ISA 570.16, A16**
- Evaluating management assessment of going concern – **ISA 570.12–.14**
- Audit procedures – period beyond management's assessment – **ISA 570.15**
- Audit conclusions and reporting – **ISA 570.17–.24**

8 ISA 580

- Definition – **ISA 580.7**
- Acknowledgement of management responsibility – **ISA 580.10–.12**
- Representations by management as audit evidence – **ISA 580.13**
- Documentation of representations – **ISA 580.15**
- Elements of a representation letter – **ISA 580 Appendix 2**
- Actions if management refuse to provide written representations – **ISA 580.19**

9 ISA 700

- Auditor's objective – **ISA 700.6**
- Elements of a standard auditor's report – **ISA 700.21–.49**

10 ISA 701

- Determining key audit matters – **ISA 701.9–10**
- Communicating key audit matters – **ISA 701.11–17**

11 ISA 705

- Auditor's objective – **ISA 705.4**
- Circumstances when modifications are required – **ISA 705.6**
- Types of modification – **ISA 705.7–10, A1**

12 ISA 706

- Emphasis of matter paragraphs – **ISA 706.8–.9**
- Other matter paragraphs – **ISA 706.10–.11**

13 ISA 710

- Reporting responsibilities – **ISA 710.3**
- Overview of audit procedures – **ISA 710.7–.9**
- Corresponding figures – reporting – **ISA 710.10–.14**
- Comparative financial statements – reporting – **ISA 710.15–.16**

14 ISA 720

- Auditor's objective – **ISA 720.11**
- Action when a material misstatement of the other information exists – **ISA 720.17–.19**
- Action on identifying a material misstatement in the financial statements – **ISA 720.20**
- Reporting – **ISA 720.21–.24**

15 ISA 800

- Reports on financial statements prepared in accordance with a special purpose framework – **ISA 800.11–.14 & Appendix**

16 ISA 805

- Reports on a single financial statement or specific element of a financial statement – **ISA 805.11–.17 & Appendix**

17 ISA 810 (Revised)

- Reports on summary financial statements – **ISA 810.16–.21**

18 Bulletin: Illustrative auditor's reports on United Kingdom private sector financial statements

FRC (2021). *Bulletin: Illustrative Auditor's Reports on United Kingdom Private Sector Financial Statements* [Online]. Available from: https://www.frc.org.uk/getattachment/7a8874ec-a22d-422b- a0fd-81c7493519ab/Bulletin-Illustrative-Statutory-Auditor-s-Reports-20210823.pdf [Accessed: 18 September 2024]

19 Other references

UK FRC (2016) *Illustrations from ISA 705 (Revised June 2016), Modifications to the Opinion in the Independent Auditor's Report* [Online]. Available at: https://media.frc.org.uk/documents/ISA_UK_705_Revised_June_2016.pdf [Accessed 18 September 2024].

UK FRC (2016a) *Appendix 3 (extracts) from ISA 706 (Revised June 2016), Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report* [Online]. Available at: https://media.frc.org.uk/documents/ISA_UK_706_-_Revised_June_2016.pdf [Accessed 18 September 2024].

IAASB (2023) *Proposed International Standard on Auditing 570 (Revised 202X) Going Concern* [Online]. Available at: https://ifacweb.blob.core.windows.net/publicfiles/2023-04/IAASB-Proposed- Standard-Going-Concern.pdf [Accessed on 10 June 2024].

Self-test questions

Answer the following questions.

1 Branch plc

You are an audit partner. Your firm carries out the audit of Branch plc, a listed company. Because the company is listed, you have been asked to perform a second partner review of the audit file for the year ended 30 June 20X7 before the audit opinion is finalised. Reported profit before tax is £1.65 million and the statement of financial position total is £7.6 million.

You have read the following notes from the audit file:

"Earnings per share

The company has disclosed both basic and diluted earnings per share. The diluted earnings per share has been incorrectly calculated because the share options held by a director were not included in the calculations. Disclosed diluted earnings per share are 22.9p. Had the share options held by the director been included, this figure would have been 22.4p. This difference is immaterial.

Financial performance statement

The directors have currently not amended certain financial performance ratios in this statement to reflect the changes made to the financial statements as a result of the auditor's work. The difference between the reported ratios and the correct ratios is minimal.

Opinion

We recommend that an unmodified audit opinion be issued."

You have noted that there is no evidence on the audit file that the corporate governance statement to be issued as part of the annual report has been reviewed by the audit team. You are aware that the company does not have an audit committee.

You are also aware that the director exercised his share options last week.

Requirement

Comment on the suitability of the proposed audit opinion and other matters arising in the light of your review. Your comments should include an indication of what form the auditor's report should take.

2 SafeAsHouses plc

SafeAsHouses plc (SAH) was incorporated and commenced trading on 1 June 20X0 to retail small household electronics products via free magazines inserted into newspapers. It has established a presence in the market, but the early years of business have been a struggle with low profitability as it has sought to create market share. On 1 June 20X2, it set up a 100% owned subsidiary, eSAH, with a view to redirecting the business to internet-based sales in the hope of reducing printing and physical distribution costs of its free magazine. SAH plans to obtain an AIM listing in the near future.

Your firm acts as auditors to both companies and you have recently been drafted into the audit because the existing senior has been taken ill. **Exhibit 1** comprises draft statements of financial position and notes for both companies. **Exhibit 2** comprises audit file notes prepared by the previous audit senior.

The audit manager has asked you to take over the detailed audit work and to identify for her in a briefing note those issues arising in the work to date that are likely to be problematic. Given the late stage of the audit, and the consequent delays because of audit staff sickness, only the major issues are to be highlighted in your briefing note to the manager. The audit manager is concerned that, because the FD is new, the retention of the audit is potentially at risk and that there should be no further delay in the audit. The FD is pressing for these matters to be finalised and the accounts to be signed quickly.

Requirement

Prepare the briefing note as requested.

Exhibit 1: Draft statements of financial position

The draft statements of financial position of SAH (parent company only) and eSAH at 31 May 20X3 are as follows.

		SAH		eSAH
	£'000	£'000	£'000	£'000
Non-current assets at cost		1,895		408
Less depreciation		(400)		(25)
		1,495		383
Current assets				
Inventories	422		–	
Receivables	550		225	
Bank			5	
	972		230	
Current liabilities	(662)		(313)	
Net current assets/(liabilities)		310		(83)
		1,805		300
Non-current liabilities				
– 8% debentures		(1,000)		
		805		300
Financed by				
– Issued ordinary share capital		200		300
– Share premium account		100		–
– Retained earnings		505		
		805		300

Additional information

(1) Current liabilities

	SAH	eSAH
	£'000	£'000
Bank overdraft	92	–
Trade payables	430	300
Other payables	40	–
Accruals	100	13
	662	313

(2) Property in SAH had been revalued during the year. The revaluation amounted to £0.5 million.

(3) Debentures were issued at par on 1 June 20X0 and are due for redemption at par on 31 December 20X4.

Exhibit 2: Audit file notes

(1) eSAH has received £120,000 as a payment on account from a customer on 27 May 20X3 for delivery of goods to the customer by SAH in the following months. eSAH has a confirmed contract for this and has recorded the amount in revenue for the year.

(2) eSAH has capitalised software development costs to the amount of £408,000 during the year. There are no specific details as yet, but it appears to relate almost entirely to the development of new e-based sales systems. £186,000 of the capitalised amount related to computers and consulting support staff time bought and brought in specifically to help test the new system. eSAH is adopting its standard five-year, straight-line depreciation policy with respect to the £408,000.

(3) I have gathered together some data relating to SAH before performing analytical procedures, but have yet to get around to doing it. The relevant data is:

Year end May	**20X1**	**20X2**	**20X3**
Revenue (£'000)	500	1,140	990
Gross profit margins (%)	22	19	17
Profit/(loss) retained in the year (£'000)	2	45	(42)

I understand eSAH's provisional revenue to the year end 31 May 20X3 to be about £500,000, and gross profitability was at 10%. Inventory has remained constant during the year ended 31 May 20X3 in SAH.

(4) SAH is planning to pay a dividend for the first time this year of about £50,000. This has yet to be finalised and has not been provided for in the financial statements. The FD said he would get back to me once the figure has been finalised.

(5) The FD has suggested that the format of the business of eSAH is completely different from that of SAH and is insisting on not consolidating the results of eSAH on the grounds that it would undermine a true and fair view of the financial statements.

There are some debt covenants relating to the debenture (in SAH) of which we should be aware. I have not done any work on these, as yet.

- Net current assets are to remain positive.
- Overdraft balances are to be no more than £150,000 at all times.
- Receivables days and payable days are not to exceed 180 days each. Calculations to be based on year-end figures.
- Bank consent is required for any significant changes in the structure of the business.
- I understand that a breach of any of these conditions converts the debenture into a loan repayable on demand.

When eSAH was incorporated, bank consent was obtained in accordance with the covenants. Consent was obtained on the basis that the covenants would now apply on a consolidated basis.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Implications

(1) **Accounting treatment**

(a) The accounting treatment of the oil spill depends on when the event (ie, the oil spill) took place.

(b) If the oil spill took place before the financial statements were authorised for issue the spill is an event after the reporting period. The key question then is whether it should be treated as an adjusting or non-adjusting event in accordance with IAS 10.

(c) Although the spill has only come to light on 1 April, it is possible that the leak was present at the reporting date but was not detected at this time. If this were the case, then the event would be an adjusting event and the financial statements should include a provision for the costs of rectifying the damage, including that caused to the environment. If it can be demonstrated that the leak occurred after the year end and that the effects are material, which is probable in this case, the nature of the event and an estimate of the financial effect should be disclosed.

(d) If the leak took place after 28 March ie, when the financial statements were authorised for issue, the event would not be recognised in the financial statements for 20X7 but would be recognised in 20X8.

(e) It is likely that expert evidence would need to be sought to determine how the leak has occurred and therefore to estimate when the leak might have started.

(2) **Auditor's responsibility**

(a) Once the auditor's report has been signed, the auditor does not have any responsibility to perform audit procedures regarding subsequent events. However, the fact that the oil spill is revealed so soon after the signing of the auditor's report may call into question whether the directors were attempting to conceal information and avoid a provision being made in the current year financial statements. It also calls into question whether all other relevant information has been given to the auditors up to this date.

(b) As the financial statements have not been issued, the auditor should consider the need to amend the financial statements. This will depend on the application of IAS 10 as described above. If the financial statements are amended to provide for an adjusting event or disclose a non-adjusting event, additional audit procedures will be required and a new auditor's report would be issued.

Answer to Interactive question 2

2.1 **Circumstances/concern**

Circumstances	Why cause for concern?
Fall in gross profit % achieved	While the fall in absolute revenue has been explained the fall in gross profit margin is more serious.

Circumstances	Why cause for concern?
	This will continue to be a problem, as expenses seem constant and interest costs are growing.
	This will make a future return to profitability difficult.
Losses £249,000	Such levels of losses by comparison to 20X4 profits will make negotiations with the bank difficult, especially with the loss of a major customer.
Increased receivables balance and increased ageing 20X4 74.8 days 20X5 96.7 days	Worsening debt collection is bad news when the company is making losses and has a deteriorating liquidity position.
	The increase in average debt collection period may be due to an irrecoverable receivable on the account of the major customer lost in the year.
	An irrecoverable receivable write-off would cause much increased losses.
Worsening liquidity ratio 20X4 1.03 20X5 0.87	This is a significant fall which will worsen further if an allowance for irrecoverable receivables is required.
	The company has loan and lease commitments which possibly may not be met.
Increasing reliance on short-term finance	This does not secure the future.

Summary – If the company is not a going concern the financial statements would be truer and fairer if prepared on a break-up basis. Material adjustments may then be required to the financial statements.

2.2 **Audit procedures**

- Analyse post-reporting date sale proceeds for non-current assets, inventory, cash received from customers.
- Review the debt ageing and cash recovery lists. Ask directors if outstanding amounts from lost customer are recoverable.
- Discuss the optimistic view of likely future contracts with the MD. Orders in the post-reporting date period should be reviewed to see if they substantiate his opinion.
- Obtain his opinion about future contracts in a written representation letter.
- Review bank/loan records to assess the extent to which the company has met its loan and lease commitments in the post-reporting date period.
- Review sales orders/sales ledger for evidence of additional lost custom in post-reporting date period.
- Obtain cash flow and profit forecasts:
  - Discuss assumptions with the directors
  - Perform sensitivity analysis flexing the key assumptions ie, interest rates, date of payment of payables and receipts from customers

- Check all commitments have been cleared in accordance with legal agreements:
  - Agree budgets to any actual results achieved in the post-reporting date period
  - Assess reasonableness of assumptions in the light of the success of the achievement of the company's budgets set for 20X5. Discuss with the directors any targets not achieved
  - Reperform calculations
  - Ensure future budgeted profits are expected to meet likely interest charges
- Review bank records to ensure that the company is operating within its overdraft facility in the post-reporting date period. Review bank certificate for terms and conditions of the facility. Review bank correspondence for any suggestion the bank is concerned about its current position.
- Ask management whether the new vehicle fleet is attracting new contracts as anticipated. Scrutinise any new contracts obtained and check improved gross profit margins will be achieved.
- Obtain written representation as to the likelihood of the company operating for 12 months from the date of approval of the financial statements.

Answer to Interactive question 3

Matters

(1) I would expect to see this referred to in a written representation letter. Appendix 1 to ISA 580 cross refers to the requirement in ISA 560, *Subsequent Events* that management should inform auditors of relevant subsequent events.

(2) This should not appear on a written representation letter, even though management opinion is involved. This indicates an incorrect accounting treatment which the auditors should be in disagreement with the directors over.

(3) This should not appear on a written representation letter, as there should be sufficient alternative evidence for this matter. The auditor should be able to obtain registered information about Subsidiary from the companies' registrar.

(4) This should not appear on a written representation letter. The auditors should be able to obtain evidence from Leaf Oil that the inventory belongs to them.

Answer to Interactive question 4

Matters

(1) **Non-current assets**

There are two issues here. The first is whether Russell Ltd's policy of revaluations is correct and the second is whether Russell Ltd should capitalise refit costs.

The most important thing to consider is materiality, as only material items will affect the audit opinion. The revaluations and refit total is material to the statement of financial position. It is possible that any revaluation of the factory premises would also be material.

(a) **Revaluation policy**

Per IAS 16, non-current assets may be held at cost or valuation. Where a company applies a revaluation policy, IAS 16 requires that all revaluations are made with sufficient regularity that the carrying amount does not vary materially from that which would be determined if fair value were used. Russell Ltd revalues annually, so meets the latter requirement.

Russell Ltd revalues property and IAS 16 requires that all items in the same class of assets be revalued, so the question arises as to whether it should also revalue the factory. This might have a material effect on the statement of financial position.

IAS 16 states that a 'class' of property, plant and equipment is a grouping of assets of a similar nature and use in an entity's operations. Although the IAS implies that buildings comprise one class, in this case the nature and use of the two kinds of building are quite distinct. Therefore creating two classes (retail premises and manufacturing premises) would appear reasonable.

(b) **Refits**

Assets should be held at cost or valuation as discussed above. However, in some cases, IAS 16 allows the cost of refits to be added to the original cost of the asset. This is when it is probable that future economic benefits in excess of the originally assessed standard of performance of the existing asset will flow to the entity. A retail shop will be subject to refitting and this refitting may enhance its value. However, it is possible in a shop that such refitting might be better classified as expenditure on fixtures and fittings. Russell Ltd's policy should be consistent and comparable so, if they have followed a policy of capitalising refits into the cost of the shop in the past, this seems reasonable.

Conclusion

The issues relating to non-current assets were material and could have affected the auditor's report. However, having considered the issues, it appears that there are no material misstatements relating to these issues. As there appears to have been no problem in obtaining sufficient appropriate evidence in relation to non-current assets, the audit opinion would be unmodified in relation to these issues.

(2) **Revenue recognition**

The key question is the nature of the revenue earned by Russell Ltd on the internet sales. Russell Ltd is acting as an agent for Cairns plc. At no point do the risks and rewards of ownership of the goods sold on the internet pass to Russell Ltd. This is evidenced by the fact that goods are sent directly to the customer by Cairns plc and they are responsible for all after-sales issues. The revenue earned by Russell Ltd is therefore the commission on sales generated rather than the sales price of the goods sold. Equally there will be no recognition of cost of sales or inventory in respect of these items.
Therefore the current treatment in the financial statements is incorrect.

In accordance with IFRS 15, *Revenue from Contracts with Customers* commission received by a party acting as an agent should be recognised as earned. As Russell Ltd has no further obligations once the initial transaction has been undertaken the commission should be recognised at this time.
Commission of approximately £900,000 should be recognised (£6,000,000 × 15%). An additional adjustment may be required in respect of sales made not despatched. The £6,000,000 trading revenue should be eliminated with any associated costs of sale and inventory. These amounts are likely to be material to the financial statements.

Conclusion

The financial statements should be revised, as they do not comply with IFRS 15. If management refuse to adjust the financial statements the auditor will need to qualify the audit opinion on the grounds of a misstatement (disagreement) which is material but not pervasive.

Answers to Self-test questions

1 Branch plc

Earnings per share

The problem in the EPS calculation relates to share options held by a director. As they are held by a director, it is unlikely that they are immaterial, as matters relating to directors are generally considered to be material by their nature. The fact that EPS is a key shareholder ratio which is therefore likely to be material in nature to the shareholders should also be considered.

As the incorrect EPS calculation is therefore material to the financial statements, the audit opinion should be modified in this respect, unless the directors agree to amend the EPS figure. This would be a qualified opinion using the term 'except for' on the grounds of material misstatement (disagreement with the accounting treatment).

Share options

The share options have not been included in the EPS calculations. The auditors must ensure that the share options have been correctly disclosed in information relating to the director in both the financial statements and the other information, and that these disclosures are consistent with each other. If proper disclosures have not been made, the auditor will have to modify the audit opinion due to lack of disclosure in this area which also represents a material misstatement.

Exercise of share options

The fact that the director has exercised his share options after the year end does not require disclosure in the financial statements. However, it is likely that he has exercised them as part of a new share issue by the company and, if so, the share issue would be a non-adjusting event after the reporting period that would require disclosure in the financial statements. We should check if this is the case and, if so, whether it has been disclosed. Non-disclosure would be further grounds for opinion modification as a material misstatement.

Financial performance statement

The financial performance statement forms part of the other information that the auditor is required to review under ISA 720. The auditor's report would include an 'Other Information' section in accordance with this standard. The ISA states that the auditors should seek to rectify any apparent misstatements in this information. The ratio figures are misstated, and the auditor should encourage the directors to correct them, regardless of the negligible difference.

The ISA refers to material items. The ratios will be of interest to shareholders, being investor information, and this fact may make them material by their nature. However, as the difference is negligible in terms of value, on balance, the difference is probably not sufficiently material for the auditors to make any specific reference to this in their auditor's report.

Corporate governance statement

For the company to meet stock exchange requirements, the auditors must review the corporate governance statement. For our own purposes, we should document that we have done so. As having an audit committee is a requirement of the UK Corporate Governance Code and the company does not have one, the corporate governance statement should explain why the company does not comply with the Code in this respect.

We would not modify our audit opinion over the corporate governance statement, although

we would make reference to it in the 'Other Information' section, if we do not feel the disclosure is sufficient in respect of the non-compliance with the requirement to have an audit committee.

The audit opinion would not be modified in this respect. We are also required to report by exception if we have identified information that is:

- inconsistent with the information in the audited financial statements; or
- materially misstated based on the knowledge acquired by the auditor in the course of the audit.

Overall conclusion

None of the matters discussed above, either singly or seen together, are pervasive to the financial statements. The auditor's report should be modified on the material matter of the incorrect EPS calculation and the inadequate disclosures on EPS (and possibly the undisclosed share issue as well) by means of a qualified opinion and a basis section that explains this qualified opinion. We should also review the corporate governance statement: if the statement does not adequately address the issue of the company not having an audit committee, we will need to address this in the 'Other Information' of our report. Our audit opinion will not be modified in this respect.

2 SafeAsHouses plc

BRIEFING NOTES TO MANAGER

To Audit Manager

From Audit Senior

Date July 20X3

Client SafeAsHouses (hereafter SAH) and eSAH

Subject Major issues arising in audit work performed to date

There are a host of issues that need to be addressed. Some are important, and these are those I have highlighted for your attention.

While there may now be some urgency with respect to completing the audit it is not acceptable for us to be rushed in forming our judgement. This creates a threat to our objectivity through possible intimidation.

Incorrect financial statements

The financial statements are incorrectly stated for SAH. There is no revaluation reserve and it seems, after looking at the retained earnings in the analytical procedures, that the revaluation has been credited to profit or loss. Retained earnings should therefore be £5,000 and the revaluation reserve balance should be £500,000. (The revaluation would also be recognised as other comprehensive income in the statement of profit or loss and other comprehensive income.) The implication of this is that the company has insufficient distributable reserves to pay the proposed dividend. There also appears to be little cash to pay any dividend given the overdraft in SAH.

The intention not to consolidate the 100% subsidiary is unlikely to be allowed. IFRS 10, *Consolidated Financial Statements* does not allow exclusion of a subsidiary from consolidation on the basis of differing activities.

The company does not appear to have established a sinking fund for the redemption of the debenture. There is not enough cash in the financial statements to approach the figure required and the profitability of SAH is not sufficient to generate the amount required in the

months remaining. eSAH does not appear to be generating any cash at all. Nevertheless, the company appears to have had or raised £300,000 to launch eSAH.

Moreover, in SAH, revenue and profit margins have been falling since 20X1. We will need to ascertain why this has happened and consider any explanations received in conjunction with available forecast figures.

I am seriously concerned at the levels of receivables and payables in both companies. Not enough cash is coming into the businesses and not enough, it appears, is being used to pay the payables. There is a solvency issue pending which may well be crystallised when one considers the debt covenants.

Net current assets

These stand at £310,000 for SAH and are clearly positive, which satisfies the constraint in place from the debt covenant. However, there are some issues in eSAH that indicate that its net current assets figures (already negative) may have to be further adjusted downward.

(1) The treatment of the payment on account of £120,000 is incorrect and does not accord with prudent revenue recognition rules. The payment should not have been taken to revenue, but credited to an account in short-term payables. This adjustment will reduce net current assets to (£203,000).

(2) This means that the provisional revenue figure for eSAH of £500,000 should be reduced by £120,000 to £380,000. There is also an intra-group element that requires adjustment in that SAH still presumably holds the inventory to which the amount of £120,000 relates.

(3) In general, the inventory figure in SAH looks large and we will have to prepare an audit programme that challenges this figure in order to establish its accuracy. Given its central role in relation to the covenants, this will be important.

Other issues

(1) The development costs of the software seem to be correctly treated under IAS 38, *Intangible Assets* in that an intangible asset may be recognised as arising from development (or from the development phase of an internal project) if the following can be demonstrated.

   (a) The technical feasibility of completing the intangible asset so that it will be available for use or sale.

   (b) The entity's intention to complete the intangible asset and use or sell it.

   (c) Its ability to use or sell the intangible asset.

   This would also appear to relate to the testing costs since they meet the criteria of development activities under the standard ('the design, construction and testing of a chosen alternative for new or improved materials, devices, products, processes, systems or services', para 59).

   More generally, the testing costs of £186,000 look substantial in relation to the overall £408,000 spent. This may have indicated some problems with the software. We should establish why the testing costs were so high and, if there were problems, obtain assurance of their resolution.

(2) The depreciation provision in eSAH's accounts does not seem to accord with its stated policy. They have charged only £25,000 out of a maximum of £81,600 (£408,000 ÷ 5). This would imply a charge only relating to 3.6 months of the year. We will need to ascertain what the depreciation policy is and exactly what capitalised costs have been incurred.

(3) I am suspicious that eSAH has made a nil profit in the year. It looks too coincidental and may have been the result of an arbitrary calculation on, say, depreciation with which I have some doubts anyway.

(4) The investment in the subsidiary eSAH has not been separately presented in SAH's accounts.
£300,000 will need to be recorded as a non-current asset investment once it has been identified where the incorrect debit has been recorded (possibly in the 'non-current assets' total figure).

(5) Overdraft. Unless we see a cash flow forecast demonstrating a dramatic improvement I cannot see how breaching the overdraft condition can be avoided. Two forces are at work in relation to this. First, the debenture interest at 8% suggests a repayment schedule of £130,000 per annum. Allied to significant investment in the subsidiary, cash flow may well be strained in the forthcoming year. Second, unless a refinancing package is agreed, I cannot see how the company can redeem its debenture. I cannot see any course of action at this stage other than to require disclosures on the grounds of going concern.

Receivable and payable days

I have calculated these on a consolidated basis. The relevant figures are

Receivables: (550 + 225)/(990 + (500 – 120)) × 365 = 206 days (assuming revenues are all on credit)

With inventory remaining constant in SAH (and no inventory values in eSAH), then cost of sales is equivalent to purchases. Assuming these are all on credit then

Trade payables: (430 + 300)/((990 × 83%) + ((500 – 120) × 90%)) × 365 = 229 days

The covenant is exceeded. Once this is reported, the debenture holders will be able to enforce the conversion of the debenture into a loan repayable on demand.

I consider it highly likely that the company SAH will become insolvent. It will then be up to the debenture holders to assess if a reorganisation plan is viable. In particular we will need to do the following:

- See and investigate what projections are available for SAH with a view to considering the viability of the business.
- These projections will have implications for the plans for a listing in the near future which look too ambitious as there is likely to be too much uncertainty for the business to be floated successfully.
- Assess if there are any refinancing arrangements in place or proposed that would underpin the survival of the company.
- Look to correspondence with financiers to ascertain evidence of refinancing or a relaxation of the covenants.

Chapter 9

Reporting financial performance

Introduction

Learning outcomes

Chapter study guidance

Learning topics

1 IAS 1, Presentation of Financial Statements

2 IFRS 8, Operating Segments

3 IFRS 5, Non-current Assets Held for Sale and Discontinued Operations

4 IAS 24, Related Party Disclosures

5 IFRS 1, First-time Adoption of International Financial Reporting Standards

6 IAS 34, Interim Financial Reporting

7 IFRS 14, Regulatory Deferral Accounts

8 Audit focus – general issues with reporting performance

9 Audit focus – specific issues

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Explain how different methods of recognising and measuring assets and liabilities can affect reported financial performance
- Explain and appraise accounting standards that relate to reporting performance: in respect of presentation of financial statements; revenue; operating segments; continuing and discontinued operations; EPS; interim reporting
- Formulate and evaluate accounting and reporting policies for single entities and groups of varying sizes and in a variety of industries
- Calculate and disclose, from financial and other qualitative data, the amounts to be included in an entity's financial statements according to legal requirements, applicable financial reporting standards and accounting and reporting policies
- Appraise the significance of inconsistencies and omissions in reported information in evaluating performance
- Compare the performance and position of different entities allowing for inconsistencies in the recognition and measurement criteria in the financial statement information provided
- Make adjustments to reported earnings in order to determine underlying earnings and compare the performance of an entity over time
- Demonstrate and explain, in the application of audit procedures, how relevant ISAs affect audit risk and the evaluation of audit evidence

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
1	**IAS 1, *Presentation of Financial Statements*** IAS 1 forms the basis of financial reporting, setting out the formats of the financial statements and their structure and content.	**Approach** This section will be largely revision from your earlier studies. However, it includes a recent Practice Statement on materiality judgements that you will not have met before, so work through this part carefully. **Stop and think** Is it possible for a financial report to provide too much	IAS 1 formats will be 'taken as read' in your exam. One issue that could come up is that of other comprehensive income, and whether an item may be reclassified from other comprehensive income to profit or loss.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
		information?		
2	**IFRS 8, *Operating Segments*** External users of financial statements rely on the limited disaggregation provided as a result of the requirements of accounting standards such as the disclosure of segmental information.	**Approach** This topic is new at Advanced Level, so needs to be worked through carefully. The best way to learn is by looking at the summary in 3.6.1 and the example and proforma in 3.6.3 and 3.6.4. **Stop and think** How does disaggregation of data help facilitate the assessment of a company's performance?	As IFRS 8 is a disclosure standard, it is likely to come up in the context of financial analysis and also audit.	**IQ1: Segments** This question tests reportable segments requiring application of size criteria and aggregation.
3	**IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*** External users of financial statements rely on the limited disaggregation provided as a result of the requirements of accounting standards such as the disclosure of discontinued operations.	**Approach** You have studied this topic at Professional Level, so work through quickly then do the interactive question. **Stop and think** How do standards such as IFRS 5 and IFRS 8 help provide disaggregated information to users?	Both assets held for sale and discontinued operations are regularly tested, both in the single silo FR question and the integrated question. Scenarios are often very detailed and IFRS 5 will interact with other standards, such as IAS 10.	**IQ2: Held for sale** This question asks you to apply the held-for-sale criteria. Make sure you come to a conclusion.
4	**IAS 24, *Related Party Disclosures*** Related party transactions happen in any size of entity, and are perfectly legal, but need to be disclosed.	**Approach** You have met this standard in your earlier studies but as it comes up quite regularly, it is best to approach it as if learning it from scratch.	As a disclosure standard, IAS 24 is often tested in the context of audit. It can also come up in the context of group accounts.	**IQ4: Related party transactions** This question tests related parties in a group context.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
		Stop and think What is the significance in terms of the company's performance of disclosing related party transactions?		
5	**IFRS 1, *First-time Adoption of International Financial Reporting Standards*** While this standard is within the syllabus, and has affected companies in practice, it is not as significant for your exam.	**Approach** This standard is examinable at Level C and has not yet been examined, so read through but not at the expense of other standards in this chapter. **Stop and think** Questions will generally feature companies that already use IFRS rather than adopting it for the first time.	As yet undetermined as this standard has not been examined.	**IQ5: IFRS 1** Read through the question and 'audit' the answer.
6	**IAS 34, *Interim Financial Reporting*** The preparation of interim financial statements may present a number of challenges. It is common for some business arrangements, such as supply pricing agreements, bonus schemes, taxation and overhead allocation, to be based on annualised approaches. The measurement and presentation of such information may therefore be complex.	**Approach** IAS 34, *Interim Financial Reporting* (a new topic at Advanced Level) lays down the principles and guidelines for the production of interim reports. **Stop and think** What does IAS 34 say about holiday pay?	The key point to remember if IAS 34 comes up in an exam is that an entity should use the same recognition and measurement principles in its interim statements as it does in its annual financial statements.	**IQ6: Interim financial statements** This short question deals with the appropriate tax rate to apply to the profits in an interim report.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
7	**IFRS 14, *Regulatory Deferral Accounts*** This is a fairly minor standard for the purposes of your studies	**Approach** IFRS 14, *Regulatory Deferral Accounts* is in the syllabus, but is not a key topic and has not yet been examined. **Stop and think** IFRS 14 tackles an accounting mismatch. Can you think of another IFRS that does this?	This standard has not yet been examined and is given Level C in the syllabus. However, it could still be examined, though not in as much detail as some of the other IFRS.	N/A
8	**Audit focus – general issues with reporting performance** This is a brief section outlining general issues with performance in the context of ISA 200	**Approach** Read through quickly **Stop and think** Is the auditor concerned only with fraud?	An exam will test specifics rather than general points.	N/A
9	**Audit focus – specific issues** This section gives detailed guidance on the audit of: • Segment information • Held-for-sale assets • Related parties • First-time adoption of IFRS	**Approach** Work through all of this section, focusing particularly on the audit of related parties as this comes up a lot. **Stop and think** How would the auditor determine whether the IFRS 5 held for sale criteria have been met?	Many questions have a scenario in which you are asked to explain the financial reporting treatment and then discuss audit issues. It makes sense to do the FR first as the audit follows on from that. However, questions may also be set in which the financial reporting arises from the audit issue. This approach is a key difference from Professional Level.	**IQ7: Audit procedures – held-for-sale assets** This question is in the style of (though shorter) one you might get as part of Question 3.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 IAS 1, *Presentation of Financial Statements*

Section overview

- IAS 1, *Presentation of Financial Statements* sets down the format of financial statements, containing requirements as to their presentation, structure and content.

1.1 Main features

1.1.1 Titles of financial statements

- The three main financial statements under IAS 1 are as follows:
- Statement of financial position
- Statement of profit or loss and other comprehensive income
- Statement of cash flows

You may still see the older names, particularly balance sheet for statement of financial position as these titles are not mandatory.

1.1.2 Reporting owner changes in equity and comprehensive income

IAS 1 classifies changes in equity in a period as either:

- **owner changes** in equity; or
- **non-owner changes** in equity.

Owner changes in equity arise from transactions with owners in their capacity as owners, eg, dividends paid and issues of share capital. These are presented in the statement of changes in equity.

Non-owner changes in equity (known as 'comprehensive income') include:

- the profit or loss for the period; and
- income or expenditure recognised directly in equity (known as 'other comprehensive income').

These are presented in the statement of profit or loss and other comprehensive income.

Summary

	IAS 1
Profit or loss for period	Statement of profit or loss and other comprehensive income
Non-owner transactions recognised directly in equity	
Owner transactions	Statement of changes in equity

1.1.3 Presentation of comparatives

IAS 1 requires disclosure of comparative information in respect of the previous period. It also requires inclusion of a statement of financial position as at the beginning of the earliest comparative period when an entity:

- retrospectively applies an accounting policy;
- retrospectively restates items in the financial statements; or
- reclassifies items in the financial statements.

In effect this will result in the presentation of three statements of financial position when there is a prior period adjustment.

1.2 Materiality and aggregation

Entities must be able to use judgement when presenting their financial reports. Accordingly, the following are required by IAS 1 paragraph 30A:

(a) Materiality. Information should not be obscured by aggregating or by providing immaterial information. Materiality considerations apply to the parts of the financial statements. Materiality considerations still apply, even when a standard requires a specific disclosure.

(b) Statement of financial position and statement of profit or loss and other comprehensive income. The list of line items to be presented in these statements can be disaggregated and aggregated as relevant and additional guidance is given on subtotals in these statements. An entity's share of other comprehensive income of equity-accounted associates and joint ventures should be presented in aggregate as single line items based on whether or not it will subsequently be reclassified to profit or loss.

Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity. In other words, materiality is an entity-specific aspect of relevance based on the nature or magnitude, or both, of the items to which the information relates in the context of an individual entity's financial report. (IAS 1: para. 7)

The IASB has amended the definition of 'material' to make it clear that obscuring information has the same effect as omitting or misstating it. Obscuring information means making the information so difficult to find or so difficult to understand, that it may as well have been omitted.

This addresses the issue that too much information can be just as problematic as the omission or misstatement of information.

1.2.1 Practice Statement 2: Making Materiality Judgements

The IASB issued Practice Statement 2: *Making Materiality Judgements* in 2017. This is a tool to aid management in using judgement to decide what information is material and what is not; it is a non- mandatory document and does not have the status of an IFRS® Standard.

The key point is a four-step process for making materiality judgements:

Step 1 Identify information that has the potential to be material. This step requires consideration of IFRS requirements and the common information needs of primary users.

Step 2 Assess whether the information identified is material. Both quantitative and qualitative factors should be considered.

Step 3 Organise the information within the draft financial statements so that it supports clear and concise communication.

Step 4 Review the information provided as a whole, considering whether it is material individually and in combination with other information. At this stage information may need to be added or removed.



Professional skills focus: Assimilating and using information

This Practice Statement is an example of where two professional skills interact. In order to apply judgement, you need to identify the relevant information, taking into account IFRS requirements and users' information needs.

Professional skills focus: Applying judgement

Having assimilated and organised the information (steps 1 to 3 of the Practice Statement process), you will be in a position to make judgements about whether it is material. Other information may be needed to support the judgements.

1.3 Statement of financial position

Note that reserves other than share capital and retained earnings may be grouped as 'other components of equity'.

Statement of financial position as at 31 December 20X7

	31 Dec 20X7 $m	31 Dec 20X6 $m
ASSETS		
Non-current assets		
Property, plant and equipment	X	X
Goodwill	X	X
Other intangible assets	X	X
Investments in associates	X	X
Investments in equity instruments	X	X
	X	X
Current assets		
Inventories	X	X
Trade receivables	X	X
Other current assets	X	X
Cash and cash equivalents	X	X
	X	X
Total assets	X	X
EQUITY AND LIABILITIES		
Equity attributable to owners of the parent		
Share capital		
	X	X
Retained earnings	X	X
Other components of equity	X	X
	X	X
Non-controlling interests	X	X
Total equity	X	X
Non-current liabilities		
Long-term borrowings	X	X
Deferred tax	X	X
Long-term provisions	X	X
Total non-current liabilities	X	X
Current liabilities		
Trade and other payables	X	X
Short-term borrowings	X	X
Current portion of long-term borrowings	X	X
Current tax payable	X	X

	31 Dec 20X7	31 Dec 20X6
	$m	$m
Short-term provisions	X	X
Total current liabilities	X	X
Total liabilities	X	X
Total equity and liabilities	X	X

1.4 Statement of profit or loss and other comprehensive income

The statement of profit or loss and other comprehensive income presents the total comprehensive income of an entity for a period.

Total comprehensive income is the change in equity during a period resulting from transactions and other events, other than those changes resulting from transactions with owners in their capacity as owners. It includes all components of profit or loss and of 'other comprehensive income'.

Other comprehensive income includes income and expenses that are not recognised in profit or loss, but instead recognised directly in equity. It includes:

- changes in the revaluation surplus;
- remeasurements (actuarial gains and losses) on defined benefit plans recognised in accordance with IAS 19, *Employee Benefits* (Chapter 18);
- gains and losses arising from translating the financial statements of a foreign operation (Chapter 21);
- gains and losses on remeasuring investments in equity instruments where an irrevocable election has been made to record changes in OCI (Chapter 16); and
- the effective portion of gains and losses on hedging instruments in a cash flow hedge (Chapter 17).

1.4.1 Presentation of other comprehensive income

The **blurring of distinctions** between different items in OCI is the result of an underlying **general lack of agreement** among users and preparers about **which items should be presented in OCI** and which should be part of the profit or loss section. For instance, a common misunderstanding is that the split between profit or loss and OCI is on the basis of realised versus unrealised gains. This is not, and has never been, the case.

This lack of a consistent basis for determining how items should be presented can lead to the somewhat inconsistent use of OCI in financial statements.

Professional skills focus: Applying judgement

This is an example where judgement can shade into subjectivity, and more specific guidance is needed to focus the judgement of the preparer of financial statements.

IAS 1 approach

Entities are required to group items presented in OCI on the basis of **whether they would be reclassified** to (recycled through) profit or loss at a later date, when specified conditions are met.

The amendment does not address which items are presented in OCI or which items need to be reclassified.

Income tax

IAS 1 requires an entity to disclose income tax relating to each component of OCI. This is because these items often have tax rates different from those applied to profit or loss. This may be achieved by either:

- presenting individual components of OCI net of the related tax; or
- presenting individual components of OCI before tax, with one amount shown for the aggregate amount of income tax relating to those components.

Presentation

IAS 1 allows comprehensive income to be presented in two ways:

(a) A single statement of profit or loss and other comprehensive income; or

(b) A statement displaying components of profit or loss plus a second statement beginning with profit or loss and displaying components of OCI (statement of profit or loss and other comprehensive income).

The recommended format of a single statement of profit or loss and other comprehensive income is as follows:

Statement of profit or loss and other comprehensive income for the year ended 31 December 20X7

	20X7 $m	20X6 $m
Revenue	X	X
Cost of sales	(X)	(X)
Gross profit	X	X
Other income	X	X
Distribution costs	(X)	(X)
Administrative expenses	(X)	(X)
Other expenses	(X)	(X)
Finance costs	(X)	(X)
Share of profit of associates	X	X
Profit before tax	X	X
Income tax expense	(X)	(X)
Profit for the year from continuing operations	X	X
Loss for the year from discontinued operations		(X)
PROFIT FOR THE YEAR	X	X
Other comprehensive income:		
Items that will not be reclassified to profit or loss:		
Gains on property revaluation	X	X
Investment in equity instruments	(X)	X
Actuarial gains (losses) on defined benefit pension plans	(X)	X
Share of gain (loss) on property revaluation of associates	X	(X)
Income tax relating to items that will not be reclassified	X	(X)
	(X)	X
Items that may be reclassified subsequently to profit or loss:		
Exchange differences on translating foreign operations	X	X
Cash flow hedges	(X)	(X)

	20X7 $m	20X6 $m
Income tax relating to items that may be reclassified	(X)	(X)
	X	X
Other comprehensive income for the year, net of tax	(X)	X
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	X	X
Profit attributable to:		
Owners of the parent	X	X
Non-controlling interests	X	X
	X	X
Total comprehensive income attributable to:		
Owners of the parent	X	X
Non-controlling interests	X	X
	X	X
Earnings per share ($)		
Basic and diluted	X	X

Alternatively, components of OCI could be presented in the statement of profit or loss and other comprehensive income net of tax.

Statements of profit or loss

Throughout this Workbook, income and expense items which are included in the 'top half' of the statement of profit or loss and other comprehensive income are referred to as recognised in profit or loss, or recognised in the income statement.

Income and expense items included in the 'bottom half' of the statement of profit or loss and other comprehensive income are referred to as recognised in other comprehensive income.

For exam purposes, you must ensure that you clarify where in the statement of profit or loss and other comprehensive income an item is recorded, by referring to recognition:

- in profit or loss; or
- in other comprehensive income.

1.5 Statement of changes in equity

All changes in equity arising from transactions with owners in their capacity as owners are shown in the statement of changes in equity.

Non-owner transactions are not permitted to be shown in the statement of changes in equity other than in aggregate.

Statement of changes in equity for the year ended 31 December 20X7

	Share capital	Retained earnings	Trans. of foreign ops	Inv. in equity instrum en	Cash flow	Revaluat ion surplus	Total	Non-controlling interest	Total equity
	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000	£'000
Balance at 1 Jan 20X7	X	X	(X)	X	X	–	X	X	X
Changes in acc'g policy	–	X	–	–	–	–	X	–	X
Restated balance	X	X	(X)	X	X	–	X	X	X
Changes in equity during 20X7									
Issue of share capital	X	–	–	–	–	–	X	–	X
Dividends	–	(X)	–	–	–	–	(X)	(X)	(X)
Total comp. income for the year	–	X	X	X	X	X	X	X	X
Transfer to retained earn'gs	–	X	–	–	–	(X)	–	–	–
Balance at 31 Dec 20X7	X	X	X	X	X	X	X	X	X

A comparative statement for the prior period is also required. Here is an example of a statement of changes in equity with some real figures in, to give you a better idea of what it looks like:

Olive Group: statement of changes in equity for the year ended 30 June 20X9

Share Balance	Share capital	Retained earnings	Inv. in equity instrum'ts	Revaluat'n surplus	Total	Non-controlling interest	Total equity
	£m	£m	£m	£m	£m	£m	£m
Balance at 1 July 20X8	14,280	10,896	384	96	25,656	1,272	26,928
Share capital issued	1,320				1,320		1,320
Dividends		(216)			(216)	(120)	(336)
Total comp. income for the year		(1,296)	72	48	(1,176)	528	(648)
Balance at 30 June 20X9	15,600	9,384	456	144	25,584	1,680	27,264

1.6 *IFRS 18, Presentation and Disclosure in Financial Statements*

IFRS 18, Presentation and Disclosure in Financial Statements was published by the IASB in April 2024 with an effective date of 1 January 2027, although earlier adoption is permitted. The new standard replaces IAS 1, Presentation of Financial Statements with most of IAS 1 effectively transferring to IFRS 18 with no changes.

The detailed content of IFRS 18 is not part of the Corporate Reporting syllabus in 2025. You should, however, be aware of the key changes that will be introduced under IFRS 18 as a current Corporate Reporting issue.

1.6.1 *Objective*

The overall objective of IFRS 18 is to provide investors with better information for decision making purposes by ensuring that information is more comparable, consistent and transparent than previously provided.

IFRS 18 will primarily affect the presentation of the Statement of Profit or Loss as well as the disclosure of information about income and expenses, but not how income and expenses are recognised and measured.

1.6.2 *Statement of Profit or Loss*

Entities will be required to classify income and expenses into one of three categories in the Statement of Profit or Loss – operating, investing or financing – and to present two new specifically defined subtotals for operating profit and profit before financing and income tax (in addition to profit for the year).

*The **operating category** is effectively a default category and should include all income and expenses arising from an entity's **main business activities**. Expenses can be presented either by function or by nature (or a combination of both) to provide the most useful structured summary of the entity's main business activities. If expenses are presented by function, further details must be disclosed in the notes regarding depreciation, amortisation, employee benefits, impairment losses and inventory write downs.*

*The **investing category** includes all income and expenses from assets that generate returns for the entity separately from its main business activities. This could include rental income, or dividends received on investments in shares, where property rentals and the holding of investments are not the entity's main business activities. This category also includes income and expenses from cash and cash equivalents and share of profit of associates and joint ventures.*

*Income and expenses on liabilities arising from transactions involving the raising of finance and the subsequent remeasurement of those liabilities is included in the **financing category**. This also includes interest income and expenses on other liabilities such as lease liabilities or defined benefit pension liabilities.*

1.6.3 *Management-defined performance measures (MPMs)*

Many entities report alternative or non-GAAP measures as part of their Annual Report (for example key performance indicators contained within a Strategic Report). Where these measures of performance meet the definition of MPMs, companies are required to disclose in the notes to the financial statements a reconciliation between those measures reported by the company and comparable subtotals listed in IFRS 18 (or totals and subtotals required by another IFRS standard).

IFRS 18 defines MPMs as subtotals of income and expenses other than those listed by IFRS 18 or specifically required by IFRS Accounting Standards that a company uses in public communications outside the financial statements to communicate to investors

management's view of an aspect of the financial performance of the company as a whole. This would include, for example, adjusted profit measures or adjusted EBITDA.

1.6.4 *Grouping of information*

The purpose of the primary statements is to provide structured summaries of a company's recognised assets, liabilities, equity, income, expenses and cash flows that are useful to investors for obtaining an understandable overview of the company, making comparisons between companies and between reporting periods and identifying items or areas where they wish to seek additional information, for example in the notes.

The notes provide material information necessary to enable investors to understand the line items in the primary financial statements and to supplement the primary financial statements with additional information to achieve the objective of the financial statements.

IFRS 18 gives guidance on how transactions and events should be grouped into the line items for the primary financial statements and information disclosed in the notes.

2 IFRS 8, *Operating Segments*



Section overview

An important aspect of reporting financial performance is **segment reporting**. This is covered by IFRS 8, *Operating Segments*.

IFRS 8 is a **disclosure standard**.

- **Segment reporting** is necessary for a better understanding and assessment of:
  - past performance;
  - risks and returns; and
  - informed judgements.
- IFRS 8 adopts the **managerial approach** to identifying segments.
- The standard gives guidance on how segments should be **identified** and **what information should be disclosed** for each.

It also sets out **requirements for related disclosures** about products and services, geographical areas and major customers.

2.1 Introduction

Large entities produce a wide range of products and services, often in several different countries. Further information on how the overall results of entities are made up from each of these product or geographical areas will help the users of the financial statements. This is the reason for **segment reporting**.

- The entity's **past performance** will be better understood.
- The entity's **risks and returns** may be better assessed.
- More **informed judgements** may be made about the entity as a whole.

Risks and returns of a **diversified, multinational company** can be better assessed by looking at the individual risks and rewards attached to groups of products or services or in different geographical areas. These are subject to differing rates of profitability, opportunities for growth, future prospects and risks.

2.2 Objective and scope

An entity must disclose information to enable users of its financial statements to evaluate the nature and financial effects of the business activities in which it engages and the economic environments in which it operates.

Only entities whose **equity or debt securities are publicly traded** (ie, on a stock exchange) need disclose segment information. In group accounts, only **consolidated** segmental information needs to be shown. (The statement also applies to entities filing or in the process of filing financial statements for the purpose of issuing instruments.)

2.3 Definition of operating segment



Definition

Operating segment: This is a component of an entity:

- that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity);
- whose operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance; and
- for which discrete financial information is available.

The term 'chief operating decision maker' identifies a function, not necessarily a manager with a specific title. That function is to allocate resources and to assess the performance of the entity's operating segments.

2.4 Aggregation

Two or more operating segments may be **aggregated** if the segments have **similar economic characteristics**, and the segments are similar in all of the following respects:

- The nature of the products or services
- The nature of the production process
- The type or class of customer for their products or services
- The methods used to distribute their products or provide their services
- If applicable, the nature of the regulatory environment

2.5 Determining reportable segments

An operating segment is reportable where:

- It meets the definition of an operating segment; and
- Any of the following size criteria are met:
  - Segment **revenue** ≥ 10% of total (internal and external) revenue
  - Segment **profit or loss** ≥ 10% of the profit of all segments in profit (or loss of all segments making a loss if greater)
  - Segment **assets** ≥ 10% of total assets

At least **75% of total external revenue** must be reported by operating segments. Where this is not the case, additional segments must be identified (even if they do not meet the 10% thresholds).

2.5.1 Aggregating segments

Two or more operating segments **below** the thresholds may be aggregated to produce a reportable segment if the segments have similar economic characteristics, and the segments are similar in a **majority** of the aggregation criteria above.

Evidence of similar economic characteristics is given by **similar long-term financial performance**. For example, similar long-term average gross margins for two operating segments would be expected if their economic characteristics were similar.

2.5.2 Non-reportable segments

Operating segments that do not meet **any of the quantitative thresholds** may be reported separately if management believes that information about the segment would be useful to users of the financial statements.

Non-reportable segments are required by IFRS 8 to be combined and disclosed in an 'all other segments' category separate from other reconciling items in the reconciliations required by IFRS8. Entities must disclose the sources of revenue in the 'all other segments' category.

Professional skills focus: Structuring problems and solutions

IFRS 8 provides a framework for structuring the problem of comparing like with like and identifying important areas of the business. First segments need to be identified – not always easy in real life or in the exam. Then the relevant disclosures need to be made.

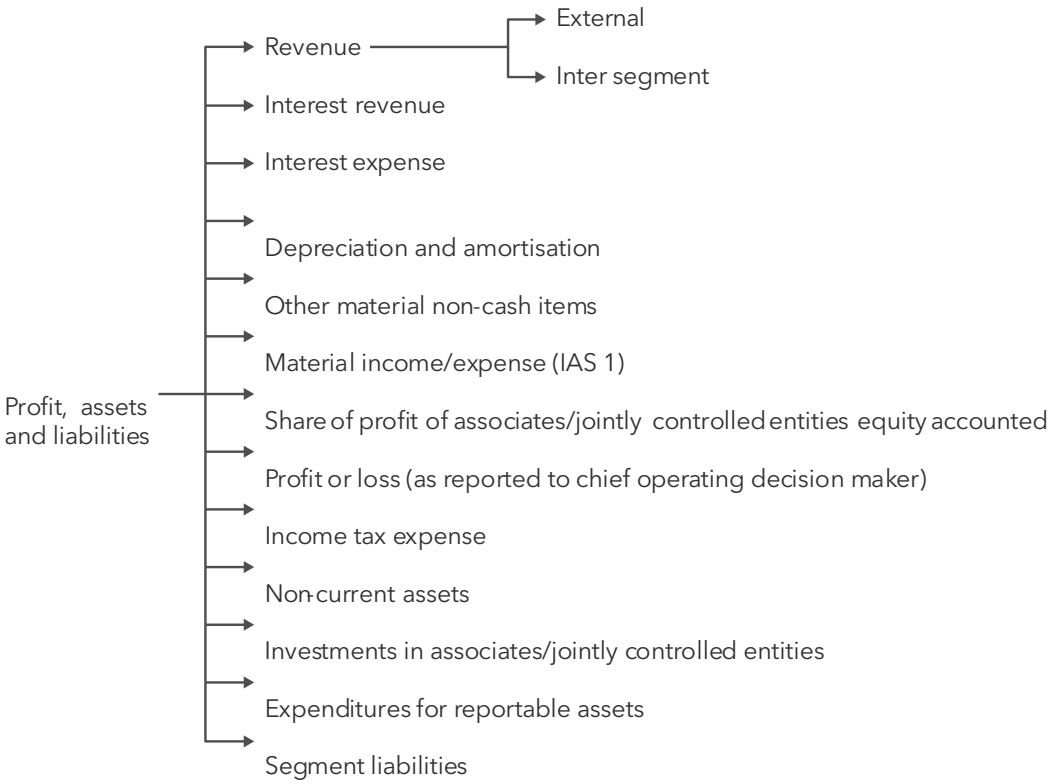
2.6 Disclosures

2.6.1 Segment disclosures

Disclosures required by the IFRS are extensive and best learned by looking at the example and pro forma, which follow the list. Disclosure is required of:

- Factors used to identify the entity's reportable segments
- **Types of products and services** from which each reportable segment derives its revenues
- For each reportable segment:
  - Operating segment profit or loss
  - Segment assets
  - Segment liabilities
  - Certain income and expense items

Figure 9.1: IFRS 8 Disclosures



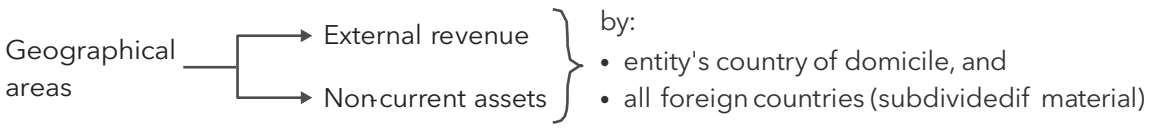
A **reconciliation** of each of the above material items to the entity's reported figures is required.

Reporting of a measure of **profit or loss** by segment is compulsory. Other items are disclosed if included in the figures reviewed by or regularly provided to the chief operating decision maker.

2.6.2 Entity-wide disclosures

The following disclosures are required for the whole entity:

- **External revenue** by each product and service (if reported basis is not products and services)
- **Geographical information**:



Notes

1 External revenue is allocated based on the customer's location.

2 Non-current assets exclude financial instruments, deferred tax assets, post-employment benefit assets, and rights under insurance contracts.

- Information about **reliance on major customers** (ie, those who represent more than 10% of external revenue)

2.6.3 Disclosure example from IFRS 8

The following example is adapted from the IFRS 8 *Implementation Guidance*, which emphasises that this is for illustrative purposes only and that the information must be presented in the most understandable manner in the specific circumstances.

The hypothetical company does not allocate tax expense (tax income) or non-recurring gains and losses to reportable segments. In addition, not all reportable segments have material noncash items other than depreciation and amortisation in profit or loss. The amounts in this illustration, denominated as dollars, are assumed to be the amounts in reports used by the chief operating decision maker.

	Car parts	Motor vessel	Software	Electronics	Finance	All other	Totals
	$	$	$	$	$	$	$
Revenues from external customers	3,000	5,000	9,500	12,000	5,000	1,000	35,500
Inter-segment revenues	–	–	3,000	1,500	–	–	4,500
Interest revenue	450	800	1,000	1,500	–	–	3,750
Interest expense	350	600	700	1,100	–	–	2,750
Net interest revenue	–	–	–	–	1,000	–	1,000
Depreciation and amortisation	200	100	50	1,500	1,100	–	2,950
Reportable segment profit	200	70	900	2,300	500	100	4,070
Other material non-cash items:							
Impairment of assets	–	200	–	–	–	–	200
Reportable segment assets	2,000	5,000	3,000	12,000	57,000	2,000	81,000
Expenditure for reportable segment non-current assets	300	700	500	800	600	–	2,900
Reportable segment liabilities	1,050	3,000	1,800	8,000	30,000	–	43,850

- 'All other' segment results are attributable to four operating segments of the company which do not meet the quantitative thresholds. Those segments include a small property business, an electronics equipment rental business, a software consulting practice and a warehouse leasing operation. None of those segments has ever met any of the quantitative thresholds for determining reportable segments.
- The finance segment derives a majority of its revenue from interest. Management primarily relies on net interest revenue, not the gross revenue and expense amounts, in managing that segment. Therefore, as permitted by IFRS 8, only the net amount is disclosed.

2.6.4 Suggested pro forma

Information about profit or loss, assets and liabilities

	Segment A	Segment B	Segment C	All other segments	Inter segment	Entity total
Revenue – external customers	X	X	X	X	–	X
Revenue – inter segment	X	X	X	X	(X)	–
	X	X	X	X	(X)	X
Interest revenue	X	X	X	X	(X)	X
Interest expense	(X)	(X)	(X)	(X)	X	(X)
Depreciation and amortisation	(X)	(X)	(X)	(X)	–	(X)
Other material non-cash items	X/(X)	X/(X)	X/(X)	X/(X)	X/(X)	X/(X)
Material income/expense (IAS 1)	X/(X)	X/(X)	X/(X)	X/(X)	X/(X)	X/(X)

	Segment A	Segment B	Segment C	All other segments	Inter segment	Entity total
Share of profit of associate/JVs	X	X	X	X	–	X
Segment profit before tax	X	X	X	X	(X)	X
Income tax expense	(X)	(X)	(X)	(X)	–	(X)
Unallocated items						X/(X)
Profit for the period						X
Segment assets	X	X	X	X	(X)	X
Investments in associate/JVs	X	X	X	X	–	X
Unallocated assets						X
Entity's assets						X
Expenditures for reportable assets	X	X	X	X	(X)	X
Segment liabilities	X	X	X	X	(X)	X
Unallocated liabilities						X
Entity's liabilities						X

Information about geographical areas	Country of domicile	Foreign countries	Total
Revenue – external customers	X	X	X
Non-current assets	X	X	X



Interactive question 1: Segments

Endeavour, a public limited company, trades in six business areas which are reported separately in its internal accounts provided to the chief operating decision maker. The results of these segments for the year ended 31 December 20X5 are as follows.

Operating segment information as at 31 December 20X5

	External revenue £m	Internal revenue £m	Total revenue £m	Segment profit/ (loss) £m	Segment assets £m	Segment liabilities £m
Chemicals:						
- Europe	14	7	21	1	31	14
- Rest of world	56	3	59	13	78	34
Pharmaceuticals wholesale	59	8	67	9	104	35
Pharmaceuticals retail	22	0	22	(2)	30	12
Cosmetics	12	3	15	2	18	10
Hair care	11	1	12	4	21	8
Body care	18	24	42	(6)	54	19
	192	46	238	21	336	132

Requirement

Which of the operating segments of Endeavour constitute a 'reportable' operating segment under IFRS 8, *Operating Segments* for the year ending 31 December 20X5?

See **Answer** at the end of this chapter.

3 IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*

Section overview

IFRS 5 requires assets and groups of assets that are 'held for sale' to be **presented separately** on the face of the statement of financial position and the results of discontinued operations to be presented separately in the statement of profit or loss and other comprehensive income. This is required so that users of financial statements will be better able to make **projections** about the financial position, profits and cash flows of the entity based on continuing operations only.

Definition

Disposal group: A group of assets to be disposed of, by sale or otherwise, together as a group in a single transaction, and liabilities directly associated with those assets that will be transferred in the transaction. (In practice a disposal group could be a subsidiary, a cash-generating unit or a single operation within an entity.)

(IFRS 5)

A disposal group could form a group of cash-generating units, a single cash-generating unit or be part of a cash-generating unit.

The disposal group should include goodwill if it is a cash-generating unit (or group of cash-generating units to which goodwill has been allocated under IAS 36). Only goodwill recognised in the statement of financial position can be included in the disposal group. If a previous generally accepted accounting practice (GAAP) allowed goodwill to be recorded directly in reserves, this goodwill does not form part of a disposal group.

A disposal group may include current and non-current assets and current and non-current liabilities. However, only liabilities that will be transferred as part of the transaction are classified as part of the disposal group. If any liabilities remain with the vendor, these are not included in the scope of IFRS 5.

IFRS 5 does not apply to certain assets covered by other accounting standards:

- Deferred tax assets (IAS 12)
- Assets arising from employee benefits (IAS 19)
- Financial assets (IFRS 9)
- Investment properties accounted for in accordance with the fair value model (IAS 40)
- Agricultural and biological assets that are measured at fair value less estimated point of sale costs (IAS 41)
- Insurance contracts (IFRS 4)

3.1 Classification of assets held for sale

A non-current asset (or disposal group) should be classified as **held for sale** if its carrying amount will be recovered **principally through a sale transaction** rather than **through continuing use**. A number of detailed criteria must be met:

- The asset must be **available for immediate sale** in its present condition.
- Its sale must be **highly probable** (ie, significantly more likely than not).

For the sale to be highly probable, the following must apply.

- Management must be **committed** to a plan to sell the asset.
- There must be an active programme to **locate a buyer**.
- The asset must be marketed for sale at a **price that is reasonable** in relation to its current fair value.
- The sale should be expected to take place **within one year** from the date of classification.
- It is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.

An asset (or disposal group) can still be classified as held for sale, even if the sale has not actually taken place within one year. However, the delay must have been **caused by events or circumstances beyond the entity's control** and there must be sufficient evidence that the entity is still committed to sell the asset or disposal group. Otherwise the entity must cease to classify the asset as held for sale.

Subsidiaries acquired exclusively with a view to resale

If an entity acquires a disposal group (eg, a subsidiary) exclusively with a view to its subsequent disposal it can classify the asset as held for sale only if the sale is expected to take place within one year and it is highly probable that all the other criteria will be met within a short time (normally three months).

Abandoned assets

An asset that is to be **abandoned** should not be classified as held for sale. This is because its carrying amount will be recovered principally through continuing use. However, a disposal group that is to be abandoned may meet the definition of a discontinued operation and therefore separate disclosure may be required (see below).



Interactive question 2: Held for sale

On 1 December 20X3, a company became committed to a plan to sell a manufacturing facility and has already found a potential buyer. The company does not intend to discontinue the operations currently carried out in the facility. At 31 December 20X3 there is a backlog of uncompleted customer orders. The subsidiary will not be able to transfer the facility to the buyer until after it ceases to operate the facility and has eliminated the backlog of uncompleted customer orders. This is not expected to occur until Spring 20X4.

Requirement

How should the manufacturing facility be accounted for as at 31 December 20X3?

See **Answer** at the end of this chapter.

3.2 Measurement of assets held for sale

A non-current asset (or disposal group) that is held for sale should be measured at the **lower of** its **carrying amount** and **fair value less costs to sell** (net realisable value).

An impairment loss should be recognised where fair value less costs to sell is lower than carrying amount. Note that this is an exception to the normal rule. IAS 36, *Impairment of Assets* requires an entity to recognise an impairment loss only where an asset's recoverable amount is lower than its carrying value. Recoverable amount is defined as the higher of **net realisable value** and **value in use**. IAS 36 does not apply to assets held for sale.

Non-current assets held for sale **should not be depreciated**, even if they are still being used by the entity.

A non-current asset (or disposal group) that is **no longer classified as held for sale** (for example, because the sale has not taken place within one year) is measured at the **lower of the following**:

- Its **carrying amount** before it was classified as held for sale, adjusted for any depreciation that would have been charged had the asset not been held for sale
- Its **recoverable amount** at the date of the decision not to sell

3.3 Presenting discontinued operations



Definition

Discontinued operation: A component of an entity that has either been disposed of, or is classified as held for sale, and:

- represents a separate major line of business or geographical area of operations;
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

Operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

An entity should **present and disclose information** that enables users of the financial statements to evaluate the financial effects of **discontinued operations** and disposals of non-current assets or disposal groups.

An entity should disclose a **single amount** on the **face of the statement of profit or loss and other comprehensive income** (or statement of profit or loss where presented separately) comprising the total of:

- the **post-tax profit or loss** of discontinued operations; and
- the post-tax gain or loss recognised on the **measurement to fair value less costs to sell** or on the disposal of the assets or disposal group(s) constituting the discontinued operation.

An entity should also disclose an **analysis** of the above single amount into:

- the revenue, expenses and pre-tax profit or loss of discontinued operations;
- the related income tax expense;
- the gain or loss recognised on the measurement to fair value less costs to sell or on the disposal of the assets or the discontinued operation; and
- the related income tax expense.

This may be presented either on the face of the statement of profit or loss and other comprehensive income or in the notes. If it is presented on the face of the statement of profit or loss and other comprehensive income it should be presented in a section identified as relating to discontinued operations, ie, separately from continuing operations. This analysis is not required where the discontinued operation is a newly acquired subsidiary that has been classified as held for sale.

An entity should disclose the **net cash flows** attributable to the operating, investing and financing activities of discontinued operations. These disclosures may be presented either on the face of the statement of cash flows or in the notes.

Gains and losses on the remeasurement of a disposal group that is not a discontinued operation but is held for sale should be included in profit or loss from continuing operations.

Interactive question 3: Closure

On 20 October 20X3 the directors of a parent company made a public announcement of plans to close a steel works. The closure means that the group will no longer carry out this type of operation, which until recently has represented about 10% of its total revenue. The works will be gradually shut down over a period of several months, with complete closure expected in July 20X4. At 31 December 20X3 output had been significantly reduced and some redundancies had already taken place. The cash flows, revenues and expenses relating to the steel works can be clearly distinguished from those of the subsidiary's other operations.

Requirement

How should the closure be treated in the financial statements for the year ended 31 December 20X3?

See **Answer** at the end of this chapter.

3.4 Presentation of a non-current asset or disposal group classified as held for sale

- Non-current assets and disposal groups classified as held for sale should be **presented separately** from other assets in the statement of financial position. The liabilities of a disposal group should be presented separately from other liabilities in the statement of financial position.
- Assets and liabilities held for sale **should not be offset**.
- The **major classes** of assets and liabilities held for sale should be **separately disclosed** either on the face of the statement of financial position or in the notes.

3.5 IFRS 5 and impairment

There are particular rules on impairment in the context of IFRS 5. These are covered in Chapter 12, section 1.4 of this Workbook.

3.6 Additional disclosures

In the period in which a non-current asset (or disposal group) has been either classified as held for sale or sold, the following should be disclosed.

(a) A **description** of the non-current asset (or disposal group)

(b) A description of the **facts and circumstances** of the disposal

(c) Any **gain or loss** recognised when the item was classified as held for sale

(d) If applicable, the **segment** in which the non-current asset (or disposal group) is presented in accordance with IFRS 8, *Operating Segments*

Where an asset previously classified as held for sale is **no longer held for sale**, the entity should disclose a description of the facts and circumstances leading to the decision and its effect on results.

4 IAS 24, Related Party Disclosures

Section overview

The objective of IAS 24 is to ensure that an entity's financial statements contain the disclosures necessary to draw attention to the possibility that its financial position and/or profit or loss may have been affected by the existence of related parties or by related party transactions.

4.1 Overview of material from earlier studies

Scope

IAS 24 requires disclosure of related party transactions, and outstanding balances, in the separate financial statements of:

- a parent;
- a venturer; or
- an investor.

What constitutes a related party?

A related party is a person or entity that is related to the entity that is preparing its financial statements.

(a) A **person** or a close member of that person's family is **related** to a reporting entity if that person:
   (1) has control or joint control over the reporting entity;
   (2) has significant influence over the reporting entity; or
   (3) is a member of the key management personnel of the reporting entity or of a parent of the reporting entity.

(b) An **entity** is related to a reporting entity if any of the following conditions apply:
   (1) The entity and the reporting entity are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others).
   (2) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member).
   (3) Both entities are joint ventures of the same third party.
   (4) One entity is a joint venture of a third entity and the other entity is an associate of the third entity.
   (5) The entity is a post-employment defined benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity. If the reporting entity is itself such a plan, the sponsoring employers are also related to the reporting entity.
   (6) The entity is controlled or jointly controlled by a person identified in (a).
   (7) A person identified in (a)(1) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).
   (8) The entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or the parent of the reporting entity.

Exclusions

- **Two entities simply because they have a director or other key management in common** (notwithstanding the definition of related party above, although it is necessary to consider how that director would affect both entities)
- **Two venturers, simply because they share joint control over a joint venture**
- Certain other bodies, simply as a result of their **role in normal business dealings** with the entity:
  - Providers of finance
  - Trade unions
  - Public utilities
  - Government departments and agencies
- **Any single customer, supplier, franchisor, distributor or general agent** with whom the entity transacts a significant amount of business, simply by virtue of the resulting economic dependence

What constitutes a related party transaction?



Definition

Related party transaction: A transfer of resources, services or obligations between related parties, regardless of whether a price is charged.

What must be disclosed?

- **A related party relationship between parent and subsidiaries**
- **Compensation**, being the consideration in exchange for their services, received by key management personnel
- **Disclosures** required about related parties **only if transactions have taken place between them during the period**:
  - The nature of the relationship (but remember this must always be disclosed in respect of a parent)
  - The amount of the transactions
  - The amount of any balance outstanding at the year end
  - The terms and conditions attaching to any outstanding balance (for example, whether security or guarantees have been provided and what form the payment will take)
  - If an amount has been provided against or written off any outstanding balance due
- **Disclosure** of the fact that transactions are on an **arm's length basis** (the term 'arm's length' continues to be used in the context of IAS 24, even though it has been removed from the definition of fair value in IFRS 13 (see Chapter 2, section 4))



Interactive question 4: Related party transactions

P owns S and a number of other subsidiaries. The following details relate to amounts due to the key management personnel (KMP) of P and of S for the year ended 31 December 20X5.

	£
Salaries and related taxes payable by S to its KMP for services rendered to S	500,000
Salaries and related taxes payable by P to S's KMP for services rendered to S	60,000

Salaries and related taxes payable by S to its KMP for services rendered to P	20,000
Pension benefits accruing within the group-wide pension scheme to S's KMP for services rendered to S	50,000
Share options granted under the group-wide share option scheme to S's KMP for services rendered to S 28,000	
	658,000

Requirement

What transactions should be disclosed as key management personnel compensation in the financial statements of S?

See **Answer** at the end of this chapter.

4.2 Application of substance over form

Under IAS 24 attention should be directed to the **substance** of the relationship rather than focusing on its legal form. For example, the following **are not related parties**:

- Two entities **simply because they have a director** (or other member of key management personnel) **in common**, or because a member of key management personnel of one entity has significant influence over the other entity
- Two venturers **simply because they share joint control over a joint venture**
- Providers of finance, trade unions, public utilities and government departments and agencies of a government that does not control, jointly control or significantly influence the reporting entity **simply by virtue of their normal dealings with an entity**
- A customer, supplier, franchisor, distributor or general agent, with whom an entity transacts a significant volume of business, **simply by virtue of the resulting economic dependence**

Context example: Related parties

The following examples illustrate the application of the definition of a related party to practical situations:

(a) Alan Jones owns 30% of Benson Co and Clark Co owns 40% of Benson Co. The remaining 30% is held by many unconnected shareholders.

Benson Co is the reporting entity:

Alan Jones is a related party under definition (a)(2) and Clark Co is a related party under definition (b)(2)

Clark Co is the reporting entity:

Benson Co is a related party under definition (b)(2)

(b) Alan Jones and Benson Co have joint control over Clark Co Benson Co is the reporting entity:
Clark Co is a related party under definition (b)(2) Clark Co is the reporting entity:
Alan Jones is a related party under definition (a)(1) and Benson Co is a related party under definition (b)(2)

(c) Alan Jones is a non-executive director of Benson Co Benson Co is the reporting entity:
Alan Jones falls within the definition of Benson Co's key management personnel and is a related party under definition (a)(3)

(d) Alan Jones owns 70% of Benson Co and is a director of Clark Co Benson Co is the reporting entity:
Alan Jones is a related party under definition (a)(1) and Clark Co is a related party under definition (b)(7)

Clark Co is the reporting entity:

Alan Jones falls within the definition of Clark Co's key management personnel and is a related party under definition (b)(3)

Benson Co is a related party under definition (b)(6)

5 IFRS 1, *First-time Adoption of International Financial Reporting Standards*



Section overview

- IFRS 1 gives guidance to entities applying IFRS Standards for the first time.

The adoption of a new body of accounting standards will inevitably have a significant effect on the accounting treatments used by an entity and on the related **systems and procedures**. In 2005 many countries adopted IFRS for the first time and over the next few years other countries are likely to do the same.

In addition, many Alternative Investment Market (AIM) companies and public sector companies adopted IFRS Standards for the first time for accounting periods ending in 2009 and 2010. US companies are likely to move increasingly to IFRS, although the US Securities and Exchange Commission did not give any definite timeline for this in its 2012 work plan.

IFRS 1, *First-time Adoption of International Financial Reporting Standards* was issued to ensure that an entity's first IFRS financial statements contain high quality information that fulfil the following criteria:

- It is transparent for users and comparable over all periods presented.
- It provides a suitable starting point for accounting under IFRS Standards.
- It can be generated at a cost that does not exceed the benefits to users.

5.1 General principles

An entity applies IFRS 1 in its first IFRS financial statements.

An entity's first IFRS financial statements are the first annual financial statements in which the entity adopts IFRS Standards by an **explicit and unreserved statement of compliance** with IFRS Standards.

Any other financial statements (including fully compliant financial statements that did not state so) are not the first set of financial statements under IFRS Standards.

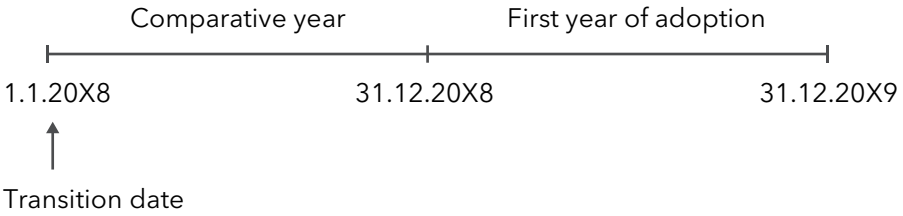
5.2 Opening IFRS statement of financial position

An entity **prepares and presents** an **opening IFRS statement of financial position** at the date of transition to IFRS Standards as a starting point for IFRS accounting.

Generally, this will be the beginning of the **earliest comparative period shown** (ie, full retrospective application). Given that the entity is applying a change in accounting policy on

adoption of IFRS 1, IAS 1, *Presentation of Financial Statements* requires the presentation of **at least three statements of financial position** (and two of each of the other statements).

Context example: Opening IFRS SOFP



Preparation of an opening IFRS statement of financial position typically involves adjusting the amounts reported at the same date under previous GAAP.

All adjustments are recognised **directly in retained earnings** (or, if appropriate, another category of equity) not in profit or loss.

5.3 Estimates

Estimates in the opening IFRS statement of financial position must be consistent with estimates **made at the same date under previous GAAP** even if further information is now available (in order to comply with IAS 10).

5.4 Transition process

(a) **Accounting policies**

The entity should select accounting policies that comply with IFRS Standards effective **at the end of the first IFRS reporting period**.

These accounting policies are used in the opening IFRS statement of financial position and throughout all periods presented. The entity does not apply different versions of IFRS Standards effective at earlier dates.

(b) **Derecognition of assets and liabilities**

A previous GAAP statement of financial position may contain items that do not qualify for recognition under IFRS.

Eg, IFRS Standards do not permit capitalisation of research, staff training and relocation costs.

(c) **Recognition of new assets and liabilities**

New assets and liabilities may need to be recognised.

Eg, deferred tax balances and certain provisions such as environmental and decommissioning costs.

(d) **Reclassification of assets and liabilities**

Eg, compound financial instruments need to be split into their liability and equity components.

(e) **Measurement**

Value at which asset or liability is measured may differ under IFRS Standards.

Eg, discounting of deferred tax assets/liabilities not allowed under IFRS Standards.

5.5 Main exemptions from applying IFRS Standards in the opening IFRS statement of financial position

(a) **Property, plant and equipment, investment properties and intangible assets**

- Fair value/previous GAAP revaluation may be used as a substitute for cost at date of transition to IFRS Standards.

(b) **Business combinations**

For business combinations **before** the date of transition to IFRS Standards:

- The same classification (acquisition or uniting of interests) is retained as under previous GAAP.
- For items requiring a cost measure for IFRS Standards, the carrying value **at the date of the business combination** is treated as deemed cost and IFRS rules are applied from thereon.
- Items requiring a fair value measure for IFRS Standards are revalued at the date of transition to IFRS Standards.
- The carrying value of goodwill at the date of transition to IFRS Standards is the amount as reported under previous GAAP.

(c) **Employee benefits**

- Unrecognised actuarial gains and losses can be deemed zero at the date of transition to IFRS Standards. IAS 19 is applied from then on.

(d) **Cumulative translation differences on foreign operations**

- Translation differences (which must be disclosed in a separate translation reserve under IFRS Standards) may be deemed zero at the date of transition to IFRS Standards. IAS 21 is applied from then on.

(e) **Adoption of IFRS Standards by subsidiaries, associates and joint ventures**

If a subsidiary, associate or joint venture adopts IFRS Standards later than its parent, it measures its assets and liabilities **either**:

- at the amount that would be included in the parent's financial statements, based on the parent's date of transition; **or**
- at the amount based on the subsidiary (associate or joint venture)'s date of transition.

Disclosure

- A **reconciliation of previous GAAP equity** to IFRS Standards is required at the date of transition to IFRS Standards and for the most recent financial statements presented under previous GAAP.
- A **reconciliation of profit** for the most recent financial statements presented under previous GAAP.

5.6 Organisational and procedural changes

The technical changes involved in adopting a new body of standards will provide a challenge to company management and their advisers.

These are some of the key issues:

- **Accurate assessment of the task involved.** Underestimation or wishful thinking may hamper the effectiveness of the conversion and may ultimately prove inefficient.
- **Proper planning.** This should take place at the overall project level, but a detailed task analysis could be drawn up to control work performed.
- **Human resource management.** The project must be properly structured and staffed.
- **Training.** Where there are skills gaps, remedial training should be provided.

- **Monitoring and accountability.** A relaxed 'it will be all right on the night' attitude could spell danger. Implementation progress should be monitored and regular meetings set up so that participants can personally account for what they are doing as well as flag up any problems as early as possible. Project drift should be avoided.
- **Achieving milestones.** Successful completion of key steps and tasks should be appropriately acknowledged, ie, what managers call 'celebrating success', so as to sustain motivation and performance.
- **Physical resources.** The need for IT equipment and office space should be properly assessed.
- **Process review.** Care should be taken not to perceive the conversion as a one-off quick fix. Any change in future systems and processes should be assessed and properly implemented.
- **Follow-up procedures.** Good management practice dictates that follow-up procedures should be planned and in place to ensure that the transfer is effectively implemented and that any necessary changes are identified and implemented on a timely basis.
- **Contractual terms**. These may be affected, such as covenants related to borrowing facilities based on statement of financial position ratios. The potential effect of the new standards on these measurements should be assessed and discussed with the lenders at an early stage.



Interactive question 5: IFRS 1

Europa is a listed company incorporated in Molvania. It will adopt International Financial Reporting Standards (IFRS Standards) for the first time in its financial statements for the year ended 31 December 20X8.

The directors of Europa are unclear as to the impact of IFRS 1, *First-time Adoption of International Financial Reporting Standards*.

Advise the directors of Europa on the following.

Requirements

5.1 The procedure for preparing IFRS financial statements for the first time (as required by IFRS 1).

5.2 The practical steps that the company should take in order to ensure an efficient transfer to accounting under IFRS.

5.3 In its previous financial statements for 31 December 20X6 and 20X7, which were prepared under local GAAP, the company:

(1) made a number of routine accounting estimates, including accrued expenses and provisions; and

(2) did not recognise a provision for a court case arising from events that occurred in September 20X7. When the court case was concluded on 30 June 20X8, Europa was required to pay $10 million and paid this on 10 July 20X8, after the 20X7 financial statements were authorised for issue.

In the opinion of the directors, the company's estimates of accrued expenses and provisions under local GAAP were made on a basis consistent with IFRS Standards.

5.4 Discuss how the matters above should be dealt with in the financial statements of Europa for the year ended 31 December 20X8.

See **Answer** at the end of this chapter.

6 IAS 34, *Interim Financial Reporting*

Section overview

IAS 34 recommends that **publicly traded entities should produce interim financial reports** and, for entities that do publish such reports, it lays down principles and guidelines for their production.

The following definitions are used in IAS 34.

Definitions

Interim period: A financial reporting period shorter than a full financial year.

Interim financial report: A financial report containing either a complete set of financial statements (as described in IAS 1) or a set of condensed financial statements (as described in this standard) for an interim period.

6.1 Scope of IAS 34

IAS 34 does not make the preparation of interim financial reports **mandatory**, taking the view that this is a matter for governments, securities regulators, stock exchanges or professional accountancy bodies to decide within each country. The IASB does, however, strongly recommend to governments and regulators that interim financial reporting should be a requirement for companies whose equity or debt securities are **publicly traded**.

IAS 34 encourages publicly traded entities:

- to provide an interim financial report for **at least the first six months of their financial year** (ie, a half year financial report); and
- to make the report **available no later than 60 days** after the end of the interim period.

Thus, a company with a year ending 31 December would be required as a minimum to prepare an interim report for the half year to 30 June and this report should be available before the end of August.

6.2 Minimum components

IAS 34 specifies the **minimum component elements** of an interim financial report as follows:

- Condensed statement of financial position
- Condensed statement of profit or loss and other comprehensive income, presented either as a single condensed statement or a statement of profit or loss and a statement showing other comprehensive income
- Condensed statement of changes in equity
- Condensed statement of cash flows
- Selected note disclosures

IAS 34 applies where an entity is required to or chooses to publish an interim financial report in accordance with IFRS Standards.

An interim report complying with IFRS Standards may be:

- a complete set of financial statements at the interim reporting date complying in full with IFRS Standards; or
- a condensed interim financial report prepared in compliance with IAS 34.

The rationale for allowing only condensed statements and selected note disclosures is that entities need not duplicate information in their interim report that is contained in their report for the previous financial year. Interim statements should **focus more on new events, activities and circumstances**.

6.3 Form and content

Where **full financial statements** are given as interim financial statements, IAS 1 should be used as a guide, otherwise IAS 34 specifies minimum contents.

The **condensed statement of financial position** should include, as a minimum, each of the major components of assets, liabilities and equity as were in the statement of financial position at the end of the previous financial year, thus providing a summary of the economic resources of the entity and its financial structure.

The **condensed statement of profit or loss and other comprehensive income** should include, as a minimum, each of the component items of total comprehensive income as were shown in the statement of profit or loss and other comprehensive income for the previous financial year, together with the earnings per share and diluted earnings per share.

The **condensed statement of cash flows** should show, as a minimum, the three major subtotals of cash flow as required in statements of cash flows by IAS 7, namely: cash flows from operating activities, cash flows from investing activities and cash flows from financing activities.

The **condensed statement of changes in equity** should include, as a minimum, each of the major components of equity as were contained in the statement of changes in equity for the previous financial year of the entity.

6.3.1 Selected explanatory notes

IAS 34 states that **relatively minor changes** from the most recent annual financial statements need not be included in an interim report. However, the notes to an interim report should include the following (unless the information is contained elsewhere in the report).

- A statement that the **same accounting policies and methods of computation** have been used for the interim statements as were used for the most recent annual financial statements. If not, the nature of the differences and their effect should be described. (The accounting policies for preparing the interim report should only differ from those used for the previous annual accounts in a situation where there has been a change in accounting policy since the end of the previous financial year, and the new policy will be applied for the annual accounts of the current financial period.)
- Explanatory comments on the **seasonality or 'cyclicality'** of operations in the interim period. For example, if a company earns most of its annual profits in the first half of the year, because sales are much higher in the first six months, the interim report for the first half of the year should explain this fact
- The **nature and amount** of items during the interim period affecting assets, liabilities, capital, net income or cash flows, that are unusual, due to their nature, incidence or size
- The **issue or repurchase** of equity or debt securities
- Nature and amount of any **changes in estimates** of amounts reported in an earlier interim report during the financial year, or in prior financial years if these affect the current interim period

- **Dividends paid** on ordinary shares and the dividends paid on other shares
- **Segmental results** for entities that are required by IFRS 8, *Operating Segments* to disclose segment information in their annual financial statements
- Any **significant events since the end of the interim period**
- Effect of changes in the composition of the entity during the interim period including the acquisition or disposal of subsidiaries and long-term investments, restructurings and discontinued operations
- Any significant change in a **contingent liability or a contingent asset** since the date of the last annual statement of financial position

Changes in the business environment such as changes in price, costs, demand, market share and prospects for the full year should be discussed in the management discussion and analysis of the financial review.

The entity should also disclose the fact that the interim report has been produced **in compliance with** IAS 34 on interim financial reporting.

Worked example: Disclosure

Give some examples of the type of disclosures required according to the above list of explanatory notes.

Solution

The following are examples:

- Write down of inventories to net realisable value and the reversal of such a write down
- Recognition of a loss from the impairment of property, plant and equipment, intangible assets, or other assets, and the reversal of such an impairment loss
- Reversal of any provisions for the costs of restructuring
- Acquisitions and disposals of items of property, plant and equipment
- Commitments for the purchase of property, plant and equipment
- Litigation settlements
- Corrections of fundamental errors in previously reported financial data
- Any debt default or any breach of a debt covenant that has not been corrected subsequently
- Related party transactions

Professional skills focus: Concluding, recommending and communicating

IAS 34 is concerned with communication – publicly traded entities need more information to be communicated than do private companies. While a private company would often produce management accounts, these would be for internal purposes and not communicated to the public.

6.4 Periods covered

The standard requires that interim financial reports should provide financial information for the following periods or as at the following dates.

- **Statement of financial position data** as at the end of the current interim period, and comparative data as at the end of the most recent financial year

- **Statement of profit or loss and other comprehensive income data** for the current interim period and cumulative data for the current year to date, together with comparative data for the corresponding interim period and cumulative figures for the previous financial year
- **Statement of cash flows data** should be **cumulative** for the current year to date, with comparative cumulative data for the corresponding interim period in the previous financial year
- **Data for the statement of changes in equity** should be for both the current interim period and for the year to date, together with comparative data for the corresponding interim period, and cumulative figures, for the previous financial year

6.5 Materiality

Materiality should be assessed in relation to the interim period financial data. It should be recognised that interim measurements **rely to a greater extent on estimates** than annual financial data.

6.6 Recognition and measurement principles

A large part of IAS 34 deals with recognition and measurement principles, and guidelines as to their practical application. The **guiding principle** is that an entity should use the **same recognition and measurement principles in its interim statements as it does in its annual financial statements**.

This means, for example, that a cost that would not be regarded as an asset in the year-end statement of financial position should not be regarded as an asset in the statement of financial position for an interim period. Similarly, an accrual for an item of income or expense for a transaction that has not yet occurred (or a deferral of an item of income or expense for a transaction that has already occurred) is inappropriate for interim reporting, just as it is for year-end reporting.

Applying this principle of recognition and measurement may result, in a subsequent interim period or at the yearend, in a **remeasurement** of amounts that were reported in a financial statement for a previous interim period. **The nature and amount of any significant remeasurements should be disclosed**.

6.6.1 Revenues received occasionally, seasonally or cyclically

Revenue that is received as an occasional item, or within a seasonal or cyclical pattern, should not be anticipated or deferred in interim financial statements, if it would be inappropriate to anticipate or defer the revenue for the annual financial statements. In other words, the principles of revenue recognition should be applied consistently to the interim reports and year-end reports.

6.6.2 Costs incurred unevenly during the financial year

These should only be anticipated or deferred (ie, treated as accruals or prepayments) if it would be appropriate to anticipate or defer the expense in the annual financial statements. For example, it would be appropriate to anticipate a cost for property rental where the rental is paid in arrears, but it would be inappropriate to anticipate part of the cost of a major advertising campaign later in the year, for which no expenses have yet been incurred.

The standard goes on, in an appendix, to deal with **specific applications** of the recognition and measurement principles. Some of these examples are explained below, by way of explanation and illustration.

6.6.3 Payroll taxes or insurance contributions paid by employers

In some countries these are assessed on an annual basis, but paid at an uneven rate during the course of the year, with a large proportion of the taxes being paid in the early part of the year,

and a much smaller proportion paid later on in the year. In this situation, it would be appropriate to use an estimated average annual tax rate for the year in an interim statement, not the actual tax paid. This treatment is appropriate because it reflects the fact that the taxes are assessed on an annual basis, even though the payment pattern is uneven.

6.6.4 Cost of a planned major periodic maintenance or overhaul

The cost of such an event later in the year must not be anticipated in an interim financial statement **unless** there is a legal or constructive obligation to carry out this work. The fact that a maintenance or overhaul is planned and is carried out annually is not of itself sufficient to justify anticipating the cost in an interim financial report.

6.6.5 Other planned but irregularly occurring costs

Similarly, these costs, such as charitable donations and employee training costs, should not be accrued in an interim report. These costs, even if they occur regularly and are planned, are nevertheless discretionary.

6.6.6 Year-end bonus

A year-end bonus should not be provided for in an interim financial statement **unless** there is a constructive obligation to pay a year-end bonus (eg, a contractual obligation, or a regular past practice) and the size of the bonus can be reliably measured.



Worked example: Bonus

An entity's accounting year ends on 31 December each year and it is currently preparing interim financial statements for the half year to 30 June 20X4. It has a contractual agreement with its staff that it will pay them an annual bonus equal to 10% of their annual salary if the full year's output exceeds one million units. Budgeted output is 1.4 million units and the entity has achieved budgeted output during the first six months of the year. Annual salaries are estimated to be £100 million, with the cost in the first half year to 30 June being £45 million.

Requirement

How should the bonus be reflected in the interim financial statements?

Solution

It is probable that the bonus will be paid, given that the actual output already achieved in the year is in line with budgeted figures, which exceed the required level of output. So a bonus of £4.5 million should be recognised in the interim financial statements at 30 June 20X4.

6.6.7 Holiday pay

The same principle applies here. If holiday pay is an enforceable obligation on the employer, then any unpaid accumulated holiday pay may be accrued in the interim financial report.

6.6.8 Non-monetary intangible assets

The entity might incur expenses during an interim period on items that might or will generate non- monetary intangible assets. IAS 38, *Intangible Assets* requires that costs to generate non-monetary intangible assets (eg, development expenses) should be recognised as an expense when incurred **unless** the costs form part of an identifiable intangible asset. Costs that were initially recognised as an expense cannot subsequently be treated as part of the cost of an intangible asset instead. IAS 34 states that interim financial statements should adopt the same approach. This means that it would be inappropriate in an interim financial statement to 'defer' a cost in the expectation that it will eventually be part of a non-monetary intangible asset that

has not yet been recognised: such costs should be treated as an expense in the interim statement.

6.6.9 Depreciation

Depreciation should only be charged in an interim statement on non-current assets that have been acquired, not on non-current assets that will be acquired later in the financial year.

6.6.10 Foreign currency translation gains and losses

These should be calculated by the same principles as at the financial year end, in accordance with IAS 21.

6.6.11 Tax on income

An entity will include an expense for income tax (tax on profits) in its interim statements. The **tax rate** to use should be the estimated average annual tax rate for the year. For example, suppose that in a particular jurisdiction, the rate of tax on company profits is 30% on the first £200,000 of profit and 40% on profits above £200,000. Now suppose that a company makes a profit of £200,000 in its first half year, and expects to make £200,000 in the second half year. The rate of tax to be applied in the interim financial report should be 35%, not 30%, ie, the expected average rate of tax for the year as a whole. This approach is appropriate because income tax on company profits is charged on an annual basis, and an effective annual rate should therefore be applied to each interim period.

As another illustration, suppose a company earns pre-tax income in the first quarter of the year of £30,000, but expects to make a loss of £10,000 in each of the next three quarters, so that net income before tax for the year is zero. Suppose also that the rate of tax is 30%. In this case, it would be inappropriate to anticipate the losses, and the tax charge should be £9,000 for the first quarter of the year (30% of £30,000) and a negative tax charge of £3,000 for each of the next three quarters, if actual losses are the same as anticipated.

Where the tax year for a company does not coincide with its financial year, a separate estimated weighted average tax rate should be applied for each tax year, to the interim periods that fall within that tax year.

Some countries give entities tax credits against the tax payable, based on amounts of capital expenditure or research and development, etc. Under most tax regimes, these credits are calculated and granted on an annual basis; therefore it is appropriate to include anticipated tax credits within the calculation of the estimated average tax rate for the year, and apply this rate to calculate the tax on income for the interim period.



Worked example: Taxation charge

An entity's accounting year ends on 31 December 20X4, and it is currently preparing interim financial statements for the half year to 30 June 20X4. Its profit before tax for the six month period to 30 June 20X4 is £6 million. The business is seasonal and the profit before tax for the six months to 31 December 20X4 is almost certain to be £10 million. Income tax is calculated as 25% of reported annual profit before tax if it does not exceed £10 million. If annual profit before tax exceeds £10 million the tax rate on the whole amount is 30%.

Requirement

Under IAS 34 what should the taxation charge be in the interim financial statements?

Solution

The taxation charge in the interim financial statements is based upon the weighted average rate for the year. In this case the entity's tax rate for the year is expected to be 30%. The taxation charge in the interim financial statements will be £1.8 million.

Interactive question 6: Interim financial statements

The Alshain Company's profit before tax for the six months to 30 September 20X6 was £4 million. However, the business is seasonal and profit before tax for the six months to 31 March 20X7 is almost certain to be £8 million. Profit before tax equals taxable profit for this company.

Alshain operates in a country where income tax on companies is at a rate of 25% if annual profits are below £11 million and a rate of 30% where annual profits exceed £11 million. These tax rates apply to the entire profit for the year.

Requirement

Under IAS 34, *Interim Financial Reporting*, what should be the income tax expense in Alshain's interim financial statements for the half year to 30 September 20X6?

See **Answer** at the end of this chapter.

6.6.12 Inventory valuations

Within interim reports, inventories should be valued in the same way as year-end accounts. It is recognised, however, that it will be necessary to rely more heavily on estimates for interim reporting than for year-end reporting.

In addition, it will normally be the case that the net realisable value of inventories should be estimated from selling prices and related costs to complete and dispose at interim dates.

Worked example: Inventory valuations

An entity's accounting year ends on 31 December 20X4, and it is currently preparing interim financial statements for the half year to 30 June 20X4. The price of its products tends to vary. At 30 June 20X4, it has inventories of 100,000 units, at a cost per unit of £1.40. The net realisable value of the inventories is £1.20 per unit at 30 June 20X4. The expected net realisable value of the inventories at 31 December 20X4 is £1.55 per unit.

Requirement

How should the value of the inventories be reflected in the interim financial statements?

Solution

The value of the inventories in the interim financial statements at 30 June 20X4 is the lower of cost and NRV at 30 June 20X4. This is:

100,000 × £1.20 = £120,000

6.7 Use of estimates

Although accounting information must be reliable and free from material error, it may be necessary to sacrifice some accuracy and reliability for the sake of timeliness and cost benefits. This is particularly the case with interim financial reporting, where there will be much less time to produce reports than at the financial year end. The standard therefore recognises that estimates will have to be used to a greater extent in interim reporting, to assess values or even some costs, than in year-end reporting.

An appendix to IAS 34 gives some examples of the use of estimates.

- **Inventories.** An entity might not need to carry out a full inventory count at the end of each interim period. Instead, it may be sufficient to estimate inventory values using sales margins.

- **Provisions.** An entity might employ outside experts or consultants to advise on the appropriate amount of a provision, as at the year end. It will probably be inappropriate to employ an expert to make a similar assessment at each interim date. Similarly, an entity might employ a professional valuer to revalue non-current assets at the year end, whereas at the interim date(s) the entity will not rely on such experts.
- **Income taxes.** The rate of income tax (tax on profits) will be calculated at the year end by applying the tax rate in each country/jurisdiction to the profits earned there. At the interim stage, it may be sufficient to estimate the rate of income tax by applying the same 'blended' estimated weighted average tax rate to the income earned in all countries/jurisdictions.
- **Classification of current and non-current assets and liabilities.** The investigation for classifying assets and liabilities as current and non-current may be more thorough at annual reporting dates than at interim ones.
- **Pensions.** IAS 19, *Employee Benefits* encourages the use of a professionally qualified actuary in the measurement of the plan's defined benefit obligations. For interim reporting purposes reliable estimates may be obtained by extrapolation of the latest actuarial valuation.
- **Contingencies.** Normally the measurement of contingencies may involve formal reports giving the opinions of experts. Expert opinions about contingencies and uncertainties relating to litigation or assessments may or may not be needed at interim dates.
- **Revaluations and fair value accounting.** Where an entity carries assets at fair value such as non- current assets in accordance with IAS 16, *Property, Plant and Equipment* or investment properties in accordance with IAS 40, *Investment Property*, it may rely on independent professional valuations at annual reporting dates, though not at interim reporting dates.
- **Intercompany reconciliations.** Intercompany balances that are reconciled at a detailed level at the year end may be reconciled at a less detailed level at the interim reporting date.
- **Specialised industries.** Interim period measurement in specialised industries may be less precise than at year end due to their complexity, and the cost and time investment that is required.
- **Impairment.** Any impairment losses recognised in an interim financial statement must not be reversed in subsequent interim or annual financial statements.

The principle of **materiality** applies to interim financial reporting, as it does to year-end reporting. In assessing materiality, it needs to be recognised that interim financial reports will rely more heavily on estimates than year-end reports. Materiality should be assessed in relation to the interim financial statements themselves, and should be independent of 'annual materiality' considerations.

6.8 IFRS 13, amendments

IFRS 13, *Fair Value Measurement* amended IAS 34, requiring interim reports to make the disclosures required by paragraphs 91–93(h), 94–96, 98 and 99 of IFRS 13, *Fair Value Measurement* and paragraphs 25, 26 and 28–30 of IFRS 7, *Financial Instruments: Disclosures*.

7 IFRS 14, *Regulatory Deferral Accounts*

Section overview

- IFRS 14, *Regulatory Deferral Accounts* permits entities adopting IFRS for the first time to continue to account, with some limited changes, for 'regulatory deferral account balances' in accordance with their previous GAAP, both on initial adoption of IFRS and in subsequent financial statements.
- Regulatory deferral account balances, and movements in them, are presented separately in the statement of financial position and statement of profit or loss and other comprehensive income. Specific disclosures are required.

IFRS 14, *Regulatory Deferral Accounts* was issued in January 2014 and is effective for an entity's first annual IFRS financial statements for a period beginning on or after 1 January 2016. IFRS 14 is an interim standard, applicable to first-time adopters of IFRS that provide goods or services to customers at a price or rate that is subject to rate regulation by the Government eg, the supply of gas or electricity.

The following definitions are used in IFRS 14.

Definitions

Rate regulation: A framework for establishing the prices that can be charged to customers for goods and services and that framework is subject to oversight and/or approval by a rate regulator.

Rate regulator: An authorised body that is empowered by statute or regulation to establish the rate or range of rates that bind an entity.

Regulatory deferral account balance: The balance of any expense (or income) account that would not be recognised as an asset or a liability in accordance with other Standards, but that qualifies for deferral because it is included, or is expected to be included, by the rate regulator in establishing the rate(s) that can be charged to customers.

7.1 Objective

The objective of IFRS 14 is to specify the financial reporting requirements for 'regulatory deferral account balances' that arise when an entity provides goods or services to customers at a price or rate that is subject to rate regulation.

7.2 Scope of IFRS 14

IFRS 14 is permitted, but not required, to be applied where an entity conducts rate-regulated activities and has recognised amounts in its previous GAAP financial statements that meet the definition of 'regulatory deferral account balances' (sometimes referred to as 'regulatory assets' and 'regulatory liabilities').

7.3 Main issues

Rate regulation is a means of ensuring that specified costs are recovered by the supplier, and that prices charged to customers are fair. These twin objectives mean that prices charged to customers at a particular time do not necessarily cover the costs incurred by the supplier at that time. In this case, **the recovery of such costs is deferred and they are recognised through future sales**.

This leads to a mismatch. IFRS does not have specific requirements in respect of accounting for this mismatch. However, established practice is that amounts are recognised in profit or loss as they arise.
In some jurisdictions, however, local GAAP allows or requires a supplier of rate-regulated activities to recognise costs to be recovered either as a separate regulatory deferral account or as part of the cost of a related asset.

The IASB is currently working on a comprehensive project to address this issue, but the project is not complete. In the meantime, IFRS 14 permits first-time adopters of IFRS to **continue to recognise amounts related to rate regulation in accordance with their previous GAAP** when they adopt IFRS. This is effected through an exemption from paragraph 11 of IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors,* which generally requires an entity to consider the requirements of IFRS Standards dealing with similar matters and the requirements of the *Conceptual Framework* when setting its accounting policies.

An entity may change its policy for regulatory deferral accounts in accordance with IAS 8, but only if the change makes the financial statements more relevant and reliable to users.

7.4 Presentation

The amounts of regulatory deferral account balances are separately presented in an entity's financial statements.

7.5 Disclosures

Specific disclosures are required in order to enable users to assess:

- the nature of, and risks associated with, the rate regulation that establishes the price(s) the entity can charge customers for the goods or services it provides; and
- the effects of rate regulation on the entity's financial statements.

8 Audit focus – general issues with reporting performance



Section overview

The auditor must consider the risk of fraud in general, and the risk of creative accounting in particular, when auditing financial performance.

ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with the International Standards on Auditing* states the auditor's overall objectives as follows:

- To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework
- To report on the financial statements, and communicate as required by the ISAs, in accordance with the auditor's findings

(ISA 200.11)

Note that the auditor is concerned with material misstatements arising both as a result of **error**, and as a result of **fraud**.

We looked at creative accounting, a form of fraudulent financial reporting, in Chapter 5. We will look at the audit approach to fraud and creative accounting in more detail in Chapter 24.

Another point which is worth drawing out is the need for the auditor to report and communicate **as required by the ISAs**. As ISA 200 makes clear, **the auditor must fully understand and comply with all the ISAs relevant to the audit**.

9 Audit focus – specific issues

Section overview

This section looks at some of the audit issues related to certain financial reporting treatments covered earlier in this chapter.

9.1 Presentation and disclosure of segment information

ISA 501, *Audit Evidence – Specific Considerations for Selected Items* governs the auditor's approach to auditing segment information.

Auditors are required to obtain sufficient, appropriate audit evidence regarding the presentation and disclosure of segment information by:

(a) obtaining an understanding of the methods used by management in determining segment information:
   - evaluating whether such methods are likely to result in disclosure in accordance with the applicable financial reporting framework,
   - where appropriate, testing the application of such methods; and

(b) performing analytical procedures or other audit procedures appropriate in the circumstances.

(ISA 501.13)

When the ISA talks about obtaining an understanding of management's methods, the following may be relevant:

- Sales, transfers and charges between segments, elimination of inter-segment amounts
- Comparisons with budgets and other expected results; for example, operating profits as a percentage of sales
- Allocations of assets and costs among segments
- Consistency with prior periods, and the adequacy of the disclosures with respect to inconsistencies

It is important to stress that **auditors only have a responsibility in relation to the financial statements taken as a whole**. Auditors are not required to express an opinion on the segment information presented on a standalone basis.

9.2 Held-for-sale assets

As we have seen above, IFRS 5 requires that assets which meet the criteria 'held for sale' are shown **at the lower of carrying amount and fair value less costs to sell**, that held-for-sale assets are **classified separately** on the statement of financial position and the results of discontinued operations are presented separately on the statement of profit or loss and other comprehensive income.

Audit procedures to ensure assets meet the criteria include the following:

- Make enquiries/obtain written representations from management concerning intentions
- Review minutes of management for evidence of firm plan to sell
- Ascertain whether appropriate estate agent appointed (by reviewing contract between the parties)
- Review sale particulars
- Comparison of sale price per sale particulars to fair value
- Confirm likelihood of completion within a year by asking estate agent



Interactive question 7: Audit procedures – held-for-sale assets

Robinson Ltd has a balance of £250,000 in respect of assets classified as held for sale in the financial statements for the year ended 31 December 20X7.
This is in respect of two assets as follows:

- £70,000 relates to production machinery used for a product which is to be withdrawn. Production will be run down until the end of January 20X8 so that outstanding orders can be completed. The plant will then be serviced and uninstalled in early February.
- £180,000 relates to a piece of land which was classified as held for sale on 1 October. (You should assume that the IFRS 5 criteria are satisfied.) On this date the land's fair value was estimated to be £210,000 with costs to advertise the asset as being available for sale estimated at £6,000. The £180,000 represents the carrying value of the land on the basis that it is lower than fair value less costs to sell. Robinson Ltd has adopted a revaluation policy for land.

Requirements

Do the following for each of the above assets:

(a) Identify the key audit issue

(b) State the audit procedures which would be performed to address this issue

See **Answer** at the end of this chapter.

9.3 Related parties

Related parties are often involved in cases of **fraudulent financial reporting**, as highlighted in many major corporate scandals. Transactions with related parties provide scope for distorting financial information in financial statements and hiding the economic substance of transactions or fraud in companies.

The overall aim of ISA 550, *Related Parties* is to enhance the auditor's consideration of related parties and related party transactions with a focus on risk assessment, including the recognition of fraud risk factors. The firm must establish an approach that requires the auditor to assess the risks of misstatement and design audit procedures to address these. In particular, the ISA includes the following:

- Clearer responsibilities for the auditor, with a distinction being made between circumstances where the accounting framework includes disclosure and other reporting requirements for related parties, and circumstances where either there are no such requirements or they are inadequate
- Clearer distinction between the risk assessment procedures and the further audit procedures
- A definition of a related party, which is to be used as a minimum level for audit purposes where the applicable financial reporting framework establishes minimal or no related party requirements

9.4 Related parties: key issues

Readers of financial statements normally assume that transactions reflected in financial statements are made with **independent parties** unless told otherwise.

Readers will also normally assume that a company is owned by a number of shareholders and is **not subject to control or significant influence** by any one person or company unless told otherwise, eg, through disclosure of the identity of the parent company and significant shareholdings disclosure.

Where a company does business with 'related parties', for instance with shareholders or directors, these assumptions may not be valid.

9.5 The audit of related parties

9.5.1 Scope

ISA 550 provides guidance on the auditor's responsibilities, and audit procedures regarding related parties and transactions with such parties.

ISA 550 is applicable whether or not IAS 24, *Related Party Disclosures* is a requirement of the reporting framework for the entity concerned. **ISA 550, therefore, applies to private companies as well as listed companies.** ISA 550 provides the following definition.



Definition

Related party: A party that is either:

(a) a related party as defined in the applicable financial reporting framework; or

(b) where the applicable financial reporting framework establishes minimal or no related party requirements:

  (1) a person or other entity that has control or significant influence, directly or indirectly through one or more intermediaries, over the reporting entity;

  (2) another entity over which the reporting entity has control or significant influence, directly or indirectly through one or more intermediaries; or

  (3) another entity that is under common control with the reporting entity through having:

  - common controlling ownership;
  - owners who are close family members; or
  - common key management.

However, entities that are under common control by a state (ie, a national, regional or local government) are not considered related unless they engage in significant transactions or share resources to a significant extent with one another.

(ISA 550.10)

9.5.2 Responsibilities

Management is responsible for the identification of related parties and the disclosure of transactions with such parties. Management should set up **appropriate internal controls** to ensure that related parties are identified and disclosed along with any related party transactions.

It may not be self-evident to management whether a party is related. Furthermore, many accounting systems are not designed to either distinguish or summarise related party transactions, so management will have to carry out additional analysis of accounting information.

The auditor has a responsibility to perform audit procedures to identify, assess and respond to the risks of material misstatement arising from the entity's failure to appropriately account for or disclose related party relationships, transactions or balances.

9.5.3 Risks

The following **audit risks** may arise from a failure to identify a related party.

- Failure of the financial statements to comply with IAS 24.
- There may be a misstatement in the financial statements – transactions may be on a non-arm's length basis and thus may result in assets, liabilities, profit or loss being overstated or understated. For example, special tax rates may apply to profits reported on sales to related parties.
- The reliance on a source of audit evidence may be misjudged. An auditor may rely on what is perceived to be third-party evidence when in fact it is from a related party. More generally, reliance on management assurances may be affected if the auditor were made aware of non- disclosure of a related party.
- The motivations of related parties may be outside normal business motivations and thus may be misunderstood by the auditor if there is non-disclosure. In the extreme, this may amount to fraud.

The inherent risk linked to related party transactions (RPT) can be high, especially where management is **unaware** of the existence of all the related party relationships or transactions, or where there is an opportunity for collusion, concealment or manipulation by management. There is an increased risk that the auditor may fail to detect a RPT, where:

- there has been no charge made for a RPT (ie, a zero cost transaction);
- disclosure would be sensitive for directors or have adverse consequences for the company;
- the company has no formal system for detecting RPTs;
- RPTs are with a party that the auditor could not reasonably expect to know is a related party;
- RPTs from an earlier period have remained as an unsettled balance;
- management have concealed, or failed to disclose fully, related parties or transactions with such parties; and
- the corporate structure is complex.

Note: The term 'arm's length' continues to be used in the context of IAS 24 even though it has been removed from the definition of fair value in IFRS 13.

9.5.4 Risk assessment procedures

In planning the audit, the auditor needs to consider **the risk of undisclosed related party transactions**. This is a difficult area because IAS 24 does not have consideration for materiality. Thus, even small RPTs should be disclosed by a company. Indeed, related party relationships where there is control (eg, a subsidiary) need to be disclosed even where there are no transactions with this party.

The auditor needs to perform the following procedures:

(a) The engagement team shall discuss the risks of fraud-related misstatements.

Matters to be addressed would include the importance of maintaining professional scepticism and circumstances which may indicate the existence of related party relationships or transactions that management has not identified.

(b) Make inquiries of management about the identities of related parties and any RPTs. This includes:

(1) the identity of related parties, including changes from prior period;
(2) the nature of the relationships between the entity and its related parties;
(3) whether any transactions occurred between the parties and, if so;
(4) what controls the entity has to identify, account for and disclose related party relationships and transactions;
(5) what controls the entity has to authorise and approve significant transactions and arrangements with related parties; and
(6) what controls the entity has to authorise and approve significant transactions and arrangements outside the normal course of business.

(c) Obtain an understanding of controls established to identify, account for and disclose RPTs and to authorise and approve significant transactions with related parties / outside the normal course of business.

Where controls are ineffective or non-existent, the auditor may be unable to obtain sufficient, appropriate audit evidence and will need to consider the impact of this on the audit opinion.

The auditor is also required to be alert for related party information when reviewing records or documents. In particular, the auditor must inspect bank and legal confirmations and minutes of meetings of the shareholders and those charged with governance. Where these procedures reveal significant transactions outside the entity's normal course of business, the auditor must inquire of management about the nature of these transactions and whether a related party could be involved.

9.5.5 Responses to the risks of material misstatement

In accordance with ISA 330, the auditor must design and perform further audit procedures to obtain sufficient, appropriate evidence about the assessed risks of material misstatement. These may include:

- confirming or discussing the transactions with intermediaries eg, banks, lawyers or agents;
- confirming the purposes, specific terms or amounts of the transaction with the related party; and
- reading the financial statements of the related party for evidence of the transaction in the related party's accounting records.

Where the risk of misstatement may be due to fraud additional procedures may apply:

- Inquiries of and discussion with management and those charged with governance
- Inquiries of the related party
- Inspection of significant contracts with the related party
- Background research eg, internet
- Review of employee whistleblowing reports

Identification of previously unidentified or undisclosed related parties or significant related party transactions

If the auditor identifies related parties or significant related party transactions that management has not previously identified or disclosed to the auditor, the auditor must do the following:

- Promptly communicate the relevant information to the other members of the engagement team
- Where the applicable reporting framework establishes related party requirements request management to identify all transactions with the newly identified related parties and inquire as to why the entity's controls have failed to identify and disclose the transaction
- Perform appropriate substantive audit procedures

These might include making inquiries regarding the nature of the entity's relationships with the newly identified related party, conducting an analysis of accounting records for transactions with the newly identified related party and verifying the terms and conditions of the newly identified related party transaction

- Reconsider the risk that other unidentified related parties or significant related party transactions may exist
- If the non-disclosure by management appears intentional and therefore indicates possible fraud evaluate the implications for the rest of the audit

Identified significant related party transactions outside the entity's normal course of business

Where significant related party transactions outside the entity's normal course of business are identified, the auditor must do the following:

- Inspect the underlying contracts and agreements and evaluate whether:
  - the business rationale or lack of suggests fraud;
  - the terms are consistent with the management's explanations; and
  - the transaction has been appropriately accounted for and disclosed.
- Obtain audit evidence that transactions have been appropriately authorised and approved

Management assertions

If management has made assertions in the financial statements to the effect that a related party transaction was conducted on terms equivalent to those prevailing in an arm's length transaction, the auditor must obtain evidence to support this. The nature of the evidence obtained will depend on the support management has obtained to substantiate their claim but may involve:

- considering the appropriateness of management's process for supporting the assertion;
- verifying the source of internal and external data supporting the assertion and testing it for accuracy, completeness and relevance; and
- evaluating the reasonableness of any significant assumptions on which the assertion is based.

9.5.6 Evaluation of accounting and disclosure

The auditor is required to evaluate whether related parties and related party transactions have been properly accounted for and disclosed and do not prevent the financial statements from achieving fair presentation.

9.5.7 Written representations

The auditor is required to obtain written representations from management and, where appropriate, those charged with governance that all related parties and related party transactions have been disclosed to the auditor and that these have been appropriately accounted for and disclosed.

An entity may require its management and those charged with governance to sign individual declarations in relation to related party matters. It may be helpful if any such declarations are addressed jointly to a designated official of the entity and also to the auditor.

9.5.8 Documentation

The auditor is required to include in the audit documentation the identity of related parties and the nature of related party relationships.

Note: The law regarding transactions with directors was covered in earlier Chapter of this Workbook.

9.6 Related parties: practical application

The following five point action plan can be used for auditing related parties:

- Plan your work on the audit of related party relationships and transactions thoroughly.
- Focus on the risk of material misstatement that might arise from related party transactions.
- Understand the internal controls at the company to identify related parties and to record related party transactions.
- Design procedures to respond to risks identified.
- Perform completion procedures.

9.6.1 Identifying undisclosed related parties

It is often difficult to identify related party relationships and transactions which should have been disclosed, but are not.

ISA 550 points out that the existence of the following relationships may indicate the presence of control or significant influence:

(a) Direct or indirect equity holdings or other financial interests in the entity

(b) The entity's holdings of direct or indirect equity or other financial interests in other entities

(c) Being part of those charged with governance or key management (that is, those members of management who have the authority and responsibility for planning, directing and controlling the activities of the entity)

(d) Being a close family member of any person referred to in subparagraph (c)

(e) Having a significant business relationship with any person referred to in subparagraph (c)

The related parties described in subparagraph (c) above, and by extension those described in (d) and (e), are often the hardest to identify. While entities related through equity interest should be fairly clearly documented, auditors frequently struggle to identify related party transactions established through connected persons.

The following risk assessment procedures are relevant when testing for the existence of undisclosed related parties:

- **Enquire of management** and the directors as to whether transactions have taken place with related parties that are required to be disclosed by the disclosure requirements that are applicable to the entity
- **Review prior year working papers** for names of known related parties
- **Review minutes** of meetings of shareholders and directors and other relevant statutory records, such as the register of directors' interests
- **Review accounting records** for large or unusual transactions or balances, in particular transactions recognised at or near the end of the financial period
- **Review confirmations of loans receivable and payable** and confirmations from banks. Such a review may indicate the relationship, if any, of guarantors to the entity
- **Review investment transactions**, for example purchase or sale of an interest in a joint venture or other entity
- **Enquire** as to the **names of all pension and other trusts** established for the benefit of employees and the names of their management and trustees
- **Enquire** as to the **affiliation** of directors and officers with other entities
- **Review the register of interests in shares** to determine the names of principal shareholders

- **Enquire of other auditors** currently involved in the audit, or predecessor auditors, as to their knowledge of additional related parties
- **Review the entity's tax returns**, returns made under statute and other information supplied to regulatory agencies for evidence of the existence of related parties
- **Review invoices and correspondence from lawyers** for indications of the existence of related parties or related party transactions

9.7 First-time adoption of IFRS

Companies adopting IFRS for the first time are required to produce comparative financial statements, restating prior period figures in accordance with IFRS.

Auditing the financial statements of a company adopting IFRS for the first time poses a special challenge to the auditor, as set out in ISA 710, *Comparative Information: Corresponding Figures and Comparative Financial Statements*. We have discussed the auditing of comparatives in detail in earlier chapters.

9.7.1 Scope of the audit

Comparative financial statements refer to a **full set of financial statements for the prior period**, included in the current period's annual report. This differs from **corresponding figures**, where prior period figures are set out next to current period figures in a set of financial statements for comparison.

While the auditor does not express an opinion on corresponding figures, where comparative financial statements are issued, the auditor is required to **express an opinion on both the restated prior period and the current period**.

9.7.2 Audit procedures

ISA 710 requires the auditor to evaluate:

- Whether the comparative information agrees with the amounts and other disclosures presented in the prior period or, when appropriate, have been restated; and
- Whether the accounting policies reflected in the comparative information are consistent with those applied in the current period or, if there have been changes in accounting policies, whether those changes have been properly accounted for and adequately presented and disclosed.

If the auditor identifies any possible misstatement, they should carry out additional audit procedures to obtain sufficient, appropriate audit evidence about whether a material misstatement actually exists.

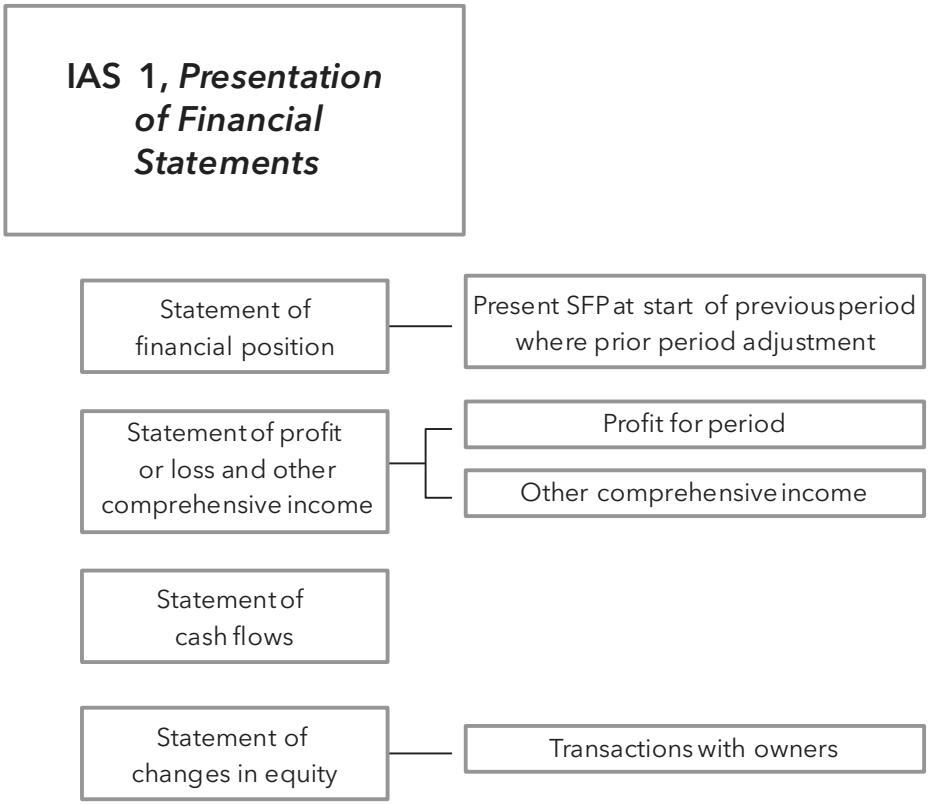
In addition, auditors must obtain **written representations** for all the periods referred to in the auditor's report. This means that written representations must be obtained for the restated period, as well as the current period.

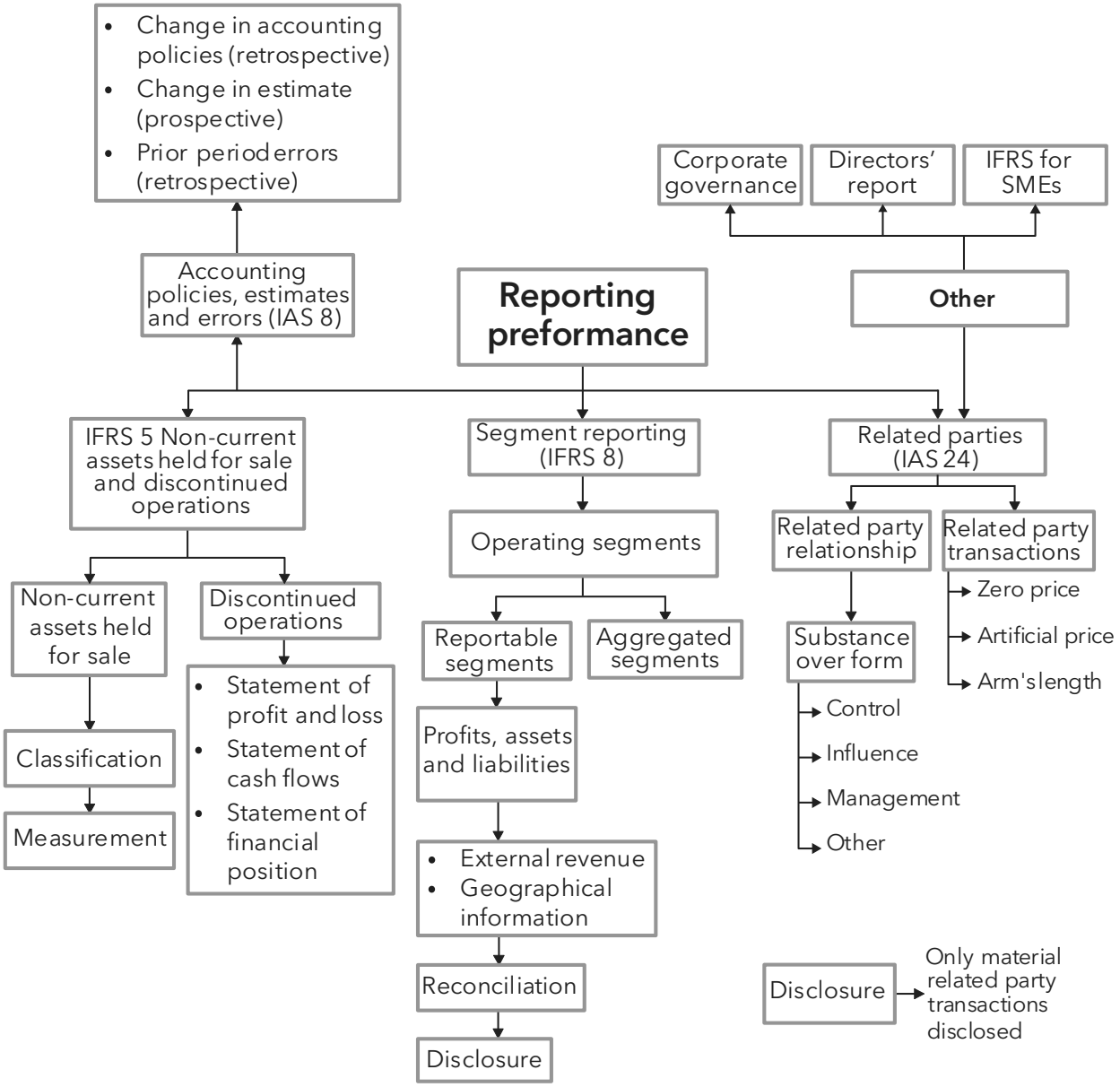
9.7.3 Audit reporting

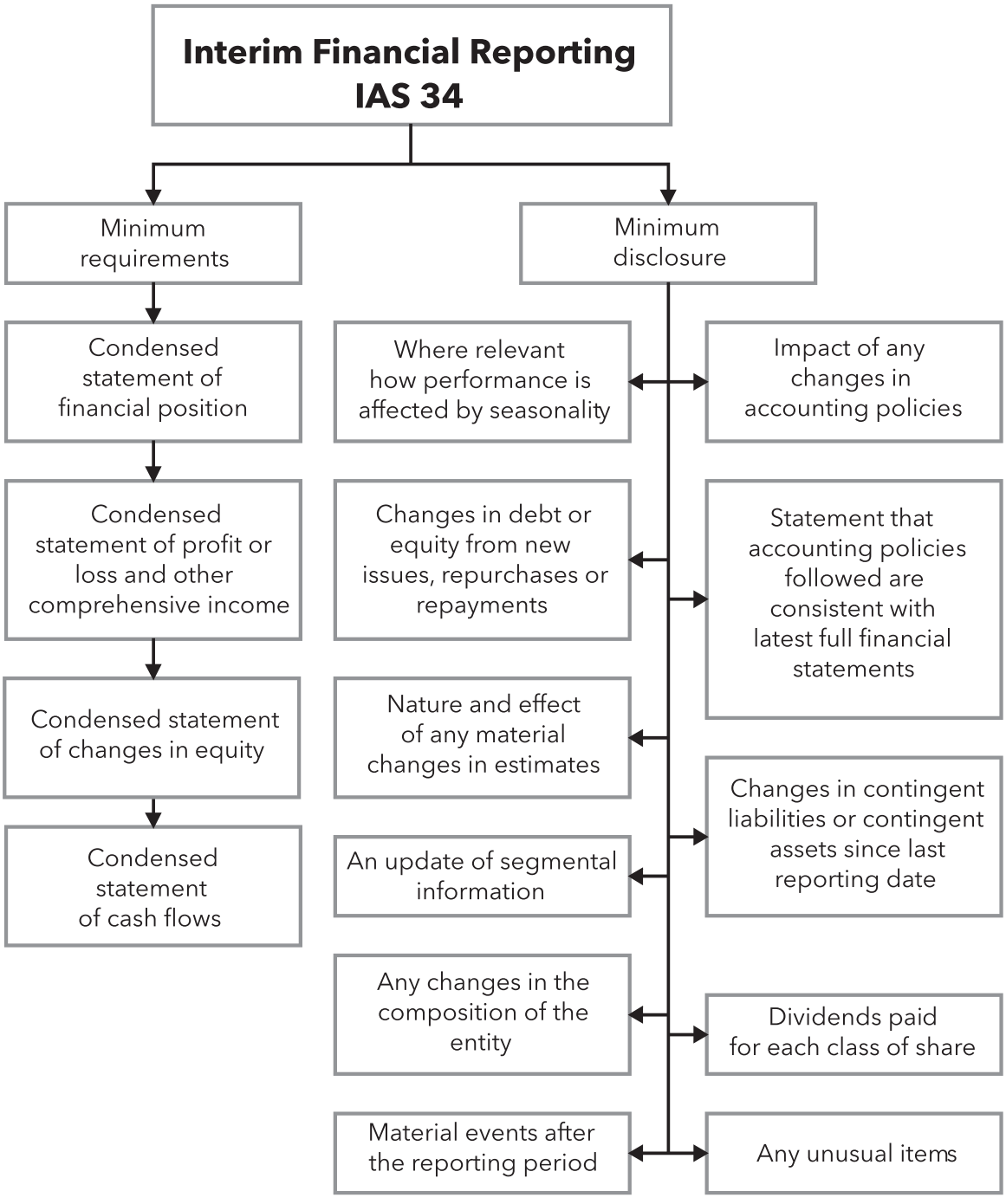
ISA 710 states that 'the auditor's opinion shall refer to each period for which the financial statements are presented'.

It is possible for different audit opinions to be expressed for each period. Where a modified audit opinion is given for the restated period, an **Other Matter** paragraph should be included, explaining the reason for the modification.

Summary


IAS 1, *Presentation of Financial Statements*
Statement of financial position
Present SFP at start of previous period where prior period adjustment
Statement of profit or loss and other comprehensive income
Profit for period
Other comprehensive income
Statement of cash flows
Statement of changes in equity
Transactions with owners


Reporting preformance
Accounting policies, estimates and errors (IAS 8)
• Change in accounting policies (retrospective)
• Change in estimate (prospective)
• Prior period errors (retrospective)
Other
Corporate governance
Directors' report
IFRS for SMEs
IFRS 5 Non-current assets held for sale and discontinued operations
Non-current assets held for sale
Classification
Measurement
Discontinued operations
• Statement of profit and loss
• Statement of cash flows
• Statement of financial position
Segment reporting (IFRS 8)
Operating segments
Reportable segments
Aggregated segments
Profits, assets and liabilities
• External revenue
• Geographical information
Reconciliation
Disclosure
Related parties (IAS 24)
Related party relationship
Related party transactions
Substance over form
Control
Influence
Management
Other
Zero price
Artificial price
Arm's length
Disclosure
Only material related party transactions disclosed


Interim Financial Reporting
IAS 34
Minimum requirements
Minimum disclosure
Condensed statement of financial position
Condensed statement of profit or loss and other comprehensive income
Condensed statement of changes in equity
Condensed statement of cash flows
Where relevant how performance is affected by seasonality
Changes in debt or equity from new issues, repurchases or repayments
Nature and effect of any material changes in estimates
An update of segmental information
Any changes in the composition of the entity
Material events after the reporting period
Impact of any changes in accounting policies
Statement that accounting policies followed are consistent with latest full financial statements
Changes in contingent liabilities or contingent assets since last reporting date
Dividends paid for each class of share
Any unusual items

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Do you understand the IAS 1 rules on presenting comparatives? (Topic 1)
2.	Do you understand what is meant by an operating segment? (Topic 3)
3.	Can you measure assets held for sale as per IFRS 5? (Topic 4)
4.	What are the minimum components of interim financial statements under IFRS 34? (Topic 7)
5.	Do you understand the role of the auditor in relation to segment information? (Topic 10)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
AZ	This is a very good question to revise your knowledge of IAS 1 and preparation of financial statements, which you covered at Professional Level.
Ndombe	This tests IFRS 5, specifically classifying and valuing non-current assets held for sale. This should be assumed knowledge from earlier studies, but if you struggle you may need to go back to your earlier study material.
Mareotis	This is a comprehensive question on related parties, an area that could be tested as part of a longer question.

Once you have attempted the self-test questions, you can continue your studies by moving onto the next chapter. In later chapters, we will recommend questions from the Question Bank for you to attempt.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

1 IFRS 8, *Operating Segments*

- Requires an entity to report its operating segments based on the data reported **internally to management**. Geographical disclosures of **external revenue** and **non-current assets** are also required. – **IFRS 8 Paragraph 20–22**
- The minimum disclosure is of **profit/loss** by segment.
- Geographical disclosures of **external revenue** and **non-current assets** are also required.

2 IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*

- Discontinued operations
- Definition – **IFRS 5.31–32**
- Disclosures on the face of the statement of profit or loss and other comprehensive income: – **IFRS 5.33(a)**
  - A single amount comprising the total of:
    - The post-tax profit or loss of discontinued operations, and
    - The post-tax gain or loss recognised on related assets
- Disclosures on the face or in the notes – **IFRS 5.33(b) (c)**
  - An analysis of the single amount on the face
- Comparative figures must be restated – **IFRS 5.34**
- Narrative disclosures are also required – **IFRS 5.41**

3 IAS 24, *Related Party Disclosures*

- Definition of a related party and related party transaction – **IAS 24.9**
- Exclusions from definition of related party – **IAS 24.11**
- Disclosures – **IAS 24.12, 16, 17, 18**

4 IFRS 1, *First-time Adoption of International Financial Reporting Standards*

- Opening IFRS SOFP – **IFRS 1.6**
- Accounting policies – **IFRS 1.7–12**
- Estimates – **IFRS 1.23-33**
- Transition process – **IFRS 1 App C,D**
- Exemptions – **IFRS 1.20–33**
- Disclosure

5 IAS 34, *Interim Financial Reporting*

- Minimum components of an interim financial report – **IAS 34.8**
- Form and content of interim financial statements – **IAS 34.9–11**
- Selected explanatory notes – **IAS 34.16**
- Disclosure of compliance with IFRS Standards – **IAS 34.19**
- Periods for which interim financial statements are required to be presented – **IAS 34.20**
- Materiality – **IAS 34.23**

6 IAS 1, *Presentation of Financial Statements*

- Applies to all general purpose financial statements
- Links back to much in the IASB Framework
- Presentation and disclosure rules apply only to material items – **IAS 1.31 and IAS 1.7**
- Statement of financial position – **IAS 1.54, 56, 60, 66, 69, 79**

7 Disclosure in annual financial statements

- If an estimate of an amount reported in an interim period is changed significantly during the final interim period of the financial year but a separate financial report is not published for that final interim period, the nature and amount of that change in estimate shall be disclosed in a note to the annual financial statements for that financial year. – **IAS 34.26**

8 Recognition and measurement

- An entity should apply the same accounting policies in its interim financial statements as are applied in its annual financial statements, except for accounting policy changes made after the date of the most recent annual financial statements that are to be reflected in the next annual financial statements. However, the frequency of an entity's reporting (annual, half-yearly, or quarterly) should not affect the measurement of its annual results. To achieve that objective, measurements for interim reporting purposes should be made on a year-to-date basis. – **IAS 34.28**

9 Revenues received seasonally, cyclically, or occasionally

- Revenues that are received seasonally, cyclically, or occasionally within a financial year shall not be anticipated or deferred as of an interim date if anticipation or deferral would not be appropriate at the end of the entity's financial year. – **IAS 34.37**

10 Costs incurred unevenly during the financial year

- Costs that are incurred unevenly during an entity's financial year shall be anticipated or deferred for interim reporting purposes if, and only if, it is also appropriate to anticipate or defer that type of cost at the end of the financial year. – **IAS 34.39**
- Applying the recognition and measurement principles – **IAS 34.40**
- Use of estimates – **IAS 34.41**
- Restatement of previously reported interim periods – **IAS 34.43**

11 IFRS 14, *Regulatory Deferral Accounts*

- Specifies the financial reporting requirements for 'regulatory deferral account balances' that arise when an entity provides goods or services to customers at a price or rate that is subject to rate regulation. – **IFRS 14.1**
- Eligible entities can continue to apply the accounting policies used for regulatory deferral account balances under the basis of accounting used immediately before adopting IFRS ('previous GAAP') when applying IFRS Standards, subject to the presentation requirements of IFRS 14. – **IFRS 14.11**
- The impact must be presented separately. – **IFRS 14.20**
- Specific disclosures are required. – **IFRS 14.27**

12 ISA 501

- Audit of segment information – **ISA 501.13**

13 ISA 550

- Definition of related parties – **ISA 550.10**
- Auditor's responsibilities in relation to related parties – **ISA 550.3–7**
- Audit procedures in respect of related parties – **ISA 550.11–28**

14 ISA 710

- Audit procedures in respect of comparative financial statements – **ISA 710.7–9**
- Audit reporting in respect of comparative financial statements – **ISA 710.10–19**

Self-test questions

Answer the following questions.

1 AZ

AZ is a quoted manufacturing company. Its finished products are stored in a nearby warehouse until ordered by customers. AZ has performed very well in the past, but has been in financial difficulties in recent months and has been reorganising the business to improve performance.

The trial balance for AZ at 31 March 20X3 was as follows:

	$'000	**$'000**
Sales		124,900
Cost of goods manufactured in the year to 31 March 20X3 (excluding depreciation)	94,000	
Distribution costs	9,060	
Administrative expenses	16,020	
Restructuring costs	121	
Interest received		1,200
Loan note interest paid	639	
Land and buildings (including land $20,000,000)	50,300	
Plant and equipment	3,720	
Accumulated depreciation at 31 March 20X2:		
Buildings		6,060
Plant and equipment		1,670
Investment properties (at market value)	24,000	
Inventories at 31 March 20X2	4,852	
Trade receivables	9,330	
Bank and cash	1,190	
Ordinary shares of $1 each, fully paid		20,000
Share premium		430
Revaluation surplus		3,125
Retained earnings at 31 March 20X2		28,077
Ordinary dividends paid	1,000	
7% loan notes 20X7		18,250
Trade payables		8,120
Proceeds of share issue		2,400
	214,232	214,232

Additional information provided:

(1) The property, plant and equipment are being depreciated as follows:

Buildings 5% per annum straight line.

Plant and equipment 25% per annum reducing balance.

Depreciation of buildings is considered an administrative cost while depreciation of plant and equipment should be treated as a cost of sale.

(2) On 31 March 20X3 the land was revalued to $24,000,000.

(3) Income tax for the year to 31 March 20X3 is estimated at $976,000. Ignore deferred tax.

(4) The closing inventories at 31 March 20X3 were $5,180,000. An inspection of finished goods found that a production machine had been set up incorrectly and that several production batches, which had cost $50,000 to manufacture, had the wrong packaging. The goods cannot be sold in this condition but could be repacked at an additional cost of $20,000. They could then be sold for $55,000. The wrongly packaged goods were included in closing inventories at their cost of $50,000.

(5) The 7% loan notes are 10-year loans due for repayment by 31 March 20X7. Interest on these loan notes needs to be accrued for the six months to 31 March 20X3.

(6) The restructuring costs in the trial balance represent the cost of a major restructuring of the company to improve competitiveness and future profitability.

(7) No fair value adjustments were necessary to the investment properties during the period.

(8) During the year the company issued 2 million new ordinary shares for cash at $1.20 per share. The proceeds have been recorded as 'Proceeds of share issue'.

Requirement

Prepare the statement of profit or loss and other comprehensive income and statement of changes in equity for AZ for the year to 31 March 20X3 and a statement of financial position at that date.

Notes to the financial statements are not required, but all workings must be clearly shown.

2 Viscum

The Viscum Company accounts for non-current assets using the cost model.

On 25 April 20X6 Viscum classified a non-current asset as held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*. At that date the asset's carrying amount was £30,000, its fair value was estimated at £22,000 and the costs to sell at £3,000.

On 15 May 20X6 the asset was sold for net proceeds of £18,400.

Requirement

In accordance with IFRS 5, what amount should be included as an impairment loss in Viscum's financial statements for the year ended 30 June 20X6?

3 Reavley

The Reavley Company accounts for non-current assets using the cost model.

On 20 July 20X6 Reavley classified a non-current asset as held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*. At that date the asset's

carrying amount was £19,500, its fair value was estimated at £26,500 and the costs to sell at £1,950.

The asset was sold on 18 October 20X6 for £26,000.

Requirement

In accordance with IFRS 5, at what amount should the asset be stated in Reavley's statement of financial position at 30 September 20X6?

4 Smicek

The Smicek Company classified an asset as being held for sale on 31 December 20X6. The asset had been purchased for a cost of £1.2 million on 1 January 20X4, and then had a 12-year useful life. On 31 December 20X6 its carrying amount was £900,000, its fair value was £860,000 and the expected sale costs were £20,000.

On 31 December 20X7 the board of Smicek, having failed to sell the asset during 20X7, decided to reverse their original decision and therefore use the asset in the business. At 31 December 20X7 the asset had a fair value of £810,000 and expected sale costs of £20,000. The directors estimate that annual cash flows relating to the asset would be £200,000 per year for the next 6 years. The effect of discounting is not material.

Requirement

What is the effect on profit or loss of Smicek's ceasing to classify the asset as held for sale, according to IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*?

5 Ndombe

The Ndombe Company classified a group of assets as held for sale on 31 December 20X6. Their fair value less costs to sell was £1,180,000.

During 20X7 the company decided that one of the assets, a polishing machine, should no longer be treated as an asset held for sale. The sale of the other assets was delayed due to events beyond the control of Ndombe and the company remains committed to their sale, which is highly probable in 20X8.

Asset values and dates are as follows:

	Polishing machine	**Other assets**
	£	**£**
Cost at 1 January 20X5	400,000	1,500,000
Accumulated depreciation to 31 December 20X6	(160,000)	(600,000)
Carrying amount on 31 December 20X6	240,000	900,000
Useful life	5 years	5 years
Fair value less costs to sell 31 December 20X6	210,000	970,000
Fair value less costs to sell 31 December 20X7	190,000	880,000
Value in use at 31 December 20X7	170,000	810,000

Requirement

Under IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* what are the amounts that should be shown under assets on the statement of financial position at 31 December 20X6 and 31 December 20X7?

6 Sapajou

The Sapajou Company bought a property with a useful life of 10 years for £1,200,000 on 1 January 20X4.

On 1 July 20X6 the board of Sapajou made a decision to sell the property, and immediately vacated it and advertised it for sale. At this date fair value less costs to sell was estimated at £880,000.
Negotiations with a buyer appeared successful, and a sale was provisionally agreed for 1 August 20X7 for £880,000. At the last minute the buyer withdrew and Sapajou had to re-advertise the property.

A new buyer was found in November 20X7 and a new price was agreed at fair value less costs to sell of £995,000. The sale is scheduled to take place in February 20X8.

Requirement

What are the amounts that should be included in profit or loss for the years ending 31 December 20X6 and 31 December 20X7?

7 Sulafat

The Sulafat Company has a 70% subsidiary Vurta and is a venturer in Piton, a joint venture company. During the financial year to 31 December 20X6, Sulafat sold goods to both companies.

Consolidated financial statements are prepared combining the financial statements of Sulafat and Vurta.

Requirement

Which transactions should be disclosed under IAS 24, *Related Party Disclosures*, in the **separate**
financial statements of Sulafat for 20X6?

8 Phlegra

In the year ended 31 December 20X7, the Phlegra Company undertook transactions with the following entities to the value stated.

(1) The Nereidum Company, one of whose non-executive directors is an executive director of Phlegra: £300,000.

(2) The Chub Company, which sources 100% of its raw materials requirements from Phlegra: £190,000.

Requirement

Under IAS 24, *Related Party Disclosures*, what is the total amount to be disclosed in respect of transactions with related parties in Phlegra's financial statements for the year ended 31 December 20X7?

9 Mareotis

The Mareotis Company is a partly owned subsidiary of the Bourne Company. In the year ended 31 December 20X7 Mareotis undertook transactions with the following entities to the value stated.

(1) The Hayles Company, in which the Wrasse Company holds 55% of the equity. Bourne holds 40% of the equity of Wrasse and has the power to appoint 3 out of the 5 members of Wrasse's board of directors: £300,000.

(2) The Galaxius Company, which is controlled by Danielle (the aunt of Agnes, a member of Mareotis's board of directors): £500,000.

Requirement

Under IAS 24, *Related Party Disclosures*, what is the total amount of transactions with related parties to be disclosed in Mareotis's financial statements for the year ended 31 December 20X7?

10 Marmoset

The Marmoset Company offers the service of transport consultations. Its accounting year ends on 31 December each year and it is currently preparing half-yearly interim financial statements for the six months to 30 June 20X7.

During 20X7 the directors drew up a plan to introduce a new bonus scheme for all junior consultants in order to provide incentives and improve retention. The details of the scheme were announced to employees the day before the interim financial statements were released on 15 August 20X7. Under the planned scheme any bonus would be paid on 31 March 20X8.

The bonus will be equal to 1% of profit before tax (calculated before recognising the bonus) of the year ended 31 December 20X7.

The business is seasonal such that 60% of the annual profit before tax is earned in the first six months of the year. The profit before tax in the interim financial statements for the six months to 30 June 20X7 is £6 million.

Requirement

What amount should be recognised in profit or loss for Marmoset for the six months to 30 June 20X7 in respect of the bonus, according to IAS 34, *Interim Financial Reporting*?

11 Aconcagua

The Aconcagua Company sells fashion shoes, the price of which varies during the year. Its accounting year ends on 31 December and it prepares half-yearly interim financial statements.

At 30 June 20X7 it has inventories of 2,000 units which cost £30 each. The net realisable value of the inventories at 30 June, when the shoes are out of season, is £20 each. No sales are expected in the period to 31 December 20X7, but the expected net realisable value of the shoes at that date (when they are about to come back into season) is £28 each.

Requirement

Should any changes in inventory values be reflected in the interim financial statements of Aconcagua for the six months ending 30 June 20X7 and for the six months ending 31 December 20X7, according to IAS 34, *Interim Financial Reporting*?

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

IFRS 8, *Operating Segments* states that an operating segment is separately reportable if it has been identified as a separate operating segment meeting the operating segment definition, and:

- its reported revenue is 10% or more of the combined revenue (external and internal) of all operating segments, **or**
- the absolute amount of its reported profit or loss is 10% or more of the greater of the combined profit of all operating segments that did not report a loss and the combined reported loss of all operating segments that reported a loss, **or**
- its assets are 10% or more of the combined assets of all operating segments.

	Revenue as % of total revenue (£238m)	Profit or loss as % of profit of all segments in profit (£29m)	Assets as % of total assets (£336m)
Chemicals *	33.6%	48.3%	32.4%
Pharmaceuticals wholesale	28.2%	31.0%	31.0%
Pharmaceuticals retail	9.2%	6.9%	8.9%
Cosmetics	6.3%	6.9%	5.4%
Hair care	5.0%	13.8%	6.3%
Body care	17.6%	20.7%	16.1%

* The chemicals segments are aggregated due to their similar economic characteristics

At 31 December 20X5 four of the six operating segments are reportable operating segments:

Chemicals

All size criteria are met.

Pharmaceuticals wholesale

All size criteria are met.

Pharmaceuticals retail

The Pharmaceuticals retail segment is not separately reportable, as it does not meet the quantitative thresholds. It can, however, still be reported as a separate operating segment if management believes that information about the segment would be useful to users of the financial statements.

Alternatively, the group could consider amalgamating it with the Pharmaceuticals wholesale segment, providing the two operating segments have similar economic characteristics and share a **majority** of the 'aggregation' criteria which, excluding the type of customer, may be the case.

Otherwise it would be disclosed in an 'All other segments' column.

Cosmetics

The Cosmetics segment does not meet the quantitative thresholds and therefore is not separately reportable. It can also be reported separately if management believes the information would be useful to users. Alternatively the group may be able to amalgamate it

with the Body care segment, providing the operating segments have similar economic characteristics and share a majority of the 'aggregation' criteria. Otherwise it would also be disclosed in an 'All other segments' column.

Hair care

The Hair care segment is separately reported due to its profitability being greater than 10% of total segments in profit.

Body care

All size criteria are met.

Note: IFRS 8.15 states that at least 75% of total external revenue must be reported by operating segments. This condition has been met, as the reportable segments account for 82% of total external revenue (158/192).

Answer to Interactive question 2

The facility will not be transferred until the backlog of orders is completed; this demonstrates that the facility is not available for immediate sale in its present condition. The facility cannot be classified as 'held for sale' at 31 December 20X3. It must be treated in the same way as other items of property, plant and equipment: it should continue to be depreciated and should not be separately disclosed.

Answer to Interactive question 3

Because the steel works is being closed, rather than sold, it cannot be classified as 'held for sale'. In addition, the steel works is not a discontinued operation. Although at 31 December 20X3 the group was firmly committed to the closure, this has not yet taken place and therefore the steel works must be included in continuing operations. Information about the planned closure could be disclosed in the notes to the financial statements.

Answer to Interactive question 4

In its financial statements S must disclose all benefits provided in exchange for services rendered to S (but not those rendered to P), whether they are provided by S, by P, or on behalf of S (as are the pension benefits and the share options). All the amounts listed should be disclosed by S, with the exception of the £20,000 payable in respect of services rendered to P.

Answer to Interactive question 5

5.1 Europa's first IFRS financial statements will be for the year ended 31 December 20X8. IFRS 1 requires that at least one year's comparative figures are presented and therefore the date of transition to IFRS Standards is the beginning of business on 1 January 20X7 (or close of business on 31 December 20X6).

Therefore the procedure for adopting IFRS Standards is:

- Identify accounting policies that comply with IFRS Standards effective at 31 December 20X8 (the reporting date for the first IFRS financial statements).
- Restate the opening statement of financial position at 1 January 20X7 (the date of transition) using these IFRS Standards retrospectively, by:
  - Recognising all assets and liabilities whose recognition is required by IFRS Standards
  - Not recognising items as assets or liabilities if IFRS Standards do not permit such recognition
  - Reclassifying items that were recognised under previous GAAP as one type of asset,

liability or component of equity, but are a different type of asset, liability or component of equity under IFRS Standards

- Measuring all recognised assets and liabilities in accordance with IFRS Standards

  The company will almost certainly need to change some of its accounting policies and to adjust some of the amounts that it reported previously at the same dates using previous GAAP. It should recognise these adjustments directly in retained earnings (ie, in equity).

- Explain the effect of the transition from previous GAAP to IFRS Standards, by presenting:
  - A reconciliation of equity reported under previous GAAP to equity under IFRS Standards at the date of transition and at the latest previous GAAP reporting date
  - A reconciliation of the profit or loss reported under previous GAAP to profit or loss reported under IFRS Standards for the last period presented under previous GAAP

If Europa presented a statement of cash flows under previous GAAP, it should also explain any material adjustments to the statement of cash flows.

Although the general rule is that all IFRS Standards should be applied retrospectively, a number of exemptions are available. These are intended to cover cases in which the cost of complying fully with a particular requirement would outweigh the benefits to users of the financial statements. Europa may choose to take advantage of any or all of the exemptions.

5.2 Changing from previous GAAP to IFRS Standards is likely to be a complex process and should be carefully planned. Although previous GAAP and IAS/IFRS may follow broadly the same principles, there are still likely to be many important differences in the detailed requirements of individual standards.

If Europa has foreign subsidiaries outside Molvania it will need to ensure that they comply with any previous reporting requirements. This may mean that subsidiaries have to prepare two sets of financial statements: one using their previous GAAP; and one using IFRS Standards (for the consolidation).

The process will be affected by the following:

- The differences between previous GAAP and IFRS Standards as they affect the group financial statements in practice. The company will need to carry out a detailed review of current accounting policies, paying particular attention to areas where there are significant differences between previous GAAP and IFRS Standards. These will probably include deferred tax, business combinations, employee benefits and foreign currency translation. It should be possible to estimate the effect of the change by preparing pro forma financial statements using IFRS Standards.
- The level of knowledge of IFRS Standards of current finance staff (including internal auditors). It will probably be necessary to organise training and the company may need to recruit additional personnel.
- The group's accounting systems. Management will need to assess whether computerised accounting systems can produce the information required to report under IFRS Standards. They will also need to produce new consolidation packages and accounting manuals.

Lastly, the company should consider the impact of the change to IFRS Standards on investors and their advisers. For this reason management should try to quantify the effect of IFRS Standards on results and other key performance indicators as early as possible.

5.3 **Advice**

(1) **Accounting estimates**

Estimates under IFRS Standards at the date of transition must be consistent with those made at the same date under previous GAAP (after adjustments to reflect any difference in

accounting policies). The only exception to this is if the company has subsequently discovered that these estimates were in error. This is not the case here and therefore the estimates are not adjusted in the first IFRS financial statements.

(2) **Court case**

The treatment of this depends on the reason why Europa did not recognise a provision under previous GAAP at 31 December 20X7.

If the requirements of previous GAAP were consistent with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*, presumably the directors concluded that an outflow of economic benefit was not probable and that the recognition criteria were not met. In this case, Europa's assumptions under IFRS Standards are consistent with its previous assumptions under previous GAAP. Europa does not recognise a provision at 31 December 20X7 and accounts for the payment in the year ended 31 December 20X8.

If the requirements of previous GAAP were not consistent with IAS 37, Europa must determine whether it had a present obligation at 31 December 20X7. The directors should take account of all available evidence, including any additional evidence provided by events after the reporting period up to the date the 20X7 financial statements were authorised for issue in accordance with IAS 10, *Events After the Reporting Period*.

5.4 The outcome of the court case confirms that Europa had a liability in September 20X7 (when the events that resulted in the case occurred), but this event occurred after the 20X7 financial statements were authorised for issue. Based on this alone, the company would not recognise a provision at 31 December 20X7 and the $10 million cost of the court case would be recognised in the 20X8 financial statements. If the company's lawyers had advised Europa that it was probable that they would be found guilty and suggested the expected settlement amount before the financial statements were authorised for issue, the provision would be recognised in the 20X7 financial statements reporting under IFRS Standards for that amount.

Answer to Interactive question 6

30% × £4m = £1.2m

The tax rate for the entire year is applied to the profits for the interim period.

Answer to Interactive question 7

(a) **Production machinery**

In this case the key issue is whether or not the asset should be classified as held for sale. In accordance with IFRS 5 a held-for-sale asset must be available for immediate sale. In this instance this does not appear to be the case, as the asset is still required for production purposes until after the year end. It should only be classified as held for sale at the end of January 20X8 when it has been serviced and uninstalled. Relevant audit evidence would include orders to be fulfilled compared to goods made by this machine compared to available inventory, budgets and inquiries of production staff.

Land

The key issue is the valuation of the land. As the entity has adopted the revaluation model the land should have been revalued to fair value (£210,000) immediately before being reclassified as held for sale. Any gain would be recognised in the revaluation surplus and disclosed as other comprehensive income in the statement of profit or loss and other comprehensive income. On reclassification the £6,000 costs to sell would be recognised in profit or loss as an impairment loss resulting in a carrying value of the asset of £204,000 (£210,000 – £6,000).

(b) **Production machinery**

Audit procedures would be as follows:

- Discuss with management intentions to run down production and the timescales involved.
- Review minutes of management/board meetings to confirm management's intentions.
- If material, agree with the management the reclassification of the asset as part of plant and machinery.
- Consider whether an impairment adjustment is required as the asset will no longer be used for its current purpose.

Land

Audit procedures would be as follows:

- Review the process of estimating the fair value of the land on 1 October and the necessary advertising costs.
- Discuss with management why the land was not revalued on classification as held for sale.

Answers to Self-test questions

1 AZ

AZ statement of profit or loss and other comprehensive income for the year ended 31 March 20X3

	$'000
Revenue	124,900
Cost of sales (W1)	(94,200)
Gross profit	30,700
Distribution costs (W1)	(9,060)
Administrative expenses (W1)	(17,535)
Other expenses (W1)	(121)
Finance income	1,200
Finance costs (18,250 × 7%)	(1,278)
Profit before tax	3,906
Income tax expense	(976)
PROFIT FOR THE YEAR	2,930
Other comprehensive income:	
Gain on land revaluation	4,000
Total comprehensive income for the year	6,930

AZ statement of financial position as at 31 March 20X3

	$'000
Non-current assets	
Property, plant and equipment (W2)	48,262
Investment properties	24,000
	72,262
Current assets	
Inventories (5,180 – (W3) 15)	5,165
Trade receivables	9,330
Cash and cash equivalents	1,190
	15,685
	87,947
Equity	
Share capital (20,000 + (W4) 2,000)	22,000
Share premium (430 + (W4) 400)	830
Retained earnings (28,077 – 1,000 + 2,930)	30,007
Revaluation surplus (3,125 + 4,000)	7,125
	59,962

	$'000
Non-current liabilities	
7% loan notes 20X7	18,250
Current liabilities	
Trade payables	8,120
Income tax payable	976
Interest payable (1,278 – 639)	639
	9,735
	87,947

AZ statement of changes in equity for the year ended 31 March 20X3

	Share capital	Share premium	Retained earnings	Revaluation surplus	Total
	$'000	$'000	$'000	$'000	$'000
Balance at 1 April 20X2	20,000	430	28,077	3,125	51,632
Issue of share capital	2,000	400			2,400
Dividends	(1,000)				(1,000)
Total comprehensive income for the year			2,930	4,000	6,930
Balance at 31 March 20X3	22,000	830	30,007	7,125	59,962

WORKINGS

(1) **Expenses**

	Cost of sales	Distribution	Admin	Other
	$'000	$'000	$'000	$'000
Per TB	94,000	9,060	16,020	121
Opening inventories	4,852			
Depreciation on buildings (W2)			1,515	
Depreciation on P&E (W2)	513			
Closing inventories (5,180 – (W3) 15)	(5,165)			
	94,200	9,060	17,535	121

(2) **Property, plant and equipment**

	Land	Buildings	P&E	Total
	$'000	$'000	$'000	$'000
Cost b/d	20,000	30,300	3,720	54,020
Acc'd depreciation b/d		(6,060)	(1,670)	(7,730)
	20,000	24,240	2,050	46,290

	Land	Buildings	P&E	Total
	$'000	$'000	$'000	$'000
Depreciation charge for year:				
$30,300 × 5%	–	(1,515)		(1,515)
($3,720 – $1,670) × 25%			(513)	(513)
	20,000	22,725	1,537	44,262
Revaluation (balancing figure)	4,000			4,000
Carrying amount c/d	24,000	22,725	1,537	48,262

(3) **Inventories**

Defective batch:

	$'000
Selling price	55
Cost to complete: repackaging required	(20)
NRV	35
Cost	(50)
Write-off required	(15)

(3) **Share issue**

The proceeds have been recorded separately in the trial balance. This requires a transfer to the appropriate accounts:

		$'000	$'000
DEBIT	Proceeds of share issue	2,400	
CREDIT	Share capital (2,000 × $1)		2,000
CREDIT	Share premium (2,000 × $0.20)		400

2 Viscum

£11,000

IFRS 5.15 requires assets classified as held for sale to be measured at the time of classification at the lower of (1) the carrying value (£30,000) and (2) the fair value less costs to sell (£19,000).

IFRS 5.20 requires recognition of the resulting impairment loss (£30,000 – £19,000). The gain or loss on disposal is treated separately per IFRS 5.24.

3 Reavley

£19,500

IFRS 5.15 requires that a non-current asset held for sale should be stated at the lower of (1) the carrying amount (£19,500) and (2) the fair value less costs to sell (£24,550).

4 Smicek

£40,000

At the end of the current year, a non-current asset that has ceased to be classified as held for sale should be valued at the lower of:

(1) The carrying amount had it not been recognised as held for sale, ie, to charge a full year's depreciation of £100,000 for 20X7 and reduce the carrying amount from £900,000 at 31 December 20X6 to £800,000.

(2) The recoverable amount, which is the higher of the £790,000 fair value less costs to sell (£810,000 less £20,000) and value in use (the cash flows generated from using the asset) of £1,200,000.

Therefore the asset should be carried at £800,000 in the statement of financial position at 31 December 20X7.

At the end of the prior year, when the asset was classified as held for sale, the asset would have been carried at the lower of carrying amount (£900,000) and fair value less costs to sell of £840,000 (£860,000 less £20,000). Therefore the asset has fallen in value from £840,000 to £800,000 in the current year, giving a charge to profits of £40,000.

5 Ndombe

31 December 20X6: the assets should be shown in the statement of financial position at a value of £1,140,000.

31 December 20X7: the assets should be shown in the statement of financial position at a value of £1,040,000.

At the end of 20X6 the assets are classified as held for sale. The assets should be measured at the lower of carrying amount and fair value less costs to sell (IFRS 5.15). The carrying amount was £1,140,000 and the fair value less costs to sell was £1,180,000 so they were measured at £1,140,000. No depreciation is charged on these assets in 20X7 (IFRS 5.25).
At the end of 20X7, it is still possible to classify the 'other' assets as held for sale as the company is still committed to the sale (IFRS 5.29). These assets would be measured at fair value less costs to sell of £880,000, as this is lower than the carrying amount of £900,000.

However, the polishing machine should be valued at the lower of £160,000 carrying amount had classification as held for sale not occurred (£400,000 × 2/5) and the higher of fair value less costs to sell (£190,000) and value in use (£170,000) (IFRS 5.27). This gives a value of £160,000.

This gives a total value of £1,040,000 at 31 December 20X7.

6 Sapajou

An expense of £20,000 is shown in the profit or loss part of the statement of profit or loss and other comprehensive income for the year ended 31 December 20X6.

Income of £20,000 is shown in the profit or loss part of the statement of profit or loss and other comprehensive income for the year ended 31 December 20X7.

Under IFRS 5.15 an asset classified as held for sale is measured at the lower of carrying amount immediately before the reclassification of £900,000 (£1,200,000 – 2.5 × £120,000), and fair value less costs to sell of £880,000. The £20,000 impairment loss is charged to profits (IFRS 5.20).

In the following year, the increase in fair value less costs to sell is £115,000, but only £20,000 of this can be recognised in profit (IFRS 5.21) as this is the reversal of the previous impairment loss.

7 Sulafat

Disclosure is required of transactions with both Vurta and Piton. See IAS 24.3, which states that entities under both direct and common control are related parties.

8 Phlegra

Nil under IAS 24.11 (a) two entities are not related parties simply because they have a director in common, nor per IAS 24.11 (b) simply because the volume of transactions between them results in economic dependence.

So neither Nereidum nor Chub is a related party of Phlegra.

9 Mareotis

£300,000

Under IAS 24.9, Hayles is a related party of Mareotis. Bourne 'controls' Wrasse (by virtue of the power to appoint the majority of directors) and Wrasse 'controls' Hayles (by virtue of holding the majority of the equity). So Bourne 'controls' both Mareotis and Hayles, which are therefore related parties as a result of being under common control.

Being an aunt does not make Danielle a close member of Agnes's family so, although Galaxius is controlled by a relative of Agnes, the relationship is not close enough to make Galaxius a related party of Mareotis. So only transactions with Hayles have to be disclosed.

10 Marmoset

Nil

Interim reports should apply the normal recognition and measurement criteria, using appropriate estimates under IAS 34.41.

There is no legal or constructive obligation at the interim reporting date to pay the bonus, as no announcement had been made at this date. Under IAS 34 App B B6 no expense is required.

11 Aconcagua

Inventory values change

Six months ending 30 June 20X7	£20,000 profit decrease
Six months ending 31 December 20X7	£16,000 profit increase

Interim reports should apply the normal recognition and measurement criteria, using appropriate estimates under IAS 34.41. IAS 34 App B B25–B26 links these general principles to inventories by requiring them to be written down to net realisable value at the interim date; the write down is then reversed at the year end, if appropriate.

So the profit decrease in the six months to 30 June 20X7 is 2,000 × (£30 – £20) = £20,000, while the profit increase in the six months to 31 December 20X7 is 2,000 × (£28 – £20) = £16,000.

Chapter 10

Reporting revenue

Introduction

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Chapter study guidance

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2 IFRS 15, Revenue from Contracts with Customers

3 Applications of IFRS 15

4 Audit focus

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Introduction

Learning outcomes

- Identify and explain current and emerging issues in corporate reporting
- Explain how different methods of recognising and measuring assets and liabilities can affect reported financial performance
- Explain and appraise accounting standards that relate to reporting performance: in respect of financial statements; revenue; operating segments; continuing and discontinued operations; EPS; interim reporting
- Calculate and disclose, from financial and other qualitative data, the amounts to be included in an entity's financial statements according to legal requirements, applicable financial reporting standards and accounting and reporting policies
- Determine for a particular scenario what comprises sufficient, appropriate audit evidence
- Design and determine audit procedures in a range of circumstances and scenarios, for example identifying an appropriate mix of tests of controls, analytical procedures and tests of details
- Demonstrate and explain, in the application of audit procedures, how relevant ISAs affect audit risk and the evaluation of audit evidence

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
1	**Context** Revenue is often the single largest item in the financial statements, and has in the past been open to manipulation. This led to the development of a recent standard IFRS 15, *Revenue from Contracts with Customers*. IFRS 15 recognises separate performance obligations will arise	**Approach** You have met this topic before, but now it is examinable at Level A. Read through this introductory section quickly. **Stop and think** Can you think of any recent scandals involving recognition of revenue?	This section deals with background knowledge only.	N/A

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
	for distinct goods or services. This could result in some revenue being attributed to goods or services that were previously considered incidental to the contract – for instance, to mobile phones that are provided free of charge with airtime contracts and to some post-delivery services, such as maintenance and installation.			
2	**IFRS 15, *Revenue from Contracts with Customers*** The five-stage model will be used in practice for recognising revenue and is useful for exam questions.	**Approach** Pay particular attention to the five-stage model for recognising revenue in section 2: (1) Identify the contract(s) with a customer. (2) Identify separate performance obligations. (3) Determine the transaction price. (4) Allocate transaction price to performance obligations. (5) Recognise revenue as or when each performance obligation is satisfied. **Stop and think** A performance obligation can be satisfied at a point in	IFRS 15 is a recent, topical standard, and could be tested in a number of ways. It was examined for the first time in July 2019, when it formed a large part of the content of Question 3 (audit and financial reporting). The five-stage model will help structure your answer in an exam, but you will get no marks for just listing them without applying them to a scenario.	**IQ1–4** Work through all the examples and questions on applying this model, especially: **IQ5: Caravan** This deals with all five stages of IFRS 15.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions
		time, such as in retail sales, or over time, such as a construction contract taking place over weeks, months or even years. You will not have studied construction contracts before, so pay particular attention to section 2.10.		
3	**Applications of IFRS 15** Section 3 deals with specific applications of IFRS 15. The most important of these are sale or return, sale and repurchase and goods and services in the same contract.	**Approach** You will have dealt with these topics at Professional Level, so read through for revision and focus on doing the interactive questions. **Stop and think** In a principal/agent relationship, what is the agent's revenue?	Any of these topics could come up in an exam. Revenue is regularly examined and could take up most of the question.	Work through all the examples and questions on applying this model, especially: **IQ6: Sale or return** This is not as straightforward as you might think.
4	**Audit focus** This gives auditing guidance relating to each stage of IFRS 15 and for specific transactions.	**Approach** Study this section carefully and attempt the integrated interactive question. **Stop and think** Where performance obligations are satisfied over time, how would you determine whether contract costs had been overstated?	To avoid repetition of the five stages, it is best to deal with each stage first from the FR point of view, then in terms of auditing. Questions are very likely to test both.	**IQ11: Construction contracts** A must-do question on auditing revenue from contracts in which performance obligations are satisfied over time.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Context

Section overview

- Income, as defined by the IFRS Foundation's *Conceptual Framework*, includes both revenues and gains. Revenue is income arising in the ordinary course of an entity's activities and it may be called different names, such as sales, fees, interest, dividends or royalties.
- IFRS 15, *Revenue from Contracts with Customers* establishes a single comprehensive framework for accounting for the majority of contracts that result in revenue.
- Revenue recognition is straightforward in most business transactions, but can be complicated in some situations.

1.1 Accrual accounting

Financial statements are prepared on the underlying assumption of the **accrual basis** of accounting, whereby effects of transactions are recognised **when they occur** and not when the cash associated with them is received or paid.

But this raises questions about **when** a transaction 'occurs':

- Is it when the buyer takes possession of the goods, in circumstances where the contract for sale contains clauses that seek to ensure that ownership does not pass to the customer until the seller has been paid in full?
- Is it when services are provided, in circumstances where the seller undertakes to come back to do additional work without charge if needed, e.g., remedial work carried out by a building contractor?
- When does the profit arise on a contract for the provision of services to a customer over time, such as under a maintenance contract of two years' duration? Only at the start, only in the middle, only at the end, or over the period of two years?

IFRS 15, *Revenue from Contracts with Customers* was brought in to address this.

Professional skills focus: Assimilating and using information

It is by no means always easy in practice to assimilate information about revenue, as the points above show. An exam question is likely to contain a detailed scenario with revenue apparently occurring at different times.

1.2 Significance of revenue

Revenue is often the largest single item in the financial statements. US studies have shown that over half of all financial statement frauds and requirements for restatements of previously published financial information involved revenue manipulation.

1.2.1 Significance for your exam

IFRS 15 has been tested in a number of ways. It was examined for the first time in July 2019, when it formed a large part of the content of Question 3 (audit and financial reporting). The question focused mainly on performance obligations satisfied (or not satisfied) over time, and was set in the context of financial reporting (comment on recognition policy), risk of

misstatement and a potential ethical issue (breach of contract). Reference was also made to data analytics, which continues to be a focus of future questions on revenue.

In Question 2 of November 2019 the focus was on correct allocation of the transaction price to performance obligations for a loyalty points scheme (when the points are redeemed or expire) and an audio and music streaming service (based on standalone price). This was in the context of adjusting draft financial statements and re-calculating ratios.

Question 3 in November 2020 focused on the timing of revenue recognition in the context of club membership, ie, when the performance obligation is satisfied rather than when the membership fee is received or an event booked. The question also covered auditing aspects of revenue and analytical review procedures.

In July 2021, IFRS 15 was examined in Question 1, where the use of data analytics software was needed in order to identify anomalies in timing of revenue recognition. By using the software candidates would have been able to identify a significant transaction posted out of hours. This gave rise to an audit risk of revenue overstatement.

IFRS 15 has therefore been examined in all three questions in the Corporate Reporting exam.

2 IFRS 15, *Revenue from Contracts with Customers*



Section overview

- Revenue is income arising in the course of an entity's ordinary activities.
- Revenue should be recognised to depict the transfer of goods or services to a customer in an amount that reflects the consideration to which the entity expects to be entitled.
- Generally revenue is recognised when the entity has transferred to the buyer control of the asset.
- IFRS 15 sets out a five-stage process for this.

Tutorial Note

This material should be familiar to you from your studies at Professional Level. So we would advise skim-reading the explanations and going straight to the examples or questions, coming back to the detail if you get stuck.

2.1 Objective and scope

The objective of IFRS 15 is to establish the principles that should be applied to report on the nature, amount, timing and uncertainty of revenue and cash flows arising from a contract with a customer.

(IFRS 15.1)

IFRS 15 applies to all contracts with customers except:

- leases within the scope of IFRS 16, *Leases*
- insurance contracts within the scope of IFRS 4, *Insurance Contracts*
- non-monetary exchanges between entities in the same line of business

2.2 Revenue

Income is defined in the IASB's *Conceptual Framework* (para. 4.2) as "Increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to

contributions from holders of equity claims." **Revenue is simply income arising in the course of an entity's ordinary activities** (IFRS 15: Appendix A) and it may be called different names such as:

- Sales
- Turnover
- Interest
- Dividends
- Royalties

2.3 Core principle

The core principle of IFRS 15, *Revenue from Contracts with Customers* is that an entity recognises revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services (IFRS 15. IN7).

The transfer of goods and services is evidenced by the transfer of **control**.

Revenue is recognised in accordance with this core principle by applying a five-step model.

2.4 Five-step model

IFRS 15 takes a five-step approach to recognising revenue:

Step 1 Identify the contract(s) with a customer.

Step 2 Identify separate performance obligations.

Step 3 Determine the transaction price.

Step 4 Allocate transaction price to performance obligations.

Step 5 Recognise revenue as or when each performance obligation is satisfied.

Revenue is therefore recognised when control over goods or services is transferred to the customer.



Professional skills focus: Structuring problems and solutions

IFRS 15 is a good example of an IFRS structuring a problem. The five-stage process provides the structure.

2.5 Identify the contract with the customer

The contract can be written, verbal or implied. For instance, in retail sales the contract is implied. The criteria to be met are as follows:

(a) All parties have approved the contract.

(b) The entity can identify each party's rights regarding the goods or services to be transferred.

(c) The payment terms can be identified.

(d) The contract has commercial substance.

(e) It is probable that the entity will collect the consideration to which it will be entitled in exchange for the goods or services.

(IFRS 15.9)

2.6 Identify the performance obligations in the contract

A performance obligation is a promise to transfer to the customer either:

(a) a **distinct** good or service (or bundle of goods or services); or

(b) a series of **distinct** goods or services.

(IFRS 15.22)

A good or service is **distinct** if it can be sold separately and has a distinct function. If this does not apply, it will form part of a distinct bundle.

The definition of **distinct** is therefore key when identifying separate performance obligations. **A good or service** (or a bundle of goods or services) is distinct if the customer can benefit from the good or service on its own or together with other readily available resources and the entity's promise is separately identifiable from other promises in the contract).

If goods or services are not distinct, the reporting company must combine them with other promised goods or services until a bundle of goods or services that is distinct can be identified.



Worked example: Performance obligations (1)

Colossal Construction plc has recently signed a contract to build a warehouse for SupaSave Ltd. Colossal Construction is responsible for designing the building, preparing the site, purchasing raw materials, construction, plumbing, wiring and finishing.

Requirement

Identify the performance obligation(s) in the contract.

Solution

In the context of this contract, Colossal Construction is contracted to provide a significant service of integrating the inputs in order to produce a single output; this being the warehouse. Therefore, the provision of each good or service is not separately identifiable.

The promises are not distinct and therefore there is only a single performance obligation, being the development of the property.



Worked example: Performance obligations (2)

MetaConnect Software Services plc (MetaConnect) supplies computer aided design packages to customers. It has recently signed a contract with EverTel Design Ltd to provide a licence to use a software package, installation service (which does not involve customising the software package) and technical support for four years. MetaConnect is not the only company that could install the software and provide technical support.

Requirement

Identify the performance obligation(s) in the contract.

Solution

Each good or service provided (the provision of the licence, the installation service and the technical support) is capable of being distinct because a customer could gain benefit from each either on its own or by obtaining the other goods/services from another supplier. The good or service could therefore benefit the customer either on its own or together with other resources that are readily available.

In the context of this contract, MetaConnect is not integrating the goods or services, none of the goods or services modifies another and the goods/services are not highly interrelated. Therefore each promise is separately identifiable. Therefore the promise to transfer the good or service to the customer is separately identifiable from other promises in the contract

In conclusion, there are three distinct performance obligations in the contract, being:

(1) Installation of the software

(2) Provision of the licence

(3) Provision of technical support

2.7 Determine the transaction price

This is the amount of consideration in a contract to which an entity expects to be entitled for transferring promised goods or services to a customer (IFRS 15.47).

This may include both fixed and variable elements but not amounts collected on behalf of third parties. Variable amounts could be discounts, refunds, price concessions, incentives, bonuses or other items.

Variable consideration is included in the transaction price based on either:

- its expected value (the sum of probability weighted amounts in a range of possible outcomes); or
- the single most likely amount (the single most likely amount in a range of possible consideration amounts).

The expected value approach is generally appropriate if the vendor has a large number of contracts with similar characteristics.

The single most likely outcome may be appropriate if a contract has only two possible outcomes (eg, an entity achieves a performance bonus or does not).

The chosen approach should be that which is expected to provide a better prediction of consideration.

Variable consideration is included in the transaction price only to the extent that it is highly probable that a significant amount will not be reversed when the uncertainty associated with the variable consideration is resolved. When assessing whether it is highly probable that a significant reversal will not occur once the uncertainty related to the variable consideration is subsequently resolved, an entity should consider both the likelihood and magnitude of the revenue reversal. Factors that may increase the likelihood or magnitude of reversal include **any** of the following:

(a) The amount of consideration is very susceptible to factors outside the entity's influence eg, weather conditions or market volatility.

(b) The uncertainty about consideration is not expected to be resolved for a long period of time.

(c) The entity's experience with similar types of contracts is limited or has limited predictive value.

(d) The entity has a practice of offering a wide range of price concessions or changing the payment terms and conditions of similar contracts in similar circumstances.

(e) The contract has a large number and broad range of possible consideration amounts.

Worked example: Variable consideration

On 1 July 20X8, Danmar Construction plc (Danmar) signs a contract to build an extension to a retail outlet. The total price agreed is £80 million. The contract terms require completion by 31 March 20X9. The price will decrease by £200,000 for every day after this date that the project remains incomplete. At the year end of 31 December 20X8, Danmar expects that there is an 80% chance of the project being completed on time, a 10% chance of it being completed a day late, a 7% chance of it being completed two days late and a 3% chance of it being completed three days late.

Requirement

What is the transaction price?

Solution

The consideration is variable due to the fact that Danmar will accept an amount that is less than the price stated in the contract if the project overruns (the price concession).

Here the calculation of transaction price is based on expected values.

	£
80% × £80,000,000	64,000,000
10% × £79,800,000	7,980,000
7% × £79,600,000	5,572,000
3% × £79,400,000	2,382,000
Transaction price	79,934,000

2.8 Allocate the transaction price to the performance obligations in the contract

The transaction price is allocated to each performance obligation on the basis of the stand-alone selling price of each distinct good or service in the contract. This is often referred to as the 'unbundling' of goods / services. If the good or service does not have a stand-alone selling price, it will need to be estimated (IFRS 15.78). IFRS 15 does not specify a method to do this, however appropriate methods include:

- Expected cost plus a margin
- An estimated amount based on the market and competitor pricing
- As a residual ie, the contract price less the sum of the observable standalone prices of other goods and services in the contract.

A common example of unbundling is a mobile phone service contract which includes a free handset. In accordance with IFRS 15, the entity will have to allocate some of the revenue to the handset, based on its stand-alone selling price and some to the provision of network services.

Worked example: Allocation of transaction price

The contract between MetaConnect and EverTel Design (see Worked example: Performance obligations 2) is priced at £6,000. The stand-alone selling prices of each element are as follows:

	£
Provision of a licence	5,000
Installation service	1,500
Provision of technical support	3,000
	9,500

Requirement

Allocate the transaction price to the performance obligations in the contract.

Solution

Licence provision £5,000/£9,500 × £6,000 = £3,158

Installation service £1,500/£9,500 × £6,000 = £947

Technical support service £3,000/£9,500 × £6,000 = £1,895



Context example: Unbundling

A mobile phone company gives customers a free handset when they sign a two-year contract for provision of network services. The handset has a stand-alone price of £52 and the contract is for £20 per month.

Under IFRS 15, revenue must be allocated to the handset because delivery of the handset constitutes a performance obligation. This will be calculated as follows:

	£	%
Handset	52	10
Network services	480	90
Total value	532	100

As the transaction price is the total receipts of £480, this is the amount which must be allocated to the separate performance obligations.

Revenue will be recognised as follows:

	£
Year 1	
Handset (480 × 10%)	48
Contract (480 – 48)/2	216
	264
Year 2	
Contract as above	216

Interactive question 1: Goods and services

An entity sells an item of equipment to a customer on 1 January 20X7 for £1.5 million. Due to the specialised nature of the equipment, the entity has agreed to provide free support services for the next two years, despite the cost to the entity of that support being estimated at £120,000 in total. The entity usually earns a mark up of 20% on service contracts however does not sell this support service contract on a standalone basis.

Requirement:

How much revenue should the entity recognise for the year ended 30 April 20X7?

	£
Revenue:	

See **Answer** at the end of this chapter.

Interactive question 2: Servicing fees

On the last day of its current accounting period, Computer Ltd completes the handover of a new system to a client and raises an invoice for £800,000. This price includes after-sales support for the next two years, which is estimated to cost £35,000 each year. Computer Ltd normally earns a gross profit margin of 17.5% on such support activity. The system is normally sold without the after-sales support for £775,000.

Requirement:

Calculate the revenue to be included in Computer Ltd's current year statement of profit or loss in respect of this sale.

	Stand alone selling pr	*%*	*Allocation of transaction price*
After-sales support		*9.9%*	*79,200*
System	*775,000*	*90.1%*	*720,800*
Total selling price	*859,848*	*100%*	*800,000*

See **Answer** at the end of this chapter.

2.9 Recognise revenue when (or as) a performance obligation is satisfied

A performance obligation is satisfied when control of the good or service specified in the contract is transferred to the customer (IFRS 15.31).

A performance obligation can be satisfied **at a point in time**, such as in retail sales, or **over time**, such as a construction contract taking place over weeks, months or even years.

Where a performance obligation is satisfied **at a point in time**, that point will occur when **control is transferred**. At that point the customer is able to direct the use of the asset and obtain substantially all the remaining benefits from it (IFRS 15.33).

The following events can indicate that control has been transferred (IFRS 15.38):

- The entity has a present right to payment for the asset
- The customer has legal title to the asset
- The entity has transferred physical possession of the asset
- The significant risks and rewards of ownership have been transferred to the customer
- The customer has accepted the asset

A performance obligation satisfied **over time** will meet one of the following criteria:

- The customer simultaneously receives and consumes the benefits as the performance obligation is satisfied.

- The entity's performance creates or enhances an asset that the customer controls as the asset is created or enhanced.
- The entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date.

(IFRS 15.35)

Where performance obligations are satisfied over time, the entity recognises revenue by measuring progress towards complete satisfaction of the performance obligation. Progress can be measured using output methods (measuring the value to the customer of goods or services transferred to date) or input methods (measuring the cost to the entity of goods or services transferred to date) (IFRS 15.B14).

In the early stages of a contract it may not be possible to reasonably measure the outcome of a performance obligation, but the entity is entitled to recover costs incurred. In this case, revenue can be measured to the extent of costs incurred.

A contract where performance obligations are recognised over time may give rise to asset or liability amounts at the end of the reporting period.

Contracts with customers will be presented in an entity's statement of financial position as a contract liability, a contract asset or a receivable, depending on the relationship between the entity's performance and the customer's payment.

(IFRS 15.105)

A **contract liability** is recognised and presented in the statement of financial position where a customer has paid an amount of consideration prior to the entity performing by transferring control of the related good or service to the customer.

(IFRS 15.106)

When the entity has performed but the customer has not yet paid the related consideration, this will give rise to either a **contract asset** or a **receivable**. A contract asset is recognised when the entity's right to consideration is conditional on something other than the passage of time, for instance future performance. A receivable is recognised when the entity's right to consideration is unconditional except for the passage of time.

(IFRS 15.107)

Where revenue has been invoiced a receivable is recognised. Where revenue has been earned but not invoiced, it is recognised as a contract asset.



Worked example: Performance obligation satisfied over time

Associated Solutions Ltd is building a bespoke software system for an insurance company. The contract started on 1 January 20X7 with an estimated completion date of 31 December 20X9. The contract price is £2 million. As at 31 December 20X7:

(1) costs incurred amounted to £800,000;

(2) half the work on the contract was completed;

(3) certificates of work completed have been issued by the insurance company, to the value of £1 million; and

(4) it is estimated with reasonable certainty that further costs to completion will be £800,000.

Requirement

What is the contract profit in 20X7, and what entries would be made for the contract at 31 December 20X7?

Solution

This is a contract in which the performance obligation is satisfied **over time**. The entity is carrying out the work for the benefit of the customer rather than creating an asset for its own use and in this case it has an enforceable right to payment for work completed to date. We can see this from the fact that certificates of work completed have been issued.

IFRS 15 states that the amount of payment that the entity is entitled to corresponds to the amount of performance completed to date (ie, goods and/or services transferred).

In this case, the contract is certified as 50% complete, measuring progress under the output method. At 31 December 20X7, the entity will recognise revenue of £1,000,000 and cost of sales of £800,000, leaving profit of £200,000. The **contract asset** will be the costs to date plus the profit – that is £1,000,000. We are not told that any of this amount has yet been invoiced, so none of this amount is classified as receivables.



Interactive question 3: Publishing revenue

A magazine publisher launched a new monthly magazine on 1 January 20X7. During January it received £48,000 in annual subscriptions in advance. It has despatched four issues by the year end 31 March 20X7.

Requirement

What revenue should be recognised for the year ended 31 March 20X7?

See **Answer** at the end of this chapter.



Interactive question 4: Advance sales

A DIY store is about to sell a new type of drill. Customer demand is high and the store has taken advance orders for the drill. The selling price of the drill will be £50 and so far 200 customers have paid an initial 10% deposit on the selling price of the drill. No drills are yet held in inventory.

Requirement

What amount should be recognised as revenue?

See **Answer** at the end of this chapter.



Interactive question 5: Rendering of services

A £210,000 fixed-price contract is entered into for the provision of services. At the end of 20X7, the first accounting period, the contract is thought to be 33% complete and costs of £45,000 have been incurred in performing that 33% of the work.

Requirements

Calculate the revenue to be recognised in 20X7 on the alternative assumptions that:

(a) The costs to complete are reliably estimated at £90,000; and

(b) The costs to complete cannot be reliably estimated, and it is thought that £40,000 of the costs incurred are recoverable from the customer.

See **Answer** at the end of this chapter.

Interactive question 6: Service contract

An entity entered into a contract for the provision of services over a two year period. The total contract price was £150,000 and the entity initially expected to earn a profit of £20,000 on the contract. In the first year, costs of £60,000 were incurred and 50% of the work was completed. The contract did not progress as expected and management was not sure of the ultimate outcome but believed that the costs incurred to date would be recovered from the customer.

Requirement

What revenue should be recognised for the first year of the contract?

See **Answer** at the end of this chapter.

2.10 Performance obligations satisfied over time: 'construction contracts'

IFRS 15 does not specifically use the term 'construction contracts', but refers to them as contracts in which performance obligations are satisfied over time. Such contracts often include contracts for large construction projects falling into more than one accounting period. As mentioned in section

2.9 above, the entity recognises revenue by measuring progress towards complete satisfaction of the performance obligation. Progress can be measured using output methods (measuring the value to the customer of goods or services transferred to date) or input methods (measuring the cost to the entity of goods or services transferred to date) (IFRS 15.B14).

Worked example: Contract to construct a conference centre

During the year ended 31 July 20X9, Frizco Construction plc (Frizco) began the construction of a leisure centre on behalf of a local authority. The agreed contract price was £70 million. However this will be reduced by £6 million if Frizco completes the centre a month or more behind schedule.

During the year ended 31 July 20X9, costs incurred amounted to £18.6 million, including £1,000,000 material that could not be used in the project as it was of the incorrect grade to meet regulations.

The total cost of the project (excluding the £1,000,000 in wasted material) is estimated to be £44 million. Work certified at the year-end was £24.5 million.

The construction is currently progressing in accordance with the agreed schedule.

Requirements

1 What amount of revenue is recognised in profit or loss in the year ended 31 July 20X9 if an output method is used to assess progress?

2 What amount of revenue is recognised in profit or loss in the year ended 31 July 20X9 if an input method is used to assess progress?

Solution

The transaction price is £70 million. £64 million is fixed consideration and £6 million is variable consideration. The transaction price is £70 million as the project is currently expected to be completed on time and therefore the single most likely outcome is the receipt of £70 million.

1 **Output method**
Using the output method the project is 35% complete:
Work certified ÷ Transaction price = 24,500 ÷ 70,000 = 35%
Therefore 35% × £70m = £24.5 million is recognised as revenue in the year.

2 **Input method**

Using the input method the project is 40% complete:

Costs incurred to date ÷ Total expected costs = (18,600 – 1,000) ÷ 44,000 = 40% Therefore 40% × £70m = £28 million is recognised as revenue in the year.
Note that the £1 million wasted material is not relevant to the assessment of progress, however, it must be recognised in profit or loss as a wastage expense.

Contract costs are considered in further detail in section 2.12.

2.11 Significant financing component

In some sectors of the retail industry it is common practice to provide interest-free credit to customers in order to encourage sales of, for example, furniture and new cars.

IFRS 15 refers to this as a 'financing component' in the contract. When the contract contains a significant financing component, such as a period of interest-free credit exceeding one year, the amount of consideration should be adjusted for the time value of money (IFRS 15.60, .63).

Where an extended period of credit is offered, the revenue receivable has two separate elements:

- The value of the goods on the date of sale
- Financing income

In order to separate these two elements the future receipts are discounted to present value at an imputed interest rate, identified as either:

- the prevailing rate for lending to a customer with a credit rating similar to that of the customer; or
- the rate of interest which discounts the receivable back to the current cash selling price.

The effect on the timing of the revenue recognition is that:

- the fair value of the goods is recognised on delivery of the goods
- the finance element is recognised over the period that the financing is provided

Worked example: Significant financing component 1

A car retailer sells its new cars by requiring a 20% deposit followed by no further payments until the full balance is due after two years. The price of the cars is calculated using a 10% per annum finance charge.

On 1 January 20X7 a car was sold to a customer for £20,000.

Requirement

How should the revenue be recognised in the year ended 31 December 20X7 and what should the carrying amount of the customer receivable be on that date?

Solution

Revenue to be recognized

	£
Sale of goods (£4,000 + £13,223 (W))	17,223
Financing income (£13,223 (W) × 10%)	1,322
Carrying amount of receivable (£13,223 (W) × 1.10)	14,545

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The deposit is £4,000 (£20,000 × 20%), so the amount receivable in two years is £16,000. This is discounted at 10% for two years to £13,223 (£16,000 × $1/1.10^2$).

Context example: Significant financing component 2

Comfy Couches Ltd sells an item of furniture to a customer on 1 September 20X7 for £2,500 with a one-year interest-free credit period. The fair value of the consideration receivable is £2,294. (In other words, if the company tried to sell this debt, this is the amount it would expect to receive now.)

In this case the transaction would be split into two components:

(a) Interest revenue of £206 (2,500 – 2,294), which would be recognised over the period of credit

(b) Sales revenue of £2,294, which would be recognised on 1 September 20X7

Context example: Significant financing component 3

Wharfe Boats Ltd received a payment of £250,000 from a customer on 31 August 20X7 for a boat to be delivered on 1 September 20X8. The customer agreed to pay for the boat in advance to protect themselves against potential future price increases. Wharfe Boats Ltd has an incremental borrowing rate of 10%.

Requirement

Explain the accounting treatment required to record the sale of the boat.

Solution

The transaction would be deemed to contain a significant financing component as there is more than one year between payment being received and the goods being delivered. There is also a benefit provided to both parties as a result of the payment in advance.

The accounting would be as follows:

(1) *The £250,000 payment received should be recognised on 31 August 20X7 as a contract liability*

(2) *Total finance cost of £25,000 (10% × £250,000) should be recognised over the period up to the delivery of the boat, with a corresponding increase in the contract liability*

(3) *On delivery of the boat the performance obligation is satisfied and the contract liability extinguished, with revenue of £275,000 recognised*

2.12 *Contract modifications*

During the contract period the parties to the contract might agree changes in the scope of the contract or the contract price (or both). Such contract modifications are deemed to exist and are therefore included as part of the contract price once both of the parties have approved the modifications.

Contract modifications are accounted for in one of three ways:

- *as a separate contract,*
- *as a termination of the existing contract and creation of a new contract, or*
- *as part of the existing contract.*

*The accounting treatment depends on whether the modification is because of the addition of promised **goods and/or services that are distinct** and whether the contract price increases by an amount that reflects the **standalone selling prices** of the additional goods and/or services.*

*If the modification does give rise to a new distinct obligation and the change in price reflects the standalone selling price of the new obligation, the modification should be accounted for as a **separate contract**.*

*If the modification does not give rise to a new distinct obligation, the modification should be accounted for as a **termination of the existing contract and creation of a new contract**, unless the remaining obligation cannot be distinguished from obligations already satisfied, in which case it is deemed to be **part of the existing contract**.*

Where the modification is deemed to be part of the existing contract, the total revenue figure and the measure of progress towards complete satisfaction of the obligations should be adjusted accordingly.

Where the modification is treated as a termination of the original contract and creation of a new contract, the consideration allocated to the new contract (for the remaining obligations) should be the total of the consideration promised but not yet recognised as revenue, plus the additional consideration promised under the contract modification.



Worked example: Contract modification

An entity enters into a contract to sell 100 items to a customer over the next 12 months at an agreed price of £350 each (total contract price £35,000) with control being transferred at a point in time as the customer orders each item to be delivered.

After 50 items have been transferred, the parties agree a contract modification requiring an additional 20 items to be delivered (a total of 120 items). A price of £330 each is agreed for the additional 20 items to reflect the decrease in standalone selling price for the product. The additional items are distinct from the 100 items in the original contract.

Requirement

Explain how the contract modification should be accounted for.

Solution

As the additional products are distinct from the original items and the price charged reflects the standalone selling price of the additional items, the modification should be treated as a separate contract which does not affect the accounting for the items under the original contract.

Revenue of £350 per item should be recognised for the original 100 items and revenue of £330 per item recognised for the additional 20 items in the new contract.

2.13 Contract costs

IFRS 15 deals with the costs of obtaining a contract and the costs of fulfilling a contract.

2.13.1 Costs of obtaining a contract

The incremental costs of **obtaining** a contract (such as sales commission) are **recognised as an asset** if the entity expects to recover those costs.

Costs that would have been incurred regardless of whether the contract was obtained are recognised as an expense as incurred.

Costs incurred in **fulfilling** a contract, unless within the scope of another standard, (such as IAS 2, *Inventories*, IAS 16, *Property, Plant and Equipment* or IAS 38, *Intangible Assets*) are recognised as an asset if they meet the following criteria (IFRS 15.95):

(a) The costs relate directly to an identifiable contract (costs such as labour, materials, management costs)

(b) The costs generate or enhance resources of the entity that will be used in satisfying (or continuing to satisfy) performance obligations in the future

(c) The costs are expected to be recovered

Costs recognised as assets are amortised on a systematic basis consistent with the transfer to the customer of the goods or services to which the asset relates.



Worked example: Costs of obtaining a contract

Copyquick Ltd enters into contracts for five-year terms to service and repair a customer's photocopiers. The contracts may be subsequently renewed on a one-year rolling basis and the average customer term is seven years. Copyquick pays its sales staff a commission of £35,000 when a new customer signs an initial contract.

On 1 January 20X8, the Copyquick sales staff secured a new customer contract.

Requirement

How is the cost of commission of £35,000 accounted for?

Solution

The £35,000 is an incremental cost of obtaining a new contract, and Copyquick expects to recover the cost by charging the customer for servicing and repairing their photocopiers.

Copyquick should capitalise the £35,000 and amortise it over a period to reflect the transfer of services to the customer. Although the original contract is for five years, this is usually extended for a further two years and so the amortisation period is seven years.

Therefore the annual amortisation charge is £5,000 (£35,000/7 years).



Professional skills focus: Applying judgement

As we have seen, while IFRS 15 provides structure and guidance, it does not remove the need for judgement. The area of costs is one where judgement must be applied. An example of this is the question of whether to use an input method or an output method.

2.14 Presentation and disclosure

2.14.1 Presentation

Contracts with customers will be presented in an entity's statement of financial position as a contract liability, a contract asset, or a receivable depending on the relationship between the entity's performance and the customer's payment.

A contract liability is recognised and presented in the statement of financial position where a customer has paid an amount of consideration before the entity has transferred control of the related good or service to the customer.

When the entity has performed but the customer has not yet paid the related consideration, this will give rise to either a contract asset or a receivable. A contract asset is recognised when the entity's right to consideration is conditional on something other than the passage of time, for instance future performance. A receivable is recognised when the entity's right to consideration is unconditional except for the passage of time.

Where revenue has been invoiced, a receivable is recognised. Where revenue has been earned but not invoiced, it is recognised as a contract asset.

2.14.2 Disclosure

Disclosure of the following is required:

(a) Revenue from contracts with customers (separately from other sources of revenue) in categories that depict how the nature, timing, amount and uncertainty of revenue and cash flows are affected by economic factors (eg, by type of goods or geographical area). Sufficient information should be disclosed to enable users to understand the relationship between the disclosure of disaggregated revenue and revenue information that is disclosed for each reportable segment (where IFRS 8 is applied).

(b) Impairment losses recognised on receivables, or contract assets arising from contracts with customers (by category, as above).

(c) The opening and closing balances of receivables, contract assets and contract liabilities and explanation of significant changes in contract assets and liabilities, including both qualitative and quantitative information.

(d) Revenue recognised in the reporting period that was included in the contract liability balance at the start of the period and revenue recognised in the period from performance obligations satisfied in previous periods (eg, due to changes in transaction price).

(e) A description of performance obligations including the following:

  (1) When they are typically satisfied

  (2) Significant payment terms

  (3) The nature of goods or services that an entity has promised to transfer, highlighting obligations to arrange for another party to transfer goods or services

  (4) Obligations for returns, refunds or similar

  (5) Types of warranties and related obligations

(f) The transaction price allocated to performance obligations that are unsatisfied at the end of the reporting period, and an explanation of when related revenue is expected to be recognised. This information need not be disclosed if the performance obligation is part of a contract lasting 12 months or less, or the entity recognises revenue from the satisfaction of the performance obligation in the amount that it has a right to invoice (because the amount directly corresponds with the value to the customer of the entity's performance completed to date).



Worked example: Applying the IFRS 15 five-step model

On 1 January 20X4, Peterloo enters into a 12-month 'pay monthly' contract for a mobile phone. The contract is with Westerfield, and terms of the plan are as follows:

- Peterloo receives a free handset on 1 January 20X4.
- Peterloo pays a monthly fee of £200, which includes unlimited free minutes. Peterloo is billed on the last day of the month.

Customers may purchase the same handset from Westerfield for £500 without the payment plan. They may also enter into the payment plan without the handset, in which case the plan costs them £175 per month.

The company's year-end is 31 July 20X4.

Requirement

Show how Westerfield should recognise revenue from this plan in accordance with IFRS 15, *Revenue from Contracts with Customers*. Your answer should give journal entries:

(1) On 1 January 20X4

(2) On 31 January 20X4

Solution

IFRS 15 requires application of its five-step process:

(1) **Identify the contract with a customer.** A contract can be written, oral or implied by customary business practices.

(2) **Identify the separate performance obligations in the contract.** If a promised good or service is not distinct, it can be combined with others.

(3) **Determine the transaction price.** This is the amount to which the entity expects to be **'entitled'**. For variable consideration, the probability-weighted expected amount is used.

(4) **Allocate the transaction price to the separate performance obligations in the contract.** For multiple deliverables, the transaction price is allocated to each separate performance obligation in proportion to the **stand-alone selling price** at contract inception of each performance obligation.

(5) **Recognise revenue when (or as) the entity satisfies a performance obligation.** That is when the entity **transfers** a promised good or service to a customer. The good or service is only considered as transferred when the customer obtains **control** of it.

Application of the five-step process to Westerfield

(1) **Identify the contract with a customer.** This is clear. Westerfield has a 12-month contract with Peterloo.

(2) **Identify the separate performance obligations in the contract.** In this case there are two distinct performance obligations:

(a) The obligation to deliver a handset

(b) The obligation to provide network services for 12 months

(The obligation to deliver a handset would not be a distinct performance obligation if the handset could not be sold separately, but it is in this case because the handsets are sold separately.)

(3) **Determine the transaction price.** This is straightforward: it is £2,400, that is 12 months × the monthly fee of £200.

(4) **Allocate the transaction price to the separate performance obligations in the contract.** The transaction price is allocated to each separate performance obligation in proportion to the **stand-alone selling price** at contract inception of each performance obligation, that is the stand-alone price of the handset (£500) and the stand-alone price of the network services (£175 × 12 =£2,100):

Performance obligation	**Stand-alone selling price £**	**% of total**	**Revenue (= relative selling price = £2,400 × %) £**
Handset	500.00	19.2	460.80
Network services	2,100.00	80.8	1,939.20
Total	2,600.00	100	2,400.00

(5) **Recognise revenue when (or as) the entity satisfies a performance obligation.** That is when the entity transfers a promised good or service to a customer. This applies to each of the performance obligations:

- When Westerfield gives a handset to Peterloo, it needs to recognise the revenue of £460.80.

- When Westerfield provides network services to Peterloo, it needs to recognise the total revenue of £1,939.20. It's practical to do it once per month as the billing happens.

Journal entries

(1) On 1 January 20X4

The entries in the books of Westerfield will be:

DEBIT	Receivable (unbilled revenue)	£460.80	
CREDIT	Revenue		£460.80

Being recognition of revenue from the sale of the handset

(2) On 31 January 20X4

The monthly payment from Peterloo is split between amounts owing for network services and amounts owing for the handset:

DEBIT	Bank/Receivable (Peterloo)	£200	
CREDIT	Revenue (1,939.20/12)		£161.60
CREDIT	Receivable (unbilled revenue) (460.80/12)		£38.40

Being recognition of revenue from monthly provision of network services and 'repayment' of handset.

Interactive question 7: Caravan

Caravans Deluxe is a retailer of caravans, dormer vans and mobile homes, with a year end of 30 June. It is having trouble selling one model – the £30,000 Mini-Lux, and so is offering incentives for customers who buy this model before 31 May 20X7.

(1) Customers buying this model before 31 May 20X7 will receive a period of interest free credit, provided they pay a non-refundable deposit of £3,000, an instalment of £15,000 on 1 August 20X7 and the balance of £12,000 on 1 August 20X9.

(2) Equipment for the caravan, normally worth £1,500, is included free in the price of the caravan.

On 1 May 20X7, a customer agrees to buy a Mini-Lux caravan, paying the deposit of £3,000. Delivery is arranged for 1 August 20X7.

As the sale has now been made, the sales director of Caravans Deluxe wishes to recognise the full sale price of the caravan, £30,000, in the accounts for the year ended 30 June 20X7.

Requirement

Show how the IFRS 15 five-step plan is applied to this sale. Assume a 10% discount rate. Show the journal entries for this treatment.

See **Answer** at the end of this chapter.

3 Applications of IFRS 15

Section overview

- IFRS 15 includes Application Guidance, which explains how the provisions of the standard should be applied to a number of situations.
- These include:

- Sales with a right of return
- Extended warranties
- Transactions involving an agent
- Licensing
- Royalties
- Repurchase agreements
- Consignment arrangements
- Bill and hold arrangements
- Non-refundable upfront fees

3.1 Sales with a right of return

Some contracts give the customer the right to return the product and receive a refund, a credit or a replacement.

The entity should recognise (IFRS 15.B21):

- revenue for the transferred products
- a refund liability
- an asset in respect of products to be returned

The asset is:

- measured at the former carrying amount of the products less any expected decreases in value and other costs to recover the products;
- presented separately from the refund liability; and
- remeasured to reflect changes in expectations about the products to be returned at each reporting date.



Interactive question 8: Sale or return

Bags Galore Ltd operates a number of high-end handbag outlets. On 28 January 20X9, it sells 50 identical bags to different customers for £850 each. The bags cost £400 each. The customers have 28 days in which they can return purchases in exchange for a full refund and, based on past experience, Bags Galore Ltd expects a returns level of 6%. Bags Galore Ltd's 'Fabulous February' sale starts on 1 February and the selling price of the bags will be reduced to 50% of the original price from that date.

Requirements

8.1 How should Bags Galore account for the sale of the bags?

8.2 How would the accounting treatment change if the selling price of the bags was to be reduced to 40% of the original price in the Fabulous February sale?

See **Answer** at the end of this chapter.

3.2 Warranties

It is necessary to distinguish between warranties which give the customer assurance that the product complies with agreed upon specifications, and warranties which provide the customer with a distinct service (such as free repairs over a specified period).

A warranty which the customer purchases separately will always be a service warranty.

A service warranty is accounted for as a separate performance obligation and a portion of the transaction price is allocated to it.

A warranty which does not promise a service is simply accounted for in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* (IFRS 15.B28–30).

When considering whether a warranty is standard or extended, IFRS 15 requires that the following factors are considered:

(a) Whether the provision of the warranty is a legal requirement; this would indicate that it is a standard warranty

(b) The length of the warranty period – the longer the period, the more likely it is to be an additional or extended warranty

(c) The nature of the tasks promised within the warranty and whether they relate to providing assurance that a product will function as intended

3.3 Principal versus agent

IFRS 15 specifically excludes amounts collected on behalf of third parties from the transaction price attached to a contract (IFRS 15.47).

Individually or in combination, the following criteria indicate that the entity is acting as an agent (IFRS 15.B37):

- Another party has the primary responsibility for providing the goods or services to the customer, or for fulfilling the order.
- The entity does not have the inventory risk before or after the customer order, during shipping or on return.
- The entity does not have discretion in establishing prices for the goods or services.
- The entity's consideration is in the form of commission.
- The entity is not exposed to credit risk on the amount due from the customer.

An entity is a principal if it controls the promised good or service before it is transferred to the customer. In this case, when the performance obligation is satisfied the entity recognises the revenue.

An entity is an agent if its performance obligation is to arrange for the provision of goods or services by another party. When this performance obligation is satisfied, it recognises revenue only for the fee or commission to which it is entitled (IFRS 15.B36).



Worked example: Agent or principal?

An entity runs a website which enables customers to buy goods from a range of suppliers. Prices are set by suppliers, and payments are processed through the entity's website. Customers pay in advance and goods are delivered directly from the supplier to the customer.

The entity receives a commission of 10% of the sales price and has no further obligation to the customer after arranging for the products to be shipped.

Requirement

Is the entity an agent or the principal?

Solution

The entity is acting as an agent based on the following points:

- Goods travel directly from the supplier to the customer, so the entity never has physical custody of them and does not bear the associated risk.

- The supplier, not the entity, has the obligation to the customer.
- The entity does not set prices or bear credit risk.
- The payment received by the entity is in the form of commission.

So the entity should only recognise the commission received from suppliers as revenue.

3.4 Goods and services provided in one contract

One marketing approach frequently used is to bundle together both goods and services into one transaction. For example, a car dealer may sell new cars with one year's free servicing and insurance.

In such cases:

- the components of the package which could be sold separately should be identified; and
- each should be measured and recognised as if sold separately.

IFRS 15 does not specifically state how each component should be measured but general principles require that each component should be:

- measured at its fair value; and
- recognised as revenue only when it meets the recognition criteria.

If the total of the fair values exceeds the overall price of the contract, an appropriate approach would be to apply the same discount percentage to each separate component.

Worked example: Goods and services

A car dealer sells a new car, together with 50 litres of fuel per month for a year and one year's servicing, for £27,000. The fair values of these components are: car £28,000, fuel £1,200 and servicing £800.

Requirement

How should the £27,000 be recognised as revenue?

Solution

The total fair value of the package is £30,000 (28,000 + 1,200 + 800) but is being sold for £27,000, a discount of £3,000 or 10%.

The discounted fair value of the car should be recognised as revenue upon delivery:

£28,000 × 90% = £25,200

The discounted fair value of the fuel should be recognised as revenue on a straight line basis over the next 12 months:

£1,200 × 90% = £1,080

The discounted fair value of the servicing should be recognised as revenue at the earlier of when the servicing is provided and the end of the year:

£800 × 90% = £720

Interactive question 9: Goods and services

An entity sells an item of equipment to a customer on 1 January 20X7 for £1.5 million. Due to the specialised nature of the equipment, the entity has agreed to provide free support services for the next two years, despite the cost to the entity of that support being estimated at

£120,000 in total. The entity usually earns a gross margin of 20% on such support service contracts.

Requirement

How much revenue should the entity recognise for the year ended 30 April 20X7?

	£
Revenue:	

See **Answer** at the end of this chapter.



Interactive question 10: Servicing fees

On the last day of its current accounting period, Computer Ltd completes the handover of a new system to a client and raises an invoice for £800,000. This price includes after-sales support for the next two years, which is estimated to cost £35,000 each year. Computer Ltd normally earns a gross profit margin of 17.5% on such support activity.

Requirement

Calculate the revenue to be included in Computer Ltd's current year statement of profit or loss in respect of this sale.

		£
After-sales support Remainder		
Total selling price		
So the revenue from the sale in the current year is:		

See **Answer** at the end of this chapter.

3.5 Licenses

A license allows a customer to access intellectual property such as software, patents, trademarks, franchises, copyrights and media (eg, films).

The grant of a license may be accompanied by the promise to transfer other goods or services in the following circumstances:

(a) Where the promise to grant a licence is distinct, it forms a separate performance obligation from that for goods and services.

(b) Where the promise to grant a licence is a separate performance obligation, revenue is either recognised at a point in time or over time depending on the nature of the contract.

(c) Where the promise to grant a licence is not distinct from the promised goods and services, the goods, services and licence are combined as one single performance obligation (eg, software that requires ongoing upgrade services in order to function or a software hosting agreement on an internet site). This performance obligation may be satisfied at a point in

time or over time and this should be determined in accordance with IFRS guidance (see section 2.9).

(d) Where the licence allows the customer access to the vendor's intellectual property as it exists at any given time in the licence period (ie, the vendor continues to support and update the intellectual property), this is a performance obligation satisfied over time.

(e) Where the licence allows the customer access to the vendor's intellectual property as it exists at the date the licence is granted, this is a performance obligation satisfied at a point in time.



Worked example: Licensing

A fast food company 'PizzaTheAction' grants a franchise licence to a customer, allowing the customer to use the PizzaTheAction brand and sell company products for a 10-year period. During the 10-year period, management at PizzaTheAction will perform customer analysis, continuously improve the product and advertise the brand, all of which will affect the franchise licence.

Requirement

Explain how the revenue arising from this transaction is recognised.

Solution

PizzaTheAction is providing access to its intellectual property as it exists throughout the licence period (ie, the customer will benefit from continuous improvements and marketing etc). Therefore the performance obligation is satisfied over time and PizzaTheAction recognises revenue over the licence period.

3.6 Royalties

A contract to license intellectual property may require as consideration a royalty that is measured by reference to sales or usage. In such cases, the seller recognises revenue when the later of the following events occurs:

- The subsequent sale or usage arises.
- The performance obligation to which some or all of the sales- or usage-based royalty has been allocated is satisfied (or partially satisfied).

3.7 Repurchase agreements

Under a repurchase agreement an entity sells an asset and has the option to repurchase it. This can come in one of three forms (IFRS 15.B64):

(a) An obligation to repurchase (a forward contract)

(b) A right to repurchase (a call option)

(c) An obligation to repurchase at the customer's request (a put option)

Under a **forward contract** or a **call option** the customer does not obtain control of the asset because that control is limited by the repurchase option. The contract is accounted for as a lease if the repurchase price is below the original selling price, or a financing arrangement if the repurchase price is equal to or above the original selling price (IFRS 15.B66).

Under a **put option**, if the customer does not have sufficient economic incentive to exercise the right to request repurchase, the agreement should be treated as if it were a sale with a right of return. If the customer **does** have sufficient economic incentive, for instance if the repurchase price is above the original selling price and above market value, the contract is treated as a financing arrangement (IFRS 15.B73).

Worked example: Repurchase agreement

An entity sold an investment property to a financial institution for £4 million when the fair value of the property was £5 million. Further investigation uncovered an agreement whereby the entity could repurchase the property after one year for £4.32 million.

Requirement

How should this transaction be accounted for?

Solution

The entity has a right to repurchase the property – a call option. The repurchase price is above the original selling price, so this is, in effect, a financing arrangement.

The sale of the property at 20% below fair value is sufficient to cast doubt on whether a real sale has been made. Also, the repurchase price is below fair value at the date of sale and represents a return to the financial institution of 8% ((£4.32m – £4m) as a percentage of £4 million) on the amount paid out.

The substance of the arrangement appears to be that the financial institution has granted the entity a one-year loan secured on the property, charging interest at 8%.

The transaction should be accounted for by:

- continuing to recognise the property as an asset;
- crediting the £4 million received to a liability account;
- recognising £0.32 million as a finance cost in profit or loss and crediting it to the liability account; and
- derecognising the liability when the £4.32 million cash is paid out.

Interactive question 11: Sale and repurchase

Builder Ltd specialises in building high quality executive flats in city centres. On 1 March 20X6 it sells a plot of building land to Finance plc, an unconnected company, for £1.5 million. Builder Ltd retains rights of access and supervision over the plot, the right to build on this land until 28 February 20X9 and the right to buy the plot back again on that date for £1.9 million. On 1 March 20X6 the plot is valued at £2.5 million.

Requirement

Explain how this sale transaction would be dealt with in Builder Ltd's financial statements for the year ended 28 February 20X7.

See **Answer** at the end of this chapter.

3.8 Consignment arrangements

In a consignment arrangement, a dealer does not obtain control of an asset. Such arrangements are common in the motor industry. Often a car manufacturer will enter into an arrangement with a car dealer such that the dealer takes and displays vehicles with a view to selling them to a customer. In such situations, the manufacturer cannot recognise any revenue because the dealer does not obtain control of the cars at the point of delivery.

The following are indicators that an arrangement is a consignment arrangement:

- The product is controlled by the seller (manufacturer) until a specified event occurs (eg, the product is sold onwards or a specified period of time expires).
- The seller (manufacturer) can require the return of the product or transfer it to another party.
- The customer (dealer) does not have an unconditional obligation to pay for the product.

3.9 Bill and hold arrangements

Under these arrangements, an entity bills the customer for the product but delivery is delayed with the agreement of the customer, perhaps because the customer is short of space. In this case, the entity must determine the point in time at which it has satisfied its performance obligation by transferring control of the product to the customer. It may be that the customer is still able to exercise control without having physical possession of the product. (IFRS 15 .B79)

Control may pass at the point of delivery or when the product is shipped or at an earlier date ie, the customer may obtain control even though the seller has physical possession of the product.

All the following IFRS 15 criteria must have been met in a bill and hold arrangement, in order for control to be said to have passed:

(a) There must be a substantive reason for the bill and hold arrangement, for example, the customer has requested it.

(b) The product must be identified as belonging to the customer.

(c) The product must be ready for physical transfer to the customer.

(d) The seller must not be able to use the product or transfer it to another customer.

If these criteria are met, enabling revenue to be recognised on a bill and hold basis, the seller should consider whether to allocate a proportion of the transaction price to the provision of a storage service.



Interactive question 12: Bill and hold

Walbrooke Engineering plc enters into a contract with Southfield Beverages Ltd on 1 January 20X8 for the sale of a bottling machine and spare parts. It takes two years to manufacture these and on 31 December 20X9 the customer pays for both the machine and the spare parts, but only takes physical possession of the machine. The customer inspects and accepts the spare parts, but requests that Walbrooke Engineering continues to store them at its warehouse.

Requirement

Explain when Walbrooke Engineering should recognise revenue in respect of this transaction.

See **Answer** at the end of this chapter.

3.10 Options for additional goods and services

An option in a sales contract may grant the customer the right to acquire additional goods or services for free or at a discount. In some cases this may take the form of 'loyalty points'. For example, airlines often give passengers loyalty points when they buy a flight. When enough loyalty points are acquired, they can be redeemed for a free flight.

The option to acquire additional goods or services forms a separate performance obligation if the option can only be obtained by entering into the initial sales contract.

In this case, part of the transaction price is allocated to the option to acquire additional goods or services, and part is allocated to the goods or services that are the subject of the sales contract.

Revenue is recognised in respect of the option to acquire additional goods or services at the earlier of:

- the date on which the additional goods or services are provided;
- the date on which the option to acquire the additional goods or services expires.

The allocation of transaction price to the option is based on the stand-alone selling price of the additional goods or services, taking account of the discount and adjusted for the likelihood that the option will be exercised.

If the option granted to the customer does not offer a discount, it is treated as a marketing offer and no contract exists until the customer exercises the option to purchase.



Worked example: Customer loyalty scheme

GymGo Ltd, a 'pay as you go' gym operates a customer loyalty scheme whereby if a customer pays for nine visits and has a loyalty card stamped, the tenth visit is provided free of charge. During 20X7, customers visit the gym a total of 94,995 times, paying £10 per visit, so earning the right to a maximum of 10,555 (94,995/9) free visits, each of which has an average stand-alone price of £10. The gym expects 7,400 of the free visits to be claimed and by 31 December 20X7, 4,350 have been claimed.

Requirement

Explain how revenue is recognised by GymGo Ltd.

Solution

The promise to provide a free tenth visit is a performance obligation, and total revenue of £949,950 (94,995 × £10) is allocated between visits to the gym by customers and the loyalty scheme.

Revenue is allocated to the provision of 'stamps' based on the expected take up rate and the stand- alone selling price basis ie, based on a total stand-alone selling price of £74,000 (7,400 × £10):

		£
Gym visits	£949,950 × (949,950/(949,950 + 74,000))	881,298
Loyalty stamps	£949,950 × (74,000/(949,950 + 74,000))	68,652
		949,950

At 31 December 20X7, 4,350 of the expected 7,400 free visits have been claimed, therefore of the £68,652 transaction price allocated to loyalty stamps:

- £40,356 (4,350/7,400 × £68,652) is recognised as revenue; and
- £28,296 is recognised as a contract liability for the unredeemed loyalty stamps.

Therefore total revenue recognised in 20X7 is £921,654 (881,298 + 40,356).

3.11 Non-refundable upfront fees

A non-refundable upfront fee is often charged at the beginning of a contract, such as joining fees in health club membership contracts.

In many cases upfront fees do not relate to the transfer of any promised good or service, but are simply advance payments for **future** goods or services. In this case revenue is recognised when the future goods or services are provided.

If the fee relates to a good or service the entity should evaluate whether or not it amounts to a separate performance obligation. This depends on whether it results in the transfer of an asset to the customer. The fee may relate to costs incurred in setting up a contract, but these setup activities may not result in the transfer of services to the customer.

4 Audit focus



Section overview

This section looks at audit procedures relevant when considering the appropriateness of the accounting treatment adopted for construction contracts.

4.1 Audit procedures for testing IFRS 15

Stage of IFRS 15	Suggested audit procedures
Step 1 Identify the contract(s) with a customer.	• Obtain copies of **contracts** between entities and customers • Inspect contracts to confirm they are **legally binding** and **effective** for the year of audit • For **implied contracts** (such as retail contracts) clarify the likely contractual terms to establish rights and responsibilities in each case
Step 2 Identify separate performance obligations.	• Confirm the **goods** or **services** to be transferred, either individually or as part of a series, by reference to the contracts in place • Confirm whether any of the goods or service are **not distinct** by reference to the contracts in place and if separate bundles
Step 3 Determine the transaction price.	• Identify the amount of **consideration** by reference to the contract • Where appropriate, confirm the split between **variable** and **fixed** elements and re-calculate any variable amounts by reference to the contract terms • Test the hypothesis that variable consideration is **highly probable** by reviewing the reasonableness of the underlying assumptions used in the entity's calculations
Step 4 Allocate transaction price to performance obligations.	• Confirm **stand-alone** prices to individual elements of the contract as performance obligations are settled • In the case of **estimated stand-alone prices**, test the assumptions underpinning the calculations used by the entity for reasonableness
Step 5 Recognise revenue as or when each performance obligation is satisfied.	• For performance obligations satisfied **at a point in time** (such as retail sales) confirm the occurrence of the event required (such as the sale itself) by reference to supporting documentation (For performance obligations satisfied **over time** refer to section 4.2 below.)
Other tests	• For **deferred consideration**, confirm the proportion split between the value of the goods on the date of sale and the financing income by reference to the contract and testing the reasonableness of the entity's calculations for recognising revenue (such as interest rates for estimating fair value)
Returns	• Review contract/terms of sale and confirm that this is allowed • For a sample of goods inwards, determine whether any relate to

	returns and ensure no revenue has been recognised for such goods • Review returns activities in the next reporting period to ensure revenue has not been overstated in relation to returns
Warranties	• For service warranties, review sales activity to identify evidence of related performance obligations and identify revenue allocated to such warranties
Revenue collected on behalf of third parties	• Establish existence of any third parties for whom revenue would be collected (ideally during the process of understanding the entity at the planning stage) • For a sample of revenue items, confirm the revenue is not due to be passed on to any third parties identified

Stage of IFRS 15	Suggested audit procedures
Bundled services, licences, royalties and repurchase agreements	• Clearly complex, these will require a review of contracts/terms of sale to establish their likelihood and conditions and the audit team briefed to include these in audit tests as appropriate
Consignment arrangements	• Consider the existence of any **indicators** of consignment arrangements, such as: - Confirming who **controls** the product and what (if any) **conditions** need to have occurred for control to be passed on - Clarifying who can require the **return** of a product or **transfer** it to a third party
Bill and hold arrangements	• Consider the **existence** of such arrangements and if present, review the conditions required by IFRS 15 have been met: - Confirm that the customer **owns** the products stored by the seller by reference to the contract terms, and obtain confirmation from the customer that they are happy for the seller to **hold** them - Inspect the agreement between the seller and customer to confirm the products can be **accessed at any time** and **not transferred** to another customer
Non-refundable upfront fees	• For a sample of revenues recognised during the reporting period, determine whether any related to upfront fees • Confirm any upfront fees recognised that relate to performance obligations have now been satisfied (for example, in a health club, that services have been provided)



Professional skills focus: Structuring problems and solutions

Just as the financial accountant must apply the five-stage structure of IFRS 15 in determining when and in what amount to recognise revenue, the auditor must also apply this structured approach to selecting audit procedures at each of the five stages.

Exam focus note

It is possible that you could be examined on IFRS 15 and that you will need to know the auditing implications of this complex standard: here are two illustrations since it became an examinable standard that show just how complex the accounting for revenue can actually be for the auditor.

For example a requirement to account for a customer reward scheme which included specific performance obligations in relation to the redemption of the points earned by customers under the scheme. What if auditing issues are tested for this? You might have been required to consider procedures such as obtaining details about the scheme to confirm the criteria in place and challenging the client on any of the information supplied (such as confirming how many of the points earned had been redeemed and recalculating the client's estimates of points not yet redeemed that would need to be recognised as a contract liability).

For example, for another incentive scheme, this time for a listed caterer whose customers can pay to join a club which offers discounts for future events booked within a set period of time. The scenario presented different revenue streams, each with their own performance obligations, which required candidates to discuss audit risks related to cut-off and other recognition issues (which in turn were likely to indicate questionable management integrity and manipulation).

4.2 Audit procedures for contracts in which performance obligations are satisfied over time ('construction contracts')

Remember, under IFRS 15, the entity recognises revenue in such cases by measuring **progress** towards complete satisfaction of the performance obligation. Progress can be measured using **output methods** (measuring the value to the customer of goods or services transferred to date) or **input methods** (measuring the cost to the entity of goods or services transferred to date) (IFRS 15.B14).

The following audit procedures will be relevant:

- Confirm **contract price** to contract agreed between client and customer
- Determine any amounts of **conditional revenue/costs** including the associated conditions
- Confirm the **progress** to date of the work completed, including any potential delays or problems
- Confirm **costs incurred to date** (**inputs**) by reference to management accounts, invoices, budgets and other relevant documentation
- Identify any **expenditure not supporting fulfilment of the contract** by inspecting board minutes, management accounts or other documentation (such as legal correspondence)
- Confirm **total costs estimated for contract** to ensure no planned overspends have been identified (again, budgets, board minutes or management accounts can be inspected)
- Confirm the **amounts of contract work certified as complete** (**outputs**) at the year end by reference to relevant documentation (such as surveyors' reports or client estimates)



Interactive question 13: Construction contracts

Construction Co has entered into a fixed price contract to construct an office block. Construction commenced on 1 March 20X6 and is expected to take 36 months. You are auditing the financial statements for the year ended 31 December 20X6.

The contract price is made up as follows:

	£'000
Contract price	600
Incentive payment if completed on time	40
	640

Total contract costs were originally estimated to be £470,000. At the end of 20X6 this estimate has increased to £570,000 due to extra costs incurred to rectify a number of construction faults.

At the end of 20X6 the contract was assessed as being 30% complete. The draft financial statements show that revenue of £192,000 has been recognised in respect of this contract.

Requirements

For the year ended 31 December 20X6:

(a) Identify the audit issues you would need to consider

(b) List the audit procedures you would perform

See **Answer** at the end of this chapter.



Context example: Carillion

In July 2017, UK construction firm Carillion collapsed leaving over £1 billion in debts and a number of unfulfilled contracts, as well as a significant unfunded pension scheme. A UK parliamentary committee interviewed the company's directors, internal auditors Deloitte, and external auditors KPMG and asked why this could not have been foreseen in March 2017, only four months earlier, when the 2016 financial statements were signed off, despite a number of so-called 'red flags' which had been identified by investors. Carillion went into liquidation in January 2018.

These 'red flags' included poor corporate governance, uncertainty over complex accounting practices for goodwill and revenue (including the cash-flows on individual contracts) and inadequate site visits as part of managing high-profile construction contracts clients.

The imminent need to adopt IFRS 15 from 2018 onwards is considered to be one of the key triggers for these events. In its interim financial statements for the six months to 30 June 2017, the company estimated that the adoption of IFRS 15 would reduce reserves by up to £150 million, an amount that could have seen operating profits for 2017 almost entirely eliminated. Of course, revenue recognition wasn't the only issue facing Carillion: insufficient cash-flow from an excess of loss-making contracts had made the company vulnerable and this could be seen by the frequency with which their shares were being shorted by investors keen to capitalise on an already doomed share price.

Overall, the fundamental need to communicate position and performance (and viability for that matter) in a true and fair manner must never be forgotten by companies, regulators, investors and auditors and the Carillion case has framed the discussion for how auditing, reporting and governance should evolve.

(Sources: Shoaib, A. (26 February 2018) Carillion inquiry: missed red flags, aggressive accounting and the pension deficit. *AccountacyAge*. [Online]. Available from: www.accountancyage.com/2018/02/26/carillion-inquiry-missed-red-lights-aggressive-accounting- pension-deficit/;

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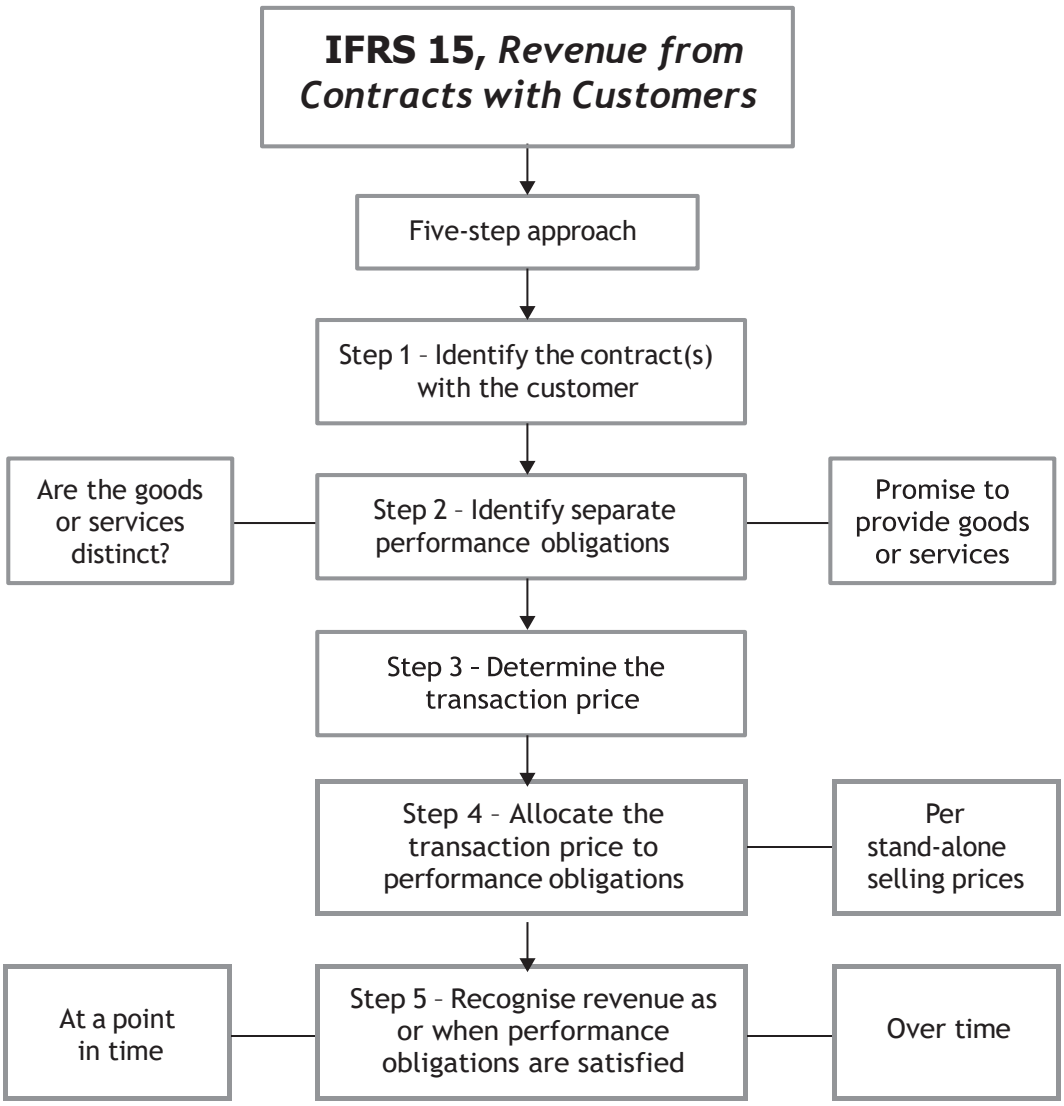
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[All accessed 23 June 2021])

Professional skills focus: Concluding, recommending and communicating

The worked example above (Carillion) illustrates a situation where the professional skills of concluding, recommending and communicating were not applied. Red flags over revenue were identified, but the wrong conclusion drawn.

Summary


IFRS 15, Revenue from Contracts with Customers
Five-step approach
Step 1 – Identify the contract(s) with the customer
Are the goods or services distinct?
Step 2 – Identify separate performance obligations
Promise to provide goods or services
Step 3 – Determine the transaction price
Step 4 – Allocate the transaction price to performance obligations
Per stand-alone selling prices
At a point in time
Step 5 – Recognise revenue as or when performance obligations are satisfied
Over time

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you list and apply the IFRS 15 five-step model for recognising revenue? (Topic 2)
2.	What does 'distinct' mean in the context of performance obligations? (Topic 2)
3.	Can you deal with performance obligations satisfied over time? (Topic 2)
4.	What is the IFRS 15 treatment for sales with a right of return? (Topic 2)
5.	How would each of IFRS 15's five steps be audited? (Topic 5)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Southwell	A sale and repurchase question with a financing element, this is a short question to get you started.
Taplop	A comprehensive question on variable consideration, this is an exam- standard test of this topic (though not exam-style as it is much shorter).
Clavering	Part (a) deals with the issue of whether control has transferred, which it must in order to satisfy a performance obligation. There is scope for different interpretations. Part (b) deals with identifying performance obligations and allocating the transaction price.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Wayte	This requires you to separate out performance obligations to determine the appropriate timing of revenue recognition.
Solvit	This tests the five-step process in detail and also the audit aspects.
Roada	A comprehensive, detailed question on IFRS 15, focusing mainly on performance obligations satisfied over time, but with a number of different revenue streams.
Panther Metals	This question requires use of the data analytics software to identify revenue issues.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries.

Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

1 IFRS 15, Revenue from Contracts with Customers

Revenue is income arising in the course of an entity's ordinary activities. – **IFRS 15 Appendix A**

Five-step approach is used: – **IFRS 15 (IN7)**

- Identifying the contract – **IFRS 15 (9)**
- Identifying the performance obligations – **IFRS 15 (22)**
  - Satisfaction of performance obligations – **IFRS 15 (31)**
  - Performance obligations satisfied over time – **IFRS 15 (35)**
  - Performance obligations satisfied at a point in time – **IFRS 15 (38)**
- Determining the transaction price – **IFRS 15 (47)**
- Allocating the transaction price to the performance obligations – **IFRS 15 (73)**
- Recognising revenue as/when obligations are satisfied – **IFRS 15 (31)**

Incremental costs of a contract are recognised. – **IFRS 15 (91–94)**

Costs incurred to fulfil a contract are recognised as an asset if and only if all of certain criteria are met: – **IFRS 15 (95)**

- The costs relate directly to a contract (or a specific anticipated contract);
- The costs generate or enhance resources of the entity that will be used in satisfying performance obligations in the future; and
- The costs are expected to be recovered.

Costs include direct labour, direct materials, and the allocation of overheads that relate directly to the contract. – **IFRS 15 (97)**

The asset recognised in respect of the costs to obtain or fulfil a contract is amortised on a systematic basis that is consistent with the pattern of transfer of the goods or services to which the asset relates. – **IFRS 15 (99)**

IFRS 15 gives further guidance on: – **IFRS 15 (App B)**

- Performance obligations satisfied over time
- Methods for measuring progress towards complete satisfaction of a performance obligation
- Sale with a right of return
- Warranties
- Principal versus agent considerations
- Customer options for additional goods or services
- Customers' unexercised rights
- Non-refundable upfront fees
- Licensing
- Repurchase agreements
- Consignment arrangements
- Bill-and-hold arrangements
- Customer acceptance
- Disclosures of disaggregation of revenue

Self-test questions

Answer the following questions.

1 Webber

Webber sells two types of product, the Sleigh and the Sled. Webber sells the sleigh as an agent of Caplin receiving commission of 15% on selling price. Webber sells the sled as principal at a gross margin of 30%.

The following information relates to the year ended 30 September 20X8.

	Sleighs	Sleds
	£	£
Total sales	200,000	75,000
Gross profit	60,000	22,500

Requirement

According to IFRS 15, *Revenue from Contracts with Customers* what revenue should Webber recognise in total for Sleighs and Sleds for the year ended 30 September 20X8?

2 Alexander

On 1 January 20X0, Alexander Ltd supplied goods to David Ltd for an agreed sum of £600,000. This amount becomes payable on 31 December 20X2. David Ltd could have bought the goods for cash of £450,000 on 1 January 20X0. The imputed rate of interest to discount the receivable to the cash sales price is 10%.

Requirement

In accordance with IFRS 15, *Revenue from Contracts with Customers* what amounts for revenue and interest income should Alexander Ltd record in profit or loss relating to this transaction for the year ended 31 December 20X0?

3 Southwell

Southwell Ltd, a manufacturing company, sold a property with a carrying amount of £4.5 million for
£5 million to Financier Ltd on 1 January 20X4. Southwell Ltd retains the right to occupy the property and has an option to repurchase the property after two years for £6 million. Property prices are expected to rise and the current market value is £8 million. The annual rate for 20% over two years is 9.5%.

Requirement

In accordance with IFRS, 15 *Revenue from Contracts with Customers* what should be recognised in the financial statements relating to this transaction for the year ended 31 December 20X4?

4 White Goods

White Goods Ltd sells an electrical appliance for £2,400 on 1 October 20X7 making a mark up on cost of 20%. The customer is given a one-year interest-free credit period. White Goods Ltd has a cost of capital of 9%.

Requirement

In accordance with IFRS 15, *Revenue from Contracts with Customers*, what amount should the company recognise as revenue from the sale of the appliance in profit or loss for the year ended 31 December 20X7?

5 Tree

You are the accountant of Tree, a listed limited liability company that prepares consolidated financial statements. Your Managing Director, who is not an accountant, has recently attended a seminar at which key financial reporting issues were discussed. She remembers being told the following.

- Financial statements of an entity should reflect the substance of its transactions.
- Revenue from the contracts with customers should only be recognised when certain conditions have been satisfied. Transfer of legal title to the goods is not necessarily sufficient for an entity to recognise revenue from their 'sale'.

The year end of Tree is 31 August. In the year to 31 August 20X1, the company entered into the following transactions.

Transaction 1

On 1 March 20X1, Tree sold a property to a bank for £5 million. The market value of the property at the date of the sale was £10 million. Tree continues to occupy the property rent-free. Tree has the option to buy the property back from the bank at the end of every month from 31 March 20X1 until 28 February 20X6. Tree has not yet exercised this option. The repurchase price will be £5 million plus
£50,000 for every complete month that has elapsed from the date of sale to the date of repurchase. The bank cannot require Tree to repurchase the property and the facility lapses after 28 February 20X6. The directors of Tree expect property prices to rise at around 5% each year for the foreseeable future.

Transaction 2

On 1 September 20X0, Tree sold one of its branches to Vehicle for £8 million. The net assets of the branch in the financial statements of Tree immediately before the sale were £7 million. Vehicle is a subsidiary of a bank and was specifically incorporated to carry out the purchase – it has no other business operations. Vehicle received the £8 million to finance this project from its parent in the form of a loan.

Tree continues to control the operations of the branch and receives an annual operating fee from Vehicle. The annual fee is the operating profit of the branch for the 12 months to the previous 31 August less the interest payable on the loan taken out by Vehicle for the 12 months to the previous 31 August. If this amount is negative, then Tree must pay the negative amount to Vehicle.

Any payments to or by Tree must be made by 30 September following the end of the relevant period. In the year to 31 August 20X1, the branch made an operating profit of £2,000,000. Interest payable by Vehicle on the loan for this period was £800,000.

Requirements

5.1 Explain the conditions that need to be satisfied before revenue can be recognised. You should support your answer with reference to IFRS 15.

5.2 Explain how the transactions described above will be dealt with in the consolidated financial statements (statement of financial position and statement of profit or loss and other comprehensive income) of Tree for the year ended 31 August 20X1 in accordance with IFRS 15.

6 Taplop

Taplop supplies laptop computers to large businesses. On 1 July 20X5, Taplop entered into a contract with TrillCo, under which TrillCo was to purchase laptops at £500 per unit. The contract states that if TrillCo purchases more than 500 laptops in a year, the price per unit is reduced retrospectively to £450 per unit. Taplop's year end is 30 June.

- As at 30 September 20X5, TrillCo had bought 70 laptops from Taplop. Taplop therefore estimated that TrillCo's purchases would not exceed 500 in the year to 30 June 20X6, and would therefore not be entitled to the volume discount.
- During the quarter ended 31 December 20X5, TrillCo expanded rapidly as a result of a substantial acquisition, and purchased an additional 250 laptops from Taplop. Taplop then estimated that TrillCo's purchases would exceed the threshold for the volume discount in the year to 30 June 20X6.

Requirements

Calculate the revenue Taplop would recognise in:

(a) The quarter ended 30 September 20X5

(b) The quarter ended 31 December 20X5

Your answer should apply the principles of IFRS 15, *Revenue from Contracts with Customers*.

7 Clavering

Clavering Leisure Co owns and operates a number of hotels. The company is preparing its financial statements for the year ended 31 May 20X3, and has come across the following issues.

(1) One of the hotels owned by Clavering Leisure is a complex which includes a theme park and a casino as well as a hotel. The theme park, casino and hotel were sold in the year ended 31 May 20X3 to Manningtree Co, a public limited company, for £200 million but the sale agreement stated that Clavering Leisure would continue to operate and manage the three businesses for their remaining useful life of 15 years. The residual interest in the business reverts back to Clavering Leisure after the 15-year period. Clavering Leisure would receive 75% of the net profit of the businesses as operator fees, and Manningtree would receive the remaining 25%. Clavering Leisure has guaranteed to Manningtree that the net minimum profit paid to Manningtree would not be less than £15 million per year.

(2) Clavering Leisure has recently started issuing vouchers to customers when they stay in its hotels. The vouchers entitle the customers to a £30 discount on a subsequent room booking within three months of their stay. Historical experience has shown that only one in five vouchers are redeemed by the customer. At the company's year end of 31 May 20X3, it is estimated that there are vouchers worth £20 million which are eligible for discount. The income from room sales for the year is £300 million and Clavering Leisure is unsure how to report the income from room sales in the financial statements.

Requirement

Advise Clavering Leisure on how the above accounting issues should be dealt with in its financial statements in accordance with IFRS 15, *Revenue from Contracts with Customers*.

8 Rockwye

Rockwye is a manufacturer of luxury watches which it sells to customers via a number of independent retailers. Rockwye recognises revenue and derecognises inventory when it supplies each retailer with deliveries of watches for display. Watches are then displayed by retailers at a price set by the manufacturer – once a watch is sold to a customer, the retailer passes the revenue back to Rockwye. Any unsold watches are returned to Rockwye after a period of 11 months.

Requirement

Comment on the accounting treatment in operation at Rockwye and recommend suitable audit procedures that you should undertake.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

	£
Revenue:	
Provision of equipment (W)	*1,368,000*
Provision of support services 4/24 x £132,000 (W)	*22,000*
	1,390,000

WORKING

	Standalone selling price		*Allocation of contract price*
	£	*%*	*£*
Support services (estimated) (120,000 x 120%)	*144,000*	*8.8*	*132,000*
Provision of equipment	*1,500,000*	*91.2*	*1,368,000*
Total revenue	*1,644,000*	*100*	*1,500,000*

Answer to Interactive question 2

	Standalone selling price		*Allocation of transaction price*
	£	*%*	*£*
After-sales support (2 × (35,000/82.5%))	*84,848*	*9.9*	*79,200*
System	*775,000*	*90.1*	*720,800*
Total selling price	*859,848*	*100*	*800,000*

Therefore the revenue earned in the current year is the £720,800 from the provision of the system.

Answer to Interactive question 3

Magazine revenue: £16,000 **Explanation**

Revenue for the magazines should be recognised in the periods in which they are despatched, assuming the items are of similar value in each period. Despatch of the magazine constitutes satisfaction of the performance obligation. Thus the revenue to be recognised in the year ended 31 March 20X7 is £48,000 × 4/12 = £16,000.

Answer to Interactive question 4

Revenue: £nil

Explanation

Revenue should be recognised when the drills are delivered to the customer. This is the point at which the performance obligation is satisfied. Until then no revenue should be recognised and the deposits should be carried forward as deferred income.

Answer to Interactive question 5

(a) **Costs to complete are £90,000**

This is a contract with performance obligations satisfied over time and 33% of the performance has been completed to date.

Revenue can be recognised on the output basis by the percentage of completion method, so 33% of £210,000 = £69,300.

Note: The project is profitable overall (total revenue £210,000, total costs £135,000), so no provision for a contract loss need be made.

(b) **Costs to complete cannot be estimated reliably**

As the outcome of the overall contract cannot be estimated reliably, revenue is recognised to the extent of the costs incurred which are recoverable ie, £40,000. The current period therefore recognises the contract loss to date of £5,000.

Answer to Interactive question 6

Contract revenue: £60,000 **Explanation**

If the outcome of a services transaction cannot be estimated reliably, revenue should only be recognised to the extent that expenses incurred are recoverable from the customer.

Answer to Interactive question 7

The Sales Director wishes to recognise the sale as early as possible. However, following IFRS 15, *Revenue from Contracts with Customers*, revenue from the sale should only be recognised when the performance obligations in the contract have been satisfied.

Performance obligations in the contract

The contract contains a promise to deliver the caravan and a promise to deliver additional goods free of charge. These are distinct promises and therefore the contract contains two performance obligations.

Transaction price

The transaction price is made up of three elements.

A significant financing component must be considered where consideration is received more than 12 months before or after the date on which revenue is recognised (being the delivery date, 1 August

20X7). Therefore the payment on 1 August 20X9 must be discounted to present value at 1 August 20X7.

	£
Deposit	3,000
Payment on 1.8.X7 (the delivery date)	15,000
Payment on 1.8.X9 (£12,000/1.1_2)	9,917
	27,917

Allocation to performance obligations

The transaction price is allocated based on standalone selling prices:

Caravan	30,000/31,500 × £27,917	=	£26,588
Free equipment	1,500/31,500 × £27,917	=	£1,329

Recognition of revenue

The two performance obligations are satisfied simultaneously on 1 August 20X7, and therefore all revenue is recognised on this date.

Journal entries are as follows:

1 May 20X7

The receipt of cash in the form of the £3,000 deposit is recognised on receipt as a contract liability (deferred income) in the statement of financial position by:

DEBIT	Bank	£3,000	
CREDIT	Contract liability (deferred income)		£3,000

1 August 20X7

Revenue is recognised together with payment of the first £15,000. The contract liability is transferred to be revenue:

DEBIT	Bank	£15,000	
DEBIT	Contract liability	£3,000	
DEBIT	Receivable	£9,917	
CREDIT	Revenue		£27,917

Note: This question is rather fiddly, so do not worry too much if you didn't get all of it right. Read through our solution carefully, going back to first principles where required.

Answer to Interactive question 8

8.1 **Account for sale**

- Bags Galore Ltd expects 3 bags (6% × 50) to be returned.
- Therefore on 28 January 20X9 revenue is recognised in relation to 47 bags, giving a total of £39,950 (47 × £850).
- A refund liability of £2,550 (3 × £850) is recognised.
- The cost of 47 bags of £18,800 (47 × £400) is transferred to cost of sales. The remaining 3

bags are recognised as an asset (the right to recover the bags) at cost of £1,200 (3 × £400). The 'right to recover' asset is measured at the original cost of the bags that are expected to be returned because, even in the 'Fabulous February' sale, they are capable of being sold for £425 (50% × £850) ie, more than cost.
The required accounting entries are:

DEBIT	Bank (50 × £850)	£42,500	
CREDIT	Revenue		£39,950
CREDIT	Refund liability		£2,550

To recognise the sale of bags and expectation that 6% will be returned.

DEBIT	Asset (right to recover inventory)	£1,200	
DEBIT	Cost of sales (47 × £400)	£18,800	
CREDIT	Asset (inventory)		£20,000

To recognise the transfer of items of inventory that are not expected to be returned to become cost of sales and that are expected to be returned to become assets (the right to recover the 3 bags).

8.2 If the selling price of the bags were reduced to £340 (40% × £850):

- The revenue and refund liability would be recorded as before.
- The retained asset would be measured at £1,020 (3 × £340), so resulting in a write down of the carrying amount of inventory in profit or loss.

Answer to Interactive question 9

	£
Revenue:	
- Sale of goods (W)	1,350,000
- Sale of services (W)	25,000
	1,375,000

WORKING

	£
After-sale support (120,000/ (100% – 20%))	150,000
Remainder = sale of goods (bal fig)	1,350,000
Total revenue	1,500,000

Revenue for sale of services recognised in the four months to 30 April 20X7 should be £150,000/2 years × 4/12 = £25,000

Answer to Interactive question 10

	£
After-sales support (2 × (35,000/82.5%))	84,848
Remainder	715,152
Total selling price	800,000
So the revenue from the sale in the current year is:	715,152

Answer to Interactive question 11

Sale transaction

- As there is an option to repurchase, this is a call option with a repurchase price above the original selling price, so it is treated as a financing arrangement.
- Through the rights of access and supervision, together with the right to build on the land, Builder Ltd has retained the risks and rewards of ownership over the building plot, so should continue to show it as an asset in its statement of financial position.
- The fact that the consideration for the sale on 1 March 20X6 is so far below the valuation is further evidence that the transaction is in substance a three-year loan, with the £400,000 difference between the selling and repurchase prices being interest on the loan.
- The right to repurchase in the future for much less than the current valuation (making the exercise of the repurchase right almost a certainty) is further evidence that this is not a real sale.
- So Builder Ltd will show the building plot in its 28 February 20X7 statement of financial position as a current asset (as it will be realised in the normal course of its operating cycle) at its original acquisition cost (not given in the Interactive question).
- In the same statement of financial position it will show the £1.5 million received on 1 March 20X6 as a liability, together with any unpaid part of the £400,000 interest which is attributable to the first year of the loan.
- The appropriate part of the total interest will be charged to profit or loss for the year ended 28 February 20X7.

Answer to Interactive question 12

The contract contains three performance obligations – transfer of the machine, transfer of the spare parts and the custodial services. The transaction price is allocated to the three performance obligations and revenue is recognised when (or as) control passes to the customer.

The machine and the spare parts are both performance obligations satisfied at a point in time, this being 31 December 20X9. In the case of the spare parts, the customer has paid for them, the customer has legal title to them and the customer has control of them as they can remove them from storage at any time.

The custodial services are a performance obligation satisfied over time, so revenue will be recognised over the period during which the spare parts are stored.

Answer to Interactive question 13

(a) **Audit issues**

- Whether revenue recognised to date includes a proportion of the incentive payment. This would only be appropriate if it is probable that this income will be received.
- Total costs to complete have been increased during the year due to rectification costs. There is a risk that there may be other rectification costs which have yet to be identified.
- Whether the accounting treatment of the revenue recognised is in accordance with IFRS 15. The current figure of £192,000 appears to be based on 30% of the expected total revenue (640 × 30%) but it is unclear where this 30% has come from. If revenue is being measured on costs incurred to date (input basis) the additional £100,000 of contract costs may not be allowable as part of this calculation. Similarly, if certified as complete (output basis) on a pro- rated time basis, the contract is only 10 months old – this would give a percentage of 10/36 = 27.8% which could lead to overstated revenue.

(b) **Audit procedures**

- Agree the contract price and incentive payment to the sales contract.
- Discuss with management the basis on which they have recognised the incentive payment and review their performance on other similar contracts to determine the likelihood of the contract being completed on time.
- Establish the basis on which the percentage completion of 30% has been determined. If a surveyor has been used to make this estimate assess the extent to which this evidence can be relied on.
- Discuss with management the nature of the rectification costs and assess the likelihood of other similar additional costs being incurred. Obtain a schedule of these and agree to supporting documentation.
- Review management calculations regarding costs to complete and seek corroboration for any assumptions made.
- Discuss with management the revenue recognition policy adopted. If material to the financial statements the figures should be revised in accordance with IFRS 15.

Answers to Self-test questions

1 Webber

Revenue

	£
Revenue recognised as agent (£200,000 × 15%)	30,000
Revenue recognised as principal	75,000
Total revenue	105,000

2 Alexander

At the time of supply, revenue is recognised for the cash sale price of £450,000. Interest will then be accrued until payment is made. For the year ended 31 December 20X0 the interest charge is £450,000 × 10% = £45,000.

3 Southwell

As there is an option to repurchase, this is a call option with a repurchase price above the original selling price, so it is treated as a financing arrangement.

Initial loan:	DEBIT	Cash	£5m
	CREDIT	Loan	£5m
Interest:	DEBIT	Interest (Profit or loss) (5m × 9.5%)	£0.475m
	CREDIT	Loan	£0.475m

Total loan liability is £5.475 million.

4 White Goods

The amount receivable discounted to present value = £2,400 × 1/1.09 = £2,202

This is recognised as income on 1 October 20X7. The difference between this and the sale proceeds (2,400 – 2,202 = 198) is treated as interest and will be recognised over the 12-month interest-free credit period.

5 Tree

5.1 IFRS 15, *Revenue from Contracts with Customers* states the following (IFRS 15.35):

Revenue is recognised when (or as) a performance obligation is satisfied. The entity satisfies a performance obligation by transferring **control** of a promised good or service to the customer. A performance obligation can be satisfied **at a point in time**, such as when goods are delivered to the customer, or **over time**. An obligation satisfied **over time** will meet one of the following criteria:

- The customer simultaneously receives and consumes the benefits as the performance takes place.
- The entity's performance creates or enhances an asset that the customer controls as the asset is created or enhanced.
- The entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date.

The amount of revenue recognised is the amount allocated to that performance obligation. An entity must be able to reasonably measure the outcome of a performance obligation before the related revenue can be recognised. In some circumstances, such as in the early stages of a contract, it may not be possible to reasonably measure the outcome of a performance obligation, but the entity expects to recover the costs incurred. In these circumstances, revenue is recognised only to the extent of costs incurred.

5.2 **Transaction 1**

Tree has the option to repurchase the property but cannot be required to do so. This is a call option in which the repurchase price is equal to or above the original selling price, so it should be accounted for as a financing arrangement.

Tree has not transferred control of the property to the bank as it still has the right to exercise this option, so no performance obligation has been satisfied that could justify the recognition of revenue.

The transaction is essentially a **loan secured on the property**, rather than an outright sale. The £50,000 payable for each month that the bank holds the property is **interest** on the loan.

The property **remains in the consolidated statement of financial position** at its cost or market value (depending on the accounting policy adopted by Tree). The **loan** of £5 million and **accrued interest** of £300,000 (6 × 50,000) are reported under **non-current liabilities**. Interest of £300,000 is recognised in consolidated profit or loss.

Transaction 2

The key issue is whether Tree **has transferred control** of the branch.

Tree **continues to control the operations** of the branch and the amount that it receives from Vehicle is the operating profit of the branch less the interest payable on the loan. Tree also suffers the effect of any operating losses made by the branch. Therefore, the **position is essentially the same as before** the 'sale' and Tree has not satisfied any performance obligation in return for the consideration of £8 million.

Although Vehicle is not a subsidiary of Tree as defined by IFRS 10, *Consolidated Financial Statements,* it is a special purpose entity (**quasi-subsidiary**). It gives rise to benefits for Tree that are in substance no different from those that would arise if it were a subsidiary. Its assets, liabilities, income and expenses **must be included** in the consolidated financial statements.

The assets and liabilities of Vehicle are included in the consolidated statement of financial position at £7 million (their original value to the group). The loan of £8 million is recognised as a non-current liability. The profit on disposal of £1 million and the operating fee of £1,200,000 are cancelled as intra-group transactions. The operating profit of £2 million is included in consolidated profit or loss, as is the loan interest of £800,000.

6 Taplop

(a) Applying the requirements of IFRS 15 to TrillCo's purchasing pattern at 30 September 20X5, Taplop should conclude that it was highly probable that a significant reversal in the cumulative amount of revenue recognised (£500 per laptop) would not occur when the uncertainty was resolved, that is when the total amount of purchases was known. Consequently, Taplop should recognise revenue of 70 × £500 = £35,000 for the first quarter ended 30 September 20X5.

(b) In the quarter ended 31 December 20X5, TrillCo's purchasing pattern changed such that it would be legitimate for Taplop to conclude that TrillCo's purchases would exceed the threshold for the volume discount in the year to 30 June 20X6, and therefore that it was appropriate to reduce the price to £450 per laptop. Taplop should therefore recognise revenue of £109,000 for the quarter ended 31 December 20X5. The amount is calculated as from £112,500 (250 laptops × £450) less the change in transaction price of £3,500 (70 laptops × £50 price reduction) for the reduction of the price of the laptops sold in the quarter ended 30 September 20X5.

7 Clavering

Sale of hotel complex

The issue here is one of **revenue recognition**, and the accounting treatment is governed by IFRS 15, *Revenue from Contracts with Customers*. Step (5) of the standard's revenue recognition process requires that **revenue is recognised when (or as) a performance obligation is satisfied**. The entity satisfies a performance obligation by transferring **control** of a promised good or service to the customer. A performance obligation can be satisfied **at a point in time**, such as when goods are delivered to the customer, or **over time**. In the case of the hotel transfer, the issue is that of a performance obligation **satisfied at a point in time**. One of the indicators of control is that significant risks and rewards of ownership have been transferred to the customer.

It can be argued in some cases where property is sold that the seller, by continuing to be involved, has **not satisfied the performance obligation by transferring control**, partly because the seller has not transferred the risks and rewards of ownership. In such cases, the **sale is not genuine**, but is often in substance a **financing arrangement**. IFRS 15 requires that the substance of a transaction is determined by looking at the transaction as a whole. If two or more transactions are linked, they should be treated as one transaction to better reflect the commercial substance.

Clavering Leisure continues to operate and manage the hotel complex, receiving the bulk (75%) of the profits, and the residual interest reverts back to Clavering Leisure; effectively, Clavering Leisure **retains control** by retaining the risks and rewards of ownership. Manningtree does not bear substantial risk: its minimum annual income is guaranteed at £15 million. **The sale should not be recognised**. In substance it is a **financing transaction.** The **proceeds** should be treated as a **loan**, and the payment of **profits** as **interest**.

Discount vouchers

The treatment of the vouchers is governed by IFRS 15, *Revenue from Contracts with Customers*. The principles of the standard require the following:

- The voucher should be accounted for as a **separate component** of the sale.
- The promise to provide the discount is a **performance obligation.**
- The entity must estimate the **stand-alone selling price** of the discount voucher in accordance with paragraph B42 of IFRS 15. That estimate must reflect the discount that the customer would obtain when exercising the option, adjusted for both of the following:
  - Any discount that the customer could receive without exercising the option
  - The likelihood that the option will be exercised.

The vouchers are issued as part of the sale of the room and redeemable against future bookings. The substance of the transaction is that **the customer is purchasing both a room and a voucher**.

Vouchers worth £20 million are eligible for discount as at 31 May 20X3. However, based on past experience, it is likely that only one in five vouchers will be redeemed, that is vouchers worth £4 million. Room sales are £300 million, **so effectively, the company has made sales**

worth £(300m + 4m) = £304 million in exchange for £300 million. The **stand-alone price would give a total of £300 million for the rooms and £4 million for the vouchers**.

To **allocate the transaction price**, following step (4) of IFRS 15's five-step process for revenue recognition, the proceeds need to be split proportionally **pro rata the stand-alone prices**, that is the discount of £4 million needs to be allocated between the room sales and the vouchers, as follows:

Room sales: 300/304 × £300m = £296.1m Vouchers (balance) = £3.9m

The £3.9 million attributable to the vouchers is only recognised when the performance obligations are fulfilled, that is when the vouchers are redeemed.

8 Rockwye

Matters to consider

The accounting treatment adopted by Rockwye does not appear to comply with IFRS 15 as it appears to be a consignment arrangement in place with retailers. This means that Rockwye cannot recognise any revenue or derecognise inventory when the watches are delivered to retailers because control has not passed from Rockwye to the retailer due to control being retained (the right to fix the price and receive the watches back after 11 months).

Revenue should only be recognised when the retailer makes a sale to a customer. This means that revenue in Rockwye's financial statements is likely to be overstated. In addition, if watches are returned unsold, there may also be a risk that inventory is overstated if any of the watches have suffered any impairment.

Audit procedures

- The auditor should obtain copies of the contracts in place between Rockwye and individual retailers to confirm the supplier arrangements in place and which party retains controls of the watches.
- The auditor should establish the proportion of watches that are returned unsold to determine if there are any indicators of impairment in the inventory held.
- The auditor should re-calculate revenue for a sample of months using the consignment approach and compare to actual revenue recorded to establish if there is any material misstatement.

CA BANGLADESH

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